



S U S T A I N A B L E
D E V E L O P M E N T R E P O R T

Sustainability

INTO

Action

2025

Sustainability

INTO

Sustainable development

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GM AirSeT

GM AirSeT is Schneider Electric's SF₆-free, natively digital primary GIS designed for high power density applications. It uses pure air insulation and vacuum technology for arc breaking, eliminating F-gases and simplifying compliance, installation, and end-of-life management.





Action

Introduction by the Chief Sustainability Officer

For over 20 years, sustainability has been at the heart of our strategy, governance, and culture. Sustainability is our collective journey, where we join forces with our entire ecosystem to lead transformational change in our industry, and beyond.



Paving the way as a sustainability leader

Today, the world is changing at an unprecedented pace. Global energy demand is surging amid accelerating climate change, which requires to double down on cutting greenhouse-gas emissions by 2030. Yet low-carbon energy still represents only about 19% of the global energy mix. At the same time, the global economy continues to operate in ecological overshoot, consuming nearly twice the resources each year than the planet can regenerate.

We are also experiencing extraordinary acceleration in the energy transition, digital technologies, and now AI. Technology acceleration should be a sign of progress – but this demands that these technologies are leveraged to create opportunities for all. Reports from 2025 indicate that around 666 million people globally still lack access to electricity.

Our mission is clear: with an inclusive culture at our core, we empower everyone to play a part in building a more sustainable and resilient future. This commitment guides every decision and action we take, through our relentless pursuit of decarbonization and efficiency, and a just transition.

Guided by this commitment, Schneider Electric was recognized in 2025 as the #1 Most Sustainable Company in the World by TIME Magazine and Statista for the second consecutive year. In 2025, we were also honored as the World's Most Sustainable Corporation by Corporate Knights, marking our second time topping this list and a first for any corporation. These distinctions, reinforced by leading ESG ratings from Dow Jones, CDP, S&P Global, EcoVadis, Moody's, MSCI, Sustainalytics, and more, underscore the long-term value and positive impact we have when performance and purpose go hand in hand.

Sustainability in action

Stepping into the role of Chief Sustainability Officer, my nine years working across the Group have highlighted the essential role leaders can play in fostering a sustainable and inclusive future.

In 2021, we established the Schneider Sustainability Impact 2021–2025 (SSI) program, our sustainability roadmap aligned with six long-term commitments related to climate, resources, equal opportunities, trust, all generations, and local communities; and contributing to the United Nations' Sustainable Development Goals.

Reflecting on our journey, we are proud to have exceeded several ambitions ahead of schedule. Since 2009, we have provided clean and reliable electricity to more than 61 million people worldwide. We have also trained over one million individuals in energy management. Through our solutions and services, we have helped customers save and avoid 862 million tonnes of CO₂ emissions, and through the Zero Carbon Project, our top 1,000 suppliers reduced their operational emissions by 56%, surpassing here again the programs 2025 ambition.

Powering Progress for All

With the SSI 2021–2025 program cycle now completed, we recognize successes and challenges, and we relentlessly remain focused on deepening our impact across all Environmental, Social and Governance (ESG) dimensions concentrating our efforts where Schneider can make the greatest impact, at local and global levels.

We are excited to launch Schneider Sustainability Impact 2030 – our evolved sustainability ambition – and keep building on the strong foundation established. It reinforces the principles that have guided our collective journey: we leverage innovation and technology for progress, bring everyone along, and innovate socially to power progress for all.

Esther Finidori
Chief Sustainability Officer

“As an Energy Technology Leader, we are convinced that advancing energy tech can power progress for all.”

1. Sustainability vision



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2025 highlights

8.86/10

Schneider Sustainability Impact score⁽¹⁾
(vs. 7.55/10 in 2024)

85%

Sustainable packaging for our products
(vs. 78% in 2024)

862M

Tonnes of saved and avoided CO₂ emissions for our customers since 2018 (+183 Mt vs. 2024)

61.7M

People having access to sustainable electricity since 2009 (+8.3m vs. 2024)

Distinctions 2025



(1) From 2025 onwards, diversity targets are excluded from SSI score calculation for all employees, as it shall not impact incentives in countries or entities prohibiting the establishment of such targets. The global SSI target has been restated accordingly.

1. Sustainability vision

1.1 Sustainability for all

1.1.1 Strategic vision towards long-term positive impacts

1.1.1.1 The world is changing

The climate crisis is causing floods, fires, and droughts that have already resulted in significant financial damages and population migrations. It is jeopardizing access to health, food, water, and energy for millions of people. Changes in the usage of land and sea, exploitation of natural resources, scarce water supply, pollution, and climate change, will further destabilize economies. Meanwhile, the acceleration of digitalization and the adoption of artificial intelligence (AI) change how people and machines interact with one another.

Geopolitical crises have also led to significant disruptions including constrained labor availability, shortages of raw materials and electronics, unreliable transportation, and reductions in energy availability, all of which have challenged supply chains across industries. Some regional challenges towards sustainability regulations also question how global companies can best contribute to a more sustainable future.

At the same time, new expectations and practices have emerged to help the world adapt to, or mitigate the impacts of this disruption:

- Local ecological and social responses to address supply chain disruptions;
- The mobilization of new generations, expecting a more sustainable economy;
- New flexible and more digital ways of working; and
- Circular business models to preserve the planet’s resources.

1.1.1.2 Schneider Electric’s strategy as an Impact Company

Companies play an important role in fighting climate change and supporting the world energy transition.

They can develop and adopt new solutions with resources, talent, and technology, to make real and fast changes, while driving financial performance.

Schneider’s sustainability strategy and Impact Company model rest on the belief that investing in energy sobriety, low-carbon solutions, and diversity and inclusion future-proofs the Group, driving competitiveness, innovation, and resilience. Sustainable growth depends on the health of environmental and social systems, so the approach spans continuous improvement across environmental, social, ethical, and societal dimensions throughout the value chain. This holistic model mitigates risks, enhances stakeholder appeal, and fuels innovation.

The transformation of Schneider Electric reflects this. The Group has seen its revenues more than quadruple between 2003 and 2025, supported by decarbonization, electrification, and energy transition trends. Schneider Electric’s products, software solutions, and services help households, companies, buildings, data centers, infrastructure projects, and entire industries be efficient, operate sustainably and bolster their energy resilience. The Group plays a major role in accelerating the energy transition and fighting the climate crisis.

Schneider Electric is committed to bridge progress and sustainability for all. The Group has taken several commitments to contribute to a Net-Zero world; this positive contribution is also measured as Impact revenues, which represent 75% of the Group’s total revenues in 2025. In addition, 100% of Schneider Electric’s innovation projects are aligned with its purpose, close to 90% being either strictly green or neutral.

Climate change and rising inequalities require a combination of a long-term vision and concrete short-term actions presented below.



1.1.2 Long-term commitments and tools to measure progress

In alignment with stakeholder expectations, its Company purpose, and the United Nations Sustainable Development Goals (UN SDGs), Schneider Electric has made six long-term commitments. By tracking its sustainability performance and publishing quarterly results, Schneider Electric upholds its industry leadership in corporate social responsibility.

1.1.2.1 Schneider Electric's tools to measure progress

The execution of the Group's 2021–2025 sustainability strategy is tracked through quantitative key performance indicators (KPIs): the Schneider Sustainability Impact (SSI) and the Schneider Sustainability Essentials (SSE).

The 11 SSI programs and the 25 SSE programs constitute the Group's short-term sustainability roadmap and its contribution to the 17 UN SDGs. They are complemented by local sustainability impact programs, delivered by the Group's local teams.

The SSI is the translation of the Group's six long-term commitments into a selection of 11 highly transformative and innovative programs, which are published quarterly.

The SSE reflects continuous improvement actions taken by the Group, complementing the innovative transformations of the SSI and the need to keep making progress with other long-lasting programs.

A notable signature to the 2021–2025 program is the local aspect, aiming to deploy local actions in the 100+ markets where the Group operates in order to better empower all leaders and collaborators to unlock meaningful local impacts.

Long-term commitments and tools

Tool	Schneider Sustainability Impact (SSI)	Schneider Sustainability Essentials (SSE)	Local Sustainability Impact programs (SSI #+1)
KPIs	11	25	~200
Scope	Global	Global	Local
Reporting	Quarterly	Annual	Annual
Assurance	Yes	Yes	No
Link to short-term incentive plan (STIP)	Yes	No	No

 Read more on the SSI and SSE programs and scope on the **next page and throughout the report.**

 Read more on the local commitments on **www.se.com**

Act for a **climate-positive** world



by continuously investing in and developing innovative solutions that deliver immediate and lasting decarbonization in line with our Net-Zero Commitment.

Be efficient with **resources**



by behaving responsibly and making the most of digital technology to preserve our planet.

Live up to our principles of **trust**



by upholding ourselves and all around us to high social, governance, and ethical standards.

Create **equal** opportunities



by ensuring all employees are uniquely valued in an inclusive environment to develop and contribute their best.

Harness the power of all **generations**



by fostering learning, upskilling, and development for each generation, paving the way for the next.

Empower **local** communities

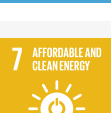


by promoting local initiatives and enabling individuals and partners to make sustainability a reality for all.

1. Sustainability vision

1.1.2.2 Contribution to the United Nations Sustainable Development Goals (UN SDGs)

The 17 UN SDGs are focused on protecting the planet, alleviating poverty, and achieving worldwide peace and justice. The Schneider Sustainability Impact (SSI) and Schneider Sustainability Essentials (SSE) programs contribute to those goals, directly or indirectly, for all stakeholders in the Company's value chain. Schneider Electric is an active promoter of the SDGs and a member of the UN Global Compact (UNGC), its Chairman having been a Board Member from 2018 to 2024. The Group discloses each year its communication on progress, and was one of the 850 participants in the UNGC Early Adopters program in 2022. The following mapping of the Group contribution by SDG and stakeholder was realized by reviewing all 169 targets and leveraging the SDG Compass tools.

SDG	Key programs	Schneider's contribution to SDGs	Stakeholders
	SSI #9; SSI #10; SSI #11; SSE #20	As a responsible employer, manufacturer, and buyer, Schneider Electric committed to ensuring the well-being of employees throughout its value chain. Through sustainable procurement, fair compensation, and development opportunities, the Group ensures all its stakeholders can live fulfilling and thriving lives.	 Suppliers  Communities
	SSI #9	Food is a basic need and a necessity for livelihood. Schneider contributes to strengthening food security by improving access to energy in rural areas, through better irrigation, food storage, and processing.	 Communities
	SSI #6; SSE #12; SSE #14; SSE #17	Schneider's holistic view of well-being translates into programs that support the physical, mental, and emotional well-being of its people, but also those across its operations by safeguarding the reliability of the healthcare sector by powering their facilities.	 Operations
	SSI #10; SSI #11; SSE #25	Learning is a Core Value of Schneider Electric. The Group actively promotes a mentoring culture, connecting generations to help tomorrow's energy leaders to grow and build a sustainable future.	 Operations  Communities
	SSI #8; SSE #18	Schneider Electric believes in equality between all genders. As such, the long-lasting difference in society's treatment of men and women is a challenge the Group faces and rises to as it believes that inclusion and care benefit all.	 Operations
	SSE #6; SSE #11	Schneider takes great care in ensuring its operations have no impact on biodiversity and water quality. The Group protects water on its sites, with a specific conservation strategy and solutions in water-stressed areas to limit the impact on local communities.	 Communities
	SSI #1; SSI #2; SSI #3 SSI #9; SSE #1 SSE #3; SSE #5; SSE #6, SSE #7	Schneider provides solutions for clean, reliable, and efficient energy consumption to its customers, and is committed to helping people in underserved areas gain access to green and reliable electricity.	 Operations  Customers  Communities
	SSI #6; SSI #10; SSE #12; SSE #14; SSE #17; SSE #18; SSE #20; SSE #22; SSE #23	For Schneider Electric, protecting workers' rights, guaranteeing their dignity, and creating work opportunities is essential to enable all its stakeholders to thrive. Its Decent Work program aims to improve working conditions for its employees and for workers across its supply chain.	 Suppliers
	SSI #1; SSI #2; SSE #1; SSE #2; SSE #4	Schneider Electric's identity and legacy drive the Company towards perpetual innovation and mobilization to make its infrastructures and products modern and up-to-date with its commitment to sustainability.	 Operations

SDG	Key programs	Schneider's contribution to SDGs	Stakeholders
	SSI #8; SSI #10; SSI #11; SSE #18; SSE #20	Schneider is devoted to empowering and positively impacting all employees, customers, and communities. The Group hopes to bring everyone together on the same level of equality, thus allowing all to strive individually and collectively.	 Operations
	SSI #1; SSI #12; SSE #1; SSE #4; SSE #9	Schneider offers a solution to ensure sustainability in urban areas, with smarter homes and buildings. The Schneider Electric Foundation acts to provide access to sustainable energy to all, turning Schneider's global commitments into local realities.	 Customers
	SSI #4; SSI #5; SSE #6; SSE #9; SSE #10; SSE #15	Schneider Electric considers that circularity is key for sustainability. Using fewer resources and producing higher-quality products is the ideal combination to ensure safety for employees, consumers, and the environment.	 Suppliers  Operations  Customers
	SSI #2; SSI #3; SSE #1; SSE #3; SSE #4	Schneider Electric has been leading the fight against climate change for 20 years. Its strategy focuses on acting for climate protection, preserving resources, and maintaining ethical practices to fight for the planet.	 Suppliers  Operations  Customers
	SSI #5; SSE #8; SSE #11	Resources are essential to Schneider Electric's business; preserving them not only makes good business sense but is also the right thing to do. Hence, preserving the ocean has become core to Schneider Electric's sustainability engagement and it commits to protecting marine life.	 Suppliers  Customers
	SSI #4; SSI #5; SSE #8	Schneider Electric is committed to using fewer natural resources, living within the planet's means, and advancing an accelerated biodiversity strategy. The Group aligns with like-minded partners to prioritize conservation and help create a more sustainable world.	 Suppliers  Customers
	SSI #6; SSI #7; SSE #12; SSE #13; SSE #16; SSE #17	Sustainability is a job for all; the urgency of the situation is impossible to ignore. All hands must be on deck and it is crucial to establish frameworks, programs, and infrastructure to allow a just and peaceful development.	 Suppliers  Operations  Customers  Communities
	SSI #3; SSI #6; SSI #11; SSI #12; SSE #2; SSE #11; SSE #12; SSE #17; SSE #24; SSE #25	Schneider Electric is a global company that aims to adapt and ensure cooperation amongst all its stakeholders to create an environment of trust and prosperity in its operations but also for its employees' and local communities' fulfillment.	 Suppliers  Operations  Customers  Communities

Consult Schneider Electric's commitments to SDGs on the Sustainability page on www.se.com

1. Sustainability vision

1.1.2.3 Schneider Sustainability Impact: a unique transformation tool

Since 2005, Schneider Electric has measured its sustainability performance each quarter in a dashboard known as the "Schneider Sustainability Impact" (SSI). Schneider uses this tool to address its sustainability challenges and to improve each of the pillars of its strategy. Each SSI mobilizes the whole Company around holistic sustainability goals.

A single ESG performance score

The SSI provides an overall measure of the Group's progress on its sustainability goals on a scoring scale of 10. This is achieved by converting each KPI's performance on a 10-point scale, considering that base year performance receives a 3/10 score, and the 2025 ambition translates in a 10/10 score. For each KPI, the relevant score is obtained by linear interpolation and rounded down to the second decimal. The overall score of the tool is the average of each KPI's score with equal weight, excluding the local commitment (SSI #+1). In 2025, the SSI scored 8.86/10 and was exceptionally calculated on 10 KPIs, the diversity target (SSI #8) being excluded for all employees, as it shall not impact incentives in countries or entities prohibiting the establishment of such targets. The global SSI target was restated accordingly to 8.88/10.

Transparent quarterly progress disclosure

The results of the SSI are published every quarter together with financial results and made available on the Group's website. Results are presented to the Function Committee, which makes decisions on necessary corrective actions. The Governance, Nominations & Sustainability Committee within the Board of Directors conducts an annual review of the Group's sustainability strategy, analyzing the performance of the SSI. The results are also publicly presented to shareholders by Schneider Electric's CEO or CFO, demonstrating the Group's commitment to making sustainability part of the Company's long-term strategy.

In addition, the results of the SSI are released in the 2025 Universal Registration Document, including in the statutory auditors' reports, and are shared during customer and investor events.

 Find all quarterly releases on the Financial Results page on www.se.com

Annual publication and external assurance

The annual publication of the SSI results follows thorough internal data controls performed by each team and supervised by the Global Sustainability team. In addition, the SSI and SSE indicators are subject to limited or reasonable assurance from an external auditor (except SSI #+1), in accordance with the (revised) ISAE 3000 assurance standard.

 See assurance reports on [pages 266 to 266](#).

Rewarding employees for performance

Since 2011, the SSI score is included in the variable compensation of Global Functions and Company leaders. In France, since 2012, the SSI has also been included in the profit-sharing incentive plan for the French entities, Schneider Electric Industries and Schneider Electric France. From 2019, the weight of the SSI criteria has increased from 6% to 20% in the collective part of the annual short-term incentives, further highlighting the importance of sustainability.

In 2025, the SSI performance impacted the short-term incentive plans for over 80,000 employees (20% of collective share), including the Executive Committee members and the Chief Executive Officer.

Following changes in local regulations, and in order to ensure equal treatment of all employees, the diversity targets outlined in SSI #8 are no longer linked to any incentive structure from 2025 onward, and do not apply in jurisdictions where the establishment of such targets is prohibited. The Schneider Electric policy is to always select the best candidate for any position based on skills, experience and potential (irrespective of their gender, age, origin, disability, appearance, etc.).

 Read further details in the section [2.3.1.2 Working conditions on page 119](#).

SSI and Sustainable Finance

In 2022, Schneider Electric signed EUR 2.7 billion Syndicated Sustainability-Linked Revolving Credit Facilities with a margin indexed on the annual performance of the Schneider Sustainability Impact (SSI).

 Find more information about debt and bonds on the Debt page on www.se.com

SSI creation process

The SSI is a cyclical process, taking place every five years, involving Executive Committee members, as well as representatives from each geography, function, and business unit.

Three scenarios may emerge from one SSI to the next:

- Programs are maintained and their targets are renewed;
- New and more innovative or better-adapted indicators are implemented;
- Programs are removed, if having met a threshold, but may still be monitored internally if relevant.

The Sustainability department presents a draft version of the new SSI program to the CEO for approval. The SSI is then presented to the Governance, Nominations & Sustainability Committee, which reports on its work to the Board of Directors for validation.

Annual reviews of the SSI are organized by the Sustainability team together with internal experts, which may result in a more in-depth evaluation of existing programs or the launch of new or complementary ones.

SSI reporting perimeter

The SSI reporting perimeter covers financially consolidated entities, with marginal exceptions. The SSI reporting scope is narrower than the EU Corporate Sustainability Reporting Directive (CSRD) reporting scope.

 Read further details in the section **4.1 Methodology elements on the published indicators on page 244.**

1.1.2.4 Schneider Sustainability Essentials: a continuous improvement tool

The SSE reflects continuous improvement actions taken by the Group, complementing the SSI.

This tool brings balance between the innovative transformation plans of the SSI and the need to keep making progress with other long-lasting programs. All SSE KPIs are assured annually by an independent third-party.

1.1.2.5 Local sustainability commitments: a tool to create local impact

The local SSI commitment (SSI #+1) deploy initiatives in the markets where the Group operates, to empower all leaders and collaborators to unlock meaningful local impact. 100% of Schneider Electric's Country and Zone Presidents have defined local commitments that impact their communities, in line with Schneider Electric's sustainability transformation. Close to 500 local programs have been deployed since 2021.

Notable SSI achievements and challenges in 2025

Several SSI achieved or surpassed their 2025 ambition ahead of the program end.

Among them, SSI #2 took a leap forward by reaching 862 MTCO₂e saved and avoided for customers thanks Schneider Electric its products and solutions, of which 183 MTCO₂e in just one year.

Through the Zero Carbon Project (SSI #3), top 1,000 suppliers achieved to reduce their operational CO₂ emissions by 56%, representing an increase of 16 points compared to 2024.

Historical sustainability programs, Access to Energy (SSI #9) and Access to Education (SSI #11), both surpassed their ambition before the year-end, with 61.7M people with access to sustainable electricity, of which 8.3M in 2025, and 1,090,569 people trained in energy management, including over 266K people in 2025 alone.

The program focusing on Green Materials in products (SSI #4) reached 48% in 2025, and the one addressing Decent Work requirements engaged 98% of strategic suppliers (SSI #6), both making considerable progress in 2025 and landing very close to their respective ambitions of 50% and 100%.

Programs focused on equality and diversity have had more moderate results, with hiring opportunities for the next generation reaching 1.75x the 2019 level, with an ambition to double it by 2025 (SSI #10).

The representation of women (SSI #8) in leadership teams reached 32%, two points above the ambition of 30%, while the percentage of women hired decreased to 37%. Women in front-line management positions accounted for 32% of the workforce, a slight increase compared to the previous year.

Notable SSE achievements and challenges in 2025

Schneider is strongly committed to accelerating sustainable transformation in its own business and operations:

- By 2025, 195 sites are certified "Zero-CO₂" (SSE #1), and the Group sourced 99% of its energy from renewable sources (SSE #3) for its operations.
- 80% of medium-voltage offerings have been replaced with innovative alternatives without SF₆ gas (SSE #2).
- The global vehicle fleet has reached 43% electrification (SSE #7), and Schneider Electric has succeeded in improving carbon efficiency in the transport of goods by 14% (SSE #4).
- All of the Group's sites now have a biodiversity conservation or mitigation program (SSE #8), and 100% of sites located in water-stressed areas have deployed a water conservation plan (SSE #11).

The Company is committed to contributing to the well-being and development of all its employees:

- 98% of them completed the mandatory annual training on cybersecurity and ethics in 2025 (SSE #13).
- The pay gap for both women and men continued to narrow in 2025, remaining below 1% (SSE #19).
- 100% of Schneider employees receive at least a living wage, everywhere in the world (SSE #20).
- 93% of eligible employees benefited from the Senior Talent Program, which recognizes the unique expertise and value of employees nearing the end of their careers (SSE #23).

Schneider Electric is also committed to taking action across its value chain, and has assessed 4,348 suppliers as part of its vigilance plan in 2025 (SSE #17).

Finally, since 2017, the Group has enabled its employees to dedicate more than 93,000 hours to volunteering initiatives, allowing them to make an impact within their communities (SSE #25).

1. Sustainability vision

SCHNEIDER SUSTAINABILITY IMPACT

2025 score⁽¹⁾:

8.86/10

vs. an annual target⁽¹⁾ of 8.88/10,
and a 7.55/10 score in 2024

Schneider Sustainability Impact 2021-2025

6 Long-term commitments
aligned to UN SDGs

11+1 Programs

Baseline⁽²⁾

2025 Progress⁽³⁾

2025 Ambition

Climate


1. Grow Schneider Impact revenues⁽⁴⁾

2019: 70% 0% 75% 80%

2. Help our customers save and avoid millions of tonnes of CO₂ emissions

2020: 263M 0 862M 800M

3. Reduce CO₂ emissions from top 1,000 suppliers' operations

2020: 0% 0% 56% 50%

Resources



4. Increase green material content in our products

2020: 7% 0% 48% 50%

5. Primary and secondary packaging free from single-use plastic, using recycled cardboard

2020: 13% 0% 85% 100%

Trust



6. Strategic suppliers who provide decent work to their employees

2022: 1% 0% 98% 100%

7. Level of confidence of our employees to report unethical conduct

2021: 81% 0% 85% 91%

Equal


8. Increase gender diversity⁽¹⁾ in:
hiring (50%),
front-line management (40%),
leadership teams (30%)

2020: 41% 0% 37% 50%
2020: 23% 0% 32% 40%
2020: 24% 0% 32% 30%

9. Provide access to green electricity to 50M people

2020: 30M 0 61.7M 50M

Generations



10. Double hiring opportunities for interns, apprentices and fresh graduates

2019: 4,939 x1 X1.75 x2

11. Train people in energy management

2020: 281,737 0 1,090,569 1M

Local



+1. Country and Zone Presidents with local commitments that impact their communities

2020: 0% 0% 100% 100%

- (1) From 2025 onwards, diversity targets are excluded from SSI score calculation for all employees, as it shall not impact incentives in countries or entities prohibiting the establishment of such targets. The global SSI target has been restated accordingly. The gender balance metric is a global strategic ambition. It does not apply to territories that prohibit such ambition. The Schneider Electric policy is to always select the best candidate for any position based on skills, experience and potential (irrespective of their gender, age, origin, disability, appearance, etc...).
- (2) The baseline year is indicated in front of each SSI baseline performance.
- (3) Each year, one of Schneider Electric's statutory auditors performs a "limited" assurance engagement on all SSI and SSE indicators (except SSI #+1 in 2025), in accordance with (revised) ISAE 3000 assurance standard (see the assurance report on page 266). Please refer to page 244 for the methodological presentation of each indicator.
- (4) Per Schneider Electric definition and methodology. Note that for the reporting requirements under the European Taxonomy Regulation, please refer to pages 106 to 117.

Read more about the SSI indicators methodology on pages 244 to 250.

Schneider Sustainability Essentials 2021-2025

6 Long-term commitments aligned to UN SDGs

25 Programs

Baseline⁽¹⁾2025 Progress⁽²⁾

2025 Ambition

Climate

1. Decarbonize our operations with Zero-CO₂ sites

2020: 30

0

195 150

2. Substitute relevant offers with SF₆-Free medium voltage technologies

2020: 26%

0%

80% 100%

3. Source electricity from renewables

2020: 80%

0%

99% 90%

4. Improve CO₂ efficiency in transportation

2020: 0%

0%

14% 15%

Resources



5. Improve energy efficiency in our sites

2019: 0%

0%

17% 15%

6. Grow our product revenues covered with Green Premium™

2020: 77%

0%

83% 80%

7. Switch our corporate vehicle fleet to electric vehicles

2020: 1%

0%

43% 33%

8. Deploy local biodiversity conservation and restoration programs in our sites

2020: 0%

0%

100% 100%

9. Give a second life to waste in 'Waste-to-Resource' sites

2020: 120

0

176 200

10. Avoid primary resource consumption through 'take-back at end-of-use' since 2017 (metric tons)

2020: 157,588

0

428,450 420,000

11. Deploy a water conservation strategy and action plan for sites in water-stressed areas

2020: 0%

0%

100% 100%

Trust



12. Deploy a 'Social Excellence' program through multiple tiers of suppliers

2021: 0%

0%

77% 80%

13. Train our employees on Cybersecurity and Ethics every year

2020: 90%

0%

98% 100%

14. Decrease the Medical Incident rate to 0.38 or below

2019: 0.79

0.79

0.46 0.38

15. Reduce total number of safety recalls issued to 0

2020: 25

25

3 0

16. Be in the top 25% in external ratings for Cybersecurity performance

2020: Top 25%

0%

Top 25% Top 25%

17. Assess our suppliers under our 'Vigilance Program'

2020: 374

0

4,348 4,000

Equal



18. Reduce pay gap for both females and males

2020: F: -1.73%

0%

-0.84% F <1%

2020: M: 1.00%

0%

0.58% M <1%

19. Increase subscription in our yearly Worldwide Employee Share Ownership Plan (WESOP)

2019: 53%

0%

63% 60%

20. Pay our employees at least a living wage

2019: 99%

0%

100% 100%

21. Multiply the number of employee-driven development interactions on the Open Talent Market

2020: 5,019

x1

x2.7 x4

Generations



22. Support the digital upskilling of our employees

2020: 41%

0%

81% 90%

23. Provide access to meaningful career development programs for employees during later stages of their career

2022: 43%

0%

93% 90%

24. Increase our employee engagement level

2020: 69%

0%

75% 75%

Local



25. Increase the number of volunteering days since 2017

2020: 18,469

0

93,204 50,000

(1) See note (2) under the SSI table on the left page.

(2) See note (3) under the SSI table on the left page.



Read more about the SSE indicators methodology from page 250.

Schneider Sustainability Impact 2025 highlights

Climate SSI #1 **Grow Schneider Impact revenues**

Thanks to its offers supporting energy and resource efficiency, electrification, decarbonization and circularity, Schneider's impact revenues reached 75% in 2025.

Climate SSI #2 **Help our customers save and avoid millions of tonnes of CO₂ emissions**

In 2025, Schneider Electric helped to reduce the environmental footprint of its customers thanks to its energy efficiency products and solutions, enabling them to surpass the threshold of 800 million tonnes of CO₂ emissions saved and avoided since 2018.

Climate SSI #3 **Reduce CO₂ emissions from top 1,000 suppliers' operations**

In 2025, Schneider Electric has supported its top 1,000 suppliers to decarbonize their operations by 56% since 2021, providing guidance to identify and implement concrete local decarbonization levers, "glocal" strategy and strong governance.

Resources SSI #4 **Increase green material content in our products**

The volume of materials qualified as "Green" in products, as per Schneider Electric, definition reached 48% in 2025. This achievement is the result of the commitment of the Group's Lines of Business to include a mandatory criteria requirement on 'Green Materials' in Schneider EcoDesign approach, and to include Green Thermoplastics into their offers at scale., with the aim to accelerate the transformation toward materials with lower impact on environment and people.

Resources SSI #5 **Primary and secondary packaging free from single-use plastic, using recycled cardboard**

By the end of 2025, 85% of Schneider Electric's products packaging was made from sustainable materials. The switch to recycled cardboard was completed, but it is still difficult to completely ban single-use plastic in some cases, for reasons of safety, quality, or technical limitations.

Trust SSI #6 **Strategic suppliers who provide decent work to their employees**

In only 3 years, Schneider Electric convinced 98% of its strategic suppliers worldwide to comply with its Decent Work requirements through strong collaboration with Procurement teams, resulting in the implementation of tailored roadmaps to ensure the decent working conditions throughout the supply chain.

Generations SSI #10

Double hiring opportunities for interns, apprentices and fresh graduates

The number of opportunities for the Next Generation was multiplied by 1.75 in 2025. Among them, 72% were roles for students, and 28% were recent graduates hiring.

Trust SSI #7

Level of confidence of our employees to report unethical conduct

85% of Schneider Electric employees feel confident to report unethical conduct without fear, which is one point higher than in 2024, marking the second consecutive year of increase.

Equal SSI #9

Provide access to green electricity

Since 2009, Schneider Electric has expanded access to clean, reliable, and affordable energy for underserved communities worldwide, impacting 61.7 million people by the end of 2025, well beyond its original ambition of 50 million beneficiaries.

Local SSI #+1

Country and Zone Presidents with local commitments that impact their communities

Since 2021, nearly 500 local programs have been rolled out in over 50 countries around the world by Schneider Electric's "Territory Sustainability Leaders".

Equal SSI #8

Increase gender diversity in hiring (50%), front-line management (40%) and leadership teams (30%) ⁽¹⁾

Women in leadership teams and in front-line management positions represented 32% of the headcount in 2025, while women hiring decreased to 37%.

Generations SSI #11

Train people in energy management

Schneider Electric has supported the training of over one million people in energy management as part of its Youth Training and Entrepreneurship program, launched in 2009. This program has enabled young people in 60 countries to actively contribute to the local energy transition.

(1) Following changes in local regulations, and in order to ensure equal treatment of all employees, the diversity targets outlined in SSI #8 are no longer linked to any incentive structure from 2025 onward, and do not apply in jurisdictions where the establishment of such targets is prohibited. The Schneider Electric policy is to always select the best candidate for any position based on skills, experience and potential (irrespective of their gender, age, origin, disability, appearance, etc.).

Schneider Sustainability Essentials

2025 highlights

Climate SSE #1 Decarbonize our operations with Zero-CO₂ sites

Schneider Electric counts 195 "Zero-CO₂" sites by the end of 2025, including 41 new sites certified during the year, far exceeding the ambition of 150 sites set for 2025.

Resources SSE #5 Improve energy efficiency in our sites

Thanks to EcoStruxure™ solutions and ongoing efforts on its sites, the Group achieved 17% energy efficiency, exceeding its 2025 ambition of 15%.

Resources SSE #9 Give a second life to waste in 'Waste-to-Resource' sites

176 sites achieved the 'Waste-to-Resource' status in 2025, joining the effort for more circularity within Schneider Electric, by meeting very high circularity and waste-recovery performance standards.

Climate SSE #2 Substitute relevant offers with SF₆-Free medium voltage technologies

80% of relevant offers have been substituted with SF₆-Free medium voltage technologies in 2025, compared to 69% in 2024.

Resources SSE #6 Grow our product revenues covered with Green Premium™

From a customer communication standpoint, the Group shifted in 2025 from Green Premium™ to the Environmental Data Program. While doing it, the Schneider Electric further increases the product revenues covered with Green Premium™ or equivalent to 83%.

Resources SSE #10 Avoid primary resource consumption through 'take-back at end-of-use' since 2017 (metric tons)

By the end of 2025, 428,450 cumulative tons of material were taken-back at end-of-use by Schneider Electric since 2017 to reduce primary resource consumption, surpassing the 420,000 tons ambition set. This represents an increase of 69,370 tons compared to 2024.

Climate SSE #3 Source electricity from renewables

In 2025, 99% of Schneider Electric sites were supplied with of renewables electricity, beyond the initial ambition of 90%.

Resources SSE #7 Switch the corporate vehicle fleet to electric vehicles

43% of Schneider Electric fleet is now composed of electric vehicles, reflecting their growing adoption across international markets, particularly in Asia and Europe.

Resources SSE #11 Deploy a water conservation strategy and action plan for sites in water-stressed areas

100% of Schneider Electric sites located in water-stressed areas are now covered by conservation and action plans, successfully meeting the program ambition.

Trust SSE #13 Train our employees on Cybersecurity and Ethics every year

98% of Schneider employees completed a mandatory Cybersecurity and Ethics annual training in 2025.

Climate SSE #4 Improve CO₂ efficiency in transportation

Schneider Electric has succeeded in improving carbon efficiency in the transportation of goods by 14%, notably by reducing air freight and increasing the use of low- or zero-emission trucks in many regions worldwide.

Resources SSE #8 Deploy local biodiversity conservation and restoration programs in our sites

In line with the Group's 2025 ambition, 100% of sites worldwide are now implementing biodiversity conservation plans, taking direct action to address local ecological risks.

Trust SSE #12 Deploy a 'Social Excellence' program through multiple tiers of suppliers

The program continued to progress in 2025, with the launch of a component aimed at better understanding the structure of critical minerals supply chains.

Trust SSE #14 Decrease the Medical Incident rate

In 2025, the Group has developed a code of practice on machine safety, accident investigation, product stability, to reinforce the Safety Trust Standard.

Trust SSE #15

Reduce total number of safety recalls issued

In 2025, Schneider Electric has focused on correcting and preventing the reoccurrence of quality issues, seeing a substantial reduction in the number of safety-related product recalls to 5 in 2024, to 3 in 2025.

Equal SSE #19

Increase subscription in our yearly Worldwide Employee Share Ownership Plan (WESOP)

Schneider Electric's employee share ownership plan involved 63% of employees in 28 countries in 2025, exceeding the program ambition of 60% for the fifth consecutive year.

Generations SSE #23
Provide access to meaningful career development programs for employees during later stages of their career

93% of eligible employees benefited from the "Senior Talent Program" in 2025, which aims to recognize the unique expertise and value of employees nearing the end of their careers.

Trust SSE #16

Be in the top 25% in external ratings for Cybersecurity performance

Schneider Electric strives to be in the top 25% in external ratings for cybersecurity performance. In 2025, the Group scored in Advanced with an average of 798, ending the year with a score of 800, reflecting its ongoing efforts to benchmark its security practices against industry standards and continuously improve its cybersecurity posture.

Equal SSE #20

Pay our employees at least a living wage

100 % of Schneider employees receive at least a living wage, as certified by the expert consultant Fair Wage Network, which provides limited assurance to ensure compliance with this commitment year after year.

Generations SSE #24

Increase our employee engagement level

Measured through an annual survey on working conditions, Schneider Electric's employee engagement level rose to 75% in 2025, a 2-point increase compared to 2024 that meets the Group's ambition.

Trust SSE #17

Assess our suppliers under our 'Vigilance Program'

Schneider Electric assesses its suppliers as part of its Vigilance Plan to reduce the risks within its supply chain. In 2025, the Company exceeded its ambition of assessing 4,000 suppliers, with a total of 4,348 suppliers assessed.

Equal SSE #21

Multiply the number of employee-driven development interactions on the Open Talent Market

In 2024, the number of employee-driven development interactions increased by 2.7 compared to 2020 on Schneider Electric's career development platform, Open Talent Market.

Local SSE #25

Increase the number of volunteering days since 2017

In 2025, the number of employee volunteering days exceeded 93,000 cumulative days, surpassing by far the initial ambition of 70,000 days, in areas as diverse as education, training, and entrepreneurship in particular.

Equal SSE #18

Reduce pay gap for both females and males

For the third consecutive year, the Company has maintained its 2025 ambition to reduce the pay gap for both women and men below 1%.

Generations SSE #22

Support the digital upskilling of our employees

In 2025, 81% of Schneider Electric employees have completed a development program aimed at expanding their digital skills and accelerating the adoption and mastery of artificial intelligence.

Local sustainability commitments

As part of the 2021–2025 Schneider Sustainability Impact, Schneider promotes local initiatives and enables individuals and its partners to make sustainability a reality for everyone, everywhere.

100% of Schneider Electric's Country and Zone Presidents have defined local commitments that impact their communities in line with the Group's sustainability transformation, leading to the deployment of over 500 local programs since 2021. Here are a few examples of initiatives being implemented to drive local impactful changes.



Canada

Schneider Electric and Habitat for Humanity have partnered to provide construction kits for sustainable and energy-resilient homes in Canada. In 2025, 18 kits were shipped to help reduce household operating expenses and lower CO₂ emissions in homes.



Denmark

Schneider Electric's employees are contributing to preserve nature around their sites by volunteering in environmental clean-up initiatives. Biodiversity plans have been launched in Ringsted, Ballerup, and Kolding, resulting in 102 kg of trash collected in 2025.



Spain

In 2025, Schneider Electric in Spain donated 24,053 surplus units to schools and non-profits for training purpose through their local market place "CircularPlace", of which 20,000 went to schools and installer associations in response to the Valencia floods.



Chile, Peru and Bolivia

Schneider Electric empowers women in Chile, Peru, and Bolivia with training in energy management and electrical installation. In 2025, over 190 women have been trained to promote inclusion and diversity in the energy sector.



North East Africa and Levant

In 2025, Schneider Electric and local partners implemented projects to address food, energy, and water challenges across Jordan, Lebanon, and Egypt, reaching over 110,000 people through initiatives focused on water pumping, desalination, and agricultural water recycling.



Philippines

In the Philippines, Schneider Electric's employees reached over 431 youths across schools nationwide, through mentorship and equipment donations, while promoting sustainability and ESG awareness through dedicated events.



 Check our local commitments on www.se.com

Climate

Scaling up supply chain decarbonization

Schneider Electric reinforces collective action through updated tools, expanded suite of educational resources, and new multi-buyer consortia to procure renewable energy, helping over 2,700 suppliers cut their Scope 1 and 2 emissions since the launch of the programs.



Resources

Unlocking environmental data for sustainable designs

Schneider Electric has shared the Product Environmental Profiles for over 50,000 of its electrical products with "One Click LCA" platform, facilitating project life cycle assessments in the architecture, engineering and construction industry.



Trust

Forming a coalition for smarter energy demand

Schneider Electric and Bloomberg New Economy have launched the Energy Technology Coalition to accelerate the adoption of demand-side technologies, such as AI-enabled grid management and digital twins, to make energy use more efficient, resilient, and responsive.



Equal

Boosting rural energy resilience

In 2025, Schneider Electric continued scaling up its Climate Smart Village initiative in rural Jharkhand (India), in partnership with NGO PRADAN, leveraging solar energy and smart power management to improve local livelihoods.



Generations

Promoting excellence in sustainability for youth

Schneider Electric, together with its Foundation and Asia Society for Social Improvement and Sustainable Transformation, inaugurated a new Center of Excellence in Vietnam to equip students and educators with advanced skills in smart manufacturing, smart buildings, and renewable energy.



Local

Inspiring young innovators in the U.K.

Schneider Electric and the Tottenham Hotspur Foundation launched a program in Science, Technology, Engineering, and Mathematics (STEM) for 12 local primary schools to spark curiosity and build essential skills in areas like robotics, sustainable energy and e-mobility, supported by digital learning tools, mentoring, and practical sessions.



1.2 Corporate culture

1.2.1 People strategy and vision

1.2.1.1 Context

The world is transforming at an unprecedented speed and there is a greater need for us at Schneider Electric to play to the emerging opportunities. While Schneider Electric is known for its strong industrial base in energy management and automation, with its digital and software evolution it is now one of the largest industrial software tech companies.

In the next phase of its strategy, the Group aspires to be the Energy Technology Partner for customers across industries, businesses and homes, driving efficiency and sustainability for all. Its growth ambitions are supported by three megatrends: the new energy landscape, the acceleration of digitalization and AI, and the multi-polarization of the world.

These megatrends offer many opportunities for growth, especially in the ambiguous volatile environment Schneider Electric continues to operate, in an ever-evolving world. They not only have an impact on Schneider Electric's business and markets but also have a direct impact on people and the future of work.

1.2.1.2 Schneider Electric's culture

2025 was a pivotal year for Schneider Electric as the Group advanced its strategic program and accelerated cultural transformation. Its ambition is clear: to build a culture anchored in performance, simplicity, and speed, always with people at the center of everything that is undertaken. This cultural evolution strengthens Schneider's ability to deliver on its evolving company's purpose – to be the Energy Technology Partner for customers, electrifying, automating and digitalizing every industry, business and home, and driving efficiency and sustainability for all.

Culture is the foundation of how Schneider operates and succeeds. It defines how the Group leads, collaborates, and innovates. At Schneider Electric, every aspect of its work – from how it interacts with customers to how it makes decisions – is shaped by its shared IMPACT Values and Leader Code commitments.

IMPACT Values

Values anchor the way collaborators work at Schneider Electric and help bring its growth culture and Employee Value Proposition promise to life. Schneider's six IMPACT Values are derived from its ambitions, People Strategy, and the voice of its employees and customers:

- **Inclusion:** We embrace diverse perspectives, co-creating a place where everyone belongs and thrives.
- **Mastery:** We count on our expertise and know-how to deliver the highest quality innovations.
- **Purpose:** We aspire to build a sustainable future for our people, customers, communities, and planet.
- **Action:** We get things done with accountability, speed, and integrity, always with the customer in mind.
- **Curiosity:** We love to think deeply and differently, challenging the status quo and learning every day.
- **Teamwork:** We achieve together with our teams, collaborating with trust and openness.

Leadership

Schneider Electric's leaders play a critical role, as they are the architects of the Group's business and culture. They drive this transformation through the IMPACT Leader Code, which emphasizes inventing the future, delivering the mission together, and building great teams. By living these commitments, Schneider accelerates decisions, fosters collaboration, and delivers better and faster outcomes for its customers and stakeholders.



1.2.2 Responsible use of Artificial Intelligence (AI)

1.2.2.1 AI Principles

Schneider Electric's AI initiatives adhere to the ethical standards and compliance frameworks described in its **Trust Charter**.

Schneider Electric is dedicated to deploying trustworthy AI solutions by actively addressing environmental, ethical, societal, and technical dimensions - including sustainable impact, bias mitigation, robustness, transparency, and data protection.

As part of this commitment, Schneider Electric has developed a **Responsible AI (RAI) Strategy**, aligned with the **NIST AI Risk Management Framework**, centered on six guiding principles:

- **Sustainable AI:** The Company focus on the carbon footprint of the AI solutions it develops, prioritizing energy efficiency and long-term sustainability in its code and infrastructure.
- **Accuracy and Robustness:** The Company ensures its AI models provide reliable results, perform correctly for their intended purposes, and maintain resilience when handling real-world data.
- **Human-Centric and Fair:** The Company strive to design systems that are equitable and inclusive, implementing rigorous measures to mitigate bias in data and ensure fairness for all users.
- **Data Governance and Privacy:** The Company upholds the highest standards of data integrity, ethically managing the lifecycle of data used in AI while strictly adhering to compliance and legal obligations.
- **Transparency and Explainability:** The Company is committed to adopting AI that is explainable by design, ensuring users understand how and why decisions are made to the fullest extent feasible.
- **Accountability:** Aligned with its pillars of Integrity, Transparency and Resilience, Schneider Electric maintain clear human oversight and governance structures, ensuring unambiguous ownership of AI systems and the effective management of associated risks and cybersecurity exposure.

1.2.2.2 Eco-Efficient AI and Customer Impact

Schneider Electric also champions **Right-sized AI**, prioritizing the most energy-efficient models for any given task. By embedding these optimized solutions into its offers, the Group helps its customers:

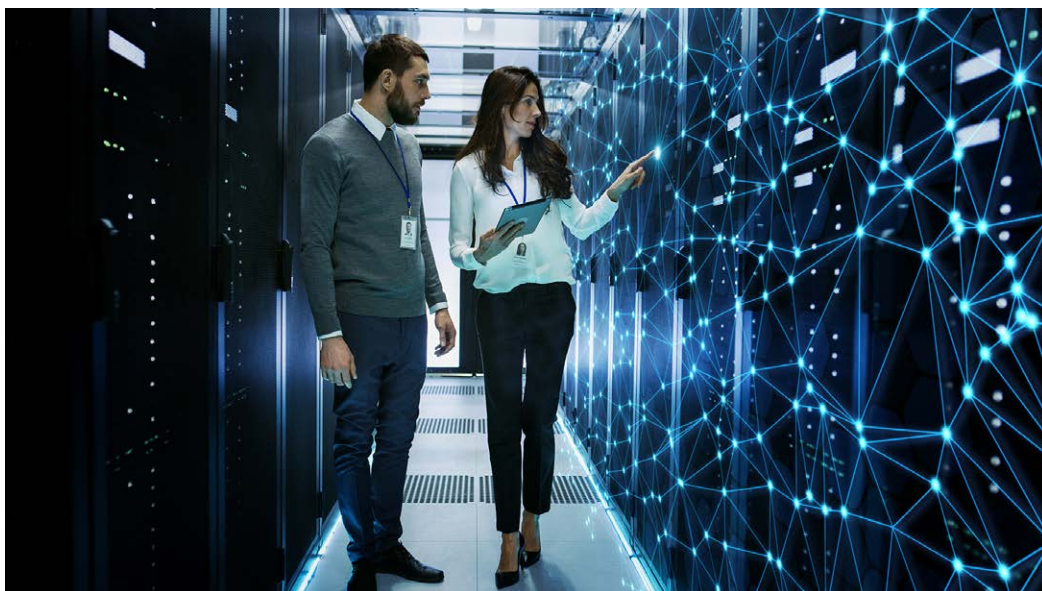
- **Reduce energy consumption** in operations (e.g., AI-enabled room controllers, AI in Activate offers).
- **Access cheaper, greener electricity** through demand/supply optimization (e.g., AI Home Energy Management System, AI microgrids).
- **Simplify and accelerate** electrification and process digitalization (e.g., PLC code generation, EcoCare+).

1.2.2.3 Responsible AI Governance

Schneider Electric has operationalized this strategy through a dedicated **Responsible AI policy and process**, embedded within its core governance for AI use cases, from ideation to production, and its enterprise risk management. This governance is overseen by a quarterly C-level Steering Committee.

1.2.2.4 AI for Empowerment

Schneider Electric views AI fluency as a core responsibility. In 2025, **100% of Schneider Electric employees completed the AI training that was part of the mandatory “SE Essentials” learning modules**, and more than 51,000 have proactively advanced their skills through additional specialized AI coursework.



1.3 Introducing Schneider Electric's 2030 sustainability ambition

1.3.1 A new sustainability chapter

As the 2021-2025 sustainability chapter has come to an end, the Group is setting out to announce the new set of 2030 sustainability targets.

Built in 2020 as a voluntary disclosure on the Group's sustainability transformation agenda, the current Schneider Sustainability Impact (SSI) cycle, has built its success on the following principles:

- **Commitment to sustainability in the long run:** Over the past 20 years, sustainability has been part of the Group's Company culture, as exemplified by the "Impact Company" model.
- **Robust sustainability transparency and performance:** Schneider Electric manages extra-financial performance with a commitment to transparency and traceability, disclosing the performance of each KPI on a quarterly basis, supported by consistent external assurance reviews.
- **Mobilization of the full Group ecosystem:** Schneider Electric has been exemplary in its own operations and brought everyone along, sharing its know-how, building leadership, and creating strong relationships with its ecosystems (suppliers, NGOs, local communities, etc.).

From rating agencies (CDP, DJSI, EcoVadis, etc.) to momentum with external press titles (TIME, Corporate Knights' Global 100), the 2021–2025 set of SSI ambitions has obtained substantial external recognition, solidifying Schneider Electric's leadership position on sustainability in its industry and beyond.

In a context of increasing geopolitical polarization, diverging sustainability policies, and greater uncertainty, Schneider Electric has evolved its sustainability ambition to remain relevant and effective over time.

This evolution builds on the **same disciplined approach** as previous cycles: focusing on measurable impact, prioritizing the areas where the Group can make the greatest difference, and accelerating where it matters most.

Several dimensions of the new ambition **further raise the level of ambition** compared with the previous cycle, reflecting the scale and urgency of today's challenges;

- By leveraging its expertise in electrification, automation, and digitalization, and through solutions deployed at scale and locally anchored in many communities, Schneider Electric aims to ensure that technology and innovation power progress for all, supporting economic development while addressing climate, resource, and social challenges.
- As pressure on energy systems, natural resources, and critical materials is expected to intensify, the Group's ambition emphasizes innovation and collaboration. The objective is to strengthen Schneider Electric's business model and ecosystem, enabling them to better absorb shocks and navigate an increasingly complex and less predictable environment, while differentiating with valuable sustainable outcomes for customers.
- Schneider Electric designs its sustainability approach as a collective one, bringing employees, customers, partners, suppliers, and the broader ecosystem along. This approach promotes shared responsibility, learning, and the ability to develop, share, and replicate solutions across regions and value chains.

Finally, this ambition is guided by a clear ethical compass, with "*doing the right thing*" embedded in business decisions and in the way they are implemented locally. Schneider Electric integrates environmental, social, and human considerations into its choices and trade-offs, taking into account local contexts and the impacts on the communities where the Group operates, while maintaining a long-term perspective grounded in planetary boundaries and responsible value creation.

1.3.2 2030 SSI pillars

The new set of SSI metrics will be organized around four pillars, in response to this context:

1. We electrify the world

The Group acts towards decarbonization and efficiency by continuously investing in breakthrough solutions. Schneider Electric leads the energy tech transition through electrification and digitalization, starting with the Group and scaling for all.

This includes the following commitments for 2030:

- **Efficiency Forward:** Schneider helps customers cut their emissions and optimize resources by delivering electrification and efficiency solutions at scale – accelerating the energy transition.
- **Towards Net-Zero:** Schneider wants to lead by example. By decarbonizing its operations and value chain, the Group turns promises into action and drives systemic change across its entire ecosystem.
- **School Of Energy Tech:** Technology is not enough. Schneider invests in people – building the skills needed to power a more electrified, fair and resilient world.

2. We reinvent our industry

The Group acts towards circularity and innovation by rethinking how it designs, sources and promotes. Schneider Electric engages and elevates its entire value chain – reshaping its ecosystem and setting new standards in its industry. This includes the following commitments for 2030:

- **Future-designed:** Schneider Electric rethinks technology, from every screw to full architectures, to set new industry standards for a low-carbon and circular future – leveraging digital traceability.
- **Industry catalyzer:** Schneider Electric partners with suppliers to cut emissions, source responsible materials, and uphold human rights and decent work – amplifying positive impact across the value chain.
- **Longer, Better:** Schneider Electric delivers circularity end-to-end by managing assets throughout their lifecycle – helping customers extend the life of products, improve efficiency, and unlock more value.

3. We unlock human potential

Schneider Electric acts towards equal opportunities by securing energy access for all and investing in people opportunities, opening the way to progress and shared prosperity. This includes the following commitments for 2030:

- **Inclusion for all:** Schneider Electric values diversity and provides equal opportunities for everyone to play a part in building a more sustainable and resilient future. Inclusion and experience fuel innovation, connect generations, and future-proof Schneider's business.
- **Power progress:** Schneider Electric brings clean, reliable electricity, and opens doors to education for underserved communities. From energy access to skills for a digital, sustainable world, Schneider helps people unlock opportunities for health, jobs, and growth.

4. We empower local communities

Schneider Electric acts towards action and care by investing in local ecosystems and amplifying grassroots voices. Schneider turns every site - from offices to factories - into a community anchor and an agent of change. This includes the following commitments:

- **Impact starts with us:** Schneider Electric empowers employees to be change makers in their communities and homes through volunteering and adoption of energy efficiency solutions. Schneider also creates workplaces that reflect the future it helps build – caring for people and protecting the surrounding ecosystem. When people and places thrive, impact spreads far beyond the Group's walls.

1.3.3 Performance management principles for 2030

The new set of KPIs will be managed according to the same principles as previous cycles, including quarterly performance publication, linked to short-term incentive plan compensation, and external audit assurance.

Sustainability Impact 2030

Advancing Energy Tech to power progress for all

We electrify the world

towards decarbonization

By continuously investing in breakthrough solutions, we lead the energy tech transition through electrification and digitalization. Starting with ourselves, scaling for all.



EFFICIENCY FORWARD

80%

Schneider Impact Revenues

1.5bn

MWh energy saved or electrified with our solutions, 2026-2030

100%

of applicable SE software deliver advanced energy and carbon insights for customers

TOWARDS NET-ZERO

-90%

reduction of Scopes 1&2 CO₂ emissions, absolute vs. 2017

-25%

reduction of Scope 3 CO₂ emissions, absolute vs. 2021

1.5Gt

CO₂ saved and avoided by customers with SE solutions, 2018-2030



SCHOOL OF ENERGY TECH

electrical experts trained to bridge the energy tech skill gap (in progress)

We reinvent our industry

towards innovation

By rethinking how we design, source and promote, we engage and elevate our entire value chain – reshaping our ecosystem and setting new standards in our industry.



FUTURE-DESIGNED

100%

of major offers in design demonstrate circular and environmental excellence

INDUSTRY CATALYZER

1,500

suppliers on a Zero Carbon Pathway to decarbonize the supply chain

100%

of strategic suppliers are engaged to implement advanced Decent Work practices

50%

of materials selected to provide superior environmental and social value

LONGER. BETTER

x2

growth of circular services for longer and better usage

We unlock human potential

towards equal opportunities

By securing energy access for all and investing in people opportunities, we open the way to progress and shared prosperity.



INCLUSION FOR ALL

100%

of senior talents engaged in their own development or the development of others

40%

of women in leadership*

POWER PROGRESS

100M

people with access to sustainable electricity to power progress

3M

people upskilled through educational programs, including those from vulnerable communities

We empower local communities

towards action and care

By investing in local ecosystems and amplifying grassroots voices, we turn every site – from offices to factories – into a community anchor and an agent of change.



IMPACT STARTS WITH US

>30%

of employees volunteering to be change agents, in their communities and homes

100

sites designed to care for people, nature and communities

* The gender balance metric is a global strategic ambition. It does not apply to territories that prohibit such ambition. The Schneider Electric policy is to always select the best candidate for any position based on skills, experience and potential (irrespective of their gender, age, origin, disability, appearance, etc.).

1.4 Key external frameworks and ESG ratings

External guidelines

United Nations Global Compact (UNGC) and Sustainable Development Goals (SDGs)

Parties signing the UNGC commit to ten fundamental principles in four areas: human rights, labor rights, the environment, and anti-corruption. By signing the UNGC in December 2002, Schneider Electric made a public commitment to these universal values. In line with the requirements of the UNGC, Schneider publishes an annual Communication on Progress and meets the requirements of the UNGC Advanced Level. Schneider Electric is committed to contributing to the 17 SDGs through its sustainability programs.

 Consult Schneider's latest Communication on Progress on the UNGC website www.unglobalcompact.org

International Organization for Standardization (ISO)

Schneider Electric has worked with its suppliers since 2012 to promote the adoption of ISO 26000 principles. Schneider also adopts other ISO guidelines or certifications: see ISO 14001, ISO 50001, ISO 9001, and ISO 45001 on page 214; ISO 27001 on page 188; ISO 14025 and ISO 14021 on page 98.

Global Reporting Initiative (GRI)

Schneider Electric has reported in accordance with the GRI Standards for the period from January 1 to December 31, 2025. The Board of Directors has reviewed and approved the reported information, including the organization's material ESG topics, under Disclosure 2-14 in GRI 2: General Disclosures 2021. A reference table with its indicators and those proposed by the GRI is available on the Schneider Electric website.

 Consult Schneider's GRI reports on the Sustainability Reports page on www.se.com

Sustainability Accounting Standards Board (SASB)

The SASB Foundation was founded in 2011 as a not-for-profit, independent standards-setting organization. Schneider Electric provides information in alignment with SASB reporting guidelines for its sector (Electrical and Electronic Equipment).

A correspondence table can be found from page 256.

 Consult Schneider's ESG reporting according to various external frameworks (Schneider Sustainability Disclosure Dashboard) on www.se.com

Task Force on Climate-related Financial Disclosures (TCFD)

In June 2017, the TCFD, a working group led by Michael Bloomberg under the G20 Financial Stability Board mandate, published its recommendations for companies' climate action disclosure. CEOs from more than 100 companies signed a statement of support for the TCFD recommendations and Schneider Electric's CEO was among them. Detailed information can be found in Schneider Electric's CDP Climate Change public disclosure from page 258.

Science Based Targets initiative (SBTi)

Science-based targets specify how much and how quickly companies need to reduce greenhouse gas emissions in order to avoid a 1.5°C or 2°C global temperature increase, compared to pre-industrial levels. Schneider Electric is part of the 6,000+ companies globally that have committed to reduce GHG emissions in alignment with prevailing climate science through targets approved by the SBTi. The Group's GHG footprint is calculated following the World Resources Institute Greenhouse Gas Protocol. The Group's Net-Zero commitment was validated with the Corporate Net-Zero Standard in 2022. For more details, please see section "2.2.1.4 Actions related to climate change adaptation, mitigation, and energy" p.67.

Organisation for Economic Co-operation and Development (OECD)

The OECD is an international organization that works to build better policies for better lives. Schneider Electric is aligned with the OECD Guidelines for Multinational Enterprises. Schneider Electric signed the OECD Convention on Combating Bribery of Foreign Public Officials in International Business Transactions, and established a "Conflict Minerals Compliance program" based on the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas.

International Labour Organization (ILO)

Schneider Electric is a member of the ILO Global Business and Disability Network and adheres to the principles of the ILO Declaration on Fundamental Principles and Rights at Work. The Group's Trust Charter was inspired in part by the standards issued by the ILO.

ESG ratings and awards

CDP Climate Change A List

In 2025, Schneider Electric once again made it onto CDP's Climate Change A list (top 4% of the 22,000+ companies assessed by CDP), and was the only company in its sector to achieve this 15 years running.

Corporate Sustainability Assessment

Schneider Electric scored 85/100 on S&P Global's Corporate Sustainability Assessment in 2025, ranking 2nd in its industry. The Group remains included in both the DJSI World and DJSI Europe indices until April 2026, when the results of the new DJBIC (formerly DJSI) Index inclusion will be announced.

EcoVadis Platinum medal

In November 2025, Schneider Electric achieved the highest level with a rating of 87/100 and obtained a Platinum medal (top 1% of all companies assessed) for the sixth consecutive year.

FTSE4Good

Schneider Electric remains included in FTSE4Good Developed, FTSE4Good Europe, FTSE Environmental Opportunities, and FTSE EO Energy Efficiency indices in 2025.

Global 100 Most Sustainable Corporations

The Company has been included in Corporate Knights' Global 100 World's Most Sustainable Corporations for over a decade, ranking 40th in January 2026. The Company is also the only one ever to have ranked first twice, in 2021 and 2025. Schneider Electric also ranked 1st in the Europe 50 Most Sustainable Corporations in June 2025.

ISS

In 2025, Schneider Electric is at Prime level on ISS-ESG with an absolute B rating, the best rating in its industry (Electric Components) out of 220 companies.

MSCI ESG Rating industry leader

Schneider Electric has been at AAA grade since 2011, an industry leader and a member of the World ESG Selection, the World Low Carbon Selection and the World Climate Paris Aligned indices.

Sustainalytics leader

As of September 2025, Schneider Electric was recognized as an Industry Top-Rated ESG Performer, ranking 1st out of 304 companies in its industry group with a 7.1 risk rating (Negligible Risk), thereby confirming its inclusion in Euronext Sustainable World 120 and Sustainable Europe 120 indices, as well as in STOXX Environmental Leaders, Social Leaders and Governance Leaders indices.

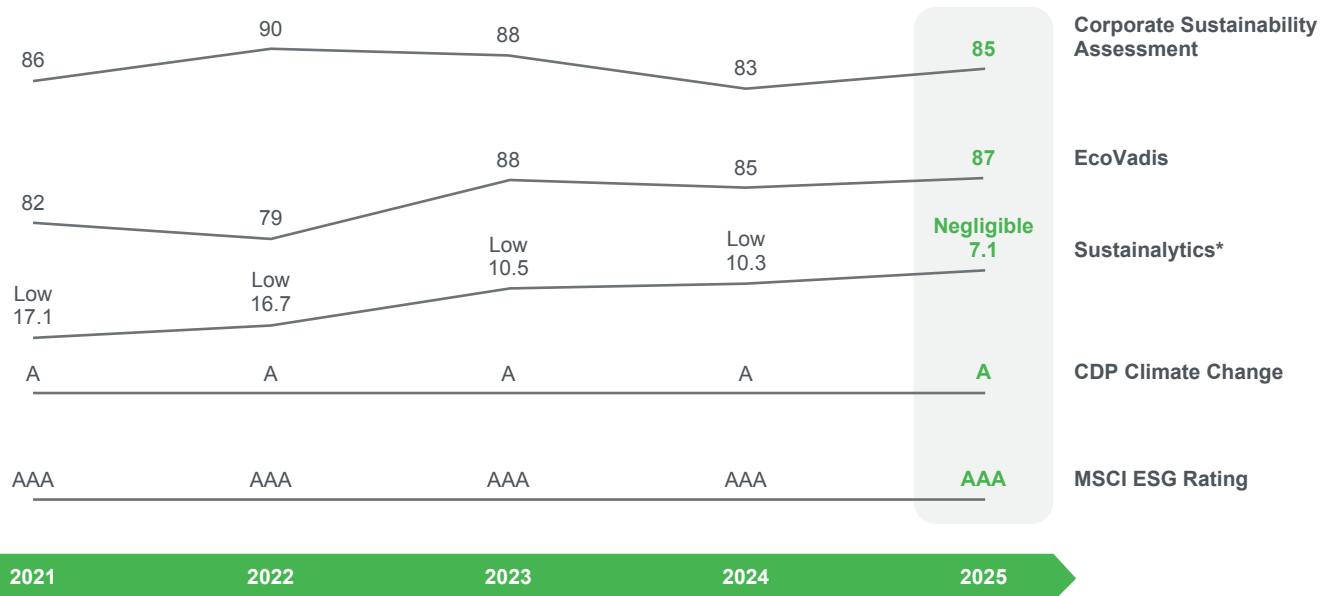
TIME's World's Most Sustainable Companies

Schneider Electric ranked 1st in the TIME magazine and Statista's World's Most Sustainable Companies for 2025, for the second consecutive year. The Group was also recognized as TIME100 Most Influential Companies 2025 with an Impact Award – Impact in Sustainability.

Terra Carta Seal

In 2023, the Group was one of 19 companies awarded the Terra Carta Seal, which recognizes global companies who drive innovation and demonstrate their commitment to the creation of genuinely sustainable markets.

A continued high performance in ESG ratings over the past five years



* A lower score means lower ESG risks on Sustainalytics.

1. Sustainability vision

Other awards in 2025

World Economic Forum

World Economic Forum has recognized 12 of Schneider Electric's sites as lighthouses in the Global Lighthouse Network – a collaborative platform showcasing manufacturers that lead in deploying Fourth Industrial Revolution (4IR) technologies at scale to deliver transformative financial, operational, and sustainability improvements across factories, value chains, and business models. Additionally, the Group counts 5 Global Sustainability Lighthouses among the 27 identified worldwide by the World Economic Forum.

Forum pour l'Investissement Responsable (FIR)

Schneider Electric has been awarded the Best Vigilance Plan Award 2025 by FIR for its strong vigilance governance, effective whistleblowing system, and active stakeholder engagement.

Climate

Carbon Clean 200 list

Schneider Electric has consistently been included in Corporate Knights' Carbon Clean 200 list since ranking began in 2016, for its revenue devoted to energy transition. In February 2025, the Group ranked 8th worldwide.

Supply Chain

Gartner 2025 Supply Chain Top 25

Schneider Electric ranked 1st in 2025 in the Gartner Supply Chain Top 25 for the third year in a row, and 1st in the Europe Top 15 for the sixth consecutive year, recognizing the exemplary management of its value chain.

Social

World Benchmarking Alliance (WBA)

In 2025, Schneider Electric ranked 1st out of 2,000 companies in WBA's Social Benchmark and 3rd in their Gender Benchmark, demonstrating leading performance in decent work, ethics, representation, compensation & benefits, and the prevention of violence & harassment.

Schneider Electric was also one of only nine companies out of 1,600 globally to receive an 'A' score under WBA's ACT Core methodology, recognizing its ability to effectively deliver on its carbon transition.

Workforce Disclosure Initiative (WDI)

In February 2025, Schneider obtained a disclosure score of 78%, above the industry average of 62%, in the investor-backed WDI survey, which aims to improve corporate transparency and accountability on workforce issues.

Equileap Global Gender Equality Ranking

In March 2025, Schneider Electric ranked 79th globally out of 3,547 publicly listed companies assessed based on 19 gender equality criteria, including gender balance from the board to the workforce, as well as the pay gap and policies relating to parental leave and sexual harassment, among other topics.

Financial Times Diversity Leader

In October 2025, the Group was recognized as a Diversity Leader by the Financial Times in their Europe's Diversity Leaders 2026 rankings, for the seventh year in a row, ranking 3rd among 800 companies and 1st in its industry.

Best Place to Work for Disability Inclusion

In 2025, Schneider Electric achieved a top score on the Disability Equality Index (DEI), recognized as a "Best Place to Work for Disability Inclusion".

Ethics and Governance

Ethisphere

In March 2025, Schneider Electric was again recognized as one of the World's Most Ethical Companies by Ethisphere, a global leader in defining and advancing the standards of ethical business practices.

Grand Prix de la Transparence

In 2025, Schneider Electric received a Transparency Award in "Information ESG", and was included in the Top 20 most transparent companies, ranking 2nd out of 120 French companies.

Employer awards

Fortune's World's Most Admired Companies

In 2025, Schneider Electric was recognized by Fortune as one of the "World's Most Admired Companies" for the seventh consecutive year, ranking 3rd in the electronics industry sector.

Forbes World's Best Employers 2025

Schneider Electric was included in Forbes World's Best Employers 2025 ranking, ranked 80th out of 900 companies.

Glassdoor

Schneider Electric received a score of 4.2/5 from Glassdoor as of January 2026. Based on more than 20,000 reviews, 87% of surveyed participants would recommend the Group to a friend, and 92% approve of the CEO.

2. Sustainability statements | CSRD

As an impact-driven company and an energy technology leader, Schneider Electric aims to deliver strong performance contributing positively across environmental, social, and governance dimensions. The Corporate Sustainability Reporting Directive (CSRD) represents a significant evolution in sustainability disclosures, and complements the long-standing Schneider Sustainability Impact (SSI), which has guided the Group's sustainability performance management for more than a decade.

Since 2024, Schneider Electric took a further step in transparency by reporting in line with the EU Corporate Sustainability Reporting Directive (CSRD) and the European Sustainability Reporting Standards (ESRS). This report provides a deeper understanding of how sustainability is embedded in Schneider Electric strategy, operations, and long-term value creation model.

Delivering robust and comparable sustainability information relies on strong data governance. Over the past years, the Group enhanced its internal processes, strengthened cross-functional collaboration, and invested in improved systems to ensure the quality, completeness, and traceability of the data presented.

These efforts reflect the Group's broader objective: to continuously elevate the transparency and integrity of its reporting.

This report describes how Schneider Electric identifies and manages its material sustainability topics, including decarbonization, circularity, resource efficiency, human rights, working conditions, responsible supply chain practices, and trust, among others. It also outlines how sustainability is embedded within the Group's value-creation model, risk-management processes, and long-term strategic planning.

Summary overview

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2.1.3	Basis for preparation	54	2.4.1	Zero tolerance for corruption	177
2.2	Environmental information ESRS E1, E2, E5	56	2.4.2	Supplier Relationship Management and late payment prevention	181
2.2.1	Leading on decarbonization ESRS E1	57	2.4.3	Cybersecurity	188
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2.1 General information | ESRS 2



In this section

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Introduction

Comprehensive sustainability disclosures are a central component of Schneider Electric's strategy, reflecting the Group's commitment to transparency and long-term value creation. Since 2024, this ambition has been further reinforced through the application of the EU Corporate Sustainability Reporting Directive (CSRD) and the European Sustainability Reporting Standards (ESRS). The continuous enhancement of data quality, completeness, and clarity remains a priority, supporting the Group's ambition to drive meaningful impact and contribute to a just energy transition powered by electrification, energy efficiency, automation, and digital innovation.

In line with ESRS 2, this section provides core contextual information and is structured into three subsections:

- 1. Overview, governance, and strategy** – covering the business model, sustainability governance, and business conduct mechanisms.
- 2. Double materiality assessment** – outlining key impacts, risks, and opportunities.
- 3. Basis for preparation** – describing reporting scope and applied principles.

2025 highlights

100+

Countries where the Group operates

99%

Of employees trained on the Trust Charter in 2025

19

Material sustainability matters

44

Material impact, risks, and opportunities (IROs)

2. Sustainability statements

2.1.1 Schneider Electric overview, governance, and strategy

2.1.1.1 Schneider Electric's activities and business model

Schneider Electric offers a portfolio supporting a sustainable future, with expertise in electrification, automation, and digitalization. It operates across four end markets: Data center and Networks, Buildings, Industry, Infrastructure. Supported by 159,844 employees, the Group helps clients achieve efficiency and sustainability. In 2025, revenue reached EUR 40.152 billion.



Read more about Schneider Electric's business model in the Integrated Report, on **page 10** of the 2025 Universal Registration Document.

Schneider Electric's strategic focus on electrification, automation, and digitalization closely aligns its business strategy with sustainability. The Group aims to generate a positive impact on the planet and on society as a whole by fostering fair and sustainable growth. At the same time, Schneider Electric faces both opportunities and risks related to its influence across its extended value chain, its reliance on resources, and its need for a diverse and highly skilled workforce. With presence in over 100 countries encompassing diverse standards, values, and practices, the Group is committed to behaving responsibly in relation to all its stakeholders and extending its duty beyond compliance with local and international regulations. Defined sustainability goals cover a variety of scopes, from global programs to targeted local objectives. The Schneider Sustainability Impact (SSI) and Schneider Sustainability Essentials (SSE) define targets and measure performance in critical areas of focus⁽¹⁾, while local sustainability commitments deploy objectives and actions at national and regional level in the 100+ markets where the Group operates.



Read more about Schneider Electric's sustainability targets in section 1.1.2 on **pages 12 and 13**.

Schneider Electric is committed to open communication with its value chain and uses feedback to analyze its market and define areas of progress, aiming to boost its positive impact by promoting sustainable growth that is shared with all its stakeholders. Building long-term partnerships with a wide range of global and local players, Schneider Electric works directly with many types of suppliers, contractors, and end-customers, and is developing the industry's largest network of distributors.

In terms of supply chain, the Group has developed an agile and secure supply base that is almost evenly distributed across the world. Material extraction activities provide the necessary raw

materials to a large range of suppliers located in more than 100 geographies which Schneider Electric relies on to process, transform, and manufacture metals, electronics, and plastics into components. This supply base represents a combination of mature companies operating on a global scale, from small and medium scale enterprises serving local or niche markets and categories which require simple assembly, to complex manufacturing activities.

The Group's key activities are structured around its two main businesses: Energy Management and Industrial Automation, each of which has assets in multiple locations around the world.

Schneider Electric manufactures and delivers its solutions directly to end-users or via distributors and other downstream partners like panel builders and system integrators. In many cases, products and services are combined into systems by involving additional parties before being commissioned. Schneider Electric executes these projects through two alternative options: either selling components to channel partners who build and deliver the system or building the system directly for the end-customer, frequently involving project contractors.

As part of its value chain, the Company interacts with multiple external stakeholders in the ecosystem including business partners, key local and international associations, organizations, local communities, and institutional and technical bodies, aiming to support the implementation of sustainability in society at large.



For more details on Schneider Electric's value chain, please refer to the figure on **page 52**.

As a result, Schneider Electric's portfolio delivers high environmental performance products, software, and services, such as electrification and digitalization solutions, energy-efficiency systems, sustainability consulting services, and renewable energy procurement. These products, software, and services help customers decarbonize and reduce their environmental footprint, contributing to the Group's sustainability-related goals by advancing saved and avoided emissions, and generating Impact revenues.

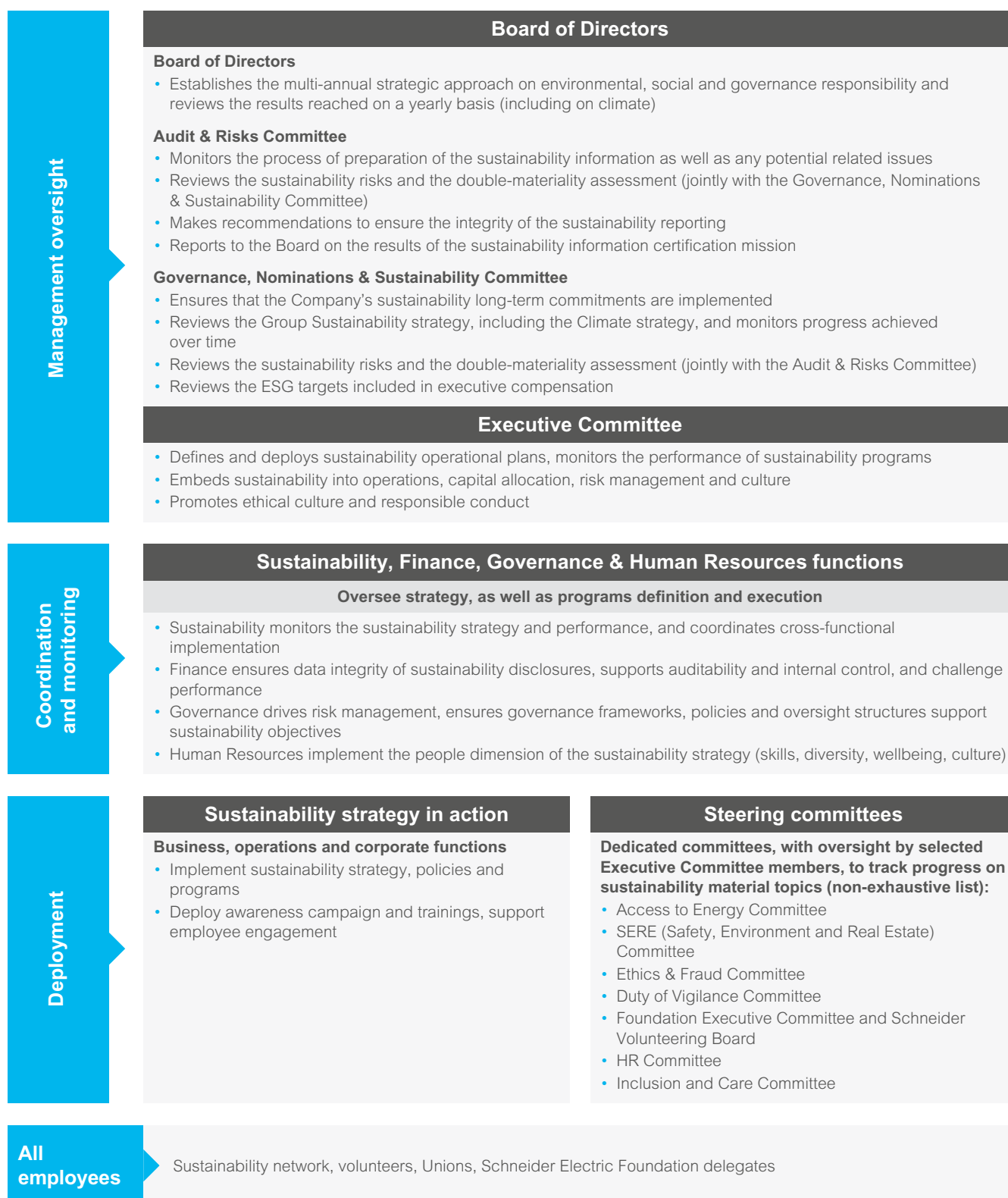


For more details about Schneider Electric's business model and its relation to sustainability matters, please refer to **Our business model**, on **page 10** of the 2025 Universal Registration Document; significant product families on **page 57**, and **pages 64 to 70** for markets and customer groups.

(1) The entity scope of the SSI and SSE programs is more limited than the reporting perimeter required for the sustainability statements under the CSRD. These programs are part of the Group's 2021-2025 strategy and are therefore independent from the double materiality assessment conducted as part of the application of the ESRS standards and the CSRD starting 2024. Read more details about the scope of SSI and SSE in section 4.1 on page **244**.

2.1.1.2 Integrated and transverse governance of sustainable development

Sustainability governance at Schneider Electric



2. Sustainability statements

Board of Directors

As of December 31, 2025, the Company's governance structure consists of:

- (i) a Board of Directors composed of 15 non-executive members and 1 Observer;
- (ii) one executive Corporate Officer, the Chief Executive Officer, who is not a member of the Board of Directors; and
- (iii) an Executive Committee.

The percentage of independent Board members was 73.2%⁽¹⁾.

As of December 31, 2025, the diversity of the Board members was as follows:

	Women	Men		
By gender	49.6% ⁽²⁾	50.4%		
	<30	30 to 50	50+	
By age	0.0%	16.5%	83.5%	
	Western Europe	Asia Pacific	North America	Rest of the World
By regional nationality	64.0%	12.4%	23.6%	0.0%

The Board of Directors reviews, in relation to the strategy it has defined, the opportunities and risks, such as financial, legal, operational, social, and environmental risks, as well as the measures taken accordingly, and to that end receives all information necessary to fulfill its remit, especially from the Chief Executive Officer.

The Audit & Risks and the Governance, Nominations & Sustainability Committees report systematically to the Board on all their work including impacts, risks, and opportunities on sustainability matters. They prepare the Board of Directors' decisions in these domains. In 2025, the whole Board was provided with three sustainability updates by the Governance, Nominations & Sustainability Committee and the Audit & Risks Committee.

Therefore, material impacts, risks, and opportunities are fully integrated in the decision-making process of the Board of Directors and systematically taken into consideration. The Strategy session of the Board of Directors deals with a thorough annual review of the strategy, including material impacts, risks, and opportunities.

 The Audit & Risk Committee validated the results of the double materiality assessment along with its list of material impacts, risk, and opportunities found in **2.1.2 Double materiality assessment: main sustainability impacts, risks and opportunities.**

In addition, the Chief Executive Officer reports quarterly to the Board during his business update on the progress made by the Group in its sustainability journey, notably on the results of the SSI.

The Chief Executive Officer regularly reports to the Board of Directors in the context of the business update presented at each Board of Directors meeting. Several Executive Committee members including the Chief Financial Officer, the Chief Sustainability Officer and the Chief Governance Officer also report regularly to the Board and the Audit & Risks and Governance, Nominations & Sustainability Committees. To that end, the Chief Executive Officer relies internally on:

- The Executive Committee composed of 15 members (with the CEO) which reviews regularly the progress made by the Company on sustainability matters;
- The Function Committee, composed of the Executive Committee members in charge of key functions: Governance, Human Resources, Strategy, Sustainability, Finance, and Digital;
- The Group Sustainability department, in charge of Schneider Electric's sustainability strategy and rollout of action plans at Group level with relevant entities, being the central point of contact for internal and external stakeholders regarding sustainability at Schneider Electric; and
- The Sustainability Reporting Finance Department, which integrates sustainability targets into the performance review process and ensures the integrity of related data.

 More information about...

Member's experience relevant to sectors, products and geographic locations of the Company	4.1.1.2
Composition of the Board of Directors	4.1.1.1
Employee representation within the Board or Directors	4.1.1.4
Roles and duties of the Board of Directors	4.1.2.1.1
Composition and responsibilities of the Audit & Risks Committee	4.1.3.1
Composition and responsibilities of the Governance, Nominations & Sustainability Committee	4.1.3.2
Roles and duties of each body as defined in the internal regulations of the Board of Directors	4.1.5

Section in Chapter 4 of the 2025 Universal Registration Document.

(1) This percentage corresponds to a weighted average ratio of independent members to all Board members. It differs from the ratio disclosed in **section 4.1.1.1** of Chapter 4 of the 2025 Universal Registration Document, which is calculated on the basis of a number of Board members excluding the employee representatives and the employee shareholder representative in accordance with the provisions of the AFEP-MEDEF Corporate Governance Code, *i.e.*, 12 Board members.

(2) This percentage corresponds to a weighted average ratio of female to male Board members. It differs from the gender ratio disclosed in **section 4.1.1.1** of Chapter 4 of the 2025 Universal registration Document, which is calculated on the basis of a number of Board members excluding the employee representatives in accordance with the provisions of the French commercial Code, *i.e.* 13 Board members.

Audit & Risks Committee

The Risk Management Vice President reports to the Chief Governance Officer.

The Internal Control department reports to the Group Chief Accounting Officer who reports to the Chief Financial Officer.

The Chief Internal Audit Officer reports to the Chief Governance Officer. Nevertheless, the Chief Internal Audit Officer has direct access to the Chairwoman of the Audit & Risks Committee and meets with her on a regular basis throughout the year.

The Chief Financial Officer, the Chief Sustainability Officer, and the Chief Governance Officer who are Executive Committee members, report to the Chief Executive Officer. Each of them has direct access to the Audit & Risks Committee and meets with its Chairwoman on a regular basis throughout the year. They also have direct access to the Board of Directors and meet with its Chairman on a regular basis throughout the year.

In 2023, Schneider Electric started to perform its double materiality assessment. This assessment involves the collaboration of various teams, especially the Sustainability team, the Group Risk Management function, and the Duty of Vigilance Committee.

As part of its responsibilities relating to the following-up on the efficiency of internal control and risk management systems, at least once a year, the Audit & Risks Committee reviews Enterprise Risk Management reports including operational risk-mapping and makes sure that measures exist for preventing or minimizing risks.

Material impacts, risks, and opportunities across the value chain are reviewed and approved by the Audit & Risks Committee. A joint session is also organized with the Governance, Nominations & Sustainability Committee to review Corporate Sustainability Reporting (CSR) risks.

Based on this assessment and in close collaboration with Risk Overseers and the Group Risk Management team, the Internal Control function uses a risk-based approach to define the key controls needed and linked to material impacts, risks and opportunities. Those key controls are embedded in the processes and used to monitor the risks identified.

In accordance with professional standards governing this activity, Internal Audit independently assesses the effectiveness of governance, risk management, and internal control. After each internal audit, a report is issued setting out the auditors' findings and recommendations for the business unit, global function, or operational entity audited. Additionally, the reports are also shared with Senior Management and the Audit & Risks Committee.

Governance, Nominations & Sustainability Committee

The Governance, Nominations & Sustainability Committee:

- Ensures that the long-term commitments in terms of sustainability undertaken by the Company are implemented;
- Reviews the Group sustainability strategy including the climate strategy and follow up on the progress made on a regular basis; and
- Reviews the sustainability risks jointly with the Audit & Risks Committee.

The Governance, Nominations & Sustainability Committee reports on its work to the Board of Directors which approves the sustainability strategy and the SSI.

The results of the SSI are published every quarter together with financial results. On these occasions, results are consolidated and, when needed, submitted to the Function Committee, which decides on any corrective measures necessary to stay on track with objectives. The Governance, Nominations & Sustainability Committee within the Board of Directors conducts an annual review of the Group's sustainability strategy, analyzing, in particular, the performance of the SSI. The results are also publicly presented to shareholders by Schneider Electric's Chief Executive Officer or Chief Financial Officer.



Disclosure of how the Board of Directors determines whether appropriate skills and expertise are available or will be developed to oversee sustainability matters is available in **section 4.1.1.4 of Chapter 4** of the 2025 Universal Registration Document.

Directors with ESG skills

Directors' sustainability skills are assessed on the basis of their respective training, experience, and contribution, every year during the Board of Directors' self-assessment which includes an assessment of the individual contribution of each member.

In addition, Board members' knowledge of sustainability issues is kept up to date through specific training sessions and presentations organized throughout the year at meetings of the Board of Directors and its committees, as well as at the annual Strategy session.

2. Sustainability statements

As of December 31, 2025, nine directors, namely Mr. Jean-Pascal Tricoire, Mrs. Giulia Chierchia, Mrs. Clotilde Delbos, Mr. Fred Kindle, Mr. Philippe Knoche, Mrs. Linda Knoll, Mrs. Anna Ohlsson Leijon, Mr. Anders Runevad, Mr. Lip-Bu Tan, and Mrs. Ellyn Shook, as an observer, serve Schneider Electric as regards its strategic needs and sustainability challenges. The split by skills is as follows:

Type of skills	Number of Directors
Environmental	4
Social	6 (+ 1 Observer)
Governance	6
Total with ESG skills	9 (+ 1 Observer)

⊕ For details relating to Directors' respective biographies and skills, please refer to **sections 4.1.1.2 Biographies of the Chief Executive Officer and Board members** and **4.1.1.4 Skills and diversity**, sub-section "Skills within the Board of Directors", of Chapter 4 of the 2025 Universal Registration Document.

Remuneration

There is no incentive scheme for members of the Board of Directors, who only receive a fixed base amount and a fee depending on attendance at Board and committee meetings.

The details provided below relating to incentives schemes and remuneration policies linked to sustainability matters concern the Chief Executive Officer and exclude the members of the Board of Directors.

Specific sustainability-related targets are included in the two kinds of incentive schemes used to assess the performance of the Chief Executive Officer:

- 20% of the Short-Term Incentive Plan (STIP) depends on the Schneider Sustainability Impact (SSI) score achieved at the end of the financial year, promoting the continuous progress towards more sustainability and value for customers; and
- 25% of the performance conditions applicable to the Long-Term Incentive Plan (LTIP) depends on carbon emission reduction targets aiming at linking the Chief Executive Officer's compensation with Schneider Electric's greenhouse gas (GHG) reduction targets.

⊕ For key characteristics of the STIP and LTIP for the Chief Executive Officer please see **section 4.2.3.1.2** of the 2025 Universal Registration Document, relating to the compensation policy of the Chief Executive Officer.

Sustainability-related performance metrics are included in remuneration policies. They demonstrate how important sustainability issues are for Schneider Electric and they are aligned with its strategic priorities.

For the Chief Executive Officer, the percentage of his annual variable remuneration dependent on sustainability-related targets is 20%. This differs from the value disclosed in section **2.2.1.1 Climate-related incentives**, as that section focuses exclusively on greenhouse gas (GHG) reduction related incentives, whereas the present section covers broader sustainability considerations.

The Board of Directors sets annually the SSI targets to be achieved in the context of the incentive schemes based on the recommendations of the Human Capital & Remunerations Committee and annually reviews the performance achievements.

⊕ For the Board of Directors, see **sections 4.1.2.1.1 Roles and duties of the Board of Directors** and **4.1.2.1.2 Roles and duties of the Chairman of the Board** of Chapter 4 of the 2025 Universal Registration Document.

⊕ For the Human Capital & Remunerations Committee, see **section 4.1.3.3 Human Capital & Remunerations Committee** of Chapter 4 of the 2025 Universal Registration Document.

2.1.1.3 Trust with stakeholders

Trust and business conduct governance

Context

Trust is a foundational value, core to Schneider Electric's environmental, social, and governance (ESG) commitments.

Schneider Electric has earned the trust of stakeholders through its quality products, sustainability commitments, and business integrity. Trust powers interactions with customers, shareholders, employees, and communities. It is manifested through trusted teams, customer/partner relationships, investor trust, and community engagement. Leaders set the tone and exemplify the Trust culture, prioritizing equality, well-being, and safety. Schneider Electric upholds high standards in cybersecurity, anti-corruption, fair competition, and responsible supplier management, and remains mindful of the responsibility to prevent insider trading, deliver accurate financial statements, and protect intellectual property. The Company acts for a climate-positive world, efficient resource use, and responsible citizenship.

Governance

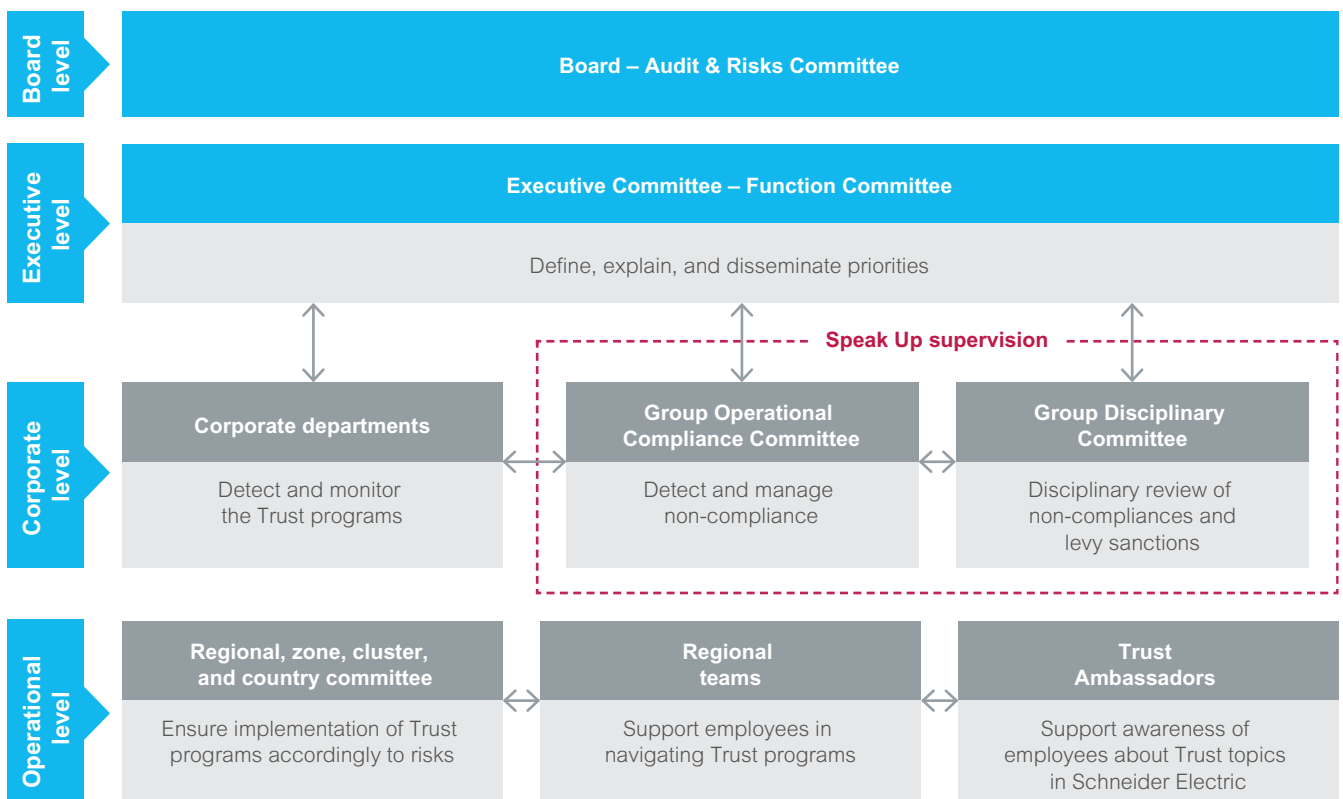
The Trust programs are managed through a dedicated governance framework:

Board level: Schneider Electric's Board of Directors oversees the maturity level and effectiveness of the governance and organization, risk management systems, processes and controls, and communication and training through the Audit & Risks Committee.

Executive level: Schneider Electric's Executive Committee decides the Trust agenda, acts as a sounding board for corporate departments in charge of Trust topics, and coordinates highly transversal programs such as the SSI. On a yearly basis, members of the Board of Directors and the Executive Committee mandatorily attend the Audit & Risks Committee, which includes risk management education, including on Trust-related matters.

Corporate level: Schneider Electric has created a standalone Ethics & Compliance department, chaired by the Chief Compliance Officer, and reporting to the Chief Governance Officer & Secretary General, to drive the strategy of the Ethics & Compliance program. The department works closely with the Legal, Human Resources, Finance, Digital, Strategy, Quality, and Sustainability departments, as well as Internal Control and Internal Audit; which are directly responsible for managing certain specific risks.

Operational level: Regional committees ensure implementation of the Trust programs (such as regional Ethics & Compliance Committees for the Ethics & Compliance program) in alignment with risks identified.



Read more about the Whistleblowing Policy and grievance mechanisms on [page 40](#).

Trust Charter, Schneider Electric's Code of Conduct

The Trust Charter (available in more than 40 languages on Schneider Electric's website), acts as the Group's Code of Conduct and demonstrates the Group's commitment to ethics, safety, sustainability, quality, and cybersecurity. It powers all the interactions with stakeholders and all relationships with customers, shareholders, employees, and the communities Schneider Electric serves, in a meaningful, inclusive, and positive way. It serves as a compass, showing the true north in an ever more complex world. Trust is a foundational value of Schneider Electric, and it is core to its ESG commitments.

Schneider Electric developed the Trust Charter, owned by the Group Risk Management team, with the support of various internal teams including Governance, Customer Satisfaction & Quality, Sustainability, Global Human Resources, Global Supply Chain, Global Finance, Global Marketing, and Corporate Citizenship. This document is made available to stakeholders through Schneider Electric's website and is referenced within contractual relationships.

All Schneider Electric employees are expected to comply with Schneider Electric's Trust programs. They are based on management commitment which makes its pillars effective and on risk assessment which assists decision making, determining the risks to be treated and the priority to implement the treatment.

Through its Trust programs, Schneider Electric aims to prevent, detect, and mitigate integrity risks including corruption, fraud, violation of human rights, health and safety, responsible workplace (including discrimination, harassment, and sexual harassment), anti-competitive practices, sanctions and export control, tax law, quality, cybersecurity, as well as data privacy and protection. The program design and operation are influenced by the Group's risk profile, business model, organizational structure, and culture.

Each section of the Trust Charter states clear Dos and Don'ts and provides clear references to relevant policies and procedures, which are adapted to meet local legal requirements when necessary. This Code of Conduct applies to everyone working at Schneider Electric or any of Schneider Electric's subsidiaries. It is both an individual and collective responsibility to comply and respect laws and regulations, to apply Schneider Electric policies, and to uphold strong ethical principles to earn trust at all times.

 Discover Schneider Electric's Trust Charter on www.se.com



Actions and resources

Management commitment

Rules and policies alone do not suffice. Management sets the Company standards and promotes a culture of integrity and a "Speak Up" mindset. Leadership at every level of the organization was involved in the design, creation, and deployment of the Trust Charter to ensure that everyone at Schneider Electric is aware of the importance of trust and understands how to get the most out of the Group's Code of Conduct.

Top management regularly expressed its commitment through statements and extensive communication (called "tone from the top"), such as Trust Moments throughout the year. In particular, the culture of speaking up was supported by Schneider Electric's Chief Compliance Officer in a video in which he notably reminded colleagues of the importance of maintaining an ethical workplace. The integrity is also expressed by middle- and first-line management (called "tone from the middle") by spreading the right message in their teams and supporting reporting of misconduct.

Management commitment is evidenced by the participation of Schneider Electric's Chairman who sits on the global Board of the United Nations Global Compact. Schneider Electric also works with other companies and stakeholders to build integrity and common standards. The Group participates in the initiatives of many non-governmental organizations (NGOs) and professional associations, such as Transparency International France, *Le Cercle d'Éthique des Affaires* (The Ethical Business Circle), the International Deontology & Compliance Committee of the *Mouvement des Entreprises de France* (Movement of the Enterprises of France), and the Anti-Corruption Committee of Business at OECD.

 Read more on the Whistleblowing Policy and grievance mechanisms on [page 40](#).

Awareness

Internal communication provides employees with essential baseline information on Schneider Electric's integrity commitment while also raising awareness and understanding of the Trust programs. To do this, the Group created a dedicated intranet page: the Trust Portal, which gives access to resources (policies, useful contacts, sites, guidelines, templates, etc.) to all employees when they face situations in which they need support. The portal aims at giving employees the confidence to alert any unethical behavior they witness and stay informed of new Trust programs or policies. Schneider Electric also regularly distributes videos and other communication assets on integrity-related subjects to its employees.

In 2025, Trust Moments, a global internal communications initiative, brought the pillars of Trust together into multiple events. The campaign included several global live webinars, articles, and videos alongside additional local events, aligned to the Group's pillars of integrity, transparency, and resilience. The events drew thousands of employees across the globe. By providing access to a range of activities targeted toward all employees, the Group saw a remarkable level of engagement and influence. In addition, Schneider Electric fostered a Speak Up mindset throughout the year, especially through additional live webinars, global intranet articles, and awareness sessions. The Trust Portal recorded 11,598 unique views, and over 16,000 downloads of the Trust Charter were noted on the Group's website. These figures reflect the interest not only from employees but also from all of the Group's stakeholders.



2. Sustainability statements

External communication informs stakeholders of Schneider Electric's integrity and implementation of the Trust programs. The Group communicates through a dedicated webpage and specific external communications. Schneider Electric also responds to several questionnaires from extra-financial rating organizations related to Trust. In 2025, Schneider Electric was once again recognized as one of the World's Most Ethical Companies by Ethisphere, a global leader in defining and advancing the standards of ethical business practices. Ethisphere is a third-party external recognition focused on Ethics with independent criteria covering governance, resources, standards, training, risk controls, enforcement, measurement, third-party risks, and impact.

Training

Each year a global campaign of mandatory training is run for all employees, called Schneider Essentials, from April to the end of September aiming at ensuring that all employees are trained on the most important topics covered by the Trust Charter. These trainings are designed in accordance with Schneider Electric's training guidelines. The training is available in 18 languages in the Group's Learning Management System. In 2025 Schneider Essentials focused on Trust, Cybersecurity, and AI, along with additional courses based on function or location. For employees exposed to corruption risks, an Anti-Corruption training is required each year as a functional essential training. The course dedicated to Trust was completed at 99.2%. The Anti-Corruption training was completed at 98.3%.

As part of the Trust Standards, which define the mandatory integration steps that an acquired entity must complete within a maximum of three years to ensure full alignment with Schneider Electric's Ethics & Compliance program, several specific trainings are also delivered; the Trust programs include trainings for leaders of acquired companies, as part of the integration process. The training entails a specific focus on what is expected from the leadership teams, including endorsing the programs and actively promoting employees' completion of mandatory trainings.

The Group monitors and discloses its completion rate on trainings on Ethics (Trust Charter and Anti-Corruption for eligible employees) and Cybersecurity, aiming for 100% completion each year (SSE #13). In 2025, SSE #13 achieved a 98.3% completion rate.

Corrective actions

Deficiencies in the implementation of the Trust programs – potentially reported through whistleblowing – are analyzed to identify their cause and remedy them with appropriate measures, which can take the form of:

- Disciplinary measures decided locally, or by the Group Disciplinary Committee for the most sensitive alerts based on the findings of an investigation and depending on local disciplinary policies and law;
- Remediation measures (such as launching a specific audit, reviewing a process, or performing training); and/or
- External actions (such as entering civil litigation or similar legal proceedings).

Schneider Electric's Group Disciplinary Policy, aims to achieve and maintain transparency and consistency by establishing a framework for Disciplinary Actions in case of violations of the Trust Charter, associated Group policies, and applicable laws and regulations. It supports the guidance and recommendations provided by competent authorities and bodies regarding Disciplinary Actions.

Monitoring and audit

The Trust Charter, Schneider Electric's policies and programs are an integral part of the second line of defense control framework.

Furthermore, the Group's Internal Audit program includes specific tasks related to the Trust programs, and to activities or subsidiaries for which an evaluation of the maturity and effectiveness of the program will be reviewed. Several internal audits were conducted in 2025 resulting in recommendations related to the improvement of the Trust programs.

 [Read more details about Group Internal Audit in section 3.2.3 Risk management mechanisms on pages 366 to 370 of the 2025 Universal Registration Document.](#)

Whistleblowing Policy and grievance mechanisms

Context

Whistleblowing and grievance systems provide employees with a safe and confidential way to report any unethical behavior, misconduct, or corruption they may witness within an organization. By encouraging employees to speak up without fear of retaliation, companies can detect and address issues early, thereby upholding their commitment to integrity, ethical conduct, and compliance with laws and regulations. This fosters a culture of trust and accountability.

Governance

Schneider Electric employees must feel free and psychologically safe to share their ideas, opinions, and concerns, without fear of retaliation. To ensure the effectiveness of that Speak Up mindset and related whistleblowing system, the Group has created two specific committees:

- The Group Operational Compliance Committee (GOCC) detects and manages cases of non-compliance in accordance with the Whistleblowing Policy and Case Management & Investigation Policy, and reviews monthly the effectiveness of the whistleblowing system. The GOCC is composed of the following members: Chief Compliance Officer (secretary of the Committee), Chief Governance Officer & Secretary General (reporting directly to the Chief Executive Officer), Chief Business Legal Officer, Group Internal Audit & Control Officer, Head of Group Compliance Program, Group Human Resources Compliance Officer, and Head of Fraud Examination; and
- The Group Disciplinary Committee levies sanctions and remediation actions on serious non-compliance cases to guarantee a fair and transparent disciplinary policy upon request of the GOCC. The Group Disciplinary Committee is composed of the following members: Chief Governance Officer & Secretary General, Chief Human Resources Officer, Chief Compliance Officer (secretary of the Committee), Chief Business Legal Officer, and one rotating member.

Group policy

Schneider Electric employees have a responsibility to report potential unethical behaviors, as set out in the Whistleblowing Policy. To voluntarily report a potential violation of laws and regulations, and/or of the Group's Trust Charter and Group policies, whistleblowers can use all reporting channels available, regardless whether they are employees, contractors, or external stakeholders (suppliers, subcontractors, customers, business agents, etc.).

At Schneider Electric, stakeholders, either internal or external, may report concerns either by contacting an appropriate person in the Group (manager, Human Resources business partner, Legal Counsel, or Compliance Officer) and/or by using the Trust Line, Schneider Electric's whistleblowing system. The latter is available online globally, at all times, in 27 languages, and protects the anonymity of the whistleblower (unless there is legislation to the contrary). In compliance with local legislation, this system is provided by an external, impartial third-party company and proposes alert categories, a questionnaire, and an information exchange protocol between the person issuing the alert and the person responsible for the case management.



Schneider Electric's Whistleblowing Policy is available publicly on www.se.com

Actions and resources

Case management: a structured process led by Ethics & Compliance



At Schneider Electric, the Whistleblowing Policy and process are operationalized through the Case Management & Investigation Policy, which sets out the practical rules to follow by the investigation teams. The triage of misconduct reports is primarily managed by the Regional Compliance Officer. Upon receipt of a concern, the Regional Compliance Officer evaluates its validity based on predefined criteria outlined in the Whistleblowing Policy. If the concern qualifies as a valid alert, it is promptly escalated for thorough investigation. However, if the concern does not meet the criteria, it is closed, and the reporter is directed to the relevant organization for assistance. In cases where the Regional Compliance Officer requires further information to conduct the triage effectively, they may request additional details from the reporter. However, if there is no response from the reporter after two reminders and/or three weeks following the receipt of the concern, the case may be closed.

Furthermore, collaboration with partner organizations such as Human Resources, Internal Audit, and Finance is integral to the process, especially in cases where their expertise and involvement are necessary for a comprehensive resolution.

Once a concern is identified as an alert, the Regional Compliance Officer undertakes two critical actions:

- Firstly, to determine the type of alert based on the definitions outlined in the Whistleblowing Policy; and
- Secondly, to classify the case according to the severity criteria specified in an Appendix of the Whistleblowing Policy. The Regional Compliance Officer does so with impartiality and confidentiality.

Depending on this classification, low and medium cases are managed by the relevant Regional Compliance Officer at the regional level, while high and critical cases are overseen at global level by a member of the Group Operational Compliance Committee. It is important to note that the classification of a case may evolve during the investigation process.

Subsequently, the appointed Case Manager takes charge of deciding the investigative approach, either by leading it directly, assigning a dedicated investigation team, or appointing an external investigator. In order to properly manage all situations, the Case Management & Investigation Policy sets out rules to make this decision with impartiality in order to make sure decision-making is done objectively and in autonomy from chain of management involved in prevention and detection of corruption or bribery.

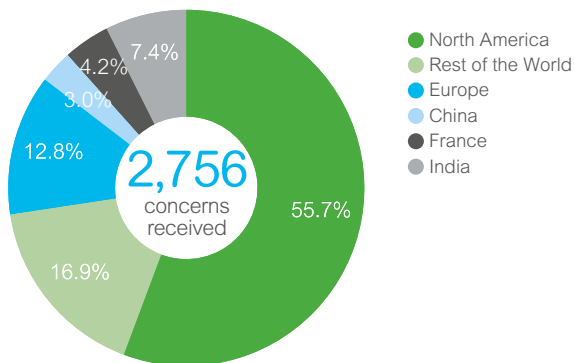
2. Sustainability statements

Schneider Electric's Whistleblowing Policy provides for the protection of the reporter, reported person, witnesses, and other involved people by highlighting rights and responsibilities of people involved. It meets the legal obligations specified by the EU Whistleblowing Directive 2019/1937. People protection is emphasized on, in particular:

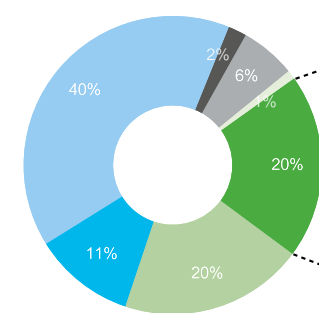
- A procedure to ensure Schneider Electric's zero-tolerance policy against retaliation by prohibiting retaliation or other discrimination, and a prompt, independent, and objective case management investigation;
- A set of protection and care measures that can be offered during investigation, if needed and as per local legislation, such as security measures (distancing), accommodations, flexible time management, change of function/service, and psychological support;
- A possibility of internal or external mediation to help rebuild respectful collaboration; and
- Impartiality rules guaranteed with the appropriate level of case management when a top leader is the reported employee, and by the prevention of conflict of interest, notably ensuring that investigators are separate from chain of management involved in the Ethics & Compliance program when necessary.

Following investigative findings, in the event of a confirmed case, certain corrective actions may be implemented, which may include disciplinary measures. The Group Disciplinary Policy outlines the rules for disciplinary measures.

Number of concerns received through Schneider Electric's whistleblowing system per region



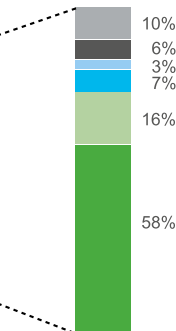
Status of concerns received* through Schneider Electric's whistleblowing system



- Valid alerts confirmed after investigation
- Valid alerts not confirmed after investigation
- Valid alerts under investigation
- Not valid alert and duplicates
- Ongoing assessment
- Inconclusive and insufficient information
- No confirmed outcome yet
- Discrimination, Harassment, Sexual harassment
- Fraud
- Conflict of interest
- Bribery and Corruption
- Health and Safety
- Other

*as of January 1st, 2026

Distribution of confirmed alerts by type of issue



To measure the effectiveness of the Trust Line, Schneider Electric created SSI #7 and added a question to its annual employee engagement survey, OneVoice: "I can report an instance of unethical conduct without fear". In 2021, 81% of employees surveyed answered "yes". Since then, the Group has worked to increase this measurement by 10 points by 2025 as part of the SSI. In 2025, 85% of employees surveyed answered "yes" which constitutes an improvement of +4 points over a four-year period.

Open dialogue with stakeholders

Schneider Electric engages in open and continuous dialogue with each of its stakeholders. In particular, the Sustainable Development department takes into account comments, ratings, and evaluations from stakeholders on the Group's sustainability strategy and programs. This feedback is integrated in the design of the core sustainability strategy programs which takes place every three to five years, with the next iteration to be deployed in 2026. As such, for the current reporting year, no significant amendments have been made to the Group's business model and strategy.

Schneider Electric's stakeholders express their main concerns and expectations, which are used by the Group to build its sustainability strategy, including the 2021 – 2025 sustainability objectives. These include four main points: leading climate action in Schneider Electric's ecosystem and with its partners; pioneering circular economy and being efficient with resources; ensuring a fair transition and guaranteeing high ethical, social, and environmental standards along Schneider Electric's value chain; leveraging digital in cybersecure solutions to boost positive impact. Stakeholder's inputs are equally used in the same manner to develop the next cycle of sustainability programs, starting in 2026.

Stakeholder	Engagement channel	Outcome and value creation	Achievements 2025
Suppliers 	- Duty of Vigilance program - ESG Questionnaire - ESG programs (TZCP, Responsible materials program, Decent work program, Social Excellence program) - Trust Line grievance mechanism - Direct business to business communication channels - ESG embedded in procurement processes (Code of conduct, supplier assessment, etc.)	The Group established a sustainable procurement strategy that provides guidelines to its 50,000 suppliers to promote their alignment with its ambition to build an inclusive and Net-Zero world, while recognizing the inherent limitations of managing the entire value chain.	98% of strategic suppliers who conform to Schneider Electric's Decent Work requirements
Employees and social partners 	- OneVoice annual survey - Focus groups to develop new Group-wide sustainability commitments - Development of local sustainability programs with regional teams - Trust Line grievance mechanism - Engagement with Unions - Employee engagement on Sustainability : training, volunteering, etc.	Schneider Electric empowers its people across regions and generations by striving for equal opportunities across the Group, motivating its employees and promoting their involvement by making the most of diversity, supporting professional development, and ensuring safe, healthy working conditions.	85% of employees are confident to report unethical behavior
Customers, end-users, and business partners 	- Training program on sustainability and decarbonization - Technology stewardship - Direct business to business communication channels - Trust Line grievance mechanism	Customers are offered efficient, safe, and decarbonized solutions through digitalization and electrification, providing them high environmental performance products and full transparency on environmental impact. The Group insists on high-quality and strong cybersecurity to deliver on customer experience.	862 M tons of CO ₂ emissions saved and avoided for customers
Investors, analysts, and financial partners 	- Ad hoc direct communication with management - Periodic meetings with shareholders - Ongoing dialogue with investors and analysts - Questionnaires and request for information - Feedback collection on conferences, seminars, events, etc. - Regulatory compliance verification - Public financial information and ratings	Schneider Electric's sustainability-focused business model delivers consistent, sustainable, and strong financial performance, offering its financial partners attractive returns.	75% Impact revenues
Governments, institutions, and technical bodies 	- Participation in industry associations - Involvement with technical working groups	The Group is involved with various local and international organizations supporting sustainability. Schneider Electric makes it its priority to maintain a transparent and constructive dialogue with policymakers and regulators so that its views are represented on issues affecting its industry.	300+ associations and organizations Schneider Electric takes part in worldwide
Local communities, NGOs, and civil society 	- Responsible business working groups - Local, regional, and local coalitions - Established committees with external partners - Trust Line grievance mechanism	Schneider Electric acts to empower local communities by promoting local initiatives and enabling individuals and partners to make sustainability a reality for all, everywhere. The Group strives to have a positive impact by delivering education on energy management and through investments supporting high social and environmental impact.	100+ local commitments that positively impact communities

2. Sustainability statements

Engaging employees

At Schneider Electric, employees share a common purpose: driving positive change for the planet and society through sustainable actions. In accordance to its employee value proposition "Impact starts with us", the Group encourages its employees to act by providing tools, communities, and learning resources to align their efforts with personal passions and strengths. Through programs like sustainability communities, volunteering opportunities, global awareness days, and the Sustainability Academy, the Group fosters a culture of collective action and innovation.

To further embed sustainability at the highest levels of leadership, the Group leveraged on initiatives such as the CEO Sounding Board, a high-impact annual program engaging a select group of approximately 15 Global Top Potential experienced talents. The program enables direct collaboration with the CEO and members of the Executive Committee on the Group's most critical strategic priorities. Through five to six structured cycles over the year, participants provide insights and actionable recommendations while helping shape the focus of subsequent phases. In 2025, the Sounding Board addressed key transformation themes, including Sustainability and Circular Business Models, Simplification, Innovation Culture, and the New Company Program.



For more details please refer to [section 1.2 Corporate culture](#) on [page 20](#).

2.1.2 Double materiality assessment: main sustainability impacts, risks and opportunities

In 2025, Schneider Electric updated its double materiality analysis based on the guidance provided by EFRAG and the ESRS. It considered the inside-out perspective (impact materiality), and the outside-in perspective (financial materiality). The work performed covered sustainability topics addressed by the standards, as well as additional topics that are significant to Schneider Electric's context. The assessment was conducted considering Schneider Electric's operations and its value chain, as well as the stakeholders that may be affected by the Group's activities, directly and indirectly.



This section describes the double materiality assessment process and the updates made in 2025. For details on the 2024 assessment, see the [2024 Universal Registration Document](#).

2.1.2.1 Governance

To oversee the double materiality assessment, a steering committee was formed, bringing together leaders from sustainability, financial reporting, risk management, and vigilance teams. Throughout the evaluation of material impacts, risks, and

opportunities, the committee held several review meetings to gather feedback and define next steps. A dedicated CSRD Committee, composed of top management, was also established to receive regular progress updates. Additionally, multiple sessions were organized with representatives from various stakeholder groups to review and validate the assessment results. Final validation is carried out by the Executive Committee, followed by a review from the Governance, Nominations & Sustainability Committee. Ultimately, the Audit & Risk Committee - responsible for overseeing the Group's risk management systems - approved the double materiality assessment.

All source assessments presented in this section used for identifying, scoring, and managing impacts, risks and opportunities are key parts of the management framework of the Group, playing a crucial role in evaluating the overall risk profile and informing strategic decisions. Together they allow Schneider Electric to effectively manage risks across all levels of the organization. As such, Schneider Electric's strategy and business model are informed by these annual assessments of impacts, risks and opportunities, along with the double materiality assessment results.

2.1.2.2 Methodology

The identification and assessment of impacts and risks leveraged on the Vigilance plan matrix and the Enterprise Risk Management (ERM) process. Since these exercises involve comprehensive assessments that draw on expert studies and engage internal stakeholders to evaluate the relevance of various topics for the Group, they served as the foundation of the analysis.

Specifically, the Vigilance Plan matrix was deemed appropriate for scoring impact materiality, as it focuses on the Group's effects on people and the environment. Conversely, the ERM assessment was considered suitable for evaluating financial materiality, as it provides insight into the Group's risk exposure from a business perspective.

In addition, complementary workshops with internal subject matter experts were held to review, refine, and validate certain existing evaluations of impacts, risks and opportunities. To complete the analysis other internal sources at country and sector level were leveraged in 2025 including peers' benchmarks, suppliers' assessments, and other climate, water, and biodiversity analyses.

In 2025, as no significant changes occurred in the Group's business model, the update of the double materiality assessment focused on refreshing the outputs of both the ERM and Vigilance Plan matrices. The same methodology was applied, with enhancements introduced to the scoring approach by implementing a more detailed evaluation of impacts, risks, and opportunities to improve overall accuracy. The 2025 double materiality matrix was reviewed by the Audit & Risk committee.

Vigilance plan

Schneider Electric's Vigilance plan is a foundational element of its commitment to responsible and sustainable business conduct. It is designed to proactively identify, assess, and mitigate potential adverse impacts on human rights, the environment, and ethical business practices.

The plan is fully compliant with the 2017 French Duty of Vigilance Law and has been adapted to comply with similar regulations in Germany and Norway. It reflects the Group's ambition to lead by example in its relationships with employees, suppliers, partners, and local communities.

The scope of the plan is extensive, covering Schneider Electric's global operations, including subsidiaries, joint ventures, suppliers, subcontractors, and selected customer projects. Since 2021, the scope has expanded to include local communities near company sites and customer project locations, as well as selected supply chain projects.

The plan focuses on five major risk categories: human rights, environmental impact, ethical business conduct, offer safety, and cybersecurity. The Group has meticulously identified a wide array of potential impacts (more than 60) across various operational areas, primarily relying on the Responsible Business Alliance (RBA) consortium. Each area carries a unique risk profile calling for a tailored approach to evaluation.

The analysis also considers the geographical and operational diversity of Schneider Electric's activities, including offices, factories, R&D labs, and project sites. The plan is not only a compliance tool but also a strategic framework that supports the Group's broader sustainability and human rights objectives. The risk matrix is updated annually.

Schneider Electric's risk mapping methodology is consistent with the Group's broader risk evaluation frameworks and focuses specifically on the Company's potential adverse impacts on its environment and ecosystem. The risk assessment is combining both external and internal sources, including 17 internal expert interviews, internal data, international reports and external databases like the Responsible Business Alliance (RBA). All these sources provide Schneider Electric a holistic view for every risk.

In 2024, the methodology was enhanced to align with the EU CSRD, incorporating more detailed assessments of risk severity and likelihood.

Schneider Electric has set up a Duty of Vigilance Committee in 2017 to supervise the Vigilance plan. This Committee is chaired by the Executive Vice-President of Global Supply Chain and includes senior leaders from Sustainability, Procurement, Human Resources, Ethics, and other key functions. It meets twice a year to review progress, set strategic priorities, and allocate resources. Overall, since the creation of this instance, 21 Committee meetings have been held.

The Vigilance plan is aligned with international standards such as the UN Guiding Principles on Business and Human Rights, OECD Guidelines, and (International Labour Organization) ILO Conventions.



[Read more on the risk matrix, the methodology, the main risks identified and the related mitigation actions, in Chapter 3 of the 2025 Universal Registration Document, from page 361.](#)

For the double materiality assessment purpose, the severity criteria outlined in the ESRS (scale, scope, and irremediable character for negative impacts, and scale and scope for positive impacts) alongside the likelihood of occurrence were applied. Assessment scores were adjusted as needed based on additional input from subject matter experts.

Enterprise Risk Management

Schneider Electric is committed to managing risks in a proactive and systematic manner to increase resiliency, guided by the following principles:

- Increasing Risk Maturity by monitoring and reviewing risks on an ongoing basis to understand its risk maturity and the effectiveness of mitigation strategies.
- Reducing Risk Exposure by developing and implementing strategies to mitigate or eliminate identified risks.
- Containing Incidents with a focus on protecting lives, minimizing negative impact to assets, sustaining critical operations, and continuously improving from its investigative findings.
- Manage Controversies involving the legal and communication teams, to ensure financial and reputational impacts are limited and that controversies are dealt with in an ethical way.

The Group uses a hybrid risk management model. It means that while there is a Group Risk Management function and experts in charge of setting risk management mechanisms, establishing policies, and other activities, ownership of the risks belongs to the business units, Operating Divisions, or global functions who are responsible for deploying the central framework to manage their risks.

The Group conducts three types of risk assessments: zone or country reviews to evaluate top territorial risks and mitigations, function-based reviews to address domain-specific risks and controls, and leadership interviews to gauge strategic and trend-driven risks across the full Group risk universe.

Schneider Electric's risk assessment approach identifies, analyzes, and prioritizes risks based on likelihood and impact, implementing mitigation strategies to proactively address challenges and support the Company's objectives. Key risks are evaluated for their potential impact on the Group.

The agenda of the Audit & Risks Committee includes once a year dedicated sessions to review in depth the risk matrix, ERM and internal control. The internal audit results are reviewed three times per year by the Audit & Risks Committee. The Audit & Risks Committee reports systematically to the Board of Directors on its work.

The risk management framework is considered an appropriate input for the double materiality assessment, as it includes the Group's dependencies and impacts on natural, human, and social resources in determining the risk categories included in the risk management process.

Its scoring system is aligned with the ESRS. Identified risks are ranked using a score that combines the magnitude of potential financial effects with the probability of occurrence, assessed across short-, medium-, and long-term horizons. This combination determines the level of risk to which the Group is exposed, ranging from low to very high.

This assessment is performed on a gross basis, prior to the consideration of any mitigation actions. Although such actions can significantly reduce risk levels, the resulting net risk is not taken into account in the double materiality assessment.

Schneider Electric leverages the results of its Enterprise Risk Management (ERM) process related to sustainability matters to assess financial materiality. Each risk assessment is used to determine a severity level reflecting the potential magnitude of financial effects. This severity is categorized into three area financial, reputational, and market effects – and measured across four levels, ranging from weak to strategic.

2. Sustainability statements



Read more about the principal risks, mitigation strategies, and the risk management framework in **section 3.1 Introduction on page 361** of the 2025 Universal Registration Document.

Additional assessments used

Schneider Electric leveraged multiple existing and ongoing assessments to feed or complement ERM framework and Vigilance plan matrix. The description below presents an overview of the various assessments leveraged from previous years or redone in 2025.

In 2024, the Group utilized an internal megatrends and driving trends analysis to identify opportunities as part of its first double materiality assessment. This analysis provided Schneider Electric with insights into global strategic and sustainability trends most relevant to its business over the coming decade. The identified opportunities have been carried forward into the 2025 double materiality assessment.

To understand its sources of GHG emissions, Schneider Electric performs a general annual review of its activities and supply chain, in which physical climate risk assessments are conducted on the most critical industrial sites.

In relation to water and marine resources, Schneider Electric screens its assets and activities for related impacts, risks, and opportunities using a structured process. As of 2025, the Group updated and harmonized its methodology by adopting a single, science-based tool: the WWF Biodiversity Risk Filter (WRF), which did not present significant changes in the materiality of water and marine resources. While no formal consultations were conducted with affected communities on water and marine resources, stakeholder representative consultations performed in 2024 confirmed the non-materiality of this topic.



Read more information about Schneider Electric's approach to water in **section 3.1.2 Minimize the Group's impacts and dependencies on nature**.

Similarly, to identify and assess impacts on biodiversity and ecosystems at its own sites and throughout its value chain, Schneider Electric has implemented a comprehensive process. Biodiversity Footprint Assessments were conducted in 2020 and 2023, followed by a screening using the WWF Biodiversity Risk Filter in 2025. While no formal consultations were conducted with affected communities on biodiversity and ecosystems, stakeholder representative consultations performed in 2024 confirmed the non-materiality of this topic. Nonetheless, Schneider Electric remains committed to their protection and restoration.



Read more information about the Group's updated approach to biodiversity in **section 3.1.2.1 on page 210**.

To assess resource use and circular economy, in 2024 Schneider Electric leveraged insights gathered through continuous bottom-up communication between internal subject matter experts and on-site teams working on resource optimization. These insights helped identify and assess impacts, risks, and opportunities mainly related to the use of critical resources and generation of material outflow through products and packaging.

While no direct consultations were conducted with affected communities, stakeholder representative consultations performed in 2024 validated the materiality of resource inflows and outflows, as well as the non-materiality of waste. These results have been carried forward into the 2025 double materiality assessment.

Furthermore in the social dimension, the Group conducted an assessment to evaluate the impacts and risks arising from interactions with communities. This evaluation covered the 30 largest Schneider Electric sites worldwide and a selection of 40 customer projects. The assessment identified that certain negative impacts are more likely to materialize in communities located near industrial or administrative sites, as well as in areas affected by the development of large or very large customer projects.

On the governance dimension, cybersecurity has been included as a sustainability matter since 2024, given the significant negative impacts that could result from breach incidents affecting Schneider Electric's solutions or IT environment.



This section describes the double materiality assessment process and the updates made in 2025. For full details on the 2024 assessment, see the 2024 **Universal Registration Document**.

2.1.2.3 Scoring

In 2025, the methodology of assessment was updated to introduce a maximum-risk approach for each impact, risk, and opportunity. In addition, a more granular connection was established this year between each impact or risk element assessed in the internal framework and the identified impacts, risks, and opportunities, to ensure greater accuracy.

Workshops were organized with subject matter experts to score items not already assessed in the Vigilance plan matrix or in the ERM. These were scored using defined scales to assess impact and financial severity (evaluated across four risk levels) and likelihood (ranging from improbable to probable). To determine final materiality, a threshold was set above the high-risk mark according to the severity and likelihood of occurrence of each impact, risk, and opportunity. This threshold reflects the most critical topics for the Group from a strategic point of view, aligned with its business transition objectives.

Although the updated methodology resulted in different year-on-year scores for all impacts, risk and opportunities, the list of material matters remained unchanged.

2.1.2.4 Stakeholders' engagement

Considering that various stakeholders are involved in the assessments previously outlined, a stakeholder consultation process was performed in 2024 as the final phase, with the objective of presenting the results to affected stakeholder groups and gathering their feedback in order to validate or adjust the outcomes as needed.

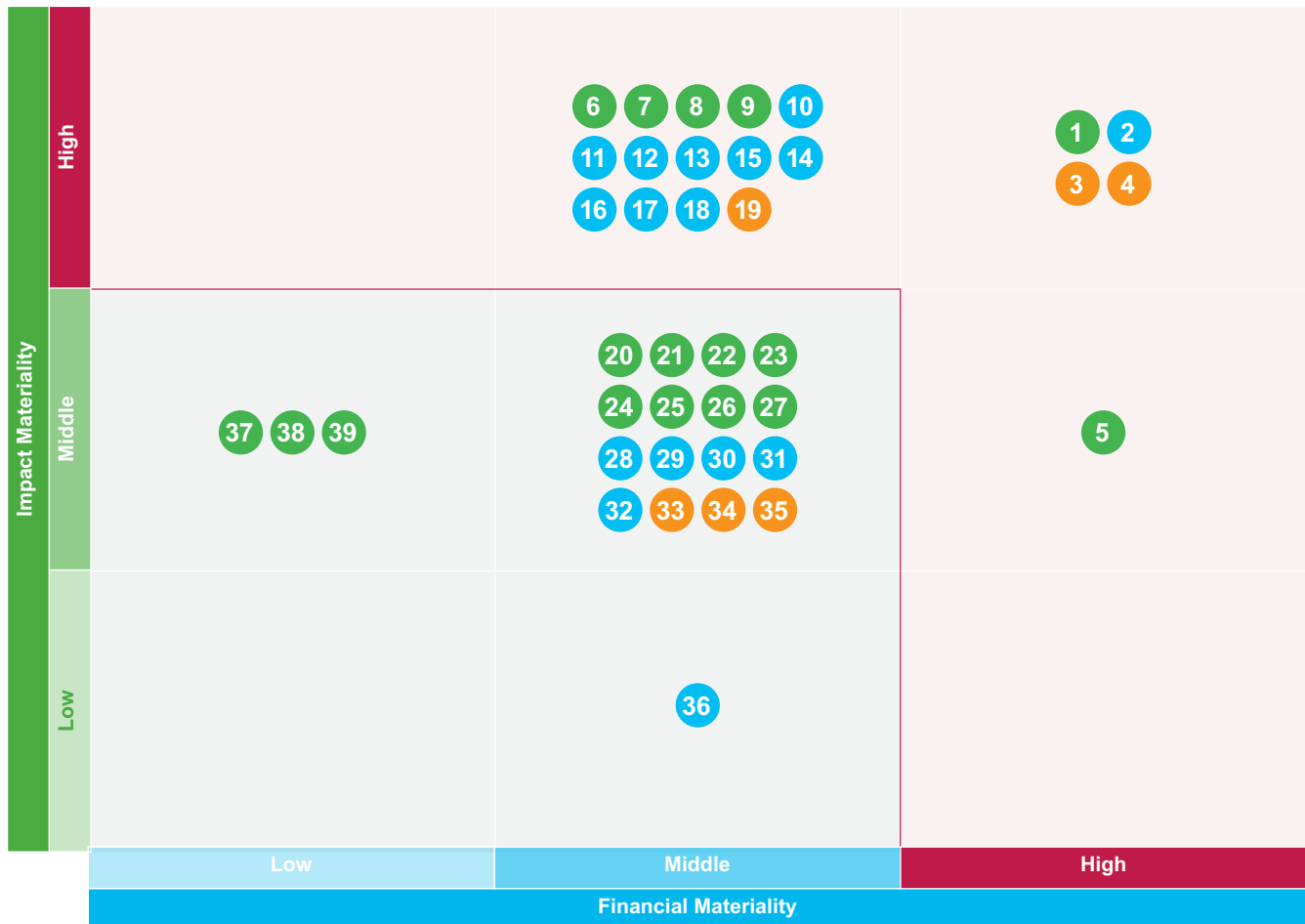
Based on that stakeholder consultation process, Schneider Electric was able to verify the materiality results for the sustainability matters and their related impacts, risks, and opportunities.

Since the final list of material topics was identical to the results in 2024, no additional stakeholder engagement was conducted in 2025.

2.1.2.5 Double materiality assessment results

The following matrix presents the resulting material sustainability matters for Schneider Electric aggregated at the appropriate level of relevance for the Group. In this visualization, financial opportunities have been excluded to provide a more intelligible comparison of financial risks. Indeed, the Group has identified material financial opportunities related to Climate change mitigation, Climate change adaptation, and Energy. These are detailed in the Material impacts, risks, and opportunities table below. However, both positive and negative impacts are included in the visualization below.

Materiality matrix



● Environmental ● Social ● Governance Materiality threshold (SE): Schneider Electric (VC): Value chain

Sustainability Matters

- | | |
|---|---|
| 1 Resource inflows | 20 Pollution of soil |
| 2 Data Privacy | 21 Pollution of water |
| 3 Corruption and Bribery | 22 Pollution of air |
| 4 Cybersecurity | 23 Impacts & dependencies on ecosystem services |
| 5 Climate change adaptation | 24 Waste |
| 6 Climate change mitigation | 25 Direct impact drivers of biodiversity loss |
| 7 Energy | 26 Water |
| 8 Substances of concern | 27 Pollution of living organisms |
| 9 Resource outflows | 28 Equal treatment (VC) |
| 10 Health & Safety (SE) | 29 Illegal work (SE) |
| 11 Health & Safety (VC) | 30 Forced labor (SE) |
| 12 Affected Communities | 31 Child labor (VC) |
| 13 Working conditions (SE) | 32 Social inclusion of consumers |
| 14 Working conditions (VC) | 33 Political engagement and lobbying activities |
| 15 Forced labor (VC) | 34 Protection of whistleblowers |
| 16 Equal treatment (SE) | 35 Corporate Culture |
| 17 Personal safety of consumers | 36 Child labor (SE) |
| 18 Training (SE) | 37 Microplastics |
| 19 Management of relationships with suppliers | 38 Impacts on the state of species |
| | 39 Marine Resources |

2. Sustainability statements

Material sustainability impacts, risks, and opportunities

The table below presents the material impacts, risks, and opportunities for Schneider Electric in 2025, i.e. the “high level” Financial risks and the “high level” Impacts.

The Group’s approach to sustainability is characterized by a forward-looking perspective. Hence, all impacts, risks, and opportunities were evaluated in the short- (current), medium- (2 – 5 years), and long-term (beyond 5 years).

All material impacts are expected in the short and medium term, while long-term impacts are also expected in areas where the Group anticipates significant market changes that differ from near-term expectations, which is the case for the impacts related to climate change adaptation, climate change mitigation, energy, resources inflows, and resource outflows. These time horizons have been defined as per ESRS 1, paragraph 6.4 Definition of short-, medium- and long-term for reporting purposes.

UP Upstream DO Downstream SE Schneider operations EX Main stakeholders

Environment			
Sustainability Matter	Type of IRO	Location	Description
Climate change adaptation	Financial Risk	UP SE	Business disruption and asset damage in own operations and across the value chain. Climate change is increasing the frequency and intensity of extreme weather events exposing the Company to potential revenue losses and overhead costs due to business discontinuity and asset damages in its own operations or across the value chain.
	Financial Risk	SE	Failure to adapt products and operations to climate change. Increasing raw materials and new development expenditure and revenue losses due to the climate transition.
	Financial Opportunity	DO	Help customers adapt to climate change. Building HVAC (heating, ventilation, and air-conditioning), data centers energy efficiency, weather-resistant buildings, emergency weather warning systems, desalination and filtration systems, and weatherized electrical equipment.
Climate change mitigation	Negative Impact (Actual)	UP SE DO	Accelerate climate change through greenhouse gas emissions. The majority of Schneider Electric’s GHG emissions come from the use of sold products, the purchased goods and services, and the end-of-life emissions from sold products.
	Positive Impact (Actual)	DO	Contribute to climate change mitigation through solutions related to electrification, automation, and digitalization. Schneider Electric’s portfolio of offers is uniquely positioned to help mitigate climate change, by reducing GHG emissions through electrification and automation. These offers are integrated digitally, which fosters a higher mitigation potential.
	Financial Opportunity	SE DO	Develop new solutions to help customers and value chain use their energy and resources more efficiently. Climate change is one of the key megatrends that underpin Schneider Electric’s strategy. For climate change mitigation, Schneider Electric can help customers become more energy efficient, electrify their operations, as well as explore new concepts, including carbon capture and storage (CCUS), electrification of mobility, and heating.
Energy	Positive Impact (Actual)	SE DO	Generate energy savings. By accelerating the switching to digital, smarter, and more efficient consumption through Schneider Electric products and services.
	Positive Impact (Actual)	DO	Decarbonize market and value chain. By electrifying energy consumption in line with a greener electricity mix through Schneider Electric products and services.
	Financial Opportunity	SE DO	Develop new businesses related to renewable energy and energy efficiency. The energy transition is one of the key megatrends that underpin Schneider Electric strategy. Schneider Electric can help customers become more energy efficient, electrify their operations, as well as explore new power generation concepts, including hydrogen, microgrid, nuclear, and prosumerism.
Substances of concern and very high concern	Negative Impact (Actual)	UP SE DO	Threaten human health and/or the environment by using hazardous substances. Like most manufacturing companies, Schneider Electric’s products portfolio is concerned by substances of very high concern (SVHCs) and substances of concern (SoCs) with, for instance, the presence of lead in some metallic alloys, brominated flame retardants in printed circuit boards, cobalt in surface treatments, and per- and polyfluoroalkyl (PFAS) substances in various parts.

UP Upstream DO Downstream SE Schneider operations EX Main stakeholders

Environment continued

Sustainability Matter	Type of IRO	Location	Description
Resources inflows, including resource use	Negative Impact (Actual)	UP SE	Contribute to scarcity of resources through use of critical materials. Schneider Electric is dependent on certain conflict minerals/metals for its products or in manufacturing, such as the 3TG, copper, cobalt, coltan, mica, lithium, cerium, and erbium.
	Positive Impact (Actual)	UP	Incentivize suppliers to provide green materials. Objective to increase content of green materials in Schneider Electric's products (thermoplastics, steel, and aluminum) as part of the strategy to address climate change, resource depletion, and pollution.
	Financial Risk	UP	Business disruptions and rising costs due to resources scarcity. Global acceleration of electrification is increasing competition to access some critical materials which may lead to increasing procurement costs and lack of resilience from suppliers.
Resource outflows related to products and services	Negative Impact (Actual)	DO SE	Generate a significant outflow of materials. Schneider Electric outputs different types of products and packaging which contain materials such as electronics, plastics, semi-conductors, transformers, and batteries. Those products and packaging have an impact on the environment, and create the need to improve product durability, recycling, and circularity.

Social

Sustainability Matter	Type of IRO	Location	Description
Working conditions	Negative Impact (Potential)	SE	Affect the mental and physical health of employees. Poor working conditions may emerge in any kind of workplace if a comprehensive Human Resource strategy is not in place, and can result in psycho-social risks, absenteeism increase, and injured workers.
	Negative Impact (Potential)	SE	Excessive working hours and poor work-life balance. If the right policies are not in place, working conditions may result in negative effects for employees' well-being.
	Positive Impact (Potential)	SE	Contribute to the physical and mental health of employees. Schneider Electric's human capital strategy promotes well-being at work.
Health and safety	Negative Impact (Actual)	SE	Injury to Schneider Electric's employees. The main potential risks of the industrial sector are connected to the Top 10 Hazards: falls, powered industrial trucks (PIT), machine, driving, electrical, fire and explosions, lifting operations, confined spaces, hazardous substances, and natural disasters.
	Negative Impact (Potential)	SE	Employee exposure to chemical, biological, and physical agents resulting in adverse health impacts.
Equal treatment and opportunities for all	Positive Impact (Potential)	SE	Improve employees' well-being and feeling of belonging. The Group's strategy is to foster a diverse and inclusive workplace to create a feeling of belonging, where employees feel included, respected, and cared for.
Training and skills development	Positive Impact (Potential)	SE	Improve employability of employees. Resulting from the Group's human capital strategy to continuously develop the skills of its workforce.
Working conditions (in the value chain)	Negative Impact (Potential)	UP DO	Risk detriment to the physical health of value chain workers. Exposure to long working hours is the number one risk factor leading to death according to the International Labour Organization Call for Safer and Healthier Working Environment.
	Negative Impact (Potential)	UP DO	Affect the mental health of value chain workers. If overlooked by management, poor working conditions and an uncertain economic environment can significantly impact the mental health of workers in the value chain.
	Positive Impact (Potential)	UP DO	Contribute to the well-being of workers in the value chain by promoting responsible & ethical working conditions.

2. Sustainability statements

UP Upstream DO Downstream SE Schneider operations EX Main stakeholders

Social continued

Sustainability Matter	Type of IRO	Location	Description
Health and Safety (in the value chain)	Negative Impact (Actual)	DO	Injury to workers in the value chain. Health risks in the value chain mainly related to occupational health and safety (including falls, powered industrial trucks (PIT), machine, driving, electrical, fire and explosions, lifting operations, confined spaces, hazardous substances, and natural disasters).
	Negative Impact (Potential)	UP DO	Value chain workers' exposure to chemical, biological, and physical agents resulting in adverse health impacts.
Forced labor (in the value chain)	Negative Impact (Potential)	UP DO	Jeopardize fundamental human rights and damage the physical or psychological integrity of workers in the value chain. Without proper vigilance, workers in the value chain of Schneider Electric could be at risk of being exposed to forced labor, resulting in physical harm, psycho-social risks, and violation of human rights.
Affected communities' rights	Negative Impact (Potential)	EX	Violate economic, social and culture rights of local communities. Schneider Electric's operations in the value chain could be at risk of being involved in violation of communities' rights, such as adequate housing, adequate food, water and sanitation, land-related and security-related impacts.
	Negative Impact (Potential)	EX	Violate rights of indigenous communities. Schneider Electric's operations in the value chain could be at risk of being involved in violation of particular rights of indigenous peoples, such as free, prior and informed consent, self-determination, and cultural rights.
Personal safety of consumers and/or end-users	Negative Impact (Actual)	DO	Trigger physical harm or property damage. The Group's product usage risks and defaults in implementation may result in physical harm or property damage, threatening consumers/end-users' safety.
Data privacy	Negative Impact (Actual)	DO	Risk private and sensitive information leaks. In case of a data breach which would impact the Group's connected products, information about customers could be compromised.
	Financial Risk	EX DO	Potential legal risks. Fines related to non-compliance, complaints, and/or lawsuits (e.g., data privacy laws, GDPR).

UP Upstream DO Downstream SE Schneider operations EX Main stakeholders

Governance			
Sustainability Matter	Type of IRO	Location	Description
Management of relationships with suppliers including payment practices	Negative Impact (Potential)	UP	Compromise suppliers' financial stability. If overlooked by management, unfair/unethical payment practices towards suppliers may lead to financial insolvency as well as poor employee working conditions within suppliers' workplace.
	Positive Impact (Potential)	UP DO	Promote maturity on human rights, decent work, and fair business practices. Resulting from Group's sustainable procurement strategy and supplier engagement.
Corruption and bribery (prevention and detection including training, incidents)	Financial Risk	EX	Debarment from public tenders or public funds. In case of corruption and/or bribery cases.
	Financial Risk	EX	Potential legal proceeding, prosecutions, sanctions, and fines. Related to non-compliance with laws and regulations (e.g., French Law Sapin II, fines of up to EUR 500 million).
	Financial Risk	EX	Reputational damage. Corruption and bribery cases can lead to negative media exposure and public relations backlash.
	Negative Impact (Potential)	SE	Pressure on own employees to participate in corrupt practices. Corruption and bribery can lead to personal judicial consequences, and decline in employees' morale and engagement.
	Negative Impact (Potential)	UP DO	Pressure on suppliers and/or contractors to participate in corrupt practices. Collusion or paying bribes to secure contracts would lead to erosion of trust and increased market inequality.
Cybersecurity (entity-specific)	Negative Impact (Potential)	DO	Damage to customer assets through distribution of malware into the production environment of a Schneider Electric client. Through compromised Field Service end point and operations.
	Negative Impact (Potential)	DO	Damage at customer site. As a result of a failure in the control environment of Schneider Electric customer staging and support process.
	Negative Impact (Actual)	DO	Schneider Electric firmware or software compromise leading to damage of customer assets. Through (un)intentional malicious action or vulnerability in a product delivered to customers.
	Negative Impact (Actual)	SE	Disruption from failure in detection and protection capabilities in Schneider Electric's IT and OT environments.
	Financial Risk	EX	Compliance risk. Potential fines and loss of license to operate related to non-compliance.

Even though so far most of the identified material risks and potential negative impacts have not materialized in a substantial manner, the Group recognizes sustainability is a shifting domain and works to continuously improve and adapt its strategy to maintain a robust business model. It does so by constantly evaluating its resilience in relation to impacts and risks through the various assessments that have been described previously in this section, including the ERM framework and Vigilance plan matrix, among others.

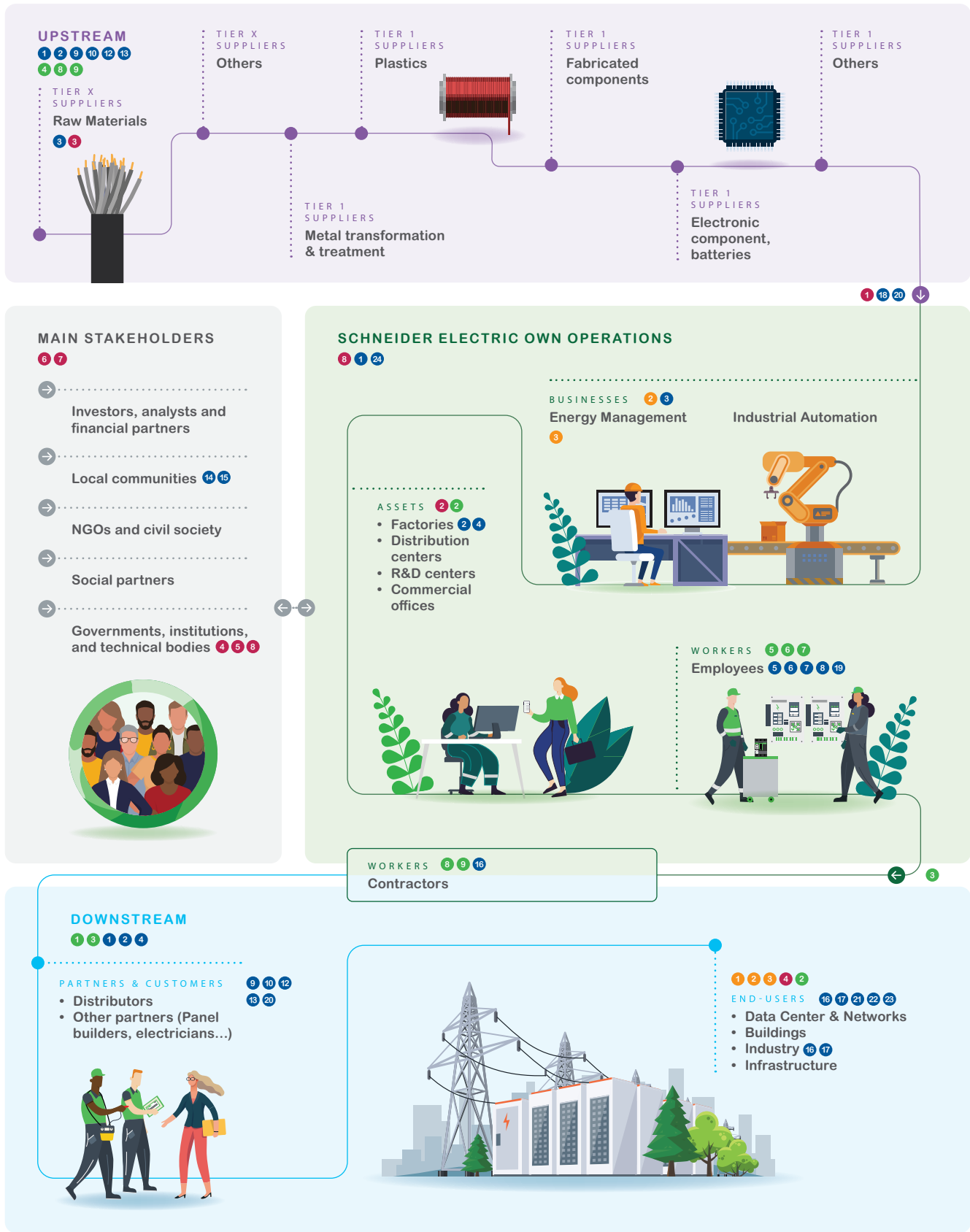
The effects of the material impacts, risks, and opportunities on the Company's business model and strategy, along with the resulting policies and actions that form part of the Group's resilience strategy, are detailed in the relevant sections of this sustainability statement.

In the past, Schneider Electric's transformational programs and strategic direction have evolved in response to sustainability issues, and will continue to do so to anticipate significant changes in the market.

2. Sustainability statements

2.1.2.6 Schneider Electric’s value chain

The following illustration is a simplified representation of Schneider Electric’s value chain including a mapping of the material impacts, risks, and opportunities (IROs).



Legend

Risks

- 1 Risk of business disruption and asset damage in the value chain
- 2 Failure to adapt products and operations to climate change
- 3 Business disruptions and rising costs due to resources scarcity
- 4 Potential legal risks related to data privacy
- 5 Debarment from public tenders or public funds
- 6 Potential legal proceedings, prosecutions, sanction and fines related to non-compliance
- 7 Reputational damage related to corruption and bribery
- 8 Compliance risk related to cybersecurity

Opportunities

- 1 Help customers adapt to climate change
- 2 Develop new solutions to help customers and value chain use their energy and resources more efficiently
- 3 Develop new businesses related to renewable energy and energy efficiency

Positive impact

- 1 Contribute to climate change mitigation through solutions related to electrification, automation, and digitalization
- 2 Generate energy savings
- 3 Decarbonize market and value chain
- 4 Incentivize suppliers to provide green materials
- 5 Contribute to the physical and mental health of employees
- 6 Improve employees' well-being and feeling of belonging
- 7 Improve employability through training
- 8 Contribute to the well-being of workers in the value chain by promoting responsible and ethical working conditions.
- 9 Promote maturity on human rights, decent work, and fair business practices

Negative impact

- 1 Accelerate climate change through greenhouse gas emissions
- 2 Threaten human health and/or the environment by using hazardous substances
- 3 Contribute to scarcity of resources through use of sensitive materials
- 4 Generate a significant outflow of materials
- 5 Affect the mental and physical health of employees related to working conditions
- 6 Risk excessive working hours and poor work-life balance
- 7 Injury to employees through health and safety issues
- 8 Employee exposure to chemical, biological and physical agents resulting in adverse health impacts
- 9 Risk detriment to the physical health of value chain workers related to working conditions
- 10 Affect the mental health of value chain workers
- 11 Injury to workers in the value chain through health and safety issues
- 12 Value chain workers exposure to chemical, biological and physical agents resulting in adverse health impacts
- 13 Jeopardize fundamental human rights and damage the physical or psychological integrity of workers in the value chain through forced labor
- 14 Violate economic, social and culture rights of local communities
- 15 Violate rights of indigenous communities
- 16 Trigger physical harm or property damage through the misuse of the Group's products
- 17 Risk private and sensitive information leak
- 18 Compromise suppliers' financial stability
- 19 Pressure on own employees to participate in corrupt practices
- 20 Pressure on suppliers and/or contractors to participate in corrupt practices
- 21 Damage to customer assets through distribution of malware
- 22 Damage at customers sites as a result of failure in the control environment of customer staging and support
- 23 Firmware or software compromise leading to damage of customer assets
- 24 Disruption from failure in detection and protection capabilities in Schneider Electric's IT and OT environments

2. Sustainability statements

2.1.3 Basis for preparation

2.1.3.1 Legal and regulatory requirements

Sustainability disclosures are part of the legal and regulatory requirements arising from the transposition of the European Directive on Corporate Sustainability Reporting (CSRD). They have been prepared on a consolidated basis.

As outlined in ESRS 1 – General Requirements, certain estimates were necessary due to data collection challenges beyond Schneider Electric's control, primarily concerning the following areas:

- To estimate quantitative outputs for resource inflows and outflows, certain assumptions and extrapolations were applied. Corporate Scope 3 accounting aligns with GHG Protocol best practices, and Schneider Electric is committed to going further by capturing more primary data to enhance granularity and actionability in reporting.
- On substances of concern and very high concern (SoC and SVHC), data availability is restricted by the reliance on suppliers' declarations and voluntary Full Material Disclosures (FMDs), which are not always comprehensive. Additionally, assumptions are made regarding average percentages and quantities due to incomplete data. Similarly, and as stated in **section 2.2.4** related to the Group's approach to the EU Taxonomy, on substances listed in Article 57 of Regulation (EC)1907.2006 but not identified under Article 59(1), due to the difficulty in obtaining material declarations and data from suppliers beyond tier one, the Group cannot fully quantify the impact of excluding products containing substances not yet on the REACH candidate list.

In 2025, the Group continued its reporting digitalization roadmap to enable an efficient and robust collection, tracking, and reporting of CSRD-related information, by integrating all relevant data sources, while leveraging Schneider Electric's EcoStruxure™ Resource Advisor.

In 2025, the Group also advanced the formalization of its CSRD internal control framework, to ensure that controls are appropriately structured and effectively implemented to secure the reliability and accuracy of ESG disclosures. This year, efforts were primarily focused on strengthening controls within the Human Resources, Health & Safety, and Energy Consumption domains. Looking ahead, the Group plans to further expand and operationalize the CSRD internal control framework in close collaboration with Enterprise Risk Management teams, Finance, and all contributing domains.

As part of the continuous improvement of Schneider Electric's sustainability reporting, few improvements were implemented in 2025 and applied retrospectively to the 2024 baseline to enhance data consistency and comparability. These adjustments reflect increased reporting maturity, improved data quality, and a more precise alignment with operational realities. In particular, corrections were made to the classification of certain material outflows in the substances of concern and of very high concern metrics tables, and to the average number of days to pay suppliers based on spend. These updates are detailed in the relevant sections of the Sustainability Statements. They do not alter overall performance trends but ensure a more robust and reliable representation of the underlying indicators.

In 2025, Schneider Electric restated its 2021 base-year GHG emissions across Scopes 1, 2 and 3 to reflect methodological improvements, notably updated guidance for Scope 3 Category 11 (use of sold products), and harmonized treatment of organizational changes and radiative forcing. Electricity emission factors were also updated to the IEA WEO 2022 STEPS scenario. The impacts are limited and do not alter the Group's validated SBTi targets, for which only absolute baseline values have been recalculated. The restatement has been assured by external auditors and ensures a consistent monitoring of decarbonization progress.

 For more details about detailed methodologies, measurement assumptions, and planned actions to improve accuracy, please refer to the **section 2.5.1 CSRD Methodologies**.

2.1.3.2 Scope

To rationalize the effort of reporting and to consider the current limits of the Group's reporting processes (e.g., progressive deployment of the Group's IT tools to all entities), Schneider Electric is excluding specific entities from its sustainability statements even though they are part of the financial statements.

The list of excluded entities is determined at the subtopic level, based on IT tool deployment for data collection and materiality for the Group, ensuring that final coverage represents at least 95% of the Group's activities and performance for each data point, except for the payment practices metrics, which covers circa 85% of the Group payables and spend. This exclusion process guarantees that the sustainability statement remains fair and provides an accurate view of Schneider Electric. The resulting coverage is considered representative, and these exclusions do not impact the Group's double materiality assessment results.

Under ESRS E1 requirements for GHG emissions reporting, the scope must include joint ventures under operational control. Schneider Electric excludes all joint ventures from its sustainability statements and Scope 1 and 2 GHG reporting, as the Company does not have operational control over these entities.

Across the sustainability statements, actions and targets related to Schneider Electric's sustainability priorities reference the Schneider Sustainability Impact (SSI) and Schneider Sustainability Essentials (SSE) programs. These initiatives, part of the Group's 2021 – 2025 strategy, define sustainability objectives and track performance in key focus areas. The SSI and SSE scope was set in 2020 and therefore does not align with the CSRD perimeter, as it excludes all non-IT integrated entities identified at that time. However, as the 2021-2025 cycle is coming to an end, the Group is launching its 2030 sustainability program, aligned with CSRD reporting perimeter.



For more details about the reporting perimeter of SSI and SSE, please refer to the [section 4.1 on page 244](#).

More details about the new set of 2030 sustainability targets on [section 1.3 on page 22](#).

Similarly, all policies detailed in this report cover more than 90% of the Group in headcount and in revenue. As part of the integration plans for each acquisition, the deployment of the Group's Trust Standards includes minimum requirements in terms of policies, in areas such as Human Resources, Legal, Ethics & Compliance, Cybersecurity, that all Schneider Electric entities must meet. The Group aims for all acquired entities to comply with these Trust Standards requirements within a period of three years from closing.

2.1.3.3 Value chain

Schneider Electric has considered potential impacts, risks and opportunities associated with the value chain described in section 2.1.1.1 Schneider Electric's activities and business model, including upstream tier 2 and above for mining activities and metal extraction, with upstream tier 1 activities, with its own operations, with contractors (on-site and off-site), with downstream distributors who supply system integrators and contractors, and with main stakeholders such as local communities, civil society, financial partners, lobbies, NGOs, and institutions.

2.1.3.4 Other

In accordance with Articles L.2312-25 and L.2312-17 of the French Labor Code, and Article L.821-54 of the French Commercial Code, Schneider Electric conducted consultations with its Social and Economic Committee on CSRD-related information. These consultations included the presentation of the 2024 Sustainability Report in April 2025 and the 2025 double materiality assessment process and results in December 2025.

2.2 Environmental information | ESRS E1, E2, E5



In this section

2.2	Environmental information ESRS E1, E2, E5	56	2.2.3	Resource use and circular economy ESRS E5	92
2.2.1	Leading on decarbonization ESRS E1	57	2.2.4	Methodology elements on EU Taxonomy	106
2.2.2	Pollution mitigation ESRS E2	86			

Introduction

This section presents comprehensive information linked to the application of the European Sustainability Reporting Standards (ESRS) on environmental topics. For Schneider Electric, these standards guide the reporting on climate change, pollution, resource use, and circular economy. They create a robust framework to address the pressing environmental challenges of our time.

This section is divided in four subsections:

1. **“2.2.1 Leading on decarbonization | ESRS E1”** where the objective is to specify disclosure requirements that enable stakeholders to understand how Schneider Electric impacts climate change, including material positive and negative impacts, mitigation efforts, and adaptation strategies. It covers greenhouse gas emissions, energy consumption, and the financial effects of climate-related risks and opportunities.
2. **“2.2.2 Pollution mitigation | ESRS E2”** where the objective is to provide information on how Schneider Electric handles pollution by addressing substances of concern, and the financial effects of pollution-related risks and opportunities.
3. **“2.2.3 Resource use and circular economy | ESRS E5”** where the objective is to specify disclosure requirements related to resource use and circular economy, focusing on sustainable sourcing, and maintaining the value of products and materials. It aims to help users understand the impacts, risks, and opportunities related to resource use and circular economy principles.
4. **“2.2.4 Methodology elements on EU Taxonomy”**

2025 highlights

82%

Reduction of Scopes 1 and 2 since 2017

48%

Green materials content in Group's products since 2020

428,450

Metric tons of avoided primary resource consumption through “take-back at end-of-use” since 2017

90%

of product turnover is from products disclosing more than 14 environmental data attributes

2.2.1 Leading on decarbonization | ESRS E1

2.2.1.1 Climate strategy

Schneider Electric's transition plan

Net-Zero strategy

Schneider Electric's Net-Zero strategy is defining ambitious targets to reduce the impact of the Group's operations and overall value chain on climate change, and to neutralize residual emissions in line with science. Through these targets, Schneider Electric is aiming to reduce its climate transition risks related to regulatory, legal, and behavioral changes, and anticipate the evolving competitive landscape that can present risks for companies delaying their transition to a low-carbon economy.

In August 2022, Schneider Electric was one of the first companies to see its greenhouse gas (GHG) reduction targets validated by the Science Based Target initiative (SBTi), in line with its "Corporate Net-Zero Standard" published in October 2021. As part of its Net-Zero commitment, the Group has defined mid- and long-term targets.

Under its 2050 SBTi targets, the Group is committed to be Net-Zero across its entire value chain by 2050. This requires reducing its 2021 footprint by an absolute 90% by 2050, and neutralizing residual emissions with high-quality carbon removal credits.

As part of its 2030 SBTi targets, the Group is committed to:

- Reach "Net-Zero ready" operations, reducing its Scopes 1 and 2 emissions by 76% absolute from a 2021 baseline, and neutralizing residual emissions with high-quality carbon removals credits. This is equivalent to a -90% reduction vs. 2017 baseline.
- Reduce its value chain emissions (Scope 3) by 25% absolute from a 2021 baseline, across both upstream and downstream.

In addition, the Group is addressing, as of 2025, all ongoing operational emissions on its journey to "Net-Zero ready", by financing and contributing to projects that avoid or remove carbon.

The Group has also made specific commitments for energy efficiency, electrification, and renewable electricity under the EP100, EV100, and RE100 initiatives of the Climate Group. Each of these initiatives define specific targets by 2030: respectively doubling energy productivity from operations, shifting its fleet to electric vehicles (EV), and reaching 100% of renewable electricity.

Beyond its carbon footprint, and as part of its ambition to electrify the world towards decarbonization, the Group aims, with its solutions, to help customers in achieving two goals with its solutions: 1) save or electrify 1.5 billion MWh of energy between 2026 and 2030, 2) save and avoid 1.5 Gt CO₂ emissions between 2018-2030.

Schneider Electric's climate targets for Scopes 1 and 2 in 2030 are validated by the SBTi, with a "temperature alignment" (as per SBTi terminology) of a global warming limited to 1.5°C. For the same time horizon, the Scope 3 target is aligned with a global warming limited to well-below 2°C level, also as per SBTi framework. These targets have been developed by using the absolute contraction approach defined by SBTi. In the absence of sector-specific trajectory for Schneider Electric's business, the SBTi uses a cross-sectorial trajectory to define compatibility of GHG emissions with different levels of temperature increase. For Scope 3, a target aligned with 1.5°C would have been a 42% absolute reduction over the same time period.

Over the longer term, Schneider Electric's Net-Zero targets for 2050 have been approved by the SBTi against their "Corporate Net-Zero Standard" which is a framework for corporate Net-Zero target setting in line with climate science and consistent with limiting global temperature rise to 1.5°C. This target encompasses the entire carbon footprint of the Group, i.e., all three Scopes.

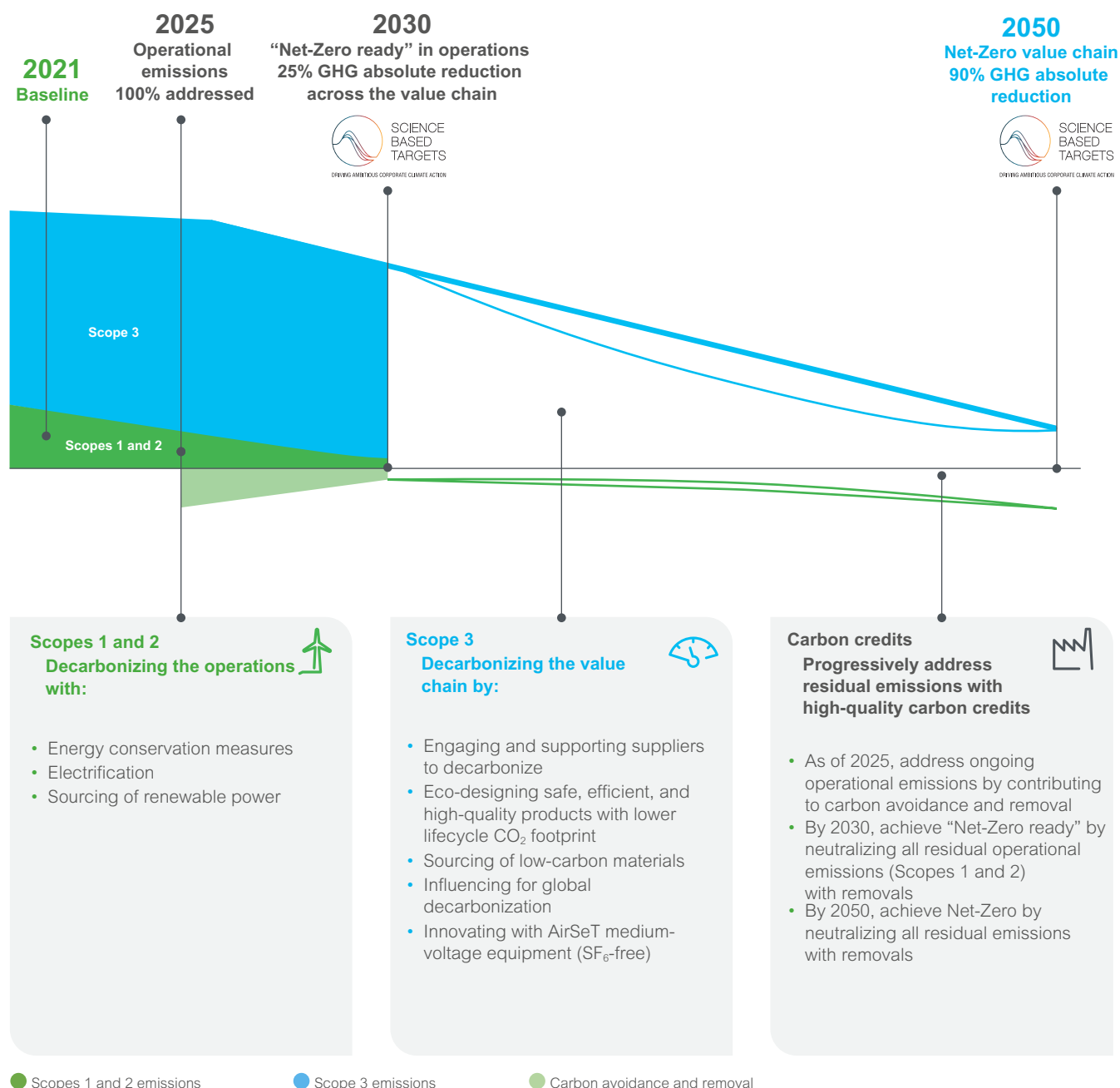
The Group notes that the SBTi is currently revising the Net-Zero standard, while the GHG Protocol is also in the process of revising its carbon accounting standards. The Group is closely monitoring these developments and will be required to formally submit a review of its targets to the SBTi by January 2028 at the latest, in order to comply with the SBTi timeline. At this stage, there are no plans to change the 2030 targets. The new SBTi standard could require complementing the existing 2030 targets with medium-term targets extending beyond 2030, while maintaining the long-term targets for 2050.

2. Sustainability statements

Main decarbonization levers

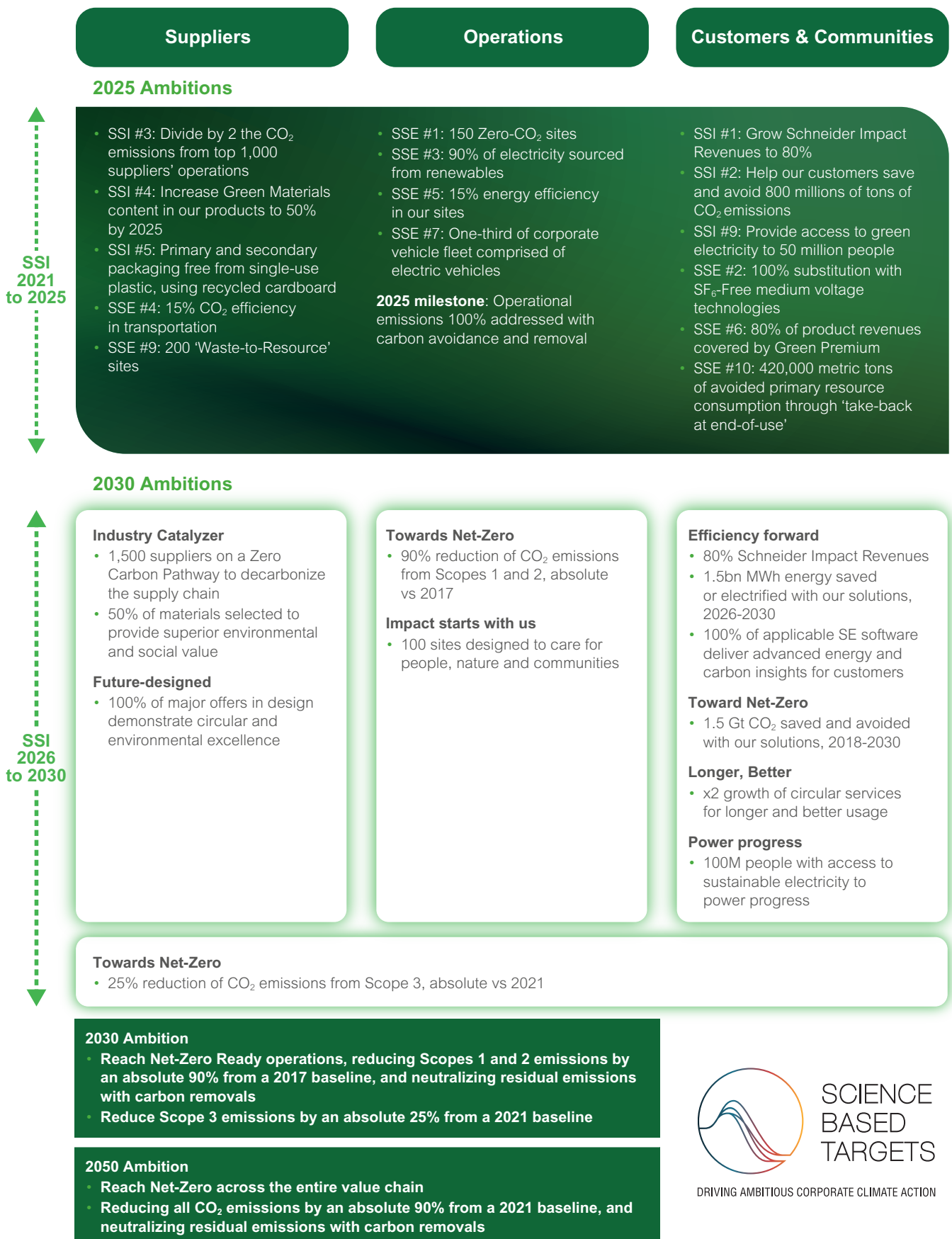
Based on the nature of the greenhouse gas (GHG) emissions from Schneider Electric's activities across the three scopes, several decarbonization levers and key actions have been identified to mitigate climate change. The detailed description of these decarbonization levers, their impact towards the 2030 targets, and their foreseeable associated financial resources over the next 5 years are detailed in the sections below. Due to intrinsic uncertainties in modelling future GHG emissions, the current financial planning has been done from the perspective of the 2030 targets, while 2050 is beyond forecasting horizon. However, the Group anticipates that the nature of most decarbonization levers will be similar between 2030 and 2050, with very likely a bigger activation of these levers. It is also anticipated that technological innovation and improvements in carbon accounting granularity and accuracy will result in identifying new levers in the coming years. The Group will actively monitor progress in these fields. Lastly, regarding the Scope 3 target for 2030 specifically, the forecasting exercise reveals a possible gap to the target, due to the dependence on external factors such as the rate of decarbonization in the electricity grid and in the industrial sector. If the electricity grid were to decarbonize at a slower rate than what is anticipated in the modelled scenario, the Group would adapt its decarbonization strategy accordingly.

The milestones of Schneider Electric's Carbon Pledge are presented on the below visual with the key decarbonization levers. The Group has elaborated a comprehensive climate strategy of climate-related programs, that are shown on the next page and has made projections of the impacts of the main decarbonization levers.



For more information on these levers, please refer to [section 2.2.1.4](#) on actions related to climate change mitigation.

Sustainability programs linked to Schneider Electric's Net-Zero commitment



Note: the programs are represented under the categories on which they have the most prominent influence, but some can impact on multiple categories (e.g., circular and environmental excellence is impacting GHG emissions in both the upstream and the downstream value chain).

2. Sustainability statements

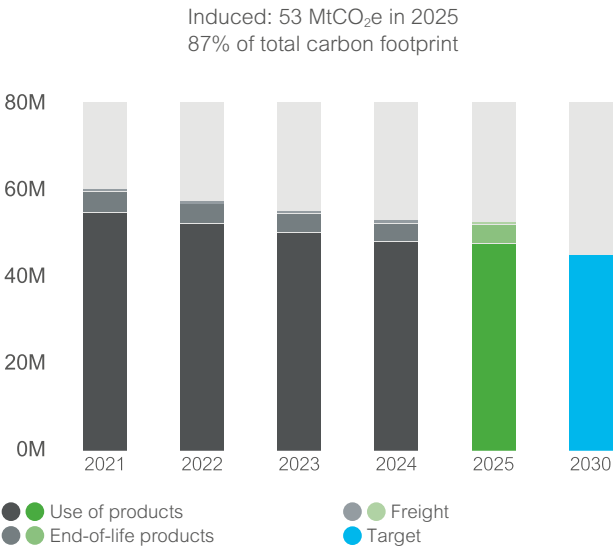
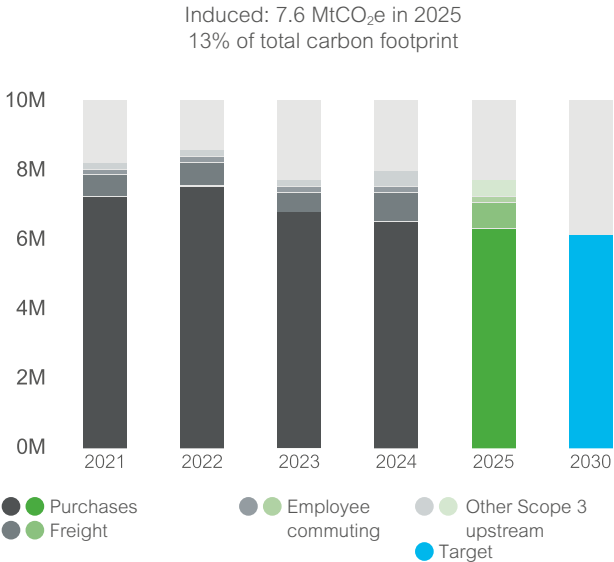
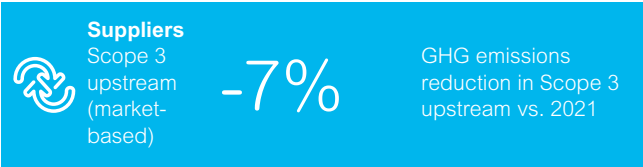
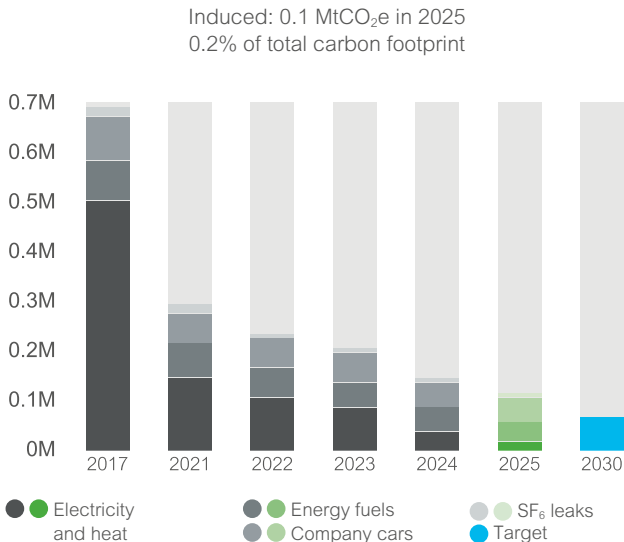
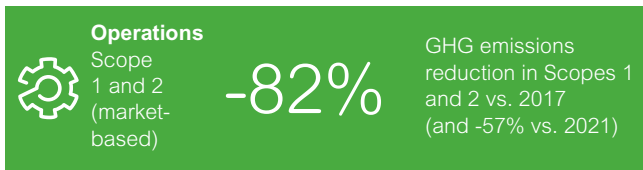
Progress overview

Since 2021, emissions from Schneider Electric's operations (Scopes 1 and 2, in market-based) have decreased by -57% in absolute terms, as compared to a target of -76% by 2030. This corresponds to a decrease by -82% compared with 2017. Scope 3 emissions have decreased by -12% in absolute terms as compared to a target of -25% by 2030.

More specifically, emissions from Scopes 1 and 2 have decreased in 2025 by -14% as compared to 2024 (market-based). The overall reduction since 2021 is largely due to energy efficiency initiatives, electrification of the Group's on-site processes and fleet, as well as the outstanding progress on sourcing more and more renewable electricity.

On Scope 3, upstream emissions have decreased in 2025 by -5% as compared to 2024, and by -7% since 2021 (market-based), due to the reduction of volume of commodities being purchased, eco-design of offers, and the efforts of the decarbonization programs in the supply chain (e.g., Green Materials program which contributes to source materials with low carbon footprint, and The Zero Carbon Project which supports the decarbonization of Schneider Electric's top 1,000 suppliers). Downstream emissions, the majority of which come from the use of sold products, have decreased in 2025 by -0.4% as compared to 2024, and by -12% since 2021. This is due to a combination of eco-design of offers with the decarbonization of the grids that the Group's consumers rely on, and the evolution of the geographic split of sales. As explained in the methodological section below, when calculating these emissions, the Group considers the products' lifetime and the projected carbon intensity of the grids where consumers are located.

In reporting year 2025, implementation of decarbonization actions in Scopes 1 and 2 resulted in a reduction of 260,538 tonnes of CO₂e as compared to emissions that would have happened for the same year in the absence of the actions. This corresponds mainly to the sourcing of renewable electricity, and to a lesser extent to the electrification of operations. Investments on electrification projects will also have decarbonization effects over multiple years, and will abate 56,100 tonnes of CO₂e over a 10-year period.



Governance

Governance of the transition plan

The transition plan is reviewed through different leadership steps, and ultimately by both the Executive Committee and the Board at least once a year, as Long-term Incentive Plan targets are set for the following year. The gap to target, and actions to close the gap are reviewed and approved during these meetings. Also, during its Annual General Meeting in May 2023, the Group gave shareholders the chance to vote on the Company's climate transition plan. 97.67% of voters approved it.

The annual impairment test of all the Group's CGUs assets, which take into account the financial implications of the transition plan, and the forecasted GHG emissions until 2030 are reviewed in different leadership instances, and ultimately by both the Executive Committee and the Audit & Risk committee, at least on an annual basis.

Climate scenario analysis is used by the corporate finance team to conduct a sensitivity analysis on the annual impairment test of all the Group's CGUs assets, assessing the potential impact of climate physical and transition risk on the Group's future cashflows.

Delivering on the transition plan is intrinsically tied to the overall business strategy, since it is the very purpose of Schneider Electric to support customers in their decarbonization journeys.

Being its customers' Energy Tech Partner for Sustainability and Efficiency, Schneider Electric must lead by example, constantly seeking to reduce energy consumption and GHG emissions in absolute terms by leveraging technological, process, and behavioral transformations.

In practical terms, this means the decarbonization approach is similar to what is being facilitated for customers.

Schneider Electric helps its customers to strategize on their approach to Net-Zero and to implement the operational steps required to achieve their trajectory using all relevant levers, including energy efficiency, electrification, renewable energy sourcing, and more. Schneider Electric also offers cutting-edge managed services and digital solutions to tackle climate change through digitalization. The Group helps its customers collect the data needed to both design their strategy and show progress against emissions, both for internal purposes and for disclosure against prevailing sustainability frameworks.

To deliver its "Net-Zero ready" target on these emissions by 2030, the Group leverages its Power and Building EcoStruxure™ IoT-enabled architectures.

Climate-related incentives

The Chief Executive Officer's remuneration includes climate targets in four elements of his remuneration: (1) Performance Shares (i.e. Long-term incentive plan); (2) annual variable compensation; (3) complementary payment for pension building (variable); and (4) Profit-sharing.

1. 25% – Performance Shares
25% of the performance conditions of the Performance Shares is related to carbon emissions reductions targets. This is further broken down into: 12.5% Scope 1 and 2 carbon emissions targets and 12.5% Scope 3 upstream carbon intensity target. These climate targets in the Long-term Incentive Plan have been designed to be in line with the climate target of the Group for 2030.
2. 12.73% – Annual variable compensation
20% of the annual variable compensation is related to the Schneider Sustainability Impact (SSI) which consists of 11 targets from 2021 to 2025. Seven⁽¹⁾ out of these 11 targets (63.64%) are carbon related. Overall, 12.73% of the annual variable compensation is climate related.

3. 12.73% – Complementary payment for pension building (variable)
20% of the complementary payment for pension building (variable) is related to the SSI which consists of 11 targets. Seven out of these 11 targets (63.64%) are carbon related. Overall, 12.73% of the complementary payment for pension building (variable) is climate related.
4. 12.73% – Profit-sharing
Within the 50% collective component of the profit-sharing, 40% is related to the SSI which consists of 11 targets. Seven out of these 11 targets (63.64%) are carbon related.

Based on the Chief Executive Officer's (CEO) theoretical 2025 compensation structure, and taking into account that 12.73% of the Annual variable compensation, Complementary payment for pension building (variable) and profit-sharing and 25% of the Performance Shares are linked to climate-related criteria, the overall proportion of the CEO's total compensation tied to climate considerations stands at 15%.

2.2.1.2 Climate-related impacts, risks, and opportunities

Identifying impacts, risks and opportunities

Climate change adaptation	
Financial Risk	Business disruption and asset damage in own operations and across the value chain.
Financial Risk	Failure to adapt products and operations to climate change.
Opportunity	Help customers adapt to climate change.
Climate change mitigation	
Negative Impact	Accelerate climate change through greenhouse gas emissions.
Positive Impact	Contribute to climate change mitigation through solutions related to electrification, automation and digitalization.
Opportunity	Develop new solutions to help customers and value chain use their energy and resources more efficiently.
Energy	
Positive Impact	Generate energy savings.
Positive Impact	Decarbonize market and value chain.
Opportunity	Develop new businesses related to renewable energy and energy efficiency.

Schneider Electric proactively identifies and measures climate-related risks and opportunities, to assess existing and potential impacts to its business, operations, and value chain. The risks and opportunities assessment covers:

- Acute and chronic climate physical risks; and
- Climate transition risks and opportunities including legal and regulatory, market, technology, liability, and reputational.

(1) The seven targets are: SSI-target #1) Grow Schneider Impact revenues; SSI-target #2) Help customers save and avoid millions of tonnes of CO2 emissions; SSI-target #3) Reduce CO2 emissions from top 1,000 suppliers' operations; SSI-target #4) Increase green material content in Group's products; SSI #5) Primary and secondary packaging free from single-use plastic, using recycled cardboard; SSI-target #9) Provide access to green electricity to 50M people; and SSI #11) Train people in energy management.

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Building on this assessment, the Group evaluates both existing and potential impacts on greenhouse gas (GHG) emissions and its decarbonization pathway. It has conducted a comprehensive review of its activities and supply chain to understand sources of emissions today and in the future. This understanding enables Schneider Electric to systematically calculate, disclose, and manage its end-to-end carbon footprint across Scopes 1, 2, and 3, in alignment with the Greenhouse Gas Protocol's Corporate Accounting Standard and Corporate Value Chain (Scope 3) Standard. Reported emissions are assured by independent third-party verification to ensure accuracy.

Schneider Electric has integrated climate-related scenario analysis into its risk management framework, to identify and assess its physical and transition risks and opportunities over the short, medium, and long term.

For the past 3 years, the Group has engaged with a specialist in climate scenario analysis and portfolio risk assessments to conduct its climate risk analysis annually.

Schneider Electric uses the Resilience platform to assess both transition and physical climate risks. The assessment covers the entirety of the Group's revenue base, ensuring that transition risks are modeled across all business activities globally. For physical risks, the modeling covers all Schneider Electric sites, using consolidated facility data from the Group's real estate database. While the full site footprint is included, the value-at-risk outcomes are largely driven by industrial sites, because only these sites have revenue attributable at site level in the model. Consequently, most of the financial exposure relates to potential impacts on revenue, whereas asset-damage effects represent a comparatively smaller share of the total value at risk under climate change scenarios.

Models were built using company data on financial projections, geographical and sectorial market, GHG emissions, as well as facilities worldwide. The models take into account the market expected evolution, depending on the five emission pathways.

These pathways define possible future emission scenarios that explore how global society, demographics, and economics will affect global GHG emissions, and resultant radiative forcing and global temperature rise. These scenarios are derived from the Shared Socioeconomic Pathways (SSPs), which form the basis of the Sixth Assessment Report (AR6) from the Intergovernmental Panel on Climate Change (IPCC). These models and their underlying assumptions align with the most recent pathways published by the Network for Greening the Financial System (NGFS) in their Phase V update.

The scenarios are the following:

- **Net Zero 2050** limits global warming to 1.5°C through stringent climate policies and innovation. Physical risks are relatively low but transition risks are high.
- **Below 2°C** gradually increases the stringency of climate policies, giving a 67% chance of limiting global warming to below 2°C. Net-zero CO₂ emissions are achieved after 2070. Physical and transition risks are both relatively low.

- **Nationally Determined Contributions (NDCs)** includes all pledged policies even if not yet implemented. Emissions decline but lead to 2.3°C of warming associated with moderate to severe physical risks. Transition risks are relatively low.
- **Current Policies** assumes that only currently implemented policies are preserved. Emissions grow until 2080 leading to about 3°C of warming and severe physical risks with irreversible changes like higher sea level rise. This scenario highlights the long-term physical risks to the economy and financial system inherent in a global trajectory toward a "hot house world".
- **Fragmented World** assumes delayed and divergent climate policy ambition globally, leading to high physical and transition risks. Countries with net-zero targets achieve these only partially, while the other countries follow current policies.

These five scenarios are evaluated over 5-, 10-, and 30-year horizons. This analysis allows the Group to identify climate risks and build resilient strategies that navigate economic transitions while capitalizing on low-carbon opportunities.

Although climate risks are evaluated under each of the five emission pathways, climate physical risk quantification retained to support resilience strategic decisions is based on the Current Policies scenario, a high-emissions scenario, corresponding to a 3°C rise in global temperatures by 2100. The scenario analysis quantifying the influence of climate change on the exposure of Schneider Electric's sites towards extreme weather events and natural hazards is combined with on-site audits conducted by external consultants who develop site vulnerability profiles at least every two years for the critical sites and every 3 to 7 years for the other industrial sites.

The scenarios used are linked to the climate-related assumptions made in financial statements. The potential impacts from the climate-related matters on the Group's assets and liabilities measurement as well as on significant judgments and estimates, have been analyzed through both climate transition risk and opportunities, physical risks perspective, and climate external commitments perspective. Climate scenario analysis is used by the corporate finance team to conduct a sensitivity analysis on the annual impairment test of all the Group's cash generating units' assets, assessing the potential impact of climate physical and transition risk on the Group's future cash flows.

The Global Environment Event Reporting and Alerts Directive (GED 003) establishes standardized rules for reporting environmental events and issuing alerts across all Schneider Electric sites and operations. The relevant SERE (Safety, Environment, and Real Estate) leader shall determine if an investigation is warranted. For severe environmental incidents, the SERE leader of the site is required to escalate the report up to higher management within 48 hours, to ensure the appropriate level of response and accountability within the company. They shall develop, manage, and resolve the investigation and any action plan as well as documenting lessons learned with the affected stakeholders.

Climate physical and transition risks

Type of risk	Description	Results of the assessment	Measures to address risks
Physical risks			
Acute physical risk	Schneider Electric has over 300 industrial and logistics sites globally and is exposed to both acute and chronic effects of climate change. These impacts could result in damage to assets, disruption to business operations, as well as human and environmental consequences. The immediate effects of climate change, known as acute physical risks, can manifest as more frequent and severe natural hazards, such as intensified hurricanes or floods. Extreme weather events would not only directly affect the Group's operations but could impact crucial infrastructures like power plants, electrical grids, data centers, and transportation networks. In response, climate and weather-related risks are integrated into the Group's Business Continuity Planning and Risk Management programs, leading to preventive investment to secure assets and adapt to material climate and weather risks. These include activating contingencies to shift production from affected sites to unaffected ones, as well as site-specific adaptation actions such as fire sprinklers, flood response plans, and heat preparedness trainings for workers.	Physical risks to Schneider Electric's value chain are assessed through climate risk modeling, using a suite of global maps to assess the likelihood of occurrence of extreme climate-related events, including heatwaves, freeze events, droughts, coastal/flash/riverine floods, temperate and tropical windstorms, and wildfire. Potential financial impacts could be driven by: • Losses and damages to Schneider Electric operations and enabling infrastructures; • Business disruption due to logistics bottlenecks; and • Cost increase, risks of scarcity, and insecurity of raw materials supply. In each case, the probability of a hazard event at a given location is combined with a specified vulnerability function to define the expected disruption. Under a Current Policies pathway (based on SSP3-7.0) and without any risk mitigation considered, out of 309 sites assessed, 186 (60%) will face a high likelihood of being exposed to physical risks by 2050. On top of the climate risk assessment, quantification of short-term climate risks is coupled with an on-site evaluation of the major risks, including flooding and fire. Each critical site is assessed regularly by independent global risk experts from Global Risk Consultants, thereby defining potential financial impacts as well as the cost of response. Critical sites are the top 58 sites in terms of revenue dependency for the Group and key logistic hubs.	Climate-related physical risks in Schneider Electric's own operations and along the value chain are managed through an end-to-end process spanning from upstream value chain, own operations, down to logistic and transportation activities to ensure supply chain flexibility and resilience is continually improved. A comprehensive Business Continuity Planning (BCP) strategy has been deployed to identify and measure risks, prevent and protect against incidents, detect in advance any potential event, and respond appropriately in case of crisis to contain impact and ensure business continuity. In 2025, Schneider Electric continued embedding the BCP strategy across its top 58 sites, simulating supply chain disruptions and activating contingency plans to pivot production from one site to another. The Group has also engaged into a multi-tier mapping of its supply chain to improve visibility and risks monitoring. The Group has developed a risk mitigation approach with strategic stocks in the short term and a double sourcing strategy in the medium term. Risk profiles of industrial sites are regularly updated, and adaptation measures are taken accordingly. The Group leverages on climate scenario analysis to reinforce the short-term risk identification and quantify medium- and long-term climate physical risks, thus supporting decision-making processes impacting those time horizons. To date, the magnitude of impact is considered medium to low, as there has been no material loss over the past ten years, however the Group is proactively monitoring this risk.
Chronic physical risk	In the long term, the severity of physical impacts will vary based on society's ability to reduce human-induced climate change. However, even with mitigation efforts, the IPCC is highly confident that climate change will lead to numerous risks for natural and human systems beyond 2040. These include rising temperatures, reducing worker productivity and increasing cooling costs, as well as water scarcity, increasing the costs to procure or treat water in water-stressed locations for both workers and production processes. Schneider responds to these risks through site-specific adaptation actions such as upgrading HVAC systems to respond to cooling requirements	These critical sites are surveyed every two years, while the other industrial sites are audited less frequently. In these audits, the risks experts measure and weigh: • Passive (exogenous) threats relating to floods, hurricanes (windstorms), earthquakes, construction, and occupancy; and • Active (endogenous) risks relating to physical protection, human exposure, natural hazards, and business continuity planning.	

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Type of risk	Description	Results of the assessment	Measures to address risks
Physical risks			
	and action plans around water usage and recycling rates on sites, reducing its reliance on external supply in water stressed regions.	Risk profiles of each site are then regularly updated following the on-site audits (60 to 80 audits are conducted every year), and recommendations of adaptation measures are made to mitigate and adapt to identified risks.	
Transition risks			
Policy risk	As climate urgency intensifies, regulation appears as a key lever in driving a faster and more coordinated transition. Climate regulations may result in additional requirements and fees, or restrictions on certain activities or materials, impacting primarily companies slowing down the transition and creating opportunities for companies leading the transition towards a low-carbon economy. Schneider Electric anticipates possible financial impacts of future carbon emission costs by addressing both its operational and value chain footprints. Given the relatively low share of the Group's Scope 1 and 2 emissions in its carbon footprint, carbon pricing mechanisms primarily present the potential for impact on the Group's value chain. Among others, it could result in higher raw materials and manufactured components costs, and increasing costs incurred by consumers during the use of sold products. Schneider Electric could benefit from these regulations compared to slower-moving competitors.	Schneider Electric identifies climate-related transition risks and opportunities across its operations and value chain using scenario analysis. This assessment is integrated into the Company's Enterprise Risk Management (ERM) framework. Schneider Electric's climate risk assessment indicates that under the Below 2 degrees NGFS scenario (based on SSP1-2.6), policy, liabilities, and reputation represent the most significant transition risks, while risks associated with technology and market shifts remain low at this stage. In the short term, the Group anticipates that its markets will experience strong growth between 2025 and 2030 with an increase in addressable market compound annual growth rate (CAGR) to between +6% and +7%. The acceleration of global electrification and digitalization, the rapid industrial adoption of AI driving massive demand for compute-intensive and energy-efficient infrastructure, and the fragmentation of the global economy into a more multi-polar and localized investment landscape are creating strong structural tailwinds across Schneider Electric's core markets in energy management, automation, and digital infrastructure.	Specific mitigation and adaptation strategies have been engaged, including: - Decreasing GHG emissions along the value chain, reducing exposure to carbon pricing mechanism; - Accelerating product eco-design, improving its efficiency and emissions profile, and adapting offer portfolio to meet the growing demand for low-carbon products and services; - Driving the transition towards a sustainable economy within Schneider Electric's value chain, reducing risk from inaction; and - Avoiding locked-in emissions and the risk of stranded assets. The Group addresses these priorities strategically: - Decarbonization: Executing its Net Zero commitment across the entire value chain. - Vigilance: Implementing global responsible marketing guidelines and a robust ESG screening process for customer project selection. - Compliance: Strictly managing current and up-coming environmental regulations to ensure compliance. By understanding and preparing for these megatrends, Schneider Electric can align its strategy with market demands, anticipate customer needs, adapt to changing landscapes, and provide innovative solutions that address the challenges and opportunities arising from these trends, ensuring the resilience of the Group's strategy and business model.
Market risk	The growing demand for electrification and efficiency solutions and services generally presents a significant business opportunity for Schneider Electric. In addition, the Group explores ways to improve the end-to-end environmental footprint of its products with innovations, such as SF₆-free medium voltage switchgear. Markets can evolve towards more environmentally sustainable alternatives, supported by regulation change or customer preference. This is a critical element of the Group's sustainability goals and eco-design strategy.		

Type of risk	Description	Results of the assessment	Measures to address risks
Reputational risk	Customer trust can be influenced by companies' actions or inaction to mitigate and adapt to climate change. Schneider has been working to reduce its own GHG emissions for 20 years, setting ambitious targets for both its operations and its value chain. The Group actively manages this risk by building and executing detailed roadmaps for its targets and collaborating with its stakeholders. The Group remains diligent in protecting brand reputation through accurate and transparent communication and marketing.	In the medium and long terms, the Group expects that world economies will continue to encourage decarbonization, requiring greater investment and readiness to meet the demand for electrification and efficiency solutions. The megatrends assessed will thus continue to be relevant. By tracking megatrends, identifying transition events, and assessing asset and activity exposure, Schneider Electric aligns strategy with market needs, anticipates customer expectations, and delivers innovative solutions consistent with climate-related public policy and long-term horizons beyond ten years.	The megatrend analysis and associated market risks and opportunities are updated on a yearly basis to inform the Group's strategy, including offer portfolio and R&D strategy, partnership strategy, and commercial strategy.

The insights gained from the impacts, risks and opportunities identification process, along with the climate scenario analysis, highlight the priority opportunities for Schneider Electric to lead the acceleration of the energy transition and build resilience over the value chain. By leading the convergence of electrification, automation, and digital intelligence, the Company helps customers unlock the full value of energy and resources, simplify complexity, and achieve smarter, more efficient operations across all sectors. While mitigation efforts must continue to be prioritized to curb the

anthropogenic greenhouse effect, climate change is a lived reality reshaping ecosystems and economies. Expert organizations agree that inaction is not an option and Schneider Electric identifies opportunities in acting early to avoid losses, and improve efficiency, and innovation, driving long-term resilience over its value chain. Through science-based assessments, nature-based solutions, and strategic partnerships, Schneider Electric is committed to leading this shift and turning risk into opportunity.

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Associated financial effects

Physical risks

Schneider Electric employs a comprehensive process to assess physical risk financial effects, integrating scenario analysis (across five pathways) with the Group's broader risk management strategy. This includes an ISO 22301-aligned program that maps substantive financial risks (asset destruction, profit loss) and ensures continuity from incident to recovery.



Please refer the [section on "Climate physical and transition risks"](#) for more information on the assessment of climate physical risks.

Under the Current Policies scenario (SSP3-7.0), the Group assessed 309 sites, identifying 186 (60%) with high exposure to climate-related hazards by 2050. The specific exposure profile of those sites is detailed below:

Physical risk	Number (%) of sites highly exposed to risk by 2050	Countries represented (alphabetical order)
Coastal Flood	2 (0.6%)	China, India
Drought/Water Stress	30 (9.7%)	Australia, Egypt, India, Israel, Mexico, Panama, Saudi Arabia, United Arab Emirates, United States
Flash Flood	143 (46.3%)	Argentina, Australia, Brazil, Canada, Chile, China, Colombia, Costa Rica, Hong Kong, Indonesia, India, Japan, South Korea, Sri Lanka, Malaysia, New Zealand, Philippines, Singapore, Thailand, Taiwan, United States, Vietnam
Freeze	10 (3.2%)	Canada, China, Finland, Italy, Kazakhstan, United States
Heatwave	80 (25.9%)	Australia, Brazil, China, Egypt, India, Israel, Italy, Japan, Mexico, Panama, Portugal, Puerto Rico, Saudi Arabia, South Africa, Spain, Türkiye, United Arab Emirates, United States
Temperate Windstorm	9 (2.9%)	Australia, Canada, Finland, France, Japan, New Zealand, Sweden, United Kingdom
Tropical Windstorm	1 (0.3%)	Taiwan

Despite this exposure, the magnitude of financial impact is considered medium-to-low, with no material losses over the past decade. Consequently, the residual value of assets in at-risk locations is immaterial, with no current risk of impairment. As the financial impact is immaterial, specific monetary values are not disclosed.

To mitigate risk from business disruption, Schneider Electric has implemented a supply chain resilience strategy with the objective of having 100% of critical distribution centers capable of redirecting more than 80% of the flows within five days. In addition, flooding and fire-related adaptation measures identified during site audits are implemented within one year of audit recommendations.

Transition risks

While the Group does not disclose a granular itemization of specific assets and business activities incompatible with the transition to a climate-neutral economy, the transition risks identified in Schneider Electric's assessment are directly linked to its activities perceived as non-aligned with a low-carbon economy. These risks primarily include policy risks, reputational exposure and liability risks, as further detailed in the "Climate physical and transition risks" table. Currently, there are no liabilities from material transition risks recognized in the financial statements.

Transition events may impact medium-to-long-term cash flows but Schneider Electric anticipates short-term growth driven by electrification and digitalization.

Please refer to the above section Climate physical and transition risks for more information on the assessment of climate transition risks.

Under the most likely climate pathways, the unmitigated impact on discounted cash flows over the next decade is immaterial. However, given the Group's Net-Zero commitments and active mitigation strategies, sensitivity analysis confirms no impairment risk (stranded assets) regarding climate transition risks.

2.2.1.3 Policies related to climate adaptation, mitigation, and energy

Group policy

Getting to Net-Zero is going to take more than commitments and technologies. Policies underpin the pace and the progress that the world will be able to make towards decarbonization.

The Group will advocate in favor of policies that accelerate electrification, digitalization, and decarbonization, remove barriers to scaling carbon-reduction/removal technologies, deploy market and pricing mechanisms for informed carbon decisions; and empower consumers through transparent, universal standards on product carbon content.

Schneider Electric's Environmental Sustainability Policy defines its readiness and ambition to go beyond the regulatory requirements and achieve voluntary sustainability commitments and targets.

The policy focuses on reducing GHG emissions, enhancing energy efficiency, increasing the use of renewable energy, and implementing climate adaptation strategies. It includes specific targets for the journey towards Net-Zero emissions, as well as initiatives for energy-saving technologies and sustainable practices.

- Reduce its energy and environmental footprint, via the prevention and mitigation of environmental impacts, including GHG emissions, energy, pollution of air, water, and soil, hazardous substances, water, biodiversity, and resource use.
- Avoid locked-in emissions: The group aim at phasing out fossil fuel dependencies for long-lived assets in new investment projects.
- Define and deploy environmental best practices in operations, offices, and properties; aligning its approach with major energy and energy efficiency programs.
- Strive for resilience, adapting its operations, supply chain, and investments to mitigate risks from climate change and natural capital depletion.

This engagement goes beyond Schneider's own operations, as the Group:

- Engages with suppliers, contractors, partners, and customers in its energy and environmental excellence journey by participating in global coalitions that advance environmental sustainability and by adopting frameworks that promote responsible practices.
- Selects partners, contractors, and suppliers compliant with environmental regulations.
- Regularly assesses environmental risks in its value chain and works to reduce these risks relying on relevant third-party certifications or ratings.
- Develop key technologies and processes that mitigate negative environmental impacts and climate change, while creating positive environmental contributions to pivot into the green market and circular economy.

Scope and updating process

The Environmental Sustainability Policy applies to Schneider Electric operations, including manufacturing sites, offices, and the supply chain. It ensures a consistent approach to climate change adaptation, mitigation, and energy management across the Company.

It is developed and updated with input from key stakeholders, including employees, customers, suppliers, and regulatory bodies, ensuring that their interests and concerns are addressed. It is approved by the Chief Sustainability Officer and drafted and updated by the Global Environment team, and Global Supply Chain Sustainability.

It ensures compliance with international standards such as ISO 50001 for energy management, ISO 14001 for environmental management systems, and applicable environmental regulations. Going further, the policy ambitions to align on best practices and put Schneider on a trajectory that supports the global achievement of the Paris Agreement.

Governance and communication

The Global Environment team oversees the policy's implementation, with senior management and the Board of Directors actively involved in the governance.

All relevant stakeholders are informed about the policy, including employees from the businesses, global supply chain, the operations and corporate functions, suppliers, partners, and customers, through internal communications, training programs, and public disclosures, ensuring that those affected and responsible for implementation are well-informed.

2.2.1.4 Actions related to climate change adaptation, mitigation, and energy

Based on the risks and opportunities identified in **section 2.2.1.2**, concrete actions for the 2021-2025 period were defined, monitored and shared transparently in the Schneider Sustainability Impact (SSI), and the Schneider Sustainability Essentials (SSE).

Climate change mitigation

The key actions to support climate change mitigation are aligned with Schneider Electric's long-term sustainability goals and cover all Schneider Electric industrial and tertiary sites worldwide, key upstream suppliers, and logistics partners, and address employees and operational teams across the Group.



For further information related to Schneider Electric's commitments please refer to **section 2.2.1.1 Climate strategy**.

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Scopes 1 and 2

For Scopes 1 and 2 emissions, the decarbonization levers are:

- Energy sufficiency and efficiency actions at sites: This lever encompasses actions resulting in a decrease of energy consumption of a site, with either (i) no change of the form of energy that is consumed, or (ii) a change from a fuel to another fuel (e.g., from fuel oil to natural gas) but not to electricity (captured through another dedicated lever). For manufacturing and distribution centers, the Group has defined a priority list and has planned to invest progressively on more electrification, and sustainable and efficient systems (e.g., heat pumps, microgrids, solar panels, thermal insulation) between 2024 and 2030.
- Electrification projects at sites: This corresponds to actions resulting in a change of the form of energy that is consumed for a site, from fuel or gas consumption initially towards electricity consumption after implementation of the action.
- Renewable electricity sourcing: This lever consists in acquiring renewable electricity through various means; bundled or unbundled renewable electricity certificates, or on-site generations. The Group aims to reach 100% of electricity from renewables by 2030.
- Electrification of fleet: This is specifically for company vehicles, and this corresponds to transitioning from fossil-based vehicles (gasoline, diesel, or LPG) towards electrified vehicles (preferably 100% pure EVs), including the installment of EV chargers. The Group plans to shift one third of company fleet to electric vehicles by 2025.
- Reductions in SF₆ leaks: This lever captures any action that results in a decrease of the SF₆ leakage happening on sites, due to a reduction of leakage rate (e.g., better monitoring in place) and/or the impact of the SF₆ phase-out plan (less products being sold with SF₆ gas).

Since the action plan on climate change mitigation on Scopes 1 and 2 heavily relies on a shift towards lower GHG emissions from energy consumption, the action plan on energy consists of the same actions described above, except the ones related to SF₆, since they address other GHG sources than energy consumption.

Scope 3

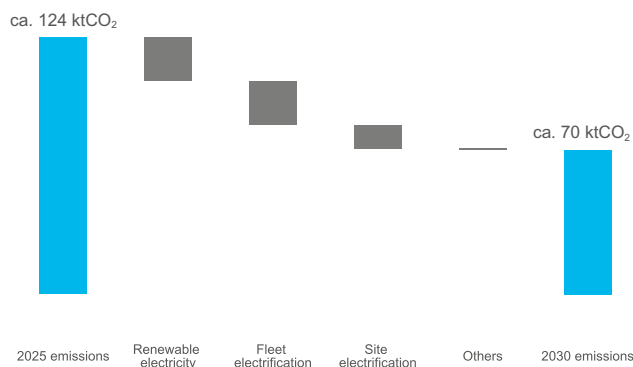
For Scope 3 emissions, the main decarbonization levers are the following:

- Transversally to upstream and downstream Scope 3 emissions, the eco-design of products to lower their carbon and environmental footprint: on the upstream side, this means designing products with lower volumes of materials, and replacement of some materials with lower-impact materials; on the downstream side, eco-design reduces emissions during product's use phase by improving product energy efficiency.
- On the downstream Scope 3 side specifically, the phase-down the use of SF₆ in Schneider Electric products, thanks to the technological innovation of the AirSeT range of circuit breakers, which only rely on vacuum and air for electrical insulation.
- On the upstream Scope 3 emissions specifically, suppliers' engagement: Schneider Electric has developed a robust supply chain engagement, called The Zero Carbon Project (TZCP) for the past 5 years and now revamped into The Zero Carbon Pathway. It is meant to help the main suppliers to reduce their emissions, by deploying levers of energy efficiency, electrification and renewable energy adoption. For more details on TZCP, see the "Supplier engagement for value chain decarbonization" section below.

Other decarbonization levers are identified, especially for reducing air freight and air travel. And, from a systemic perspective, Schneider Electric promotes the transition to low-carbon sources of electricity.

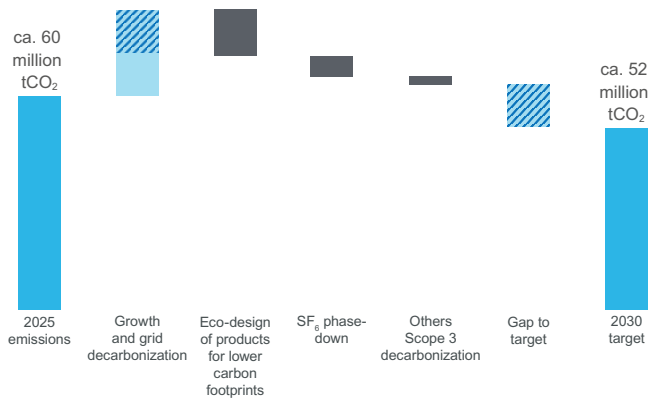
The quantitative contributions of these levers to achieve GHG emissions targets by 2030 are shown in the below graphs:

Decarbonization actions on Scopes 1 and 2 towards 2030 target



The lever of energy sufficiency and efficiency actions is not displayed distinctly, however it is a crucial element in order to limit and even reduce the energy consumption in the first place.

Decarbonization actions on Scope 3 towards 2030 target



Given the uncertainty of long-term GHG modelling, planning is limited to 2030, and 2050 targets are not shown. The Group expects existing decarbonization levers to remain relevant and to expand, with new options emerging through technological innovation. Also, the Group is looking towards continuous improvements in carbon accounting in order to reflect more decarbonization activities into the GHG Inventory. For instance, this encompasses situations when suppliers or customers are making progress for reducing their Scope 2 emissions from electricity consumption by sourcing renewable electricity. While this is not necessarily reflected into the Scope 3 emissions from Schneider Electric at this stage (see the section **"Inclusion of market-based accounting approach in the GHG inventory, and dual reporting of Scope 3 Upstream emissions"** on page 83), the Group will actively monitor progress in both technical innovation and carbon accounting practices.

For the Scope 3 target for 2030 specifically, the forecasting exercise reveals a possible gap with target, due to the dependence on external factors such as the rate of decarbonization in the electricity grid and in the industrial sector. The gap to target on the Scope 3 graph appears under more conservative assumptions of slower decarbonization of electricity generation (which is heavily impacting the Scope 3 emissions, especially use phase of sold products, in category 11). Indeed, as a central assumption, the Group is using the Stated Policies scenario from the International Energy Agency in terms of projected emission factors from electricity generation. This corresponds to the scenario in the graph for which there would not be a gap to target. However, if the electricity grid were to decarbonize at a slower rate than what is anticipated in the Stated Policies scenario, a gap to target could appear, that is why the Group will monitor closely the evolution of the decarbonization of the grids, among other external factors, and will adapt the decarbonization strategy accordingly.

In order to ensure there are no severe pitfalls for successfully implementing the decarbonization actions, Schneider Electric has looked into material locked-in GHG emissions in the activities of the Group.

For Scopes 1 and 2, since there is no asset operated by Schneider Electric that would represent more than 5% of the Group's emissions, there is no key asset with material locked-in emissions (indeed, the Group is using 5% as materiality threshold, as suggested by the SBTi framework). However, the Group identified some manufacturing sites with gas-intensive manufacturing processes, and is actively looking for ways to electrify these processes and there is no impediment to implement the transition plan from this viewpoint.

On the Scope 3 side, the European Sustainability Reporting Standards (ESRS) invite to look at locked-in GHG emissions from the perspective of the use of sold products (i.e., category 11 in the GHG Protocol framework). In conformance with GHG Protocol standards, these emissions are being estimated based on sales in the reporting year, with a forward-looking perspective on what the future GHG emissions of the products will be, from a lifetime perspective. The methodology that will be applied in 2030 will follow the same logic (i.e., products sold in 2030), hence there is no anticipated impediment to achieve the climate targets due to this methodological considerations.

Supplier engagement for value chain decarbonization

Schneider Electric's Zero Carbon Project (TZCP) is a supplier engagement program to collaborate with the top 1,000 suppliers and reduce their Scopes 1 and 2 GHG emissions intensity by 50% by 2025 - this target was achieved and exceeded. Participating suppliers quantify their operational footprint (Scopes 1 and 2; Scope 3 optional), make public reduction commitments, implement actions, and report progress to Schneider Electric.

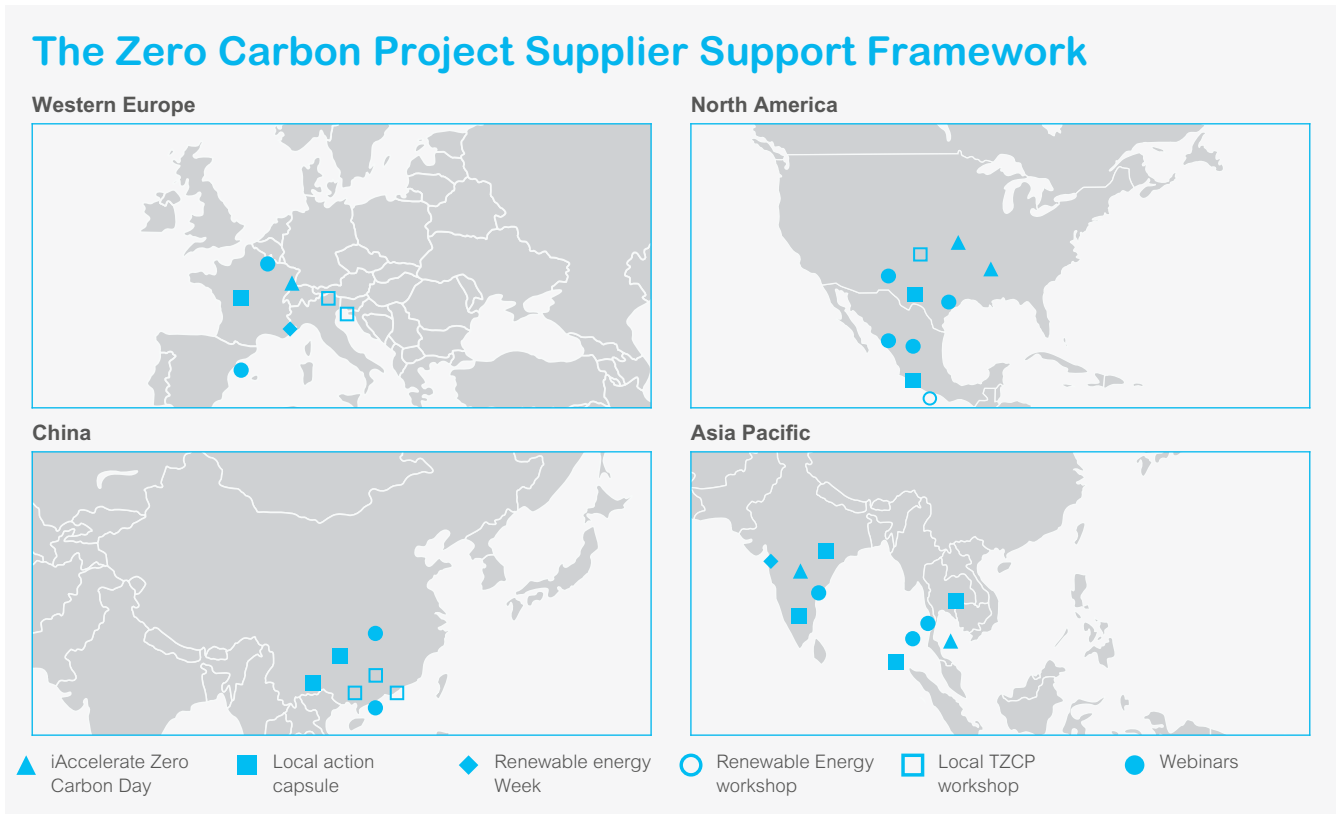
Spanning 50+ countries and 65+ procurement categories with varied maturity and size, the program allows suppliers to tailor their plans (base year, baseline, targets, and timelines). In 2025, prior initiatives matured and continued to deliver reductions, while tailored support was deployed across regions, including:

- Local action capsule: on-site support from sustainable procurement experts across China, India, East Asia, Europe, Mexico, and the US to identify bottlenecks and provide remediation; complemented by horizon scanning and market analysis to connect suppliers with specialized implementation partners.
- Renewable Energy Week: digital consultations with experts on renewable adoption.
- Renewable Energy workshops: customized deep-dives with experts.
- Local TZCP workshops: country/province sessions to address local implementation challenges.
- Thematic webinars: expert sessions on key decarbonization levers reaching broad supplier audiences.
- Sustainable Supply Chain Finance (pilot): early payment for suppliers meeting performance thresholds to improve capital access.
- Supply Chain Renewable Initiative: raising awareness of renewable instruments and potentially forming supplier cohorts to access them.



For more information on the above points, please refer to [section 1.1.2 on SSI and SSE on page 7](#).

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Climate change adaptation

Schneider Electric has implemented a wide range of actions and allocated resources to address climate change adaptation with different time horizons, covering Schneider Electric industrial and tertiary sites worldwide, key upstream suppliers, and logistics partners, and address employees and operational teams across the Group.

By 2030, Schneider Electric commits to conducting a Climate Risk Assessment on all its sites under management.

For all large sites identified at material risk of climate hazards, Schneider Electric commits to implement site-specific climate adaptation measures by 2030.

⊕ For more information, please refer to [page 61 section 2.2.1.2 Climate-related impacts, risks, and opportunities](#).

Schneider Electric's climate physical risk assessment and climate adaptation actions can be categorized as follows:

1. Risk identification and assessment:
 - Scenario analysis: Schneider Electric conducts forward-looking climate risk and vulnerability assessments using scenario analysis to understand how the exposure of its sites and value chain may evolve with climate change. This climate physical risk quantification is performed on all industrial sites, the main tertiary buildings in which the Group is operating, and suppliers in critical purchasing categories. For further details please refer to the Impacts, Risks & Opportunities (IRO) section.

- Site risk assessments: Recognizing the unique exposure and vulnerability of different sites, Schneider Electric performs on-site audits and assessments to evaluate the specific risks and vulnerability profile of individual sites. These assessments are conducted by independent risk experts. Between 60 and 80 site audits are performed per year, to review each key manufacturing site every three years. For further details on these audits please refer to the IRO section.
- Supply chain risk assessment: Schneider Electric assesses the climate risks within its supply chain with a multi-tier supply chain mapping, considering factors such as the geographical location of suppliers, the potential for disruptions to transportation and logistics, and the availability of critical resources to manufacture its products.

2. Adaptation measures to detect and protect against climate risk:
 - Technological adaptation solutions: Schneider Electric leverages technology to enhance climate resilience, such as implementing early warning systems for extreme weather events. Those risk detection measures cover all of Schneider Electric's manufacturing and distribution sites as well as major logistic hubs. The early warning systems are integrated into its business continuity plans for the highest priority sites, triggering redirection of production flows should severe weather events occur.

- Engineered and built environment adaptation solutions: These solutions include measures like flood gates, water storage and pump storage, or improved drainage to protect physical assets from climate-related hazards. Those adaptations measures aiming at reducing site vulnerabilities are taken within the year following recommendations from on-site audits of key industrial sites. For further details on these audits please refer to the IRO section.
 - Educational adaptation solutions: The Company focuses on raising awareness and building knowledge about climate change adaptation through trainings on the appropriate responses to chronic and acute risks, including behaviors to deal with heat stress and flood evacuation drills.
 - Behavioral adaptation solutions: Schneider Electric implements business continuity plans and crisis management standards to prepare for potential natural hazards, minimizing disruptions and ensuring the safety of its workforce. Business continuity planning is a Company-wide process covering all industrial sites and all tertiary sites with more than 50 people.
- 3. Supply chain resilience:**
- Power of Two in Manufacturing: This initiative focuses on qualifying alternate factories for the same products and suppliers for all critical parts and components, ensuring the continuity of supply and mitigating the risk of bottlenecks. Supply risks are qualified and both short- (< 1 year) and long-term (by 3 years) risk-mitigation measures are implemented.
 - Out of the 186 sites with a high likelihood of enduring extreme weather events by 2050 under the Stated Policies scenario, 101 (54%) have a back-up site able to take part of its load. The Power of Two strategy has proven its efficiency on many occasions already, and has continued to be embedded extensively across its sites throughout this year, with simulated diversions of production between sites.
 - Dynamic control towers: The Company utilizes dynamic control towers to monitor traffic and events in real-time across its logistics network and partners, allowing for proactive adjustments and responses to potential disruptions.

2.2.1.5 Investment and resources

Resources allocated to transition plan

During the reporting year, Schneider Electric invested EUR 55 millions CapEx and EUR 63 millions OpEx to support the implementation of its transition plan, mainly on electrification projects of sites and SF₆ phase-down initiatives. These spendings are classified in alignment with the Company-wide decarbonization levers, however tracking currently only covers Scopes 1 and 2 on a Company-wide basis.

Overall, to implement the objective of achieving the “Net-Zero ready” target in operations and the Scope 3 target by 2030, it is estimated that around EUR 300 million will be spent from 2026 to 2030 in CapEx, primarily in electrification of sites, and in supporting the shift towards SF₆-free products. In terms of OpEx, the Group will continue investing in the eco-design of its products to reduce their carbon footprint (including initiatives to source materials with a lower carbon footprint) as well as in phasing down SF₆ across the portfolio. These expenses are not considered as material over the 2026 – 2030 period.

The implementation of decarbonization actions is not materially dependent on the availability and allocation of resources. However, the rate at which Schneider Electric can implement emission reductions is dependent on many other factors that can change over time; these include business growth and geographic distribution, supplier mix and suppliers’ decarbonization journeys, and the rate of decarbonization of the grids that power the Group’s products.

Climate change mitigation and energy

Financial resources allocated to the action plan on climate change mitigation are both operational expenditures and capital expenditures.

CapEx are needed to fund the installation of heat pumps and EV chargers in order to decarbonize sites and the Company fleet. Capital is also being spent on industrial processes of manufacturing sites, in order to transition from SF₆-based to SF₆-free products (the AirSeT range of offers). Additionally, any new investment must include a sustainability assessment (GHG lifecycle, energy efficiency, electrification, circularity, resilience), and low-carbon options are prioritized in alignment with the Group’s Net-Zero pathway.

For the R&D expenditures, there is no dedicated additional expenditures for the reduction of Scope 3 emissions, since it is already embedded into eco-design strategy of the Group’s offers:

- A dedicated sustainability program has been launched as part of the new sustainability ambition of the Group. This program called “Future-Designed”, aims at having 100% of major offers in design demonstrating circular and environmental excellence by 2030.
- For all offers, a process to follow carbon footprint evolution at an early stage of new product development has been implemented, to reduce the footprint of future generations of products.

2. Sustainability statements

The Group committed on a step up in R&D in coming years, from a circa 6% to 7% of Group revenues, with a strong focus on sustainability.

Beyond R&D expenditures, other operational expenses engaged include sourcing low carbon materials, renewable electricity, especially for unbundled renewable electricity certificates, and expenses related to SF₆-free transition.



For more information on links of climate risks with financial statements, please refer to note 1.1 (page 499) and note 10.2 (page 511) of **section 5.5 Notes to the consolidated financial statements** of the 2025 Universal Registration Document.

Current financial resources allocated to action plans related to climate change mitigation and energy

In 2025, CapEx allocated to the climate change mitigation plan consists of:

- EUR 39 million on electrification projects at sites; and
- EUR 16 million on manufacturing sites to support SF₆ phase-down in the portfolio.



These categories of CapEx are included in the "Buildings" classification in Note 13 (page 514) of **section 5.5 Notes to the consolidated financial statements** of the 2025 Universal Registration Document.

The CapEx over the same time period for electrification of the fleet (e.g., installation of EV chargers) are not considered as material.

For the OpEx, EUR 63 million have been spent on the transition to SF₆-free products.

The operational expenditures over the same time period for the other decarbonization levers are not considered as material.

Future financial resources allocated to action plans related to climate change mitigation and energy

Anticipated financial resources allocated for the climate change mitigation plan are being estimated for the trajectory towards 2030 climate targets.

In terms of CapEx, this represents approximately:

- EUR 270 million on electrification projects of sites and fleet; and
- EUR 20 million on manufacturing sites to support SF₆ phase-down in the portfolio.

In terms of OpEx, the Group will continue investing in the eco-design of its products to reduce their carbon footprint (including initiatives to source materials with a lower carbon footprint) as well as in phasing down SF₆ across the portfolio. These expenses are not considered as material over the 2026 – 2030 period.

No additional capital expenditures have been identified on the decarbonization levers, and the operational expenditures for the decarbonization levers not listed above are not considered as material over the 2026 – 2030 period.

Climate change adaptation

Schneider Electric acknowledges that climate change adaptation requires financial investments, including CapEx for infrastructure upgrades and OpEx for risk assessments, training, and implementation of adaptation measures. Hence, it allocates both capital expenses and operating expenses to identify climate risks and support its Business Continuity and Risk Management program.

Current financial resources allocated to action plans related to climate change adaptation

Investments to support end-to-end supply chain resilience and climate change adaptation are reflected within Note 13 (page 514) of **section 5.5 Notes to the consolidated financial statements** of the 2025 Universal Registration Document and relate to:

- CapEx contributed to the building of multi-manufacturing capabilities and the regionalization of Schneider Electric's supply chain, mitigating business disruption risks.
- Part of the Safety, Security, Environment CapEx dedicated to the implementation of recommendations made during on-site risk assessments, reducing site vulnerability towards climate physical risks.

The Company incurs OpEx for project implementation, certification costs, and various activities related to identifying, detecting, and responding to climate risks.

Future financial resources allocated to action plans related to climate change adaptation

The Group will continue to invest in climate adaptation to secure a full end-to-end approach towards supply chain resilience.

Link with Taxonomy

In 2025, Schneider Electric reported 32% Taxonomy-aligned revenue (EUR 12,664 million) under Delegated Act (EU) 2021/2139, amended by the Delegated Act of July 4, 2025. This is comprised of 29% contributing to Climate Change Mitigation and 3% to the Circular Economy.

The Group expects its alignment to increase, notably thanks to the proactive substitution of hazardous substances in products to meet "Do No Significant Harm" criteria.

Please refer to **section 2.2.4 Methodology elements on EU Taxonomy** for more details on Taxonomy indicators, and chapter 5 of the 2025 Universal Registration Document for the **Consolidated financial statements at December 31, 2025**.



GHG removals and GHG mitigation projects financed through carbon credits

Schneider Electric's commitments with regards to GHG removals and GHG mitigation projects financed through carbon credits

Simply put, Net-Zero means balancing the carbon the Group puts into the atmosphere with the carbon it takes out, towards the point when the planet stops heating up.

Until then, the world keeps warming, which means preventing CO₂ entering the atmosphere and helping reduce atmospheric CO₂ today are critical to reducing peak warming and its consequences.

Schneider Electric believes that managing the Earth's climate over the coming years and decades is as important as managing it over the coming centuries, and that successful climate mitigation needs to focus both on short- and long-term time scales.

To this end, Schneider Electric's strategy includes near-term climate milestones alongside long-term ones, aligned with science and inclusive of the need to build the markets for Net-Zero.

Schneider Electric's strategy

Schneider Electric's strategy prioritizes deep reductions aligned with scientific trajectories and Group commitments (validated by SBTi), and a portfolio-based carbon credit strategy to address ongoing emissions on the short-term (by "taking responsibility for ongoing emissions"), neutralize residual operational emissions on the near and medium term and ultimately achieve Net-Zero across its value chain by 2050.

As of 2025, the Group is addressing all ongoing operational emissions, by financing and contributing to projects that avoid or remove carbon. These solutions play a vital role in building climate resilience, either by preventing CO₂ entering the atmosphere (carbon avoidance projects) or by helping reduce atmospheric CO₂ (nature-based carbon removals). These actions are available today and are critical to reducing peak warming and its consequences, complementing the Group's efforts to reduce emissions on the path to Net-Zero.

By 2030, Schneider Electric is committed to achieving "Net-Zero ready operations", by neutralizing all residual emissions from Scope 1 and 2 with a mixed portfolio (nature-based and tech-based) of high-quality carbon removals. As SBTi is currently revising the Net-Zero standard, it is expected to include requirements for scaling carbon removals towards Net-Zero, that will continue to inform the Group's strategy.

By 2050, Schneider Electric is committed to achieving "Net-Zero" by neutralizing all residual emissions with carbon removals.

2. Sustainability statements

GHG removals in own operations

The Group does not have GHG removals and storage, nor reversals of GHG resulting from projects developed in its own operations, or in its upstream and downstream value chain. Similarly, there are no GHG emissions associated with removal activity. Hence, calculation assumptions and disclosures on GHG removals and storage resulting from the Group's own operations are not applicable.

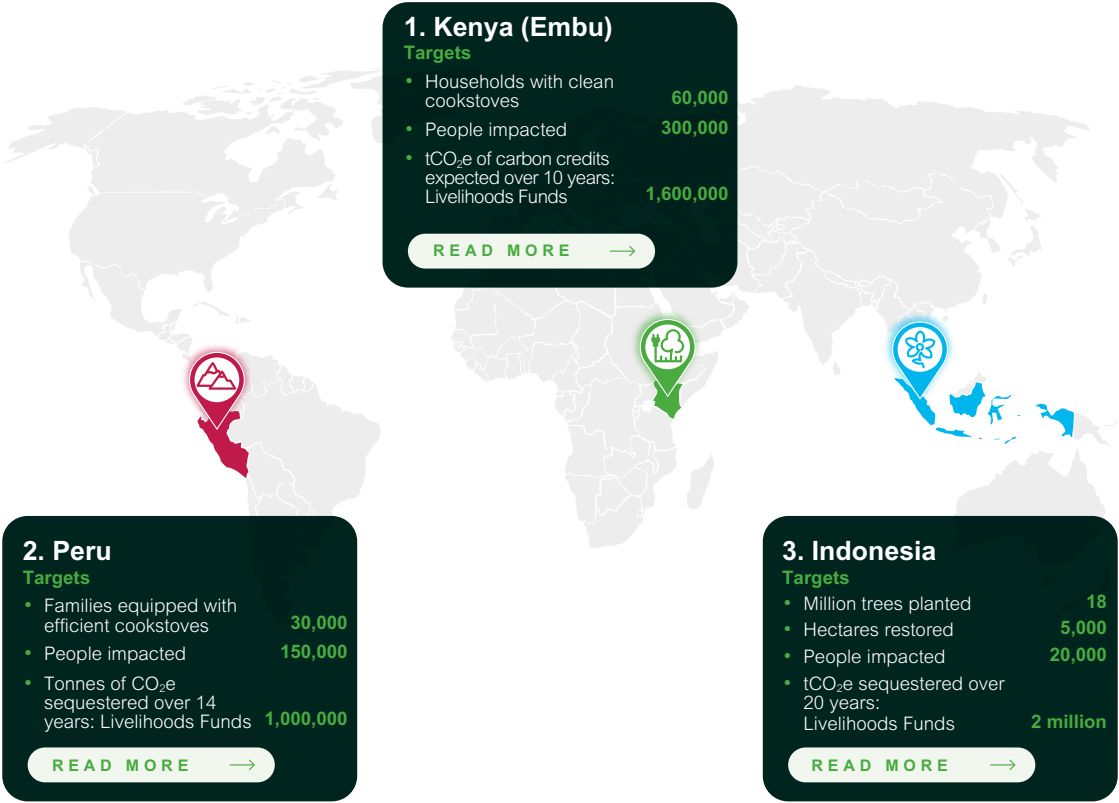
Carbon credits outside the value chain financed by Schneider Electric

Schneider Electric's investments in high-quality carbon credits projects go a long way back. Since 2011, Schneider Electric has invested in the Livelihoods Funds

Carbon Funds (LCF) and renewed its engagement with the LCF2 and LCF3 funds. These funds leverage the carbon economy to finance ecosystem restoration, agroforestry, and rural energy projects with tangible social, environmental, and economic added value for rural communities.

The return of the fund is measured in carbon credits from the highest available standards (VERRA and Gold Standard). Before 2025, these credits have not been used to address the Group's GHG emissions, but some reflected contribution investments connected to the Schneider Electric Paris Marathon and the Paris Olympics and have been canceled by those respective entities. As of 2025, the Group is using LCF credits towards its "ongoing emissions responsibility" commitment, to address 100% of ongoing Scope 1 and 2 emissions. These carbon credits will also form a large part of Schneider Electric's carbon removals portfolio, being necessary to achieve its 2030 Net-Zero ready commitment.

Global Livelihoods funds projects: Restoring ecosystems & empowering communities



In 2025, Schneider Electric's portfolio addressing ongoing operational emissions includes three projects, each contributing to climate resilience, community well-being, and ecosystems restoration:

1. The improved cookstoves project in Embu County, Kenya, Hifadhi 1 (83,102 tCO₂e) is mitigating deforestation through rural energy and agroforestry. Named "Hifadhi", which means "to preserve" in Swahili, this project distributed 60,000 improved cookstoves in three districts in Embu County (Embu East, Embu North, Mbeere South), located at the foot of Mount Kenya. Its main impact is that it decreases wood consumption by 60% compared to the traditional three-stone cookstove, as tests done by researchers at Kenyatta University in Nairobi have confirmed. This project will save 13,000 tons of wood and save more than 1 million tonnes of CO₂e over the project's life span of ten years. On the field, the project developer is Climate Pal, a joint venture between Carbon Manna Africa (40%), a Kenyan company, and EcoAct (60%) – now SE Advisory Services. In 2025, the project received an award from the Leuchtturm-Wettbewerbs der Stiftung Allianz für Entwicklung und Klima (Flagship-Competition for Climate Protection Projects).



2. The Qori Q'oncha improved cookstoves diffusion program in Peru (38,629 tCO₂e) is fighting deforestation and improving the health of families in the Andes. Started in 2016, the project is providing upfront financing to ITYF, a local NGO, to extend its efficient cookstoves project and provide communities with health and hygiene kits, and trainings. 30,000 households, among the poorest of Ayacucho and Huancavelica, are impacted by this program. The project is cutting wood consumption by 60%, avoiding the emission of more than 1 million tons of CO₂e in the atmosphere over 14 years.



3. The mangrove restoration and coastal greenbelt protection project in the east coast of Aceh and North Sumatra Province, Indonesia, Yagasu 1 (11,769 tCO₂e) is focusing on mangroves revitalising coastal villages with fishery and new businesses. Launched in 2011, the Livelihoods-Yagasu project restored mangrove forests, and as a result, increased the resilience of the local population in the face of extreme climate events. Between 2011 and 2014, Livelihoods-Yagasu project helped plant 18 million mangrove seedlings on 5,000 hectares to rebuild a natural mangrove barrier, that is essential to maintain life in these fragile areas. The 18 million trees planted will sequester more than 2 million tCO₂e over 20 years. Additionally, this project generates new sources of economic income. Local villagers can now increase their revenues by selling the by-products of the mangroves such as fish, crabs, mollusks, and natural dyes that could be made from the parts of the mangrove tree.



2. Sustainability statements

In addition, in September 2025, Schneider Electric has signed a multi-year agreement with Climeworks to remove CO₂, 31,000 tons of CO₂e by 2039, through high-durability solutions: Direct Air Capture and Storage, Bioenergy with Carbon Capture and Storage, and Enhanced Rock Weathering (all technological sinks). Each of these solutions can store CO₂ for thousands of years according to the IPCC (Intergovernmental Panel on Climate Change)⁽¹⁾⁽²⁾.

This landmark agreement complements Schneider Electric's emissions reduction efforts, and existing investments in nature-based carbon removals. The carbon removal credits issued from these projects will neutralize a portion of the estimated residual Scopes 1 and 2 emissions as of 2030, towards the Net-Zero ready operational commitment. By enabling access to high-quality carbon removals today, Schneider Electric is working to address neutralization needs stemming from its Net-Zero commitment, while continuing to accelerate deep emissions reductions, and supporting the scale-up of the carbon removal industry, vital for Net-Zero.

Accelerating emissions reductions remains the Group's priority, and its commitment to science-based targets (SBTi), which involve the use of carbon credits according to scientific guidance, ensures that high-quality carbon credits are an integral part of Schneider Electric's broader sustainability strategy and that they do not impede nor delay the achievement of its GHG emissions reduction targets. On the contrary, it ensures progress towards the Group's Net-Zero targets, in line with science.

AVEVA

In parallel, AVEVA has established clear guidelines for their procurement of voluntary carbon credits. Beginning with certification and verification by third-party entities, AVEVA ensures the integrity of chosen credits. AVEVA's portfolio features five innovative projects each contributing to climate resilience, biodiversity, and community well-being. The Carbon

Sequestration and Grassland Restoration project in India (200 tCO₂e) converts invasive biomass into biochar using Kon-Tiki kilns, improving soil health and locking away carbon while doubling local wages and boosting economic growth. In Pakistan, the Delta Blue Mangrove Restoration project (338 tCO₂e) reforests degraded Indus Delta areas, enhancing biodiversity, sequestering carbon, and improving livelihoods for forest-dependent communities. The Brandon Carbon Mineralization project in the UK (139 tCO₂e) transforms CO₂ emissions into solid building materials, permanently storing 144 kg of CO₂ per tonne of aggregate. Cambodia's HUSK Biochar project (68.5 tCO₂e) creates biochar-based fertilizers that sequester carbon for 1,000 years while increasing crop yields by 40% and reducing farming costs. Kenya's SunCulture Solar Water Pumps (50 tCO₂e) enable smallholder farmers to switch from diesel pumps to solar-powered irrigation, reducing emissions and enhancing climate resilience.

Planon

Planon rewards engaged users of its employee advocacy program by planting trees through Tree-Nation whose mission is to reforest the planet by planting trees and supporting conservation projects worldwide. These efforts aim to create a positive impact on local ecosystems, communities, and the global climate. Planon proudly supports this mission and contributes to Tree-Nation's ambitious goal of planting 1 trillion trees by 2050. In December 2025, Planon planted 1,765 trees, which together captured 59 tons of CO₂e through its employee advocacy program. These reforestation projects are twinned with initiatives that provide CO₂ credits third-party verified and certified by recognized standards such as VCS, CCB, and REDD+.

Additionally, in 2025, Planon planted 200 trees to celebrate achieving the EcoVadis Platinum Medal. Through this initiative, Planon has contributed to the removal of 100 tCO₂e. The reforestation project is certified as a Plan Vivo project and ensures the durability of impacts created by helping farmers obtain short-, medium-, and long-term value from their forests.

Carbon credits canceled in the reporting year	2025	2024
TOTAL (tCO₂e)	134,454	475
Type of quality standard		
Total carbon credit that are recognized against quality standard II (GOLD) (%)	91	0
Total carbon credit that are recognized against quality standard I (VERA) (%)	9	68
Total carbon credit that are recognized against quality standards (others) (%)	0	32
Type of project		
Total from reduction projects (%)	91	63
Total from removal projects (%)	9	37
Origin and adjustment metrics		
Total from projects within the EU (%)	0	11
Total from carbon credits that qualify as corresponding adjustments (%)	0	0

The current investments from Schneider Electric in Livelihood funds and the investments of AVEVA are projected to deliver, over the next 25 years, a certain amount of carbon credits that is shown on the below table:

Carbon credits planned to be cancelled in the future	Amount of years (25)
Carbon credits planned to be cancelled in the future – Total (tCO ₂ e)	4,886,236

As aforementioned, and because Schneider Electric does not have GHG removals and storage of CO₂e resulting from projects it may have developed in its own operations, or contributed to in its upstream and downstream value chain, there have been no reversals in 2025.

Similarly, there are no GHG emissions associated with removal activity.

(1) https://www.ipcc.ch/report/ar6/wg3/downloads/outreach/IPCC_AR6_WGIII_Factsheet_CDR.pdf

(2) https://www.ipcc.ch/site/assets/uploads/2024/06/005_SB60_IPCC_Side_Event_WGII_TFI.pdf

Integrating climate considerations in Schneider Electric's investment policy

Internal carbon pricing

Schneider supports the implementation of carbon pricing, given the relevance of putting a value on GHG emissions in order to internalize the costs of generating GHG emissions (or conversely, benefits of avoiding them), and to factor in these costs in decision-making processes. Hence, the Group calls for policymakers to define robust and predictable carbon pricing for companies, enabling companies to integrate collaterals on climate into their strategy. A high and stable price for carbon will strengthen incentives to invest in sustainable technologies and to change behaviors.

The Group is incorporating internal pricing systems, with purposes to inform the Group's climate strategy and incentivize low-carbon decisions.

Carbon prices are used in climate risk assessments to test how resilient the Group's activities are under different carbon pricing and climate scenarios. As carbon pricing policies become stricter to support the low-carbon transition, costs for emitting companies will rise.

Future carbon prices are estimated using current country-level data from sources like the International Energy Agency (IEA), World Bank, and NGFS, and projected across various climate scenarios based on academic research. Depending on the scenario, prices vary greatly, as illustrated in the below table. Under certain scenarios, there is no value attached to carbon, while in aggressive Net-Zero scenarios, the price could be up to several hundreds of euros per tonne of CO₂.

Types of internal carbon prices	Volume at stake (tCO ₂ e)	Minimum price applied (€/tCO ₂ e)	Maximum price applied (€/tCO ₂ e)	Percentage of Gross scope 1 covered by scheme	Percentage of Gross scope 2 covered by scheme	Percentage of Gross scope 3 covered by scheme	Absolute value of Gross scope 1 covered by scheme	Absolute value of Gross scope 2 covered by scheme	Absolute value of Gross scope 3 covered by scheme
Shadow Price	60,705,436	0	647	100	100	100	100,309	23,848	60,581,278
Assessment of Marginal Abatement Cost Curves	2,540,000	0	0	0	0	4	0	0	2,540,000

Limiting capital expenditures in fossil fuel-related economic activities

Based on Schneider Electric's business activities, significant investments might occur in electric power generation (NACE D.35.1) or heat generation (NACE D.35.3). Significant investments are defined as those in equipment for heat/cooling or co-generation, including power, that produce direct GHG emissions

These prices are applied to the Company's total GHG emissions (Scopes 1, 2, and 3) to estimate exposure to transition risks. However, these costs may be partly offset by the Company's ability to reduce energy use or pass costs on through product pricing.

Climate scenario analysis is used by the corporate finance team to conduct a sensitivity analysis on the annual impairment test of all the Group's CGUs assets, assessing the potential impact of climate physical and transition risk on the Group's future cashflows. These scenarios include carbon prices to measure the impact from the stringency of climate policies.

On the other hand, the Company is using analysis of Marginal Abatement Cost Curves (MACC) for the carbon-intensive raw materials that are sourced and make a significant contribution to the upstream Scope 3 emissions of the Group. A MACC presents the costs or savings expected from different sourcing alternatives, alongside the potential volume of emissions that could be reduced if implemented. By incorporating the respective costs and CO₂ savings from various options to source metals and plastics with a lower carbon footprint, this assessment allows to inform and adapt the implementation of the decarbonization of procurement emissions in the long term. Due to the nature of this work, there is no inherent value of a carbon price that is used, since the goal is precisely to seize all the different marginal costs that could arise from procurement decisions. By prioritizing the most significant raw materials for Schneider Electric, this applies to nearly 4% of the total Scope 3 emissions, but around a quarter of upstream categories.

exceeding 270 gCO₂e/kWh. This primarily involves electricity generators.

Aligning with CSRD, Schneider Electric has begun systematically tracking such investments by region with site level details. During the reporting period, significant CapEx in fossil fuel-related economic activities is limited to emergency back-up electricity generators, with the following investments:

	2025	UOM
Significant CapEx for coal-related economic activities	0	€M
Significant CapEx for gas-related economic activities	0.2	€M
Significant CapEx for oil-related economic activities	1.0	€M

While a total of 1.2 millions of euros has been invested in fossil-related power/heat generating equipment in 2025, it is used for backup power in case of emergency use. The majority of investments occurred in Mexico and India. With the grid quality

improving in the coming years in those regions, backup power will no longer be needed at Schneider Electric's sites.

Schneider Electric is not excluded from EU Paris-aligned Benchmarks.

2. Sustainability statements

2.2.1.6 Detailed targets

In 2025, operational emissions 100% addressed

Cycle	Targets ⁽¹⁾	Description
2021 – 2025	SSI #1 Impact Revenues	Grow Schneider Impact Revenues to 80%
	SSI #2 Saved and avoided CO ₂ emissions	Help our customers save and avoid 800 millions of tons of CO ₂ emissions
	SSI #3 The Zero Carbon Project (suppliers)	Divide by 50% the CO ₂ emissions from top 1,000 suppliers' operations
	SSI #4 Green Materials	Increase green material content in our products to 50%
	SSI #5 Sustainable packaging	100% of primary and secondary packaging free from single-use plastic, using recycled cardboard
	SSI #9 Renewable electricity	Provide access to green electricity to 50 million people
	SSI #11 Energy Management trainings	Train 1 million people in energy management
	SSE #1 Zero-CO ₂ sites	Reach 150 Zero-CO ₂ sites
	SSE #2 SF ₆ -Free	Achieve 100% substitution with SF ₆ -Free medium voltage technologies
	SSE #3 Renewable electricity	Source 90% of electricity from renewables
	SSE #4 Low-carbon logistics	Increase CO ₂ efficiency in transportation of goods by 15%
	SSE #5 Energy efficiency	Increase energy efficiency in sites by 15%
	SSE #6 Green Premium	80% of product revenues covered by Green Premium™
	SSE #7 Fleet electrification	Switch one-third of corporate fleet to electric vehicles (EVs)
	SSE #9 Waste-to-Resource sites	Reach 200 "Waste-to-Resource" sites
	SSE #10 Avoided primary resource consumption	420,000 metric tons of avoided primary resource consumption through 'take-back at end-of-use'

Towards Net-Zero Ready in Operations & 25% absolute reduction across the value chain in 2030

Cycle	Targets	Description
2026 – 2030	Sustainability Impact 2030 / Efficiency forward	Achieve 80% Schneider Impact Revenues
		Deliver 1.5bn MWh energy saved or electrified with Schneider Electric solutions, 2026 – 2030
		Ensure 100% of applicable Schneider Electric software delivers advanced energy and carbon insights for customers
	Sustainability Impact 2030 / Towards Net-Zero	Reduce Scope 1 & 2 emissions by -90% absolute vs. 2017
		Reduce Scope 3 emissions by -25% absolute vs. 2021
		Deliver 1.5 Gt CO ₂ saved and avoided with Schneider Electric solutions, 2018-2030
	Other targets	RE100 : Source 100% from renewable electricity by 2030
		EP100: Double energy productivity by 2030 vs 2005
		EV100: 100% of new vehicles fully electrified by 2030
		First Movers Coalition: replacing at least 5% of conventional jet fuel demand for our air transport with Sustainable Aviation Fuels
	Sustainability Impact 2030 / Industry catalyzer	1,500 suppliers on a Zero Carbon Pathway to decarbonize the supply chain
		50% of materials selected to provide superior environmental and social value

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to **section 2.1**.

Cycle	Targets	Description
	Sustainability Impact 2030 / Power Progress	100M people with access to sustainable electricity to power progress 3M people upskilled through educational programs, including those from vulnerable communities
	Sustainability Impact 2030 / School of energy tech	Train electrical experts to bridge the energy tech skill gap
	Sustainability Impact 2030 / Longer, Better	X2 growth of circular services for longer and better usage
	Sustainability Impact 2030 / Future Designed	100% of major offers in design demonstrate circular and environmental excellence
	Sustainability Impact 2030 / Impact starts with us	100 sites designed to care for people, nature, and communities

Towards 2050 Net-Zero Value Chain

Cycle	Targets	Description
2050	SBTi Target	Net-Zero value chain, 90% absolute GHG reduction vs. 2021

 For a general overview of Schneider Electric's progress and performance on SSI and SSE, please refer to [section 2.1](#). For the methodology of SSIs please refer to [section 4.1](#).

2025 performance & beyond

The effectiveness of policies and actions is tracked against the Group's targets quarterly. By 2025 and for Scopes 1 and 2, the Group has achieved 195 Zero-CO₂ sites (SSE #1) and 99% sourcing of electricity from renewable (SSE #3). It has also increased 17.4% of energy efficiency in sites (SSE #5) and already doubled energy productivity by 2030 compared to 2005 (EP100). 43% of corporate vehicle fleet has already been converted to electric vehicles (SSE #5), on track to reach the goal of full electrification.

Similarly for Scope 3 emissions, Schneider Electric has managed to engage top 1,000 suppliers to reduce their operational GHG emissions intensity by 56% with The Zero Carbon Project (SSI #3). It increased green material content in products to 48% which includes steel, aluminum, and plastics, (SSI #4) and reached 85% of primary and secondary packaging free from single-use plastic and using recycled cardboard (SSI #5). The Group also attained 80% of SF₆ substitution alternatives for all medium voltage technologies (SSE #2) and increased CO₂ efficiency in transportation of goods by 14.3% by 2025 (SSE #4). Schneider Electric reduced CO₂ emissions from waste management and reached 176 "Waste-to-Resource" sites (SSE #9).

The results of the SSI are published every quarter together with financial results and made available to all stakeholders via the Group's website. Results are collated and presented to the Function Committee, which makes decisions on any corrective actions that may be necessary to reach objectives.

Building on the 2020–2025 SSI and SSE achievements, Schneider Electric's new Sustainability Impact 2030 cycle shifts toward system-level outcomes across Efficiency forward, Towards Net Zero, Industry catalyzer, and Impact starts with us.

Over 2026–2030, the Group targets 80% Schneider Impact Revenues, 1.5 billion MWh saved or electrified with its solutions, 1.5 Gt CO₂ saved and avoided with its solutions (2018-2030), and 100% of applicable software delivering advanced energy and carbon insights for customers, and 100 sites designed to care for people, nature, and communities. It also aims for a 90% absolute reduction in Scopes 1 and 2 emissions vs. 2017, a 25% absolute reduction in Scope 3 vs. 2021, and to engage 1,500 suppliers on a Zero Carbon Pathway to decarbonize the supply chain. By 2050, the Group plans to attain Net-Zero value chain.

2. Sustainability statements

Climate change mitigation

Main climate change mitigation targets

The targets related to Schneider Electric's Net-Zero commitments cover all types of GHGs and all the applicable emissions sources under their respective scopes (i.e., either under Scopes 1 and 2, or under Scope 3). In other words, they consist of the overall GHG inventory that is being reported by Schneider Electric. The GHG inventory does not include carbon credits inside the value chain,

nor avoided emissions from sold offers. All carbon credits Schneider Electric is investing in are outside the value chain, and contribute to the achievement of the Net-zero commitments. The targets on Scopes 1 and 2 are applicable with Scope 2 being calculated under a market-based accounting approach.

The corresponding absolute values for target years 2030 and 2050 are shown in below table:

	2021 (Base Year)*	2030	2050	Annualized % reduction rate needed to reach 2030 target
Total Scopes 1 and 2 (market-based) emissions (tCO₂e)	292,067	70,096	29,207	8.4%
Total Scope 3 emissions (tCO₂e)	68,510,345	51,382,759	6,851,035	2.8%

* Restated per SBTi guidelines due to material methodological refinements, please refer to "Detail of restatement of 2021 base year" on page 84 for more details.

Schneider Electric's climate targets were approved by the SBTi in 2022, hence they are based on the latest available reporting year at that time, which was 2021, as per the SBTi's recommendations. 2021 is a representative base year, as compared to 2020 which was the year of the COVID pandemic.

Schneider Electric proactively identifies climate transition risks across its operations and value chain as it is disclosed in section "2.2.1.2 Climate-related impacts, risks, and opportunities". Using climate scenario analysis under low-emission pathways, the Group quantifies earnings value at risk over medium- (ten years) and long-term (2050) horizons. By comparing scenarios with and without mitigation, Schneider Electric implements targeted strategies to minimize exposure to transition events and capture low-carbon business opportunities.

For the purpose of making projections on future GHG emissions, Schneider Electric takes into account future decarbonization of the grids, which is a major driver for Scope 3 emissions, in category 11 of the GHG Protocol framework (i.e., GHG emissions from the use of sold products). These projections are based on the stated policies scenario from the International Energy Agency.

Main climate change mitigation targets: Subsidiaries

Within the Group, AVEVA has specific targets which were developed and validated by the SBTi prior to the full acquisition by the Schneider Electric Group. AVEVA Group PLC commits to reach Net-Zero GHG emissions across the value chain by FY2050, with the following milestones:

Near-term targets – AVEVA commits to:

- Reduce absolute Scopes 1 and 2 GHG emissions -90% by FY2030 from a FY2020 base year.
- Increase annual sourcing of renewable electricity from 1% in FY2020 to 100% by FY2030.
- Reduce absolute Scope 3 GHG emissions 50% by FY2030 from a FY2020 base year.

Long-term Net-Zero targets – AVEVA commits to:

- Maintain at least 90% absolute Scopes 1 and 2 GHG emission reductions from FY2030 through FY2050.
- Reduce absolute Scope 3 GHG emissions 90% by FY2050 from a FY2020 base year.

Like the Group's targets, AVEVA's targets cover all types of GHGs and all the applicable emissions sources under their respective scopes (i.e., either under Scopes 1 and 2, or under Scope 3). In other words, they consist of the overall GHG inventory that is being reported by AVEVA. They do not include GHG removals, carbon credits, nor avoided emissions from sold offers. The targets on Scopes 1 and 2 are applicable with Scope 2 being calculated under a market-based accounting approach.

Climate change adaptation

Schneider Electric has launched strategies to adapt to climate change, and enhance resilience and flexibility. These strategies include:

- Qualifying alternate suppliers for critical parts and components, setting the objective of having 100% of purchasing components with high supplier risk and business impact covered by a mitigation plan within three years after threat being qualified.
- Qualifying alternate factories for the same products manufacturing, with an objective of 90% of critical offers covered by at least a dual manufacturing set up by 2025.
- Qualifying alternate supply chain flows, aiming at 100% of critical distribution centers able to redirect more than 80% of their flow in less than five days by 2025.
- Regionalization of manufacturing activities to mitigate disruption risks over the supply chain, moving towards up to 90% sourcing and manufacturing within regional hubs.

Formalizing its commitment to resiliency in its operations, by 2030, Schneider Electric commits to conducting a Climate Risk Assessment on all its sites. For all large sites identified at material risk of climate hazards, Schneider Electric commits to developing a site-specific climate adaptation plan by 2030.

2.2.1.7 Metrics

Energy consumption and mix

Schneider Electric monitors energy consumption at its approximately 1,000 sites worldwide (representing overall 4.9 million square meters). The largest 261 sites, which represent more than 75% of the Group's surface area and global sites' energy consumption, measure their energy consumption monthly through invoices using the EcoStruxure™ Resource Advisor software suite. The energy consumption of the remaining sites is derived via extrapolation, as explained in the Methodology section. Precisely, the Group reports an average energy consumption of 146 kWh/sqm/year for its 70 commercial buildings, an average energy consumption of 357 kWh/sqm/year for its 161 industrial buildings, and an average energy consumption of 70 kWh/sqm/year for its 30 logistics buildings.

The table below contains the details on Schneider Electric's energy consumption and mix, expressed in MWh of LHV (lower heating value).

	2025	2024	% N/N-1
(1) Fuel consumption from coal and coal products (MWh)	0	0	0.0%
(2) Fuel consumption from crude oil and petroleum products (MWh)	237,731	245,557	-3.2%
(3) Fuel consumption from natural gas (MWh)	189,859	198,342	-4.3%
(4) Fuel consumption from other fossil sources (MWh)	0	0	0.0%
(5) Consumption of purchased or acquired electricity, heat, steam, and cooling from fossil sources (MWh)	62,713	87,850	-28.6%
(6) Total fossil energy consumption (MWh) (calculated as the sum of lines 1 to 5)	490,304	531,750	-7.8%
Share of fossil sources in total energy consumption (%)	34.3%	36.75%	
(7) Consumption from nuclear sources (MWh)	18,585	11,836	57.0%
Share of consumption from nuclear sources in total energy consumption (%)	1.3%	0.82%	
(8) Fuel consumption for renewable sources, including biomass (also comprising industrial and municipal waste of biologic origin, biogas, renewable hydrogen, etc.) (MWh)	0	0	0.0%
(9) Consumption of purchased or acquired electricity, heat, steam, and cooling from renewable sources (MWh)	881,644	871,915	1.1%
(10) The consumption of self-generated non-fuel renewable energy (MWh)	38,909	31,251	24.5%
(11) Total renewable energy consumption (MWh) (calculated as the sum of lines 8 to 10)	920,553	903,166	1.9%
Share of renewable sources in total energy consumption (%)	64.4%	62.43%	
TOTAL ENERGY CONSUMPTION (MWh) (CALCULATED AS THE SUM OF LINES 6, 7, AND 11)	1,429,442	1,446,752	-1.2%

The Company's total energy consumption from activities in high climate impact sectors is 1,404,443 MWh.

To drive sustainable operational excellence, Schneider Electric has pledged a 10% energy efficiency improvement by 2030 against a 2024 baseline, utilizing EnPI-based normalized regression modeling. This methodology ensures a high-fidelity representation of Group's progress by decoupling energy consumption from variable factors such as weather patterns and output levels.

The company's non-renewable energy production is 10,468 MWh. The amount of renewable energy production for 2025 is 42,923 MWh.

The below table shows the energy intensity per net revenue i.e., the ratio between total energy consumption and net revenue:

	2025	2024	% N/N-1
Total energy consumption from activities in high impact sectors per net revenue from activities in high climate impact sectors (MWh/€)	37	40	-6.2%

2. Sustainability statements

The underlying net revenue for the calculation reconciles with the financial statements as showed below:

	(in millions of euros)
Net revenue from activities in high climate impact sectors used to calculate energy intensity	37,544
Net revenue (other)	2,608
TOTAL NET REVENUE (IN FINANCIAL STATEMENTS)	40,152

The "Net revenue (other)," includes:

- Legal entities not classified as high climate impact sectors.
- Entities consolidated in the financial statements, yet excluded from CSRD reporting perimeter for materiality reasons.



For more information (refer to **2.1.3 Basis for preparation**)

Gross Scopes 1, 2, and 3 and total GHG emissions

The table below summarizes the Group carbon footprint (market-based):

Suppliers Scope 3 upstream 13%		Schneider's operations Scopes 1 and 2 <1%		Customers Scope 3 downstream 87%	
Purchased goods and services	6.3 MtCO ₂ e	Energy consumption at sites (market-based approach for electricity)	0.06 MtCO ₂ e	Use of sold products	47.9 MtCO ₂ e
Freight	0.7 MtCO ₂ e	Company cars	0.06 MtCO ₂ e	End-of-life (mostly SF ₆)	4.4 MtCO ₂ e
Other (e.g., capital goods, business travels, commuting, upstream emissions from the energy sector)	0.6MtCO ₂ e	SF ₆ leakage	<0.01 MtCO ₂ e	Freight	0.6 MtCO ₂ e

The Group calculates its carbon footprint across the three scopes, in conformance with the Standards from the GHG Protocol: the Corporate Accounting Standard and the Corporate Value Chain (Scope 3) Standard.

The table below presents the Group's emissions for the consolidated accounting perimeter. A separate breakdown for investees is not provided, as these are considered to fall outside the CSRD reporting perimeter according to the **2.1.3 Basis for preparation** chapter. With regards to Scope 3 upstream emissions, it is worth noting that the Group is practicing a dual reporting of the GHG inventory, and the table below does not reflect the Scope 3 upstream emissions with market-based approach. These numbers are presented in a dedicated section below.

	2025	2024	% N / N-1
Scope 1 GHG emissions			
Gross Scope 1 GHG emissions (tCO ₂ eq)	100,309	106,360	-5.7%
Percentage of Scope 1 GHG emissions from regulated emission trading schemes (%)	0	0	0.0%
Scope 2 GHG emissions			
Gross location-based Scope 2 GHG emissions (tCO ₂ eq)	409,343	433,505	-5.6%
Gross market-based Scope 2 GHG emissions (tCO ₂ eq)	23,849	37,348	-36.1%
Significant Scope 3 GHG emissions			
Total Gross indirect (Scope 3) GHG emissions (tCO ₂ eq)	60,581,278	61,044,106	-0.8%
1. Purchased goods and services	6,358,668	6,562,746	-3.1%
2. Capital goods	191,616	161,033	19.0%
3. Fuel- and energy-related activities (not included in Scope 1 or Scope 2)	93,228	100,126	-6.9%
4. Upstream transportation and distribution	729,064	816,302	-10.7%
5. Waste generated in operations	43,367	38,747	11.9%
6. Business traveling	162,227	161,046	0.7%
7. Employee commuting	177,689	177,665	0.0%
8. Upstream leased assets	0	0	0.0%
9. Downstream transportation	581,515	570,959	1.8%
10. Processing of sold products	0	0	0.0%

	2025	2024	% N / N-1
11. Use of sold products	47,854,575	48,274,430	-0.9%
12. End-of-life treatment of sold products	4,389,329	4,181,052	5.0%
13. Downstream leased assets	0	0	0.0%
14. Franchises	0	0	0.0%
15. Investments	0	0	0.0%
TOTAL GHG EMISSIONS			
TOTAL GHG EMISSIONS (LOCATION-BASED) (tCO₂eq)	61,090,929	61,583,971	-0.8%
TOTAL GHG EMISSIONS (MARKET-BASED) (tCO₂eq)	60,705,436	61,187,814	-0.8%

Notes: market-based total here is only applicable for Scope 2 calculated under market-based approach, while the Scope 3 upstream market-based values are not taken into account (please refer to the dedicated section below on dual reporting). Also, for 2024 the values for categories 11 and 12 have been restated as per SBTi guidance following methodological improvements, to ensure a consistent and representative benchmark for Group's ongoing decarbonization progress. Category 11 emissions were restated upward by 5,676,390 tCO₂e (13%) primarily due to methodological updates including a more granular use-phase calculation approach, partially offset by adjusting the organizational scope. Category 12 emissions were restated downward by 281,471 tCO₂e (6%) solely due to adjusting the organizational scope, reflecting the divestment from an entity and its associated SF₆ end-of-life emissions.

GHG intensity is the ratio between total GHG emissions and net revenue, which can be seen in below table:

	2025	2024	% N/N-1
Total GHG emissions (location-based) per net revenue (tCO₂eq/k€)	1,537	1,494	2.9%
Total GHG emissions (market-based) per net revenue (tCO₂eq/k€)	1,528	1,483	3.0%

The underlying net revenue for the above calculation reconciles with the financial statements as showed below:

	in millions of euros
Net revenue used to calculate GHG intensity	39,736
Net revenue (other)	417
TOTAL NET REVENUE (IN FINANCIAL STATEMENTS)	40,152

The "Net revenue (other)," includes entities consolidated in the financial statements, yet excluded from CSRD reporting perimeter for materiality reasons.

 For more information, please refer to [section 2.1.3 Basis for preparation](#).

Inclusion of market-based accounting approach in the GHG inventory, and dual reporting of Scope 3 Upstream emissions

Carbon accounting practices are constantly evolving, and the Group acknowledges there is currently a period of important changes that present opportunities in terms of carbon accounting improvements. On the one hand, digitalization capabilities are growing, and companies are getting access to more data that is more granular and more dynamic. For instance, as companies are enhancing supply chain engagement and adopting

innovative decarbonization practices, more and more primary data are being collected from suppliers, and incorporated into the GHG inventory. On the other hand, there are uncertainties about how the GHG Protocol and SBTi Net-Zero standard will evolve. Schneider Electric is committed to be involved in the evolution of carbon accounting standards, and therefore is actively participating in consultations and pilots with organization such as the GHG Protocol, SBTi, and the AIM Platform related to potential market-based accounting approaches.

The Group is improving the granularity and specificity of its GHG inventory on Scope 3 in the coming years with a special focus on GHG emissions from suppliers. In this context, a dual reporting of the GHG inventory is introduced in this annual report with the incorporation of the market-based reductions in scope 3 upstream categories.

Market-based accounting for electricity-related emissions in the GHG Inventory is widely adopted by companies for Scope 2 emissions. This is a legitimate attributional approach that recognizes the efforts companies are doing to source renewable electricity through multiple types of contractual arrangements e.g., on-site generation, renewable electricity certificates bundled with electricity supply contracts, or certificates transacted independently from electricity supply contracts, via infra-annual transactions or long-term commitments like in virtual power purchase agreements. The recognition of market-based accounting for Scope 2 has delivered tangible CO₂ benefits for the global economy. More specifically, with the surge of renewable electricity demand, additional renewable capacity has been built which contributed to the shift in the global energy landscape.

2. Sustainability statements

Aligned with the vision that the goal of a GHG inventory is to trigger effective decarbonization actions by companies, Schneider Electric is willing to have market-based accounting introduced in Scope 3 inventory. To start with, the inclusion of market-based concept in 2025 is limited to very specific cases including electricity-related GHG emissions reductions from Tier 1 suppliers. In this instance, some suppliers that were part of the Zero Carbon Project have made verified declarations that their total corporate Scope 2 emissions were eliminated. These specific achievements have been introduced in the GHG Inventory of Schneider Electric as part of dual reporting for Scope 3 category 1.

AVEVA has purchased and retired Sustainable Aviation Fuels certificates (SAF) in 2025 and this is also reported as a market-based reduction in this dual reporting framework. Finally, Scope 2 reductions achieved using market-based instruments resulted in a reduction in Scope 3 category 3 of fuel and energy related activities. Looking ahead, the Group will consider introducing other types of market-based approaches into the Scope 3 inventory, considering the evolution of the carbon accounting context of evolving standards and practices.

The adjusted Scope 3 Upstream GHG emission, following the market-based approach, can be found in the below table:

Scope 3 Upstream category of the GHG Protocol	Non-Market-based value (tCO ₂ e)	Market-based value (tCO ₂ e)	% N / N-1
1. Purchased goods and services	6,358,668	6,319,211	-0.6%
2. Capital goods	191,616	191,616	n.a.
3. Fuel- and energy-related activities (not included in Scope 1 or Scope 2)	93,228	24,515	-74%
4. Upstream transportation and distribution	729,064	729,064	n.a.
5. Waste generated in operations	43,367	43,367	n.a.
6. Business traveling	162,227	161,527	-0.4%
7. Employee commuting	177,689	177,689	n.a.
TOTAL SCOPE 3 UPSTREAM GHG EMISSIONS	7,755,859	7,646,989	-1.4%

Detail of restatement of 2021 base year

During 2025, Schneider Electric restated its 2021 base-year GHG inventory across Scopes 1, 2 and 3. The restatement was triggered by material methodological refinements to Scope 3, category 11 (use of sold products), notably the adoption of sector guidance from the European Committee of Manufacturers of Electrical Machines and Power Electronics (CEMEP) within EN50743 for variable speed drives and to improve comparability with Product-Specific Rules (PSR), and industry practice. In parallel, the restatement aimed at creating harmonized organizational and methodological elements between 2021 and 2025 (e.g., treatment of material acquisitions and divestments since 2021 and inclusion of radiative forcing for air-related business travel and freight).

To better reflect country policy trajectories at the time of reporting and ensure consistency with subsequent years, the electricity emission factors used for use-phase calculations were also updated, from the IEA *Energy Technology Perspectives 2017*

Reference Technology scenario (previously used for 2021 GHG emissions) to the IEA *World Energy Outlook 2022* Stated Policies scenario.

The restated 2021 Scopes 1 and 2 changed by -0.6%, Scope 3 upstream emissions changed by -0.3% and Scope 3 downstream emissions are also -0.3% lower.

This restatement does not compromise Schneider Electric's validated SBTi targets. The base year (2021), the target years (2030 and 2050), and the percentage-reduction commitments are maintained; only the absolute baseline and corresponding 2030 and 2050 target levels have been recalculated. The Group followed the SBTi guidance on baseline restatement, and the restated 2021 emissions have been reviewed with external auditors and subjected to third-party assurance as part of the 2025 audit cycle. The updates strengthen transparency, alignment with sector standards, and peer comparability under CSRD without altering Group's decarbonization ambitions.

Segmentation	2021, as reported	Methodological evolution	Organizational scope evolution	Restated 2021	Percentage of change
Scopes 1 and 2	293,832	0	-1,766	292,067	-0.6%
Scope 3 Upstream	8,237,191	103,044	-128,309	8,211,926	-0.3%
Scope 3 Downstream	60,500,294	-386,206	184,331	60,298,418	-0.3%
TOTAL	69,031,317	-283,162	54,256	68,802,411	-0.3%

Other considerations on the GHG inventory

Biogenic emissions of CO₂ from the combustion or biodegradation of biomass are zero across Scope 1, Scope 2, and all Scope 3 value chain categories.

To reduce Scope 2 GHG emissions, Schneider Electric is increasing the share of electricity sourced from renewables. The approach combines several sourcing levers, adapted to local market conditions, including on site generation and renewable energy certificates, bundled or unbundled. Certificates complement self generation, as on site space constraints do not allow full coverage of the Group's electricity needs.

Overall in 2025, the Group sourced 57% of its electricity consumption from contracted unbundled renewable energy certificates, and 38% from contracted bundled renewable energy certificates, hence, the overall percentage of contractual instruments is 95%. Contracted unbundled renewable energy credits include options such as Energy Attribute Certificates (EACs), unbundled Renewable Energy Certificates (RECs), and virtual PPAs (VPPAs). Contracted bundled renewable energy credits include options such as "green tariffs", power purchase agreements (PPAs), and bundled RECs.

The percentage of GHG scope 3 calculated using primary data is 1%, and this arises predominantly from GHG emissions of paid freight, for which shipment-per-shipment data is collected from the

main freight suppliers, and also from GHG emissions of steel procurement, when some supplier-specific data is collected through the efforts of the Green Materials program.

Since the Group is using a small portion of primary data from suppliers (as a proportion of total Scope 3 GHG emissions), there is no material impact from potential differences in reporting periods between entities in the value chain and the date of the Group's general purpose financial statements.

Regarding Scope 3 downstream GHG emissions, Schneider Electric's products are typically integrated into broader electrical architectures. As a result, (i) the electricity dissipated by the products is generally immaterial compared with the overall energy consumption of the facility or application, and (ii) these architectures often enable efficiency gains through energy management and automation. In addition, many Schneider Electric products have long lifecycles (often spanning decades), which can translate into higher absolute use-phase emissions than sectors with shorter-lived products. Consequently, assessing sustainability performance solely on absolute use-phase emissions can bias comparisons against durable products. Schneider Electric therefore works to measure and reduce use-phase Scope 3 emissions while also highlighting the role its solutions play in electrification and economy-wide decarbonization. Since 2018, Schneider Electric has reported quarterly, through its Schneider Sustainability Impact (SSI) program, the CO₂ emissions avoided or saved by customers using Schneider solutions.

2.2.2 Pollution mitigation | ESRS E2

2.2.2.1 Eliminating hazardous substances

Impacts, risks and opportunities

Substances of concern and very high concern	
Negative Impact	Threaten human health and/or the environment by using hazardous substances.

⊕ For more information on IROs please refer to section 1.1.2 Long-term commitments and tools to measure progress on page 7.

Long-term commitments

Within its Environmental Sustainability Policy, Schneider Electric sets operational goals related to chemical substances control and reduction:

- Continuously improve the environment management system and meet compliance obligations.
- Continuously protect the environment, preventing pollution, limiting emissions, and promoting biodiversity.
- Decouple its supply chain from natural resource consumption.
- Minimize the environmental and health impacts of its products, processes, solutions, and services over their lifecycle.
- Protect its employees, customers, business partners, and the planet against exposure to chemicals of concern.
- Communicate transparently on substances used in its products and their footprints.

To minimize the potential harm to the environment and human health, Schneider Electric continues to prioritize the management and substitution of hazardous chemicals from its products, processes, and supply chain. This proactive approach is driven by a combination of policies, directives, and internal programs aiming at ensuring responsible sourcing, handling, and disposal of substances of concern and substances of very high concern.

Policies

- The Environmental Sustainability Policy is the overarching guideline for preventing, controlling, and remediating pollution.
- Materials and Chemicals Directive: This directive defines the Company's rules and strategies for materials and chemical substances. It aims to ensure compliance with existing environmental regulations and anticipate new ones. The directive outlines commitments that directly address the requirements of the EU Taxonomy Appendix C for pollution prevention and control regarding the use and presence of chemicals.

- Global Environment Health and Safety Directive on Hazardous Substances Management (GEHSD001): This directive provides guidance for the implementation of hazardous substance management systems at each Schneider Electric site. It frames the process for chemical purchasing and selection for the plants.
- Global Environment Event reporting and Alerts Directive (GED 003): establishes standardized rules for reporting environmental events and issuing alerts across all Schneider Electric sites and operations. Its purpose is to harmonize environmental governance, clarify responsibilities, and strengthen risk management within the company's Environmental Management System. By enforcing consistent procedures and accountability, it aims to reduce environmental risks and drive continuous improvement.
- Schneider Electric's Supplier Code of Conduct sets clear expectations for suppliers regarding their environmental and social performance.

The Schneider Electric Health and Safety Policy puts a strong emphasis on eliminating hazards and reducing risk, to prevent occupational accidents and illnesses. This is achieved by engaging employees, encouraging the reporting of health, safety and environment observations and ensuring managers role model safety at every opportunity. All incidents are reviewed by the Health, Safety and Environment teams and investigated to ascertain the root cause and implement action plans when required. Sites have developed their own emergency plans which are tested to ensure the impact of an incident to people and environment is minimized.

Programs for managing SoCs and SVHCs

The Group goes beyond the requirements of the European REACH (Regulation on the Registration, Evaluation, Authorisation and Restriction of Chemicals) and RoHS (Restriction of Hazardous Substances) regulations in committing to implement a proactive approach across its entire product portfolio and supply chain, regardless of geographic origin.

The company conducts a comprehensive review every six months to ensure alignment with evolving global regulations, particularly those concerning hazardous materials. Recognizing that each hazardous substance is governed by different regulatory timelines, Schneider Electric tailors specific phase-out plans accordingly. This proactive approach ensures that all products are continuously evaluated and improved to meet safety and environmental standards. To support this commitment, the group allocates dedicated R&D resources and budget to develop safer alternatives and implement sustainable innovations throughout its operations.

When substitution is not technically possible, Schneider Electric ensures that risks posed by such chemicals are under control at all lifecycle stages to minimize potential harm to the environment and human health.

The company collaborates with industry partners to find alternative solutions for substances of concern, participating in research programs to identify and implement substitutes.

Schneider Electric's rules and strategies for materials and chemical substances, managed at the corporate level, are defined in the Materials and Chemicals Directive. This directive aligns with Schneider Electric's broader Environmental Sustainability Policy and supports the Company's commitment to sustainability.

The objective of the directive is to ensure compliance with environmental regulations related to materials and chemicals and proactively anticipate future regulatory changes to secure the supply chain and maintain compliance. The directive emphasizes minimizing environmental and health impacts throughout the entire product lifecycle.

The Materials and Chemicals Directive applies to all Schneider Electric activities globally, including manufacturing sites, offices, and the distribution centers and is intended to be used in conjunction with the Company's global purchasing strategy, which addresses social sustainability aspects like conflict minerals. It ensures a consistent approach to managing resources used and resource outflows across the Company.

The directive provides detailed guidelines on materials and chemical substances, specifying prohibited substances, restricted materials, and preferred alternatives. It also outlines commitments aligned with the EU Taxonomy Appendix C for pollution prevention and control regarding the use and presence of chemicals.

The Global Environment team oversees the directive's implementation, with senior management and the Business Units Sustainability Leaders actively involved in governance. A dedicated purchasing organization oversees supplier data collection, and a network of more than 60 trained Eco-referents are overseeing product analysis. The Procurement department supervises the application of the strategy in the supply chain.

Standardization engineers and research teams are working in collaboration with the Group's suppliers to propose alternative solutions to the design teams. Dedicated networks are in place to share updates on the strategy, the roadmaps, the evolutions, and to follow key KPIs, some of it are reporting monthly.

Schneider Electric ensures that its products comply with substances requirements through a robust data collection process and tools to gather and store information on hazardous substances from its suppliers at part level, and to extrapolate the compliance status of its products through its bill of material. Those compliance results are then communicated transparently externally on the product detail page of Schneider Electric websites.

The Materials and Chemicals Directive has been developed with input from key stakeholders, including employees, customers, suppliers, and regulatory bodies, ensuring that their interests and concerns are addressed. This directive also ensures compliance

with ISO 14001 standards and other relevant environmental regulations and best practices. The Group's product compliance assessments are following IEC 63000 standard.

Finally, the directive is communicated to all relevant stakeholders through internal communications, training programs, and public disclosures, ensuring that those affected and responsible for implementation are well-informed. Tools are deployed to inform stakeholders and support them in compliance assessment.

Substances of concern

The Group commits to avoid at the maximum the use of SoCs, when a risk of exposure throughout the product lifecycle is identified.

The concept of substance of concern is recent, and the electrical equipment manufacturing industry faces three main challenges towards developing a similar level of visibility than for substances of very high concern:

- No mandatory regulatory communication duty on substance of concern in the supply chain;
- No clear harmonized definition of substances of concern which allows to build an exhaustive list of substances;
- Limited availability on the market of tools that can be used to assess the presence of substances of concern.

Despite these challenges, Schneider Electric remains committed to proactively managing substances of concern and SVHCs, continuously improving its processes and systems, and collaborating with stakeholders to drive positive change. Obtaining material declarations and data from suppliers beyond tier 1 remains a challenge. Schneider Electric plans to gradually improve the traceability of components beyond tier 1 and make this information digitally available to customers. The Group can already provide visibility on a limited number of substances of concern that have been identified in its products or processes.

Substances of very high concern (SVHC)

The Group commits to complying with REACH Annex XVII restrictions, to communicate transparently and report on the presence of SVHCs in all products, on a worldwide basis.

Schneider Electric has developed a proactive substitution strategy focusing on substituting SVHC, before their introduction in an authorization process (REACH Annex XIV before sunset date) instead of requesting for derogations to ECHA (European Chemical Agency) to continue to use it (REACH derogation process).

The Group commits to restrict globally the use of substances listed in RoHS and POPs (Annex I and II), except when under official exemption. When no alternative solutions are available on the market, Schneider Electric continues to use substances under RoHS exemptions such as lead in metal alloys or electronics, while working with its suppliers on the development and test of alternative solutions.

2. Sustainability statements

Actions and resources related to pollution

Actions related to pollution across the value chain (upstream)

To prevent and mitigate upstream pollution, the Group undertakes the following actions :

- Schneider Electric's Supplier Code of Conduct sets clear expectations for suppliers regarding their environmental and social performance. Suppliers are required to comply with all applicable laws and regulations, including REACH and RoHS. They are also expected to adopt best practices for substance management, prioritize the use of green materials, and minimize environmental impact throughout their operations.
- Schneider Electric's Vigilance Plan (for more information please refer to **section 2.3.2.5 Vigilance plan for suppliers and contractors**) for suppliers involves audits of suppliers to identify potential gaps and suggest areas for improvement. These audits assess supplier compliance with environmental and social standards, including the management of hazardous substances. Schneider Electric uses a risk-based approach to prioritize suppliers for audits, focusing on those operating in high-risk countries or using high-risk technologies or processes. Non-conformities identified during audits are addressed through corrective action plans, guidance, and training. In cases of severe non-compliance, Schneider Electric may terminate the business relationship.
- Schneider Electric incorporates sustainability criteria into its supplier evaluation process. Suppliers with strong environmental performance, including the use of green materials and responsible substance management, are prioritized in sourcing decisions.
- Finally, Schneider Electric implemented a compliance tool which allows to assess product regulatory compliance based on supplier data in order to identify substitution actions managed at business unit level.

Actions related to substances of concern and very high concern

Continuous actions are carried out to remove halogenated flame retardants from plastics and to find alternative solutions to remove lead from metal alloys and electronics still exempted from the RoHS regulation. Schneider Electric is an active member of the REACH consortium working on the substitution of substances of very high concern, which is led by CETIM (French Technical Center for Mechanical Industry). These actions cover the Group's operations, suppliers, and subcontractors on a worldwide basis, aiming to prevent negative impacts on people and the planet within the value chain regardless of the geographical location.

In 2025, the Technology Standardization Management team provided an impact analysis and substitution studies for both metals and electronics to support "RoHS exemption free" components. Specific topics treated in 2025 included proposals for PFAS, plastic stabilizers, and thermoset crosslinkers, alongside continued actions on PFBS with suppliers. While Schneider Electric demonstrates leadership in transitioning to SF₆ free products, many substitution efforts are embedded within broader productivity and quality strategies, making it challenging to quantify the effort separately.

Schneider Electric is committed to limiting the exposure to chemical risks all along its products' life cycle. The Company ensures that its transition away from hazardous substances mitigates risks and prioritizes the health and safety of its stakeholders beyond simple regulatory compliance.

The Group is refining its 2025-2030 plan to reduce substances of concern in its products, including financial resource allocation. This plan is correlated to the visibility Schneider Electric has on substances of concern. Efforts are taken to ensure comprehensive reporting and transparency in this area.

Managing hazardous substances in the Group's sites

Schneider Electric has a Global EHS Hazardous Substances Management Directive (GEHSD 001) to provide global oversight for requirements related to hazardous substance management. This directive outlines best practices for managing hazardous substances, including establishing an approved chemical list, conducting chemical risk analyses, and implementing training programs on chemical safety and spill response. It also provides guidance on proper chemical storage, transfer, and disposal procedures to minimize environmental risks.

Reporting and managing observations and environmental incidents

The Group requires all facilities using, handling, transporting, or disposing of chemicals to have a system for reporting and managing environmental incidents. All significant environmental issues must be reported to the regional environment leader within 48 hours through using the reporting process defined by the region. A significant environmental issue is defined as an event that could pose a significant environmental risk taking into account the frequency, quantity, hazard, and sensitivity of the event. Regional SERE (Safety, Environment, and Real Estate) teams are responsible for defining a process for reporting environmental events for their region, leveraging on the Company-wide reporting tool to declare, escalate and keep track of environment, health, and safety observations and incidents.

Depending on the severity of the incident, the Global Environment team is also notified to ensure appropriate actions are taken.

All Schneider Electric sites with more than 50 employees (for manufacturing) and more than 500 employees (for offices) are certified under ISO 14001. This certification supports continuous improvement in tracking and addressing non-conformities related to environmental management.

Targets related to pollution and substances (SVHC and SOC)

Pollution can refer to both pollution occurring on-site as well as pollution related to the end-of-life treatment of Group's products.

Targets related to pollution

Schneider Electric is subject to mandatory pollution-related targets defined by regulatory frameworks in two key areas:

- On-Site Operations: The Group targets full compliance with local environmental regulations governing operational emissions and discharge limits.
- End-of-Life (EPR): Schneider Electric acts to meet mandatory collection and recycling targets imposed by Extended Producer Responsibility (EPR) legislation (including the EU WEEE Directive, Batteries Regulation, and Packaging Directive). These regulations set statutory recovery rates to prevent environmental contamination (pollution) from hazardous components. By participating in national producer schemes to meet these targets, the Group ensures the safe treatment of products, batteries, and packaging, avoiding pollution risks associated with landfilling.

Targets related to SVHC and SOC

Cycle	Targets ⁽¹⁾	Detail
2020-2025	SSE #2 SF ₆ free medium voltage technologies	Substituting 100% of relevant offers with SF ₆ -free medium voltage technologies
	SSE #6 Green Premium™ program	Grow product revenues covered by the Green Premium™ program to 80%
2026-2030	Sustainability Impact 2030 / Future-Designed	100% of major offers in design demonstrate circular and environmental excellence
	Sustainability Impact 2030 / Industry Catalyzer	50% of materials selected to provide superior environmental and ethical value
2035	Other targets	100% global RoHS compliance without referring to Annex III exemptions

2025 performance & beyond

The targets concerning substances of very high concern in products are defined in the Materials and Chemicals Directive.

The business units are assessing their product portfolio against the main regulations defined in the directive.

Schneider Electric business lines utilize internal reports to monitor product compliance and portfolio data coverage. These tools provide granular visibility (e.g., RoHS exemptions, REACH SVHC status) to inform analysis roadmaps and drive necessary actions, such as data updates and material substitution.

Schneider Electric's Sustainability Essentials (SSE) targets related to pollution include SSE #2, which focuses on substituting relevant offers with SF₆-free medium voltage technologies, and SSE #6, which aims to grow product revenues covered by the Green Premium™ program. In 2025, the Group achieved 80% substitution with SF₆-free medium voltage technologies and 83.2% of product revenues covered by Green Premium™.

Beyond 2025, the Group has set new ambitious targets under its Sustainability Impact 2030 cycle to reinvent the industry towards innovation. By 2030, Schneider Electric will ensure that 100% of major offers in design demonstrate circular and environmental excellence; 50% of materials are selected for superior environmental and social value. These goals prevent pollution by ensuring products are engineered for lifecycle recovery rather than landfill disposal. Furthermore, selecting materials with superior environmental value mitigates the toxic emissions and ecological degradation typically associated with raw resource extraction.



For a general overview of Schneider Electric's progress and performance on SSI and SSE and the new cycle please refer to **section 1**. For the methodology of SSIs please refer to **section 4.1**.

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to **section 2.1**.

2. Sustainability statements

The Group also pursues ambitious targets of 100% global RoHS compliance without referring to Annex III exemptions before 2035 (provided that technical alternative solutions are available on the market).



Details on timelines, milestones, and stakeholder involvement are available in [section 1.1.2](#).

Progress is tracked via revenue and compliance metrics: by end-2025, 81% of global products (95.6% of revenue) were RoHS compliant, with 49% using no exemptions. Currently, 92.2% of revenue comes from products meeting three effectiveness criteria: RoHS compliance, SVHC communication, and no SVHCs under authorization.

For other SoCs not listed under RoHS or REACH SVHC, there is no target due to the lack of mandatory legal communication requirements in the supply chain.

Metrics on substances of concern and substances of very high concern

Considerations

Substances of very high concern

REACH regulation article 33 requests EU manufacturers or importers to declare the presence of SVHC above 0.1% at smallest article level in products put on the EU market. The real percentage or amount of SVHCs in products is not mandatory to disclose (cf official text below). This means that this information is not available in its database despite a strong supplier data collection process, recent compliance management tools, and a more than 15 years' experience.

Schneider Electric put in place a robust compliance declaration collection process and compliance management tools under the responsibility of a dedicated procurement team. Its standard parts and materials database currently includes full material disclosures (FMDs) for 48% of referenced items, and the Group is pursuing a strategy to significantly increase this coverage in the coming years. In parallel, its existing compliance tool does not enable FMD aggregation at the product level. Schneider Electric is therefore preparing to transition to a new compliance system in 2026.

Given these constraints, a 'bottom-up' calculation of the total volume of SVHCs leaving Group's facilities – based on Bill of Materials (BOM) analysis and detailed material composition – is neither technically feasible at scale nor sufficiently reliable at this stage, as limited FMD coverage would lead to a substantial underestimation.

For the 2025 reporting year, Schneider Electric has therefore adopted conservative methodological assumptions to ensure the most robust and comprehensive estimation possible.

Substances of concern

There is currently no regulation which enforces SoC information sharing along a supply chain for articles. The only mandatory shared information on SoCs is through Safety Data Sheets (SDS) on substances and preparations. But there is nothing at article level. This means that, when a company manipulates internally substances or preparations, the SoC information is available, but when this company is buying articles for assembling, the SoC information is not shared (except in the case of FMDs which is not mandatory).

Compared with SVHCs, the coverage is much lower (no Regulatory Compliance Declarations) and there is currently no tool on the market which can assess a BOM (Bill of Material) against SoC presence (some tools propose a partial assessment mainly for CMRs "Carcinogenic, Mutagenic and Toxic for Reproduction", but not a complete assessment under the 13 hazard classes or hazard categories as classified in ESRS document referring to Regulation EC No 1272/2008).

The situation for SoC is not specific to Schneider Electric but global for whole assembling manufacturing industry.

Despite these challenges, Schneider Electric proactively identified SoC using an internally defined methodology and continues to improve coverage by increasing supplier data.



For more information on the metrics calculation methodologies, please refer to [section 2.5 CSRD Methodologies and Tables](#).

SOC and SVHC metrics

In the table below, Schneider Electric accounts for the amounts of substances of concern and very high concern that leave facilities as emissions, as part of products, as products, and as services, broken down per hazard class.

The substances of very high concern mainly concerns the lead-acid batteries that are sold by Luminous.

To enhance reporting accuracy, the Group has refined the classification of SoC/SOVHC outflows. The category has been updated from 'as products' to 'as part of products' to more accurately reflect the operational realities. Besides, in 2024, lead metal used by Luminous to manufacture lead acid batteries was counted both as "leaving the facilities as products" and also as 'generated or used'. In 2025, the correct allocation to "leaving facilities as part of products" only was done, and the 2024 baseline adjusted for better readability and comparison.

	Total SOCs that leave facilities (kg)				TOTAL	Total SOCs that are generated or used (kg)
	As emissions	As products	As part of products	As services		
Carcinogenicity categories 1 and 2	0	0	12	0	12	0
Chronic hazard to the aquatic environment categories 1 to 4	0	0	0	0	0	68,000
Reproductive toxicity categories 1 and 2	0	0	3,140	0	3,140	0
Respiratory sensitization category 1	0	0	0	0	0	1,343,074
Skin sensitization category 1	0	0	0	0	0	1,647,294
TOTAL 2025	0	0	3,152	0	3,152	3,058,368
TOTAL 2024	0	0	2,551	0	2,551	2,986,786

	Total SOVHCs that leave facilities (kg)				TOTAL	Total SOVHCs that are generated or used (kg)
	As emissions	As products	As part of products	As services		
Carcinogenicity categories 1 and 2	0	0	1,347	0	1,347	0
Chronic hazard to the aquatic environment categories 1 to 4	0	0	1,277	0	1,277	0
Endocrine disruption for human health	0	0	587	0	587	0
Reproductive toxicity categories 1 and 2	0	0	100,250,413	0	100,250,413	19
Respiratory sensitization category 1	0	0	94	0	94	24,200
Persistent, Bioaccumulative and Toxic or Very Persistent, Very Bioaccumulative properties	0	0	9,429	0	9,429	0
Specific target organ toxicity, repeated exposure categories 1 and 2	0	0	1,468	0	1,468	0
TOTAL 2025	0	0	100,264,615	0	100,264,615	24,219
TOTAL 2024	0	0	97,193,964	0	97,193,834	33,943

2. Sustainability statements

2.2.2.2 Outcomes and financial effects

Schneider Electric has no process in place to comprehensively track the percentage of net revenue made with products and services that contain SoC. While no quantitative information is currently available, Schneider Electric anticipates that the increasing regulatory disclosure requirements related to SoC and SVHC may lead to additional compliance costs, particularly due to the need to enhance data availability. At the same time, opportunities are expected to arise from increased circular design, resource substitution, and strengthened product stewardship. Further details on these opportunities are provided in section 2.2.3 Resource use and circular economy | ESRs E5.

2.2.3 Resource use and circular economy | ESRs E5.

The complexity of substance substitution varies significantly. When driven by the supply chain, the process is often transparent with costs limited primarily to qualification, though it remains dependent on supplier readiness. Conversely, cases such as SF₆ elimination are far more intensive, requiring a partial or complete redesign of the product architecture. It can also be necessary to launch long, difficult, and costly research programs on new materials, new technologies before implementation in its product portfolio. Schneider Electric manages a research program roadmap in which the substitution of chemicals is representing a solid part of the effort. It's difficult to measure the cost related only to substitution research because it's often diluted in other costs. For instance, some substitutions like PFAS will probably not require redesign but only requalification (PFAS as Flame Retardant synergist in plastics), while others such as fluorinated lubricants removal or PTFE surface treatment will probably need costly product redesign and qualification.

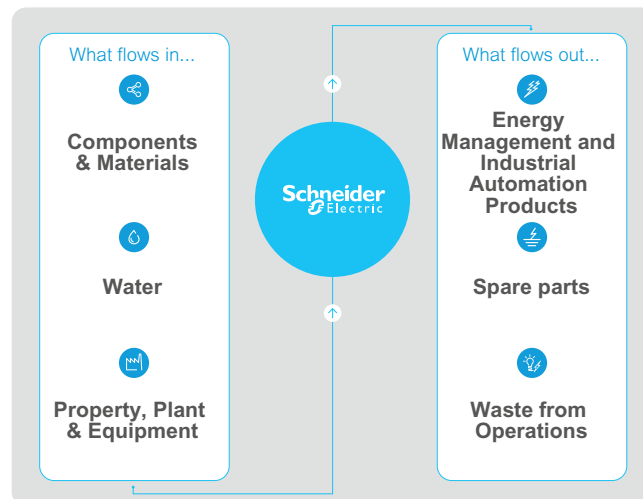
The reported OpEx in conjunction with incidents and deposits linked to pollution by SoC and SVHC is EUR 0.1 million OpEx and no CapEx. Currently it is unfeasible to qualify the level of uncertainty of assumptions. This amount is linked to soil remediation projects upon decommissioning of sites in Brazil. The time horizon for these soil remediation is short term only, as CSRD only requires to disclose the OpEx and CapEx of the current reporting cycle⁽¹⁾. Note that Schneider Electric also makes financial provisions for environmental risks, including those related to decontamination. This section does not include provisions for environmental risks. Instead, they are reported in the consolidated financial statements.



For more information on programs related to resources used, please refer to note 22 (page 530) of **section 5.5 Notes to the consolidated financial statements** of the 2025 Universal Registration Document.

2.2.3 Resource use and circular economy | ESRs E5

2.2.3.1 Business footprint: resource inflows and outflows



What flows in

Components and materials

Schneider Electric's operations rely on inflows of electromechanical/electronic components and common industrial materials, such as metals (e.g., copper, aluminum, steel), engineering plastics/resins, and glass, as well as paper/cardboard packaging.

Where material, the company identifies and addresses critical raw materials (e.g., 3TG: tin, tantalum, tungsten, gold; and cobalt) through responsible-sourcing due diligence (RMI/OECD, CMRT/EMRT) in Group's supplier programs.

The Group also acknowledges rare earth elements used in magnets and sensors in electrical equipment (e.g., for motors), aligning the approach with the EU Critical Raw Materials Act framework.



For more information on programs related to resources used, please see **section "Targets" and "2.2.3.4 Circularity principles"**.

(1) Under the CSRD, the short term is defined as the period adopted by the undertaking as the reporting period in its financial statements; the medium-term is defined as the period from the end of the financial reporting period up to five years; the long-term refers to any period beyond five years.

Water

Water inflows are primarily from municipal supply for processes (cooling, testing, sanitation), with site-specific efficiency/reuse measures integrated into the environmental management and nature-dependency programs disclosed in section **3.1 Managing our environmental footprint** on page 209.

Property, plant and equipment

Resource inflows include production machinery and tooling, test benches/metrology, IT hardware, and building improvements that support safe and efficient operations; Schneider Electric depends on supplier-owned/contract manufacturing assets for components and subassemblies. Schneider's approach favors high-efficiency equipment, refurbishment, and life-extension strategies to curb virgin material use.

What flows out

Key products

Production outputs comprise electrical distribution equipment (e.g., switchgear, circuit breakers, uninterruptible power supply (UPS), meters/sensors), industrial automation hardware, and digital/software offers (EcoStruxure™-enabled), manufactured primarily with metals (copper, aluminum, steel), engineering plastics, glass, and paper/cardboard packaging. Integrating key circularity principles, these products are designed for long-term durability and reliability. Electrical distribution and energy management

devices feature "design for disassembly" to facilitate component replacement, upgrades, and end-of-life recycling. Automation hardware utilizes modular engineering to enhance repairability, reusability, and lifecycle extension. Across the portfolio, this approach ensures that valuable materials are effectively recovered, recycled, or repurposed, thereby reducing waste and conserving resources.



Circularity is embedded in all Schneider Electric's products, for more information please refer to the section "Circularity principles" on page 95.

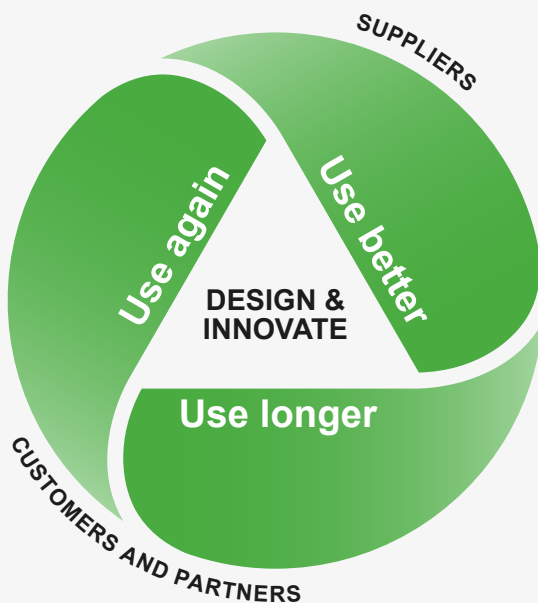
2.2.3.2 Impacts, risks and opportunities

Resource inflows	
Negative Impact	Contribute to scarcity of resources through use of critical materials
Positive Impact	Incentivize suppliers to provide green materials⁽¹⁾
Risk	Business disruptions and rising costs due to resource scarcity.
Resource outflows	
Negative Impact	Generate a significant outflow of materials.

2.2.3.3 Circular strategy and policies

Global approach to circularity

Foundation of circularity at Schneider Electric



Vision: decouple business growth from resource extraction while meeting Group's Net-Zero target and contributing towards a nature-positive world.

Mission: adopt end-to-end circularity by:

1. changing Group's offer creation, product design and manufacturing to make the most of resources and eliminate the use of virgin, non-renewable, materials;
2. extending the useful life of products, parts and materials;
3. keeping products, parts and materials in circulation at their highest functional value as long as possible.

(1) According to Schneider Electric, a green material has a lower environmental and social footprint, meaning low GHG emission, high recycled content, and minimized impact on people and the planet. For the 2021-2025 duration, the commodities in scope are thermoplastics, steel, and aluminium. For more information on IROs please refer to section 2.1.2 Double materiality assessment: main sustainability impacts, risks and opportunities on page 44.

2. Sustainability statements

Schneider Electric's Environmental Sustainability Policy focuses on **circular economy principles** and aims to reduce resource inflows and outflows impact on nature.

Schneider Electric's circularity policy consists of the following strategic principles:

- "Design and innovate" consists of:
 1. applying EcoDesign principles to product development (e.g., designing for reliability and lifetime extension), and
 2. developing business innovation to offer development (e.g., moving from transactional sales to as-a-Service).
- "Use better" is about optimizing the use of resources, sourcing the materials with the lowest environmental impact, and manufacturing products efficiently.
- "Use longer" involves providing services to keep products in use for as long as possible. This includes on-site and workshop repair, digitally enabled maintenance, as well as equipment modernization services and spare parts.
- "Use again" relates to recirculating products, parts, and materials in the economy. For example, take back, refurbishment, and resale of assets reaching end of use.

In summary and in terms of resource inflow, the policy emphasizes sustainable resource management via resource efficiency and sustainable sourcing. Sustainable sourcing means sourcing materials with lower environmental and social impact like recycled materials or renewable materials.

For resource outflow, the policy focuses on maximizing resource use, by ensuring material reuse and recycling ultimately avoiding waste.

Regarding virgin resources, the policy specifically addresses the transition away from these by promoting the use of recycled materials. Schneider Electric has set targets to increase the proportion of secondary resources in its products and packaging, thereby reducing reliance on virgin materials and supporting the circular economy. On sustainable sourcing practices, the policy ensures that materials are procured responsibly and ethically.

Schneider Electric prioritizes the use of renewable resources, such as sustainably sourced wood and bio-based materials, to reduce environmental impact and support long-term sustainability goals. The company relies on international recognized certification schemes to ensure renewable resources are sustainably sourced, such as Forest Stewardship Council (FSC) or Sustainable Forest Initiative (SFI) for wooden-based packaging.

Scope of Global Environmental Sustainability Policy

The policy applies to all Schneider Electric operations, including manufacturing sites, offices, and the supply chain, ensuring a consistent approach without exclusions.

Overseen by the Global Environment team, implementation is monitored through regular audits, with governance involving senior management and the Board. The policy aligns with ISO 14000 standards and relevant regulations, developed with input from employees, customers, suppliers, and regulators. It is communicated through internal channels, training programs, and public disclosures to ensure all stakeholders are informed and engaged.

Targets

Cycle	Targets ⁽¹⁾	Details
2020-2025	SSE #6 Green Premium™ products	80% of product revenues covered with Green Premium™ (≥ 1 of: recycled content, durability, repairability, energy efficiency, SF ₆ -free)
	SSE #10 EcoFit™ take-back and retrofit	Avoid 420,000 metric tons of primary resources by 2025 via take-back/retrofit (repair, reuse, refurbish, recycle)
	SSI #4 Green materials	50% green materials in products (steel, aluminum, plastics); scale recycled thermoplastics, Electric Arc Furnace (EAF) steel, scrap-based aluminum
	SSI #5 Sustainable packaging	100% of primary/secondary packaging free from single-use plastic; using recycled cardboard by 2025
	Sustainability Impact 2030 / Future-designed	100% of major offers in design demonstrate circular and environmental excellence
2026-2030	Sustainability Impact 2030 / Industry catalyzer	50% of materials selected to provide superior environmental and social value
	Sustainability Impact 2030 / Longer, better	x2 growth of circular services for longer and better usage



For a general overview of Schneider Electric's progress on SSI and SSE, please refer to [section 2.1](#). For the methodology of SSIs please refer to [section 4.1](#).

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to [section 2.1](#).

2025 performance & beyond

Until 2025, Schneider Electric defined and governed its resource use and circular economy targets through the Schneider Sustainability Impact (SSI) and Sustainability Essentials (SSE).

These quantified circularity targets (SSI and SSE) were company-set and publicly reported under Schneider's sustainability governance. They were not mandated by legislation, although they support compliance and disclosure under CSRD and align with evolving EU policy (e.g., circular economy and packaging frameworks).

Under Schneider Electric's SSI and SSE programs adopted targets for all sustainability matters that are material to the company. These targets reflected the company's commitments towards resource use and circularity.

In 2025, the Group achieved 83.2% of product revenues covered by Green Premium™ (SSE #6), avoided 428,449,624 kilograms of primary resource consumption through "take-back at end-of-use" since 2017 (SSE #10), increased 47.8% of Green Materials content in its products (SSI #4), and reached 84.5% of primary and secondary packaging free from single-use plastic and using recycled cardboard (SSI #5).

As part of the new Sustainability Impact 2030 cycle, Schneider Electric is embedding circularity principles across its value chain to reduce resource dependency and environmental impact. By rethinking how the Group designs, sources and promotes, it can engage the entire value chain with responsible practices which allows to reshape its ecosystem and set new standards in its industry.

By 2030, Schneider Electric will ensure that 100% of major offers in design demonstrate circular and environmental excellence; 50% of materials are selected for superior environmental and social value; and x2 growth of circular services will extend product life for longer, better use.

On increasing circular design, Schneider Electric embeds EcoDesign/Green Premium™ (Product Environmental Profiles (PEPs)/Environmental Product Declarations (EPDs), material transparency) and a consistent Environmental Data program across offers, valuing durability, repairability, recycled content and recyclability (i.e., design for circularity).

Regarding minimization of primary raw material use, the Group's Green Materials commitment includes thermoplastics and metals (steel and aluminum). Schneider Electric relies mostly on recycled content for thermoplastics, electrical arc furnace technology for steel manufacturing, and scrap-based aluminum production to minimize the use of primary materials while strengthening resilience across the supply chain.

Schneider Electric links circularity to other matters related to resource use. For instance, "SSE#10 ECOFIT™ take-back and retrofit" quantifies its circular economy efforts (repair, reuse, refurbish, and recycle) and targets to avoid primary resource consumption through "take-back at end-of-use" by 2025, cumulatively since 2017 (SSE #10). This program enables savings in waste, material, energy consumption, CO₂ emissions, and/or water.

The Group's circular targets sit at the top of the waste hierarchy.

- Prevention: Eco-design/Green Premium™ and SSI #4 & #5 design out waste at source.
- Preparing for reuse / Reuse / Repair / Refurbish: EcoFit™ take-back/retrofit and service programs extend asset life and avoid new material throughput.
- Recycling: The Group scales recycled thermoplastics, EAF steel, scrap-based aluminum, and recycled cardboard to lift circular material use rates.
- Other recovery is only used where reuse/refurbish/recycling are not practicable; disposal is not a target layer.

Additionally, the Group's 2021 – 2025 targets aimed to reverse depletion of stocks of renewable resources by committing to primary and secondary packaging being free from single use plastic, using recycled cardboard by 2025. Here is how this initiative related to reversing the depletion of renewable resources:

- Reduction in Plastic Waste: By eliminating single-use plastics, Schneider Electric reduces the demand for new plastic production. This helps decrease the extraction of fossil fuels, which are non-renewable resources used to produce plastics.
- Promotion of Recycling: Using recycled cardboard supports the recycling industry, which helps conserve trees and forests. Forests are renewable resources that play a crucial role in maintaining ecological balance and biodiversity.
- Lower Carbon Footprint: The production of recycled materials generally requires less energy compared to producing new materials. This reduction in energy consumption translates to lower greenhouse gas emissions, contributing to climate change mitigation.
- Sustainable Supply Chain: By committing to sustainable packaging, Schneider Electric encourages its suppliers and partners to adopt similar practices. This collective effort can lead to a broader impact on conserving renewable resources across the supply chain.
- Biodiversity Conservation: Reducing plastic pollution and promoting the use of recycled materials helps protect natural habitats and biodiversity. Healthy ecosystems are essential for the regeneration of renewable resources.

2.2.3.4 Circularity principles

General disclosures

Schneider Electric's vision is to decouple business growth from resource extraction. Leveraging this mindset, the goal of circularity is to design out waste and pollution, keep products and materials in use, and regenerate systems.

The Group designs and innovates with EcoDesign to prevent waste at source and design products for repairability and durability; uses better by prioritizing lower-footprint materials such as recycled thermoplastics, EAF steel, scrap-based aluminum and recycled cardboard. The Group is also committed to use longer through ECOFIT™ through maintain/repair/refurbish/retrofit services which extend asset life; and to use again via responsible resource-recovery and recycling at end-of-life. For more information please see below page 96.

2. Sustainability statements

These actions apply across the Group i.e. engineering and specification for products & packaging, global procurement, supplier management, and installed-base services/logistics across all geographies. They cover both upstream inflows i.e. incoming raw materials, components, packaging, and outflows i.e. finished goods, spare parts, and waste in operations.

These actions are tracked and reported under Schneider's SSI and SSE program governance (SSI reported quarterly; SSE annually) with near-term milestones to 2025, medium-term scaling to 2030, and the actions are in alignment with the Net-Zero 2050 value-chain ambition.

Schneider Electric takes corrective actions where risks persist. The Group collaborates with customers, suppliers, recyclers and communities to support remedies (safe handling, responsible recycling, repair/retrofit offers) and to uphold Decent Work/human-rights expectations for strategic suppliers, improving environmental and social outcomes associated with extraction, processing and end-of-life.

The Group has set its next five-year program and associated financial allocations for future inflow targets (see section 1.3 on new SSI on page 22).

For resource outflows, current spend is mainly OpEx for circular offers and take-back initiatives (including headcount and digital roadmap) and EPR compliance.

Design and innovate

"Design and innovate" consists of: 1) applying EcoDesign principles to product development (e.g., designing for reliability and lifetime extension), and 2) developing business innovation to offer development (e.g., moving from transactional sales 'as-a-Service').

Ecodesign

At Schneider Electric, every product or solution fulfills strict environmental performance. The Group has embraced a circular approach throughout the lifecycle of its products and aims to design products with minimal material footprint and maximal lifetime value. R&D is needed to design products that use fewer virgin resources, bring additional CO₂ or resource efficiency for customers, have longer lifespans, and lower end-of-life impacts, such as SF₆-free products.

Circularity is a key enabler and lever to climate change mitigation and biodiversity preservation. The circular journey of Schneider Electric starts with the design phase, to ensure that every product and offer are using better materials and processes, are used longer, and are used again once they reach their first end-of-life: this is EcoDesign for Schneider Electric. Environmentally conscious design (or eco-design) is defined in the standard International Electrotechnical Commission (IEC) "62430:2019 – Environmentally conscious design" as the design of products or services that aims to minimize the environmental impact throughout a product's lifecycle.

Over the past two decades, Schneider Electric has been investing in improving the sustainability of its products and completed +3,000 life cycle assessments, leading the organization to have a better understanding of its environmental hotspots. In 2015, to respond to customers' growing demand for products with a lower environmental footprint, and to embed circular principles in its products and offers, Schneider Electric adopted EcoDesign Way™, a process to understand and manage the environmental impact throughout the lifecycle of products, and to coordinate efforts across the value chain, as shown with the five EcoDesign categories below. Schneider Electric has been able to build internal capabilities in EcoDesign through a tailor-made training pathway. In 2025 more than 12,000 engineers have been trained to the EcoDesign principles allowing to implement innovations which deliver measurable environmental savings compared to previous models.

EcoDesign circularity

Recirculation

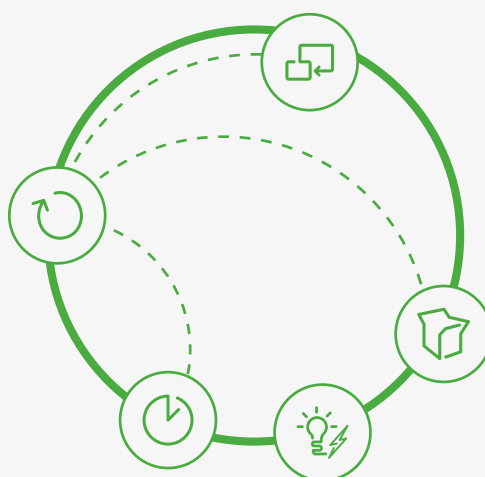
Ensure products, parts and materials have multiple lives.

Lifetime Extension

Extend lifetime of product and parts through design and services.

Energy Efficiency

Optimize energy efficiency during product use. Ability to deliver energy efficiency for customers.



Materials and Substances

Optimize: Focus on using less. Focus on alternative materials acting for circularity, low carbon and people and ecosystem safety.



Packaging and Operations

Focus on alternatives packaging solutions to optimize resources and minimize waste generation. Other benefits occurring at Schneider Electric operations.

EcoDesign allows businesses to implement Schneider Electric environmental global commitments into new product development processes, therefore ensuring that Schneider Electric offers actively contribute to its long-term commitments. While the

EcoDesign Way™ Scorecard is still being used in projects, Schneider Electric has revamped the EcoDesign assets in 2023 to further accelerate the positive impacts products and services could have on the environment.

EcoDesign in business strategy

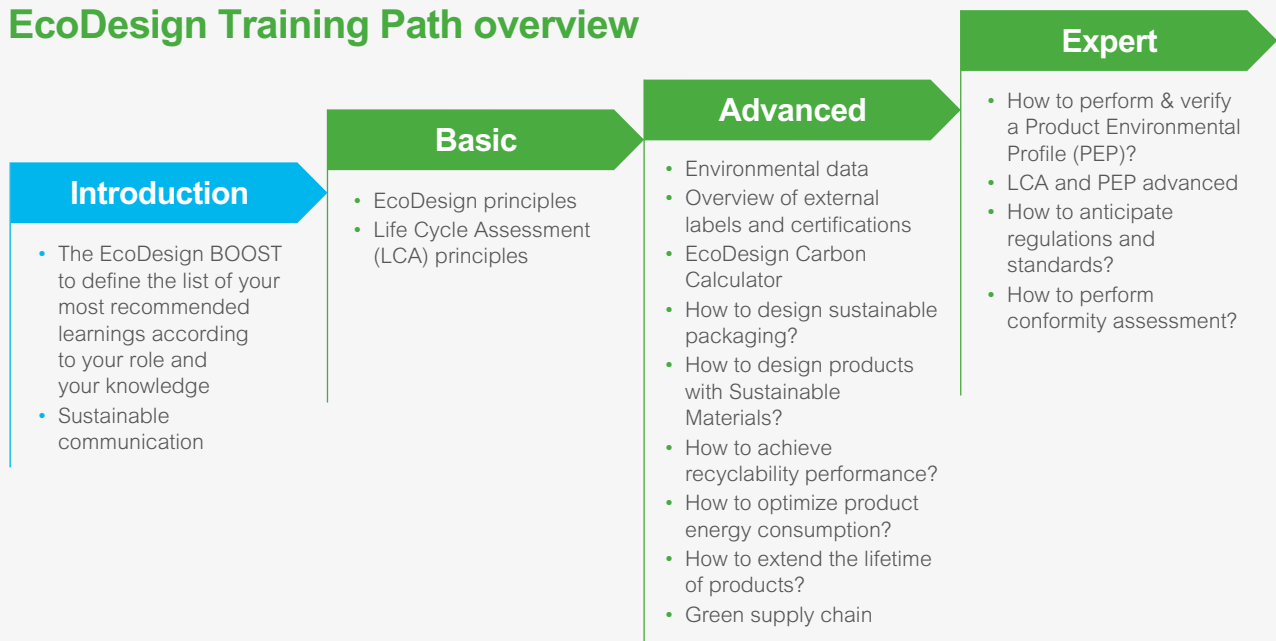
Each business unit defined its sustainability targets and roadmap to reflect operationally the resources required to achieve a decarbonization plan. The Human Resources department performed a thorough assessment to ensure each business unit was correctly staffed to foster EcoDesign. It includes roles and responsibility descriptions and upskilling plans.

The Group has implemented EcoDesign metrics into the Offer Life Cycle. Management ensures that all projects are incentivized to track their environmental footprint and report their performance on carbon and materials footprint. Mandatory deliverables at key milestones of the Offer Life Cycle Management have been updated to strengthen the EcoDesign requirements.

EcoDesign assets

The Group launched in 2023 the EcoDesign Training Path, a set of 20 training modules, accessible for the entire R&D community, to raise awareness, train, and upskill the engineers in charge of new product development. The EcoDesign Training Path includes several training levels, from basic to expert and covers a wide range of topics such as the EcoDesign principles, lifecycle assessment (LCA), green materials, communication rules, and standards. The central team of the different business units are tracking the deployment of the different EcoDesign Training Path modules to ensure a good appropriation by the R&D team and therefore building a common knowledge to foster Sustainable Innovation DNA across the Company.

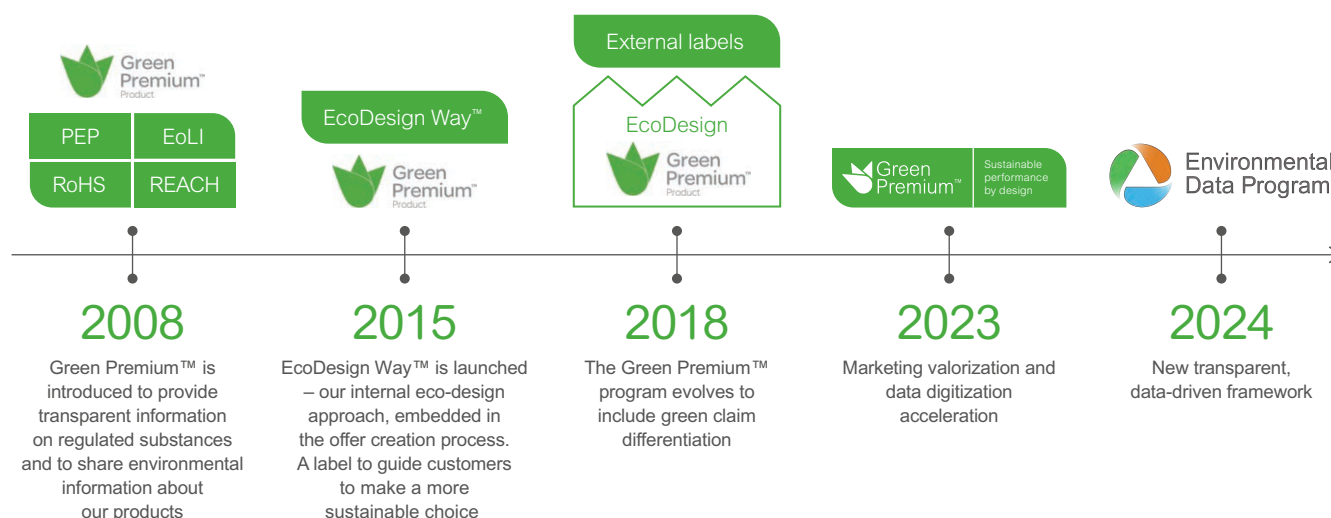
EcoDesign Training Path overview



In 2023, the Group developed the EcoDesign Carbon calculator, an online tool based on LCA methodology and datasets to allow non-environmental experts to model their projects' environmental footprint, identify hotspots, and estimate their first reduction potential. The EcoDesign Carbon Calculator, focusing on a Climate Change indicator at first (other environmental indicators can be

activated at a later stage), is intended to be used at an early stage of the Offer Life Cycle Management. It relies on available Product Environmental Profiles (PEPs) and allows users to simulate different scenarios by using an extrapolation function. Multiple scenarios can be compared to identify the best design opportunity for the project team.

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Repairability

Schneider Electric's approach to establishing the repairability of its products involves modular design, condition-based maintenance, detailed documentation and support, design for disassembly, refurbishment programs, and the use of durable materials (recycled or bio-sourced for instance). These strategies ensure that Schneider Electric's products are not only easy to repair but also long-lasting, aligning with the Company's commitment to circular economy principles.

Leading with transparency: Environmental Data Program

Complementing the EcoDesign initiative, for the past 15 years, Schneider Electric operated the Green Premium™ program to communicate the environmental value of a product to customers. The Green Premium™ label means that a product follows the EcoDesign principles, and:

- Is compliant with RoHS (Restriction of Hazardous Substances) and REACH (Registration, Evaluation, Authorization, and Restriction of Chemicals) regulations;
- Has an estimated LCA; and
- Has clear end-of-life instructions.

In 2015, the Green Premium™ label added other environmental criteria, such as "take-back" programs when the battery of an Uninterruptable Power Supplies (UPS) reaches its end of useful life; and in 2018, additional external labels have been added.

In 2024, Schneider Electric decided to go one step further regarding product sustainability transparency by launching the Environmental Data Program and retiring the Green Premium™ label.

The Environmental Data Program is the way Schneider Electric measures, categorizes, and compares the environmental attributes and footprint of their products. The program uses a fact-based methodology to provide up to 30 environmental data points to Schneider Electric products.

The data is classified in five categories covering the entire product lifecycle (materials and substances, energy efficiency, lifetime extension, repack and remanufacture, and environmental footprint) and are available on Schneider Electric's digital platforms.

This detailed product environmental information goes beyond existing regulatory requirements in response to customers growing expectations.

At end of 2025, 90% of Schneider Electric's product turnover was from products disclosing more than 14 easily accessible environmental data attributes.

Product Environmental Profiles and Life Cycle Assessment

Many building standards and regulations now mandate Environmental Product Declarations (EPDs) to assess impact across the full "cradle-to-grave" lifecycle. Schneider Electric meets these requirements through Product Environmental Profiles (PEPs), which are Type III environmental declarations compliant with ISO 14025.

The Group is a founding and highly active member of the PEP ecopassport® association, currently holding the Vice Presidency. Following a major contribution to the development of the Product Category Rules (PCR ed.4) in 2021, Schneider Electric continues to drive the association's steering committee and technical committee workstreams to ensure Product Category and Specific Rules (PCR and PSR) remain robust and transparent.

In 2025, 2,983 PEPs were publicly available, covering more than 80% of product lines with an ISO 14025 declaration. These are available as:

- Certified: Externally reviewed and published by a program operator (e.g., PEP ecopassport®).
- Internal: Reviewed by accredited independent internal verifiers, compliant with ISO 14021.

Industrializing transparency: LC-Analytics and AI at scale

In 2025, the Group achieved a major milestone in its PEP digitalization program. Building on a pilot phase initiated in 2021, the Group utilized in-house developed software and artificial intelligence to successfully extrapolate and digitalize quality data for more than 90% of the Group's 2025 product turnover.

This success serves as the foundation for the LC-Analytics program's next phase of expansion. Supported by a Series B investment from SE Ventures in Makersite (July 2025), the Group is now deploying an AI-native ecosystem to further automate Life Cycle Assessments. This transition to a highly scalable model is designed to progressively cover Schneider's extensive portfolio, replacing generic data with high-fidelity, product-specific insights. As noted by Peter Weckesser, Chief Digital Officer, this partnership provides the foundation to give teams and customers "unparalleled insight into the environmental impact of products, accelerating our journey toward Net-Zero".

Advocacy and future standards

Schneider Electric continues to advocate for higher standards in supply chain data and cross-industry comparability through the PACT Pathfinder Framework (led by the World Business Council for Sustainable Development) and the development of unified public LCA databases. By leading the transformation to data-driven circularity, Schneider Electric empowers customers to meet regulations (such as EU CSRD and Taxonomy) and deploy effective decarbonization strategies based on primary, quantitative data.

Innovative Business Models

Schneider Electric is exploring innovative circular offers, notably in Electrification as a Service and Energy as a Service through its AlphaStruxure joint venture with Carlyle. AlphaStruxure offers resilient and decarbonized energy with "Energy as a Service" (EaaS). EaaS is a financial and technical solution for deploying transformational on-site energy infrastructure projects without the CapEx or complexity for the customer. AlphaStruxure finances and owns the system, taking on capital costs in exchange for predictable monthly payments, giving clients guaranteed pricing and performance outcomes.

AlphaStruxure assumes the design, delivery, operation, and maintenance of the system over the entire lifecycle.

AlphaStruxure's deep expertise and long-term accountability enables a right-sized, waste-minimizing, and service-optimizing approach that drives circularity for clients.

One such client is New York City's JFK International Airport's New Terminal One. Its EaaS microgrid achieves several superlatives. It's the largest airport microgrid in the US, featuring a revolutionary federated design (four microgrids in one) that can power 100% of

the terminal's critical operations. Its 11.34 megawatt decarbonized electrical capacity is sourced from fuel cells, battery storage, and the largest rooftop solar array in NYC. AlphaStruxure's careful planning and service excellence will prolong asset longevity, minimize resource use, and propel decarbonization. That's how AlphaStruxure's EaaS drives circularity.

Use better

"Use better" is about optimizing the use of resources, sourcing the materials with the lowest environmental impact, and manufacturing products efficiently. Example measures include sourcing materials with high recycled content and minimizing manufacturing scrap.

To illustrate the 'Use better' principles, Schneider Electric is engaged in R&D projects aimed at incorporating more recycled materials into its products. For example, Schneider Electric determined the optimal amount of recycled content to include in both halogenated and halogen-free plastics without impacting product performance. Schneider R&D engaged closely with the raw materials suppliers to optimize the recycled plastic formulation to ensure key performance criteria are met at material level. Further R&D engaged with the businesses to identify legacy and new products to test and validate the recycled solution.

Being efficient with resources

Schneider Electric prioritizes resource efficiency to mitigate business risks caused by the increasing competition for critical raw materials driven by global electrification. To ensure supply resilience and manage cost volatility, the Group employs a strategy of substitution, circular business models, and short-term supply security.

The central target of this substitution was to increase green materials in products to 50% by 2025. This initiative aims to accelerate switching to more circular or low-carbon material while providing differentiation potential for customers. Opting for Responsible Materials, in particular when they include a share of recycled content, fully aligns with Schneider Electric's Resilience objectives and therefore supports business continuation. Schneider Electric's Resilience Materials program secures short-term supply and mitigates price volatility through real-time alerts and substitution strategies, while building long-term resilience by de-risking the portfolio with circular solutions and technology. Resource parameters are embedded in product ecodesign, and R&D prioritizes strategic materials, backed by clear escalation and communication channels.

Even though copper is not in the scope of the Green Material program, since it is fully included in the Resilience Materials Program stream, supplier information on percentage of recycled content is being collected and consolidated, hence it can be included into the recycled components calculation.

Resource efficiency in the Green Materials program is qualified by specific environmental criteria for each key commodity:

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A GREEN METAL IS		
Steel	Aluminum	Zamak
from <u>Direct</u> Procurement	from <u>Direct</u> Procurement	from <u>Direct</u> Procurement
Complies with <u>at least one</u> criterion below: Steel is produced from an Electric Arc Furnace Steel is produced from a Direct Reduced Iron or Hot Briquetted Iron Blast Oxygen Furnace Steel Product has a Green Certificate⁽¹⁾ Steel product has a proven Product Carbon Footprint reduced by at least 25% compared to 2021	Complies with <u>at least one</u> criterion below: • 8 tCO₂e/ton of aluminum⁽²⁾ • 90% recycled scrap⁽³⁾ • Aluminum product has a Green Certificate⁽⁴⁾	Complies with the criterion below: • ≤ 3 tCO₂e/ton of alloy⁽⁵⁾ • Alloy product has a Green Certificate⁽⁶⁾

- (1) e.g., Responsible Steel
(2) According to Aluminium Stewardship Initiative (ASI).
(3) According to EU green taxonomy
(4) e.g., ASI.
(5) Based on a LCA performed by International Zinc Association (IZA).
(6) e.g., Copper Mark.

A GREEN THERMOPLASTIC IS		
REACH / RoHS / POPs compliant ⁽¹⁾		
AND		
If plastic compound is Halogen Free⁽²⁾	If plastic compound is still Halogenated⁽²⁾	
	PS FR and PVC	Other halogenated compound
Complies with at least one criterion below: ≥ 20% wt of recycled content ⁽³⁾⁽⁶⁾ OR ≥ 20% wt of bio-based content ⁽⁴⁾⁽⁶⁾ OR Green Flame Retardant and Additives <i>For flame retardant plastic only⁽⁵⁾</i>	Complies with at least one criterion below: ≥ 30% wt of recycled content ⁽³⁾⁽⁶⁾ OR ≥ 30% wt of bio-based content ⁽⁴⁾⁽⁶⁾	Complies with at least one criterion below: ≥ 50% wt of recycled content ⁽³⁾⁽⁶⁾ OR ≥ 50% wt of bio-based content ⁽⁴⁾⁽⁶⁾

- (1) Latest versions.
(2) According to EN 50642/IEC 63355 "Materials and Chemicals Directive" Halogen Free is a priority. Halogenated is only applicable if there is no halogen free technical solution on the market.
(3) According to ISO 14021 and EN 45557.
(4) According to EN 16785 or ASTM D6866.
(5) According to GreenScreen® used in TCO Certification.
(6) According to ISO 22095 for mass-balance chain of custody.

Switching toward Green Materials is a long journey. For instance, qualification and certification lead time could span from 8 to 18 months and yield to bottlenecks that could jeopardize product launch. To overcome this challenge, Schneider Electric focuses on long-term roadmap planning at entity level and builds up strategic partnerships. A prime example is the collaboration with ArcelorMittal to source XCarb® recycled and renewably produced steel, produced using 100% renewable electricity and high recycled content for the design of Universal Enclosure, Spacial SFN.

In 2025, Schneider Electric sourced 48% of “Green Materials” in its products in 2025 SSI #4, see more information on SSI and SSE performance in **section 4.4.1.1** page 271. Even though the Green Materials scope covered only 25% of Schneider Electric Material purchases in volume (all thermoplastics parts, and direct aluminum and steel), these achievements helped to minimize Schneider Electric's impact on raw material extraction, in particular by improving the recycled content and third party ESG certificates. Additionally, Schneider Electric investigated performance and traceability in other commodities such as copper and packaging.

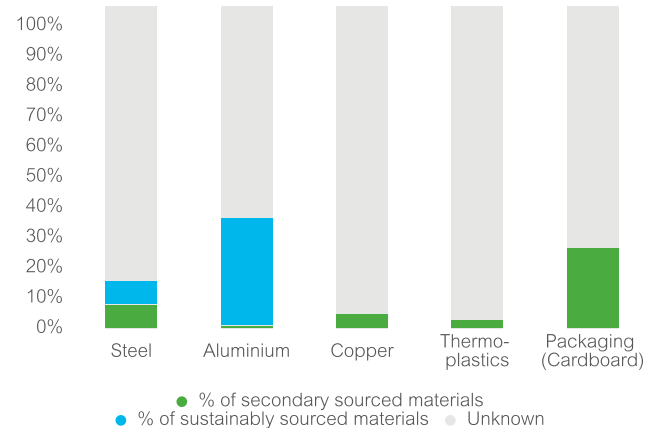
Today Schneider Electric is reporting only secondary and sustainably sourced materials when the Group has visibility on the commodities and its supply chain, i.e. it has a supplier evidence it can connect to the disclosed volume. Please see CSRD related metrics in section **"Business footprint: resource inflows and outflows"** page 92.

Additionally, in 2025, Schneider Electric has engaged with 98% of strategic suppliers through the Decent Work program. Enhancing traceability and trust across the supply chain is also key to minimize raw material extraction impact since impact on Biodiversity and Human Rights could often be related.

The Group believes in traceability of materials in the supply chain for substances, nature, human rights and climate impact. Hence, Schneider Electric is committed to improve its traceability across its supply chain as a key success factor to optimize its environmental and social impacts.

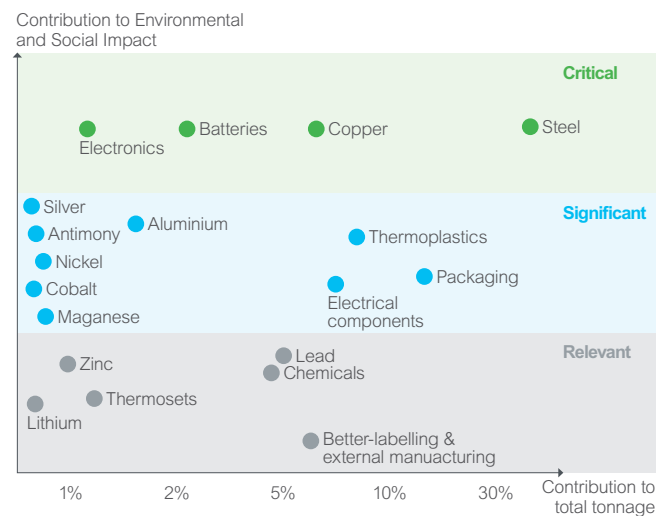
In 2026, Schneider Electric is committed to further rely on Responsible Materials, addressing both environmental and social impact, and to extend the scope of materials included in action plans. Indirect metals will be added, as well as wood products in packaging. These commodities, that were not included into 2025 SSI#4 and SSI#5 respectively, would allow to achieve a 75% coverage of total Schneider Electric materials volume. Additionally, fostering circular loops to across the value chain is a key enabler to reducing the raw material extraction and minimizing impact on biodiversity. In 2026, Schneider Electric aims to accelerate circular services to increase the secondary material flows. These actions will help to identify simple and actionable material metrics to better track, measure and reduce climate and biodiversity impact of The Group's activities.

Volume and distribution of “green materials” (in kt)



Critical raw materials and rare earths

Schneider Electric is committed to reduce “land use” due to the extraction of raw materials. The more raw materials are extracted to manufacture products, the more pressure it has on land use and therefore impact the biodiversity. The main materials used by Schneider Electric have different levels of social and environmental impact, therefore specific actions could be taken depending on their criticality (critical, significant or relevant).



Schneider Electric has robust innovation initiatives and R&D programs aimed at addressing risks related to hazardous or critical raw material inputs. These programs focus on reducing the critical materials used in product manufacturing and replacing hazardous and critical raw materials with different materials having similar physical and performance characteristics. For example, Schneider Electric's Linergy bar, a robust solution to reduce copper consumption in equipments as it is 99% aluminum content with a reduced and localized copper layer ensuring robust connections. Regarding rare earths magnets, switching from a high-performance grade to a just-enough one allows to reduce the dependency to heavy rare earths such as Dysprosium or Gadolinium.

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The supply risks associated with rare earth materials have been assessed, providing clear visibility into which materials are used in which products. To further mitigate risks, Schneider Electric has reinforced strategic partnerships with key suppliers through long-term agreements and C-Level connections. These strategic partnerships consider the importance of resource efficiency and resource substitution. A procurement and planning hub in Singapore manages the direct supply of critical materials and strategic stocks, focusing on active electronics and copper cathodes. Externally, Schneider Electric engages in strategic collaborations to foster innovation and circularity in the supply chain. A key example is the partnership with an European recycling company that uses innovative, low-carbon processes to recover rare-earth elements from end-of-life products such as electric vehicle motors and wind turbines. This initiative supports resource efficiency and regional resilience by enabling the production of new high-performance magnets from recycled materials. Schneider Electric is actively supporting the industrial scale-up of this technology and plans to begin validating recycled magnets in Lahr facility in early 2026, with further product qualifications to follow.

Metals such as copper, aluminum, and steel are essential for manufacturing electrical components and are selected for their recyclability. Schneider Electric ensures that these materials can be recovered and reused, supporting circularity.

The company is focused on increasing the use of green materials in products, particularly thermoplastics, steel, and aluminum. According to Schneider Electric, a responsible material is a material with a lower environmental and social footprint, meaning low GHG emissions, high recycled content, and a minimized impact on people and the planet (e.g., a thermoplastic sourced out of post consumer recycled content, a steel product manufactured out of an electrical arc furnace, an aluminum part produced out of a ASI-certified site with a carbon emission factor lower than 8 tonnes of CO₂e/ton of aluminum).

Use longer

Schneider Electric aims to maximize the environmental performance of its products. To achieve such ambition, the Group develops services and business models to extend the useful life of its products, and when no option is possible, take back the product, assess whether a second-life is possible, and ultimately ensure the product or components are recycled. The first focus, before considering end-of-life, is to prolong to lifespan of products.

These solutions, using up to 60% less materials than using brand-new equipment, enable pull-through and constant payback, increase customer stickiness, and build long-term relationships. To ensure products are correctly used, maintained, repaired collected, sorted, and recycled, circularity has to be embedded in the offer design stage.



For more information, see **Ecodesign approach in section 2.2.3.4 on page 96**

“Use longer” involves providing services to keep products in use for as long as possible. This includes on-site and workshop repair, digitally enabled maintenance, as well as equipment modernization services and spare parts.

Value retention actions

Schneider Electric advances circularity through an approach that extends product lifespan, leverages digital maintenance solutions, and reintegrates used equipment into closed-loop systems:

- Maintenance and Repair:
 - Schneider Electric designs products for durability and ease of maintenance, ensuring longer product lifecycles. These solutions, using up to 60% less materials than using brand-new equipment, enable pull-through and constant payback, increase customer stickiness, and build long-term relationships.
 - Extended equipment lifespan and resiliency through Condition-Based Maintenance. The experience of recent times has accelerated the adoption of IoT as a technological advancement that enhances the resilience of installations. Condition-Based Maintenance is a powerful solution that equipment uptime and prolong its lifespan. By constantly monitoring equipment health and tracking stress, wear, and aging parameters, it allows one to proactively prevent failures that accelerate equipment aging. This approach not only helps avoid the need for equipment replacement but also contributes to avoiding carbon emissions by eliminating the manufacturing of new equipment. In new CapEx projects, Condition-Based Maintenance can be implemented by leveraging native connected equipment. Whereas, for older installations, Condition-Based Maintenance can be enabled by upgrading the installed base with sensors.
- Reverse Logistics and Closed Loop Systems: Schneider Electric has established reverse logistics systems to take back used products and reintegrate them into the production cycle.

Value maximization actions

When extending a product's life is no longer feasible, and on selected offer ranges where the Group can leverage its commercial and technical capabilities, Schneider Electric ensures responsible recovery by taking back the product and assessing its potential for reuse, refurbishment, or material recycling, maximizing value and minimizing waste.

Schneider committed to avoiding 420,000 metric tons of primary resource consumption through end-of-use take-back by 2025, and exceeded this target by reaching 428,450 metric tons.

Use again

"Use again" relates to recirculating products, parts, and materials in the economy. For example, repack, refurbishment, and resale of assets reaching end of use.

Checked & Repacked, and Refurbished Product Offers

Schneider Electric has developed capabilities to repack products with minor packaging damage and refurbish products as needed, which helps to reduce waste and conserve resources. These products are then resold.

One example is how Schneider Electric gives its MasterPact MTZ circuit breakers a second life. Refurbished at the MasterTech plant in France, these circuit breakers are collected from customers at end-of-life, disassembled, diagnosed, upgraded, and tested before being put back on the market. Other ranges include UPS 1-phase, MasterPact MTZ, variable speed drives, human-machine interfaces, programmable logic controllers, motion and system drives.

Other 'use again' practices such as rebalancing stock across plants and DCs and harvesting components for reuse are also practiced.

End-of-Life Management and Action

Schneider Electric integrates regulatory compliance with operational excellence to manage product end-of-life and maximize resource efficiency.

Extended Producer Responsibility (EPR) & Product Stewardship: In compliance with frameworks like the EU WEEE and Battery Directives, Schneider Electric takes responsibility for the sound disposal of its products. This involves structured product assessments and providing detailed end-of-life instructions (circularity profiles) for applicable equipment. To facilitate proper disposal, the Group collaborates with collective schemes and has deployed take-back partnerships at the country level, such as Weecycling (France) and Circolekra (Netherlands).

Operational Waste Management ("Waste-to-Resource"): To support these commitments, the Group's "Waste-to-Resource" program prioritizes value recovery and hazardous waste reduction across its operations. Aiming for deployment in 200 sites by 2025, the program mandates:

- 99% recovery for non-hazardous waste.
- 100% proper handling for hazardous waste.
- A 10% cap on waste-to-energy solutions to prioritize reuse and recycling.

For the next period, the Group will continue its work on operational waste management and is taking the 2 following commitments :

- Reduce operational waste generation intensity by 15% by 2030 compared to 2025 baseline
- Near ZWTL : We commit to maintaining Near Zero Waste to Landfill across our industrial operations by prioritizing waste prevention, reuse, recycling, and recovery, and by achieving at least 95% diversion from landfill. We will reference globally recognized frameworks (UL, Eurofins, TÜV Rheinland, SGS) while using regional verification pathways to ensure credible and efficient transparency. Our approach emphasizes on waste valorization, circularity, and continuous improvement to drive long-term sustainability.

Sites' maturity is monitored via a global Environmental, Health and Safety Assessment (EHSA), ensuring deployment of robust governance and best practices across sites globally.

Circular Outcomes & Systems Efficiency: Beyond compliance, Schneider Electric engages in industrial symbiosis and refurbishment programs to extend product lifecycles. These initiatives have significantly avoided the consumption of primary resources.

Schneider Electric works collectively with stakeholders to implement circularity in products and materials as described in the subsequent section.

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2.2.3.5 Resource Inflows and Outflows

Resource inflows

Overall total weight of products

Schneider Electric reports the total weight of products by consolidating information from procurement spend. Schneider Electric organizes procurement spend by assigning a category code (CATs codes) to each group of material purchases (e.g., metal stamping parts, battery, semi-conductors, etc...). Available weights data for each category are used systematically. A complementary approach has been developed to calculate total global volume in the most accurate way recognizing that some extrapolation and assumptions are required.

Volume and percentage of sustainably sourced biological content (wood)

The below table shows Schneider Electric's material resource inflow. Please note that, in Schneider Electric's context, biological material is understood as wood (further details can be found in the 'Methodology' section below).

Volume and percentage of recycled components

There are two contexts in which Schneider Electric uses secondary recycled or reused materials in manufacturing. The first is responsible materials purchases (including thermoplastics, steel, aluminium), the second is through recycled lead, cardboard and paper purchases. The Group is working to expand the use of recycled materials and will add on additional recycled material purchases over time.

The table below present the key metrics with regards to volume & percentage of recycled components.

The year-over-year change was driven by improved data quality of the figures, notably on wood and on lead weights.

Luminous volumes account for about 10% of total weight, which is driven by their product mix mainly composed of metals (lead batteries). 45% of the weight of secondary reused or recycled components, secondary intermediary products, and secondary materials used derived from the recycled lead used by Luminous to manufacture lead-acid batteries.

	2025	UOM
Overall total weight of products and technical and biological materials used during the reporting period	1,752,412	Tonnes
Percentage of sustainable sourced wood (biological material) used in manufacturing (including packaging)	0%	Percentage
The absolute weight of secondary reused or recycled components, secondary intermediary products, and secondary materials used to manufacture the undertaking's products and services (including packaging)	213,120	Tonnes
Percentage of secondary reused or recycled components, secondary intermediary products, and secondary materials used to manufacture the undertaking's products and services	12%	Percentage

Resource outflows

Durability

Schneider Electric is committed to providing transparent and reliable information regarding the durability of its products. However, it is important to note that there is no universally accepted definition or standardized measure of "durability" within the industry. As such, the Group has leveraged its own understanding and methodologies to estimate and disclose the expected durability of its products.

In the absence of a standardized definition, Schneider Electric uses the concept of Reference Service Life (RSL) to estimate the durability of its products. According to EN 50693:2019, 3.35, the RSL is defined as "the lifetime that may be expected according to a particular set of conditions of use (reference set) and that may be used to estimate the lifetime under other conditions of use". This approach allows us to provide a consistent and reliable measure of product durability based on specific usage conditions. A product group represents one level within the Schneider Electric offer pyramid. It represents a product offer segmentation corresponding to the common upstream and industrial marketing know-how and encompasses all Schneider Electric business, from Energy Management to Industrial Automation.

The list below shows the main product groups that are deemed representative of the Group activities.

Product Group	Average Durability of products in the Product Group in years
Process Automation Control	11
Variable Speed Drives	10
Human Machine Interface	10
Home & Distribution Connected Systems	12
Air Circuit Breakers	19
Low Voltage Equipment (IEC & NEMA)	20
Contactors	20
Low Voltage Products	13
Molded Case Circuit Breaker, Earth leakage and Switchgear	20
Home & Distribution Core Final Distribution	20
Eliwell	10
Medium Voltage Products	15
Industry Original Equipment Manufacturer Systems	10
Control, Relays and Signaling	12
Machine Solution	10
Low Voltage Functional Enclosure	20

Product Group	Average Durability of products in the Product Group in years
Remote Operations	10
Home & Distribution Specialists	16
Home & Distribution Core Wiring Devices	19
Universal Enclosures	20
Speed Drives Systems	10
Industry Service	14
Automation Transfer Switch	12
Process Automation Solutions	11

The variation with 2024 is mainly due to the scope expansion in terms of commercial references, with a coverage of circa 130,000 references in 2025 from circa 35,000 in 2024.

Recyclability

Schneider Electric is committed to improving the circularity of its products. To achieve this ambition, the Group must ensure that the materials used in its products can be "used again". To this end, Schneider Electric is working to improve the recyclability rate of its products by making sure materials can be easily split as well as integrating recyclable materials and cardboard.

The variation with 2024 is mainly due to the scope expansion in terms of commercial references, with a coverage of circa 70,000 references in 2025 from circa 7,000 in 2024. The 15% value in 2025 reflects the fact that the recyclability potential is calculated

using the "France – parts are shredded" scenario from IEC TR 62635, combined with the geographical distribution of Group's sales, which accounts for the varying recycling infrastructure capabilities across countries in a conservative way.

	2025
Percentage of recyclable content in products	15%
Percentage of recyclable content in products packaging	70%

Financial effect

In 2025, the Group prioritized stabilizing its quantitative reporting processes, which limited the ability to meaningfully disclose the financial effects of resource outflows. The Group is currently gathering and verifying data to quantify these effects related to material resource use and circular economy risks and opportunities.

Double accounting

Different authoritative sources were used for each data segment calculated. Additionally, the Group has established a robust methodology documentation on respective KPIs including defined boundaries. Schneider Electric calculated the KPIs ensuring they covered 100% of its spend. By separating the total spend in categories that required different calculation approaches, Schneider Electric was able to ensure it avoided double counting across categories.

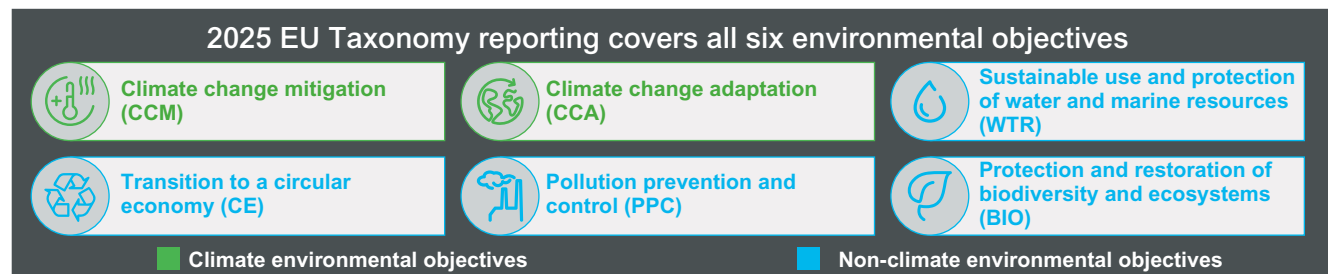


The methodology used to calculate the figures in **2.2.3.5 Resource Inflows and Outflows** is defined in **section '2.5 CSRD Methodologies and Tables' on page 191**.

2. Sustainability statements

2.2.4 Methodology elements on EU Taxonomy

The Group applies the delegated act of July 4, 2025, amending the Delegated Regulation (EU) 2021/2178 as regards the simplification of the content and presentation of information to be disclosed concerning environmentally sustainable activities, and the Delegated Regulations (EU) 2021/2139 and (EU) 2023/2486 as regards simplification of certain technical screening criteria for determining whether economic activities cause no significant harm to environmental objectives.



1. Schneider Electric's main eligible activities		
	Energy efficiency equipment and services in buildings	- Energy efficient building automation and control systems - Smart monitoring and regulation of electricity or heating systems - Zoned thermostats and devices for the smart monitoring of electricity loads or heat loads - Energy efficient cooling systems - Service plans related to building management and power metering systems - Technical consultations such as energy audits, simulations, and trainings
	Low CO₂ mobility end segment	- Electric vehicle charging stations and grid reinforcement technologies - Electrical infrastructure for urban and suburban public transport - Port infrastructure for shore-side electrical power to vessels at berth and electrification and efficiency of its operations
	Medium and low voltage equipment for electrical transmission and distribution	- Low voltage electrical product equipment, systems and services increasing energy efficiency - SF₆-free medium voltage switchgears and control gears - Communication and control technologies for the controllability and observability of the electricity system - Demand response and load shifting equipment, systems and services that increase flexibility of the electricity system and support grid stability - Transmission and distribution wiring devices that improve energy efficiency and Tier 2 transformers
	Electrical and electronic equipment	Manufacture of electrical and electronic equipment
	IT/OT data-driven solutions and software	- Asset performance management - Remote monitoring and predictive maintenance systems - Lifecycle performance management software - Design and engineering software
	Services and activities supporting the circular economy	- Repairing, refurbishing, or remanufacturing products that have already been used - Sale of spare parts beyond legal obligations - Product-as-a-service and other circular use- and result-oriented service models
Eligible activities 89% of revenue 92% of CapEx		

2. Evaluation of eligible activities against alignment criteria		
Alignment criteria	Conclusions of the assessment	Reference for details
1. Substantial contribution to environmental objectives? (Technical Screening Criteria)	44% of revenue not compliant with technical criteria 6% of revenue not compliant due to exclusions (revenues from fossil sector, products with SF₆)	Section 2.2.4.1 page 107
2. Compliance with DNSH?		
• Climate change mitigation (CCM)	Compliant	Section 2.2.1 page 57
• Climate change adaptation (CCA)	Compliant	Section 2.2.1 page 70
• Sustainable use and protection of water and marine resources (WTR)	Compliant	Section 3.1.2.8 page 212
• Transition to a circular economy (CE)	Compliant	Section 2.2.3 page 92
• Pollution prevention and control (PPC)	7% of revenue not compliant	Section 2.2.2 page 86
• Protection and restoration of biodiversity and ecosystems (BIO)	Compliant	Section 3.1.2.1 page 210
3. Compliance with minimum safeguards?	Compliant	Section 2.2.4.5 page 111
Aligned activities (complies with all three criteria)⁽¹⁾ 32% of revenue 24% of CapEx		

(1) Due to the impact of rounding on individual elements within this disclosure table numbers may not exactly sum to the Group total.

2.2.4.1 Calculation of Taxonomy-eligible and -aligned revenue

This calculation uses two combined approaches:

- Offer-based approach: Each line of business's offers is reviewed against the EU Climate and Environmental Delegated Acts' definition of economic activities.
- End-segment approach: Revenues from offers that fit the economic activities description and are sold to Taxonomy-eligible end-segments (e.g., Green transport and Renewables) are reviewed.

There is no double-counting, as revenues assessed under the end-segment approach are not included in the offer-based approach.

As detailed in Annex 1 of the Delegated Act on Article 8, the denominator of Taxonomy-eligible revenue is equal to the net revenue recognized pursuant to IAS 1.82(a) after removal of intra-group transactions. At Schneider Electric, this represents EUR 40,152 million, as disclosed in the consolidated statement income in the 2025 Universal Registration.

For 81% of revenues excluding entities having their own reporting framework), eligibility calculation combines two approaches:

- For 80% of revenues, the eligibility and alignment calculation uses an offer-based approach (by nature of technology). Sustainability, marketing, and offer management teams of each line of business determine if products are in line with the definition of economic activities included in the Delegated Acts. This analysis is performed at product category level, allowing detailed segmentation between Taxonomy-eligible and -non-eligible revenues. Compliance with the technical screening criteria is also assessed by the offer technical experts at the product category level. For instance, building management systems (BMS) generally include energy efficiency systems, which are Taxonomy-eligible, and fire safety and access control systems, which are not. In this example, the analysis enables accounting for only energy efficiency systems installed as part of a BMS. An eligibility and an alignment ratio are then consolidated for each product line, which includes multiple product categories.
- For 1% of revenues, eligibility and alignment calculation is using an end-segment-based approach, whereby commercial teams indicate for each product line if it matches with the economic activities as described in the Delegated Acts and provide with the related amount of revenues generated from Taxonomy-eligible end-segments (Green transport and Renewables). Potential double-counting between the two approaches is avoided in applying the end-segment-based approach to only 1% of revenues issued from eligible businesses sold to end-segments supporting climate change mitigation, and the offer-based approach to the remaining 80% of revenues (excluding entities having their own reporting framework).

For the remaining 19% of revenues (related to entities having their own reporting frameworks), an offer-based analysis is conducted separately following a review of each entity's product line reporting.

In order to determine the amount of eligible and aligned revenue (numerator), the following assumptions are made:

- At the granularity level of product categories, data is based on net sales after rebate and consistent with the revenue disclosed in the consolidated statement of income.
- At the granularity level of product categories, a non-significant share of revenues is not allocated per product category. The ratio of eligibility and alignment used for the rest of the product line is applied to those revenues, contributing to less than 5% of the total eligible revenues.

Schneider Electric undertakes an internal and rigorous assessment to check eligibility, and alignment. This process is grounded in sampling principles designed to ensure representativeness, focusing on the most material contributors to the Company's aligned revenue. In particular, Schneider Electric concentrated its efforts on the most material activities, under section 3.20, which covers the manufacture, installation, and servicing of electrical equipment for transmission and distribution, and section 9.3, which relates to energy management services.

As part of this assessment, Schneider Electric identified offers that, while eligible, do not meet the alignment criteria. For example, revenues from medium voltage switchgears containing SF₆ gas, as well as revenues linked to fossil power generation and the fossil fuel value chain, were declared as eligible but not aligned under activity 3.20. Only transformers that comply with the European Tier 2 energy efficiency standard were considered aligned, reflecting the Group commitment to applying the technical screening criteria with rigor and transparency.

Beyond 3.20, Schneider Electric disclosures also cover other climate mitigation and circular economy activities. Under activity CCM 3.5, which addresses the manufacture of energy efficiency equipment for buildings, only the most efficient cooling systems such as those rated in the highest two populated energy efficiency classes, and UPS systems with PowerChute capability qualified as aligned. For activity CCM 3.6, which covers the manufacture of low-carbon technologies, greenhouse gas emission savings were calculated using Schneider Electric's saved and avoided emissions methodology, which has been independently audited in accordance with the ISO 14067:2018 standard.

In the circular economy domain, activity CE 1.2 presented challenges in assessing alignment due to the complexity of the technical screening criteria. As a result, Schneider Electric adopted a conservative approach and disclosed all eligible revenues under this activity as non-aligned. Nevertheless, Schneider Electric continues to advance its circularity efforts through the EcoDesign Way™ process and its end-to-end circularity program, as detailed in **section 2.2.3**. Similarly, under activity CE 4.1, revenues from predictive maintenance systems and software were considered eligible but not aligned, given the current inability to determine whether these solutions are used to monitor fossil fuel engines.



See detailed proportion of turnover from Taxonomy-eligible and -aligned activities in the template required by EU Taxonomy Delegated Act on Article 8 on **pages 115 to 117**.

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2.2.4.2 Calculation of Taxonomy-eligible and -aligned capital expenditure (CapEx)

As per specification of CapEx as detailed in Annex 1 of the Delegated Act on Article 8, the denominator of the Taxonomy-eligible CapEx KPI is equal to additions to tangible and intangible assets of the financial year 2025 (including IFRS 16 rights of use), considered before depreciation, amortization, and any remeasurement, including those resulting from revaluations and impairments for the financial year 2025 and excluding fair value changes. The denominator also covers additions to tangible and intangible assets resulting from business combinations that occurred during the financial year 2025.

At Schneider Electric, total tangible assets resulting from the above definition represents EUR 1,111 million over 2025, including EUR 1,104 million from additions, as disclosed in note 13 of the Group financial statements. The total covered IFRS 16 rights of use over 2025 represents EUR 739 million, including EUR 736 million from additions, as disclosed in note 13 of the Group financial statements, and EUR 3 million from business combinations.

The total intangible assets resulting from the above definition represents EUR 987 million over 2025. This amount is split as follows: EUR 471 million from additions, as disclosed in note 12 of the Group financial statements, including EUR 369 million of capitalized R&D projects as disclosed in the note 12 of the Group financial statements, and EUR 516 million from business combinations.

As per specification of CapEx as detailed in Annex 1 of the Delegated Act on Article 8, all CapEx based on IFRS 16 related to long-term leasing of buildings are considered eligible. None of these are aligned since the Group rental real estate portfolio does not meet all Taxonomy-alignment criteria described in activity CCM 7.7 (acquisition and ownership of buildings). CapEx related to assets, processes, and business combinations associated with Taxonomy-eligible and -aligned activities were calculated with a high level of granularity using allocation keys of eligible, and respectively aligned, revenue per business and operations, except for R&D and IFRS 16 CapEx. The allocation keys methodology is considered as a conservative approach as it is based on the current activity of each product line, which does not consider the transformations driven by the product lines' investments in the calculation of Taxonomy-eligible and -aligned CapEx KPIs.

As described more exhaustively in **section 3.1.2.2**, product-related R&D projects of the Group aim to demonstrate a substantial carbon footprint saving through more efficient products and systems. Those improvements are measured with a lifecycle assessment shared publicly in the Product Environmental Profile, aligned with ISO 14067 and verified by an independent third party. Thus, 2025 R&D capitalized expenditures directly linked to capitalized product-related R&D projects are considered both eligible and aligned according to activity CCM 3.6 (manufacture of other low carbon technologies).



See detailed proportion of CapEx from Taxonomy-eligible and -aligned activities on pages 115 to 117.

2.2.4.3 Taxonomy-eligible and -aligned operating expenditure (OpEx)

The denominator of the Taxonomy-eligible and -aligned OpEx KPI represents EUR 2,131 million over 2025, corresponding mainly to non-capitalized R&D costs (as disclosed in Note 5 of the Group financial statements), costs incurred in relation with support and platforming, costs of IT global applications dedicated to R&D, costs relative to continuous engineering costs for quality, productivity and obsolescence, short-term vehicle leasing, maintenance and property asset management costs.

It represents less 10% of the Group's OpEx. Schneider therefore applies the exemption provided by the European Taxonomy and do not report a detailed breakdown due to immateriality.

2.2.4.4 Do Not Significantly Harm (DNSH)

As defined in Article 3 of the Taxonomy Regulation, an activity shall qualify as environmentally sustainable only if it does not significantly harm any of the other Taxonomy environmental objectives.

Schneider Electric's activities are subject to the specified DNSH requirements where the objective to which they belong is shown:



Climate change mitigation (CCM)



Protection of water and marine resources (WTR)



Transition to a circular economy (CE)

As the Group's activities are linked to only 3 of the 6 environmental objectives, icons for the 3 remaining objectives are not shown.

For activities belonging to environmental objectives, as shown by the icons below, this means that they must not do significant harm to:

Climate change mitigation

Schneider Electric relies on fossil fuel backup generators in few of its manufacturing sites. Those generators have been used in 2025 for backup power in sites in Mexico, India and the US. Repair, refurbishment and remanufacturing centers do not rely on fossil fuel backup generators. More information in **section 2.2.1**.

Schneider Electric has developed strategies to account for and reduce the GHG emissions of its activities along the value chain.



Read more about Schneider Electric's strategies and actions for GHG emissions reduction in **sections 2.2.1.1 on page 57 and 2.2.1.4 on page 67** the Group's GHG footprint in **section 2.2.2.1.7 on page 81**, as well as the underlying methodology in **section 2.5.1.1 on page 191**.

This applies to activities belonging to objectives: 

Climate change adaptation

Schneider Electric has assessed physical climate risks that are material to its activity. The Group has put dependencies analysis at the heart of its risk management and performed a prospective climate risk and vulnerability assessment to identify and price the materiality of physical climate risks that may affect Schneider Electric sites, extended supply chain, and economic activities under different IPCC scenarios and different timelines (short, medium, and long term). In line with these assessments, the Group has implemented adaptation solutions consisting of several resilience initiatives.



Read more about the Group climate risk management and adaptation measures in **section 2.2.1.2 “Climate-related impacts, risks, and opportunities” on page 61.**

This applies to activities belonging to objectives:   

The sustainable use and protection of water and marine resources

Schneider Electric regularly assesses water-related risks. In 2022, the Group conducted a water footprint analysis along the value chain, covering water consumption, scarcity, eutrophication, ecotoxicity, and acidification. Due to the nature of most of its industrial processes (manual and automatic assembly), water withdrawal of the Group's operations is considered limited.

Despite the limited water withdrawal inherent to our assembly-based processes, Schneider Electric proactively assesses risk using the WWF Water Risk Filter. In 2025, the Group identified 79 sites in water-scarce areas and deployed conservation plans to 100% of them (SSE #11). These efforts drove a decrease in water-withdrawal intensity to 48 m³/€M revenue (–55% vs. 2017).



The Group has implemented initiatives to preserve water quality and avoid water stress – read more about the Group's water management in the **section 3.1.2.8 on page 212.**

This applies to activities belonging to objectives: 

The transition to a circular economy

Schneider Electric assesses the availability of techniques and, where feasible, adopts those that maximize the value of its resources, considering waste as a resource and ensuring that its waste remains within a circular system.

Beyond avoiding landfill and looking at traditional recycling solutions, Schneider Electric strives to move up the waste hierarchy and find alternative solutions for its resources, aligned with its strategic principles design and innovate, use better, use longer, and use again.

Requirements related to construction and demolition waste management in low-carbon mobility infrastructures are not applicable to Schneider Electric as the Group only operates as an electrical and automation solution provider in those projects.



Read more about the Group's transition to a circular economy in **section 2.2.3 “Resource use and circular economy | ESRS E5” on page 92.**

This applies to activities belonging to objectives:  

Pollution prevention and control:

Schneider Electric automated the reporting of its EU Taxonomy revenue and included a rule to remove from the taxonomy-aligned revenue the revenue from products that don't meet the criteria from the DNSH Pollution prevention and control, leveraging on product environmental data accessible in mySchneider portal. In 2025, this calculation rule has been updated to reflect the amendment of the generic criteria for DNSH to pollution prevention and control regarding the use and presence of chemicals adopted by the European Commission in a delegated act on 4 July 2025. Product substances data are based on detailed data collection and tools that gather hazardous substance information from suppliers and assess product compliance through the bill of materials. Data availability is restricted by the reliance on supplier declarations and voluntary Full Material Disclosures (FMDs). Assumptions about average percentages and quantities are necessary. The non-compliance to specific requirements, more stringent than current EU regulations contributes to 7% of Schneider Electric's total revenues being non-aligned.



Read more about the Group's strategy to substitute hazardous substances in **section 2.2.2.1 “Eliminating hazardous substances” on page 86.**

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On the manufacture, placing on the market, or use of chemicals, Schneider Electric provides the following precisions:

- Regulation (EU) 2017/852 of the European Parliament and of the Council of 17 May 2017 on mercury and repealing is not applicable to Schneider Electric, as the company does not use mercury in its products nor in its manufacturing activities.
- Regarding the directive on the restriction of the use of certain hazardous substances in electrical and electronic equipment (RoHS) and the Regulation concerning the Registration, Evaluation, Authorization and Restriction of Chemicals (REACH), Schneider Electric's revenues coming from products with substances listed in the Annex II and not under Annex III or IV of RoHS Directive's exemptions are declared as non-aligned with the EU Taxonomy. None of Schneider Electric products are using REACH restricted substances (Annex XVII) in the scope of the restriction and the Group follows the POP restrictions. The Group has deployed significant efforts to measure and further comply with those requirements, even outside of the European Union (i.e., beyond the scope of the regulation).
- Regarding substances listed in Annexes I or II to Regulation (EC) 1005/2009, Schneider Electric substituted 100% of ozone depleting substances from its offers on a worldwide basis.
- Regarding substances laid down in Article 57 of Regulation (EC) 1907/2006 and identified in accordance with Article 59(1) of that Regulation, except where it is assessed and documented by the operators that no other suitable alternative substances or technologies are available on the market and that they are used under controlled conditions, Schneider Electric declared as non-aligned all revenues coming from such products.
- Regarding substances laid down in Article 57 of Regulation (EC) 1907/2006, and not listed in Article 59(1) of that Regulation, the Group notes that obtaining material declarations and data from suppliers beyond tier 1 is particularly challenging and is not in a position to quantify the impact of excluding products using substances that may be included in the list of substances subject to authorization but not currently identified in the candidate list. The Group is progressively improving the traceability of the components of each product beyond its tier 1 suppliers, working towards obtaining more comprehensive information. However, achieving this objective will necessitate advancements in legislation.

Other requirements are met and included in Schneider Electric Global Environmental Directives and all restrictions are applied globally.

Requirements related to pollution prevention and control on overground high voltage lines and noise, vibration, dust, and pollutant emissions reduction during construction and maintenance of low-carbon mobility infrastructures are not applicable to Schneider Electric as the Group only operates as an electrical and automation solutions provider in those projects.

This applies to activities belonging to objectives: 

The protection and restoration of biodiversity and ecosystems:

The Environmental Impact Assessment Directive (2011/92/EU) mandates project developers to conduct an Environmental Impact Assessments (EIA) for projects with significant impacts. Schneider Electric participates in both Annex 1 and 2 projects, but only as a contractor. Even if with this role, the Group is not subject to completing an EIA nor the biodiversity risk mitigation on low-carbon mobility infrastructures, it has integrated in 2023, Environmental, Social and Governance (ESG) risks into its project selection process for bidding. ESG risk analysis became part of the factors in Go/No-Go decisions. This ESG risk management process has been reinforced with the support of external risk management experts defining a clear governance. The process verifies project developers' Environmental and Social Impact Assessments (ESIAs) and mitigation actions.

In cases where Schneider Electric intends to build a new site, the Group may need to complete an EIA. However, due to the nature of the activities performed on Schneider Electric's sites, those projects are not likely to have significant effects on the environment and are not listed in the Annex I nor in the Annex II of the Directive 2011/92/EU. Schneider Electric Real Estate team is monitoring any new constructions or extension with their third-party to ensure that license to build which includes EIA where relevant are correctly undertaken by them.

Schneider Electric has defined a process to conduct Environmental Site Assessments (ESA) as part of its due diligence phase of new mergers and acquisitions, primarily to detect contamination of soil, ground water surface, water sediment, and soil vapor from known or unknown releases of chemicals, petroleum, or related wastes.

The VP Safety Environment and Real Estate, accountable for the EHS compliance of the entity under due diligence, has established an assessment framework and conducts the necessary checks in all due diligence processes as part of the Due Diligence team.

Schneider Electric requires a Phase I ESA to be performed on all global real estate transactions involving manufacturing properties and, other potentially higher risk sites including factories, distribution centers, or properties with prior industrial activity. The ESA is performed by an independent environmental consultant.

 Schneider Electric's assessments and actions on biodiversity are detailed in **section 3.1.2.1 Biodiversity on page 210**.

This applies to activities belonging to objectives:   

2.2.4.5 Minimum safeguards

As defined in Article 3 of the Taxonomy regulation, an activity shall qualify as environmentally sustainable only if it is carried out in compliance with the specific minimum safeguards detailed in the regulation. Schneider Electric takes reference from the Final Report on Minimum Safeguards by the Platform on Sustainable Finance as a guidance to report against minimum safeguards, which looks at four key areas: human rights, corruption, taxation, and fair competition.

Human rights

The company has established an adequate human rights due diligence process as outlined in the UNGPs and OECD Guidelines for MNEs.



For details, see our Vigilance plan as well as **section 2.1.2 Double materiality assessment: main sustainability impacts, risks and opportunities on page 44.**

Corruption

The company has anti-corruption processes in place.



For details, see **section 2.4.1 Zero tolerance for corruption on page 177.**

Taxation

The company treats tax governance and compliance as important elements of oversight, and there are adequate tax risk management strategies and processes in place.



For details, see our Vigilance plan as well as **section 2.1.2 Double materiality assessment: main sustainability impacts, risks and opportunities on page 44.**

Fair competition

The company promotes employee awareness of the importance of compliance with all applicable competition laws and regulations.



For details, see **section 3.3.4 Compliance with competition law on page 240.**

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Below is a mapping of Schneider Electric activities eligible under the current EU Taxonomy, to provide a better understanding for its stakeholders.

Activity name and code as specified in the EU Climate, Environmental and Disclosure Delegated Acts		Activity definition as specified in the EU Climate and Environmental Delegated Acts	Corresponding business activities of Schneider Electric
CCM 3.1 	Manufacture of renewable energy technologies	Manufacture of renewable energy technologies, where renewable energy is defined in Article 2 ⁽¹⁾ of Directive (EU) 2018/2001.	• Manufacture of technologies that are essential parts of the systems producing electricity from renewable energy sources: inverters, mounting frames, solar panels, other solar equipment, wind farm microgrid, and others
CCM 3.5 	Manufacture of energy efficiency equipment for buildings	Manufacture of energy efficiency equipment for buildings.	• Building management systems (except fire safety and access control) • Power metering systems for buildings • Smart monitoring and regulation of electricity or heat in buildings, such as thermostats and controls for lighting systems • Cooling systems • Insulating products
CCM 3.6 	Manufacture of low carbon technologies	Manufacture of technologies aimed at substantial GHG emission reductions in other sectors of the economy, where those technologies are not covered in CCM activities 3.1 to 3.5 of the Annex.	• UPS with an audited methodology to calculate GHG emission reductions
CCM 3.20 	Manufacture, installation, and servicing of high, medium and low voltage electrical equipment for electrical transmission and distribution that result in or enable a substantial contribution to climate change mitigation	Manufacture, installation, maintenance, or service of electrical products, equipment, or systems, or software aimed at substantial GHG emission reductions in high, medium, and low voltage electrical transmission and distribution systems through electrification, energy efficiency, integration of renewable energy, or efficient power conversion.	• Transmission and distribution wiring devices for wiring electrical circuits • Low voltage electrical products, equipment, and systems • SF₆-free medium voltage switchgears and control gears that increase the controllability of the electricity system • Demand response and load shifting equipment, systems, and services • Communication, software and control equipment, products, systems, and services for energy efficiency • Manufacture of variable speed drives

Activity name and code as specified in the EU Climate, Environmental and Disclosure Delegated Acts	Activity definition as specified in the EU Climate and Environmental Delegated Acts	Corresponding business activities of Schneider Electric
CCM 6.14  Infrastructure for rail transport	Construction, modernization, operation, and maintenance of railways and subways as well as bridges and tunnels, stations, terminals, rail service facilities, safety and traffic management systems including the provision of architectural services, engineering services, drafting services, building inspection services, and surveying and mapping services and the like as well as the performance of physical, chemical and other analytical testing of all types of materials and products.	Equipment, projects, as well as modernization and maintenance services for rail transport infrastructure
CCM 6.15  Infrastructure enabling low-carbon road transport and public transport	Construction, modernization, maintenance, and operation of infrastructure that is required for zero tailpipe CO ₂ operation of zero-emissions road transport, as well as infrastructure dedicated to transshipment and modal shift and service for operating urban transport.	Equipment, projects, as well as modernization and maintenance services for zero-emissions road transport, as well as infrastructure required for operating urban transport
CCM 6.16  Infrastructure enabling low-carbon water transport	Construction, modernization, operation, and maintenance of infrastructure that is required for zero tailpipe CO ₂ operation of vessels or the port's own operations, as well as infrastructure dedicated to transshipment and modal shift and service facilities, safety and traffic management systems.	- Equipment, projects, as well as modernization and maintenance services for low-carbon port infrastructure - Equipment, projects, as well as modernization and maintenance services for electrification and efficiency of ports' operations
CCM 6.17  Low carbon airport infrastructure	Construction, modernization, maintenance, and operation of infrastructure that is required for zero tailpipe CO ₂ operation of aircraft or the airport's own operations, and for provision of fixed electrical ground power and preconditioned air to stationary aircraft as well as infrastructure dedicated to transshipment with rail and water transport.	Energy management equipment, projects, as well as modernization and maintenance services for low-carbon airport infrastructure
CCM 7.5  Installation, maintenance and repair of instruments and devices for measuring, regulation and controlling energy performance of buildings	Installation, maintenance, and repair of instruments and devices for measuring, regulation, and controlling energy performance of buildings.	Service plans related to building management and power metering systems in buildings
CCM 8.2  Data-driven solutions for GHG emissions reductions	Development or use of ICT solutions that are aimed at collecting, transmitting, storing data and at its modeling and use where those activities are predominantly aimed at the provision of data and analytics enabling GHG emission reductions.	Software and data-driven solutions aiming at improving efficiency in building design, planning, and construction
CCM 9.3  Professional services related to energy performance of buildings	Professional services related to energy performance of buildings.	- Technical consultations such as energy audits, simulations, and trainings - Energy management services - Energy performance contracts

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Activity name and code as specified in the EU Climate, Environmental and Disclosure Delegated Acts		Activity definition as specified in the EU Climate and Environmental Delegated Acts	Corresponding business activities of Schneider Electric
WTR 1.1 	Manufacture, installation and associated services for leakage control technologies enabling leakage reduction and prevention in water supply systems	Manufacture, installation, or provision of associated services for leakage control technologies that enable leakage reduction and prevention in water supply systems.	Leakage control technologies for water supply systems
WTR 4.1 	Provision of IT/OT data-driven solutions for leakage reduction	Manufacture, development, installation, deployment, maintenance, repair, or provision of professional services for IT or OT data driven solutions to control, manage, reduce, and mitigate leakage in water supply systems.	- Real-time network modeling and optimization - Leakage calculation, control, and reporting
CE 1.2 	Manufacture of electrical and electronic equipment	Manufacture of electrical and electronic equipment for industrial, professional, and consumer use.	Electrical and electronic equipment
CE 4.1 	Provision of IT/OT data-driven solutions	Manufacture, development, installation, deployment, maintenance, repair, or provision of professional services for design or monitoring of software and/or IT/OT systems, built for: remote monitoring and predictive maintenance; providing identification, tracking, and tracing of materials, products, and assets to support circularity of material flows or other objectives of the Taxonomy; lifecycle performance management software supporting the monitoring and assessment of circularity performance.	- Remote monitoring and predictive maintenance systems - Lifecycle performance management software
CE 5.1 	Repair, refurbishment, and remanufacturing	Repair, refurbishment, and remanufacturing of goods that have been used for their intended purpose before by a customer.	Repairing, refurbishing, or remanufacturing products that have already been used
CE 5.2 	Sale of spare parts	Sale of spare parts beyond legal obligations.	Sale of spare parts
CE 5.5 	Product-as-a-service and other circular use- and result-oriented service models	Providing customers with access to products through service models, which are either use-oriented or result-oriented services.	Software as a Service offers

Proportion of Turnover and CapEx from Taxonomy-aligned activities

Financial year (N)	2025														
	Total (2)	Proportion of Taxonomy eligible activities (3)	Taxonomy aligned activities (4)	Proportion of Taxonomy aligned activities (5)	Breakdown by environmental objectives of Taxonomy aligned activities						Proportion of enabling activities (12)	Proportion of transitional activities (13)	Not assessed activities considered nonmaterial (14)	Taxonomy aligned activities in previous financial year (N-1) (15)	Proportion of Taxonomy aligned activities in previous financial year (N-1) (16)
					Climate Change Mitigation (6)	Climate Change Adaptation (7)	Water (8)	Circular Economy (9)	Pollution (10)	Biodiversity (11)					
KPI (1)															
Text	EUR m	%	EUR m	%	%	%	%	%	%	%	%	%	%	Currency	%
Turnover	40,152	89%	12,664	32%	29%	0%	0%	3%	0%	0%	32%	0%	0%	10,737	28%
CapEx	2,837	92%	689	24%	23%	0%	0%	1%	0%	0%	24%	0%	0%	542	22%
OpEx	2,131	NA	NA	NA										NA	NA

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Proportion of Turnover from Taxonomy-aligned activities continued

Reported KPI Turnover		Turnover											
Financial year (N)		2025											
Economic Activities (1)	Code (2)	Taxonomy eligible KPI (Proportion of Taxonomy eligible Turnover) (3)	Taxonomy aligned KPI (monetary value of Turnover) (4)	Taxonomy aligned KPI (Proportion of Taxonomy aligned Turnover) (5)	Environmental objective of Taxonomy aligned activities						Enabling activities (12)	Transitional activities (13)	Proportion of Taxonomy aligned in Taxonomy eligible (14)
					Climate Change Mitigation (6)	Climate Change Adaptation (7)	Water (8)	Circular Economy (9)	Pollution (10)	Biodiversity (11)			
Text	Text	%	EUR m	%	%	%	%	%	%	%	(E where applicable)	(T where applicable)	%
Manufacture of renewable energy technologies	CCM 3.1	2%	108	0%	0%						E		13%
Manufacture of energy efficiency equipment for buildings	CCM 3.5	3%	716	2%	2%						E		55%
Manufacture of low carbon technologies	CCM 3.6	0%	31	0%	0%						E		100%
Manufacture, installation, and servicing of high, medium and low voltage electrical equipment for electrical transmission and distribution that result in or enable a substantial contribution to climate change mitigation	CCM 3.20	34%	8,196	20%	20%						E		60%
Infrastructure for rail transport	CCM 6.14	0%	47	0%	0%						E		76%
Infrastructure enabling low-carbon road transport and public transport	CCM 6.15	1%	198	1%	1%						E		98%
Infrastructure enabling low-carbon water transport	CCM 6.16	0%	43	0%	0%						E		92%
Low carbon airport infrastructure	CCM 6.17	0%	43	0%	0%						E		88%
Installation, maintenance and repair of instruments and devices for measuring, regulation and controlling energy performance of buildings	CCM 7.5	1%	591	2%	2%						E		88%
Data-driven solutions for GHG emissions reductions	CCM 8.2	0%	0	0%	0%						E		0%
Professional services related to energy performance of buildings	CCM 9.3	4%	1,449	4%	4%						E		88%
Manufacture, installation and associated services for leakage control technologies enabling leakage reduction and prevention in water supply systems	WTR 1.1	0%	11	0%			0%				E		100%
Provision of IT/OT data-driven solutions for leakage reduction	WTR 4.1	1%	5	0%			0%				E		2%
Manufacture of electrical and electronic equipment	CE 1.2	39%	0	0%							E		0%
Provision of IT/OT data-driven solutions	CE 4.1	4%	1,201	3%				3%			E		83%
Repair, refurbishment and remanufacturing	CE 5.1	0%	17	0%				0%					84%
Sale of spare parts	CE 5.2	0%	0	0%				0%					0%
Product-as-a-service and other circular use- and result-oriented service models	CE 5.5	0%	8	0%				0%					100%
Sum of alignment per objective					29%	0%	0%	3%	0%	0%			
Total KPI Turnover		89%	12,664	32%	29%	0%	0%	3%	0%	0%	32%	0%	35%

Proportion of CapEx from Taxonomy-aligned activities

Financial year (N)		2025											
Economic Activities (1)	Code (2)	Taxonomy eligible KPI (Proportion of Taxonomy eligible CapEx) (3)	Taxonomy aligned KPI (monetary value of CapEx) (4)	Taxonomy aligned KPI (Proportion of Taxonomy aligned CapEx) (5)	Environmental objective of Taxonomy aligned activities						Enabling activities (12)	Transitional activities (13)	Proportion of Taxonomy aligned in Taxonomy eligible (14)
					Climate Change Mitigation (6)	Climate Change Adaptation (7)	Water (8)	Circular Economy (9)	Pollution (10)	Biodiversity (11)			
Text	Text	%	EUR m	%	%	%	%	%	%	%	(E where applicable)	(T where applicable)	%
Manufacture of renewable energy technologies	CCM 3.1	2%	2	0%	0%						E		4%
Manufacture of energy efficiency equipment for buildings	CCM 3.5	13%	14	1%	1%						E		4%
Manufacture of low carbon technologies	CCM 3.6	11%	321	11%	11%						E		100%
Manufacture, installation, and servicing of high, medium and low voltage electrical equipment for electrical transmission and distribution that result in or enable a substantial contribution to climate change mitigation	CCM 3.20	20%	298	11%	11%						E		52%
Infrastructure for rail transport	CCM 6.14	0%	1	0%	0%						E		44%
Infrastructure enabling low-carbon road transport and public transport	CCM 6.15	0%	3	0%	0%						E		81%
Infrastructure enabling low-carbon water transport	CCM 6.16	0%	1	0%	0%						E		72%
Low carbon airport infrastructure	CCM 6.17	0%	1	0%	0%						E		37%
Installation, maintenance and repair of instruments and devices for measuring, regulation and controlling energy performance of buildings	CCM 7.5	0%	3	0%	0%						E		85%
Acquisition and ownership of buildings	CCM 7.7	26%	0	0%	0%						E		0%
Data-driven solutions for GHG emissions reductions	CCM 8.2	0%	0	0%	0%						E		0%
Professional services related to energy performance of buildings	CCM 9.3	1%	10	0%	0%						E		45%
Manufacture, installation and associated services for leakage control technologies enabling leakage reduction and prevention in water supply systems	WTR 1.1	0%	0	0%			0%				E		93%
Provision of IT/OT data-driven solutions for leakage reduction	WTR 4.1	0%	0	0%			0%				E		2%
Manufacture of electrical and electronic equipment	CE 1.2	17%	0	0%				0%			E		0%
Provision of IT/OT data-driven solutions	CE 4.1	2%	35	1%				1%			E		72%
Repair, refurbishment and remanufacturing	CE 5.1	0%	0	0%				0%					73%
Sale of spare parts	CE 5.2	0%	0	0%				0%					0%
Product-as-a-service and other circular use- and result-oriented service models	CE 5.5	0%	0	0%				0%					95%
Sum of alignment per objective					23%	0%	0%	1%	0%	0%			
Total KPI CapEx		92%	689	24%	23%	0%	0%	1%	0%	0%	24%		26%

2.3 Social information | ESRS S1, S2, S3, S4



In this section

2.3	Social information ESRS S1, S2, S3, S4	118	2.3.2	Sustainable relations in the value chain ESRS S2	153
2.3.1	Great people make Schneider Electric a great company ESRS S1	119	2.3.3	Ethical relations with affected communities ESRS S3	164
			2.3.4	Consumers and end-users ESRS S4	169

Introduction

This section presents comprehensive information on the European Sustainability Reporting Standards (ESRS) S1, S2, S3, and S4.

These standards guide the reporting on own workforce, workers in the value chain, affected communities, and consumers and users.

This section is divided in four sub-sections:

- “2.3.1 Great people make Schneider Electric a great company | ESRS S1”** describes the Group’s strategy to ensure it provides the best possible working experience for its employees while supporting the Group’s overall business strategy. It details the positive and negative material impacts, along with the associated mitigation measures and adaptation strategies, and covers working conditions, health and safety, equal treatment, and training and skills development.
- “2.3.2 Sustainable relations in the value chain | ESRS S2”** provides information on how Schneider Electric impacts workers in the value chain, especially with regards to its suppliers’ employees and contractors. It details the strategies in place to prevent or mitigate negative impacts. It addresses working conditions, health and safety, and forced labor.
- “2.3.3 Ethical relations with affected communities | ESRS S3”** specifies disclosure requirements related to the communities affected by the Group, and the ethical relations Schneider Electric has with them. It provides insights on the impacts, risks, and opportunities related to these specific relations.
- “2.3.4 Consumers and end-users | ESRS S4”** specifies disclosure requirements related to Schneider Electric’s consumers and end-users. It details the impacts, risks, and opportunities related to personal safety and the overall data privacy of these consumers and end-users.

2025 highlights

163k

Average employees at the end of December 2025.

100%

Of the employees paid an adequate wage.

99%

Of the employees completed "AI for all Awareness" training.

98%

Of Schneider Electric’s strategic suppliers achieved conformance in the Decent Work program.

Introduction

2.3.1 Great people make Schneider Electric a great company | ESRS S1

2.3.1.1 Overall Strategy

Having committed employees is essential for the Group to perform well and to align with its strategy.

Schneider Electric's own workforce

The Group's own workforce encompasses a variety of employment contracts, catering for the dynamic needs of the organization and its global operations. The Group employs close to 160,000 people over 70 countries and works with more than 20,000 non-employees.

This diverse contractual and country landscape enables Schneider Electric to maintain a robust and responsive own workforce, aligned with the Company's strategic objectives and operational excellence.



[Read more about the employee definition in the section 2.5.1 CSRD Methodologies](#)

Link between strategy and the impact, risks, and opportunities

The Group's ability to attract, develop and retain talent with critical skills is fundamental to its strategy and business model.

As it expands globally and advances digital transformation, the Group prioritizes creating optimal working conditions to secure top talent in technology, software, services, sustainability, supply chain, and electronics.

The Group's balanced multi-hub footprint is a strategic asset for talent attraction and retention, providing ample career development and opportunities for local and regional talents. In response to the rapidly evolving "next normal", the Group is accelerating employee skills development and preparing leaders to foster human connections in an increasingly digital environment. This focus on training and skills development is essential to mitigate skill gaps, enhance organizational agility, and sustain a competitive edge.

The Group's strategy relies on its ability to attract talent at all levels, which is crucial for executing the Group's strategy and fostering innovation for customers.

Schneider Electric is mindful of the potential workforce impacts its strategy has. The Group recognizes the opportunities for job creation and the reskilling or upskilling of its workforce in alignment with its sustainability objectives. Through careful planning and execution of its transition strategies, the Group aims to balance its environmental commitments with the well-being and development of its workforce.

2.3.1.2 Working conditions

Impacts, risks, and opportunities

Working conditions	
Negative impact	Affect the mental and physical health of employees
Negative impact	Excessive working hours and poor work-life balance
Positive impact	Contribute to the physical and mental health of employees

The worldwide context with climate change challenges, geopolitical issues, and technology has accelerated the need for employees' well-being and resilience. Schneider Electric firmly believes that well-being generates performance and performance generates well-being.

Well-being can be a unique competitive advantage if tackled properly. Schneider has identified three main risks around those topics:

- Poor working conditions may result in psycho-social risks, endangering performance and productivity.
- Market research shows that well-being at work is on a persistent decline, hitting minority groups harder.
- Employee engagement, performance, and retention are at risk when employee well-being is deteriorating.

On the flip side, the opportunities are huge when inclusion and care are by design in all processes and behaviors:

- Figures on stress and psychological risks, from Ecole du Stress shows that for every EUR 1 invested in well-being prevention programs and practices, a company saves EUR 2.2.
- A study from Forbes ("The Future of Work Depends on Supporting Gen Z") shows that overall, inclusion and well-being are strong drivers of attraction and retention among all generations, especially the younger ones.

Schneider Electric defines its strategy taking into consideration those risks and opportunities, internal and external trends, insights and feedback from leaders and employees, and its desire to continue nurturing an inclusive and caring environment. Since 2020, the Trust Charter included a chapter on well-being and new ways of working, highlighting behaviors expected from managers and employees. The Group fosters a culture of psychological safety where employees can disclose mental health needs without stigma and access tailored support. Schneider Electric's approach includes flexible working arrangements, Employee Assistance Programs, and trainings to ensure adjustments are implemented consistently and respectfully.

2. Sustainability statements

The Group has answered to these impacts, risks and opportunities through five axes :

- Working organization
- Compensation and benefits
- Responsible workplace
- Social dialogue
- Adequate wage

The main characteristics of Schneider Electric's employees are displayed in the last section

Working organization

Policies

Global Family Leave Policy

As a caring, inclusive, and responsible employer, Schneider launched its Global Family Leave Policy along with care leave in 2017. Through its policy, the Group supports employees with personal time at critical life stages and empowers everyone to manage their “unique life and work” to enable them to be at their best.

In 2023, the Group globally deployed the updated Global Family Leave Policy for all employees, where parental and care leave were increased. While countries have flexibility to define eligibility

and policy details per statutory and/or market requirements, the policy establishes a global minimum standard for paid family leave.

Additional to the Group's Global Family Leave Policy and, in support of global standards and local empowerment, back-up family care benefits are offered in some countries to assist employees with family care needs when they experience disruption in regular care arrangements. In the absence of a Group-level back-up family care policy, the Group highlights examples of back-up family care benefits that are offered at the country level.

Globally, the Group also offers an Employee Assistance Program with coverage in over 96% of its operating countries which provides additional support and resources for mental well-being and family care.

Beyond the Global Family Leave Policy and Employee Assistance Program, some countries where Schneider Electric operates provide support in the form of on-site childcare facilities, childcare contributions, and breast-feeding and lactation benefits.

The policy is accessible to employees via the intranet and has been approved by the Chief Human Resource Officer, reviewed by the Senior Vice-President Total Rewards & Performance, with policy ownership by the Vice-President, Total Rewards & Performance Innovation & Strategy.

Global Family Leave			
Care for employees and supporting their unique work and life			
Parental <i>(primary)</i> 20 weeks paid	Parental <i>(secondary)</i> 4 weeks paid	Care 2 weeks paid	Bereavement 1 week paid, with immediate family defined by country

Establishing Global Minimum Standards and Local Empowerment

Local adaptability is possible! Proofpoint: the definition of Immediate Family

Flexibility@Work Policy (Flex@Work)

Schneider Electric's Global Flex@Work Policy creates a global standard for flexible work arrangements, defined for all employees in terms of location and time. It also includes specific modalities for certain roles such as sales and shop floor.

1. Flex Location: Hybrid (in their country of work, if role allows), with number of days working remotely defined locally.
2. Flex Time: Flexible schedule (depending on role); Volunteering. The policy also acknowledges and reinforces the right to disconnect, with flexibility modalities and working time tracking Group standards, allowing rest and disconnect.

3. Optional pathways can be defined locally according to each country's maturity on the topic and to remain competitive and tailored to work profiles (e.g., shorter Fridays, returnship programs, compressed week).

The global Flex@Work framework, introduced in response to feedback in the Group's 2020 global employee survey, empowers employees to balance professional and personal responsibilities. The policy addresses hybrid work holistically, providing employees with support and resources for their productivity as well as their mental health, acknowledging the clear link between mental health and work-life integration. The policy also accompanies the broader shifts of a global, digital, and ever-changing environment, and contributes to a more agile, inclusive, empowered, and trusting Group culture.

The policy is approved by the Group's Chief Human Resources Officer and owned by the head of the Inclusion & Care team who is responsible for its implementation across the organization. There are no applicable international standards to align the policy with.

Action plans

Mental health and well-being

Built on a foundation of trust and respect, Schneider Electric continuously implements and improves its policies, education, and practices to support employees and respect their unique lives and ways of working. Schneider Electric is committed to creating a workplace where mental health is openly discussed and supported without stigma. The organization actively promotes conversations about emotional and psychological well-being and encourages employees to seek help when needed. Through global awareness campaigns, leadership engagement, and sharing real employee stories, the organization normalizes discussions around mental health and demonstrates that seeking support is a sign of strength. Schneider Electric's annual employee engagement survey includes questions on well-being, psychological safety, and work-life balance. As per the survey, 76% of employees feel that the organization actively looks after the well-being of its employees (+10 points vs. baseline year 2019) and 81% of employees say that they have the flexibility to modify their work arrangements as needed. These numbers help the organization understand the impact of its policies and actions as well as help inform the future actions.

Schneider Electric's global campaigns, such as Mental Health Awareness Month, feature employee-led sessions and storytelling to foster openness and reduce stigma. Local Employee Resource Groups and well-being champions play a key role in shaping programs that reflect cultural and regional needs. The Group also adapts the mental health programs to local contexts. In 2025, multiple sessions were organized globally and regionally for the Mental Health Awareness Month, where over 7,000 employees participated in the campaign.

A volunteer-based global mindfulness team holds annual events to support employees. These mindfulness practice sessions are held in multiple languages for the employees. In 2025, 62 mindfulness practice sessions were organized, in English, Spanish, and French by internal trainers. The organization's financial well-being campaigns provide employees with tools and education to manage personal finances confidently, reducing stress and supporting mental health. By integrating fair pay and financial wellbeing into the organization's Care & Smart Work strategy, a foundation for psychological safety, engagement, and sustainable performance is created. In December 2025 the organization delivered a global webinar about financial well-being from wallet to workplace.

The organization is committed to equip its people with the skills to support mental health in the workplace. The organization provides training for dedicated individuals through programs such as the UK Mental Health First Aider initiative and the India Lean In program, creating local champions who can offer guidance and support.

Mental health support

Mental health is a vital aspect of Schneider Electric's overall Inclusion & Care strategy. Schneider Electric integrated mental health into its global well-being's focus in 2019, and has provided all employees with a playbook, and series of trainings (available in multiple languages) on how to manage mental health challenges. In 2025, "We All have Mental Health", an e-learning module focused on what mental health means, and how to recognize the signs of mental health challenges and act, ranked among the top five most completed non-mandatory trainings by new hires. In addition, employees have access to Employee Assistance Programs in most regions. The organization complements this with digital well-being platforms, local counseling services, and global awareness campaigns to normalize conversations around mental health.

Support employees with cancer and chronic diseases

In 2023, Schneider Electric joined the #WorkingwithCancer foundation, launched at the World Economic Forum in Davos. An internal pledge was published in March with sponsorship from the CEO, in addition to participation in best-practice survey and data collection. In 2024, Schneider deployed a one-stop shop on benefits and education resources related to cancer in the top 12 Schneider Electric countries.

Other examples of global and local practices

A new real estate workplace guidebook was launched in 2024 including a dedicated chapter for inclusive and welcoming workplaces mandating key principles of inclusion and care (accessibility, healthy food, wellness room, health care on site, gender-neutral lactation room, and more).

The Group also has dedicated programs to educate and support employees on new, smarter ways of working, mindfulness in the workplace, and working in a hybrid world.

Schneider Electric has implemented many services at its sites throughout the world (gym facilities, concierge, creativity rooms, cultural events, mindfulness activities, back-up dependent care, lactation rooms, and more) to support all employees' mental load, energy recovery, and overall resilience.

Schneider Electric has long supported the personal and professional development of its employees by enabling the balance of external commitments with professional responsibilities. In France, this commitment is reflected in initiatives such as the 2022 agreement with the Ministry of the Interior in support of Volunteer Firefighters and the signing of the ProMiles manifesto in 2024. In 2025, the Group further strengthened its engagement through the introduction of specific measures for operational reservists (military, gendarmes and police officers) and for the spouses of personnel mobilized in the context of national defense.

2. Sustainability statements

Compensation and benefits

Policy

Schneider Electric ensures its diverse global workforce is treated in a fair and ethical way which affirms its position as an Impact Company. Its inclusive reward portfolio expands beyond pay and is a meaningful mix of compensation, benefits, development, and workplace environment. It is designed to cater to the diverse needs of its professionals, fostering inclusivity, empathy, support, and well-being with fairness and equity.

The Group provide a comprehensive portfolio of benefits that support employees at every life stage. These benefits offer meaningful choices across well-being, flexibility, and financial protection, ensuring peace of mind for employees and their dependents.

All policies, compensation and benefits decisions adhere to principles of inclusion and care, and comply with local statutory and collective agreements. Benefits are tailored to local contexts, ensuring compliance with social, tax, and legal regulations, while remaining market relevant. The Group benefits portfolio is primarily country-driven, aiming to provide consistency within each territory.

Schneider Electric is committed to delivering best-in-class compensation and benefits, in a fair and equitable way. This commitment is essential to achieving the Group's objectives and to mitigating risks.

The implementation of Group policies on compensation and benefits is overseen by global, regional, and local reward organizations, to ensure compliance with local laws and regulations.

Global compensation and benefit standards and policies are accessible to employees via the intranet and have been approved by the Chief Human Resource Officer, reviewed by the Senior Vice-President, Total Rewards & Performance, with policy ownership held by the Vice-President, Total Rewards & Performance Innovation & Strategy.

Action plans

Career architecture and compensation process

Schneider Electric has a global career architecture to support HR processes and programs and to enable Schneider Electric to engage, develop, and move talent across different businesses and geographies. The career architecture aligns to the Group's organizational structure and to market practices to ensure the reward package offered for a role is fair and competitive. This architecture serves as the foundation towards greater transparency on career development and progression.

Pay competitively and pay-for-performance

Schneider Electric aims to reward its global workforce based on the impact of their performance, potential, skills, and contribution to others' success.

Schneider Electric employees are encouraged to seek, give, and receive feedback, empowering them to take ownership for driving their individual impact. Managers are encouraged to have routine meaningful conversations throughout the year that include coaching, feedback, and recognition with the constant revisit of goals and priorities. Individual performance is assessed in a fair and objective manner based on the impact across three dimensions:

- Individual achievements,
- Behaviors in alignment with IMPACT Values,
- Contribution to others' success.

For most employees, compensation structures include fixed and variable (incentive) elements. Compensation programs and decisions are based on individual performance and behaviors, Company performance, and competitive market positioning in alignment with the Group's pay-for-performance philosophy.

Short-term incentive plan

The annual Short-term incentive plan (STIP) balances the overall Group performance and individual performance. It is designed to encourage and motivate employees to turn ambitious targets into action and embrace the values of the Group. It aims to make an impact together and achieve the collective ambition of becoming an energy technology leader. With a strong sustainability component included, annual short-term incentives for the Group's executives and plan-eligible employees - overall over 80,000 plan-eligible employees - reinforce Schneider Electric's commitment to be a trusted partner in sustainability and efficiency.

To review the Group's commitment to profitable growth, a new sales over-performance condition has been added. If the STIP target for organic adjusted EBITA margin improvement is not achieved, then the STIP Group organic sales growth achievement is capped at 100%.

To promote a strong sales culture where salespeople go above and beyond to help customers make the most of their energy and resources, bridging progress and sustainability, Schneider Electric offers levels of differentiated reward for sales employees to enhance motivation and results focus.

The Short Term Incentive Plan policy is accessible to employees via the intranet and has been approved by the Chief Human Resource Officer, reviewed by the Senior Vice-President Total Rewards & Performance, with policy ownership by the Vice-President, Total Rewards & Performance Innovation & Strategy.

Long-term incentive plan

Schneider Electric's Long-term incentive plan (LTIP) offers share ownership opportunities to the Group's key talents and critical roles to align their rewards with the interests and expectations of Schneider Electric shareholders. Mirroring the framework for short-term incentives, a portion of the award is subject to the achievement of sustainability objectives.



Read more on the Long-term incentive plan in [section 4.2.5 of Chapter 4 of the 2025 Universal Registration Document](#).

Global benefit standards

Schneider Electric regularly reviews compliance with its global benefit policies and principles to ensure that its inclusive global benefit standards are delivered for all employees. These policies and standards cover access to healthcare, retirement and savings, paid and unpaid leaves, and insurance on accident and life.

One of Schneider Electric's underlying benefit objectives is to ensure all its employees are equipped to manage their basic health and well-being and to provide adequate security to both employees and their dependents. The Group is committed to providing employees access to a well-being at work program – translated into a dual standard of access to healthcare and well-being training programs. It also provides access to an inclusive and comprehensive standard of healthcare coverage (outpatient, hospitalization, key health risks/chronic conditions, maternity, children) defined by local regulations and employment agreements.

In addition, the Group commits to provide financial security to employee dependents, in the event of an employee's death, in the form of a minimum standard of life insurance coverage of at least a multiple equivalent to one year's salary.

Global recognition program

The global recognition program – first launched in 2016 – gives employees a unified digital experience to formally recognize and celebrate people who consistently demonstrate the Group's IMPACT Values and go above and beyond. Schneider Electric fosters a culture where employees give and receive regular feedback and coaching from their managers and colleagues and encourages the recognition of small and big achievements. The employees come together on the portal to celebrate meaningful career milestones, including Years of Service anniversary, new joiner welcome, and respectful retirement card.

Employee share ownership plan

The Worldwide Employee Share Ownership Plan (WESOP) is one of the Group's key annual reward programs, offering employees across the globe the opportunity to become shareholders of the Company under preferential conditions.

WESOP is deeply embedded in the Group's culture, serving as both a cultural and reward differentiator with a positive impact on employee engagement, attraction and retention. Over the years, Schneider Electric has strengthened and expanded this program to foster a sustainable base of employee shareholders that reflects the diversity of its workforce, reinforces the sense of belonging, and aligns employees with the Company's performance and shared success. In this context, WESOP forms part of the Group's sustainability commitments under its 2025 roadmap (SSE #19).

As part of SSE #19, Schneider Electric committed to achieving a 60% subscription rate among eligible employees in the annual WESOP by 2025, positioning the program as a key driver of SSE. The scope covers 28 recurring participating countries, among the 47 countries involved, representing 88% of the eligible headcount. WESOP has delivered strong performance: starting from a 53% subscription rate in recurring countries in 2019, the program surpassed its 60% 2025 ambition in 2021 and has consistently maintained this momentum, reaching 62.8% this year.

At the Group level, WESOP was successfully launched in 47 countries in 2025, achieving a subscription rate of 60.4%, consistent with 2024. India and China significantly outperformed with subscription rates above 80%, together accounting for approximately 31% of total subscriptions in the 2025 capital increase.

As of December 31 2025, employee shareholding represented 3.3% of Schneider Electric's share capital and 5.9% of voting rights. 81% of employee shareholders were located outside France, including 13% in China, 16% in India, and 10% in the United States. These figures also include employee shareholding through long-term incentive plan allocations.

2. Sustainability statements

Responsible workplace

Employee engagement process

The employee listening program plays a vital role in fostering a culture where every voice matters at Schneider Electric. Central to this program is the employee engagement survey, where employees are invited to share their honest feedback and which measures several key drivers, including well-being, inclusion, recognition, and empowerment.

The insights gathered provide a deeper understanding of employees' perspectives, highlighting both strengths and opportunities for growth. This serves as the foundation for action planning across the organization. Leaders are guided to co-create with their teams, fostering ongoing dialogue and shaping a workplace that is responsive, inclusive, and future-ready.

This process also contributes to the impacts, risks, and opportunities mentioned in the beginning of this chapter.

Action plan

Supported by a global network of engagement partners and HR business partners, each year managers communicate results to their teams and formulate impactful action plans to drive change.

Several initiatives are implemented to empower managers:

- Manager journey defined through three phases: Assess (understand team results), Huddle (share results and collaborate on focus areas), and Act (finalize and implement action plan).
- Manager Report and Dashboard Toolkit, enabling managers to quickly share results with their teams.
- Action planning guide and communication templates for consistency and efficiency.
- Inspiration through sharing the experiences and learnings of other managers.
- Dedicated manager results dashboard, with guiding content and reminders of key next steps.

An example of listening in action comes from the teams in China, responding to requests for more digital and AI skills, and career development support. Key actions included AI capability-building initiatives, clearly defined competency models, and a dedicated AI corner for learning resources.

Target

Schneider's ambition is to reach 75% engagement score by the end of 2025 (SSE #24).

2025 highlights:

- Ambition achieved: 75% employee engagement score, as assessed in the 2025 survey (+2 points compared to 2024),
- High response rate of 89% (with 129,543 responses, which represents 7,738 more answers than in 2024),
- The top two scoring drivers indicate that employees feel empowered (82%) in their work, and benefit from flexible work arrangements (81%),
- Recognition (60%) and collaboration (61%) noted as two lowest scoring drivers requiring continued focus,
- 80% of the employees agree on the positive impact of the action plans around engagement and 43% of the managers have access to team level results.

The survey includes two open-ended questions, where employees can submit their comments on what makes them proud to work at Schneider Electric and what they identify as areas of improvement.

Through these comments, employees have expressed pride in being part of an inclusive culture while delivering innovative and sustainable solutions for customers. They benefit from flexibility, well-being support, and a strong sense of purpose, along with time for learning and development.

Also identified were opportunities to further strengthen cross-functional teamwork through enhanced communication, in addition to implementing simplified workflows and smarter tools for greater efficiency.

Social dialogue

Policy

Social dialogue and freedom of association at Schneider Electric are fully embedded in the wider context of its inclusion culture, ethics, and social responsibility. As a global company, Schneider Electric believes that its responsibility goes beyond compliance with local and international regulations and is therefore committed to conducting its business ethically, sustainably and in a responsible manner. Ambitioning to be one of the most local of global companies, the Group acknowledges that, as its borders are expanding, its activities and impacts are not only local but also global, therefore its social responsibilities are growing.

In the context of transformative growth, it is the Company's ambition to maintain the highest confidence and engagement from all employees, sharing vision and getting insights directly from employees, or through their representatives, depending on the legal framework, to ensure a fair two-way dialogue everywhere. Policies and agreements in place define the framework for this two-way dialogue.

In addition, social dialogue at Schneider Electric includes a continuous listening culture with the annual survey "OneVoice", sent to all employees, allowing them to share their feedback on a voluntary basis, on key topics related to their workplace and experience appreciation.

In its Trust Charter (Schneider Electric's Code of Conduct), Schneider Electric commits to follow all the requirements to build and sustain fruitful and mutually beneficial relationships between labor organizations and management, in accordance with local regulations, in every country where it operates. In its Group Human Rights Policy, Schneider Electric reaffirms those principles as the basis for a regular dialogue between management and employees. To that purpose, Schneider Electric respects the individual right of its employees to freely join, participate in, or quit labor organizations to assert and defend their interests.



Read more in [section 2.1.1.3 on pages 36 to 44](#)



Read more on the Human Rights Policy in [section 2.3.2.2 on page 154](#)

Subsequently, Schneider Electric guarantees that any employee wishing to do so, shall be protected against any internal measure limiting his or her freedom of association, such as discrimination of any kind, pay loss, or dismissal.

In case of any issue, employees are encouraged to report, using the internal reporting tool for unethical behavior or misconduct, called the "Trust Line", available 24 hours a day, 7 days a week.

Schneider Electric also values the importance of dialogue with freely appointed employee representatives, employee representative bodies (e.g., works councils or employee forums), or organizations (trade unions), and supports collective bargaining. In addition, to provide multi-cultural social dialogue on transnational projects, the top level of leadership is engaged: both the Company's Chief Executive Officer and the Chief Human Resources Officer meet the European Works Council (EWC) members each year in person and the seat of EWC Chairperson is held by the HR Senior Vice-President in charge of Europe (that represents the largest organization of Schneider Electric in terms of number of employees), demonstrating Schneider Electric's strong involvement in that two-way dialogue.

Action plan

Social dialogue at Schneider Electric is managed at country level by HR leaders with the employee representative bodies and/or unions, in compliance with local legislations.

On transnational topics, engagement with employee representatives from European countries is described in the agreement signed in 2014. It contains engagement rules for the information, consultation and participation of Schneider Electric employees and representatives in Europe, the composition of the EWC (which comprises employee representatives covering European Economic Area countries, with the addition of the UK and Switzerland), the various roles of its members (Chairperson, Core Council, Secretary, plenary members) as well as the cadence of engagement, i.e. the yearly meeting with the plenary members, in addition to the quarterly meeting with the Core Council, as per circumstances. Each year, the level of participation from top leaders of the Company, as well as the strong participation rate of all employee representatives from Europe, demonstrates common interest in this dialogue.

Schneider Electric recognizes the importance of involving employee representatives in the Company's decision-making process, thus reaffirming its intention to provide regular, efficient, multi-cultural, and innovative social dialogue at the European level, considering the voice of employees on the transnational projects, related to the Group's development, to people, to economic, financial, and social strategies at European level.

In addition, Schneider Electric joined the Global Deal initiative in 2017, which promotes social dialogue and sounds industrial relations, as effective means for achieving decent work and inclusive growth.

Since 2021, social dialogue has been included in the Group's social reporting on Decent Work. Local Human Resources teams report on a yearly basis on the presence of employee representation bodies in their countries and the percentage of employees covered by collective agreements.

2. Sustainability statements

Social dialogue at European level

In the last years, Schneider Electric has enhanced the intensity and the impact of social dialogue at European level, inviting top-level of management to contribute to social dialogue, to present in person their business strategy, and to make decisions.

The Group strengthens contributions of the EWC members on strategic topics through active workshops for reflection and ideation, namely for the evolution of the Company's Disability & Inclusion strategy and the deployment of the Global Senior Talent program. EWC members were also involved in the next steps of the Duty of Vigilance. Presentations and updates were also shared to gain member's feedback on the importance of AI for the Company, its customers, and people.

Social dialogue in France

In 2025, Schneider Electric negotiated and signed in France more than 20 collective bargaining agreements that are now mainly negotiated at Group level, so that they can benefit to all French employees, regardless of their employing entity. These collective agreements apply in various areas (rewards and benefits, disability at work, gender equity, etc.). Then, through the renewal of disability at work provisions, the Group reaffirms its commitments to strengthen employment of workers with disabilities with concrete actions including recruitment, integration, job retention, and shared awareness on the topic. This relies on structured governance, sector partnerships, and a dedicated budget to ensure inclusive and sustainable governance across French entities. In 2025, Schneider Electric Industries and Schneider Electric France employees renewed all works council members, with over 11,500 employees electing representatives in November.

Social dialogue in the United States

A regular two-way communication is maintained in the United States with both union and non-union teams to share key business updates and gather employee feedback.

Across both union and non-union sites, the Company remains committed to develop key competencies, enhance digital acumen, and foster a safe and respectful workplace.

These priorities are supported by initiatives such as:

- Ethics delegates to promote a speak-up culture;
- Workshops to strengthen positive employee and labor relations;
- Learning corners, aligned with personal interests and professional growth;
- Enhanced digital communication, enabling more efficient site-level and Company-wide communication;
- International campaigns, on-site events, discussion groups, and trainings focused on trust, inclusion and care.

Social dialogue in Mexico

In 2025, in respect of Mexican laws, Schneider Electric reviewed with employee representatives and unions four collective bargaining agreements, including the voting process of 11,776 unionized employees in eight locations, in addition to annual salary negotiations, impacting three sites.

Social dialogue in China

Schneider Electric in China continues to drive a robust culture of social dialogue across 30 legal entities and 100 locations. In 2025, the Group deepened this commitment by establishing a multi-tiered dialogue framework to ensure every employee has a voice.

The Group sustained regular listening through the annual employee survey; all inputs are systematically analyzed to identify key focus areas. Furthermore, the union convened the 2025 Employee Congress, attended by 130 delegates, providing transparency into a five-year union performance and financial results, facilitating the discussions on well-being proposals, and including the election of a new union committee. At plant level, the "Ohno Circle" initiative further embedded dialogue into daily operations, enabling shopfloor employees to voice their observations, which has led to the identification of 13,888 improvement points in safety and quality.

This dialogue is translated into tangible outcomes; integrated teams from Human Resources, local management, and the union collaborate to turn employee feedback into concrete actions, which range from technical career paths building to digital employee experience enhancements. There are also other actions such as workplace accessibility upgrade and well-being webinars.

Beyond the work environment, the dialogue is extended to employees' families through "Family Day" and "SE Next Generation" events, involving over 3,700 participants across five cities in sustainability-themed activities such as tree planting and disability inclusion.

Social dialogue in India

In India, Schneider Electric continues to build a strong culture of open and respectful communication with all the employees, unionized and non-unionized, with no discrimination.

Across manufacturing plants and office locations, the Company maintains peaceful and harmonious industrial relations through continuous engagement and structures dialogue. These discussions are held with unions and employee committees. Topics such as salary, medical benefits, and workplace conditions are addressed and resolved through mutual dialogue.

In locations without formal unions, management actively engages with the elected employee representatives. These representatives are part of committees such as the Works Committee / Welfare Committee, which focuses on employee welfare. The Company has also set up active committees for Health & Safety, Canteen, Sports, and Transport.

Special emphasis is placed on the well-being of women employees through dedicated forums. The Prevention of Sexual Harassment (POSH) Committee fully complies with legal requirements and includes both internal members and external legal experts. This ensures a safe, respectful, and inclusive work environment for all.

Collective bargaining coverage and social dialogue

Collective Bargaining Coverage			Social Dialogue
Coverage Rate	Employees – EEA	Employees – Non EEA	Workplace Representation (EEA only)
80–100%			Austria
			Belgium
			Bulgaria
			Croatia
			Czech Republic
	Austria		Denmark
	Belgium		Finland
	Czech Republic		France
	Finland		Germany
	France		Greece
	Germany		Hungary
	Greece		Ireland
	Hungary		Italy
	Italy		Latvia
	Norway		Lithuania
	Poland		Netherlands
	Portugal		Norway
	Spain		Poland
	Sweden		Portugal
			Romania
			Slovenia
			Spain
			Sweden
60–79%			
40–59%		Asia Pacific	
20–39%	Denmark	North America Rest of the world	
0–19%	Bulgaria		
	Croatia		
	Estonia		
	Ireland		
	Latvia		
	Lithuania		
	Netherlands		
	Romania		
	Slovakia		
	Slovenia		
		Western Europe ⁽¹⁾	Estonia Slovakia

A survey was launched to HR Leaders in each country around the world. Each legal entity within the scope of the sustainability statements (CSRD) provided data on Employee Representation and existence of collective bargaining agreements. This information was cross-checked internally with a newly created field on Collective Bargaining Agreement (CBA) coverage in the Group's global HR tool. In the calculation process, local labor regulations in several countries were also taken into account to simplify and verify the accuracy of the data collected. Based on consolidated global data, around 52% of the Schneider Electric employees are covered by collective bargaining agreements and 84% are represented by workers' representatives, further strengthening two-way dialogue. The change compared with last year reflects improved data quality rather than any underlying shift in non-EEA countries.

Additionally, as per collected data from EEA countries:

- Around 90% of the employees at Schneider Electric are covered by collective bargaining agreements, against 91% in 2024.
- Around 98% of total employees are represented by employee representatives locally.

Low representation in some EEA countries is linked to countries with small headcounts. However, in all EEA countries where Schneider Electric operates, each country with more than 150 employees has at least one seat at the EWC to represent and voice employees' views (as per 2014 EWC agreement). In addition, as per same EWC agreement, UK and Switzerland have employee representatives at EWC.

At global level, as per the Global Human Rights Policy, Schneider Electric protects freedom of association and values social dialogue with employee representatives, in respect of local rules. Global standards are being defined to go further in all the countries where the Group operates. This comes in addition to the listening culture (One Voice annual employee survey), the internal whistleblowing platform on potential unethical issues (Trust Line), and the existing Decent Work program for the employees of the Group.

(1) Western Europe countries not in the EEA, meaning United Kingdom and Switzerland

2. Sustainability statements

Adequate wage

Policy

Schneider Electric firmly believes that earning a living wage is a fundamental human right and an essential element of decent work. This commitment is included in the Human Rights Policy and Trust Charter, guiding the efforts of the Group to ensure that all employees receive at or above a living wage to meet their families' basic needs which include food, housing, sanitation, education, healthcare, clothing, transportation, and communication plus discretionary income for a given local standard of living.

Schneider Electric conducts annual living wage gap analysis since 2018. Starting in 2021, the Group committed to paying 100% of employees at least a living wage as part of Schneider Sustainability Essentials (SSE #20). The SSE #20 reporting protocol is accessible to employees via the intranet and has been approved by the Senior-Vice President, Total Rewards & Performance. The company works with the expert consultant Fair Wage Network to ensure compliance. An external company provides limited assurance to ensure year-over-year compliance with this commitment.

The living wage standards are also described in the Human Rights Group Policy. The policy is accessible to employees via the intranet and has been approved by the Chief Executive Officer, reviewed by Chief Sustainability Officer, Chief Governance Officer & Secretary General, Chief Human Resources Officer and Executive Vice President Global Supply Chain with policy ownership by Senior Vice President Corporate Citizenship & Institutional Affairs.

Action plan

Collaborating with Fair Wage Network since 2022 allowed the Group to improve geographical coverage, develop a dynamic web-based living wage benchmark, and initiate an independent review and certification of the living wage gap analysis. Schneider Electric was certified in March 2024, by the Fair Wage Network, being qualified as a "Living Wage Employer" for a second consecutive time, valid until December 31, 2025. To measure compliance with the living wage, a gap analysis is conducted every year post salary review for all our Schneider Electric employees treated as permanent workforce. All employees employed by fully integrated entities, with open-ended or fixed-term contracts, whether full-time or part-time, are considered part of the permanent workforce.

In 2025, living wage benchmarks were integrated into the Group's "Fair Pay Simulator," making it more accessible and user-friendly for the HR community. While the tool now includes living wage benchmarks data, its primary purpose remains to simulate compensation offers in a way that is market competitive and fair by preventing pay gap creation. It supports key HR processes such as promotions and salary adjustments.

Targets and metric

Cycle	Targets ⁽¹⁾	Details
2021-2025	SSE #20	Pay 100% of our employees at least a living wage
2026-2030	Out of Sustainability Impact 2030	100% of employees are paid at least a living wage

As part of its commitment to SSE #20, the Group has conducted an analysis. Identified living wage gaps were closed during the year, ensuring all employees receive a living wage and that no new gaps emerged. The definition of adequate wage used for the sustainability statements (CSRD) is the same as the one mentioned in the Policy section above. On December 31, 2025, the compliance rate for all Schneider Electric's employees to receive an adequate wage was 100% within the scope of both SSE #20 and the sustainability statements (CSRD). The Group is maintaining the same ambition for 2030.

 [Read more on the methodology of SSE in section 4.1.2 on pages 250 to 255.](#)

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to **section 2.1**.

Characteristics of Schneider Electric's employees

Number of employees (head count)	2025	2024
Total employees by gender	159,844	159,002
Female	54,716	54,680
Male	105,031	104,291
Other	26	13
Not reported	71	18

Country (top 20)	2025	2024
Australia	2,484	2,390
Brazil	1,619	1,544
Canada	2,679	2,590
China	16,784	16,378
Egypt	1,414	1,640
France	15,244	15,131
Germany	5,667	5,371
Hungary	2,498	2,375
India	24,460	22,663
Indonesia	2,933	2,890
Italy	3,481	3,310
Mexico	15,968	19,380
Philippines	3,136	3,189
Poland	2,545	2,483
Singapore	1,519	1,621
Spain	4,958	4,796
Sweden	1,260	1,282
Thailand	1,257	1,349
United Kingdom	4,660	4,710
United States	24,908	23,759

Average number of employees (head count) ⁽¹⁾	2025	2024
Total employees by gender	161,777	157,275
Female	55,485	53,814
Male	106,196	103,437
Other	20	10
Not reported	76	14

Country (top 20)	2025	2024
Australia	2,504	2,381
Brazil	1,951	1,527
Canada	2,680	2,553
China	16,583	16,463
Egypt	1,546	1,632
France	15,193	15,060
Germany	5,652	5,384
Hungary	2,499	2,368
India	23,669	22,202
Indonesia	2,983	2,808
Italy	3,428	3,300
Mexico	17,964	18,911
Philippines	3,167	3,142
Poland	2,529	2,474
Singapore	1,566	1,616
Spain	4,976	4,785
Sweden	1,263	1,269
Thailand	1,292	1,354
United Kingdom	4,687	4,688
United States	24,778	23,213

(1) The average number of employees is also presented in the note 25 (page 540) of **section 5.5 Notes to the consolidated financial statements** of the 2025 Universal Registration Document, and in the introduction of this section. The difference between the two figures is explained by a different reporting scope (see **section 2.1.3 Basis for preparation** for more details).

2. Sustainability statements

Number of employees (head count) by gender & contract type	2025	2024
Total employees	159,844	159,002
<i>Permanent employees</i>	<i>147,631</i>	<i>145,649</i>
Female	49,619	49,241
Male	97,910	96,376
Other	26	13
Not reported	76	19
<i>Temporary employees</i>	<i>12,153</i>	<i>13,254</i>
Female	5,070	5,390
Male	7,080	7,862
Other	0	0
Not reported	3	2
<i>Non-guaranteed hours employees</i>	<i>60</i>	<i>99</i>
Female	22	48
Male	38	51
Other	0	0
Not reported	0	0
<i>Full-time employees</i>	<i>156,399</i>	<i>N/A</i>
Female	52,706	N/A
Male	103,607	N/A
Other	26	N/A
Not reported	60	N/A
<i>Part-time employees</i>	<i>3,445</i>	<i>N/A</i>
Female	2,009	N/A
Male	1,424	N/A
Other	0	N/A
Not reported	12	N/A

Number of employees (head count) by region & contract type	2025	2024
Total employees	159,844	N/A
<i>Permanent employees</i>	<i>147,631</i>	<i>N/A</i>
Asia Pacific	45,444	N/A
North America	43,508	N/A
Western Europe	40,363	N/A
Rest of the world	18,316	N/A
<i>Temporary employees</i>	<i>12,153</i>	<i>N/A</i>
Asia Pacific	10,786	N/A
North America	200	N/A
Western Europe	534	N/A
Rest of the world	633	N/A
<i>Non-guaranteed hours employees</i>	<i>60</i>	<i>N/A</i>
Asia Pacific	0	N/A
North America	0	N/A
Western Europe	60	N/A
Rest of the world	0	N/A
<i>Full-time employees</i>	<i>156,399</i>	<i>N/A</i>
Asia Pacific	56,101	N/A
North America	43,448	N/A
Western Europe	38,038	N/A
Rest of the world	18,812	N/A
<i>Part-time employees</i>	<i>3,445</i>	<i>N/A</i>
Asia Pacific	122	N/A
North America	268	N/A
Western Europe	2,918	N/A
Rest of the world	137	N/A

Distribution of employees (percentage) by age group	2025	2024
Over 50 years old	21%	20%
Between 30 and 50 years old	60%	59%
Under 30 years old	19%	21%
Total Employees	100%	100%

Contextual information to understand employee data

In 2025, Schneider Electric's overall headcount remained stable, reflecting a disciplined focus on operational excellence and scalability. The Group has continued to expand talent hubs in India and the US to strengthen leadership in electrification and digitalization, while making slight adjustments in Mexico to enhance regionalization and cost competitiveness.

In 2025, 22,527 employees left the company, resulting in a turnover rate of 13.9% which was a slight increase in comparison to 12.6% in 2024. This is indicative of the Group's continued transition towards a high-performance culture centered on efficiency and sustainability.

2.3.1.3 Employee health and safety

Context

Health and Safety is a foundational pillar of Schneider Electric's Trust Charter. It enables the Group to maintain its license to operate for all its activities, and to earn the trust placed in Schneider Electric by employees, customers, contractors and stakeholders.

Schneider Electric's ambition is to provide a safe and healthy environment for all its employees, so they can perform to their full potential, positively impact the safety of the customers, and return home safely.

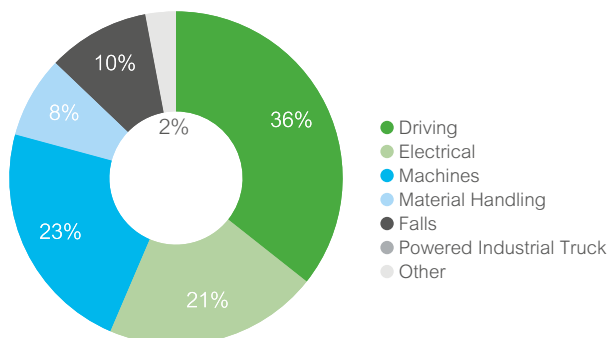
Impacts, risks, and opportunities

Health and safety	
Negative impact	Injury to Schneider Electric employees Employee exposure to chemical, biological and physical agents resulting in adverse health impacts

The Group is aware of the legal risks associated with potential fines due to non-compliance with health and safety regulations. Civil risks may emerge from potential claims by employees or customers, and reputational risks could result from any damage to the Group's image, particularly when incidents involve employees working on client sites.

The Group also recognizes the importance of health and safety in the workplace and has identified the Top 10 Hazards that pose potential risks to the health & safety of its employees: Driving, Electrical, Machines, Material Handling, Falls and Powered Industrial Trucks are the top hazards over the last 5 years.

Breakdown of the last 5 years serious incidents by hazard



Data from last 5 years.

Policy

Schneider Electric is committed to investing in its people and its workplace as stated in its Group Safety & Occupational Health Policy, which is reviewed each year, is fully aligned with ISO 45001 standard, and is published externally.

The implementation of the Health & Safety Policy is monitored by the Chief Compliance Officer, covering entire operations of employees and of contractors or individuals under the company's supervision.

Schneider Electric is committed to a healthy and safe workplace for all, by developing a Resilient Safety Culture, where Trust, Speak Up, Just Culture, Continuous Learning, Engagement, and Leadership are essential to this ambition. These principles guide us how the Group work and support its shared responsibility to prevent incidents and care for each other.

Every employee plays a vital role in identifying and mitigating risks and hazards - whether at work, on the road, at customer sites, or anywhere Schneider Electric is represented.

The Group engages at every level:

- Fosters an inclusive and caring environment where everyone contributes to safety.
- Builds trust through open dialogue and empowers everyone to Speak Up for safety.

The Group leads with accountability:

- Leaders at all levels integrate safety into every decision.
- Schneider Electric sets bold safety goals and acts to achieve them.

The Group masters high-risk activities:

- Proactively identifies high-risk activities, applies the most effective controls, and anticipates the possibility of human error.
- Only qualified and competent teams are assigned to high-risk tasks, with rigorous monitoring.

The Group applies global standards:

- Upholds legal requirements, Schneider Electric's Safety Standards, and uses safety best practices to protect everyone.

2. Sustainability statements

Action plan

Delivering robust health and safety oversight worldwide

Health and safety is one of the risk drivers of the Enterprise Risk Management (ERM) model, used to identify Key Risk Indicators (KRIs) and implement action plans to reduce risk. The idea of this model is to concentrate, at global level, on risks that can result in serious or fatal accidents. This involves looking beyond the top 10 hazards, analyzing the controls preventing accidents from occurring, and connects to Schneider Electric's High Potential Severity (HiPoS) program. These hazards, that have the potential to result in serious accidents, also have a deeper analysis by global experts, and the learnings are then shared with the full organization. Both the ERM and HiPoS programs contribute to the annual global Health and Safety Improvement program.

Health and Safety reports are created by the VP Global Health and Safety and presented to the executive level, during the quarterly Quality and Safety board. The report includes Health and Safety performance vs. targets and Health and Safety program deployment update.

There is also a monthly Global Health and Safety steering committee to share Health and Safety performance vs. targets, Health and Safety program deployment and best practice sharing, with the Regional and Organizational Health and Safety VPs.

Schneider Electric continues to expand its global safety software, enabling employees, contractors, and visitors to report incidents, near misses, and safety observations, and track corrective actions.

The connected action plan related to machine safety involved an upgrade of the Machine Safety Code of Practice, with new chapters added on bending machines, lathes and milling machines. All industrial sites are required to implement the new standard and provide training on the new standard to Engineering, Maintenance and Safety departments.

The focus on investigating High Potential Severity (HiPoS) incidents, has resulted in more than 100 "shared lessons learnt" being published and available for sites to implement the action plans and hence prevent accidents.

"S.A.F.E. First" is at core of the strategy, developed as a personal reminder to pause and reflect on safety before beginning any task (Self-check, Activity check, Facility check, Environment check). "S.A.F.E. First" is one of the key action implemented to deliver a robust health and safety oversight worldwide.

Reinforcing health and safety awareness from all Schneider Electric's employees

The safety culture assessment has evolved into a program called "Safer Future", which includes a safety climate survey, which is internationally known as NOSACQ50. In 2025 this safety questionnaire has been deployed to all Schneider Electric employees globally. The results are analyzed at local and global level, helping to identify action plans to improve the safety culture maturity. The employee engagement in the 2025 safety survey was 54% which exceeded the 2025 ambition of 50%.

Employees access directives, programs, and training via the Health & Safety intranet portal, complemented by quarterly "H&S Spotlights" and leadership messages. As part of these resources, the company ensures that employees benefit from regular health & safety training programs, which help reinforce awareness and good practices across the workforce. Engagement is reinforced through internal social media and reporting tools, and employees are encouraged to turn safety opportunities into risk-reduction actions. Recent initiatives include a code of practice for R&D, office safety, and machinery.

An electrical safety communication program was deployed in Q3 2025. Electrical control measures have been strengthened by increasing the scope when personal voltage detectors are used.

Executing health and safety audits and certifications

Local action plans, managed by each region, complement the global plan, and includes the improvements identified by the Environment Health and Safety Assessment (EHSA) deployment, the ISO 45001 implementation, and the safety culture assessment.

In 2025 Schneider Electric has enhanced the global safety digital solution with a new "Point of Work Risk Assessment" module. This solution is used to assess risk by the Service team when working on customer worksites and performance is tracked with dashboards.

To ensure successful implementation of the Schneider Electric Health and Safety strategy, Annual Environmental Health and Safety Assessments (EHSA) are performed in industrial and customer-facing sites worldwide, by the site Health and Safety team and validated by the regional Health and Safety specialist. This global process measures compliance against Health and Safety directives, identifies improvement opportunities and recognizes excellence.

All Schneider Electric sites prepare a Health and Safety legal register, audit themselves against the required regulations and implement actions to close the gaps. The full process is audited every three years as part of the ISO 45001 which is implemented on all industrial sites and is externally audited by an accredited body. The key elements of certification to ISO 45001 includes annual site management review and internal site audit program, and external audit program at site and corporate level.

Management of hazardous substances is also audited as part of the ISO 45001. Engineering controls such as ventilation, enclosure of hazardous substances, and regular maintenance of equipment and extraction systems are control measures implemented to control the risk. Safety Data Sheets and other information on hazardous substances are made available to employees and included in the work area training. A new software tool to manage Safety Data Sheets and reduce risk associated with hazardous substances has been deployed to pilot countries in 2025 to test the suitability of the module and the positive impact it will have when deployed globally. Health surveillance of workers exposed to hazardous substances are implemented to ensure the control measures are working and the employees are working in a safe and healthy environment. When the hazardous substances cannot be fully controlled with engineering controls, personal protective equipment is provided to employees. There are also measurement of concentration levels in the work environment and regular medical checks for employees regarding workplace exposure to hazardous substances.

Global Risk Consultants perform loss prevention audits for industrial sites to ensure that the required standards for fire prevention and emergency planning are in place.

In 2025, the Group has developed a code of practice on machine safety, accident investigation, product stability. This code of practice will be translated to the Schneider Electric Safety Trust Standard. This Safety Trust Standard will monitor compliance against these standards through an internal audit program. A new digital Risk Assessment Module will also support the 2026–2030 Health & Safety Strategy.

Advancing health and safety excellence through 2030

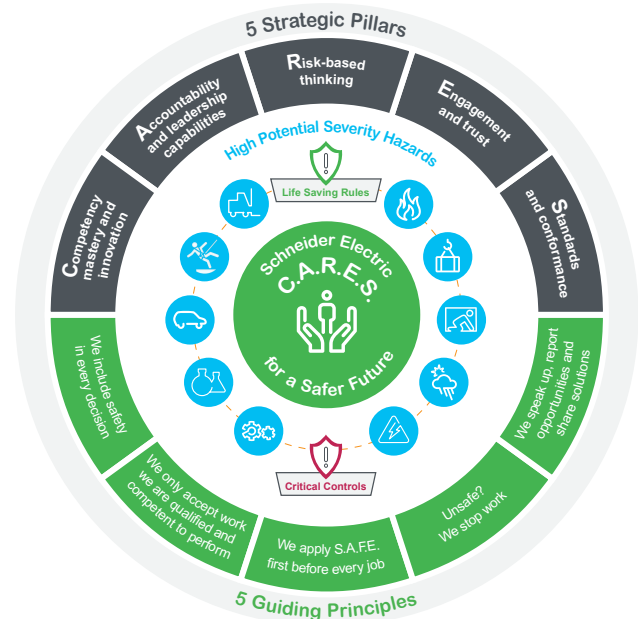
Schneider Electric's strategy focuses on embedding safety as a core value, driven by leadership accountability and employee engagement. Guided by the C.A.R.E.S. framework (Competency, Accountability, Risk, Engagement, Standards) progress is measured through the annual *Safer Future Survey*.

Key strategic pillars include:

- Engagement & Trust: Inclusive safety culture through transparent communication.
- Risk-Based Thinking: Anticipating human error and applying rigorous controls.
- Accountability & Leadership Capabilities: Integrating safety into decisions and ensuring team competency.
- Competency, Mastery & Innovation: Continuous learning to identify and manage risks.
- Standards & Conformance: Compliance with internal and external regulations.

The strategy addresses 10 high-severity hazards and is reinforced by Life Saving Rules and critical controls, that reinforce safety as a license to operate.

2026-2030 Schneider Electric C.A.R.E.S. for a Safer Future.



Targets and metrics

Cycle	Targets ⁽¹⁾	Detail
2021-2025	SSE #14	Decrease the Medical Incident rate to 0.38 by 2025, from a 0.79 baseline in 2019
2026-2030	Out of Sustainability Impact 2030	Schneider Safety Culture Maturity index to reach Resilient Level (3.35) at global average through the SAFER Future Survey by 2030

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to **section 2.1**.

2. Sustainability statements

Health and Safety performance results

In 2020, Schneider Electric set a five-year safety ambition related to SSE #14 to reduce the Medical Incident Rate (MIR) to 0.38 by 2025, from a 0.79 baseline in 2019. The MIR is the number of work-related medical incidents (including injuries and occupational illnesses) multiplied by one million hours (average hours of 500 employees working for one calendar year) divided by the total hours worked. Work-related injuries and occupational illnesses requiring medical treatment are included. Medical incidents, where the injured party requires hospital treatment for more than 24 hours, are classified as serious.



Read more on the methodology of SSE in [section 4.1.2](#) on [pages 250 to 255](#).

In 2025, 165 medical incidents were recorded, translating to the best ever MIR performance of 0.46, a 23% reduction versus 2024, equivalent to a 80% achievement of the program ambition. No employee fatalities were recorded and four medical incidents were classified as serious. Of the four Serious medical incidents, three were related to machine safety and one serious medical incident was connected to electrical safety.

Of the 165 medical incidents, 21 were work related ill health incidents, connected with industrial ergonomics.

In terms of indicators specific to the sustainability statements (CSRD), 55% of employees are working in Schneider Electric sites with ISO 45001 certification and are covered by a health and safety management system. The rate of recordable work-related accidents for the employees was 0.44, connected with 146 work-related accidents. There were no work-related injuries or work-related ill health fatalities in Schneider Electric's own workforce in 2025.

Health & safety metrics	2025	2024
% of employees covered by health and safety management system	100%	100%
% of employees covered by health & safety management system - ISO 45001 certified sites	55%	43%
% of non-employees covered by health & safety management system - ISO 45001 certified sites	82%	N/A
Number of fatalities - employees	0	0
Number of fatalities - non-employees	0	0
Number of fatalities - workers in the value chain	0	1
Number of recordable work-related accidents - employees	146	168
Number of recordable work-related accidents - non-employees	37	N/A
Rate of recordable work-related accidents - employees	0.44	0.54
Rate of recordable work-related accidents - non-employees	0.49	N/A

As per the sustainability statements (CSRD) definition followed in the metrics above and as per Schneider Electric context, the non-employees are all the agency workers who are mainly based on factories and the workers in the value chain are all the individuals in Schneider Electric's upstream and downstream value chain such as cleaning services or security services. In terms of scope, there is as well a difference between the sustainability statements (CSRD) and the SSE as the sustainability statements (CSRD) are including more sites.

Recognition and awards

Schneider Electric North America has won the Operational Excellence Achievement Award given to organizations with 50 or more locations achieving Occupational Excellence.

Schneider Electric UK & Ireland has been awarded the RoSPA Gold Medal (eight consecutive Golds) Award for health and safety performance and the RoSPA Fleet Safety Gold Medal (nine consecutive Golds) Award for managing occupational road risk.

Schneider Electric's Riga Plant has won second place in the State Labour Inspectorate's competition "Be sure that work is safe!"

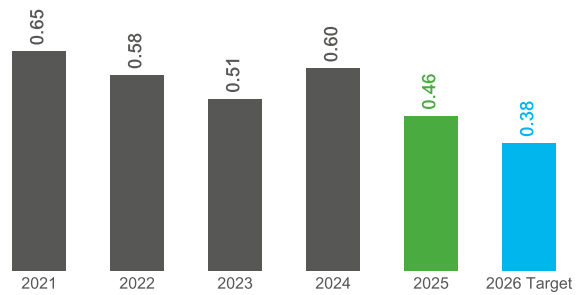
Schneider Electric India received customer recognition for outstanding EHS performance & safe project completion on their project sites.

Schneider Electric Thailand received prestigious award for occupational health and safety on a large customer project presented by Thai oil public company.

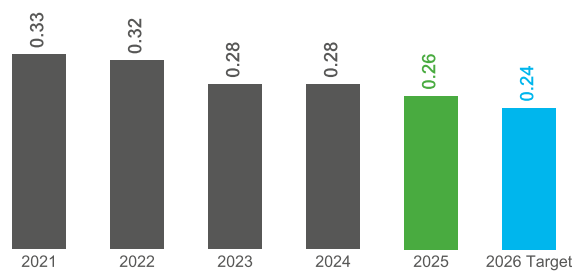
The Schneider Electric service team in South America won a electrical safety award for their use of Personal Voltage Detectors:



MIR historical trend



LTIR historical trend



2. Sustainability statements

2.3.1.4 Equal treatment

Impacts, risks, and opportunities

Equal treatment and opportunities for all	
Positive Impact	Improve employees' well-being and feeling of belonging
The Group sees a business opportunity in increasing employee engagement, which can lead to improved productivity rates. Not investing in skills development poses a risk, as the organization may lack the necessary competencies to meet business needs. Being perceived as an ethical company enhances the Group's employer brand and aids in attracting and retaining talents. The world is polarized, with megatrends creating both inequities and opportunities for just energy and digital transitions. These transitions require inclusion of all stakeholders. As an Impact Company, Schneider Electric must expand its inclusion and care-by-design journey to drive impact across customers, people, and the ecosystem. By promoting equal opportunities and an inclusive culture, the Group enhances employee well-being and engagement, positioning Inclusion & Care as a key business and people priority in today's ESG-driven landscape. The opportunities are material: • A Boston Consulting Group report shows that companies with more diverse management teams have reported 19% higher revenues due to innovation. • Research cited in a Forbes article, published by Cloverpop, found that inclusive decision-making significantly improves business outcomes. Diverse teams make better decisions up to 87% of the time, and decisions executed by these teams deliver up to 60% better results. • A study from Harvard Business Review shows that employees reporting a feeling of belonging, where they feel included and cared for are 3.5 times more engaged.	

Inclusion & Care is a marker of Schneider Electric and can continue to be a unique competitive advantage if tackled properly and genuinely. Schneider has identified three main risks around those topics:

- If workforce diversity does not reflect the markets served, the Group risks losing innovation, talent attraction and retention.
- Lack of fairness and equity in people processes threatens engagement, performance, and corporate reputation.
- Increasing regulatory complexity across geographies requires strategies informed by risks, opportunities, and stakeholder insights.

Schneider Electric defines its strategy taking into consideration the risks and opportunities, internal and external trends, insights and feedback from leaders and employees.

Schneider Electric believes this leads to greater engagement, performance, and innovation, and creates access to the best possible talent pools around the globe.

Policies

Inclusion policy

Schneider Electric's Trust Charter articulates that the organization aims to offer equal opportunities to everyone, everywhere. The Group wants its employees – no matter who they are, or where they live in the world – to feel uniquely valued and safe to contribute their best, free from harassment, victimization, and discrimination of any kind.

The Group's Inclusion Policy recognizes that diversity comes in many forms; visible and non-visible, including cognition, experience, education, gender and gender identity, age, nationality, ethnicity, color, physical appearance, sexual orientation, disability status, religious, cultural and socio-economic background, life experience, location, and more. There are no applicable international standards to align policy with.

The Group brings its ambition to life by empowering all employees to develop inclusive practices and behaviors, ensure fairness and equity in core people processes and policies, and advocate internally and externally for change with partners, such as UN Women through the Gender Equality Facility (GEF), and the World Economic Forum (WEF).

Digital Accessibility Policy

Schneider Electric is committed to the inclusion and care of all, so that everyone belongs and thrives. That includes ensuring equal access and usability of the Company's digital assets for all individuals, including those with disabilities. Schneider Electric strives to meet worldwide accessibility standards, guidelines, best practices, and laws. The Digital Accessibility Policy, outlines its commitment to digital accessibility. It applies to all digital assets created, procured, or used by Schneider Electric, regardless of the platform or device on which they are accessed, and to all Schneider Electric employees, affiliates, contractors, and sub-contractors that are involved in the creation or modification process of digital assets.

The policy is aligned with Web Content Accessibility Guidelines (WCAG) and mentions the Americans with Disabilities Act (ADA), Section 508 of the Rehabilitation Act, the European Union Web Accessibility Directive, Revised Section 508 Standards, and EN 301549. The policy is approved by the Chief Human Resources Officer and the Chief Digital Officer of the Group and is managed by the Group's Global Accessibility Office. The Disability Inclusion and Accessibility Steering Committee along with external subject matter experts were involved in the drafting and reviewing of the policy.

Global Workplace Adjustment Policy

The Group believes that inclusion is not just a value, it is a business imperative. Schneider Electric is committed to creating an environment where all employees can thrive and contribute their best, regardless of disability, impairment, or long-term condition. This policy outlines Schneider Electric's approach to Workplace Adjustments, ensuring that individuals with specific needs are supported through tailored solutions that enable them to perform their roles effectively and comfortably.

Workplace Adjustments may be physical (hard) or non-physical (soft), and can include:

- Physical adjustments such as assistive technologies and software, ergonomic equipment (keyboard, mouse, etc.), accessible furniture (chair, desk, etc.), fixtures and fittings, and accessible facilities, or alternative formats.
- Non-physical adjustments such as flexible or remote working (e.g., Schneider Electric's Global Flex@Work Policy), role modifications, adjusted targets, mentoring, or policy adaptations.

Schneider Electric is committed to ensuring that individuals who identify as having a disability, impairment, or long-term condition encounter no barriers throughout their employment journey. By embedding these practices into the ways of working, the Group reinforces its commitment to inclusion and care.

Group Anti-Harassment & Anti-Discrimination Policy

Schneider Electric ensures that all employees, no matter who they are, or where they live in the world, feel uniquely valued and safe to contribute their best. It requires everyone feeling free from any type of harassment, victimization, or discrimination. Failure to maintain a responsible workplace may expose Schneider Electric to liability for harassment or discrimination claims from the person who has allegedly been harassed or discriminated or the alleged perpetrator for failure to protect employees against such conduct. Moreover, the Group could be exposed to reputational risk. Benefits of fostering a responsible workplace include a positive work environment, talent retention, enhanced Company reputation and reduced legal risks.

To uphold this, Schneider Electric maintains a "zero-tolerance" policy for workplace misconduct, a key focus of the Ethics & Compliance program. This program, overseen by the Chief Compliance Officer, is led by a dedicated HR Compliance team that defines and implements measures to prevent workplace-related issues. Locally, it is operationalized by Regional Compliance Officers under the supervision of their regional Ethics & Compliance Committees defining the local strategy.

Schneider Electric implemented in 2018 an Anti-Harassment Policy, serving as an employee manual to address and prevent misconduct violating the dignity of employees. In 2023, Schneider has deployed a new Anti-Harassment & Anti-Discrimination Policy which reinforces Schneider Electric's zero tolerance for any kind of harassment or discrimination in the workplace and sets forth clear rules and processes. Harassment can involve bullying, sexual harassment, physical harassment (also called violence), discriminatory harassment, psychological harassment, verbal harassment, and digital harassment. Discrimination occurs when someone is treated unfairly due to personal characteristics, such as disabilities, age, race, gender, religion, sexual orientation, marital status, and more. This policy is not aligned with any international standards due to the absence of a comprehensive global framework on the prevention of harassment and discrimination in the workplace. It is owned by the Group HR Compliance Officer and approved by Chief Governance Officer and Secretary General and Chief Human Resources Officer. It also reinforces employees' rights and responsibilities, notably regarding anti-retaliation. Managers and Human Resources Business Partners' roles have been highlighted as well as the possible reporting mechanisms.



[Read more on the Whistleblowing policy in section 2.1.1.3, on pages 40 to 40.](#)

2. Sustainability statements

Pay Equity Pledge

The principles of fairness, equity, ethics, and transparency are fully embedded in the Group's values. Employees are fairly compensated for their skills and contributions through reward policies and processes. Furthermore, Schneider Electric is committed in upholding a comprehensive compensation and benefits policy.

 [Read more on the compensation and benefits in section 2.3.1.2 on page 119.](#)

Schneider Electric has pledged to ensure fair compensation for equivalent work and has been overseeing pay fairness since 2015 using various methods and strategies. In 2021, the company made a pledge to Pay Equity as part of SSE #18, with the goal of achieving it by the end of 2025. Schneider Electric committed to attain and maintain a pay gap below 1% by 2025 for both females and males as per the internal methodology. An external company provides limited assurance on Pay Equity to ensure year-over-year progress toward closure of pay equity gaps. The pay equity reporting protocol is accessible to employees via the intranet and has been approved by the Senior Vice-President, Total Rewards & Performance.

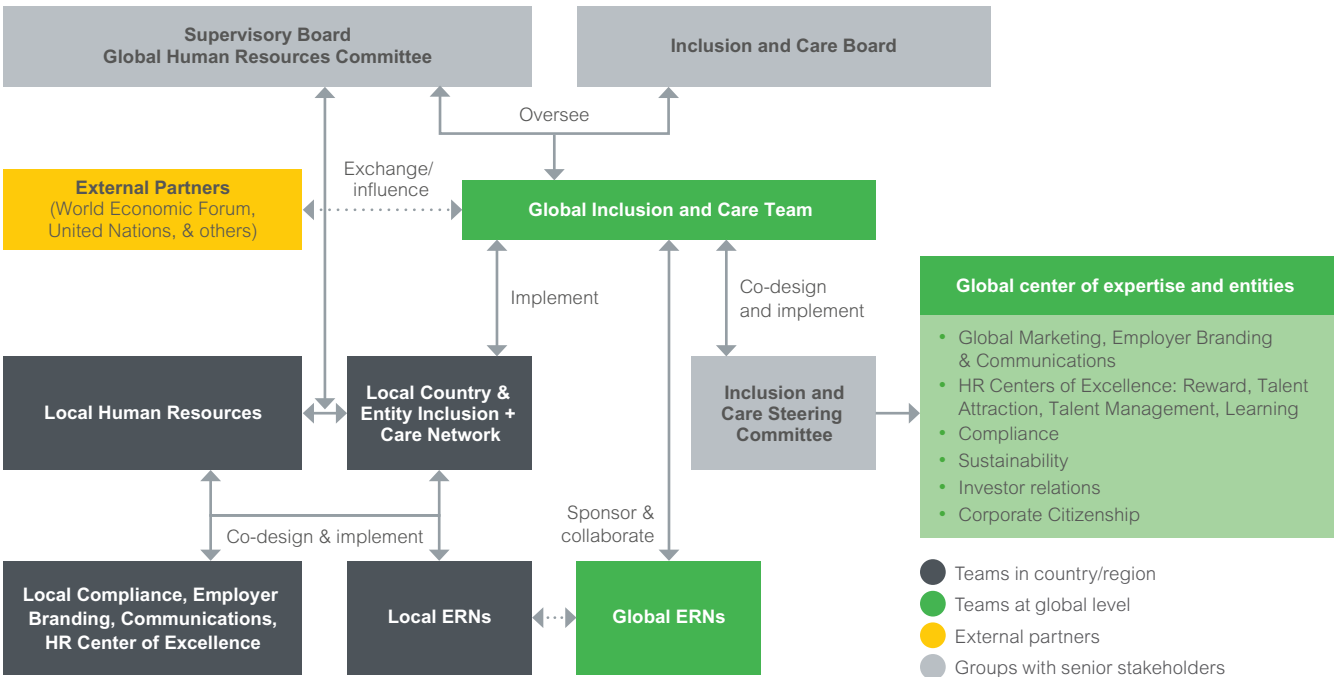
Governance

The implementation of Schneider Electric's Inclusion & Care strategy involves several different bodies and stakeholders, working hand in hand with the global team.

The Global Inclusion and Care team, reporting to the SVP Talent, Inclusion & Culture who also acts as the Chief Diversity Officer, defines the strategy and is accountable to deliver on Schneider Electric's transformation, working with the Group's Executive Committee and the Group Global Inclusion & Care Board. Progress and results of the ambition are also reported to the Board of Schneider Electric (Human Capital & Remunerations Committee and Governance, Nominations & Sustainability Committee) on an annual basis. The team works in close collaboration with the HR Centers of Excellence (Talent Attraction, Talent Management, Learning, and Rewards), and the Sustainability, Compliance and Risk Management, Employee Communications, and Marketing and Employer Branding teams, as well as with the broader ecosystem.

Schneider Electric's Global Inclusion & Care Board is a group of top leaders from all the Group's markets, sponsored by the Executive Committee, which acts as a sounding board for the Global Inclusion & Care strategy, and as internal and external Inclusion & Care champions. In 2025, the Inclusion & Care Board met four times to discuss topics such as gender and pay equity, discrimination and harassment, and accessibility.

Partnering inside and outside the organization



Schneider Electric entities develop local action plans based on the global strategy and employee feedback, while meeting local regulations and addressing country-specific needs.

To support the local focus, leaders, ambassadors, and champions have been appointed in more than 100 countries/zones and entities to develop and lead local action plans. This global network convenes bi-monthly to share progress and best practices.

Beyond this governance structure, all employees at Schneider Electric are held accountable through the IMPACT Values.

Action plans

Creating a standard of inclusion and care for all

The Group believes that there is no well-being without inclusion, and no sustainable performance without well-being. Inclusion means fostering respect, trust, and psychological safety, where every individual feels seen, heard, and valued. This conviction drives the bold and differentiating strategy of Schneider Electric: Inclusion & Care by Design.

The Group's Core Values, Leader's Code of Conduct, and Trust Charter ensure all employees, managers, and leaders are trained and held accountable to a standard of inclusion and care for all. Schneider Electric prioritizes health, safety, and well-being as foundational to thriving performance. This includes promoting smart working, simplifying ways of working to free up energy, and cultivating a culture of care - where people look after themselves and each other. When people thrive, they bring their best to work. #WorkSmartWorkWell. Also, the Group is committed to representing the diversity of the world in its teams and ensuring equal opportunities for success and growth. The group believes that transparency leads to greater trust, and drives better outcomes for all; and has committed to more transparency in data, ambitions, partnerships, and initiatives. To support cultural awareness and understanding, as well as celebrate the uniqueness of the Group's global teams, the Group hosts events, webinars, communications, and more for International Women's Day, Pride Month, Mental Health Day, International Men's Day, Global Accessibility Awareness Day, and International Day of Persons with Disabilities.

Inclusion and respect building programs

Building on the opportunity, as per the study from Harvard Business Review, to create an environment where employees feel included and cared for, the Group introduced the following actions:

- Uncomfortable Conversations: In 2025, a global and regional series of webinars was conducted to have open conversations on topics, such as performance and mental health, financial wellbeing, climate change, to create awareness, and educate the employees of the Group.
- E-learning: These initiatives are designed to increase awareness, understanding, and respect for different cultural backgrounds, practices, and perspectives:
 - Building an Inclusive & Caring Mindset is a global e-learning, mandatory for all new hires within Schneider Electric Core. The training helped employees explore what it means to build an inclusive and caring environment and why it matters that everyone belongs and thrives to help Schneider win. Employees get a first-hand look of different situations that employees could be facing, how they can respond, and how to get support for oneself and colleagues in cases of misconduct.
 - In 2025, the "Digital Upskilling" program "Digital Boost" which aims at preparing Schneider Electric's workforce for its digital transformation was leveraged to educate employees about digital accessibility. Over 50k employees leveraged the program to upskill themselves in 2025.
 - Unconscious Bias e-learning available to all employees to help understand what hidden bias means, explore clear steps to keep decision-making objectives, and how to call out bias when seen, and explore the importance of building a culture of respect, learn to recognize the different forms of harassment, and understand the actions to take (as employees and managers) when witnessing such conduct.
- Employee Resource Networks (ERNs): An ERN, is a voluntary, employee-led group based on a shared identity or experience and provides employees the opportunity to unite, share experiences, and provide mutual support in the workplace. ERNs foster inclusion and care within the Company's mission, values, and business goals. In 2025, Schneider Electric accelerated the global rollout of its Disability, Accessibility, and Allies (DAA) Employee Resource Network, with six countries: France, US, Canada, Mexico, China, and India, successfully launching their local chapters, now collectively representing approximately 60% of the global workforce of Schneider Electric.

2. Sustainability statements

Anti-harassment and anti-discrimination

To build a common understanding and alignment, Schneider Electric also created a mandatory training entitled “Building an Inclusive and Caring Mindset”. In addition, in 2024, the Group has deployed a “Prevent and manage harassment and discrimination” training for Human Resources Business Partners and managers, and some specific trainings were deployed in line with local initiatives to prevent sexual harassment in specific countries (e.g. India, Germany, Austria, Switzerland).

To enhance workplace-related alert handling, the Group introduced an updated e-learning in 2024 for its HR internal investigators, ensuring impartiality and consistent practices. The number of HR investigators was increased to bolster investigation capabilities across all regions, complemented by workshops in multiple geographies and a pilot mediation program in France. In 2025, this approach evolved into a structured onboarding and training program for all new HR investigators, including a mandatory e-learning module and a half-day workshop, followed by annual refresh sessions. A dedicated HR Investigators Community was also launched, with over 300 HR investigators, providing regional collaboration channels, access to reference materials, and quarterly workshops. Regular global and local engagement activities were introduced, with monthly monitoring to ensure completion and consistency across the network. In addition, HR processes were strengthened through background check updates to the Personnel Management Security Policy,

enhanced Hiring Guidelines with a focus on compliance (including re-hire processes), and the creation of a new Ethics & Compliance questionnaire for the Interview Guide Tool.

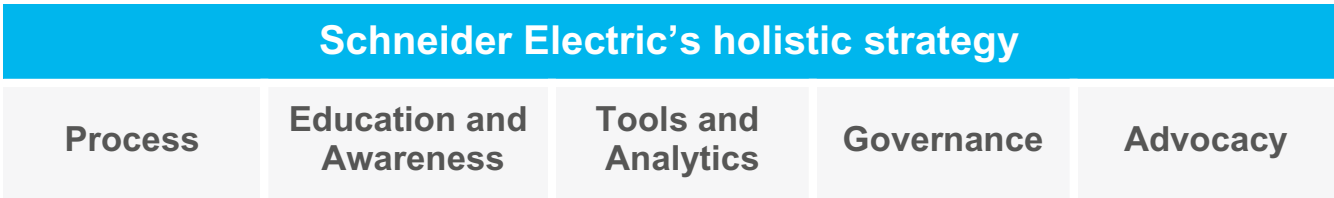
In 2025, a dedicated communication plan was carried out, promoting the Anti-Harassment & Anti-Discrimination Policy and raising awareness. A live webinar, entitled “Uncomfortable Conversation about Sexual Harassment” was hosted, discussing sexual harassment in the workplace and answering employee's questions. More than 4,000 employees attended the session. In addition, an Anti-Sexual Harassment Protocol was introduced to guide employees on how to react if they are victims or witnesses of sexual harassment. This was supported by a new e-learning module and the launch of an awareness video based on a real anonymized case, reinforcing practical understanding and engagement. In addition, Schneider Electric encourages the Speak Up mindset to allow employees and stakeholders to report any violations of the Group's ethical standards or any workplace-related concerns.

Diversity and equity, at every level

Schneider Electric is committed to representing the diversity of the world in its teams and ensuring equal opportunities for success and growth. Schneider Electric desires to reflect the world where humans are living in so that the Group can better serve its customers and clients. To ensure this, the Group aims to provide equal opportunities to all and makes talent decisions based on skills and qualifications for the role irrespective of any other identifying characteristics.

Pay Equity strategy

In support of advancing Pay Equity, the Company executes a holistic strategy to improve and maintain fair compensation while preventing creation of new pay gaps.



In execution of the holistic Pay Equity strategy, the Group closely monitors the salary offers of new recruits, salary adjustments from employee promotions, and other employee career movements. Continuous monitoring of pay equity status is made possible by the Pay Equity Dashboard and its resulting analytics. Additionally, managers and HR professionals are trained to be unbiased and mindful of every pay decision they make. Prevention of new pay gaps is supported by the Group's “Fair Pay Simulator” which was deployed to HR in 2023. The simulator provides visibility to pay equity positioning, enabling better pay decisions for recruit offers, promotions, and other salary adjustments. Since its launch, the tool has undergone several enhancements to further strengthen its effectiveness.

Since 2018, pay equity has been an integral part of the annual Global Salary Review processes, to address identified gaps.

Pay equity advocacy is another key aspect of the Group's Pay Equity strategy. Schneider Electric leaders advocate internally and externally for fair and equitable pay which further reinforces the Group's commitment to fair pay.

Fair and equitable talent processes

To mitigate the risk where employees do not have the same opportunity to grow and advance because a lack of fairness and equity in people processes, Schneider Electric is committed to transparent and equitable access to career opportunities, growth and development to the fullest potential, and equal pay for equal work for all its employees worldwide, depending on the cost of living.

Talent decisions are based on skills, values, performance, and potential, and the Group counts on each leader to be fair and equitable when making a hiring or promotion decision to help advance its overall goal to create a skilled and diverse workforce for the future. To check and mitigate hidden bias in its main Human Resource programs, the Group has built-in reminders and prompts for moments that matter, including recruitment, performance, and salary review processes.

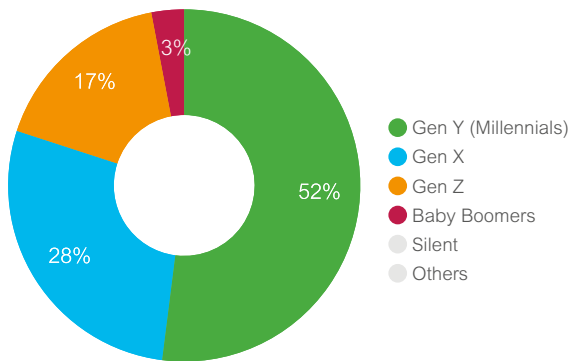


Read more on the compensation and benefits in section 2.3.1.2 on page 119.

Multi-Generation

Schneider Electric creates opportunities for future talent through apprenticeships, internships, and its global innovation challenge, Schneider Go Green. The Group fosters career growth for all generations with initiatives like Career Days, upskilling, coaching, and mutual mentoring. Schneider Electric is equally committed to supporting talent in the later stages of their career to have meaningful and fulfilling development, and to recognize and leverage their unique expertise and experience to boost learning and innovation across generations.

Generation Diversity⁽¹⁾



Origin, ethnicity, and nationality

Schneider Electric believes in a multi-local world with locally tailored solutions supported by teams across the globe to best meet its customers' needs with customization, quality, and speed. The Group's multi-hub model is key to delivering on this ambition with teams that represent diverse origins, nationalities, ethnicities, locations, and cultural backgrounds. The multi-hub model focuses on attracting and developing local talents for global and local roles, and ensuring leadership reflects the backgrounds present in local markets. The opportunity for Schneider Electric to be the "most local of global companies" with a balanced multi-hub footprint to enable customer proximity, innovation, speed, and collaboration are key differentiators for long-term success.

- 92% of Country Presidents are either local or regional talents.
- 54% of employees are in new economies; 31% of leadership roles.
- 183 nationalities are represented in the global workforce of the Group, across 102 countries.

Disability inclusion and accessibility

Schneider Electric is committed to promoting and including people with disabilities throughout its operations worldwide. In March 2022 the Group established the Global Disability Inclusion and Accessibility Office, addressing the needs of people with disabilities through a strategy of Inclusion & Care by Design, for people with disabilities. This is underpinned by global awareness and education about what is the largest minority group in the world, consisting of 1.3 billion people.

The Group focuses on all dimensions of disability: visible, invisible, permanent, and temporary. These include physical motor or physical health, sensory, cognitive, and neuro diversities, and psychological, emotional, or behavioral.

The Group's approach of "accessibility by design" creates holistic disability inclusion through four pillars:

- Customer First design: Accessible product, software, and UI/UX design.
- People, processes, and tools: Accessibility by design in all processes (recruitment, procurement), platforms, and tools.
- Brand and communication: For all events and communication – internal and external, digital, physical, and virtual.
- Physical workplace: Accessible buildings and workplaces applying universal design principles, local legislation, Global Schneider Real Estate standards, and the International Accessibility Standards.

The Disability Inclusion and Accessibility Office governance consists of two executive sponsors, the Chief Human Resources Officer, and the Chief Digital Officer, along with a Steering Committee of six executives covering all aspects of the Group's aforementioned pillars.

Building awareness and education on disability, inclusion, and accessibility is a key element to moving the needle. Schneider Electric ran two global campaigns in 2025: Global Accessibility Awareness Day in May, and UN International Day of Persons with Disabilities in December.

In 2025, to ensure equal opportunities, fairness, and a consistent experience for all, and to mitigate the potential for bias, as part of the annual employee engagement survey, Schneider Electric conducted a Self-ID campaign. Without Self-ID data, Schneider Electric has to make assumptions about the employee population and the talent processes, and thus limiting the representation efforts to gender. The Self-ID campaign was conducted in 2025 in Canada, Mexico, and the US. 37,294 employees responded, out of which 13% of employees self-identified as living with a disability, while 17% of employees preferred not to answer.

Schneider Electric's approach is grounded in the social model of disability, which recognizes that disability arises not from the individual's condition, but from the barriers the society creates for them, whether physical, attitudinal, systemic, or technological. These barriers limit full participation. Rather than focusing on "fixing" the person, the Group focuses on removing barriers to enable every employee to contribute meaningfully and perform at their best.

(1) Percentage rounded up to the unit; the silent generation represents 0.1%; This pie chart is out of scope for the sustainability statements (CSRD) and excludes data for both the United States and Canada.

2. Sustainability statements

This means Schneider Electric does not rely solely on legal definitions of disability. Instead, the Company takes a proactive and inclusive stance: if an individual is experiencing challenges in the workplace due to a condition or circumstance, the Group considers what adjustments can be made to support them. In some cases, this may go beyond local compliance requirements, reflecting the commitment of the Group to creating a truly inclusive and caring work environment for all.

That said, Schneider Electric France continues to lead in disability inclusion by exceeding the mandatory 6% (already 6.10% in 2024) quota and investing in comprehensive initiatives. These include awareness and education programs for all employees, accessible workstations to support employees with disabilities, partnerships to drive inclusive recruitment, and outsourcing to companies that employ people with disabilities. In addition, Schneider Electric Kingdom of Saudi Arabia earned official certification as an Inclusive Workplace for People with Disabilities from the Ministry of HR & Social Development, reinforcing the Group's commitment to creating equitable opportunities.

LGBT+ inclusion

Schneider Electric recognizes the lesbian, gay, bisexual, transgender, and intersex people (LGBT+) community and its members. The Group aims to build awareness and advocate for the community and wants its employees to be allies, playing a decisive role in creating an open and safe community where individuals are comfortable bringing their whole authentic self to work. While Schneider Electric entities must align with the Company's strategy described throughout the Inclusion Policy, countries have the flexibility to adapt the policy at country level according to local laws, market practice, perceived value to employees, and specific business requirements.

Schneider Electric is committed to the United Nations Free and Equal Standards of Conduct for Business on Tackling Discrimination against LGBT+ People, standing up for equal rights and fair treatment for LGBT+ people everywhere. Across the globe, Schneider Electric has also made public statements of support to advance LGBT+ inclusion. By adopting these standards, the Group pledges to respect and stand up for the human rights of LGBT+ workers, customers, and members of the public; to support its LGBT+ employees, further build inclusion in the workplace, and to prevent discrimination, including workplace discrimination, against LGBT+ people.

In 2025, as part of the annual employee engagement survey, Schneider Electric conducted a Self-ID campaign in Canada, China, and Mexico to better understand the employee demographics. 52,788 employees responded out of which 7% of employees self-identified as part of LGBT+ community, while 18% of employees preferred not to answer.

Global strategic partnerships

- United Nations GEF: Global platform uniting business, governments, UN bodies, and civil society to accelerate gender equality worldwide.
- United Nations Women's Empowerment Principles (WEPs). Schneider Electric became the first multinational Group to achieve 100% commitment to the WEPs across its global leadership team.
- WEF Global Parity Alliance: Cross-industry community sharing DEI best practices and research to improve parity outcomes. Schneider Electric endorsed the Good Work Standards (healthy, resilient, equitable workplaces).
- The Valuable 500 (V500): Coalition of 500 companies advancing disability inclusion; reporting on representation, objectives, training, ERNs, and digital accessibility
- Business Disability Forum: Network improving experiences for disabled employees and customers; co-developing a global inclusion assessment tool.
- Disability: IN, a leading nonprofit resource for business disability inclusion worldwide.

Targets and metrics

Cycle	Targets ⁽¹⁾	Detail
2021-2025	SSI #8	Increase gender diversity in hiring (50%), front-line management (40%) and leadership teams (30%)
2026-2030	Sustainability Impact 2030: Inclusion for all	40% of women in leadership

Gender balance ambition⁽²⁾

Schneider Electric began its journey to becoming a gender-balanced organization more than 15 years ago and has identified increasing the share of women in its workforce and leadership as a business imperative. To support this aim, the Group has stated ambitions on increasing female representation in the overall global workforce and seeks to engage all genders in the journey.

In 2021, Schneider Electric renewed its commitment to gender balance with SSI #8 aiming to increase gender diversity – with women representing 50% of all new hires, 40% of frontline managers, and 30% of senior leadership by 2025*.



Read more on the methodology of SSI in section 4.1.1 on pages 245 to 250.

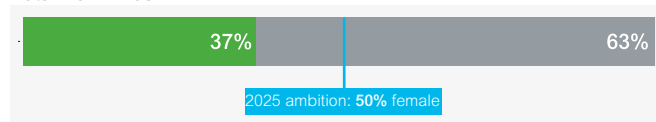
(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to **section 2.1**.
(2) From 2025 onwards, diversity targets are not connected to any incentive structure, and do not apply to countries prohibiting the establishment of such targets. The global SSI target has been restated accordingly. The gender balance metric is a global strategic ambition. It does not apply to territories that prohibit such ambition. The Schneider Electric policy is to always select the best candidate for any position based on skills, experience and potential (irrespective of their gender, age, origin, disability, appearance, etc...).

In 2021, the baseline was 41/23/24 – with women representing 41% of all new hires, 23% of frontline managers, and 24% of senior leadership. In 2025, women represented 37% of all new hires, 32% of frontline managers, and 32% of senior leadership. The gender breakdown table outlines the numbers for SSI #8, along with other elements.

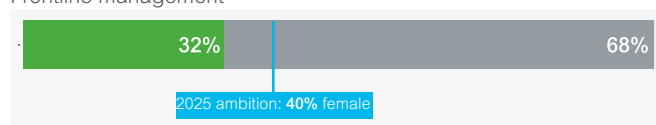
While significant progress has been made in the representation of women, especially on the Board and Executive Committee levels, the Group recognizes that there is more work to do at all levels in the organization.

Gender breakdown

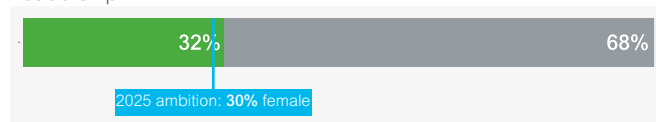
Total new hires⁽¹⁾



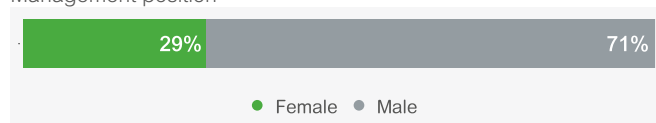
Frontline management⁽²⁾



Leadership⁽³⁾



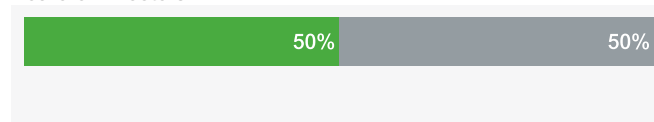
Management position



As the Group completes the 2025 cycle, a new ambition for 2026-2030 has been defined: 40% women in leadership positions.

This gender balance metric is a global ambition. It is not connected to any incentive structure, and does not apply to territories that prohibit such ambition. The Schneider Electric policy is to always select the best candidate for any position based on skills, experience and potential (irrespective of their gender, age, origin, disability, appearance, etc.).

Board of Directors



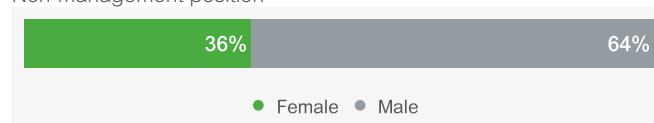
Executive Committee



Overall workforce



Non-management position



(1) Total New Hires – all new hires in 2025 (SSI #8)

(2) Frontline management – junior and mid-level management whose direct reports are individual contributors only. (SSI #8)

(3) Leadership – VPs and above, excluding direct reports to the CEO. (SSI #8)

Gender Distribution by Head Count

Number of leaders (head count) by gender	2025	2024
Female	422	405
Male	972	946
Other	–	–
Not reported	–	–
TOTAL EMPLOYEES	1,394	1,351

Gender Distribution by Percentage

Number of leaders (percentage) by gender	2025	2024
Female	30%	30%
Male	70%	70%
Other	0%	0%
Not reported	0%	0%
TOTAL EMPLOYEES	100%	100%

The two tables showcase the gender distribution in number of employees (head count and percentage) at top management level at Schneider Electric. Employees who are Vice Presidents and above, excluding direct reports to the Group CEO are considered as leaders.

Trainees, apprentices, and VIEs are excluded for the reporting 2025. The tables will show some variance when compared to the SSI #8 due to scope differences mentioned above.

2. Sustainability statements

Anti-harassment and discrimination metrics

At Schneider Electric, stakeholders may report potential violations of the Anti-Harassment & Anti-Discrimination Policy either by contacting an appropriate person in the Group and/or by using the Trust Line, Schneider Electric's whistleblowing system.

As part of the Speak Up mindset, and as developed in the Whistleblowing Policy, Schneider Electric employees have a responsibility to report potential unethical behaviors. To voluntarily report a potential violation of laws and regulations, and/or of the Group's Trust Charter and/or Group policies, whistleblowers can use all reporting channels available.

At Schneider Electric, internal stakeholders, may report concerns either by contacting an appropriate person in the Group (manager, HR business partner, Legal Counsel, or Compliance Officer) and/or by using the Trust Line, Schneider Electric's whistleblowing system. All the potential channels used should be, at the end, linked back to the Trust Line system as a consolidation tool of this type of information. Overall, case management is a structured process led by Ethics & Compliance team.

Incidents, complaints and severe human rights impacts	2025	2024
Number of incidents of discrimination – cases filed	1,500	1,122
Number of incidents of discrimination – cases validated	893	683
Number of incidents of discrimination – cases substantiated	392	233
Number of complaints – cases filed	2,869	2,319
Number of complaints – cases validated	1,707	1,371
Number of complaints – cases substantiated	734	N/A
Number of complaints filed to National Contact Points	0	0
Amount of fines, penalties, and compensation for damages as result of above incidents	k€210	k€280
Number of severe human rights incidents	0	N/A
Of which cases of non-respect of UN Guiding Principles and OECD Guidelines	0	N/A
Amount of fines, penalties, and compensation for damages as result of above incidents	€0	N/A

In 2025, no complaint was filed at the National Contact Points for Schneider Electric in 2025. Focusing specifically on reported issues of discrimination, harassment, and sexual harassment, the Group received 1,500 potential violations. Of these, 893 were determined to be valid. Additionally, among the cases related to discrimination, harassment, and sexual harassment that were closed in 2025, 392 were substantiated following investigation, for which appropriate actions have been taken. All these elements are reviewed and analyzed by the Ethics & Compliance team to ensure an improvement on this matter and to ensure equal treatment for all within Schneider Electric.

 Read more on the Whistleblowing policy in section 2.1.1.3 on [pages 40 to 44](#).

At the end of the year 2025, the Group Schneider Electric has fines, penalties, and compensation for damages as result of incidents of discrimination amounting to k€210. These incidents include harassment, sexual harassment, and complaints filed.

For more details about methodology and result of SSE #18 please refer to [section 2.5.1 CSRD Methodologies](#).



For more details about methodology and result about remuneration ratio please refer to [section 2.5.1 CSRD Methodologies](#).

Remuneration metrics

Remuneration metrics	2025	2024
Gender pay gap – Unadjusted	20.2%	22.1%
Gender pay gap – Adjusted	2.5%	2.0%
Remuneration ratio	111	95

Gender pay gap

The unadjusted gender pay gap shows the difference of average pay level between female and male employees globally without considering their country of work, level (grade), salary structure, role, or other factors. The result is affected by the purchasing power parity in the countries, differences in pay levels for different jobs based on different responsibilities between employees in each geography. Variations between the two years are attributed to refinements in the calculation and changes in the Group headcount.

The analysis of the gender pay gap for roles with comparable levels of responsibility within a country has also been conducted to calculate the adjusted gap: the data has been segmented by country and level (grade) to provide a more precise comparison of average pay levels between females and males. Each group (country and level) has been assigned a respective weight depending on the headcount, and the results have been calculated into one global figure as a weighted average.

0.04% of the population was not covered in the calculations above as their gender differs from female or male.

Remuneration ratio

Annual Total Remuneration Ratio measures the ratio between the level of compensation of the highest paid individual and the median compensation of the employees.

The slight variation in the Annual Total Remuneration Ratio between 2024 (95) and 2025 (111) results from a leadership transition that occurred in late 2024. Due to this change, the remuneration for the highest-remunerated role reflected compensation for one position from January to October 2024, and compensation for a different, higher-remunerated role only from November to December. In 2025, however, remuneration for the entire year corresponded to the higher-remunerated role, which explains the year-on-year change in the ratio.

2.3.1.5 Training and skills development

Impacts, risks, and opportunities

Training and skills development

Positive Impact **Improve employability**

In today's landscape, attracting, developing, and retaining talent is critical to sustaining business success. Schneider Electric is committed to a robust workforce and talent strategy that integrates development, recruitment, and external partnerships to strengthen future readiness and cultivate a culture that supports sustainable careers for all employees. At the same time, continuous learning and upskilling programs enhance employee employability, empowering individuals to grow, adapt, and meet future business challenges.

The risk of not attracting, developing and retaining the best talent in the market, especially for critical skills, would have an impact in terms of:

- Cost of recruiting and onboarding;
- Gaps in critical skills to drive growth and innovation and to stay ahead of the competition;
- Succession pipeline for critical expert and leadership positions; and
- Schneider Electric's employer brand.

Policies

Programs

Signature policies and programs from the Group include:

- A robust talent management system to review annually the development plans for all employees, identify key talent such as experts and high potentials, prepare key successions and developments via local and global talent reviews, and make talent selections through People Committees (including for executive positions).
- An annual performance management and development approach with fair, transparent, and competitive rewards and development, supported by regular meaningful career conversations.
- A digital ecosystem powered by AI, Schneider Career Hub, that democratizes access to development opportunities for employees, including internal mobility, projects, and mentoring, with skills at the core. It provides clarity in career development and supports upskilling to build future-ready capabilities.

- A refreshed Career Moves Policy that establishes clear standards and governance for internal mobility, enhancing transparency around key criteria and decision-making guidelines, and placing skills as the primary driver and reinforcing employee ownership in career development.
- Learning and development programs for employees at different stages of their professional career and specific talent segments (e.g., Digital, AI, Software, Services, Electronics, Commercial, Supply Chain, and Sustainability), with a strong focus on digital and human skills, commercial excellence, leadership, technical, and functional expertise.
- A Global Flexibility@Work Policy and a balanced multi-hub footprint to enable its employees to have more flexibility and manage their unique life and work in the way that works best for them.
- A robust talent attraction strategy to acquire the right skills from the market with focus on building talent pipelines, modernizing the talent acquisition ecosystem, data driven sourcing and a personalized candidate experience.

These key policies and programs ensure the investment in the attraction, upskilling, and development of talent at all levels, creating equitable opportunities and the right environment for employees to learn and grow, while empowering them to own their career. Along these lines, Schneider Electric has reflected this commitment through two of its six long-term sustainability goals – create equitable opportunities and harness the power of all generations – and formalized this in its Trust Charter (Schneider Electric's Code of Conduct) within the Trusted Teams chapter.

Governance

The Executive Committee regularly discusses the overall health of the global workforce, leadership pipeline, and succession strength for top positions, including during the monthly Executive People Committee and the year-end global talent reviews with the CEO and Chief Human Resources Officer. In addition, the Executive Committee meets regularly to make critical selection and succession decisions and review specific talent attraction and development strategies, for example, expert talent, digital talent, and global top potential talent. This is supported by integrated HR information systems and analytics platforms which provide data and analysis in the areas of workforce planning and talent management. In addition, regional, business, and function People Committees also meet regularly to review talent in their perimeter.

Action plans

Schneider Electric believes that all its employees are talent and deserve equal chance of opportunity. The company empowers them to grow to their fullest potential, developing new skills and building careers for today and tomorrow, enabled by the Group multi-hub organization model. Establishing a strong brand as an employer, the promise to current and future employees is communicated through the Employee Value Proposition "Impact starts with us", driven and anchored by a meaningful purpose. In addition, the Group invests in learning and development for the wider ecosystem, including universities and schools, partners, customers, and the wider community.

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The Group has developed a two-pronged approach to talent development, in order to prepare the workforce of the future – for all employees and for specific target groups. Most activities are driven through an annual People Calendar, which is adopted globally to ensure that development is accessible to all employees.

- For all employees, the Group ensures there are tools and processes in place to set individual performance and development goals, and to access learning and development opportunities for their current role, as well as to prepare themselves for diverse career paths around the world. Curiosity and Mastery, as two of Schneider Electric's IMPACT Values, set the tone for employees to be open to new challenges, embrace a Learn Everyday mindset, and proactively build their expertise through continuous upskilling for themselves, their teams, and their communities.
- In the OneVoice employee survey, 80% of employees responded favorably to being able to renew their skills through learning and development opportunities.
- For specific groups of talent, there are targeted skill acquisition and development programs to support Schneider Electric's commercial, digital, and leadership transformations and to equip its blue-collar workers for the supply chain of the future. There is a strong focus on high potentials, expert talent, and employees at different career stages, including early career talent and those who are in a later stage of their career. An annual talent review process operates across the Group to help ensure that key talents, including high potential and technical and digital expert talent, are identified, recognized, and supported with targeted development paths and

Schneider Electric also places strong emphasis on the role and accountability of its leaders and people managers, as they are the architects of the business and culture. Their role is vital to help take the company to the next level.

The 2021 Culture & Leadership survey of around 2,000 Schneider Electric leaders, started in 2017, validated steady progress on the overall Group leadership and culture transformation. Key strengths include strong ethics and integrity, sense of purpose, and customer focus, as well as a positive spirit and willingness to go above and beyond. The evolution of the Leadership Driver Score in OneVoice results shows a strong 14-point increase from 61% in 2012 to 75% in 2025.

At Schneider Electric, leadership is not only about guiding the business direction - it's also about shaping the culture that drives its collective success and cultural transformation. It is essential that leaders embody Schneider's IMPACT Leader Code, which is built on three commitments: Invent the Future, Deliver the Mission Together, and Build Great Teams.

Schneider Electric also recognizes that leaders do not achieve in isolation, and that growth is always a team effort. One of the most effective ways to support leaders to own and act on the IMPACT Leader Code commitments is by giving them timely and constructive feedback, which enables their continuous development, growth, and upskilling. Because great leaders bring out the best in their people - and it works both ways.

Therefore, in 2025, Upward Feedback process has been modeled around the IMPACT Leader Code commitments, and launched exclusively to VPs, SVPs, and EVP members, serving as a compass for their development. In 2025, over 800 (78%) of these leaders opted-in to participate in Upward Feedback.

Upward Feedback allows eligible leaders to gather confidential and aggregated input from their direct and functional/project reports through a brief questionnaire based on the IMPACT Leader Code. The resulting report offers insights into their strengths, growth areas, hidden potential, and blind spots.

Attracting talents to shape the workforce of the future

In 2025, the Company focused on four key areas to strengthen its ability to attract the right skills from the market:

- **Building talent pipelines:** Schneider Electric's Brand to Hire strategy builds strong talent pipelines by linking early attraction to hiring outcomes. Through its Candidate Relationship Management platform, the company nurtures candidates and maintains engagement throughout their career journey, ensuring access to top talent and critical skills aligned with business priorities.
- **Modernizing the Talent Acquisition Ecosystem:** A refreshed, digital-first approach simplifies the candidate experience, offering borderless and self-paced opportunities that promote equity and accessibility for all applicants.
- **Leveraging Data to Attract Top Talent:** By applying standardized practices in Talent Intelligence, Schneider Electric uses data and external insights to make proactive decisions about where and how to source critical skills - accelerating hiring, improving talent quality, and maintaining competitiveness in key markets.
- **Personalizing the Candidate Experience:** Schneider Electric delivers personalized, timely communication throughout the candidate journey, reinforcing its employer brand and increasing offer acceptance rates. This commitment has earned the Company the prestigious Candidate Experience Award (CandE) across all regions.

As part of SSI #10, Schneider Electric's five-year goal is to double the growth in the early career "next generation" pipeline. This will be accomplished through Schneider Electric's Brand to Hire strategy, shifting from traditional methods to more digital, borderless, and self-paced approaches to promote fairness and attract those interested in Schneider Electric and sustainability.

The updated University strategy of the Group will balance global programs, strategic university partnerships, and country-specific initiatives to achieve this.

Key initiatives in 2025:

- Go Green Competition: Engaged 11,500 students and collected 1,000 sustainability-focused ideas in partnership with Access to Energy programs.
- Early Career Programs: Graduate programs, internships, apprenticeships, and co-ops with structured training paths.
- Targeted University and Technical School Engagement.
- Campus Engagement: Hybrid approach combining virtual fairs, webinars, office tours, and mentoring; expanded partnerships with technical and trade schools to build technical talent pipelines.

Achieving ambitious impact together

Schneider Electric's approach to performance management is anchored by the Group's Employee Value Proposition "Impact starts with us" and it is a key enabler to its collective success and demonstration of its IMPACT Values.

At the heart of this culture is the belief that everyone is a talent and has the potential to be an Impact Maker, translating their goals into real actions through meaningful discussions, feedback, coaching, and recognition. Impact is not measured solely by activity, but the outcomes which benefit customers, the business, or the team.

Employees' overall impact is assessed considering the following three dimensions equally:

- Individual behaviors aligning with IMPACT Values.
- Individual achievements.
- Contributions to others' success.

Schneider Electric employees are encouraged to seek, give, and receive feedback, empowering them to take ownership for driving their individual impact. Managers are encouraged to have regular, agile, and meaningful conversations throughout the year with coaching, feedback, and recognition while revisiting goals and priorities. Managers set team goals aligning with the collective team priority to win as a team and achieve together. In 2025, 99.09% of eligible employees⁽¹⁾ completed a performance and development review.

Enabling sustainable careers

The Group recognizes that its people are their greatest competitive advantage and equipping them with the right skills is the key to leading the energy technology industry and accelerating innovation and performance. The Group encourages employees to build a sustainable T-shaped career by striking the balance between deepening their expertise in different domains and broadening their skillset through experiences in diverse contexts to increase their impact. This will help them keep themselves relevant and marketable in a rapidly changing world.

To empower and engage employees with this approach, Schneider Electric held its fifth edition of "Career Days" for all employees in 2025. Under the theme "From insights to impact: Understand, shape, build, and grow your career" over 100 events took place with participants from 100+ countries; getting inspired by diverse career stories, learning about skills and market trends, having career conversations, and being equipped with tools and resources to develop, grow, and shape their future.

94% of employees surveyed were positive about the program, highlighting that it helped them reflect on their career aspirations, encouraged them to own their career, and inspired them to build a more sustainable career. The Career Days theme, design, and activities are shaped each year by Schneider Electric's strategic people priorities and by employee feedback gathered through the annual engagement survey and the targeted Career Development survey.

Schneider Electric harnesses the power of all generations by promoting lifelong learning, upskilling, and development for everyone – from new graduates to experienced employees. The Group offers a range of career development programs that support talent at every stage and help build a strong pipeline for the future.

In 2021, Schneider expanded its approach by launching the Senior Talent program, recognizing the unique expertise and value of employees in the later stages of their careers. The program empowers them to design their next chapter through meaningful career conversations and personalized development plans, supported by opportunities such as new contractual options, upskilling, knowledge transfer, career pivots, recognition, care, and personal planning.



[Read more on the SSE #23: Provide meaningful development program for at least 90% of employees in the later stages of their career in section 1. on pages 13 to 16.](#)

The program was recognized by the OECD in their brief on Career paths and engagement of mature workers and won 2 Bronze Awards at the 2025 Brandon Hall Group Excellence Awards in the categories Diversity, Equity & Inclusion and Career development.

The Group strengthens this commitment through Sustainability Impact 2030 by aiming for 100% of senior talents engaged in their own development or on the development of others.



[To learn more about the program see the Senior Talent white paper and section 3.2.5 Future Ready program on page 230.](#)

(1) This includes employees whose employment status is active (or suspended, which is country specific), who are on permanent/ fixed term contract type, who are information workers, and those who were hired on or before September 30, 2025, in addition to country or entity specific conditions. This indicator is not from the CSR D.

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Boosting expertise and knowledge across the organization

Schneider Electric strongly believes that its position as an energy tech leader is driven by the innovative contributions of its skilled and expert employees.

The Electrifier program recognizes employees with remarkable achievements, expertise, and leadership, offering them opportunities to contribute to strategic business drivers in realms such as technology, innovation, strategy, supply chain, digital, and operations, while empowering them to make the most of their careers. The program is structured around four business streams (Create, Sell, Supply, Service), 28 Domains of Competencies, and is articulated around three levels of expertise: Electrifier, Senior Electrifier, and Fellow Electrifier. This setup was designed with the objective of bolstering the core of Schneider Electric's business, while pioneering advancements on Electricity 4.0, Industry 4.0, and its Sustainability Solutions.

The Electrifier program offers a streamlined application process, a tailored development plan, career prospects, and an evolving reward system in tune with market dynamics. It cultivates a vibrant, global community dedicated to transforming innovation into influential business outcome. Their Open Innovation Platform enables Electrifiers to collect innovation ideas, connects them to turn those ideas into reality and inspires the Group's leaders to make a visible impact together.

The Group actively promotes a learning and teaching culture by developing its internal trainer capability to foster curiosity and a Learn Everyday culture. To systematically boost expertise and institutional knowledge, investment was made in a global community of internal trainers through a focused cycle of recognition, development and connection. This strategy transforms individual mastery into collective organizational capability. In 2025, the Company connected over 3,500 certified trainers through a virtual "Igniting Curiosity" event, fostering peer learning and innovation. This empowered community delivered over 13,000 sessions, directly reaching 86% of its global workforce – creating a scalable and embedded engine for organization-wide upskilling.

As a core enabler of Schneider's 3E holistic learning strategy, the Communities@Work program accelerates upskilling by fostering peer-to-peer knowledge sharing and social learning. This scalable ecosystem connects employees to share critical expertise, directly strengthening its organizational agility and creating a continuous learning culture.

Key 2025 advancements strengthened this ecosystem and its strategic impact, and over 1,100 leaders now drive engagement through this network. Supported by clear governance and aligned with the Company's innovation agenda, Communities@Work has become a proven, scalable mechanism for sustaining knowledge flow and building a future-ready workforce.

Upskilling for today and tomorrow at scale

Upskilling @Scale: Advancing workforce capabilities in 2025

In 2025, the Company strengthened its Upskilling @Scale strategy, an enterprise-wide approach to accelerate skill development in line with business priorities and technological transformation. This shift emphasizes a skills-first, business-integrated model, embedding learning into daily work and focusing on critical capabilities for emerging roles.

Key achievements:

- Employees averaged 23⁽¹⁾ hours of learning, covering compliance, culture, and skill-based training aligned with individual and organizational goals.
- Expanded access and scale through Coursera, offering 10,000+ courses from 200+ institutions to all active employees. By year-end, 38% of employees had engaged with Coursera, reflecting strong adoption and interest in self-directed learning.

Complementing this broad access with Coursera, the global academies and learning teams also deployed dedicated upskilling programs for key workforce segments such as Sales, leadership and Global Supply Chain employees, as well as for critical skill areas like digital and AI. These targeted interventions, developed in partnership with business leaders were guided by a robust skill architecture and supported by data-driven insights to ensure relevance and impact.

(1) **Calculation:** Total Completed Training Hours (2025) ÷ Number of Employees with >0 completed training hours ('In-Progress' hours are excluded from this calculation). This indicator is not part of the sustainability statements (CSRD).

Key programs focused on critical skill upgrading include:

 Program title	 Target audience	 Program description and desired business benefit	 Quantitative and Qualitative Impact of the program
SkillUP@Scale for Sales	Over 16,000 sales employees worldwide. In Q4 2025, Schneider Electric launched the Skill UP Next Gen, upgrading the SkillUp program to become an AI-powered solution that personalizes training for its sales team. This next-generation program integrates modular learning, AI-driven coaching, and actionable insights to support sales enablement goals and drive market saturation across the augmented sales force.	Customer-centric commercial transformation remains a strategic priority, to drive sustainable and profitable growth through the development of high-impact sales capabilities. Skill UP is a fully digital learning platform embedded within the CRM to promote learning in the flow of work. It accelerated the company's digital transformation and strengthened consultative selling practices. With Skill UP Next Gen, the Group has now introduced a future-ready solution, aligned to its ambition to become a skills-based organization. Beyond core sales skills, the platform expands its upskilling scope to include: • Customers and their ecosystems. • Offers and technologies. • Governance and tools. Skill UP Next Gen delivers modular courses tailored to country-specific growth priorities, enables sellers to learn through AI-supported role plays and commercial coaching, and provides actionable insights for learners, managers, and enablement teams to guide development.	Skill UP global deployment impact • Over 75% of sales employees engaged with SkillUP for learning and upskilling. • Learners demonstrated a measurable skill improvement of +5 points across programs. • Net Promoter Scores (NPS) ranged from 21 to 34, indicating strong learner satisfaction. Skill UP Next Gen rollout The progressive deployment of the new augmented upskilling solution began in Q4 2025. Its impact will be assessed through actual business outcomes captured in the CRM throughout 2026.
CoMET—Competency Management for Global Supply Chain	The program targets 11,000+ Global Supply Chain employees across 150+ sites worldwide.	The CoMET (Competency Management) program is designed to align employee skill development with global business strategy by assessing and building competencies across roles. It translates organizational skill needs into structured development plans that empower employees to succeed. Through an end-to-end process, CoMET maps required skill sets to specific roles and conducts targeted assessments. These assessments identify expertise and competency gaps, which then inform personalized learning plans to support upskilling in critical areas. Additionally, CoMET enables certification of experts across various domains. Under a defined structure, certified experts mentor others, fostering expertise in targeted skills. This approach strengthens site autonomy and builds a self-sustaining expert network, enhancing operational efficiency.	The CoMET program has been rolled out across Schneider Electric's entire Global Supply Chain (GSC), building a robust network of certified experts to enhance its manufacturing and logistics capabilities. Key achievements to date: • A Global Expert network: 7,600 employees certified, creating a deep bench of specialized knowledge. • Digital Upskill: 87% assessment coverage achieved, certifying 888 experts across 9 digital domains. • Technical Excellence: 90% assessment coverage achieved, certifying over 2,000 experts across 130 technical competencies.

2. Sustainability statements

Key programs focused on critical skill upgrading include:			
 Program title	 Target audience	 Program description and desired business benefit	 Quantitative and Qualitative Impact of the program
Building Great Leaders (BGL)	The BGL program is designed for all people managers in the Company, spanning three levels: • L1: First-Time Managers. • L2: Experienced frontline Managers. • L3: Managers of Managers.	Launched in 2019, the BGL program was designed to develop people managers and shape the Company's leadership culture. It established a unified framework for leadership behaviors, equipping managers to navigate diverse leadership challenges based on their experience and maturity. BGL includes three chapters combining online modules, live virtual or in-person sessions, 360° assessments, peer learning pods, and application-based learning through the Bring Your Own Challenge (BYOC) approach. While the format remains consistent across three leadership levels, L1 (First-Time Managers), L2 (Experienced Frontline Managers), and L3 (Managers of Managers), the content is tailored to meet the specific developmental needs of each level, aligned with the Company's IMPACT Values. Core capabilities developed include trust, feedback, coaching, delivering results, empowerment, and well-being. BGL was successfully scaled globally. The program is delivered locally across territories and offered in seven languages. Outlook 2025 and beyond In response to evolving internal and external dynamics, BGL is undergoing a redesign with a new partner. A refreshed version is set to launch in 2026, continuing the Company's commitment to leadership excellence.	Building expertise for the "Be Green Sites" initiative To directly support the Group's most business-critical sites, the "Be Green" initiative monitors expertise coverage in key skill domains: • Digital Be Green: 89% coverage at 88 key sites. • Technical Be Green: 85% coverage at 62 key sites. • Product Knowledge Be Green: 99% coverage at 52 key sites. This structured approach ensures that targeted skill development is aligned with the Group's business needs, while fostering a robust expert network across the organization. BGL has driven leadership growth for over 8,400 managers through 481 cohorts, a success demonstrated by a consistently outstanding Net Promoter Score (NPS) of 8.5/10 across all levels and programs. Participant feedback highlights: • 80% reported overall satisfaction. • 87% indicated they are likely to apply the learning to their job. • 83% felt the program positively impacted their daily work. • 79% found the content relevant to their role. Facilitator-led sessions in Chapter 2 received an average rating of 9.1/10, reflecting high-quality delivery across both virtual and in-person formats. Qualitative feedback consistently highlights appreciation for the program's content, application-based learning through BYOC, and facilitation excellence. BGL's global reach, deployed in over 80 countries, underscores its scalability and relevance across diverse leadership contexts. In 2024, India received the Gold Award for the Best First-Time Manager program, with BGL recognized as a key learning initiative contributing to this achievement.

Key programs focused on critical skill upgrading include:

 Program title	 Target audience	 Program description and desired business benefit	 Quantitative and Qualitative Impact of the program
Digital and AI upskilling	Digital and AI upskilling programs were rolled out to over 145,000 employees, with digital skills targeted at all white-collar roles and AI learning extended across all employees.	This initiative encompasses two interconnected programs designed to future-proof the entire workforce by building digital capabilities and AI fluency. It combines abroad Digital Upskilling program (focused on six core digital domains) and a targeted AI Upskilling@Scale program to embed AI capabilities across the organization. The learning journey is structured to guide employees from awareness to mastery through a blend of internal and external resources: • Foundation and assessment: Digital Boost: A gamified diagnostic tool that helps employees assess their digital skills across six areas: Data, AI, Cybersecurity, Digital Tools, Technologies, and Digital Mindset. • Personalized learning paths: Based on assessment results, employees receive tailored training recommendations. • Core learning modules: – Digital Upskilling: Offers a wide range of courses, from foundational knowledge to specialized deep dives via platforms like Coursera. – AI Upskilling@Scale: Features "AI for ALL Essentials" for baseline literacy, plus four tailored learning paths for Experts, Business Stakeholders, All Employees, and Leaders. Followed by hands-on learning experiences such as Promptathons, Copilot for Web sessions, webinars, and Tech Talks to integrate AI into daily work. • Support and enablement: – Digital Skills dashboards: Individual dashboards for employees to track progress, and manager dashboards to visualize collective skills and drive talent readiness. – AI Adoption champions: A network of 1,000+ champions to drive local activation and peer-to-peer learning.	The integrated programs have fostered a culture of continuous learning for digital adaptability and AI-fluency, yielding significant quantitative and qualitative results. Wide reach and engagement: • Over 56,000 employees completed the Digital Boost assessment, followed by more than 112,300 training courses on digital topics, taken by approximately 50,000 employees. • More than 142,000 employees (99.1% of the workforce) completed "AI for ALL Awareness" training, with a high satisfaction score of 4.8/5. Deepened expertise: • 51,800 employees advanced to complete additional AI training (moving from awareness to mastery). • Over 16,000 participants engaged in hands-on Copilot and Promptathon sessions. • Over 24,000 participants joined Data&AI Talks Webinars to discover value generated with AI. Organizational impact: • Accelerated adoption: Created digital adaptability and systemically embedded AI fluency across all business units and geographies. • Data-driven management: Provided managers with actionable insights for talent development via the Digital Skills dashboard. • Inclusive growth: Extended digital learning to blue-collar employees, ensuring equitable access to skill development. • Strategic alignment: Supports the Company's sustainability goals and empowers employees as Digital Citizens. • External recognition: The AI Upskilling@Scale program earned a Silver Award from Brandon Hall Group for its learning impact.

2. Sustainability statements

A digital ecosystem to enable development opportunities for all

Schneider Career Hub is the Group's new AI-powered platform for career development – a one-stop shop to understand, shape and grow careers at Schneider Electric. It builds on the success of the Open Talent Market (OTM), and replaces it with improved technology, more integrated and personalized experience that enables employees to grow their skills, and careers with purpose.

Through Schneider Career Hub, employees can explore career paths, discover learning opportunities, and connect with internal job opportunities aligned to their skills and aspirations. This reflects Schneider's commitment to a future where skills create opportunity, and every employee is supported in owning their growth. It is the first step in a broader transformation that places people skills, growth, and future-readiness at the center of how Schneider work and lead.

 [Read more on the SSE #21: Increase 4x the number of employee-driven development interactions on the Open Talent Market \(OTM\) in section 1. on pages 13 to 16.](#)

In 2025, Schneider Electric advanced its transformation into a skills-based organization by strengthening a connected learning ecosystem. At its core is My LearningLink (MLL), a global platform offering personalized digital and classroom learning, accessible on desktop and mobile. Shop floor employees benefit from Digital Learning Corners, ensuring equitable access. This learning ecosystem extends beyond employees, reaching a vast global audience of partners and customers through the mySchneider Partner Portal, where learning resources are actively utilized worldwide.

Targets

Cycle	Targets ⁽¹⁾	Detail
2021-2025	SSI #10	Double hiring opportunities for interns, apprentices, and fresh graduates
	SSE #21	Increase 4x the number of employee-driven development interactions on the Open Talent Market (OTM)
	SSE #22	>90% of employees undergo digital upskilling through the Digital Citizenship program
	SSE #23	Access to meaningful career development programs for >90% employees during later stages of their career
2026-2030	Sustainability Impact 2030: Inclusion for all	100% of senior talents engaged in their own development or development of others

In line with its ambition to build a highly skilled workforce enabled by technology, the Group has set some ambitious targets to be achieved by 2025:

- SSI #10: Double hiring opportunities for interns, apprentices, and fresh graduates.
- SSE #21: Increase 4x the number of employee-driven development interactions on the Open Talent Market (OTM).
- SSE #22: >90% of employees undergo digital upskilling through the Digital Citizenship program.
- SSE #23: Access to meaningful career development programs for >90% employees during later stages of their career.

In the continuity of this ambition to build a highly skilled workforce, the Group has also set an ambitious target to be achieved by 2030: having 100% of senior talents engaged in their own development or on the development of others.

 [Read more on the methodology and results of SSI in section 4.1.1 on pages 245 to 250.](#)

 [Read more on the methodology and results of SSE in section 4.1.2 on pages 250 to 255.](#)

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to **section 2.1**.

2.3.2 Sustainable relations in the value chain | ESRS S2

2.3.2.1 Overall strategy

Impacts, risks, and opportunities

Working conditions (in the value chain)	
Negative Impact	Affect the mental health of value chain workers
	Risk detriment to the physical health of value chain
Positive Impact	Contribute to the well-being of workers in the value chain by promoting responsible & ethical working conditions
Health and safety (in the value chain)	
Negative Impact	Injury to workers in the value chain
	Value chain workers exposure to chemical, biological and physical agents resulting in adverse health impacts
Forced labor (in the value chain)	
Negative Impact	Jeopardize fundamental human rights and damage the physical or psychological integrity of workers in the value chain

The analysis of key opportunities takes place notably during the creation of a new SSI.

It shows the following impacts:

- Forced labor and other labor rights abuses in the value chain, in particular for migrant workers.
- Non-decent working conditions in the value chain, in particular concerning health and safety, excessive working time, or wages below local living wage levels.
- Mental health risks, which are increasing as anxiety levels rise about the future of work and life amid disruptions globally.
- Safety of customers and end-users due to quality offer risk.
- Discrimination and harassment in the workplace, augmented by the risk of population displacement due to climate impact is a growing risk.
- Continued employability may be jeopardized as the disruption of office and factory work by new digital technologies could lead to poor working conditions in the value chain, ultimately affecting the mental and physical health of workers.

Context

Global supply chains power the economy, yet many workers lack fair wages, safe conditions, and social protections. Geographic and governance disparities amplify these risks, impacting families and creating systemic vulnerabilities. The United Nations Guiding Principles (2011) set clear expectations for corporate accountability, but challenges persist, as International Labour Organization (ILO) reports 28 million people in forced labor in 2021. Armed conflicts, climate change, and technological disruptions further threaten workers, business resilience, and societal stability.

In response to these challenges, Schneider Electric has built over the years an extensive framework of policies, processes, and special interventions, that the Company is continuously improving based on the learnings acquired along the way.

Description of supply chain

Owing to the location, size, and nature of the Group's operations, its supply chain is impacted by climate change, resource scarcity, and human rights issues across the world. While the impact of Schneider Electric's own operations is relatively limited, the footprint of its wider supply chain is more significant as millions of more workers are involved in the upstream value chain than employed in the Company and affected by the evolving trends.

Geographical spread of the supply chain

The Group's supply base is spread across four major geographical regions, almost in an equal manner, namely:

- North America
- Europe
- China
- International region, consisting of IMEA sub-region (India, Middle East, Africa) and EAJPS sub-region (East Asia, Japan, Pacific, South America)

Sectoral spread of the supply chain

Schneider Electric purchases various goods that will become part of the finished products: raw materials such as copper, steel, plastics, or aluminum; electrical and electronic components; and fabricated components. The Group also purchases goods and services which are not related to the products but supporting the operations of the Company. Each of these four purchases categories imply specific risks for the workers in their supply chains as described below:

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- **Raw materials:** Schneider Electric works with a diverse set of raw materials companies, involved in primary or secondary processing of the materials. The workers in this value chain are primarily working in a factory/heavy manufacturing setup along different stages of raw material processing up to finished goods and involved in managing distribution centers and warehouses. The workers in this category are often exposed to extreme work environments, including working in high temperatures, noise, and vibration, and working with heavy equipment or chemicals. The workers in this category are at risk of physical injury and other occupational health and safety concerns due to prolonged exposure to extreme work environment.
- **Electrical and electronic components:** The companies in this category are often working in manufacturing units involved in the assembly of various sub-electronic components and associated manufacturing processes. These include a variety of semi-conductor modules, passive components, displays, connectors, cords, relays, etc. The distributors form an important category of suppliers in this segment as well. The workers involved in this segment often work in closed, artificially lit environments, doing repeated actions over a prolonged period. The machine and equipment used are relatively smaller in size, hence closer attention is required during the work. The nature of operations may also include occasional exposure to harmful emissions associated with chemicals used or processes and musculoskeletal impact of repeated actions over prolonged period.
- **Fabricated components:** The fabricated components are parts manufactured using raw materials or semi-finished materials by deploying a variety of processes. These operations involve working with a variety of machines in a manufacturing setup. This segment also employs exposure to high noise, vibration, surroundings, and use of machines doing a variety of mechanical operations. The health and safety impact due to continued exposure to such work conditions and physical injury are key concern areas owing to the nature of operations.
- **Indirect procurement and services:** These are often companies which provide the services, equipment, or infrastructure that are critical for Schneider Electric in discharging its operations. The companies in this segment come from a variety of contexts including software, hardware, marketing and communications, travel, legal, etc. Due to the diverse context, the workforce involved is a mix providing generic services such as housekeeping to highly specialized services such as advisory, and segments across manufacturing and commercial activities.

2.3.2.2 Policy framework guiding sustainability in the value chain

Human Rights Policy

Schneider Electric's Global Human Rights Policy was last updated in 2025 and approved by the Group's Chief Executive Officer. It is articulated around three principles.

1. Schneider Electric is committed to fully respecting and applying laws and regulations in all countries where it operates.
2. Schneider Electric is committed to fostering and promoting human rights throughout all its operational sites and subsidiaries worldwide.

3. Schneider Electric supports human rights beyond its borders, leveraging its large network of partners and stakeholders to promote the implementation of actions that will ensure the respect of people's rights.

The Human Rights Policy's objective is to define the Group's position on human rights along its value chain, including forced labor, health and safety, and working conditions. The Group states in the document that "to the best of its knowledge, it refrains from working with business partners that are using forced or compulsory labor in their operations" and that it "is committed to ensuring that human rights are respected not only in its own operations but throughout its value chain. The Group considers that a company should seek to provide decent work not only to its own employees but the same should be extended to its value chain".

It also stipulates that, where appropriate or requested, Schneider Electric endeavors to support its business partners throughout the value chain in addressing situations that may involve potential adverse impacts and to increase relevant stakeholders dialogues. It further states that the Company may decide to terminate a business relationship should circumstances so require. The Human Rights Policy also serves as a reference framework guiding the day-to-day activities of Schneider Electric and its employees.

The policy is available in 19 languages and applies to all Schneider Electric affiliates. It is applicable to all Schneider Electric permanent or temporary employees working on Group premises. It also aims to inspire external stakeholders. The policy provides a framework and gives guidance to employees and teams on how to behave in their daily operations or when facing a specific situation.



Schneider Electric's Human Rights Policy is available publicly on www.se.com

Alignment with international standards and frameworks:

Schneider Electric endorses the following principles or guidelines:

- The international human rights principles encompassed in the Universal Declaration of Human Rights (as part of the International Bill of Human Rights), which sets out a common standard for all types of organization.
- The Organization for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, which formulate recommendations for companies, including for the respect of human rights.
- The ILO Declaration on Fundamental Principles and Rights at Work.
- The UNGPs on business and human rights which precisely define the roles and responsibilities of States and businesses on these matters. Schneider Electric is committed to these Guiding Principles and to the United Nations Convention on the Rights of the Child and International Labor Organization Convention 138.
- The Institute for Human Rights and Business (IHRB) Dhaka Principles for migrations with dignity.

The procedures implemented by Schneider Electric, notably its Vigilance plan and Ethics & Compliance program, ensure that the Group adhere to the EU Taxonomy "minimum safeguards" requirements referred to in Article 18 of Regulation (EU) 2020/852.

Specific internal standards and guidelines complement the policy:

- The migrant workers guidelines, guided by the “Dhaka Principles for Migration with Dignity”. The document provides a framework to help Schneider Electric’s teams, as well as partners such as recruitment agencies, ensure that any migrant worker in Schneider Electric’s ecosystem is protected from any abuse or malpractices.

Schneider Electric Supplier Code of Conduct (SCoC)

The SCoC is the policy instrument dedicated to the organization’s supply chain, which illustrates the expectations from suppliers, on business conduct. The Supplier Code of Conduct covers the full range of expectations from human rights, ethical conduct, environmental management, occupational health and safety, material and resource use, engagement with sub-suppliers, and access to remedy. On the human rights topics, it includes explicit reference to child labor, human trafficking, modern slavery, and forced labor as unacceptable practices.



Read more on the Trust Line in section 2.1.1.3 on pages 36 to 44.

The SCoC is included in the contractual obligations with the suppliers. It is part of the family of documents in the Trust Charter of the Company.



Schneider Electric Supplier Code of Conduct is available publicly on www.se.com

This policy-level commitment is the guiding source for various programs implemented by Schneider Electric with its suppliers in its value chain.

Supplier Guidebook

To sensitize all current and potential suppliers about expectations and various stages of collaboration with Schneider Electric, a Supplier Guidebook is documented. Initially launched in 2016 and updated regularly, the document articulates expectations for suppliers on sustainable development in the following five areas: environment, fair and ethical business practices, sustainable procurement, labor practices, and human rights, and subsequently focuses on various stages for approval, qualification, and performance evaluation of the suppliers.

Governance

A Duty of Vigilance Committee, set up in 2017 and chaired by the Executive Vice-President, Global Supply Chain (Executive Committee member), has the oversight of the human rights issues on in the value chain. The Committee’s objective is to provide a discussion on strategic orientation and prioritize initiatives and the resources allocated to their implementation. This Committee also reviews the actions in progress and their results and defines decisions on next steps for action.



Read more on this Committee in section 3.3.5 Governance on page 399 of the 2025 Universal Registration Document.

In addition to this Committee, all sustainability initiatives implemented with upstream supply chain partners are headed by the Vice-President, Sustainable Procurement, who is responsible for consolidating the various actions in a concerted strategy and accountable for driving the impact with supply partners and procurement department.

Also, in 2023, a Vice-President, Human Rights was nominated in the Corporate Citizenship department, reporting to the Chief Corporate Citizenship Officer. His role is to oversee the Group’s human rights due diligence, and design appropriate measures to prevent, mitigate, or remediate human rights impacts in the Group’s value chain.

Schneider Electric integrates the performance of upstream sustainability programs with suppliers into its procurement scorecard, reviewed monthly by the Global Procurement Committee, led by the Chief Procurement Officer (CPO). These reviews provide a structured platform to monitor progress, identify bottlenecks, address challenges, and define support actions for procurement teams. Performance is also assessed under the broader Global Supply Chain governance, ensuring visibility for executive leadership and enabling cross-functional collaboration. This approach fosters transparency, early risk detection, and proactive remediation planning across the value chain.

Beyond internal governance, the Group is engaged in various coalitions to advance human rights in its value chain:

- Schneider Electric’s CEO is a commissioner at the Business Commission to Tackle Inequalities (BCTI).
- Multiple Schneider Electric leaders are taking part in the World Business Council for Sustainable Development (WBCSD) Equity Action working group.
- Schneider Electric is a Sponsor of the United Nations Global Compact (UNGC) the Forward Faster initiative on Living Wages.
- Taskforce on Inequality & Social Financial Disclosures (TISFD).
- The RBA since 2018, to focus on decent working conditions in the supply chain, with peers from different industries.
- Joined the Hello Accelerator with Ashoka and Ikea to advance the situation of migrants in Europe.
- *Entreprises pour les droits de l’Homme* (EDH – Businesses for Human Rights), a leading French association of businesses providing its members with tools and advice on implementing the UNGPs.
- RHSF since 2017. The Group is part of their project “Lab 8.7” that gathers companies to work on preventing the risks of child, forced labor, and more broadly indecent labor in the supply chain.
- Participation in the Copper Mark initiative.

2.3.2.3 Integration of sustainability in the procurement process

Onboarding new suppliers: Supplier Approval Module

Schneider Electric applies sustainability criteria during new supplier onboarding to ensure compliance and address any issues before integration into the value chain.



Read more on the Supplier collaboration steps in the section 2.4.2.6 Action plan on page 185.

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General Procurement Terms & Conditions

All existing Schneider Electric suppliers must abide by the General Procurement Terms & Conditions, as part of contractual obligations. The instrument applies the principles and guidelines of ISO 26000, and the rules defined in the ISO 14001 standard to all suppliers. As part of the obligations, the suppliers, when entering business relations with Schneider Electric, commit to respect all national legislations; Registration, Evaluation, Authorization and Restriction of Chemicals (REACH) regulation; Restriction of Hazardous Substances (RoHS) directives; and, more generally, the laws and regulations relating to the prohibition or restriction of use of certain products or substances. Suppliers are also expected to report the presence and country of origin of all conflict minerals supplies in accordance with the requirements of the US DoddFrank Act of 2010, known as the “Conflict Minerals” law. In this context, Schneider Electric has a “conflict-free” objective.

Additionally, the General Procurement Terms & Conditions were updated in 2023 to include participation in the supplier-specific sustainability initiatives implemented as part of Schneider Sustainability Index, which included the initiatives around decarbonization, resource, circularity, and human rights.

 Consult and download Schneider General Procurement Terms and Conditions from the Suppliers page on www.se.com

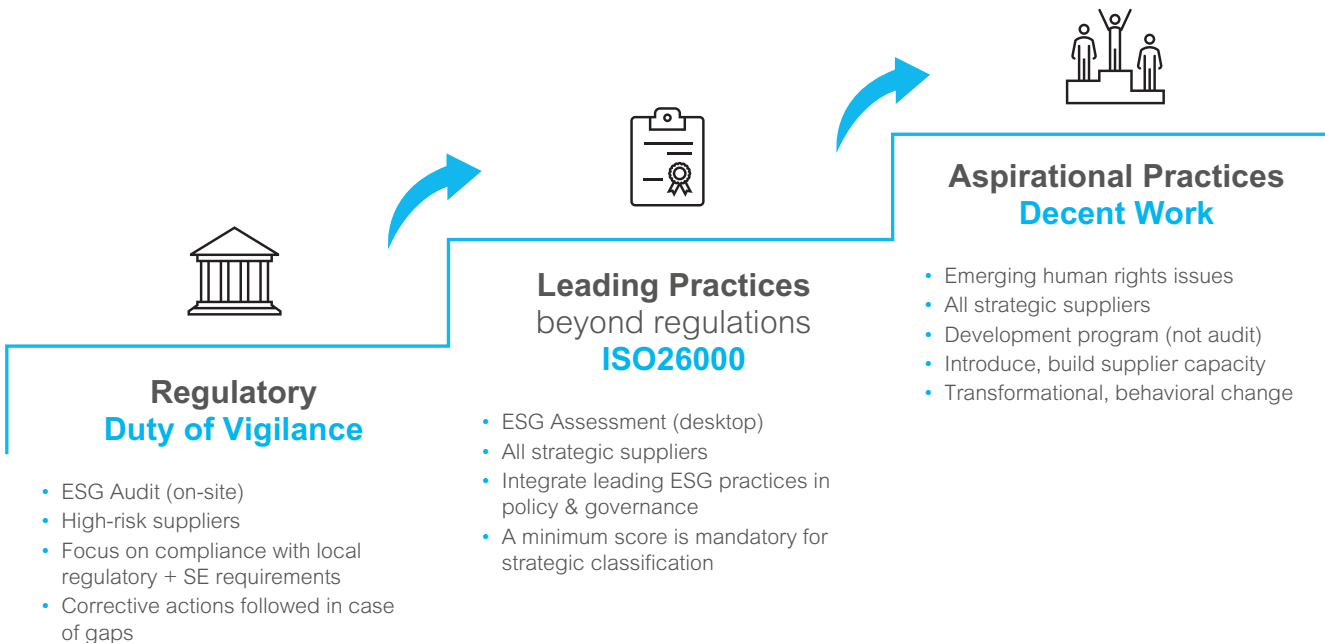
2.3.2.4 Risk-based approach to sustainability in supply base

In addition to new suppliers, Schneider Electric has almost 50,000 legacy suppliers spread across different regions of the world.

While SAM (Supplier Approval Module) ensures that all new suppliers are screened for ESG concerns and if identified are resolved before resuming the onboarding, there is a special process and family of interventions dedicated to the issues of human rights with the existing suppliers, having ongoing business relationship with the Company.

These interventions are implemented at three levels:

1. The foundational level, which aims to secure the industrial hygiene and focus on high-risk segments owing to the industrial sector or geography of operations. This includes the Duty of Vigilance Program, which is implemented with the high ESG risk suppliers and ensures regulatory and ESG compliance at site level.
2. To ensure that the focus is not only on basic levels of compliance and that supplier partners constantly improve their operational practices in the spirit of continuous improvement; all the strategic suppliers are mandated to implement ISO 26000 guidance and improve their sustainability profile.
3. Schneider Electric believes in being a pioneer and this spirit is extended to expectations from its supply partners as well. To ensure the Group can anticipate potential trends, risks, and issues before they become mainstream, an aspirational intervention is deployed via the Decent Work program. The requirements of this program take inspiration from the Decent Work agenda of the ILO and harmonizes with the priorities of several other international initiatives such as UNGC, SDGs (Sustainable Development Goals), and EU Commission. It also informs itself with concurrent discussions on emerging human rights issues. The program requires companies to implement preventive controls within their organizational framework (policies and processes) thus reducing the likelihood of occurrence of malpractices and providing a secure and sanitized (both physically and psychologically) work environment, creating a positive influence, and enhancing overall worker well-being.



2.3.2.5 Vigilance plan for suppliers and contractors

Duty of Vigilance with suppliers



Read more on the Vigilance Plan in section 3.3 on **page 394** of the 2025 Universal Registration Document.

The Sustainability Matters on the conditions of workers in the value chain and on forced labor in the value chain are material issues identified in the Schneider Electric materiality analysis. The Company has deployed a robust governance and supplier engagement framework to perform a risk analysis to screen and mitigate the risk of workers in upstream. The Company's supply chain is exposed to varying levels of risks depending on the environmental, social, and ethical contexts of the countries in which they operate. These country-related risks are one of the important factors in customizing risk profile of suppliers.

To evaluate and mitigate the sustainability risk from its global suppliers, Schneider Electric conducts a risk evaluation of its entire supply base on an annual basis. This evaluation covers sustainability risks and specific parameters such as the type of industrial process used by the suppliers, their technology, and the geographic location. This allows the Group to factor in risks that may arise from a country's specific situation (social, political, etc.). These parameters are compiled in a third-party independent database (RBA methodology, ex-EICC, of which Schneider Electric has been a member since January 2018). Schneider Electric's entire core network of about 50,000 tier 1 suppliers is processed through this methodology and is refreshed every year with the new supplier baseline to identify high risk suppliers.

The non-high-risk suppliers are deemed appropriate for remote/self-assessment, via an ESG questionnaire. The supplier responses to the questionnaire are evaluated by a team of specialists. Upon identifying any response which requires further deep dive, the team engages with the suppliers for clarifications. Post the clarification, if the need is felt, on-site audits may be triggered. For the suppliers who are classified as high risk, on-site audit by Schneider Electric auditors is conducted.

The Duty of Vigilance (SSE #17) Program has a mandate of on-site audit of 1,000 high-risk suppliers by the end of 2025 and 3,000 medium-risk suppliers are evaluated based on desktop review and followed up by an on-site audit, in case of any high concerns. The annual target is 200 on-site audits and 600 remote evaluations per year for non-high-risk suppliers between 2021 and 2025.

SSE #17 has been achieved with total 4,348 suppliers audited at the end of 2025 : 1,476 on-site audits and 2,872 remote assessments overall. In 2025, 222 on-site audits were performed, and 74 suppliers answered to the self-assessment questionnaire.



Read more on the methodology and results of SSE in section 4.1.2 on **pages 250 to 255**.

To implement the key tenets with the suppliers in scope, Schneider Electric follows the RBA ESG criteria, which includes worker rights, environment management, occupational health and safety, and its inclusion in the governance of the Company. This common set of requirements is used to evaluate supplier performance via on-site audits. The high-risk suppliers of Schneider Electric are subjected to on-site audit, conducted by specialized auditors. At the end, an audit report is generated which is shared with the supplier to develop a corrective action plan and implement the measures. For the most serious non-conformances, each case is escalated to the CPO.

An analysis of the 192 "top priorities" raised in 2025 shows the following issues are the most recurring:

- Labor standards (64% of top priority non-conformance issues):
 - Lack of respect of working time and resting days (time measurement systems are often insufficient). Corrective action can be wages for regular and overtime hours correctly calculated and paid to all workers.
- Health and safety (29% of top priority non-conformance issues):
 - Insufficient fire alarm and protection systems ; workers exposure to chemicals etc. Corrective action can be appropriate controls for worker exposures to chemical, biological, and physical agents.
- Environment and management systems (7% of top priorities):
 - Insufficient waste management and pollution prevention systems.

The freedom of association and collective bargaining was identified as one of the least common non-conformances, identified in only 7 of the 200+ audited suppliers. Six out of seven have already closed the issue, and one supplier provided a roadmap to address it by March 2026.

In case of any findings in vigilance, the supplier needs to implement the corrective actions, and then a revised on-site audit is done. Once all non-conformances are resolved the risk status can be lowered. However, to ensure continuous monitoring and continuity of the controls, the supplier is revisited in a fresh audit cycle after three years. As of end of 2025, Schneider Electric has closed 95% of all types of non-conformances from 2024 and 58% of all types of non-conformances from 2025, and corrective actions are ongoing.

Schneider Electric adopts an active approach, helping suppliers resolve any issue by sharing good practices and providing them with guidance and training. Closure of non-conformances are checked mainly through an on-site check a few months after the audit. When non-conformances are not resolved (mainly top priorities), escalation to the CPO may lead to the end of the business relationship. In 2025, four business relationships with suppliers were ended due to non-conformance to the Vigilance plan.

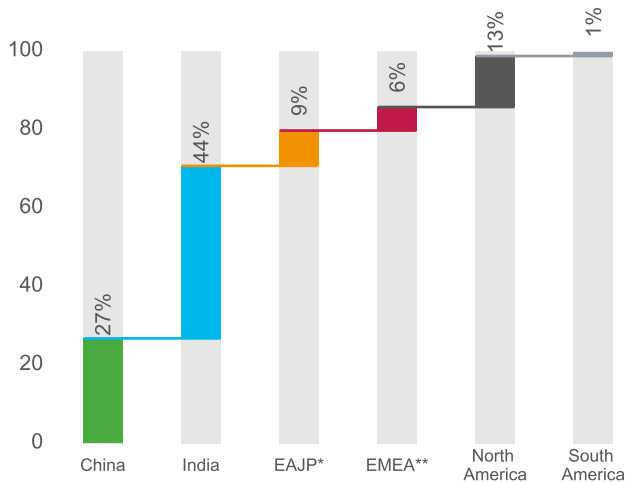
As part of this Duty of Vigilance Program, 26 batteries suppliers have been audited since 2018, including 12 in 2025 as a special focus. The Group continues to engage with them, including in relation to the EU battery regulation.

2. Sustainability statements

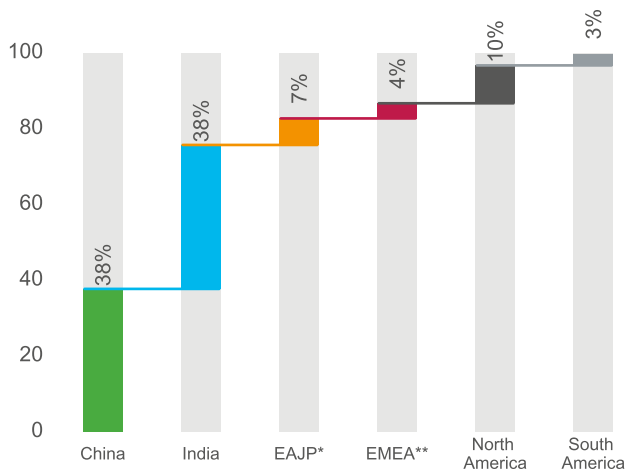
Self-assessments

In 2021, a specific self-assessment questionnaire was developed, building on the experiences of on-site audits performed during previous years. Among the questions asked, the core ones aim to check whether the suppliers are compliant on mandatory subjects of labor, human rights, environment, and health and safety. The two main goals of this assessment are to help the supplier to reflect on its compliance to vigilance standards, and for Schneider Electric to identify whether on-site audits may be necessary. During 2025, 74 suppliers submitted answers.

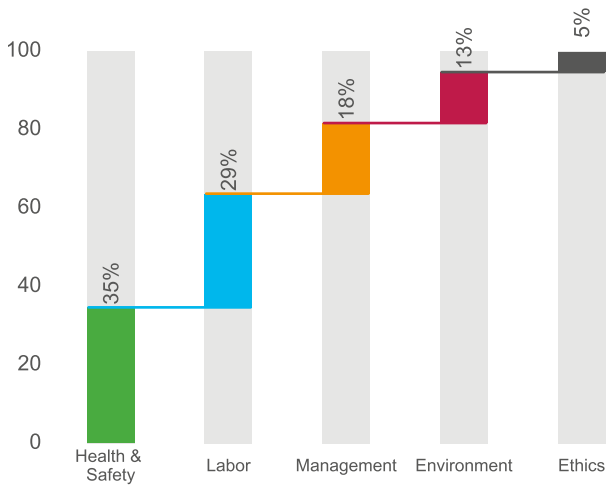
% Risky suppliers identified in 2025 by geography



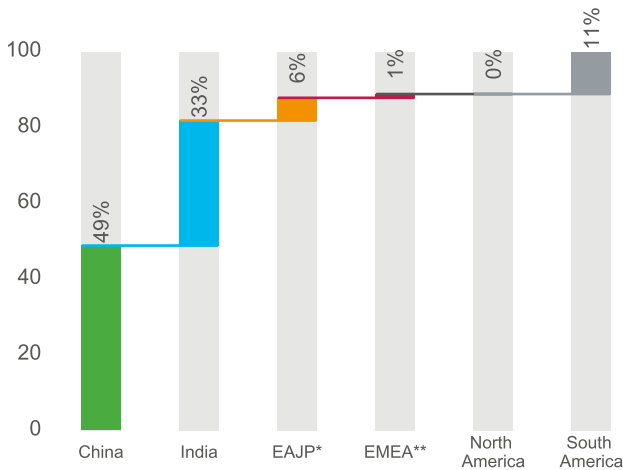
% Audits carried out in 2025 by geography



% Non-conformances in 2025 by topic



% Non-conformances in 2025 by geography



* EAJP: East Asia Japan Pacific
** EMEA: Europe Middle East Africa

Impact

From the beginning of the program in 2017 to the end of 2025, about 1,500 suppliers had been audited on-site, and 16 500+ non-conformances were raised, and subsequently remediated. The 222 on-site audits performed in 2025 have allowed Schneider Electric to raise 1,700+ non-conformances ; we can observe this year a decrease of the overall ratio of Non Conformances per supplier compared to previous years.

Out of these non-conformances, 192 are assessed as “top priority” and are given very specific attention during the re-audits of the suppliers.

Schneider Electric’s objective is to close 100% of all types of non-conformances identified, whatever their priority level.

Overall, the resolution of non-conformances identified since the program’s inception in 2017 has supported the improvement of the working conditions for an estimation of 400,000 employees. As example, correct minimum wages, safe working conditions, maximum working hours, overtime paid in line with the law.

Duty of Vigilance with project contractors

Schneider Electric's products and solutions are usually combined into larger systems such as electricity distribution and energy management in a building, or production process automation in a factory. The building of such systems can be complex and typically involves several different parties before they are commissioned by end-customers. For Schneider Electric, there are two options: to sell components through channel partners who take the responsibility to build and deliver the system; or to build and deliver the system directly for the end-customer, as a project. This second option requires coordinating several project contractors (panel manufacturers, system integrators, building contractors, etc.), usually on the premises of the end-customer. These projects are primarily off site (mostly on customer premises, existing or future), and they involve several different parties, global or local. Therefore, relationships with contractors are specific to a contract, and not necessarily recurrent. In 2025, Schneider Electric worked with approximately 9,000 solution suppliers (with a total spend of approximately EUR 1.6 billion).

- **Human Rights risks:** As project sites are in countries where Schneider Electric may not be present, and involve independent subcontractors, there is a risk that the policies recommended by Schneider Electric on health and safety, as well as decent workplace, may not be properly implemented. The main risks are physical accidents and injuries, or the unfair treatment of employees (wages and salaries, resting time), especially temporary and/or foreign employees.
- **Business Ethics risks:** Projects that are conducted in countries where business ethics standards are insufficient may be subject to ethical risks such as corruption, bribery, or pressures of a similar nature.
- **Cybersecurity risks:** Some subcontractors may have digital interactions with the end-customer and Schneider Electric at the same time. Therefore, their level of cybersecurity and data protection may create some risks for the project and the final customer.

A rigorous management of subcontractors supports a reduction in risks of incidents or accidents on site, and therefore protects workers, the communities living around the project site, and the final customer's employees and assets.

Out of the 9,000 solutions suppliers, Schneider Electric has identified about 230 solution suppliers categorized as "high risk", using the same methodology as for suppliers. Since 2018, around 125 of those suppliers have been audited, with 15 audits performed in 2025 leading to Schneider Electric raising 105 non-conformances. Out of these non-conformances, 11 were assessed as "top priority" for 5 suppliers.

The most recurring non-conformances with high-risk solution contractors are related to management systems, in terms of establishing adequate management reviews and defining responsibilities for implementation of management systems. In addition to these non-conformances, specific risks related to local contract negotiation may occur.

Actions following non-conformances are the same as with other suppliers (re-audits, trainings, workshops). Specific measures are implemented for this project environment: Schneider Electric implements regular reviews of safety incidents on customers' sites, involving the Global Safety team and the Project Management leadership.

The Group has also reinforced training on Anti-Corruption and Business Agent policies for its employees involved in commercial negotiations. The project follow-up with contractors and the selection processes for contractors have been adapted to ensure vigilance topics are considered early in the project stage.

2.3.2.6 Continuous improvement based on the ISO 26000 standard

The key focus of Schneider Electric is to ensure that suppliers treat sustainability as a journey and continue to improve their sustainability performance via organizational maturity on an ongoing basis. This is achieved by mandating strategic suppliers to adhere to ISO 26000 guidelines and share performance results KPIs as part of their journey to achieve higher performance threshold.

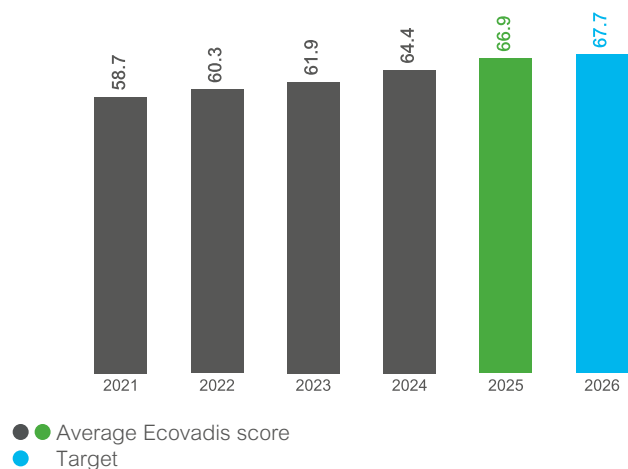
ISO 26000 is a voluntary guidance for companies and provides a framework for organizations to operate in a socially responsible manner, considering the interests of various stakeholders, including employees, customers, suppliers, communities, and the environment. As it is not a management standard, Schneider Electric has partnered with a third-party service provider, EcoVadis, to provide evaluation of the performance of the suppliers and assigning a score.

A score is assigned based on answers across four pillars: (1) Labor and human rights, (2) Environment, (3) Ethics, and (4) Sustainable procurement. Based on the results, suppliers must develop and deploy a corrective action plan, then retake the evaluation.

All strategic suppliers of Schneider Electric are mandated to participate in the ISO 26000 program. Suppliers are assessed for conformance. If the score goes below 50 points, it results in revocation of the strategic status, impacting their business growth.

To drive evolution of the suppliers towards higher maturity and degree of performance, Schneider Electric has adopted a global ambition to have a global average score of 65 points for all strategic suppliers by end of 2025. This ambition is split into annual targets. Against the target for 65 points to be achieved by end of 2025, a score of 66.9 points was achieved.

ISO 26000 program progress



2. Sustainability statements

2.3.2.7 Other action plan on sustainable programs

Decent Work program

The Decent Work program encourages suppliers to go beyond regulatory compliance and normative business practices. The program is dedicated to human rights and takes inspiration from the work of the ILO and includes key tenets into the program content.

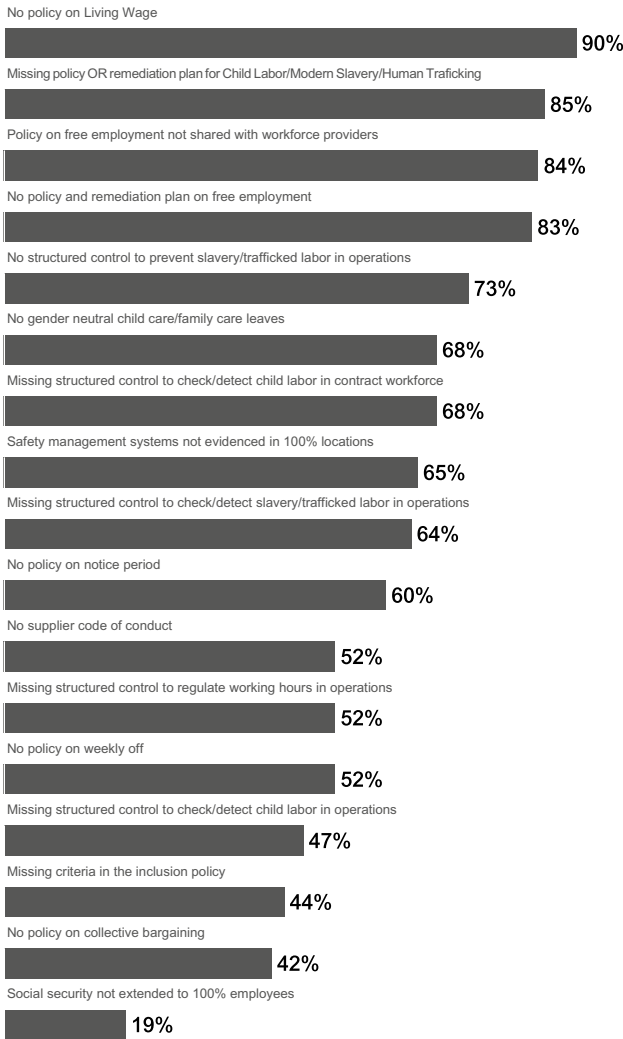
The program also combines key requirements and focal areas of several other international frameworks and bodies such as United Nations Global Compact, European Commission, United Nations Sustainable Development Goals and even aligning with the key requirements of SA8000 management standard.

The scope of the program includes strategic suppliers (supplier classified as Recommended and Core within Schneider ecosystem) across direct (also known as production) and indirect (known as non-production) procurement. The initiative adopts the approach of a development program, acknowledging that the program criteria may be new for many suppliers who will need support with capacity building, and constant engagement throughout implementation. The evaluation of supplier performance is carried out through an online questionnaire that is rolled out via Schneider Supplier Portal – Supplier Relationship Management (SSP-SRM) – Schneider Electric’s supplier relationship portal. A specifically trained team of associates from Global Procurement Services (GPS) lead the launch of the initiative. The suppliers are required to respond to the questions and upload evidence to support the responses. All responses and accompanying evidence are evaluated to meet the minimum criteria of decent work. These responses and documents are assessed by specially trained reviewers. The reviewers come from within Schneider Electric as well as third-party agencies who specialize in business and human rights. In cases where the supplier actions do not meet the minimum requirements, feedback is given, and corrective actions need to be implemented by the suppliers in a timely manner. Upon rectification, the information needs to be resubmitted along with the evidence for the re-evaluation. To better engage suppliers and identify the common areas of improvement for deploying more effective supplier capacity building initiatives, the responses were analyzed. Below is the summary of the most frequent gaps identified during the year.

The most common area of improvement was lack of awareness about the concept of Living Wage. In line with the overall program approach, the strategic suppliers were introduced to the concept of living wage. The details of various living wage methodologies, including the Wage Indicator Foundation, freely accessible living wage database, co-sponsored by Schneider Electric, were made available to suppliers. Through various capacity building sessions, indicative roadmap and stages of deployment were explained. As part of the next phase of the program, the suppliers will be trained to undertake wage gap assessment including commitment to initiate the activity.

The overall approach of the program is close engagement with constant training, capacity building, handholding and communication with suppliers to ensure they normalize the topics, understand the actions required, initiate actions for behavioral change and gradually initiate the implementation in the future. On average, for every supplier 7 – 8 rounds of engagement sessions are conducted.

Most frequent non-conformances



Key pillars of the Decent Work program include:

Employment opportunities	Employment opportunities should be available to all eligible, in a transparent, well-informed manner, and without any charges, as a right. In case of any expense incurred by the worker towards obtaining employment, the same should be reimbursed by the employer. The work should respect and uphold the dignity of employees and proactively create an environment to address and resolve modern slavery, forced labor, and bonded labor. There should be a process to ensure no child is employed.
Adequate earnings and productive work	Employment should be a source of economic independence and dignified living. The gradual decline of industrial wages and the COVID-19 crisis have severely impacted the economic outlook of the workforce, globally. Companies should review wage policies to ensure the affordability of a dignified living by the workers. Additionally, employment should equip the workforce to improve current skill sets and knowledge for future employability.
Decent working hours	Excessive working hours is a legal violation, often accepted as “necessary”. It is generally connected with low industrial wages and used as an excuse to not provide appropriate wages. Companies should review and remediate excessive hours and should align with the legal and/or international requirements.
Stability and security of work	Employment should be a source of economic stability and peace of mind. Uncertainty of job security increases stress and makes the workforce vulnerable to abuse and hazardous working conditions. The problem has been exacerbated due to COVID-19-related job losses.
Social dialogue and workplace relations	Employees should have the right to engage with management and collectively put across their concerns and demands. Collective bargaining and freedom of association encourages workers to raise concerns in a timely manner, acts as a barometer and early warning system to assess worker satisfaction, and reduces worker vulnerability.
Fair treatment in employment	Employment should be based on merit and the ability to do the job, and fair treatment should be extended to all employees. Differences in lifestyle, choices, etc., often become a source of discrimination, victimization, and harassment. This curbs freedom of expression, hiding preferences, and creates mental health challenges. Companies should ensure a workplace that accepts diversity and provides an inclusive work environment.
Safe work	Employment should result in economic independence and augment the ability to exercise a healthy and prosperous life. It should not result in ill-health, risk to well-being, or be a source of injury/misery.
Social protection	Industrial wages are often not sufficient to provide adequate living standards. The problem is exacerbated in cases of health emergencies. Social protection, provided by employers/governments, provides a much-needed safety net from economic shock, descent into poverty, and vulnerability. Companies should ensure that all employees have access to social security safety net.
Purchasing practices	Purchasing practices and requirements significantly impact working conditions. They influence the working culture of the supplier organization to meet customer requirements. The power of procurement can be a strong driver for positive change to include decent work conditions as a prerequisite among the supply chain partners, when balanced with other commercial criteria.
Balancing work and family life	Family responsibilities disproportionately impact genders and result in unequal participation in economic activities. Workplaces should strive to create a level playing field and provide all possible opportunities to employees to participate in economic activities without compromising the family responsibilities, which may require periods away from work (e.g., maternity, family care, flexible hours, and adequate childcare). The work environment should act as a leveler/equalizer and not augment the disparity.

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Decent work criteria comparison with other initiatives

Key pillars	SE DW	ILO	UNGC	EU Com	SDGs	SA8000
Employment opportunities	Yes	Yes	Yes	Yes	Yes	Yes
Adequate earning and productive work	Yes	Yes	Yes	Yes	Yes	Yes
Decent working hours	Yes	Yes				Yes
Stability and security of work	Yes	Yes				Yes
Social dialogue and workspace relations	Yes	Yes	Yes			Yes
Fair treatment	Yes	Yes	Yes		Yes	Yes
Safe work	Yes	Yes			Yes	Yes
Social protection	Yes	Yes				Yes
Purchasing practices	Yes		Yes			Yes
Balancing work and family life	Yes	Yes			Yes	
Disciplinary practices						Yes
Management system						Yes

Abbreviations

ILO – International Labour Organization **UNGC** – UN Global Compact **EU Com** – European Commission

SDGs – Sustainable Development Goals **SA8000** – Social Accountability 8000

Schneider Electric has taken an overall ambition to ensure 100% of its strategic suppliers achieve conformance in the program by end of 2025 (SSI #6). This ambition is split into annual targets. In 2022 1% of the strategic suppliers, in 2023 21%, in 2024 63% and by the end of 2025, 98% of strategic suppliers achieved conformance.



Read more on the methodology of SSI in section 4.1.1 on [pages 245 to 250](#).

Social Excellence program

In addition to the above-mentioned engagement, the Company has initiated development of a Social Excellence program, which aims to go beyond tier 1 suppliers and onboard them on the human rights journey.

Since 2023, the Group has been implementing a pilot program to assess how such a program, focused on upstream, can be developed and deployed. While the program is still in exploratory stage, it has provided invaluable insights that will help in conceptualizing a full-fledged program.

Towards this, the Group has identified a particular product and created 3 work streams to evaluate the risk. These include:

- **Traceability workstream:**
Suppliers of the pilot product have been identified and contacted through a third-party digital platform to assess their Human Rights performance and collect information on their sub-suppliers, to improve transparency and accountability throughout the supply chain. On a scope of more than 100 suppliers contacted and after 6 months, only 30% of suppliers answered correctly to Human Rights and sub-tier information requirements. This pilot thus reveals that mapping suppliers beyond tier 1 is still a challenge today as it takes time, it is resource-intensive, and data received varies in quality, especially as you move deeper into the supply chain.

- **Geographies workstream:** Using the RBA risk evaluation tool, high-risk countries are identified, and suppliers located in those countries are engaged via the Workers Voice tool to identify key impacting areas.

The Workers Voice initiative proved to be a powerful and rapid tool for identifying risks directly from workers. It involves rolling out a Human Rights anonymous survey to the employees of selected suppliers. The pilot in Vietnam in 2024 showed that this type of mobile-based questionnaires can uncover issues not visible through the traditional tools of the Group, such as sexual harassment or stress. As a follow-up activity of the survey, results were shared with suppliers and action plans were implemented in the factories to ensure the root causes were addressed. This tool thus reveals very complementary to on-site vigilance audits. Collaborative approach with suppliers and direct engagement with rights holders fosters mutual improvement. The use of this tool will be expanded in coming years.

- **Raw materials workstream:** Focuses on the critical minerals as identified by the International Energy Agency (IEA) and aims to gain understanding on these raw materials supply chains structure and the risks associated. Each raw material presents unique human rights risks and requires a tailored approach. There is no one-size-fits-all solution, long-term engagement and sector collaboration are essential. Early efforts to map risks and define mitigation plans are underway, but progress depends on industry willingness and regulatory alignment. Towards this, Schneider Electric aligned with the Responsible Mineral Initiative and engaged strategic suppliers of Cobalt, Nickel, Lithium, Natural Graphite, Copper, Mica via the Extended Mineral Reporting Template (voluntary requirement) to report and disclose the information about the upstream smelters and their validation under Responsible Mineral Assurance Process (RMAP).

This outreach was launched in July 2025, covering 244 suppliers and as of December 2025, six months into the initiative, 50% of the spend was identified as coming from smelters conforming to RMAP requirements. This process will continue in 2026 to engage more suppliers and the conclusion of the 1st year initiative will be reported along with the conflict minerals reporting.

In addition to the above, Schneider Electric also implements programs in accordance with country-specific requirements.

Supplier Diversity program

In the US, the Company implemented a Supplier Diversity program, which aims to promote the utilization of qualified and competitive diverse businesses in procurement.

The program includes suppliers that are certified as one (or more) of the following: Small Business Enterprise (SBE), Veteran-Owned Enterprise (VET), Disadvantaged Business Enterprise (DBE), Minority-Owned Enterprise (MBE), Women-Owned Enterprise (WBE), Disabled-Owned Enterprise (DOBE), LGBT+ Owned Enterprise (LGBT), or Businesses located in Historically Underutilized Business Zones (HUBZone).

The Company accepts all third-party certifications by organizations such as: the National Minority Suppliers Development Council (NMSDC), Women's Business Enterprise National Council (WBENC), the National Gay and Lesbian Chamber of Commerce, and Disability: IN.

Suppliers are required to successfully complete Schneider Electric's supplier evaluation and onboarding process to demonstrate their capabilities prior to being invited to a competitive bid. Once invited to the bid, suppliers are only awarded business based on the strength of their bid submission.

Supplier communication and engagement

The Company follows a customized communication plan for full spectrum of policies and programs to its suppliers. The Schneider Electric Supplier Platform is the preferred mode of communication with suppliers. Additionally, several other avenues of engagement are deployed as deemed effective. These include:

- Inclusion of the sustainability requirements, and Supplier Code of Conduct in the contractual instruments.
- Webinars and thematic digital connect sessions.
- One-to-one communications, keeping specific suppliers in the loop; Procurement colleagues to inform, train, and schedule engagement on various programs.

- Dedicated training and capacity building sessions are organized for suppliers, in group as well as one-to-one settings for ISO 26000 and decent Work program.

Conflict Minerals program

Regarding conflict minerals and extended minerals, Schneider Electric is working with an expert third party to collect and analyze the information from its suppliers (CMRT & EMRT), to identify the source of the minerals in question and ensure they are recognized as "conflict-free" within established international standards such as the Responsible Minerals Initiative (RMI), the London Bullion Market Association (LBMA), and others.

The data collection campaign includes all five due diligence steps recommended by the OECD. Supplier CMRTs are collected throughout the year, and in case of non-conformant or non-audited, smelters or refiners are identified, suppliers are contacted to work on the removal of those SoRs from the supply chain. By the end of 2025, the Group achieved significant progress, with 89% of identified smelters and refiners in its supply chain being designated as compliant with recognized third-party validation schemes.

All strategic suppliers are required to provide updated CMRT and perform due diligence. Additionally, suppliers delivering products containing mica, cobalt, copper, lithium, nickel, graphite are required to complete the EMRT (Extended Minerals Reporting Template).

2.3.2.8 Targets

Cycle	Targets ⁽¹⁾	Detail
2021-2025	SSI #6	To ensure 100% of its strategic suppliers provide decent work to their employees
2021-2025	SSE #17	4,000 on-site and remote supplier audits as part of the vigilance plan
2021-2025	ISO 26000	Achieve 65 point average EcoVadis score for all strategic suppliers by the end of 2025
2026-2030	Sustainability Impact 2030: Industry Catalyzer	100% of strategic suppliers are engaged in implementing advanced decent work practices
2026-2030	Out of Sustainability Impact 2030: Vigilance Plan	Perform 200 on-site audits as per the Vigilance Plan per year and up to 2030
2026-2030	Out of Sustainability Impact 2030: ISO 26000	Achieve 72 point average EcoVadis score for all strategic suppliers by the end of 2030

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to **section 2.1**.

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2.3.3 Ethical relations with affected communities | ESRS S3

2.3.3.1 Context

Impacts, risks, and opportunities

	Affected communities
Negative Impact	Violate economic, social, and culture rights of local communities
	Violate rights of indigenous communities

There is increasing research and evidence on the potential impacts of energy transition-related industries on local and indigenous communities.

Schneider Electric has identified, thanks to the risk mapping from its Vigilance Plan, six categories of potentially affected communities:

- Local communities living adjacent to Schneider Electric’s sites.
- Local communities living adjacent to Schneider Electric’s direct suppliers’ sites.
- People living adjacent to logistics and distribution centers.
- People living around mines in Schneider Electric’s upstream supply chain, including indigenous people.
- People living adjacent to waste management sites, downstream Schneider Electric’s value chain.
- People living around customer projects, in particular in the extractive industries sector and power generation.

2.3.3.2 Policy

The affected communities topic is governed by Schneider Electric’s Human Rights Policy, specifically the section “2.1 Local communities and Indigenous people”. Through this policy, the Group seeks to build an understanding of communities potentially affected by its activities in its value chain, engage with them and minimize impacts on populations, whether local or indigenous communities.

The policy also stipulates that, where appropriate or requested, Schneider Electric endeavors to support its business partners throughout the value chain in addressing situations that may involve potential adverse impacts and to increase relevant stakeholders dialogues. In case negative impact may have occurred, the Trust Line, Schneider Electric’s internal and external alert system, can be used by communities potentially affected by Schneider Electric’s activities throughout the value chain to raise concerns and alerts, as the mechanism is publicly available.

 Read more on the Trust Line in section 2.1.1.3 on pages 36 to 44.

 Schneider Electric’s Human Rights Policy is available publicly on www.se.com

The affected communities topic also falls under the Group’s ambition set forth in the Vigilance plan, to be a role model in its interactions with customers, partners, suppliers, and communities on ethics and the respect and promotion of human rights. At a later stage, some specific policy may be drafted to further structure the framework.

The strategic part of the Human Rights Policy as well as the measurement and its full deployment is led by the Corporate Citizenship department, composed of Human Rights experts supported by Human Resources and Global Supply Chain departments as well as countries, the Internal Audit team, and Compliance functions.

 Read more on the Human Rights Policy in section 2.3.2.2 on page 154.

 Read more on the Vigilance plan in section 3.3 on page 394 of the 2025 Universal Registration Document.

The Duty of Vigilance Steering Committee, chaired by the Executive Committee member in charge of the supply chain and composed of senior leaders who represent key internal stakeholder, is responsible for overseeing the topic of affected communities.

To better understand the topic of affected communities and its specific issues, the Group is engaged in various coalitions, allowing to gain insights into perspectives of affected communities:

- The United Nations forum on Business and Human Rights
- The United Nations Global Compact (UNGC) Decent Work initiative and Forward Faster initiative on Living Wages
- The Taskforce on Affected Communities of the French UNGC
- The Responsible Business Alliance (RBA)
- Responsible Steel
- The Copper Mark

Schneider Electric participates several times a year in initiatives, conferences, or working groups organized by these different organizations. For example, the Group participates in awareness-raising sessions about affected communities organized by UNGC France, helping to strengthen understanding, engagement and mitigation actions on the topic.

Besides its participation in these coalitions, the Group has not yet engaged directly with affected communities. Schneider Electric is still investigating which communities and what engagement would be relevant.

2.3.3.3 Impacts and risks

The table below presents, on a 1 to 4 scale, a simplified view of the human rights risks identified for each affected community. In this report disclosures will focus on the most material risks, that is those rated 3 and 4.

	Around Schneider Electric sites	Around suppliers' sites	Around logistics and distribution	Around mines	Around end-of-life management sites	Around customers' projects
Proximity to Schneider Electric and leverage	Med	Low	Low	V. Low	Low	Med
Communities' economic, social, and cultural rights (adequate housing, adequate food, water and sanitation, land-related and security-related impacts)	2	3	1	4	3	3
Communities' civil and political rights (freedom of expression, freedom of assembly, impacts on human rights defenders)	1	1	1	4	1	3
Particular rights of indigenous peoples (free, prior, and informed consent, self-determination, cultural rights)	1	2	1	4	1	3

This table reflects a gross impact measurement carried out by Schneider Electric's Human Rights and Vigilance experts, using the *severity x likelihood* scoring methodology.

Internal assessment used to guide scoring:

- Vigilance risk assessment for Schneider Electric's 30 largest sites carried out in 2020.
- Ongoing Vigilance risk assessment of communities living around customers' projects sites (see below section "People living around customers' projects, in the extractive industries sector and power generation").

External reports used to guide scoring:

- Transition Minerals Tracker: 2025 Analysis, Business & Human Rights Resource Centre.
- Top 10 Business & Human Rights Issues in 2025, Institute for Human Rights and Business.
- Sustainable and Responsible Critical Mineral Supply Chains, International Energy Agency.
- The Global E-Waste Monitor 2024, United Nations Institute for Training and Research.

2.3.3.4 Local communities living adjacent to Schneider Electric's direct suppliers' sites

Schneider Electric's suppliers include companies in various industries and countries, which could cause pollutions to soil, air, or water ; generate noise, or impact traffic around their sites, and could potentially impact local communities.

Specific sustainable procurement programs are in place to prevent environmental and social risks at Schneider Electric's direct suppliers:

- Supplier Qualification process including sustainability performance as key evaluation criteria.
- Adhesion to Schneider Electric's Supplier Code of Conduct.
- On-site and remote supplier audits as part of the Vigilance plan (SSE #17).
- ISO 26000 for strategic suppliers.

 Read more in [section 2.3.2 on page 153](#).

2.3.3.5 People living around mines in Schneider Electric's upstream supply chain, including indigenous people

Risks related to raw material extraction and transformation in Schneider Electric's upstream supply chain are difficult to evaluate precisely because they are located far upstream, which makes data difficult to obtain. For this reason, the evaluation of risks is mostly based on external reports.

According to the Transition Minerals Tracker 2025 Analysis, key impacts on communities around mines include:

- Clean, healthy, and sustainable environment;
- Water pollution;
- Attacks against human rights defenders;
- Access to water;
- Occupational health and safety;
- Impacts on livelihoods;
- Land rights; and
- Personal health.

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Schneider Electric's approach is to evaluate those risks and implement prevention or mitigation plans for each material, prioritizing them by procurement volume and human rights risks.

The Group is engaged in various programs relating to raw materials:

- Conflict minerals program (tin, tungsten, tantalum, gold) and Extended Minerals Reporting Template (cobalt, copper, nickel, lithium, natural graphite, mica)
- SSI #4 program (aluminum, steel, plastics) with the ambition to increase green material content in products to 50%.



Read more on the methodology of SSI in section 4.1.1 on pages 245 to 250.

For raw materials that are necessary for Schneider Electric's activities and are not yet covered by one of the programs mentioned before, a specific study has been started to better understand the impact of these industries. This study will also allow Schneider Electric to investigate the existing certifications and coalitions for these raw materials. The impacts of the mining industry being far upstream and the leverages to act being thus limited, the Group's strategy is to work with other actors to improve the social and environmental conditions of mineral extraction through certifications and coalitions.

In addition to aiming for more certification of its raw material procurement, Schneider Electric is accelerating its circularity strategy to limit the consumption of raw materials, and thereby potential associated risks.

2.3.3.6 People living adjacent to waste management sites, downstream Schneider Electric's value chain

According to the Global E-Waste Monitor 2024, 14 billion kilograms of e-waste was estimated to be disposed of as residual waste in 2022, the majority of which is landfilled globally. The non-treatment of this waste therefore has significant consequences in terms of soil and water pollution and impacts on biodiversity. Moreover, 18 billion kilograms of e-waste was estimated to be handled in low- and lower-middle-income countries with no developed e-waste management infrastructure, mostly by the informal sector. The lack of adequate infrastructure can therefore also impact the health of individuals who find themselves managing this waste through the informal sector.

In the downstream value chain, Schneider Electric is actively working to secure compliance with local regulations, including the WEEE Directive (Waste from Electrical and Electronic Equipment) and the Batteries and Battery Waste Regulation. These EU laws incorporate Extended Producer Responsibility (EPR) provisions, compelling Schneider Electric to prevent products within scope from ending up in landfills at their end-of-life.

Also, the Group's electrical and electronic equipment products include end-of-life instructions, offering customers guidance on safe management and disposal when they become waste.

2.3.3.7 People living around customers' projects, in the extractive industries sector and power generation

Ongoing customer projects

Since 2021, Schneider Electric extended its Vigilance risk assessment to cover local communities residing close to sites where the Group is implementing projects for customers. This analysis was conducted remotely through interviews with customer project managers. These projects can be, for example, the building of an electrical switchgear station to distribute electricity, either to a grid or to large private users. Depending on the profile of the end-customer, these projects necessitate the on-site coordination of several types of contractors. Relationships with local communities, when relevant, are usually handled by the main contractor, or by the end-customer.

To identify the main sites presenting potential risks, Schneider Electric has pre-selected customer projects based on the combination of two criteria – country risk and customer activity. 40 customer projects were selected for a review.

Projects reviewed can be grouped into three categories, each reflecting the type of involvement of Schneider Electric, and the mitigation capabilities of Schneider Electric:

- Type 1: Schneider Electric provides switchgear and/or industrial equipment, is also the main contractor for the project, and is present on site. Mitigation actions can be decided and implemented by Schneider Electric.
- Type 2: Schneider Electric provides switchgear and/or industrial equipment, but it is not the main contractor. Mitigation capabilities are limited.
- Type 3: Schneider Electric provides software and control, and is mostly working remotely, being present on site only for final testing and commissioning. Mitigation capabilities are very low.

As of end 2025, 30 projects have been reviewed and results can be summarized as follows:

Type 1: 2 projects – Schneider Electric operating as the main contractor

- Renovation of medium voltage electrical substations.
- Very large city, dense urban area.
- Sites already existing, limited surface (one building).
- Limited civil work (refurbishing) in a closed area.
- Almost no impact on population living nearby (two-days street closing).

Type 2: 19 projects – Schneider Electric as one of the suppliers to a large contractor or customer

- 9 projects are medium voltage equipment ex-works delivery; no presence on customer site.
- 2 projects are reinforcements of safety systems on existing mining sites.
- 4 projects are very large new projects on land:
 - 3 are for a customer expanding a refinery
 - Large civil work on previously unoccupied land.
 - End-customer and local authorities are in charge on site.
 - 1 is for a customer building an irrigation network for agriculture.
 - Location in a semi-desertic area – no population living on site.
- 4 projects are new Data Centers

Type 3: 9 projects – Schneider Electric as provider of software, mostly remotely

- Projects are mostly software systems, that do not involve any on-site work as there is no hardware to deliver and install.

Although this analysis is done on a limited sample, it points to the following conclusions:

- A large majority of Schneider Electric projects are having limited impact on local communities as they are either:
 - Not located close to any populated area;
 - Taking place on already built facilities;
 - Delivered ex-works to the client, with no on-site involvement from Schneider Electric; or
 - Involving software offers only, that are entirely delivered remotely.
- A minority of projects involve large civil works on site, that may affect the local environment or local communities. This almost only happens when the end-customer is conducting a complex and highly specialized project (refinery, factory, extraction site, etc.). In these instances, Schneider Electric is only one of several vendors, and does not handle relations with the local population. In such cases however, Schneider Electric wishes to apply the highest level of ethical and responsible commitment in its relations with the end-customer to ensure that the project complies with high sustainable and ethical standards.

Focus on EACOP project

EACOP (East Africa Crude Oil Pipeline), along with the Tilenga project, is operated by a joint venture between two states (Uganda and Tanzania), and two private companies (CNOOC and TotalEnergies). It consists of several extraction sites, and a pipeline to connect these sites to a port on the Indian Ocean coast.

The Group provides equipment for the supervision and safety of the infrastructure and contributes to the integration of renewable energy sources to reduce the CO₂ emissions.

Schneider Electric has commissioned an independent third-party expert, to conduct a risk assessment based on the International Finance Corporation's Performance Standards on Environmental and Social Sustainability. The assessment has been updated with the status of discussions with the EACOP joint venture, local stakeholders (individuals or non-governmental organizations) and Total Energies. In addition, Schneider Electric organized two field visits on the project site (in Uganda and Tanzania), led by its Chief Compliance Officer.

Based on these assessments and observations, Schneider Electric considers that EACOP joint venture, local authorities, and local stakeholders are addressing the environmental and human rights concerns raised by some local stakeholders and media outlets. As the project continues, Schneider Electric will continue to engage with stakeholders and to monitor relevant remediation actions.

Overall, Schneider Electric is confident that the work with EACOP is consistent with its ethical and sustainability standards.

Risk review of customers' projects

At Schneider Electric, delivering solutions in complex and sensitive environments requires a comprehensive approach to risk management. The Group Solutions Business Process Policy establishes clear rules and responsibilities to ensure that all risks – including those related to affected communities – are identified, assessed, and addressed before any commitment is made. This policy applies globally and covers operational, legal, financial, supply chain, and ESG risks, reflecting Schneider Electric's commitment to responsible business conduct and stakeholder expectations.

The ESG risk review process is structured and integrated into the earliest stages of the opportunity lifecycle. Major solutions are screened for ESG risks from the outset, with assessments covering environmental impact, human rights, and governance considerations. When a project presents heightened sensitivity or potential controversy, the process includes escalation to a dedicated ESG Committee composed of senior executives. This ensures that decisions on such projects are taken at the highest level of the organization, with full consideration of the potential impacts on communities and alignment with Schneider Electric's commitments and values.

Risk management at Schneider Electric is a collective and transparent process, involving all relevant functions and levels of the organization. Every employee engaged in the business solutions is expected to apply their expertise to anticipate and mitigate risks, working collaboratively and proactively with colleagues across disciplines. The Solutions Risk Management (SRM) team plays a central role in coordinating a 360° risk review, bringing together subject matter experts to provide management with an unbiased and consolidated analysis. This aims at ensuring that decisions are made with a full understanding of potential impacts on communities, reputation, and long-term value creation.

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2.3.3.8 Opportunities

Beyond mitigating the negative impacts linked to its value chain, Schneider Electric also seeks to have a positive impact by implementing various programs on employment, education, training, entrepreneurship, women empowerment, infrastructure improvement, access to green energy, and non-discrimination (based on ethnicity, gender, religion, etc.). The absence of such initiatives by Schneider Electric could lead to adverse consequences, such as the perpetuation of inequality, a lack of opportunities for marginalized communities, and a deterioration of living and working for the individuals concerned.



Read more on these programs in section 3.2 on page 218.

2.3.3.9 Targets

Cycle	Targets ⁽¹⁾	Detail
2021-2025	SSE #17 Suppliers Vigilance	4,000 on-site and remote supplier audits as part of the vigilance plan
	SSI #4 Green Materials	Increase green material content in products to 50%
2026-2030	Sustainability Impact 2030 / Industry Catalyzer	50% of materials selected to provide superior environmental and social value

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to 2.1.

2.3.4 Consumers and end-users | ESRS S4

2.3.4.1 Personal safety of consumers and end-users

Context

Schneider Electric deeply values the trust that customers and employees place in its products and services to ensure their safety and protect their property. Learning from events in other industries, Schneider Electric understands the importance of quality to customers and the potential brand damage that can result from a loss of trust and perceived quality. Consequently, Schneider Electric has elevated its already high standards to set a new benchmark for quality in the industry. Continuous quality improvement is now a central element of the organization's strategy and is fundamental to achieving its overall business purpose and mission. Recognizing the benefits of delivering superior quality, the Group has accelerated its Company-wide quality transformation.

Impacts, risks, and opportunities

Personal safety of consumers and end-users

Negative Impact Trigger physical harm or property damage

Schneider Electric operates globally with a wide-ranging portfolio of customer solutions. The corresponding complexity of the product portfolio and supply chain brings with it risks and opportunities for quality. Many of the Group's solutions serve mission-critical industries where product quality and safety are a critical topic. Consumers and end-users subject to product usage risks and defaults in implementation resulting in physical harm or property damage are mainly panel builders, system integrators, IT solution providers, electricians, digital and service providers, specifiers, and end-users.

Product malfunctions or failures could result in Schneider Electric incurring liabilities for tangible or intangible damages, or personal injuries. The failure of a product, system, or solution may not only pose a risk to the physical integrity or property of Schneider Electric's customers, but it can also entail costs related to product recall, result in new development expenditure, and consume technical and economic resources, on top of brand or reputational damage.

Schneider Electric's products are also subject to multiple quality and safety controls governed by national and supranational regulations and standards. Maintaining compliance with new or more stringent standards or regulations could result in capital investment. At the end of the day, these quality controls pretend to impact positively all the consumers and end-users mentioned above. Risks identified by Schneider Electric regarding products, projects, system quality, and offer reliability can be:

- Design-related safety, compliance, and quality concerns.
- Manufacturing and logistic problems.
- Field execution and services related.
- Software security and quality.
- Supplier and supply chain-related.

The risk of design-related safety and quality concerns can specifically have negative impacts on the consumers in the middle of the value chain, such as electricians or panel builders. The above-mentioned risks could significantly impact the Group's financial performance. The business reputation of Schneider Electric could also be negatively impacted.

Schneider Electric Quality Policies

The policy of Schneider Electric is to propose only products, solutions, and services that are safe when properly used for their intended purpose or for other reasonably foreseeable purposes. In this sense, Schneider Electric Quality Policies contribute to a continuous effort by the Company to avoid any product usage risks and defaults in implementation resulting in physical harm or property damage.

At Schneider Electric, the "Customer Satisfaction and Quality network" covers all layers, functions, global supply chain, operations, and lines of businesses.



Schneider Electric's Quality Policies are available to all stakeholders including consumers and end-users on www.se.com

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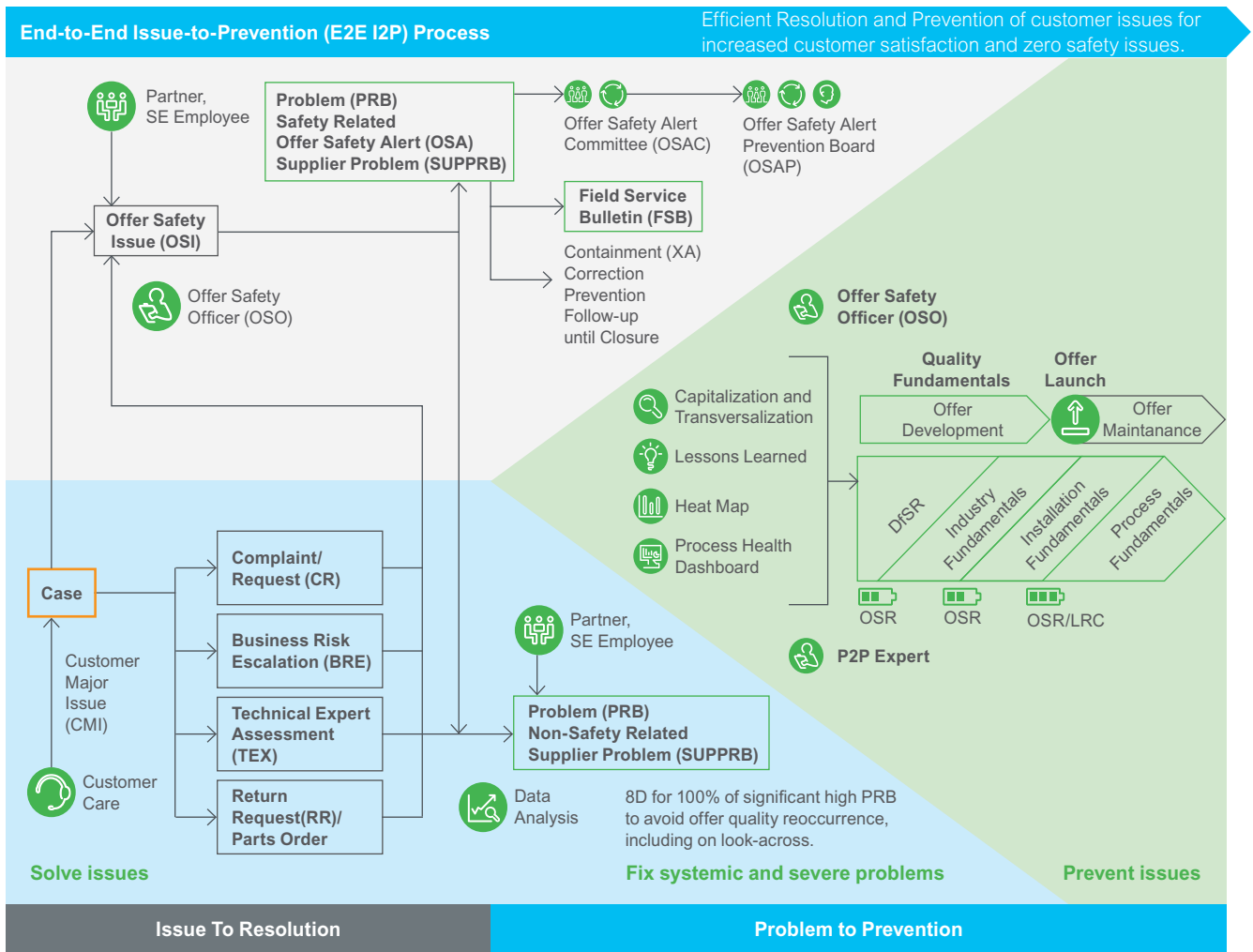
Identifying, addressing, solving, and preventing safety quality issues

The full understanding of the different risks that may affect Schneider Electric's consumers and end-users is also frequently done throughout the year thanks to a deep analysis of all the product recalls received by Schneider Electric. This continuous analysis enables the Group to drive its activities and its quality guidelines in the direction of a proper personal safety of its consumers and end-users.

In line with the Quality Policy, it is the obligation of Schneider Electric to notify customers of any known safety issues caused by its offer that may result in bodily injury or property damage, and include instructions for immediate remedial actions, even after the end of the useful life of the offer.

To address this requirement, Schneider Electric has implemented several quality directives that require the application of systematic processes for all offers sold or manufactured by Schneider Electric:

- Quality Directive "Managing Customer Safety Risks". This directive requires the application of Schneider Electric's systematic processes to properly address potential offer safety risks of bodily injury or property damage discovered inside or outside Schneider Electric.
- Quality Procedure "Offer Safety Review". The overall objective of offer safety is to reduce the risk arising from the use of Schneider Electric's products, solutions, or services throughout their lifecycle. Offer safety reviews are conducted by Offer Safety Review Committees and are used to help ensure that offers are safe when properly installed (based on safety manual), maintained, and used for their intended purpose and other reasonably foreseeable use or misuse.
- End-to-End "Issue to Prevention" (E2E I2P) process. E2E I2P is designed to identify, address, and solve quality issues affecting the customer, and to understand and correct the root causes at the source of the issues and learning from that understanding to prevent the reoccurrence of similar issues in the future.



When the consumers and end-users of Schneider Electric are using the Customer Care service, a short satisfaction survey is proposed to evaluate their trust in its structures and processes, and to raise their concerns or needs and have them addressed. Contact information of the Customer Care service of the Group is available in the different communication and packages that the Group is continuously sharing with its consumers and end-users.

How the process works

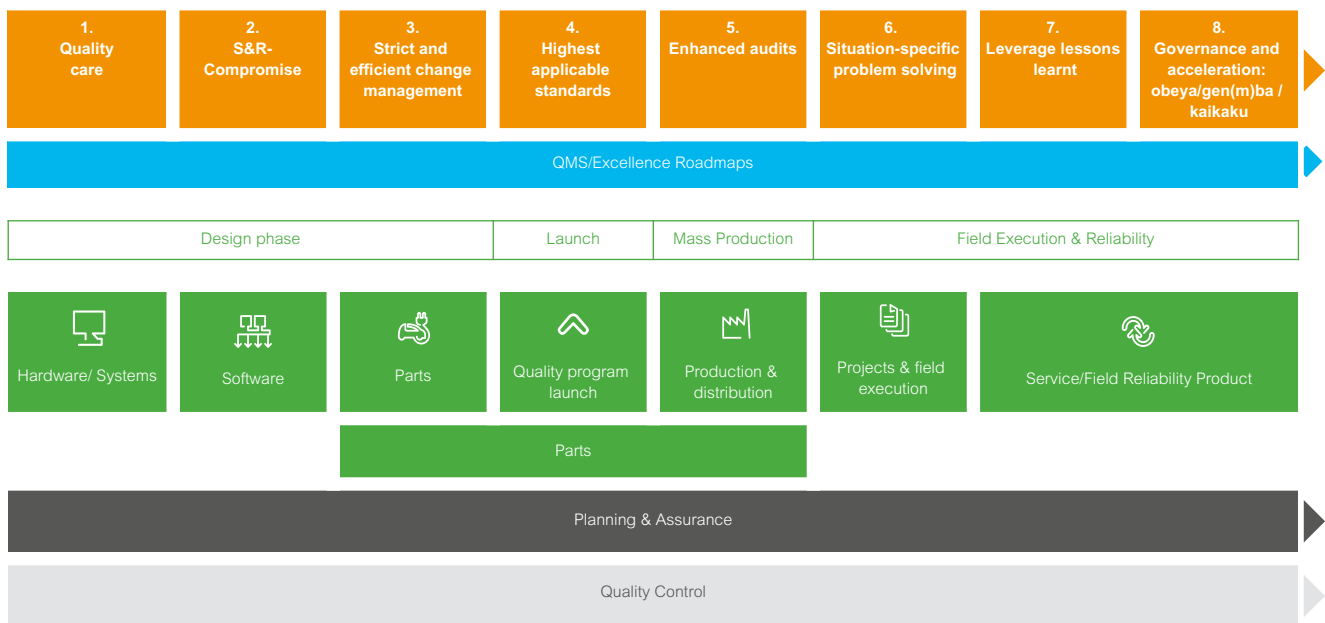
Within the E2E I2P process and aligned with the Quality Directive "Managing Customer Safety Risks," Schneider Electric has implemented a robust process for managing safety issues related to its offers. Any occurrence or near-miss involving bodily injury or property damage potentially linked to a Schneider Electric offer must be reported as an Offer Safety Issue (OSI) within 24 hours. Reporting does not imply liability or acknowledgment of a safety risk caused by a Schneider Electric product, but ensures proper expert analysis and eventual confirmation. The process emphasizes that concerns about confidentiality or cost should not delay reporting; employees can use the Schneider Trust Line if pressured not to report.

Once confirmed as a safety risk, the Offer Safety Alert process is triggered. A Problem Leader forms a cross-functional team to

identify affected products and customers, define urgent containment actions, and prepare communication strategy and remediation plans. The Offer Safety Alert Committee (OSAC) reviews risk analysis, draft notifications and proposed actions, giving a "Go" or "No-Go" decision. Upon approval, the team finalizes the remediation plan - including finalizing and approving the Product Safety Notice, Customer Letter, and supporting documents - and ensures supply chain readiness, and coordinates internal and customer communications.

Remediation owners in each country share safety notices and track customer acknowledgments until closure, validated by Country Presidents. Regular OSAC follow-ups ensure progress and formal closure. This process guarantees timely reporting, analysis, containment, and remediation of safety issues with clear governance and accountability.

Putting the quality strategy into action



Quality strategy

The Group integrated Quality Fundamentals into daily activities, on all its portfolio - including Projects and Services - to strengthen processes and establish standardization for proactive identification, prioritization, and mitigation of risks.

Schneider Electric's Quality Strategy embeds quality across the entire value stream, from design to field operations, ensuring safety, reliability, and customer satisfaction. This strategy is supported by significant resource allocation, including the creation of a Quality Academy, expansion of quality-focused roles, and deployment of Quality Fundamentals across all business functions. Thousands of employees have been trained through immersive workshops, reinforcing a culture where every employee, from frontline staff to executives, is accountable for quality.

Quality Management System and internal audit

A comprehensive Quality Management System integrates safety protocols and training into daily operations. Each job role has a defined safety curriculum, covering risk assessment, mitigation tools, and preventive measures. Regular internal audits ensure compliance and continuous improvement, while external audits – including ISO 9001 assessments and customer-led evaluations – validate product and service safety.

Product/service safety undergoes regular external audits as part of the ISO 9001 standards assessment conducted by external bodies. In specific situations, external audits focusing solely on product/service safety are performed by certification bodies or customers, either directly or through third-party organizations.

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The QMS has evolved to include strategic alignment, process optimization, and stakeholder collaboration. These audits not only ensure compliance but also uncover opportunities for improvement, helping Schneider Electric proactively manage risks and deliver positive outcomes for consumers and end-users.

Quality in design phase

To prevent material negative impacts, Schneider Electric launched a Design for Safety and Reliability Standard, introducing mandatory Quality Fundamentals for design. This ensures that new offers meet the highest safety and robustness standards. The Customer Satisfaction & Quality (CS&Q) function enforces strict compliance, halting launches that fail to meet quality criteria.

Recognizing the growing importance of software, the Company appointed a Software Quality Leader and introduced Software Quality Fundamentals based on DevSecOps (Development, Security, and Operations) and Agile principles. These initiatives aim to reduce defects, enhance reliability, and prevent harm to consumers and end-users.

Quality in industrialization and launch

The Group adopted Advanced Product Quality Planning (APQP) to improve product launches. This cross-functional approach brings together design, manufacturing, and service teams to co-create reliable and serviceable solutions. Quality Fundamentals were embedded into prototype and pre-series phases, and roles were redefined to strengthen accountability.

This "zero-defect" program ensures first-time-right launches, reducing the risk of recalls and enhancing customer trust. The effectiveness of these actions is tracked through performance metrics and customer feedback, ensuring continuous improvement.

Quality throughout the supply chain

Schneider Electric demonstrates zero compromise on safety and regulatory compliance through a robust Potential Failure Mode and Effects Analysis process to identify most important risks, achieving breakthrough risk elimination or mitigation actions across the supply chain in 2023 and sustaining this level through 2024 and 2025. Kaikaku (radical change) events were launched to embed quality fundamentals across hundreds of manufacturing and distribution lines.

To further the quality culture and accelerate transformation, the Group introduced a Quality Index to measure behaviors and outcomes, providing transparency, recognizing leading plants, and allocating resources to improve lagging sites. Change management was strengthened to assess risks before production, while Artificial Intelligence (AI) and machine learning are leveraged to detect weak signals and prevent issues.

Three major initiatives were launched within Schneider Electric's supply base in 2023 and reinforced over 2024 and 2025. First, the Supplier Qualification process was analyzed and updated for efficiency and robustness, including the addition of the Quality Fundamentals, software supplier qualifications, and counterfeit component programs. Second, the Group is standardizing on the widely known APQP process with external suppliers for new project offers. In addition to these new offers, the Group launched a program to apply the Production Part Approval Process (PPAP) to legacy critical parts and changes of suppliers. Finally, in support of the strategy, the Group continues to invest in building quality expertise, most recently expanding battery and electronics competencies.

Digital tools such as real-time process control, traceability, and statistical process control were deployed across 500+ manufacturing lines. These tools enhance transparency and enable rapid response to quality issues.

Leveraging Schneider Electric's formidable Smart Factory capabilities, the Group is innovating ways to digitally build-in quality. From process quality assurance and control to reducing administration, the Group has identified hundreds of applications for AI and machine learning.

Quality improvement

Schneider Electric's "Issue to Prevention" process continues to deliver valuable insights to root causes of problems and their responding improvement opportunities. The process was further strengthened through the implementation and verification of corrective and preventive actions, and by creating a mechanism to share learning horizontally across the Group.

All these actions cover all layers, functions, global supply chain, operations, and lines of businesses.

Targets

Cycle	Targets ⁽¹⁾	Detail
2021-2025	SSE #15	Reduce total number of safety recalls issued to 0
2026-2030	Out of Sustainability Impact 2030	Zero safety recalls issued

The Group has been impacted by three approved product recalls in 2025, against five approved product recalls in 2024. With the quality transformation, Schneider Electric has focused on correcting and preventing the reoccurrence of quality issues, seeing a substantial reduction in the number of safety-related product recalls to five in 2024, to three in 2025, against the 22 approved product recalls in 2023.

Through the combined effects of the enforcement of the Offer Safety management process and the deployment of the actions described above, the Group made progress setting a new standard for the industry by declaring its ambition to drive toward zero recalls by the end-2030 horizon. This ambition has been materialized by the implementation of the SSE #15 bringing visible results between 2024 and 2025 with a reduction of the units per recalls by 32%.



Read more on the methodology of SSE in section 4.1.2 on pages 250 to 255.

2.3.4.2 Data privacy

Impacts, risks, and opportunities

Data privacy of consumers and end-users	
Negative Impact	Risk private and sensitive information leaks
Risk	Potential legal risks

Schneider Electric strongly supports the fundamental rights to data privacy and protection and believes that the global implementation of a digital strategy must reconcile economic objectives and respect for fundamental human rights, including the right to protection of personal data and privacy.

As part of the mission to deliver connected solutions that help consumers manage energy consumption, from their homes to electric vehicles, Schneider Electric processes data related to lifestyle and usage patterns. In the unlikely event of a security incident, unauthorized disclosure could impact consumer privacy and trust. This is why data privacy and protection are core priorities at Schneider Electric, supported by robust policies, processes, and technologies designed to minimize risk and uphold the highest standards of privacy and compliance. Schneider Electric cybersecurity and data protection policies, processes, and measures are designed to minimize the likelihood of the risk to consumers' private life materializing.

To be transparent to consumers about data protection, the Group engages with them through various touch points. Consumers browsing the Group's website can access the online data privacy policy and cookie notice of Schneider Electric for information about online data processing activities. For specific information about data processing activities (processing purposes, data categories, data sharing, etc.) carried out in the framework of connected product offers, consumers can consult the related privacy notice, prepared considering internal Privacy Notice Guidelines.

Additionally, consumers can contact Schneider Electric to exercise their data protection rights at the email address: Global-Data-Privacy@schneider-electric.com or on a web form available in the online data privacy policy. They can also raise questions on data processing or data protection or make a complaint at this email address: DPO@schneider-electric.com or this post mail address: DPO, 35 rue Joseph Monier CS30323, 92506 Rueil-Malmaison – France. The Group CCC (Customer Care Centers) are also available for customer requests.

Various mechanisms are available to collect and address consumers' concerns related to a data protection risk. Schneider Electric has put in place a Trust Line, where anybody can report a violation of the Trust Charter (Schneider Electric's Code of Conduct), the policies, or the law. Through this Trust line, there was as well no severe human rights issue connected to Schneider Electric's consumers and end-users in 2025.



The Trust Line can be accessed at www.se.com

Schneider Electric has implemented a process where anybody can report security vulnerabilities or incidents so they can be addressed by its SOC, which operates 24/7/365.



Cybersecurity reports can be made via Schneider Electric website on www.se.com

Internal reporting channels are also available. Potential data breaches, impacting personal information, are considered Priority 1 incidents which are investigated, assessed, and remediated in accordance with Schneider Electric's Cybersecurity Incident Management Policy by Company security and privacy teams. Also, as indicated above, internal processes are in place to collect and then fulfill consumers' individual rights requests and claims in a timely manner, with the support of relevant teams, local country privacy contact, and the DPO Office.

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to 2.1.

2. Sustainability statements

Policies and governance

The Group's Trust Charter, Data Charter, Data Golden Rules, Binding Corporate Rules (BCR), Data Privacy Policy, cybersecurity policies, and internal standards and procedures provide the foundation for Schneider Electric's global commitment to the protection of consumers, and end-users' data privacy and protection. They address key data privacy and protection controls such as:

- Data Privacy Principles of purpose limitation, fairness and lawfulness, proportionality, data quality, individual rights protection, security, transparency, and storage limitation (Data Privacy Policy, BCR, Privacy by Design Guidelines, Data Retention Policy, Data Deletion Policy, Data Classification Policy).
- Data sensitivity (Data Classification Policy, Data Masking Standard).
- Vendor management (Data Privacy Policy and Supplier Security Management Policy).
- Data retention limitation (Data Retention Policy and Data Deletion Policy).
- Accountability (Data Privacy Policy, Digital Certification Procedure).
- Security (User Access Management, Password & Authentication Requirement, Network Security, Back-up and Recovery, other cybersecurity policies).
- Data breach management (Cybersecurity Incident Management Policy and Crisis Simulation Policy).
- Data localization and cross-border data transfers (Data Privacy Policy, BCR, Data Residency Policy).

The Group's overarching General Information Security Policy and all supporting security policies are in line with broadly recognized industry standards and regulations such as ISO 27001, NIST Cybersecurity Framework, and ISA/IEC 62443). ISO 27001 and ISO 27701 demonstrate Schneider Electric's ongoing commitment to manage the high-value assets securely in compliance with regulations.

The Data Privacy Policy is updated yearly taking into consideration key regulatory frameworks such as the General Data Protection Regulation (GDPR), California Consumer Privacy Act (CCPA), and Personal Information Protection Law (PIPL). Schneider Electric's BCR have been updated as needed to address new regulatory requirements and submitted to the Group's Lead Supervisory Authority.

The Group's Privacy by Design Guidelines, reference document for developers of product offers, have been drafted in consideration of multiple recognized frameworks, including GAPP – Generally Accepted Privacy Principles (2009), ISO 29100:2011 – Information technology – Security techniques – Privacy framework (2011), OECD – Privacy Framework (2013), APEC – Privacy Framework (2015), Council of Europe – Convention 108+ (2018), and regulations including GDPR, CCPA and PIPL.

Schneider Electric closely follows regulatory and standards evolutions and trends. It is:

- A founding member of the ISA Global Cybersecurity Alliance and a member of both the Paris Call and Cybersecurity Coalition.
- A signatory of the Cybersecurity Tech Accord and works with partners towards addressing supply chain security.
- An active contributor to the WEF's Cybersecurity Center, sitting at the advisory board of its Oil and Gas group to strengthen resilience across the industry, leveraging collective intelligence and expertise.
- A Gold Member of the IAPP, International Association of Privacy Professionals.
- An active contributor to the CEDPO – Confederation of European Data Protection Organizations – and AFCDP – *Association Française des Correspondants à la Protection des Données* (French Association of Data Protection Practitioners).
- A member of the Information Technology Industry (ITI) Council.

Cybersecurity and data protection policies are foundational to the Group's security and data protection posture as they are compulsory for all employees and contractors. These policies are made available to employees on Schneider Electric's intranet in a policy-dedicated platform. The Group's internal Data Privacy Policy is also accessible in a link available at the bottom of the Schneider Electric intranet and in a Data privacy-dedicated page. Schneider Electric's policies set management's tone and provide requirements for secure behaviors (people), practices (processes), and environment (data and technology) throughout the Group.

Schneider Electric's data governance ecosystem revolves around a network of Data Officers, coordinated by Chief Data Officers in geographies and functions, who are responsible for implementing the Group's Data Golden Rules and Data Privacy Policy within their perimeters. A Group Data Protection Officer (Group DPO), a DPO Office, and a network of Data Privacy Contacts in key countries advise on data privacy obligations and monitor compliance.

To support the implementation of the Data Privacy Policy, a dedicated framework has been established to serve as a roadmap for Data Privacy Contacts, helping them to apply the necessary compliance controls. In addition, regular training and awareness sessions are held with this community to maintain engagement and keep them informed of any policy or regulatory changes. An annual Data Protection Assessment is also conducted to evaluate the maturity level achieved in applying the framework. This includes targeted reviews and evidence-based validation to ensure that the reported maturity levels are accurate.

A central body governs the Company-wide cybersecurity portfolio, coordinating the execution of strategic and operational initiatives, and orchestrating a broader community of security practitioners distributed across businesses and territories.

Action plan

Schneider Electric has been building its data protection program around various processes including:

- Digital Certification – Every digital asset is assessed for security and privacy controls before launch, as required by policy.
- Individual Rights Management – Requests handled via central contact points, supported by a request form and workflow tool rolled out in 2024–2025.
- Supplier Data Protection – Data Protection Addenda secure personal information; Security and privacy due diligence performed on critical suppliers.
- Data Processing Register – Inventories data processing activities.
- Data Breach Management – Processes to identify, investigate, log, and notify required parties.
- Maturity Matrix – Tracks progress in personal data protection.

The Offer Lifecycle Management integrates Secure Development Lifecycle principles, embedding cybersecurity, data protection, and privacy requirements from design through development. Privacy by Design Guidelines guide technical specifications. Completed products undergo risk-based assessments, including:

- Formal Cybersecurity Review (FCSR);
- Mobile Applications Governance; and
- Digital Offer Certification, in accordance with the Digital Certification Policy.

The Company regularly revisits and strengthens its data protection processes and measures. Several actions are ongoing, including:

- A data privacy and protection program has been rolled out in Europe, the USA, China, India, and other key countries through a Data Golden Rules checklist and a Data Privacy Playbook. It provides a governance model and covers essential components such as data privacy awareness, the inventory of data processing activities, the provision of privacy notices, the identification of activities requiring DPIAs (Data Protection Impact Assessments) and their performance, and supplier DPAs.
- To monitor progress and maturity, annual Data Protection Assessments are performed in each country, reviewed by the Global Privacy team and reported to the Chief Data Officer
- Annual training and awareness campaigns are made (either global or tailored to a specific population in countries or functions), with updated GDPR and global privacy training planned for 2026.
- To facilitate the exercise of their data protection rights by consumers, a dedicated web form accessible via the online privacy policy on the Group's website was implemented (2024–2025), supported by a workflow management tool to ensure a streamlined process.

An online complaint collection form will be made available to data subjects via the online privacy policy on se.com in the course of 2026.



Targets

Cycle	Targets ⁽¹⁾	Detail
2021-2025	N/A	N/A
2026-2030	Out of Sustainability Impact 2030	100% completion of Privacy by Design training by employees involved in designing & developing offers that process consumer personal data

The Group ambitions to have a Privacy by Design training completed by 100% of its employees involved in design and development of offers processing consumer personal information, by 2030.

Schneider Electric has developed data privacy training modules targeting roles responsible for Data Protection and Privacy, such as but not limited to Security and Protection Advisors. This will be rolled out as a priority within its Home Solutions Division with targeted employees involved in the launch of a new Offer or of a new version of an existing Offer. Considering offer development cycles, the Group expects to have trained 100% of the targeted employees by the end of 2030. Training completion will be monitored through internal tools.

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to **section 2.1**.

2.4 Governance information | ESRS G1



In this section

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2.4.1	Zero tolerance for corruption	177	2.4.2	Supplier Relationship Management and late payment prevention 181
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Introduction

This section presents comprehensive information on the European Sustainability Reporting Standard (ESRS) G1. This standard guides the reporting on responsible business conduct, covering ethical behavior, fair commercial practices, and the governance systems that support integrity and accountability across the organization.

This section is divided in three subsections:

1. **“2.4.1 Zero tolerance for corruption | ESRS G1”** outlines the Group’s approach to preventing, detecting, and addressing any form of corrupt behavior. It presents the strategies designed to strengthen ethical conduct across all operations; and the reporting channels and monitoring mechanisms in place to mitigate risks and ensure full compliance with applicable anti-corruption regulations.
2. **“2.4.2 Supplier Relationship Management and late payment prevention”** explains how Schneider Electric promotes responsible and fair business practices within its supply chain. It details the processes for assessing suppliers, monitoring compliance, and preventing late payments, in line with regulatory requirements, to support a resilient and sustainable value chain.
3. **“2.4.3 Cybersecurity”** describes the Group’s efforts to protect its digital environment, safeguard data, and ensure the resilience of its operations. It outlines how its measures support regulatory compliance and reinforce trust among customers, employees, and other stakeholders.

2025 highlights

98.3%

Of the functions-at-risk having completed the anti-corruption and anti-bribery training program.

0

Convictions for violation of anti-corruption and anti-bribery laws.

Top 25%

In external ratings for Cybersecurity performance.

80%

Of invoice payments aligned with standard payment terms.

2.4.1 Zero tolerance for corruption

2.4.1.1 Context

Corruption is illegal and refers to the abuse of entrusted power for private gain. It damages ecosystems by eroding trust and confidence, which are crucial for sustainable economic and social relationships. Additionally, corruption poses threats to the rule of law, democracy, and human rights. It undermines good governance, fairness, and social justice, distorts competition, hampers economic development, and jeopardizes the stability of democratic institutions and the moral fabric of society.

2.4.1.2 Impacts, risks, and opportunities

	Corruption and bribery
Risks	Debarment from public tenders or public funds
	Potential legal proceeding, prosecutions, sanctions, and fines
	Reputational damage
Negative Impacts	Pressure on own employees to participate in corrupt practices
	Pressure on suppliers and/or contractors to participate in corrupt practices

Schneider Electric's exposure to corruption risk materializes through various negative factors, in particular:

- Pressure on Schneider Electric's own employees to participate in corrupt practices, potentially leading to personal judicial consequences, and a decline in employees' morale and engagement; and
- Pressure on suppliers, channel partners, and contractors to participate in corrupt practices, such as pay bribes to secure contracts or payments.

Moreover, the Group faces significant legal and reputational consequences associated with corruption, including:

- Legal consequence: potential fines related to non-compliance with laws and regulations, such as December 9, 2016, French law known as the Sapin II law, which could result in fines of up to EUR 500 million.
- Reputational consequence: reputational damage with media exposure, potentially impacting stakeholder trust and brand perception.

By contrast with those risks, there is competitive advantage in approaching this proactively. Companies can experience significant improvements when they hold themselves to high standards of integrity. The primary benefits range from increasing employee satisfaction, improving workplace culture, maintaining legal compliance, and strengthen public reputation. It can also reinforce the engagement and loyalty of customers, partners, suppliers, and local communities.

2.4.1.3 Policy

Anti Corruption Policy

The Anti-Corruption Policy was updated in 2021 and signed by Jean-Pascal Tricoire, the then Chief Executive Officer & Chairman, and Hervé Coureil, Chief Governance Officer & Secretary General. This policy has been undergoing an update in 2025 to consider the 2024 risk assessment results and to align it with the requirements of the United Nations Convention against Corruption, and will be published in 2026.

The Anti-Corruption Policy meets the requirements of the French Sapin II law, to consider results of the Ethics & Compliance risk mapping, including potential negative factors faced by Schneider Electric businesses and operations, and to provide employees with examples illustrating situations they may face. The policy considers the results of the risk assessment conducted with key internal stakeholders across all Group processes, as well as benchmarking actions to understand the expectations of external stakeholders, ensuring it is appropriately aligned. Furthermore, in countries where legislation requires it, work council reviews have been organized to consider social dialogue.

This policy acts as a handbook for all Schneider Electric employees and affiliates to be consulted when in doubt about the appropriate behavior to adopt. It is not intended to address every issue one may encounter, but it provides appropriate examples of corruption risks and offers guidance to resolve many ethical dilemmas. The policy aims to mitigate the risks identified in section **2.1.2.5 Double materiality assessment results**. In case of serious doubt about the behavior of a third party or an employee which may be potentially contrary to the provisions of the policy, it sets out the process to report the concerns through the whistleblowing system.



Schneider Electric's Anti-Corruption Policy is available publicly on www.se.com

2. Sustainability statements

Conflict of Interest and Gift & Hospitality policies

To reinforce the Anti-Corruption Policy, Schneider Electric has established specific policies and procedures on Conflict of Interest and Gifts & Hospitality updated respectively in 2025 and 2023, accompanied by extensive digitalization, simplification, and clarification of the processes. These enhancements were made with a particular focus on providing practical examples to facilitate comprehension. To ensure that employees grasp the modifications effectively, a range of informative and explanatory resources have been made readily accessible, communicated through various channels, and explained in various awareness sessions. At Group level, communication on large events, such as the Paris Marathon or Innovation Summits, are consistently paired with reminders of the Gifts & Hospitality policy requirements, reinforcing the Group's commitment to ethical practices.

Governance

As stated in the Trust Charter and Anti-Corruption Policy, Schneider Electric has zero tolerance for corruption and is committed to comply with all applicable anti-corruption laws. This commitment is demonstrated by strong and continuously developing anti-corruption actions, which are part of the Ethics & Compliance program. The Ethics & Compliance program is led by the Ethics & Compliance department, under the authority of the Chief Compliance Officer, to ensure its efficiency through a dedicated Compliance Program team in close collaboration with the Anti-Corruption Controls and the Fraud Examination teams.

The Compliance Program team is made of a central team, covering Policy, Awareness, Learning & Change Management; Compliance Operations; and Risk & Control, and is locally operationalized by Regional Compliance Officers under the supervision of their regional Ethics & Compliance Committees defining the local strategy, and supported by a community of Ethics Delegates, Schneider Electric's network of trusted ambassadors locally. Ethics Delegates are well-respected employees with high personal integrity to support the promotion of the Ethics & Compliance program, influence behaviors, and help embed ethics and compliance in daily business practices across Schneider Electric. In 2025, the community grew to over 700 Ethics Delegates, representing over 70 countries. This global and locally animated network actively supports Regional Compliance Officers, fostering a strong culture of ethics and compliance throughout the organization.

Schneider Electric's Board of Directors oversees the maturity level and effectiveness of the governance and organization, risk management systems, processes and controls, and communication and training through the Audit & Risks Committee.

2.4.1.4 Action plan

Management commitment

Group management demonstrates unwavering commitment to anti-corruption efforts through their actions and initiatives. Management regularly releases informative videos, which are extensively communicated to all employees, and which highlight the Company's zero-tolerance policy towards corruption, emphasizing the importance of integrity and ethical decision-making at all levels of the organization.

The program is supervised at Board level, by the Executive Committee through the Group Function Committee, and through dedicated committees, notably for the anti-corruption controls program. These committees also approve certain program actions, including risk mapping. Management has also made some call for actions to all middle- and first-line managers through dedicated communication channels.

Risk Mapping and Compliance Framework: To meet the legal obligations specified by the Sapin II law, the Company launched a risk mapping exercise focusing on corruption risks in 2018. In 2024, this risk assessment was updated as part of the new Ethics & Compliance risk mapping.

The process at regional level was as follows:

- **Step 1** – each region defined its local risk universe considering local specific risks.
- **Step 2** – each region assessed its gross risks and effectiveness of its local mitigation measures, generating a mapping of regional net risks. In addition, a global risk mapping was consolidated at Group level.
- **Step 3** – each region defined action plans to reduce the risk exposure. In addition, a set of global action plans was established at Group level.

Separate from the risk assessment carried out in 2024, Schneider Electric established specific risk maps for newly acquired entities currently being integrated.

Risk-Based Anti-Corruption Program: Based on the Ethics & Compliance risk mapping results, Schneider Electric adopts a risk-based anti-corruption program. To this end, Schneider Electric focuses on "at-risk" employees in third party-facing roles and therefore are involved in activities representing potentially a risk exposure from a compliance standpoint. They are identified through job activities based on risk assessment results, Internal Audit recommendations, and whistleblowing cases. The list is reviewed yearly to update job codes and add new ones if needed, based on new risk identification. The 2025 list contains 504 different job codes categorized into various job families. 85% of the affected population is distributed across the following key job families: Customer Projects & Services, Finance, Sales, Procurement, and Marketing.

Awareness

Through its internal communications, Schneider Electric aims to provide employees with essential baseline information on the Company's commitment to integrity. In 2025, several communication campaigns on anti-corruption were organized within the Company, with specific focus on third-party management and anti-corruption controls, gifts, and hospitality, as well as conflict of interest, to support the 2025 Annual Conflict of Interest Disclosure Campaign for targeted employees exposed to conflict of interest risks. The objective was to effectively communicate updates on the anti-corruption program, enhance employee awareness of corruption risks, and equip them with the necessary tools to address them, encouraging them to seek help whenever needed. Schneider Electric also regularly shares other communication assets on integrity-related subjects to its employees.

Schneider Electric organized a live event on December 9, 2025, to raise awareness about combating corruption. The event aimed to educate employees on preventing unethical conduct through real stories of how Schneider Electric manages corruption risks.

Schneider Electric communicates externally to stakeholders about its commitment to integrity and the execution of the anti-corruption program. This communication is carried out through a dedicated webpage and specific external channels. Additionally, the Company actively engages with various extra-financial rating organizations by responding to their questionnaires on anti-corruption related matters.

Training

- Schneider Electric has developed a suite of anti-corruption e-learning, providing guidance on real life risk scenarios, designed to meet the trainees' needs and expectations. Trainings are supported by videos from top leaders demonstrating the "tone at the top", are available in 14 languages, and are mandatory for all targeted employees exposed to corruption risks, are identified by the corruption risk mapping. In 2025, those e-learning were rolled out to more than 73,000 employees, with a completion rate of 98.3%

Moreover, the year saw ad hoc anti-corruption learnings delivered to specific audiences in functions deemed to be priorities (e.g., Finance). In 2025, the Anti-Corruption Essentials was also taken by Schneider Electric's Board members.

98.3%

percentage of at-risk functions employees that have completed the anti-corruption training programs (98.9% in 2024); this percentage is related to the SSE #13 scope and so differs from the scope of the sustainability statements (CSRD).

Third-parties due diligence

Third-party relationships may create risks for companies, including corruption exposure and impact on brand and reputation. Conducting third-party due diligence is important to make informed decisions and avoid potential compliance, regulatory, and reputational issues. To this end, Schneider Electric has established procedures to prevent, detect, and manage corruption risks in business relationships. These procedures involve steps such as risk assessment, screening, investigation, review, and audit. They ensure that adequate actions are taken to mitigate risks effectively.

Customers and suppliers: When forming relationships with customers and suppliers, Schneider Electric employs a meticulous screening and continuous monitoring process supported by automated tools and risk matrices to assess the risks of corruption and export control. High-risk cases trigger enhanced due diligence. Continuous monitoring ensures timely updates and mitigation actions.

Business Agents: Schneider Electric has a policy on intermediaries, called "Business Agents". Their use is strictly limited and subject to strong governance. Due diligence on Business Agents focuses on corruption and integrity risks, supported by screening against sanctions lists and adverse media, mandatory questionnaires, compliance certifications, and continuous monitoring. A dedicated set of anti-corruption controls applies to these engagements, including contractual safeguards, approval workflows, and compliance attestations. In addition, Schneider Electric leverages anomaly detection techniques to identify unusual patterns in transactions and reinforce preventive measures.

Sponsoring and donations: Comprehensive risk screenings are conducted to ensure legal and ethical operations in sponsorship activities and to mitigate corruption and reputational risks. Additionally, Schneider Electric's Philanthropy program is governed by strong practices, including thorough due diligence to assess donation-related risks in compliance with laws and local contexts. Specific anti-corruption controls are applied to these activities, such as mandatory documentation, approval chains, and verification of beneficiaries. Furthermore, anomaly detection is used to monitor for irregularities and reinforce transparency in sponsorship and donation processes.

2. Sustainability statements

Mergers and acquisitions: A specific process was put in place to ensure compliance of M&A operations with anti-corruption and export control regulations. The process aims to identify, manage and mitigate those risks at the earliest possible stage and plan how to integrate the acquired entity through dedicated Trust Standards.

Schneider Electric is also a third party for its clients and is subject to evaluation as such. The Group regularly responds to questionnaires and other additional requests regarding the Company's compliance policies, programs, trainings, governance, and audit controls. To respond to those requests, the Group has a dedicated internal platform – called Trust Center, which centralizes documentation and ensures timely and consistent responses.

Whistleblowing

At Schneider Electric, stakeholders may report potential violations of the Anti-Corruption Policy either by contacting an appropriate person in the Group and/or by using the Trust Line, Schneider Electric's whistleblowing system. Additionally, for the reporting year 2025, Schneider Electric was not convicted for any violation of anti-corruption and anti-bribery laws, same as in 2024.



Read more on the **Whistleblowing Policy and grievance mechanisms** in section 2.1.1.3.

Anti-corruption accounting controls

Schneider Electric implemented enhanced accounting control procedures to prevent corruption. In 2022, a cross-functional program was launched, involving Accounting, Internal Control, Digital, Ethics & Compliance, Procurement, Sales, and Marketing teams. The program focused on digitalizing preventive and detective controls, with sponsorship from Executive Committee members. Priorities were determined based on the 2024 Ethics & Compliance risk assessment, covering areas such as Gifts & Hospitality, Travel & Expenses, Sponsorship, Donations, Business Agents, Marketing Development Funds, and Performance Bonuses. Throughout 2025, the Group continuously reviewed and adapted this controls framework, which was also independently assessed through an Internal Audit mission.

Monitoring, audit, and continuous improvement

Schneider Electric continuously assesses and updates its processes and action plans related to the prevention and detection of corruption. This involves a comprehensive approach that considers various factors such as risk assessment results, internal control, audit, and whistleblowing findings, and aligning with the expectations of relevant authorities. By integrating insights from these sources, the Group ensures that its actions plans are robust, adaptive, and aligned with evolving regulatory requirements, thereby reinforcing its dedication to combating corruption and upholding the highest standards of integrity. Annually, the Group conducts comprehensive evaluations of the action plans to gauge their effectiveness. Through in-depth result analysis, the Group gains valuable insights that inform its continuous improvement efforts.

In addition, the anti-corruption program is part of the Group's second line of defense data-driven and dashboard-monitored control program and the Group's Internal Audit program with specific tasks related to anti-corruption. Schneider Electric also continued to execute in 2025 the central monitoring of key anti-corruption processes such as Business Agents, Conflict of Interest, Gifts & Hospitality, and Whistleblowing. The outcome of these controls is regularly shared with key stakeholders to ensure continuous process and design improvements, including through an automated dashboard that is updated monthly and shared with Regional Compliance Officers.

Alongside investigations initiated through whistleblowing channels, advanced anomaly-detection capabilities leveraging artificial intelligence have been implemented. These tools draw on established fraud-risk indicators and detection models to review millions of transactions and identify unusual or high-risk activity. Alerts generated through these systems are assessed and, where appropriate, can lead to formal internal investigations. This proactive approach has delivered significant results in recent years.

In November 2025, Egypt, Jordan, and Iraq achieved ISO 37001 certification for the Anti-Bribery Management System. The insights and lessons learned from this certification process will support Schneider Electric in evaluating the geographical expansion of this initiative.



For more details on Group Internal Audit, please refer to chapter 3, **pages 361 to 370** of the 2025 Universal Registration Document.

2.4.1.5 Target and metric

Anti-corruption target

Cycle	Targets ⁽¹⁾	Detail
2021-2025	SSE #13 Train our employees on Cybersecurity and Ethics every year	Schneider Electric aims to have 100% of its employees trained in Ethics (Trust Charter and Anti-Corruption for eligible employees)
2026-2030	Out of Sustainability Impact 2030	100% annual completion of Anti-corruption training

Schneider Electric aims to have 100% employees trained in Ethics (Trust Charter and Anti-Corruption for eligible employees) and Cybersecurity as part of SSE #13 commitment. By the end of 2025, SSE #13 achieved a 98.3% completion rate. The scope of this SSE #13 differs from the scope of the sustainability statements (CSRD) mentioned below.

 [Read more on the methodology of SSE in section 4.1.2 on page 250.](#)

Metric on prevention of corruption and bribery

Anti-corruption and bribery training

	At-risk functions	All Managers ⁽²⁾	Other own employees
Training coverage			
Total	74,576	16,011	83,089
Total receiving training	73,336	12,411	10,571
Frequency			
How often training is required	Annually	Annually	Annually
Topics covered			
Corruption	✓	✓	✓
Facilitation payments	✓	✓	✓
Conflict of interest	✓	✓	✓
Gifts and hospitality	✓	✓	✓
Business Agents	✓	✓	✓
Policies dedicated	✓	✓	✓
Speak Up mindset	✓	✓	✓

This analysis shows that 98.3% of the functions-at-risk have completed these training programs compared to 96.9% in 2024.

2.4.2 Supplier Relationship Management and late payment prevention

2.4.2.1 Context

Schneider Electric focuses not only on business results but also on the impact across its value chain, aligning with suppliers to reduce environmental impact, create social value, and build long-term resilience – enhancing transparency, mitigating risks, and driving industry-wide sustainability as a business opportunity.

2.4.2.2 Global supply chain

Schneider Electric is one of the most local of global corporations, with a uniform revenue footprint across major geographies. While this provides a balanced market position, it also results in a supply base that is distributed across the world. In 2025, Schneider Electric sourced goods and services from more than 50,000 suppliers, amounting to a spend of approximately EUR 19 billion. This diverse supply base represents a unique combination of mature companies operating on a global scale, and small and medium scale enterprises serving local or niche markets and categories, providing simple assembly to complex manufacturing activities.

Deeply committed to advance the United Nations Sustainable Development Goals (UN SDGs), and delivering solutions for sustainability and efficiency, Schneider Electric is in a unique position to influence and support its supply chain partners across the world to embrace more sustainable social and environmental practices.

(1) For more information about the differences between the SSI-SSE 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to **SSI reporting perimeter in section 1.1.2.3 page 11.**

(2) All the managers within Schneider Electric are considered here, whether they are at-risk function employees or not.

2. Sustainability statements

2.4.2.3 Impacts, risks and opportunities

Supplier relationship management	
Negative Impact	Compromise suppliers' financial stability
Positive Impact	Promote maturity on human rights, decent work, and fair business practices

Owing to the size, scale, and nature of the Group's operations, its operating environment can have a direct negative impact on the overall financial stability of all its suppliers, and is directly impacted by climate change, resource scarcity, and potential human rights issues across its global supply base. By engaging suppliers in specific, through time-bound programs, the Group can create concerted actions which deliver tangible results.

Schneider Electric drives measurable progress on human rights, decent work, and fair business practices by actively reducing risks for workers and affected stakeholders across its value chain. By reinforcing ethical conduct, anti-corruption controls, and responsible sourcing, Schneider Electric supports a business environment where suppliers, employees, and communities directly benefit from higher standards of transparency, integrity, and respect for human dignity. This approach contributes to tangible improvements in people's wellbeing and more resilient, sustainable value chains.

The business ethics that Schneider Electric is continuously implementing also have the purpose of helping to avoid some risks such as suppliers' financial instability.

2.4.2.4 Sustainable procurement framework and strategy

Schneider Electric has deployed a sustainable procurement framework, which institutionalizes mechanism to proactively screen, identify, and mitigate sustainability risk from suppliers and embed preventive controls into the procurement processes. This aims to embed sustainability in the routine operational activities of all Procurement teams working around the world.

The framework identifies key ESG thematic areas where Schneider Electric can drive industry transformation. By collaborating with supply partners on climate action, circularity, and human rights – and challenging the status quo – the Group unlocks new growth opportunities. Its ambitious sustainability roadmap inspires partners as industry frontrunners, shaping the future. This pursuit reveals hidden efficiencies, operational improvements, and new markets, creating competitive advantage and positively impacting financial performance. All engagements confirm that sustainability is good for business and must be viewed as an opportunity. This framework has also been reviewed to provide the 2026-2030 one.

Sustainable procurement framework 2021–2025

Vision:

Collaborate with global supplier network for an inclusive and net-zero world, where ecosystems and resources are preserved, and people get access to economic opportunities and decent lives.

Environment			Social			Governance
						
The Zero Carbon Project	Green Materials	Sustainable Packaging	REACH/ RoHS	Conflict Minerals	Decent Work	Social Excellence
Reduce CO ₂ emissions from top 1,000 suppliers' operations by 50% (SSI #3)	Increase green material content in products to 50% (SSI #4)	100% packaging uses recycled cardboard and no single-use plastic (SSI #5)	Continued adherence and compliance to regulations governing hazardous materials and conflict minerals		100% of strategic suppliers provide decent work to their employees (SSI#6)	Deploy a "Social Excellence" program through multiple tiers of suppliers (SSE #12)
ISO 26000: Improve sustainability profile of suppliers through leading ESG practices (strategic suppliers)						
Duty of Vigilance: 4,000 suppliers assessed under Vigilance Program (SSE #17)						
Supplier Code of Conduct: Summarizes the most fundamental requirements from Schneider Electric towards its Suppliers						

- Supplier Approval Module (SAM), Schneider Electric Quality Management (SSQM)
- Sustainable Development, Environment, and Ethics & Compliance Terms & Conditions
- Quarterly Business Review
- Trust Line
- Sustainability throughout its Procurement Excellence System

Sustainable procurement framework 2026–2030

Environment

Towards Zero Carbon Pathway

1500 suppliers are on a Zero Carbon Pathway to decarbonize our supply chain

Responsible Material

50% of Procurement spend is from purchase of responsible materials (scope is material contributing to 80% weight of all purchased goods)

Regulation/Compliance

REACH, RoHS, Conflict Minerals + Extended/Critical Minerals, deforestation,...

Social

Decent Work chapter 2

Engage all strategic suppliers to implement advanced Decent Work practices

Governance

Embedded everywhere

- Contractual obligation
 - Master Supply Agreements
 - General Terms Conditions
- Supplier life cycle
 - Supplier Qualification (SAM)
 - Supplier performance
 - Supplier development
 - Quarterly Business Review
- Procurement Excellence System
- Procurement decision-making processes
 - Supplier selection
 - RFQ & business award
- Grievance mechanism & remediation
 - Trust line

Foundation

ISO26000: Improve sustainability profile of suppliers through **leading ESG practices** (strategic suppliers)

Duty of Vigilance: **ESG de-risking** through on-site supplier audit under Vigilance Program

Supplier Code of Conduct: Summarizes the most **fundamental requirements** of Schneider Electric from suppliers

2. Sustainability statements

2.4.2.5 Policy

Schneider Electric's global procurement mission drives customer value through energy management transformation, delivering growth while embedding sustainability at the core of sourcing. With priorities on quality, innovation, cost, cash, and sustainability, enabled by a connected digital supply chain, suppliers are key to performance. Sustainability is institutionalized across the supplier lifecycle as a strategic enabler, reinforcing Schneider Electric's leadership in responsible sourcing.

Schneider Electric is following a specific policy called the Schneider Procurement Policy Book that participates in both the Company's and its suppliers' financial stability.

This policy is validated by the Vice President Procurement Quality & Process Excellence. The Chief Procurement Officer is the most senior level in the organization that is accountable for the implementation of this policy. The Procurement function is accountable for the suppliers' selection and overall performance. Additionally, some specific responsibilities are shared with and supported by related organizations and specific functions (R&D, Quality, Legal, etc.), who play a key role in elaborating the relevant information and expectations to the Group's suppliers. Therefore, the interaction with Schneider Electric's suppliers involves several internal stakeholders, and every relationship must be handled within the relationship framework established by the Procurement function, regardless of the size of the suppliers.

The objective of the Schneider Electric Procurement Policy Book is to describe Schneider Electric's Procurement Policy and guidelines. The policy also aims to mitigate the risks and negative impacts identified in section 2.4.2.3 and work fairly with the Group's suppliers. The application scope of the Schneider Electric Procurement Policy Book covers all procurement activities: Direct Procurement, Indirect Procurement, Business Unit Procurement. Policy and guidelines included in the Schneider Electric Procurement Policy Book must be followed by all members of Procurement. This also applies to the organizations within Schneider Electric who have a relationship with the Group's suppliers.

The Schneider Electric Procurement Policy Book includes several elements, including the way to manage sustainability with its suppliers, its policy for suppliers that are also key Schneider Electric customers, its payment means and terms, its Procure-to-Pay rules, as well as its Supplier Guidebook.

Moreover, supply chain finance, also known as supplier finance or reverse factoring, is a set of solutions that optimizes cash flow by allowing businesses to lengthen their payment terms to their suppliers while providing the option for their large, small, and medium suppliers to get paid early. This supply chain finance process is also presented and explained in the Schneider Electric Procurement Policy Book.

Overall, the Schneider Electric Procurement Policy Book is for internal use within the Group, and publishing this Book outside of Schneider Electric is forbidden. However, some of the guidelines mentioned within are external documents and are available to suppliers through Schneider Electric's official website. This is the case for its Supplier Guidebook, its Terms & Conditions (T&Cs), and its Supplier Code of Conduct.

To sensitize all current and potential suppliers about expectations and various stages of collaboration with Schneider Electric, all suppliers are provided with a Guidebook which is updated regularly. The document articulates expectations for suppliers on sustainable development in the following five areas: environment, fair and ethical business practices, sustainable procurement, labor practices, and human rights, and subsequently focuses on various stages for approval, qualification, and performance evaluation. It explains how to do sustainable business with Schneider Electric by explaining its organization model, its commitments towards them, and its expectations. The implementation of this Supplier Guidebook is the result of ongoing collaboration with all its suppliers ensuring a sustainable relationship with all of them.



Consult and download Schneider's Supplier Guidebook on the Suppliers page on www.se.com

The foundation of Schneider Electric's sustainability ambition is its Supplier Code of Conduct. It is the mother document of all supplier relationships and lists out the basic expectations with its suppliers across, but not limited to, environment, human rights and decent work, fair business practices, sustainability procurements, and occupation health and safety. The document also provides access to remedy by means of the Trust Line, which is the ethics hotline of Schneider Electric. Any partner can access this helpline to raise concerns associated with ethical or sustainability standards with respect to business association. The Supplier Code of Conduct is also included in the General Terms & Conditions, and in all other contractual documents.



Consult and download the Schneider Electric Supplier Code of Conduct from the Suppliers page on www.se.com



For more information on policies regarding supplier sustainability, social programs, and governance, see **section 2.3.2 on page 153**.

2.4.2.6 Action plan

Vendor Query Management system (VQM)

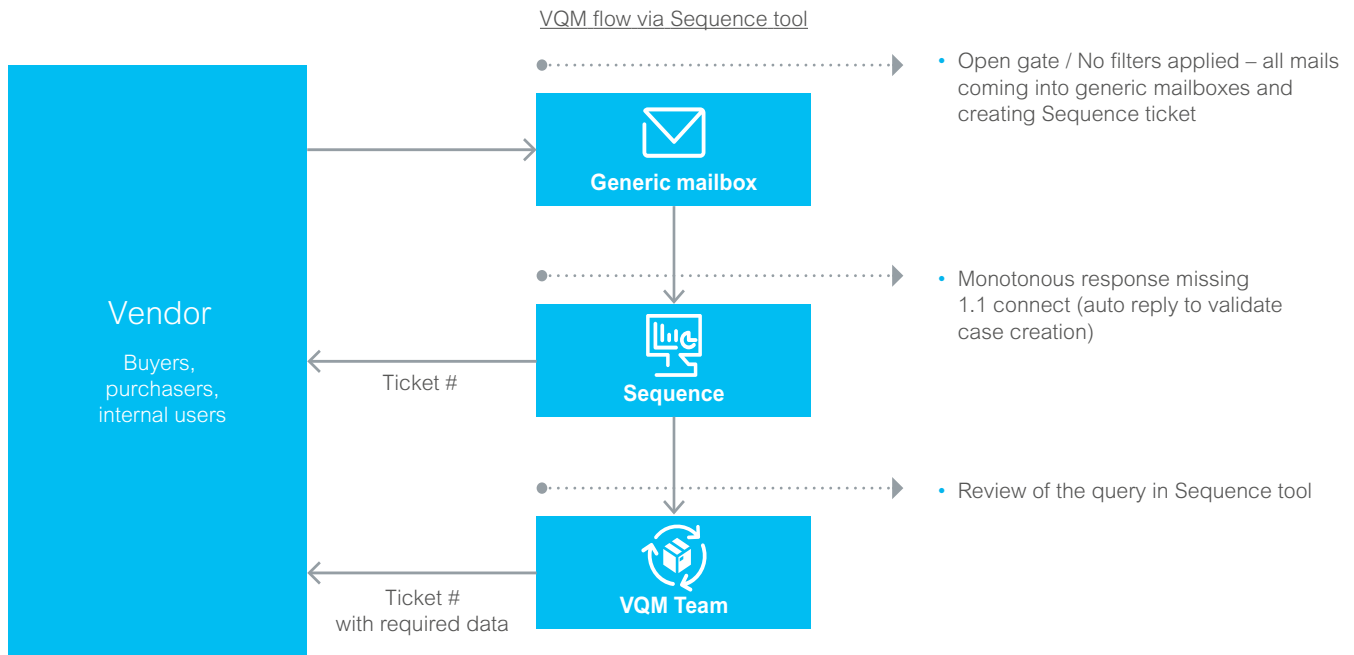
The VQM system aims at ensuring transparent and effective communication with all of Schneider Electric's external suppliers, to support in the best possible way any queries from them.

Accessible through personalized email addresses specific to each country, VQM is managed by multilingual and global teams. VQM team is put on top of the Schneider Supplier Portal (SSP) and is accessible to all Outside Group (OG) suppliers via a generic email address only.

VQM uses a ticketing tool named "Sequence": a ticket number is created for each vendor request, which is used to follow both externally (vendors) and internally the resolution of the request. The VQM team coordinates with various stakeholders (Procurement, Accounting, etc.) to obtain the needed answer, both to get an update of the situation and resolved the issue, if any.

Each month, VQM handles approximately 20,000 queries, allowing Schneider Electric's suppliers, including SMEs, to raise concerns regarding potential late payments, account statements, or balance confirmations. The average time to respond to a query is two working days. See below the VQM data process:

Existing progress flow of VQM managed via sequence



Supplier collaboration steps

The following is outlined in detail in the Supplier Quality Excellence Guide published and communicated to its suppliers. Schneider Electric deploys a four-step process comprising of a Supplier Approval Module (SAM), Supplier Qualification Module (SQM), Supplier Performance Module (SPM), and Supplier Development Process (SDP) to qualify new and legacy suppliers for continued business association, where sustainability performance is a key evaluation criterion.



Consult and download the Supplier Quality Excellence Guide on www.se.com

Supplier Approval Module (SAM) – Assesses new suppliers' capabilities and alignment with Schneider's expectations, including labor, ethics, environment, and occupational health & safety (L&EHS). Evaluation combines questionnaires and on-site audits by the Schneider Electric auditors.

Approval is mandatory before moving to technical and functional audits required for business qualification. A scoring method for supplier L&EHS performance determines whether suppliers can proceed to the next stage of the assessment (quality, procurement, etc.) or must improve before advancing.

Supplier Qualification Module (SQM) – After approval, suppliers undergo qualification to confirm technical feasibility with respect to the supplies. Successful completion allows commercial engagement.

Supplier Performance Module (SPM) – During the commercial stage, supplier performance is continuously evaluated across multiple parameters, including sustainability. Results influence the strategic nature of the business relationship (strategic or non-strategic)

Supplier Development Process (SDP) – A collaborative process during the commercial stage to address gaps and drive systemic, sustained improvements.

2. Sustainability statements

Schneider Supplier Portal – Supplier Relationship Management (SSP-SRM)

The results of approval and performance evaluation are available in real time on the Schneider Electric supplier portal (SSP-SRM) and are accessible to the global supply chain community, making supplier interactions/decisions more fluid and preventing any supplier with poor sustainability performance from entering the supply base.

The supplier's performance is tracked by Schneider Electric supplier leaders on a monthly or pluri-annual basis depending on the severity of the risks and classification of the supplier. All business reviews with suppliers and internal functional business reviews with department executives cover sustainability performance as a key criterion of evaluation.

The SSP is a tool enhancing collaboration within the Group's supplier ecosystem. By digitalizing supplier interactions, the Group aims to foster a transparent and accurate exchange of information with its suppliers. The SSP offers a comprehensive suite of features, including Supplier Single Sign-On (SSO), Supplier Qualification, e-Sourcing (RFx/Auctions), and Contract Management, facilitating a seamless Source to Contract process. Additionally, it streamlines Order & Delivery, Forecast Management, Inventory Management, and Invoicing & Payment under the Procure to Pay framework. Its commitment to Supplier Relationship Management is further demonstrated through Performance Management, Supplier Development initiatives, and robust Risk Management practices. The portal also enhances communication through Master Data Management, Online Feedback Collection, and a centralized onboarding process, all supported by tools such as the Supplier 360° Cockpit and a Generative AI Chatbot.



For more information, please visit the Supplier Guide Book on www.se.com

Third-party Management Program

Schneider Electric launched in 2025 a Third Party Risk Management program to build a capability, providing a 360 view on risks linked to the Group's third-party relationships. This capability will support the business into getting more visibility on risks (covering compliance, finance, cybersecurity, environment and human rights), and making informed decisions.

2.4.2.7 Targets and metrics

Cycle	Targets ⁽¹⁾	Detail
2021-2025	Paid On Time golden target	See section below
2026-2030	Out of Sustainability impact 2030	Achieve on-time payment rate of 90% by 2030 (invoice count ; invoice date basis)

Paid On Time (POT) golden target

Schneider Electric is committed to enhancing its supplier management practices, particularly in ensuring timely payments. To this end, the Group is closely monitoring its "Paid On Time" (POT) key performance indicator. POT is measured as the percentage of payments made within agreed purchasing payment terms per legal entity for OG vendors (paid on or before due date to be considered as "paid on time").

In 2025, the POT metric reached 80%, which is a significant improvement from the 71% recorded when this KPI started to be tracked in 2022. The target was set to 85% for 2025.

Throughout 2025, the Group concentrated its efforts on significantly reducing the number of blocked invoices, driven by timely corrective actions and structural process improvements aimed at limiting future occurrences. An invoice may be blocked when the three-way match – between the purchase order, goods receipt, and invoice – is not fulfilled. By maintaining this focus, Schneider Electric will continue to enhance its Payment on Time (POT) performance and positively influence the reduction of overdue payments.

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to section 2.1.

Payment practices metrics

Schneider Electric is committed to ensuring timely and efficient payments to its suppliers. The Group understands the impact of late payments and have implemented processes to track and address delays root causes.

The Schneider Procurement Policy Book mentions clearly the Group payment means and terms. This section of the Schneider Procurement Policy Book aims to describe what is in place within the Group to ensure payments are made in due dates, therefore prevent late payments, including for SMEs.

Payment terms and means are part of the process that is ensuring the payment to Schneider Electric's suppliers is done in due time. It is the responsibility of all functions who are part of the Procure to Pay (P2P) process to ensure that payments are made in due time and to follow the process and controls to block any fraud attempt.

Payment term is one of the parameters of the relationship between a supplier and Schneider Electric's entities. The payment terms are negotiated in duly respect with the law of each country and payment term negotiation in compliance with payment policy is under the full responsibility of the buyers and supplier leaders. Schneider Electric is also following specific rules to ensure the payments to its suppliers are done in due time. These rules are called PGS rules for Platinum, Golden, and Silver rules.

The actual optimum payment terms are the following for main regions linked to PGS rules:

	Payment Term (days)
Europe	60
China, North America	90
Australia, MSME (Micro, Small, and Medium Enterprises) India	45
Indonesia, Malaysia, SAM (South America), non MSME India, Turkey	75
Philippines, Singapore, South Korea, Thailand, Taiwan, Vietnam	60
Japan	90

Potential deviation from these payment terms may result from either the result of a negotiation or internal Schneider willingness, including for SMEs, Start-up, etc.

In each region / market, Schneider Electric has "champions" animating the implementation of the standard Payment Terms. The GSC Procurement Business Finance team is animating this community of "champions" by delegation of the Group's Chief Procurement Officer.

In 2024, the Group relied on its procurement statistical database to produce the sustainability statements (CSRD) required KPIs, notably benefiting from the availability of a breakdown by supplier category. However, the relevance of this split was limited, as the "unknown" category accounted for approximately 50% of the supplier count.

To improve data accuracy, an in-depth review was conducted in 2025, leading the Group to source pay-on-time data directly from integrated ERP systems. This approach covers approximately 85% of the Group's operations, a level considered representative for reporting purposes. The change in data source does not affect the year-over-year comparison, except for the average number of days to pay suppliers based on spend, which has been adjusted from 66 days to 60 days for 2024. This revision results from improved calculation accuracy enabled by the new source tool, rather than any underlying change in performance. Given the insufficient representativeness of the supplier category breakdown, the Group has decided not to disclose this split at this stage. Actions are ongoing to enhance data quality and enable future disclosure.

Payment practices metrics	2025	2024
% of Payments Aligned with Standard Terms (count)	80%	79%
% of Payments Aligned with Standard Terms (spend)	66%	70%
Average Number of Days to Pay Suppliers (spend)	58	60

Currently, the top reasons for late payments are:

Late received invoices: suppliers send invoices long after the document issue date, the date from which payment terms are calculated. As a result, many invoices arrive close to or even past their due dates. Another recurring issue is suppliers failing to use the official invoice reception channels, preventing accounting teams from processing payments on time. In both cases, invoices only reach the official channel once they are already overdue. These situations represent 6% of the total invoice volume and 7% of all invoices paid.

Very short payment terms, especially 14 days and below, as they are creating a challenge to address payment process in such short timelines. They represent 5% of the invoice volume and 14% of all invoices paid.

All unpaid invoices are tracked in an online dashboard connected to the various ERPs, to ensure the fastest resolution possible.



For more information on methodologies, please refer to [section 2.5](#).

For the full year 2025, Schneider Electric counts 2 outstanding legal proceedings related to late payments, regardless of the triggering event (against 10 in 2024).

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2.4.3 Cybersecurity

2.4.3.1 Impacts, risks, and opportunities

Cybersecurity	
Negative Impacts	Risk health and safety impacts on people through industrial accidents
	Damage the natural environment through industrial accidents
	Risk theft of intellectual property and/or customers' sensitive data
	Disruption from failure in detection and protection capabilities in Schneider Electric's IT and OT environments
Risk	Compliance risk

2.4.3.2 Policy

As per the context of Schneider Electric, the negative impacts identified in the Double Materiality Analysis as industrial accidents pave the way for damage to customer assets and business disruption. A potential consequence is as well the theft or loss of intellectual property and/or customers' sensitive data. To address these potential consequences, a set of policies has been established. The aim is to define control requirements that reduce the potential impact of these consequences, while also fostering and enhancing trust with customers, authorities, and partners.

Cybersecurity policies are fundamental to the Group's security posture, mandating secure behaviors, practices, and environments for all employees and third parties with access to its network or IT systems. These policies are directly approved by upper management (Group CISO and above), who pay special attention to effective cybersecurity due to its impact on the organization's financial performance and Schneider Electric's reputation as a trusted partner for sustainability. These policies are the backbone of its cyber posture and provide guidelines and directions to ensure secure behaviors and practices across the Company.

They are stored in a centralized repository accessible to all employees and contractors with access to its IT assets and systems. They are communicated regularly through various channels, such as newsletters and online trainings, ensuring that all employees and relevant third parties with access to its network or IT systems are informed.

Policy owners, in collaboration with the Communications team, ensure that employees understand what a policy is, why it is important, the differences between policies, directives, guidelines, and procedures, and where to find them.

In addition to corporate commitment, its Executive Committee and Board of Directors play a crucial role in ensuring a seamless implementation of the Group's security policies. A central body governs the Company-wide cybersecurity portfolio, coordinating strategic and operational initiatives and orchestrating a community of security practitioners across businesses and territories. The policy owners and the Governance team are responsible for conducting frequent reviews and driving improvements or updates as needed. These updates are conducted annually to reflect the evolving threat landscape, regulations, and industry practices, with each review validated by the Senior Vice-President, Chief Information Security Officer (CISO) or even at Executive Vice-President level (responsible for the overall strategy and direction of the operations, functions, or businesses).

Additionally, the Company's overarching General Information Security Policy and all supporting cybersecurity, product security, and data protection policies aim to comply with recognized industry's standards and frameworks such as ISO/IEC 27000 series, NIST Cybersecurity Framework, ISA/IEC 62443, as well as regional regulations like the European Union Network Information Security (NIS2) Directive and Cybersecurity Resilience Act (CRA).

Schneider Electric public cybersecurity principles and whitepapers can be found in the Cybersecurity and Data Protection Posture page on www.se.com

2.4.3.3 Action plan

Cybersecurity training is part of the global mandatory Schneider Essentials program, assigned to all Schneider Electric employees through its global learning management system, with completion thoroughly tracked and regular reminders sent to ensure compliance, and reflects the Group's commitment to its Trust Charter and the principles of respect and good faith towards all stakeholders.

Schneider Electric continuously and consistently monitors its posture with the support of cyber scoring agencies. This enables the Group to identify and address vulnerabilities and weaknesses (along with intelligence-driven detections). By addressing findings that can negatively impact overall cybersecurity ratings and benchmarking of Schneider Electric's performance, the Group is supporting its maturity journey on cybersecurity, from a performance, risk, and communication perspective. Exposure monitoring for its IT and OT operations is conducted through Schneider Electric's 24/7 Security Operations Center (SOC), which actively monitors social media and the dark web, and leverages threat intelligence feeds. In parallel, the Group promotes cybersecurity through trusted and transparent information sharing, supports collective efforts to combat cyber threats, and collaborates with authorities and cross-industry organizations to secure the value chain and strengthen digital trust. Cyber scoring facilitates internal communication of cybersecurity reports with executives, explaining the effectiveness of the Group's security program within the business context. Each month, leadership receives a dashboard that helps identify pain points and mitigation actions. This methodology is also deployed with subsidiaries to encourage and sustain acceptable levels of maturity across the extended enterprise, enabling continuous benchmarking of performance against peers and real-time monitoring of the Company's exposed digital footprint.

Schneider Electric is committed to empowering its workforce by fostering a culture where cybersecurity is recognized as part of everyone's role. The Group actively encourages employees to "see something, say something," drawing on their understanding of cyber risks to maintain secure practices and encourage reporting when applicable. The Group has set up cyber risk leaders and professionals by domains of expertise or in risk areas such as finance, human resources, and manufacturing plants. Their role is to monitor the threat landscape, potential exposure, implement cybersecurity initiatives, and respond to incidents.

Schneider Electric has received several recognitions for its cybersecurity, product security, and data security performance.



The Group's external certificates can be also found in the [Cybersecurity and Data Protection page](#).



ISO 27001 demonstrates Schneider Electric's ongoing commitment to manage its high value assets securely in compliance with regulations.



CREST Certification for Penetration testing acknowledges Schneider Electric's product security teams for their skills and proficiency when it comes to testing the resilience and security of the Company's products and systems.



Schneider Electric's global Secure Development Lifecycle process and central office is certified to Maturity Level 4 of the TÜV Rheinland Cyber Security Management (CSM) certification, as well as the ISASecure® SDLA certification.



Schneider Electric's Vulnerability Handling & Disclosure process is certified with ISO/IEC 30111:2019 and ISO/IEC 29147:2018 standards. This affirms Schneider Electric's commitment to address vulnerabilities affecting its products and protecting its customers.



In 2026, Schneider Electric has been certified mature, with a score of 991 (990 in 2025) based on international information security standards such as ISO 27001, NIST Cybersecurity Framework and Cybersecurity for ICS, PCI-DSS, and GDPR.

2.4.3.4 Targets

Cycle	Targets ⁽¹⁾	Detail
2021-2025	SSE #13 Train our employees on Cybersecurity and Ethics every year	Schneider Electric aims to have 100% of its employees trained in Cybersecurity
	SSE #16 Be in the top 25% in external ratings for Cybersecurity performance	Monitoring performance enables the Group to measure its improvement
2026-2030	Out of Sustainability Impact 2030	100% annual completion of Cybersecurity training

As part of its objectives for 2030, defined in the General Information Security Policy, Schneider Electric commits to manage cybersecurity potential consequences such as customer damage, business disruption, and intellectual property theft and loss. To do this, Schneider Electric aims to ensure that 100% of its employees are trained annually on cybersecurity (SSE #13), underscoring its dedication to maintain a robust security culture across the organization.

Additionally, Schneider Electric strives to be in the top 25% in external ratings for cybersecurity performance (SSE #16), reflecting its ongoing efforts to benchmark its security practices against industry standards and continuously improve its cybersecurity posture. This target is publicly accessible and serves as transparent evidence of its cybersecurity maturity, providing assurance to its customers.

SSE #13: At the end of 2025, SSE #13 achieved a 98% completion rate.

SSE #16: From a baseline score of 520 in January 2018, Schneider Electric scored in Advanced with an average of 798 for 2025 and ending the year with a score of 800 (900 being the maximum score possible). This score places Schneider Electric among the top 25%, according to the Bitsight website.



Read more on the methodology of SSE in [section 4.1.2 on page 250](#).

(1) For more information about the differences between the 2021-2025 cycle and the sustainability statements (CSRD) entity scopes, please refer to [section 2.1](#).

2. Sustainability statements

Requests	Schneider Electric received and handled 670 questionnaires related to cybersecurity, product security, and data protection in 2025, stemming from customers and authorities.
Maturity	The Group averaged a score of 798 with BitSight during the course of 2025. Schneider Electric holds 11 ISO 27001 certificates including 1 for transversal capabilities and supporting functions ⁽¹⁾ . Its global product penetration testing labs are CREST certified ⁽²⁾ . 19 IT & Cyber internal audits were conducted in 2025. Schneider Electric received a score of 3.4 in a 2025 annual NIST maturity assessment by a top consultancy.
Training	Schneider Electric's mandatory training has been performed by 98% of employees in 2025. On top of the annual mandatory training, the Group deploys role-based cybersecurity training for its admins, HR, R&D, shop-floor and customer-facing employees. 97% as average of the customer-facing employees obtained their "Cyber Badge" in 2025 with end of the year completion of 94% for the training.
Industrial Security	1 Cyber Leader per site monitors alerts and vulnerabilities and supports incident response. 100% of sites are monitored in real-time for digital penetration. Since 2022, every new line is ISA/IEC 62443-3-3 & 2-4 Security Level 2 compliant.
Supplier Security	Out of ~50,000 unique suppliers tiered, ~6,000 are monitored, according to their criticality and exposure. ~73% of critical risk profile suppliers went through C-level security discussions. Exposure-based Cybersecurity, AI and Data Privacy & Protection Terms & Conditions for suppliers.
Vulnerability Management	The group's Product Vulnerability Handling & Disclosure process certification with ISO/IEC 30111:2019 and ISO/IEC 29147:2018. Security notifications are published, in response to vulnerabilities reported, on Schneider Cybersecurity Notification Portal ⁽³⁾ .
Cyber Defense	Security Operations Center (SOC) operates 24/7 across Schneider's worldwide digital and operational landscape. In 2025, the Group did not experience any cybersecurity incident impacting materially its financial statement. 100% of high severity incidents are contained and debriefed at the highest level of the Company. Schneider Electric leads periodical crisis simulations with its critical infrastructure clients and authorities.

(1) For more information, visit the "Cybersecurity and Data Protection Posture" page on www.se.com

(2) Read the press release "Schneider Electric's Global Security Labs receive CREST pen-test accreditation" on www.se.com

(3) Access Schneider Cybersecurity Notification Portal from www.se.com

2.5 CSRD Methodologies and Tables

In this section

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2.5.1 CSRD Methodologies

2.5.1.1 Environment

Energy consumption

Schneider Electric monitors energy consumption at its approximately 1,000 sites worldwide (representing overall 4.9 million square meters), by either directly measuring or estimating energy use for each site. Sites are classified as either industrial (e.g., factory), logistics (e.g., warehouse, distribution center), or commercial (office, laboratories, service, hubs). Commercial buildings weight 24% of global footprint, the rest comes from R&D, Logistics and Industrial segments. The largest sites measure their energy consumption monthly through invoices using the EcoStruxure™ Resource Advisor software suite. EcoStruxure™ Resource Advisor provides a data visualization and analysis application that aggregates volumes of raw energy data into actionable information. These ca. 261 sites account for more than 75% of the Group's surface area and site global energy consumption. The energy consumption of the remaining sites is derived via extrapolation. Leveraging data collected at the measured sites, company-specific energy intensity factors per square meter are applied for the reported energy sources, tailored to site type as well as countries and regions. Thus, for each of the estimated sites, a granular energy consumption breakdown is available internally by energy source. This granularity informs the GHG emission calculation. The Group plans to expand its measured energy reporting process across the entire portfolio (everywhere where Schneider Electric pays the energy invoice) in the next two years to get the full visibility of its actual energy consumption and efficiency efforts.

Energy consumption figures reflect the best available data. However, it includes uncertainties arising from estimation of non-metered or indirect energy flows. Common sourced of uncertainty include:

- Use of modeled or extrapolated data for non-metered, or partially occupied facilities.
- Significant proportion of non-invoiced or estimated data for the last two months of the reporting year.
- Manual data collection from site contacts without mandatory invoice verification, or for facilities not owned by Schneider Electric.
- Potential misalignment between self-declared figures and actual invoice records.
- Third-party logistics (3PL) sites with operational control are excluded due to limited visibility.

Energy intensity based on net revenue

Both energy consumption and net revenue can be categorized based on their origin from high climate impact sectors (HCIS) and non-high climate impact sectors (nHCIS), following the European classification for industry sectors⁽¹⁾.

The software entities (AVEVA, ETAP, RIB, ProLeiT, Planon) are categorized as "Software Publishing" under "Information and Communication" (NACE Code J) resulting in a classification of their energy consumption and net revenue as nHCIS. Consequently, Schneider Electric considers all activities of the remaining legal entities as falling under HCIS, since they can be classified as "Manufacturing" (NACE Code C). This classification includes companies involved in the transformation of raw materials into finished products, which aligns with Schneider Electric's operations in producing electrical equipment, automation solutions, and energy management systems.

GHG emissions

The Group calculates its carbon footprint across the three scopes, in conformance with the Standards from the GHG Protocol: the Corporate Accounting Standard and the Corporate Value Chain (Scope 3) Standard.

Scope 1 and 2

For Scopes 1 and 2, the GHG emissions are coming from two types of sources: either stationary sources (i.e., sites) or mobile sources (i.e., the Company fleet). Under the accounting approach of the operational control, the Group considers all assets (i.e., sites or Company vehicles), that are operated, regardless of being owned or leased.

- **For sites**, the GHG emissions are derived from SF₆ leakages that are measured, and energy consumption that is either measured or estimated (refer to previous section). The energy consumption, or SF₆ leakages, are then converted into GHG emissions, by using various sources of emission factors, such as IPCC (Intergovernmental Panel on Climate Change), IEA (International Energy Agency), ADEME (French Agency of Environment and Energy), RE-DISS (Reliable Disclosure Systems for Europe), and EPA (Environmental Protection Agency).
- **For fleet**, most of the GHG emissions are calculated based on the reports from leasing companies, which either provide the fuel consumption, or the driven distance and the carbon intensity of driving over 1 kilometer. This allows to derive energy consumption and GHG emissions, using emission factors from ADEME for fuels, and IEA for electricity. In the absence of complete data from leasing companies, the GHG emissions are estimated by using estimations for actual distances based on contractual distances, and by using extrapolations based on fleet size and the type of powertrains.

(1) High climate impact sectors are those listed in NACE Sections A to H and Section L (as defined in Commission Delegated Regulation (EU) 2022/1288).

2. Sustainability statements

Scope 3

The methodology used is specific to each category:

- **Category 1 – Purchased goods and services:** the methodology is compliant with ISO 14069 principles and takes into account the wide heterogeneity of the procurement portfolio of the Group: raw materials, electronic and electrical products, printed circuit board assembly, fabricated components, along with non-production purchases (e.g., services such as insurance and banking services). As per the principles of carbon accounting, calculations are based on physical quantities as much as possible, using the tonnes of metals and plastics that are purchased. For the remaining part of procurement, calculations are based on the spend, to make sure all procurement activity is captured. Emission factors from various sources are being used, mainly from EIME (Life Cycle Analysis tool), EPA, Ecoinvent, and ADEME Base Carbone®.
- **Category 2 – Capital goods:** in the industrial context of Schneider Electric, these emissions correspond to the embodied CO₂ emissions in equipment and assets that have an extended life and are used for manufacturing processes, logistics purposes and hosting the operations of the Company. In practice, capital expenditures on construction, production and industrial suppliers are taken into account, and converted into GHG emissions by using spend-based emissions factors from EPA.
- **Category 3 – Fuel- and energy-related activities:** these emissions are derived from energy consumption data that are used for Scope 1 and 2 emissions; the upstream emissions methodology is dependent on the type of energy: for all energy types, a constant share of Scope 1 or Scope 2 emissions is taken into account (for instance approximately 20% for natural gas or oil); for electricity, the upstream emissions are based on a complete lifecycle perspective, including upstream emissions for the fuels of the power plants, transport and distribution losses of electricity generated, and embodied emissions of infrastructures.
- **Category 4 – Upstream transportation and distribution:** emissions from freight expenses are calculated in a dedicated tool with a detailed and comprehensive methodology. Using emission factors from DEFRA (Department for Environment, Food and Rural Affairs), ADEME, and EcoTransIT, the emissions are calculated from the activity data directly collected from the main transport suppliers of the Company, covering a large majority of spending on transportation services. It allows to calculate emissions for every single shipment from these suppliers. Emissions are calculated on a well-to-wheel perimeter and also include the radiative forcing of condensation trails from planes. Finally the emissions are extrapolated to capture the overall spending on transportation services.
- **Category 5 – Waste generated in operations:** this category includes the emissions for the waste treatment of industrial waste, recycled industrial waste, and office waste. Using average emission factors from Ecoinvent and IPCC, the emissions from office waste are derived from the number of employees (using a default ratio of office waste/employee/year); the emissions from industrial waste, either recycled or not, are derived from environmental reported data on waste volumes (in tonnes) and recycling rate for large industrial and tertiary sites.
- **Category 6 – Business travel:** GHG emissions are being calculated based on all types of business travels and for the different modes of transportation, by a third-party software solution. Emissions factors are coming from DEFRA. For air travel more specifically, the GHG emissions methodology considers the distance that is flown and the class inside the plane. Finally, the emissions are calculated on a well-to-wheel perimeter and also include the radiative forcing of condensation trails from planes.
- **Category 7 – Employee commuting:** the emissions are based on the headcount of employees of Schneider Electric by geographic regions. For a given region, the individual emissions are derived based on assumptions on commuting distances (kilometer traveled per year for commuting), and commuting mode (car, public transport, train, walk, or bicycle). These assumptions were chosen based on literature review and the experience of the consulting company Carbone 4; they are based on public statistics by country (e.g., ADEME for France). Finally, the emissions are calculated on a well-to-wheel perimeter, and also include the radiative forcing of condensation trails from planes.
- **Category 9 – Downstream transportation and distribution:** these emissions correspond to freight that is not directly paid by Schneider Electric. Therefore, the emissions are derived from an assumption on the share of transportation indirect cost in the procurement of commodities. For instance, based on previous carbon footprint experience and literature review, freight cost represents approximately 7% of cost of metals procurement. The indirect spend on freight is then translated into CO₂ emissions using an average split on freight types (either domestic or international freight) and the CO₂ intensity of these freight types (using Schneider Electric's own CO₂ intensity on paid freight). Finally, the emissions are calculated on a well-to-wheel perimeter.
- **Category 11 – Use of sold products:** these emissions correspond to the electricity consumption of Schneider Electric's products, mainly due to heat dissipation (Joule effect) during their whole lifetime. These emissions are not the volume of CO₂ emitted in the reporting year due to the use of all offers sold in the past, rather it is emissions of offers sold during the year and cumulated over their expected lifetime.

Calculations are based on Environmental Product Declarations (EPD), leveraging the work on Product Environmental Profiles (PEP) as part of the PEPecopassport® program. These are Life Cycle Assessments (LCA) that go beyond carbon footprints (encompassing a more comprehensive range of environmental impacts) and cover >90% of Group's revenue from products. LCAs are performed with the EIME software and its database (Environmental Impact and Management Explorer), and they are based on service life of products (e.g., ten years), use phase assumptions during active, idle, and off phases. The PEPs are conformant with ISO 14025:2006 type III and ISO 14040. Using the data in PEPs, the use phase electricity consumption can be estimated for each category of products. The aggregation at Group level is based on offer-specific sales data by destination country. If offer-specific sales data is not available or cannot be matched with existing PEPs, then use phase electricity consumption is estimated based on the structure of the sales in base year 2021 and adapted to the geographic split of sales.

This electricity consumption is then combined with GHG intensity of the grid, on a country-by-country basis. The GHG intensities of electricity in each country are forward-looking (and not static during the lifetime of the products), based on a scenario from the International Energy Agency (IEA) that considers the future decarbonization of the grids. In addition, they include multiple GHGs (factored in a CO₂-equivalent unit), and they are based on a lifecycle perspective, i.e., including upstream emissions for the fuels of the power plants, transport, and distribution losses of electricity generated. The scenario used for modeling future decarbonization of the grids is the “Stated Policies Scenario” (SPS, aka STEPS) from the World Energy Outlook (WEO) released in end of 2022, which is based on current policies, as well as policies announced by governments at the time of publication of the scenario.

- **Category 12 – End-of-life treatment of sold products:** the GHG emissions from this category are vastly coming from the release of SF₆ gas. SF₆ is a gas used as an electrical insulator in medium voltage devices. It is a powerful GHG and therefore requires special treatment to prevent atmospheric emissions to occur. For estimating the GHG emissions from category 12, an assumption is made on the release in the atmosphere of SF₆ at product decommissioning, based on Schneider Electric’s research, considering that some SF₆ in equipment is being recycled, while the majority is actually not being recycled. It must be noted that this figure is not derived from the volume of SF₆ released in the reporting year due to the end of life of all products sold in the past, but instead it corresponds to the future release of SF₆ gas contained in all relevant products from Schneider Electric that are sold during the reporting year. More precisely, the emissions are derived from SF₆ gas purchased by Schneider Electric and filled into the equipment, as per the sales data of the Company and the specifications of the products. The Global Warming Potential of SF₆ is an external data provided by the IPCC and has been recently updated in the 6th Assessment Report. The GHG emissions due to the release of SF₆ gas at end-of-life are completed with the generic GHG emissions from end-of-life treatment from all products, either with or without SF₆. For estimating this component of category 12, the Group is using a similar methodology than for category 11, leveraging the work on Product Environmental Profiles (PEP) as part of the PEPecopassport® program: the non-SF₆ emissions have been calculated in 2021 with PEP, and since then they are derived each year based on the evolution of volumes of sold products.
- **Scope 3 Categories not applicable for Schneider Electric:**
 - **Category 8. Upstream leased assets:** Schneider Electric uses the operational approach to calculate its carbon footprint; emissions due to energy consumption in leased assets are therefore already included in Scope 1 and 2 emissions.
 - **Category 10. Processing of sold products:** Schneider Electric does not sell intermediary products to third parties (manufacturers).
 - **Category 13. Downstream leased assets:** Schneider Electric does not lease assets to third parties (lessor’s point of view).
 - **Category 14. Franchises:** Schneider Electric does not operate with a franchisor business model (no licenses are granted to other entities to sell Schneider Electric’s products in exchange for payments such as royalties).
 - **Category 15. Investments:** Schneider Electric uses the operational approach to calculate its carbon footprint; the Group having no operational control over its equity investments, there is nothing to report under this category.

Scope & methodologies applied

The detailed methodologies above are the ones that apply to almost all the entities of the Group and, by extension, to the vast majority of the Group’s GHG inventory. Yet, dedicated sustainability teams exist in few Schneider Electric subsidiaries such as AVEVA, Luminous, or Planon. While these teams may occasionally use diverging assumptions and approaches for GHG emissions calculation, notably for Scope 3, the overall methodologies are all aligned with the standards established by the GHG Protocol and their contributions to the Group’s total GHG emissions are not material.



Please refer to the “**Basis for preparation**” section for more details about the scope of reporting.

Scope 1 and Scope 2 emissions cannot be separated between the consolidated account group and investees that fall outside this group, as the latter are not included in the scope of the sustainability statements (CSRD). Further details on this rationale can be found in **section 2.1.3 Basis for preparation** on investees such as associates, joint ventures, or unconsolidated subsidiaries that are not fully consolidated in the financial statements of the consolidated accounting group, as well as contractual arrangements that are joint arrangements not structured through an entity (i.e., jointly controlled operations and assets), for which it has operational control.

Uncertainties

GHG emission figures reflect best available data. However it includes uncertainties, such as:

- For Scopes 1 and 2 – The uncertainties mentioned in the section on energy consumption, since energy consumption data are the inputs for most of Scopes 1 and 2 GHG emissions.
- For Scope 3 – The use of industry averages for emission factors (as opposed to supplier-specific data for instance), and default assumptions (e.g., lifetime and use-phase scenarios for sold products).

Substances of concern (SOC) and very high concern (SVHC)

Calculation methodology

The methodology for reporting Substances of Very High Concern (SVHC) uses Schneider Electric’s products REACH declarations repository (Check A Product), and its supplier declaration repository (ERIS) to identify impactful parts containing SVHCs above 0.1%. Total tonnage is calculated by multiplying total procurement quantities by the average SVHC percentage found in suppliers Full Material Disclosures (FMDs). A core assumption in this methodology is that the average SVHC percentage derived from these FMDs is representative of the remaining, non-sampled purchased quantities. Notably, Lead (the highest tonnage contributor) is excluded from this estimation; it is reported using direct primary purchase data from the Group’s subsidiary Luminous, ensuring higher accuracy. For SoCs, the methodology is similar but more challenging due to the lack of mandatory communication and tools for SoC management.

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Consequently, the methodology relies on a materiality assumption as the Group identifies major chemical inputs (e.g., epoxy resins, oils) and map them to procurement volumes. Where exact chemical composition data is unavailable, Schneider Electric uses standard industry concentrations to estimate total SoC weight. This conservative approach bridges the gap caused by limited supplier data.

For Luminous, whose reporting accounts for a significant share of the SVHC tonnage classified as “leaving the company as parts of products,” the data-collection process is more straightforward. Luminous manufactures lead batteries using lead metal as a direct input. As a result, the amount of lead placed on the market through their products corresponds directly to the quantity of lead they purchase.

Main limitations and assumptions

Data availability is restricted by the reliance on supplier declarations and voluntary FMDs, which are not always comprehensive. The current tools used for compliance do not support full data aggregation, requiring significant manual effort for data extraction and analysis. This manual process involves opening each FMD to determine the percentage of Substances of Very High Concern (SVHC) and Substances of Concern (SoC) in parts. Additionally, assumptions must be made regarding average percentages and quantities due to incomplete data.

As such the figures reflect best available data but may include uncertainties arising from limited visibility of the supply chain. Common sources of uncertainty include:

- REACH applicability is limited to the EU for SVHC; SoCs are not uniformly defined.
- Suppliers are not legally obligated to provide FMDs in many jurisdictions.
- BOMs and/or FMDs often indicate only presence, not exact quantities.
- Limited enforcement or auditing of supplier declarations outside regulated markets.
- Manual data consolidation is based on extrapolations for year-end months, which can lead to discrepancies with procurement data once available.

Resource Inflows

Schneider Electric determines the total weight of products and related sustainability indicators using a structured, data-driven methodology that consolidates procurement, plant-level, and supplier information across the Group. The reporting boundary includes all direct purchases of raw materials, components, and packaging, while excluding subcontracting, services, and software.

Overall total weight of products

Product weight is calculated by converting procurement spend into physical volumes using as much actual weight data that is available. Approximately 80% of raw materials and fabricated components are covered by plant-reported weights. For categories without direct volume data, the Group applies category-level analyses using quantities and unit-of-measure data to derive weight-to-spend ratios. The ratios are then multiplied by total spend to assess full coverage. Electronics weights are derived by aggregating known part weights, removing outliers, grouping comparable families, and applying gram-per-euro ratios to total category spend. This multi-source approach ensures 100% coverage while progressively reducing reliance on estimates through expanded data capture and supplier engagement.

Volume and percentage of sustainably sourced biological content

Biological materials are defined as sustainably sourced materials from living organisms that remain in their original state; in this context, only wood qualifies. Schneider Electric identifies key wood suppliers by region and collects confirmations of sustainability, certification, and adherence to the cascading principle. Actual weight data from European packaging is used to establish weight-to-spend ratios by material type, which are then applied to global spend to estimate total wood weight. The volume of sustainably sourced wood is calculated based on supplier-verified purchases with approved third party certification within the defined direct-spend boundary.

Volume and percentage of recycled components

Recycled content is calculated using supplier-validated data for key materials. For steel, only material produced via electric arc furnace is counted as recycled; for copper, at least 50% recycled content is required. Verified supplier volumes are converted to tonnes and multiplied by confirmed recycled content percentages. Thermoplastics are assessed using standardized percentage assumptions based on supplier declarations. Recycled paper and cardboard are calculated by combining supplier-reported recycled content with spend-based weight conversion ratios. Aluminium is currently conservatively reported with zero recycled content pending more detailed, supplier-specific data. The reporting will continually improve as more primary data is captured from suppliers.

Uncertainties related to resource inflows

Resource inflow figures reflect best available data. It therefore includes uncertainties arising such as:

- Biological material is captured based on procured wooden pallets, which may not capture all wooden pallets in circulation in Schneider Electric's operations
- Weights are not known for 100% of purchases, so an element of extrapolation and estimate are required.
- Some of the values require supplier response and confirmation. This may bring in some uncertainty since 100% of suppliers that are contacted do not necessarily reply

Resource Outflows

Durability

Given the lack of a standardized definition for “durability” within the industry, Schneider Electric has adopted the concept of Reference Service Life (RSL) to estimate the durability of products. As stated in EN 50693:2019, 3.35, the RSL is defined as “the lifetime that may be expected according to a particular set of conditions of use (reference set) and that may be used to estimate the lifetime under other conditions of use”. This definition provides a consistent framework for assessing product durability based on specific usage conditions.

To calculate the RSL, Schneider Electric extracts data from its Product Information Management (PIM) database, which contains detailed information on the expected service life of its products. Schneider Electric organizes its products using an internal classification system. This system categorizes products into four main levels: Product Line, Strategic Product Family, Product Family, and Product Group. Specifically, there are 75 Product Lines, 402 Strategic Product Families, 2,389 Product Families, and 16,800 Product Groups. The company has compiled RSL data for over 130,000 products (versus 35 000 products last year) and calculated an average RSL for each Product Line. This average RSL serves as a representative measure of durability for the Group's products, allowing to benchmark and report on product longevity effectively. To make the data more digestible and manageable, the durability KPIs are reported at the Product Line level. This approach provides a clear and concise overview of the product portfolio while maintaining the granularity needed for detailed analysis.

Recyclable Content

For products, Schneider Electric leverages the recyclability potential calculated during a Product Environmental Profile (PEP) generation as per the IEC TR 62635. Both data points needed for the calculation (product weight and recyclability potential) are managed within Schneider Electric's Product Information Management (PIM) system. The amount of recyclable product (in tonnes) put on the market is determined for a single product as follow: recyclability potential × product weight. Schneider Electric applies this methodology for all products with available information on both recyclability and product weight, 70 000 products in 2025 (versus 7 000 in 2024).

Finally, the weight of each recyclable material per product is multiplied by the sales volume of those specific products, based on data from the Group's ERPs. This total is then divided by the overall weight of all products placed on the market, to determine the percentage of recyclable content in Schneider Electric products and the total tonnes of recyclable material provided to the market.

Luminous is the main non IT-integrated entity contributing to these indicators. In 2024, the reporting of sold units was done at product category level, this year the data granularity has been improved with reporting of sold units at product level, enabling a more accurate calculation of the recyclable content in products. The methodology is similar to the one described above.

For packaging, Schneider Electric's current SSI #5 commitment on 'primary and secondary packaging uses recycled cardboard' is leveraged. In particular, internal assessments confirmed the successful transition from virgin to recycled cardboard with a content of at least 70%. This leads to a rate of recyclable content in its packaging of 70%.

A PEP digitalization roadmap, increase lifecycle assessment tool capabilities and packaging database improvement projects are on-going to increase product and packaging coverage over time.

As such recyclability figures reflect best available data but may include uncertainties arising from underlying data coverage. Common sourced of uncertainty include:

- Non-exhaustive coverage of all products' recyclability potential,
- Limited visibility on packaging recyclability, particularly for packaging exceeding 70% recycled content thresholds,
- Inconsistency in 'recyclability potential' across subsidiaries due to varying local regulatory frameworks and recycling capabilities.

2.5.1.2 Social

Own workforce definition

The Group distinguishes its own workforce between employees and non-employees.

Employees are individuals, working either full-time or part-time, who have an employment relationship with Schneider Electric in accordance with national law and practice, including all types of contracts: open-ended contract, fixed-term contract, and non-guaranteed employees.

Non-employees in Schneider Electric's own workforce include both individual contractors supplying labor (“self-employed people”), and persons provided by Schneider Electric who are primarily engaged in “employment activities”.

The contractual framework includes open-ended contracts, which provide employees with enduring engagement and the opportunity to grow and evolve within the Company. Fixed-term contracts are utilized for project-based work, allowing for agility and adaptability in response to changing business requirements. Non-guaranteed hours contracts offer a flexible own workforce solution, enabling the Company to efficiently manage fluctuations in demand. Lastly, part-time contracts are available, supporting employees in achieving a harmonious work-life balance while contributing valuable expertise to the Company.

Employee Headcount

Methodology

The number of employee (headcount) is a simple count of all employees within the organization at the end of each reporting period.

The average number of employee (headcount) is the average of the number of employee (headcount) at each month's end during the reporting period.

Assumptions

- No distinction is made between active employees and those on leave (e.g., sick leave, maternity leave), unless otherwise specified.
- Trainees, and apprentices are out of scope ; the remaining contract types (open-ended contracts, Fixed-term contracts or non- guaranteed-hour employees) are included.

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Employee turnover

Methodology

The employee turnover is the division of the total Number of employees who have left the company by the average Number of employees (headcount) over the same reporting period.

Assumptions

- To calculate the average number of employee headcount over the reporting period - refer to previous page.
- To calculate the number of employees who have left the undertaking, sum the relevant employees:
 - Types of contracts included: open-ended contracts, fixed-term contracts, non-guaranteed hours employees.
 - Types of contracts to be excluded: trainees, apprentices.
 - In TalentLink, the individual data record system could track the critical events over the entire employee lifecycle. This system has an indicator to show employee's assignment status at a selected period. It can indicate if someone is active, suspended or inactive. For employee who have left the company, the system will capture the type of terminations and indicate the status as inactive.
- Only the Inactive assignment status is included to measure the number of employees who have left the company. Types of terminations included are as follows: Voluntary termination, Dismissal, Retirement, Death in service.

Health and safety metrics

The Group currently reports medical incidents using the World Health Organization definition, which is widely recognized as the primary external reference standard.

In this sense, a medical incident represents any injury or illness that (a) is work-related, (b) meets the definition of an occupational accident or illness, and (c) received medical treatment as at least one of the 17 different cases of medical treatment stated in Schneider Electric's Global Health & Safety Directive.

In comparison, the ESRS definition is slightly broader, as it also includes incidents that did not require medical treatment but still resulted in restricted workdays or rest time (i.e., days lost). The Group is actively working to align its reporting practices with this expanded definition to ensure full compliance.

Gender distribution

Gender distribution in percentage of employees at top management level:

- Percentage of female employees at top management level = $\frac{\text{Female Employees at top management level}}{\text{Total Employees at top management level}} \times 100$;
- Percentage of male employees at top management level = $\frac{\text{Male Employees at top management level}}{\text{Total Employees at top management level}} \times 100$.

Remuneration ratio

For the benefits in cash and in kind, numbers are based on best possible estimates by grade and by country.

Compensation elements considered:

- 2025 fixed compensation;
- Variable compensation paid in 2025;
- Relevant bonuses and benefits (in cash and in kind) for 2025; and
- Value of the performance shares granted in 2025 at their fair value (IFRS) on the grant date.

Gender pay gap

Schneider Electric has made a commitment to Pay Equity under SSE #18 to attain and maintain a pay gap below 1% by 2025 for both females and males as per the internal methodology. SSE #18 methodology differs from the gender pay gap definition in the sustainability statements (CSRD). The table below explains the main differences identified between the methodologies:

	SSE #18	Sustainability statements (CSRD)
Methodology / Formula	Gap to be assessed for each gender based on the peer group. Peer group – employees in the same country, level (grade), and salary structure	Gap to be assessed as a difference of pay between genders. Calculation to be done through: • Unadjusted gap: pay gap assessed by gender; • Adjusted gap: pay gap assessed by gender, taking into account country and level (grade)
Calculation	Median	Mean
Scope of employees	Schneider Electric Core – Global Scope	Schneider Electric including Non-IT Integrated Entities – Global Scope
Scope of pay elements	Base Salary + Short-Term Incentives (at target) + Fixed Allowances (if applicable for a country)	Base Salary + Short-Term Incentives (actual) + Fixed Allowances (if applicable for a country) + Benefits in kind and in cash (estimates) + Long-Term Incentive

2.5.2 Disclosure Requirements presentation table

As per the ESRS guidance, the disclosure of material information in the report is pertinent to the material impacts, risks and opportunities following the respective disclosure and application requirements related to each sustainability matter. Material information is disclosed according to its significance, completeness, and capacity to meet the decision-making needs of the users.

Disclosure Requirement	Section	Page
BP-1 – General basis for preparation of sustainability statements	2.1.3 Basis for preparation	54
BP-2 – Disclosures in relation to specific circumstances	2.1.3 Basis for preparation	54
	2.5.4 Declaration in terms of due diligence	203
GOV-1 – The role of the administrative, management and supervisory bodies	2.1.1.2 Integrated and transverse governance of sustainable development	33
GOV-2 – Information provided to and sustainability matters addressed by the undertaking's administrative, management and supervisory bodies	2.1.1.2 Integrated and transverse governance of sustainable development	33
GOV-3 – Integration of sustainability-related performance in incentive schemes	2.1.1.2 Integrated and transverse governance of sustainable development	33
GOV-4 – Statement on due diligence	2.5.4 Declaration in terms of due diligence	203
GOV-5 – Risk management and internal controls over sustainability reporting	2.1.2 Double materiality assessment: main sustainability impacts, risks and opportunities	44
SBM-1 – Strategy, business model and value chain	2.1.1.1 Schneider Electric's activities and business model	32
SBM-2 – Interests and views of stakeholders	2.1.1.3 Trust with stakeholders	36
SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model	2. Sustainability statements CSRD	30
IRO-1 – Description of the processes to identify and assess material impacts, risks and opportunities	2.1.2 Double materiality assessment: main sustainability impacts, risks and opportunities	44
IRO-2 – Disclosure requirements in ESRS covered by the undertaking's sustainability statement	2.5 CSRD Methodologies and Tables	191
MDR-P – Policies adopted to manage material sustainability matters	2. Sustainability statements CSRD	30
MDR-A – Actions and resources in relation to material sustainability matters	2. Sustainability statements CSRD	30
MDR-M – Metrics in relation to material sustainability matters	2. Sustainability statements CSRD	30
MDR-T – Tracking effectiveness of policies and actions through targets	1.1.2 Long-term commitments and tools to measure progress	7
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E1-1 – Transition plan for climate change mitigation	2.2.1.1 Climate strategy	57
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E1-3 – Actions and resources in relation to climate change policies	2.2.1.4 Actions related to climate change adaptation, mitigation, and energy	67
E1-4 – Targets related to climate change mitigation and adaptation	2.2.1.6 Detailed targets	78
E1-5 – Energy consumption and mix	2.2.1.7 Metrics	81
E1-6 – Gross Scopes 1, 2, 3 and Total GHG emissions	2.2.1.7 Metrics	81

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E1-8 – Internal carbon pricing	2.2.1.5 Investment and resources	71
E1-9 – Financial effects	2.2.1.2 Climate-related impacts, risks, and opportunities	61
E2-1 – Policies related to pollution	2.2.2.1 Eliminating hazardous substances	86
E2-2 – Actions and resources related to pollution	2.2.2.1 Eliminating hazardous substances	86
E2-3 – Targets related to pollution	2.2.2.1 Eliminating hazardous substances	86
E2-4 – Pollution of air, water and soil	2.2.2.1 Eliminating hazardous substances	86
E2-5 – Substances of concern and substances of very high concern	2.2.2.1 Eliminating hazardous substances	86
E5-1 – Policies related to resource use and circular economy	2.2.3.3 Circular strategy and policies	93
E5-2 – Actions and resources related to resource use and circular economy	2.2.3.4 Circularity principles	95
E5-3 – Targets related to resource use and circular economy	2.2.3.3 Circular strategy and policies	93
E5-4 – Resource inflows	2.2.3.5 Resource Inflows and Outflows	104
E5-5 – Resource outflows	2.2.3.5 Resource Inflows and Outflows	104
S1-1 – Policies related to own workforce	2.3.1 Great people make Schneider Electric a great company ESR S1	119
S1-2 – Processes for engaging with own workers and workers' representatives about impacts	2.3.1.2 Working conditions	119
S1-3 – Processes to remediate negative impacts and channels for own workers to raise concerns	2.1.1.3 Trust with stakeholders	36
S1-4 – Taking action on material impacts on own workforce, and approaches to mitigating material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions	2.3.1 Great people make Schneider Electric a great company ESR S1	119
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S1-6 – Characteristics of the undertaking's employees	2.3.1.2 Working conditions	119
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2.5.3 Regulations correspondence table

Other EU legislation	ESRS	Disclosure Requirement	Datapoint	Name	Section	Page
SFDR	ESRS 2	GOV-1	21 d	Board's gender diversity	2.1.1.2 Integrated and transverse governance of sustainable development	33
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SFDR	ESRS 2	SBM-1	40 d ii	Involvement in activities related to chemical production		
SFDR	ESRS 2	SBM-1	40 d iii	Involvement in activities related to controversial weapons		
SFDR	ESRS 2	SBM-1	40 d iv	Involvement in activities related to cultivation and production of tobacco		
EU Climate Law	E1	E1-1	14	Transition plan to reach climate neutrality by 2050	2.2.1.1 Climate strategy	57
Pillar 3 + Benchmark Regulation	E1	E1-1	16g	Undertakings excluded from Paris-aligned Benchmarks	2.2.1.1 Climate strategy	57
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SFDR	E1	E1-5	37	Energy consumption and mix	2.2.1.7 Metrics	81
SFDR	E1	E1-5	38	Energy consumption from fossil sources disaggregated by sources (only high climate impact sectors)	2.2.1.7 Metrics	81
SFDR	E1	E1-5	40 to 43	Energy intensity from activities in high climate impact sectors	2.2.1.7 Metrics	81
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Pillar 3	E1	E1-9	66c	Location of significant assets at material physical risk	2.2.1.2 Climate-related impacts, risks, and opportunities	61
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SFDR	E3	E3-1	13	Dedicated policy		
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SFDR	E3	E3-4	28 c	Total water recycled and reused		
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SFDR	E5	E5-5	37 d	Non-recycled waste		
SFDR	E5	E5-5	39	Hazardous and radioactive waste		
SFDR	S1	S1.SBM-3	14 f	Risk of incidents of forced labor		
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Grey lines = not material for Schneider Electric.

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3. Sustainable impact for all | Beyond CSRD

At Schneider Electric, sustainability is central to its strategy. As the world faces urgent social and environmental challenges, including biodiversity loss and climate change, companies must take decisive actions to be agents of change. Social and environmental innovation are core to Schneider Electric's purpose.

As an Energy Tech leader, Schneider Electric role is to act as a **catalyst for progress at scale** - not only for the Group but for its industry, its customers, its territories, and the communities it engages with:

- **Technological progress:** scaling the energy transition by putting technology, data and innovation at the core
- **Environmental progress:** contributing in a measurable way to climate action and resource preservation, by addressing structural causes rather than symptoms alone.
- **Social and Human progress:** ensuring that the transition creates real opportunities. Access to energy, skills development, economic inclusion, and the ability for everyone to grow professionally and personally, while bringing well-being and caring back to the center.

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3.1 Managing our environmental footprint



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Introduction

Schneider Electric understands that the planet's health is closely tied to the wellbeing of communities and economies worldwide. As biodiversity declines at an alarming pace, protecting its natural resources is essential for both Schneider's operations and the livelihoods of many.

Schneider's commitment to environmental, social, and governance (ESG) principles goes beyond merely complying with regulations such as the Corporate Sustainability Reporting Directive (CSRD); it reflects Schneider's dedication to reducing its reliance on natural resources.

Central to the Group's sustainability strategy is a focus on eco-design and the circular economy, which Schneider sees as vital for protecting biodiversity while addressing climate change. This innovative approaches enable Schneider to rethink product lifecycles, creating solutions that are both resource-efficient and sustainable in the long term.

Schneider's Environmental Data program serves as a cornerstone of its initiatives, providing a comprehensive framework to measure, categorize, and compare the environmental attributes of its products. By offering up to 35 environmental data points across categories like materials, energy efficiency, and environmental footprint, Schneider ensures transparency and empowers customers to make informed decisions.

Looking ahead, the Group is committed to accelerating its progress. In 2025, Schneider Electric reported a year-over-year reduction in CO₂ emissions across all scopes, showcasing the effectiveness of its strategies. The Group recognizes the importance of driving innovation and collaboration, engaging with partners, governments, and non-governmental organizations to foster meaningful policy evolution and societal transformation in the face of climate change.

2025 highlights

100%

sites covered with local biodiversity conservation and restoration programs

85%

of primary and secondary packaging is free from single-use plastic and uses recycled cardboard

100%

of sites in water-stressed areas have a water conservation strategy and related action plan

17%

of energy efficiency in Schneider Electric sites

3. Sustainable impact for all

3.1.1 Context

Managing Schneider Electric's environmental footprint requires an integrated approach. Climate, nature, and resources are deeply interconnected: climate change drives biodiversity loss, while healthy ecosystems and circular resource flows are essential for climate resilience. Environmental challenges are deeply interconnected, and every action Schneider Electric take, whether reducing emissions, designing for circularity, or protecting water, creates co-benefits across these areas.

Schneider Electric's climate strategy reduces pressure on ecosystems, while nature-based solutions help the Group to adapt to a changing climate through projects such as mangrove restoration in China, building resilience to storm surges, or forest protection in Mexico creating natural barriers to forest fires. Waste and water management safeguard ecosystems and strengthen supply chain resilience. Together, these programs form a connected system that mitigate risk and creates shared value for people, nature, and business.

This integrated approach to managing Schneider Electric's environmental footprint and ensuring long-term sustainability aligns with global frameworks and seeks to reinforce commitments on climate, circularity, and resource efficiency, ensuring that progress in one area accelerates and reinforces impact in others.

3.1.2 Minimize the Group's impacts and dependencies on nature

3.1.2.1 Biodiversity

The World Wide Fund for Nature (WWF) 2024 "Living Planet Report"⁽¹⁾ points out that rising temperatures are already driving mass mortality events, as well as the first extinctions of entire species: it shows an average 73% drop in monitored wildlife populations between 1970 and 2020. Every degree of warming is expected to increase these losses and the impact they have on people. This ecological crisis is not only an environmental concern but it is also a systemic risk to global stability. The World Economic Forum's Global Risks Report 2025 reflects this reality by ranking biodiversity loss and ecosystem collapse as the second most severe global risk over the next decade, just after extreme weather events⁽²⁾. Together with critical changes to Earth systems and

natural resource shortages, these risks threaten supply chains, resource security, and financial stability, with over half of global GDP highly dependent on nature and its services.

The urgency to accelerate corporate action on biodiversity management is also reflected in the increase in disclosure requirements; with increased expectations from investors and stakeholders for companies to be aligned with the Kunming-Montreal Global Biodiversity Framework (GBF) through the adoption of Taskforce on Nature-related Financial Disclosures (TNFD⁽³⁾).

The Group has aligned its targets with the GBF missions 'to halt and reverse biodiversity loss by 2030' and will begin to adopt TNFD recommendations, implementing best practices to facilitate transparency and consistency in nature related disclosures.

The Group has designed a program that is guided by science and follows the mitigation hierarchy⁽⁴⁾ prioritizing actions to avoid, minimize, restore, and regenerate impacts across its value chain.

3.1.2.2 The Group's commitment to biodiversity

Schneider Electric is committed to:

4. Quantify and regularly publish the assessment of the Group's impacts on biodiversity.
5. Commit to reduce Schneider's impacts and align biodiversity objectives with science.
6. Develop solutions and technologies that contribute to the preservation of biodiversity.
7. Engage and transform the value chain.
8. Act locally, engaging employees and partners.

In May 2024, Schneider Electric updated its Biodiversity Pledge to act4nature, creating specific and measurable targets with more granularity on how the different activities related to climate change, circularity, sustainable materials, and waste roadmaps are contributing to Schneider Electric's ambition towards nature.



Consult Schneider's commitments to act4nature international on www.se.com

(1) WWF "Living Planet Report", 2024

(2) "Global Risk Report 2025", World Economic Forum.

(3) Taskforce on Nature-related Financial Disclosures (TNFD) website

(4) Article "Net positive and the Mitigation Hierarchy", The Biodiversity Consultancy.

Furthermore, in January 2026, Schneider Electric became a TNFD Adopter, strengthening its integration of nature-related risks and opportunities into the Group's strategy and governance. Building on its TCFD⁽¹⁾ foundations, the Group is preparing its first TNFD-aligned voluntary disclosures for the 2026 reporting year. As a first step to align with the TNFD recommendations, Schneider Electric will publish some reporting elements this year within its Sustainability Disclosure Dashboard to identify current alignment and priority areas for further enhancement.



Berylline Hummingbird captured during corporate "bioblitz challenge" by Federico Palafox, Senior Electrical Designer, Schneider Electric Rojo Gómez



Consult Schneider's latest Sustainability Disclosure Dashboard on www.se.com

3.1.2.3 Dependencies, risks, impacts, and opportunities

Biodiversity and nature are incorporated into the Company impacts and risk assessment activities outlined in section 2.1.2 on page 44. Despite the non-materiality, Schneider Electric remains committed to the protection and restoration biodiversity & nature.

Schneider Electric periodically assesses its impacts and dependencies on the four realms of nature defined by TNFD (land, ocean, freshwater, and atmosphere), and five main drivers of nature loss: climate change, Resource use/ replenishment, Land/ freshwater/ ocean use change, Pollution/ pollution removal, and invasive alien species introduction/ removal.

As the Group expands its efforts to manage its impacts along its value chain, it also recognizes significant opportunities to enhance the resilience of its supply chain through better partnerships with suppliers and customers.

3.1.2.4 Quantify impacts on biodiversity



The Group's baseline Biodiversity Footprint Assessment was published in 2020, the results of which can be found on [Schneider Electric blog](#).

The Biodiversity Footprint Assessment identified that the most significant impact was linked to Schneider's contribution to upstream and downstream climate change, followed by land-use impacts from material sourcing.

The subsequent 2023 Biodiversity Footprint Assessment tracked progress and reflected the improvements on carbon emissions across Scopes 1 and 2 (operations emissions), and Scope 3 (supplier emissions).

The latest Biodiversity Footprint Assessment reinforced the main levers for reducing biodiversity impacts across the value chain, further confirming that:

- **Schneider Electric's Net-Zero commitment plays a critical role in reducing biodiversity pressure.** Climate change is one of the major pressures on biodiversity globally and represents the Group's primary impact on biodiversity (over 70%).
- **Schneider Electric's Responsible material program continues to significantly reduce the Group's pressure on biodiversity.** Sourcing of wood and metals are the main contributors to land use change and loss of biodiversity. Wood is primarily used for packaging purposes (cardboard, pallets, boxes); metals such as silver, copper, steel, aluminum are core to Schneider Electric's products.

In addition to the end-to-end Biodiversity Footprint Assessments, a focused analysis of Schneider Electric's sites identified the main drivers of biodiversity loss are related to land use change and pollution.

In 2025, Schneider Electric updated the initial the Integrated Biodiversity Assessment Tool (IBAT⁽²⁾) assessment using WWF "Biodiversity Risk Filter". The results showed that 243 Schneider Electric sites (with overlap between 1% to 100%) were located in close proximity to Protected Areas and KBA, and 34 Schneider Electric sites were located in areas with high biodiversity pressure – primarily in the US, France, Australia and China. Of those with overlap risk, 29% have active nature restoration-type programs deployed through SSE #8, which ambition is to deploy biodiversity conservation and restoration programs in 100% of Schneider Electric sites.

3.1.2.5 Develop solutions and technologies that contribute to the preservation of biodiversity

Schneider Electric's Sustainability Business expanded offerings with the acquisition of EcoAct in 2024. Rebranded as Schneider Electric Advisory Services in 2025, the team has complemented the deep energy and decarbonization core offerings with biodiversity, nature and nature-based solutions expertise. This expertise supports customers in assessing nature related-impacts, risks, and dependencies, biodiversity project development, and biodiversity-related credits.

(1) Task Force on Climate Related Financial Disclosures (TCFD) website
(2) Integrated Biodiversity Assessment Tool (IBAT).

3. Sustainable impact for all

The Group's EcoStruxure™ solution for water is a digital, end-to-end platform designed to help utilities and industrial water operators improve efficiency, sustainability, resilience, and operational control across the entire water cycle, from source and treatment to distribution and wastewater management. EcoStruxure™ includes analytics, digital twins, and monitoring capabilities to detect leaks, manage quality, forecast demand, and proactively optimize operations helping cut non-revenue water and operational costs.

As part of its offer portfolio, the Group is also committed to bringing water-efficient cooling technologies to the market, especially for data centers and IT infrastructure, both through product-level design choices and broader system-level optimizations enabled by digital tools and smarter architectures.

3.1.2.6 Engage and transform the value chain

Meaningful biodiversity outcomes can only be achieved by engaging and transforming the value chain, where the Group's largest impacts and dependencies on nature are located.

The findings from the Biodiversity Footprint Assessment enabled Schneider Electric to identify broader value chain levers, and understand how co-benefits from existing programs can support biodiversity outcomes.

Key indicators that contribute to biodiversity outcomes include:

Climate Change: greenhouse gas emissions represent Schneider Electric's most significant pressure on biodiversity in its end-to-end value chain.

- Reducing CO₂ emissions from top 1,000 suppliers' operations by 50% by 2025 (SSI #3)
- Delivering 800 million tonnes of saved and avoided CO₂ emissions to Schneider's customers by 2025 (SSI #2)
- Counting 150 Zero-CO₂ site by 2025 (SSE #1)
- Achieving Net-Zero ready operations in 2030 and Net-Zero emissions in end-to-end value chain by 2050

Land use / freshwater / ocean use change: reducing the consumption of virgin materials and building traceability in the supply chain are two complementary levers to reduce pressure on biodiversity from raw materials.

- Ensure that 100% of forest-derived commodities used for Schneider Electric's packaging are deforestation-free by 2035. This includes paper, cardboard and wood packaging.
- Increase green material content in Schneider's products to 50% by 2025 (SSI #4).
- Exempt 100 % of Schneider Electric primary and secondary packaging from single-use plastic, using recycled cardboard by 2025 (SSI #5).

⊕ For more information, please refer to **section 2.2.3.1 Business footprint: resource inflows and outflows on page 92.**

⊕ For more information, please refer to **section 4.4.1.3 Group site consumption, emissions and waste on page 272.**

3.1.2.7 Act locally, engaging employees and partners

As part of the SSE #8 program, Schneider Electric engages its employees and partners to deploy biodiversity conservation and restoration initiatives at sites.

Key commitments that contribute to biodiversity outcomes include:

- 100% of sites with local biodiversity conservation and restoration programs (SSE #8)

To meet this ambition, 279 sites must: (i) eliminate non-operational single-use plastics (e.g., cups and cutlery), and (ii) implement a site biodiversity and conservation program to address local ecological risks, engaging with stakeholders and including participatory sciences.

The program empowers employees to understand local ecological risks and take direct action, resulting in initiatives such as: tree planting drives in India and Canada; National Park collaborations in the US; Living walls in the UK; Firefly habitat restoration programs in Mexico, and wetland restoration in China.

At the close of the program in 2025, Schneider Electric achieved its objective of 100% sites covered by a biodiversity program, up from 85% in 2024.

At the core of its local strategy, the Group is also committed to water conservation at its sites, with a focus on areas subject to high water stress (SSE #11).

3.1.2.8 Water withdrawal, discharge, and stress

Water-related risks monitoring

Schneider Electric recognizes the critical importance of water for its operations, employees and local communities, particularly in water-stressed areas.

Schneider Electric regularly assesses water-related impacts, risks and dependencies. In 2022, the Group conducted a corporate water footprint assessment across the full value chain, covering water consumption, scarcity, eutrophication, ecotoxicity, and acidification. The assessment showed that direct water use and indirect energy-related water use in facilities accounts for less than 1% of Schneider Electric's overall water footprint; 18% was attributed to raw materials and 81% to the use phase of products.

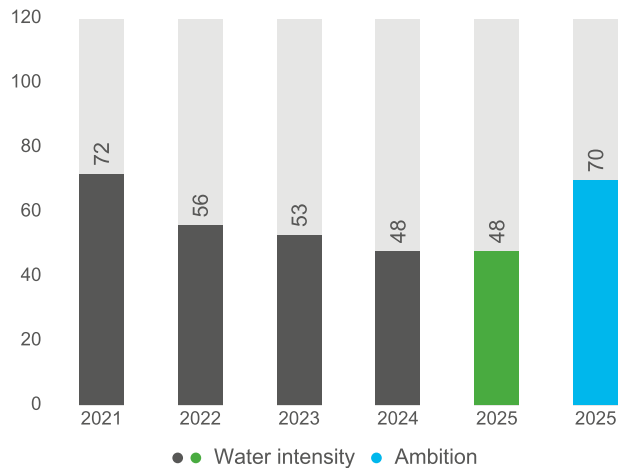
Schneider Electric's direct operations are not water-intensive, as industrial processes mainly involve manual and automated assembly. However, water remains essential for site operations, representing a small but important business continuity risk. Therefore, despite the non-materiality, water continues to be a priority in how the Company drive environmental excellence in its sites, with increased attention on sites located in the most water-stressed areas.

In 2025, Schneider Electric continued to prioritize water conservation by monitoring water stress levels at its sites and implementing water conservation strategies at main sites.

Key commitments that contribute to water risk reduction include:

- Reduce water withdrawal intensity by 35% by 2025 compared to 2017 baseline
- 100% of its water-stressed sites to have water conservation action plans by 2025 (SSE #11)
- Reduce water withdrawal intensity by 15% by 2030 compared to 2025 baseline

Annual water withdrawal intensity* (m³/€M)



* Scope of sites is GED 001 scope; Scope of total revenues is the Group's revenue

Water withdrawal

The Group measures water withdrawals from various sources, including the public network, groundwater, surface water, and other sources like rain and recycled water.

In direct operations, water is primarily used for cooling and sanitary purposes. A limited number of sites conduct specific processes such as surface treatment and paint lines for which water is used within degreasing and cooling.

In 2021, Schneider Electric set a target to reduce water intensity by 35% by 2025 compared to 2017, focusing on sites with high water withdrawal and in water-stressed areas.

In 2025, the Company achieved a water withdrawal intensity of 48 cubic meters per million euros of revenue, a 55% reduction from the 2017 baseline.

Water-stressed areas

The Group monitors water stress at all ISO 14001-certified sites, including factories, distribution centers, and offices. In 2021, Schneider Electric conducted an assessment of these sites using the World Resources Institute's Aqueduct Water Risk Atlas. Sites identified as "high" or "extremely high" were classified as water-stressed, regardless of the volume of water withdrawn. This allowed Schneider Electric to identify 79 sites located in water scarcity areas, accounting for about 47.8% of total water withdrawals. All sites identified in 2021 are part of the (2021-2025) SSE #11 program which aims for 100% of Schneider's water-stressed sites to have a water conservation strategy and action plan by 2025.

These plans involve conducting water use assessments to identify efficiency improvement opportunities, implementing best practices, providing technical and general water training for employees, and analyzing water use in various processes. In 2025, the Group achieved 99.8% of its 2025 ambition, continuing to prioritize water conservation efforts.

In 2025, further analysis using the WWF Biodiversity Risk Filter, identified priority river basins (those with high water stress and significant production volumes) as: Bay of Bengal, Rio Grande and Gulf of Mexico. Overall increase in water withdrawals in the priority river basins is largely influenced by expansion, market growth and increased workforce in India and Mexico.

Priority River Basin	# sites	2025 Water withdrawal (m³)	2021 Water Withdrawal (m³)	% change (2021-2025)
Bay of Bengal	15	158,909	159,764	-0.5%
Rio Grande	10	114,036	73,377	+55.4%
Gulf of Mexico	6	53,727	47,322	+13.5%

This data is being used to inform future strategy decisions.

3. Sustainable impact for all

3.1.2.9 Pollution mitigation

As Schneider Electric primarily functions as an assembler, its discharges into land, air and water are minimal. The Group's manufacturing sites are monitored in accordance with local regulations and performance validated through ISO 14001 certification and where required, additional third-party audits.

Discharges and emissions are tracked locally as mandated by current legislation. Permit exceedances, spill and uncontrolled releases are reported via internal incident reporting platform. In 2025, there were no reported spills or discharges that resulted in land, water or air pollution beyond permitted limits.

Impact to land

In Schneider Electric's manufacturing sites conducted their routine annual review of pollution risks as part of the Environment Risk Assessment & ISO 14001 monitoring process. No incidents of spills or discharges leading to soil pollution were reported in 2025, and hazardous materials and their associated wastes are managed in compliance with regulations.

Impact on water

Most of the water discharged by Schneider Electric consists of sanitary and canteen wastewater, which is sent to third-party facilities (municipal or industrial) for treatment without needing additional pre-treatment on site.

For water-based industrial processes such as surface treatments, Schneider Electric applies on-site wastewater treatment to reduce pollutants and ensure compliance with regulatory requirements. Increasingly, sites are implementing closed-loop systems to eliminate wastewater discharge, minimize freshwater withdrawal, and recover valuable raw materials.

No incidents of spills or discharges exceeding permits were reported in 2025.

Impact to air

Emissions of nitrogen oxides, sulfur oxides, and particulate matter are monitored at site level where applicable, in line with legal requirements. In these sites, performance is verified through external audits.

The Group manages emissions of Volatile Organic Compounds (VOC) emissions and invests in initiatives such as installing scrubbers, filters, and baghouses or improving production processes. The Group aims to reduce VOC emission intensity by 15% by 2030 compared to 2025 baseline. VOC emissions, primarily linked to production, have decreased from 29 kilograms per million euros in 2017 to 6.3 kilograms per million euros in 2025. These top VOC-emitting sites also explore opportunities to reduce and phase out the use of certain chemicals in industrial processes wherever possible.

Additionally, emissions of chlorofluorocarbons and hydrochlorofluorocarbons are monitored locally in accordance with applicable regulations. These emissions are primarily due to the operation of air conditioning systems and are not directly related to Schneider's industrial activities.



For more information related to pollution management at Schneider Electric, please refer to **section 2.2.2 Pollution mitigation | ESRS E2 on page 86**.

Noise, odors, and light

All Schneider Electric sites comply with local regulations regarding noise, odor and light pollution. Exceedances and complaints are reported via internal incident reporting platform.

In 2025, there were no reported exceedances or complaints relating to noise, odors and light pollution.

Environment management systems

Schneider Electric's commitment to implementing an environmental management system is driven by a global network of over 600 managers and experts. At the core of the Group strategy is the Integrated Management System (IMS), which standardizes and streamlines the deployment of various management systems across Schneider's plants, distribution centers, and large offices. The IMS includes compliance with ISO 14001, ISO 50001, ISO 9001, and ISO 45001 standards. Each site undergoes periodic audits, either externally by Bureau Veritas every three years or internally by expert teams, to ensure adherence to these standards.

ISO 14001 certification is crucial for maintaining robust environmental governance and supporting continuous improvement in environmental performance. Schneider Electric certifies all industrial and logistics sites with more than 50 employees and all large tertiary sites with more than 500 employees within two years of their acquisition or creation. For sites that do not meet the criteria for ISO 14001 certification – industrial and logistics sites with fewer than 50 employees, tertiary sites with fewer than 500 employees, and newly acquired or created sites – an environmental management system may be implemented on a voluntary basis, though it is not tracked at the corporate level. This approach ensures that the Group maintains high environmental standards across its operations while allowing flexibility for smaller or newer sites.

As of the end of 2025, 261 sites were certified to ISO 14001, covering approximately 74% of the Group's scope based on site surfaces, 64% in terms of energy consumption (i.e., for the whole Group, including both sites and fleet), and over 84% in terms of water usage, waste generation, and VOC emission.

Robust governance with key stakeholders across the entire organization is critical to achieve and maintain success in the numerous areas surrounding environmental risk and prevention.

The Group has therefore established the following engagement programs:

- The Environmental due diligence reviews of mergers, acquisitions, and disposals, at any site where chemicals are or have been used. Any environmental risks or liabilities identified are addressed through proper risk management activities.
- Third-party services assess the risk profiles of key sites in relation to certain external risks such as fires, earthquakes, floods, and other natural disasters. This process is combined with the business continuity planning efforts to gauge related risks and anticipate possible steps which would be required.
- Risks and mitigation actions are presented to the Board Audit & Risks Committee.

3.1.2.10 Energy management programs

Schneider Electric monitors its energy management programs in a variety of ways. Two such ways are energy productivity and energy efficiency.

Energy Productivity

Energy productivity is the amount of output the Group produces versus the amount of energy consumed (turnover/ MWh), and the goal is to increase this value by both increasing the Group's business performance while simultaneously reducing the energy consumed in its operations.

Schneider Electric has been a member of "Energy Productivity 100" (EP100), a Climate Group initiative, since 2017. Schneider's target is to double energy productivity by 2030 against the 2005 baseline, which means doubling the economic output from every unit of energy consumed within 25 years.

In 2025, the Group achieved 153% energy productivity compared to 2005 (against a 2030 target of 100%). By achieving its EP100 commitment 8 years early (in 2022), Schneider Electric demonstrates the feasibility of decoupling business growth from energy consumption. Simultaneously, it tangibly illustrates Schneider Electric products, solutions, and services are a core foundation to energy saving opportunities.

Energy Efficiency

Energy efficiency uses linear regression models to predict how much energy the Group would consume based on various inputs (production, weather, worked hours, etc.) vs. the actual energy consumed. The goal is to reduce energy consumption compared to predicted value by driving energy efficiency in its operations.

Despite not being part of the energy-intensive sector, due to its discrete and assembly-based industrial processes, Schneider has always been committed to efficiency since long before its EP100 commitment.

The Group monitors energy efficiency across its 200+ largest energy-consuming sites, which together account for over 89% of the Group's total measured energy consumption. In Schneider Electric operations, site energy experts along with SE Advisory Services work together to report and analyze energy consumption, identify energy saving opportunities, and deploy actions. Since 2005, the Group has fixed annual objectives for energy efficiency each year. Schneider met or exceeded its energy efficiency goals during the previous four programs of the Company (2009 – 2011, 2012 – 2014, 2015 – 2017, and 2018 – 2020), by achieving 10%, 13%, 10%, and 10%, respectively. In 2021, the Group renewed its commitment to improve energy efficiency by another 15% between 2019 and 2025, tracked under SSE #5. In 2025, 17.4% were achieved. For the next period, the Group is renewing its historical commitment on energy efficiency. The Group pledges a 10% energy efficiency improvement by 2030 against a 2024 baseline, utilizing EnPI-a normalized regression modeling. This methodology ensures a high-fidelity representation of Schneider Electric's progress by decoupling energy consumption from variable factors such as weather patterns and output levels. This energy efficiency program is deployed in sites with annual energy consumption above 3GWh, plus other strategic sites.

Schneider Electric utilizes its EcoStruxure™ architecture to achieve energy savings across its smart factories, distribution centers, and offices. Its Smart Factories have been recognized by the World Economic Forum (WEF) for leading the way in smart manufacturing. Three of these factories of only 17 worldwide, have been recognized as Sustainability Lighthouses. They, along with facilities in Batam, Indonesia, and Wuxi, China, are designated "Advanced 4th Industrial Revolution" (4IR) Lighthouses. Facilities in Wuhan, China, and Monterrey, Mexico, are recognized as Developing 4IR Lighthouses. Through its Smart Factory and Distribution Center (DC) programs, the Group has implemented advanced manufacturing technologies in over 67 smart factories and distribution centers over the past six years. In offices, Schneider Electric's EcoStruxure™ solutions, such as Building and Workplace Advisor, help minimize energy consumption and emissions, reduce costs, and enhance employee experience and comfort.

Energy Management System

Schneider Electric deploys energy management systems to supplement and improve energy efficiency programs. ISO 50001 certification is required for sites with annual energy consumption above 5 GWh. In addition, a number of sites voluntarily implement ISO 50001 in response to business requirements or stakeholders.

In 2025, 125 sites were ISO 50001 certified.

Energy management systems are deployed within the Integrated Management System (IMS) framework and are subject to periodic internal and external audits.

3.2 Delivering social impact for a fair transition

In this section

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Introduction

Schneider Electric's first priority is ensuring that the company and its partners uphold human rights for everyone, including decent work standards and the development of heightened human rights due diligence processes. The team updated in Human Rights Policy in 2025, available in 19 languages and has also published guidelines to protect the dignity of migrant workers.

The second priority is around giving lifelong learning opportunities to all generations. Currently, about 1 in 5 youth aged 8-16 are out of school (UN, 2022). As an Impact company, Schneider Electric is dedicated to equipping future generations with essential skills. In 2025, the Group reached its ambitious target of training 1 million individuals in energy management. This was possible thanks to The Youth Impact through Learning initiative, which exceeded its ambitions, and increased graduates from Schneider Electric Schools. This priority also supports Schneider Electric employees at the later stages of their career to continue enhancing their employability and create their desirable professional future. The Group also reached its ambition on the Senior talent program.

The third priority is around ensuring access to clean energy and electrical safety, enhancing individual development worldwide. The Group also reached its ambition, offering access to sustainable energy to more than 60 million people.

The last pillar is around innovation, which is key to empowering future leaders. Schneider Electric believes that directing capital and expertise towards social innovation, through impact investing, is crucial for an inclusive transition. In 2023, the Group launched the GIEF II fund, which focuses on investments in sub-Saharan Africa as a driver of change.

Finally, 2025 marked the 25th anniversary of the Schneider Foundation, reflecting the commitment of employees in North America, India, and the Pacific. Schneider Electric is very proud to have exceeded 93,000 days of volunteer work since 2017, illustrating the commitment of employees to making a difference.

2025 highlights

61M+

people have gained access to green electricity since 2009

93%

eligible employees in the later stage of their career benefited from the Senior Talent Program, which has been deployed in all Group countries

1M+

people trained in energy management in over 60 countries since 2009

7,200

farmers supported by Schneider Electric through its investment in Agros, pioneer in solar-powered irrigation

3.2.1 Improving lives through access to green electricity

3.2.1.1 Context

Today, more than 1.5 billion people have limited access to reliable electricity. In 2023, 666 million people had no electricity⁽¹⁾. Despite significant progress in recent years, as SEforAll puts it, “electricity access is growing, but not for everyone”.

In Sub-Saharan Africa, colossal additional efforts are required to achieve universal access:

- Around 565 million people do not have access to electricity. Hundreds of millions more have only limited or unreliable electricity;
- The pace of electrification is not sufficient relative to population growth, and the COVID-19 pandemic has slowed progress even further; and
- Based on the pace of electrification vs. population growth, in 2030, around 560 million people would remain without electricity, which would be 85% of the unelectrified world population.

Asia-Pacific is approaching universal electrification, thanks to ambitious government programs. Nevertheless, the grid can be unreliable or insufficient for productive use in remote areas where it must be supplemented with renewable energy solutions.

Access to green electricity offers a chance to live a better life, because it can have a positive multiplier effect on all socio-economic dimensions of the individual or community: livelihood, health, education, security, and empowerment of women, while fighting against climate change by replacing fossil solutions.

3.2.1.2 Access to Energy initiatives

Access to Energy's purpose is to bring green and reliable electricity to populations in emerging markets, both as a fundamental right and a means for social and economic development, by providing a safe, clean, affordable, reliable, and sustainable energy offer. At Schneider, this is called Electricity for Life and Electricity for Livelihood.

In 2025, Schneider has exceeded its 2025 ambition of bringing green and reliable electricity to 50 million people, cumulatively since the start of the program in 2009 :

- **Electricity for Life** means providing access to green electricity to off-grid communities. These communities need energy as a fundamental right to meet essential needs in homes (such as lighting, communication, and education); and
- **Electricity for Livelihood** means providing access to green electricity to communities with unreliable grids to support economic development and poverty reduction. For example, it empowers farmers by ensuring food security through irrigation, food storage, and processing, enabling self-transformation.

The Access to Energy social business works in synergy with the Youth Education & Entrepreneurship program and the Impact Investment funds, in a virtuous circle of providing products and solutions, capacity building, and support to startups.

3.2.1.3 Key segments

The Access to Energy social business focuses on the following key segments: healthcare, education, agriculture, livelihood and water.

Clean and reliable energy for rural schools and healthcare facilities

Solar solutions in healthcare facilities leads to marked improvements in outpatient visitation rates. This empowers the community by ensuring reliable energy for essential medical services. Meanwhile in schools, it provides a reliable power source, ensuring uninterrupted learning and enabling digital learning, thereby creating a more sustainable and resilient learning environment. In 2025, more than 500 schools and health clinics in remote and rural areas of South Asia and Africa have been equipped with access to clean and reliable electricity through Schneider Electric clean energy solutions, benefiting students in schools, and medical staff and patients in health clinics.

Clean energy for sustainable agriculture and livelihoods

Providing clean, reliable, and affordable electricity has a positive impact on the environment and farmers' livelihoods, leading to a more sustainable and resilient future. This helps reduce reliance on fossil fuels and promotes socio-economic development for farmers. Schneider has a range of clean energy solutions for irrigation and agro-processing applications.

Access to energy and water driving community progress in Egypt

In Marsa Matruh, Egypt, water scarcity once threatened agriculture and access to safe drinking water, worsening food insecurity for thousands. Schneider Electric Egypt, in collaboration with local partner Ahly Sabour and a local NGO, introduced a transformative solution: solar-powered climate-controlled greenhouses and water desalination systems, integrated with EcoStruxure™ digital monitoring platform. This initiative now provides clean water for both irrigation and drinking, significantly improving daily life and livelihoods. Powered by a solar photovoltaic system and advanced desalination technology, the project serves around 5,000 families – impacting over 20,000 people directly and indirectly. It delivers more than 21 million liters of clean water annually, and is a climate-controlled greenhouse with production capacity of 14 tons per year. The initiative also boosts crop production, fielding around 15,000 kilograms of vegetables annually, and mitigates over 73 tons of CO₂ emissions each year. This project is a testament to how sustainable energy can unlock brighter futures.

(1) Tracking SDG 7: The Energy Progress Report 2025, produced by the International Energy Agency (IEA), the International Renewable Energy Agency (IRENA), the United Nations Statistics Division (UNSD), the World Bank, and the World Health Organization (WHO).

3. Sustainable impact for all

3.2.2 Investing for high social impact

3.2.2.1 Context

Schneider Electric is committed to contributing to a transition towards a fairer and more inclusive society, in line with the United Nations Sustainable Development Goals (UN SDGs). According to the UN, achieving these goals requires between USD 5.4 – 6.4 trillion every year⁽¹⁾, calling for a major reorientation of capital towards sustainable activities. Impact Investments help to bridge this financial gap. They are “investments made with the intention of generating a positive, measurable social and environmental impact alongside a financial return”⁽²⁾ (GIIN⁽²⁾).

The ambition of Schneider Electric’s Impact Investing practice is to fund and support high social and environmental impact initiatives in the domain of clean energy and digital services.

3.2.2.2 Group Impact Investing policy

Schneider Electric’s impact investing leverages the company’s expertise to drive a fair and inclusive transition through strong stakeholder coalitions. Activities follow strict rules:

- Investing minority stakes in partnership with recognized players;
- Providing efficient pro bono support through Schneider’s network and expertise, to deliver the best social impact and minimize risk;
- Ensuring alignment with the Schneider Electric ecosystem; and
- Ensuring respect of ethical business practices.

Also, since 2024, Schneider Electric has aligned with the Operating Principles for Impact Management (OPIM), impact management principles designed by the Global Impact Investing Network (GIIN) to reinforce the impact funds’ strategies.

 Find Schneider Electric Impact Investing disclosure statement on [OPIM](#)

3.2.2.3 Governance

Each investment vehicle has its own governance structure generally composed of at least two bodies:

- A Board of Directors or a Supervisory Board in charge of legal and ethical oversight. In most cases, investors are represented on this Board.

- A Management Investment Committee, either fully independent or composed of investors, according to the legal structure. They ensure compliance with investment policies and are regularly updated on investment financial and impact performance.

In some cases, an Advisory Committee, a Strategic Committee, or an Impact Committee providing investment and impact strategies guidance. All investment vehicles are supervised by independent auditors.

3.2.2.4 Actions and impacts

Schneider Electric is a pioneer in the Corporate Impact Investment space, having launched its first investment vehicle, Schneider Electric Energy Access (SEEA), as early as 2009. With the strong belief that access to clean energy services is a fundamental right and key development lever, the Company has since initiated or participated in five vehicles to accelerate a just energy transition.

These vehicles operate across diverse regions, and all 47 portfolio companies focus on high energy-related impact. Through Livelihoods, Schneider Electric is also contributing to 27 carbon projects. Each vehicle operates in the sectors of reliable and clean energy services, affordable and energy-efficient housing, healthcare, digital and financial inclusion, environmental protection, and education. They also help create new jobs and generate revenues for underprivileged communities.

Schneider Electric employees also contribute to Impact Investing; by 2025, 6,220 employees in France had invested EUR 47.3 million in the Schneider Energie SICAV Solidaire fund. Beyond capital investment, they can provide technical expertise, operational mentorship, and strategic guidance to strengthen portfolio companies’ impact and business models.

As such, between 2009 and 2024, Schneider Electric Impact Investments have enabled portfolio companies to have a positive impact on 36 million people, contributing to the creation of 9,201 direct jobs, the renovation of 102,000 square meters of homes, and the prevention of 17 million tons of CO₂ emissions.

 See more information about Schneider’s Impact Investing on [www.se.com](#)

2009 – SEEA Solidarity-driven fund Energy transition and inclusive economy Total funding amount: €7M Investment amount from Schneider Electric: €3M Region: Europe Co-investors: Schneider Electric’s employees, Schneider Electric’s health insurance MESE, and impact funds	2011 – Livelihoods I (2017 and 2021 Funds II and III) Carbon Funds Total funding amount: €270M Investment amount from Schneider Electric: €36M Region: Worldwide Co-investors: Corporates	2015 – E3 Capital Impact Fund Access to clean and reliable energy Total funding amount: €75M Investment amount from Schneider Electric: €21.5M Region: Sub-Saharan Africa Co-investors: Development finance institutions (DFIs)	2020 – SEEA Asia Impact Fund Energy transition and entrepreneurship Total funding amount: €21M Investment amount from Schneider Electric: €6.3M Region: South and South-East Asia Co-investors: DFIs and asset management companies	2023 – GEIF II Impact Fund Energy transition and entrepreneurship Total funding objective: €43-60M Investment amount from Schneider Electric: €20M Region: Sub-Saharan Africa Co-investors: Impact funds, family offices, and institutional investors
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(1) Consult the article “Annual cost for reaching the SDGs? More than \$5 trillion,” United Nations.
(2) Global Impact Investing Network.

3.2.2.5 Examples of portfolio projects

SEEA: inclusive economy and energy poverty

Okra Solar



Supported by SEEA*, Okra Solar is an Australian social company committed to electrify off-grid households at affordable cost, primarily in Nigeria and Haiti.

Okra Solar designs and sells mesh-grids as an alternative to mini-grids and solar homes. This technology significantly reduces the installation and operating costs of microgrids, ultimately benefiting underserved communities.

The company generates a strong social impact by improving living conditions in remote areas, an economic impact by fostering business creation, and an environmental impact through the development of solar energy.

From its creation in 2016 until December 2025, Okra Solar has contributed to over 1,900 tons of avoided CO₂ emissions, created 193 decent jobs, and directly impacted a total of 40,200 beneficiaries with its mesh-grids.

Confident in Okra's team and its position on the market, SEEA has supported the company's growth with follow-on investments since 2018.

*Find more information on SEEA/A portfolio companies on SEEA/A Impact Report.



SEEA Asia: access to clean and reliable energy

ATEC



Supported by SEEA* Asia, ATEC is a company dedicated to promoting clean cooking while tackling climate change through innovative, modern, technology-driven solutions in Cambodia, Bangladesh, and Malawi.

The company offers two flagship products: Biodigester, which converts farm waste into safe cooking gas and organic fertilizer, and eCook, smart and safe cookstoves designed for underserved households and made affordable through pay-as-you-go installment plans. These solutions effectively drive the adoption of clean cooking, replacing traditional, inefficient, and highly polluting biomass options.

Validated by Gold Standard, ATEC's proprietary Internet-of-Things (IoT) enables real-time monitoring and carbon credit generation, unlocking carbon financing opportunities that help lower product costs, ultimately benefiting underserved communities.

As of December 2025, ATEC has contributed to over 144,800 tons of avoided CO₂ emissions, created 67 decent jobs, and directly impacted a total of 136,900 beneficiaries with its solutions.

*Find more information on SEEA/A portfolio companies on SEEA/A Impact Report.



Gaia and E3 Capital: access to energy in Africa

Candi Solar



Supported by Gaia and E3 Capital*, Candi Solar designs, procures, finances, and operates solar energy for small and medium businesses in India and Africa. Candi offers direct savings of 10% compared to using electricity from the grid or diesel generators.

The company uses a simple credit check and PPA model, focusing on the large group of underserved, higher-risk clients consuming less than 5 MW of power, and works with local EPCs and installers. It provides a high-quality solar solution that delivers long-term benefits with no upfront investment and immediate savings from day one. Candi is also currently co-developing monitoring and management tools in real time to improve site performance and income.

Their solution enabled the implementation of 35 installations representing 62 MWh of power, mitigating 7,600 tons of CO₂ in 2023.

*Find more information on GEIF II and E3 Capital portfolio companies on GAIA Impact Report and E3 Capital Impact Report.



Livelihoods: Carbon Fund and social impact

Hifadhi



Supported by the Livelihoods Fund, the Kenyan project "Hifadhi", developed by Climate Pal, seeks to mitigate deforestation through clean cooking and agroforestry.

Embu County in Kenya faces rapid forest loss – about 50,000 hectares a year – worsened by population growth and reliance on wood for fuel, with women often spending long hours gathering firewood.

The stoves provided through this project are made from locally sourced metal and ceramic, use a ceramic liner to retain heat longer and burn fuel more effectively. They are expected to cut wood consumption by 60% vs. traditional open fires.

In tandem with cookstove distribution, the project includes a reforestation component: planting not only timber trees but also fruit trees. These provide both carbon offsetting and income/food security benefits for communities.

Since 2013, the Hifadhi project delivered approximately 60,000 cookstoves, benefiting more than 300,000 people and enabling the removal of more than 1,600,000 tons of carbon.



3. Sustainable impact for all

3.2.3 The Schneider Electric Foundation

3.2.3.1 Context and goals

Today, young people represent the largest and most educated generation in history. Yet, 251 million children and youths are still out of school⁽¹⁾. In addition, 75% of young people lack basic work skills⁽²⁾. Education systems often fail to align with labor market needs, leaving young people behind and employers without talents.

At the same time, youths are actively engaged in just transition initiatives, not only through civil society efforts but also via their career choices, volunteering, involvement in NGOs, and more.

To successfully secure a sustainable future for all humanity, younger generations must have adequate access to guidance, training, and recognition.

The Schneider Electric Foundation's goal, under the aegis of *Fondation de France*, is to support and empower them to get involved and innovate, increasing their capacity to make a change. The Foundation goes about fulfilling this objective every day, all over the world, through concrete initiatives and programs.

3.2.3.2 Group policy

The Group's first Philanthropy Policy was implemented in 2023 and reviewed in 2024. Available in eight languages, its objective is to define Schneider Electric's position on philanthropy, its priorities, and its principles of action, in line with the 17 UN SDGs. It provides a coherent and consistent framework and process enabling Schneider Electric entities and employees to contribute and act.

In 2025, the EUR 4 million annual budget of the Schneider Electric Foundation was invested in more than 100 projects, supporting 265,165 youths with a key engagement of the Schneider Electric community, who contributing with 17,742 days of volunteering.

This commitment is being amplified with an additional EUR 30 million from Schneider Electric's entities and employees giving back in their communities. In total, more than EUR 34 million has been invested to help local communities worldwide.

3.2.3.3 Governance

Fondation de France is a non-profit organization that, since its creation in 1969, has been the bridge between donors, founders, and field structures to support projects across a range of general interest areas. It supports other foundations (982 in 2025) whose operations are governed separately, but who are legally part of *Fondation de France*. It is responsible for ensuring that their actions comply with its by-laws. The Executive Committee of the Schneider Electric Foundation determines the key focuses of its initiatives and the projects it supports.

Since 2019, the composition of the Schneider Electric Foundation's Executive Committee is composed of ten members: five from Schneider Electric (the CEO, two members of the Executive Committee, two representatives of the employees), five external experts, and one observer from *Fondation de France*.

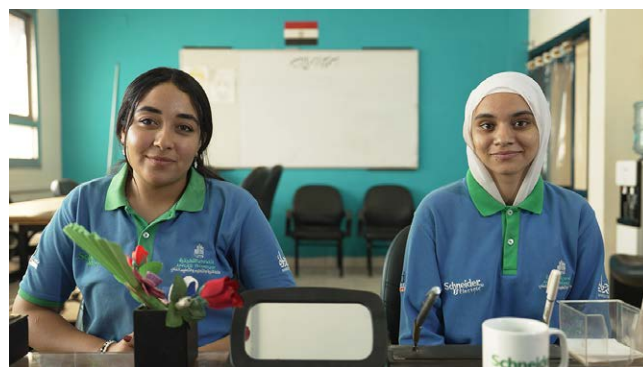
Its missions are the following: define the strategic directions of the Foundation; validate the activity report and financial report; decide on the allocation of budgets by program and validate commitments exceeding EUR 200,000.

One to two Executive Committee meetings are organized each year.

The Foundation's Selection Committee meets every month and is composed of the General Delegate; the Corporate Philanthropy Director; and the Program Director, Youth Education & Entrepreneurship.

The Schneider Electric Foundation operates through a structured network of around 80 delegates covering 100 countries. Their role is to identify and select local partners empowering the youth, and to support entrepreneurship, sustainability awareness, and volunteering initiatives. Delegates inform employees about their entity's activities, and about the Foundation. Each proposed project is subject to a review process based on administrative and financial data by the Schneider Electric Foundation and by *Fondation de France* before funds are released. Following a project's launch, progress and reporting are monitored by the delegates.

Finally, the Foundation delegates coordinate the organization of the Schneider Electric Foundation's campaigns for international mobilization.



(1) UNESCO Report, 2024.

(2) YMCA-Deloitte Report 2024.

3.2.3.4 Key actions driven by the Schneider Electric Foundation

Schneider Electric's global presence allows it to have a greater reach and impact on underserved communities. The Group believes in contributing through different initiatives such as the Schneider Electric Foundation programs and initiatives. Through charity and donations, teaching and lending its time, the Company and its Foundations support local organizations and stimulate communities. Six main actions are driven by the Schneider Electric Foundation:

1. Youth Education & Entrepreneurship program.
2. Empowering employees to share expertise and drive impact through volunteering.
3. Measuring the social impact of the programs.
4. Supporting innovation and social entrepreneurship with emblematic projects.
5. Acting as a corporate citizen by supporting international causes with the Tomorrow Rising Fund.
6. Greater impact through the Schneider Electric Sister Foundations (North America, India, Australia).

3.2.3.5 Youth Education & Entrepreneurship program

Context and goals

Today's youth are forward-thinking, creative, and eager to drive change. To help them build meaningful futures aligned with their aspirations, education, technological literacy, social innovation, and entrepreneurship must go hand in hand.

Through the Youth Education & Entrepreneurship program, Schneider Electric and its Foundation equip young people with the skills and support needed to design solutions for a more equitable and sustainable future. By funding projects, sharing technical expertise, mobilizing employees, and advancing specialized partnerships locally, the program empowers youth and communities to create sustainable livelihoods and lead the energy transition.



By 2025, the program aimed to train 1 million youths, 10,000 trainers and support 10,000 entrepreneurs in energy management. These goals have already been surpassed ahead of schedule, reflecting the program's global reach and measurable impact.

The Program's success has earned international recognition, including the World Economic Forum's (WEF) Diversity, Equity and Inclusion Lighthouse Award, the Emirates Energy Award for Education and Capacity Building, and selection by UN Women as a global best practice for youth empowerment in climate action.

Volunteering and mentorship, promoted through the VolunteerIn network, remain key pillars of this success, enabling Schneider Electric employees worldwide to inspire, guide, and empower the next generation of changemakers.

Governance

The program follows the rules and governance of the Schneider Electric Foundation and *Fondation de France*.

Actions

The program is divided into three main areas:

1. **Support access to qualitative jobs through vocational and entrepreneurship training in the energy field**, key drivers of socio-economic and sustainable development across generations.
2. **Learn new skills for the future, technical and soft**, linked to the energy transition, giving younger generations the boost they need to succeed and build the world of tomorrow.
3. **Create the right ecosystem to spread entrepreneurial spirit and encourage innovation**, enhancing younger generations to define their future and take part in social and environmental challenges.



3. Sustainable impact for all

3.2.3.6 Empowering employees to share expertise and drive impact through volunteering

Context and goals

The Schneider Electric Foundation places a strong emphasis on employee engagement across all its initiatives. Since its creation in 2012, the Foundation's dedicated NGO, VolunteerIn, has been instrumental in organizing volunteer programs. These initiatives empower employees to actively contribute their time, expertise, and professional skills, becoming actors of Schneider Electric's societal commitments.

Governance

The Schneider Electric VolunteerIn Executive Board is composed of the Chairman, Chief Human Resources Officer; two Vice-Presidents, including Executive Vice-President Global Supply Chain; the Secretary, in charge of the Youth Education & Entrepreneurship program; the Treasurer, in charge of the SEEA solidarity investment fund; three Members (the Vice-President Inclusion and Care, a Volunteer representative and the Chief Citizenship Officer and Senior Vice-President Institutional Affairs).

One to two Executive Board meetings are organized each year.

Actions

In 2025, Schneider Electric expanded its skills based volunteering by establishing "Finance Hearts," a dedicated mentoring community where Schneider Electric's finance experts guide and support leaders of ESG-focused start-ups and NGOs. Through volunteering, employees not only support causes in youth, communities, poverty, and planet, but also enhance their own capabilities, broaden their perspectives, and strengthen cross-cultural collaboration. Volunteering is a powerful avenue for personal and professional growth, fostering leadership, empathy, and innovation.

The VolunteerIn digital platform serves as the central hub for all volunteer initiatives proposed by the Foundation. Accessible in 27 languages, it enables Schneider Electric employees worldwide to discover and apply for assignments that match their skills and interests, benefiting the Foundation's partners and their communities.

This program ensures that every employee has the opportunity to make a meaningful impact, leveraging their talents to create a more equitable and sustainable future.

Tomorrow Rising Season 2

Tomorrow Rising is a web series that showcases the real-life stories of young individuals who, through the support of Schneider Electric Foundation's programs, are building brighter futures for themselves and their communities.

Six years after the first season, Tomorrow Rising comes back with a second season, featuring **five new characters in five different countries**.

Azael from Mexico is passionate about mathematics. Despite lacking financial support, Azael is determined to help his family and achieve his goals. **Christine** from Egypt is expected to set aside her dreams, but her passion for electricity pushed her to break barriers. **Farha** from France aspires to a career in electrical engineering but often struggles with self-doubt. Through mentorship, she is empowering herself and learning the importance of believing in her abilities. **Roswita** from Indonesia is a solar installation trainer in Sumba Island. She faces a tough decision: stay in her familiar surroundings and support her community or pursue new opportunities that could shape her future. **Shirley** from Peru wants to attend a prestigious public university to become an electrical engineer. Despite the challenges that stand in her way, she remains determined to prove her skills and pursue her dream.

Their powerful stories highlight the transformative impact of education, technical training, and mentorship on young people from vulnerable backgrounds around the world.

 **The episode of Roswita has won the Silver trophy at the 2025 Deauville Green Awards.**



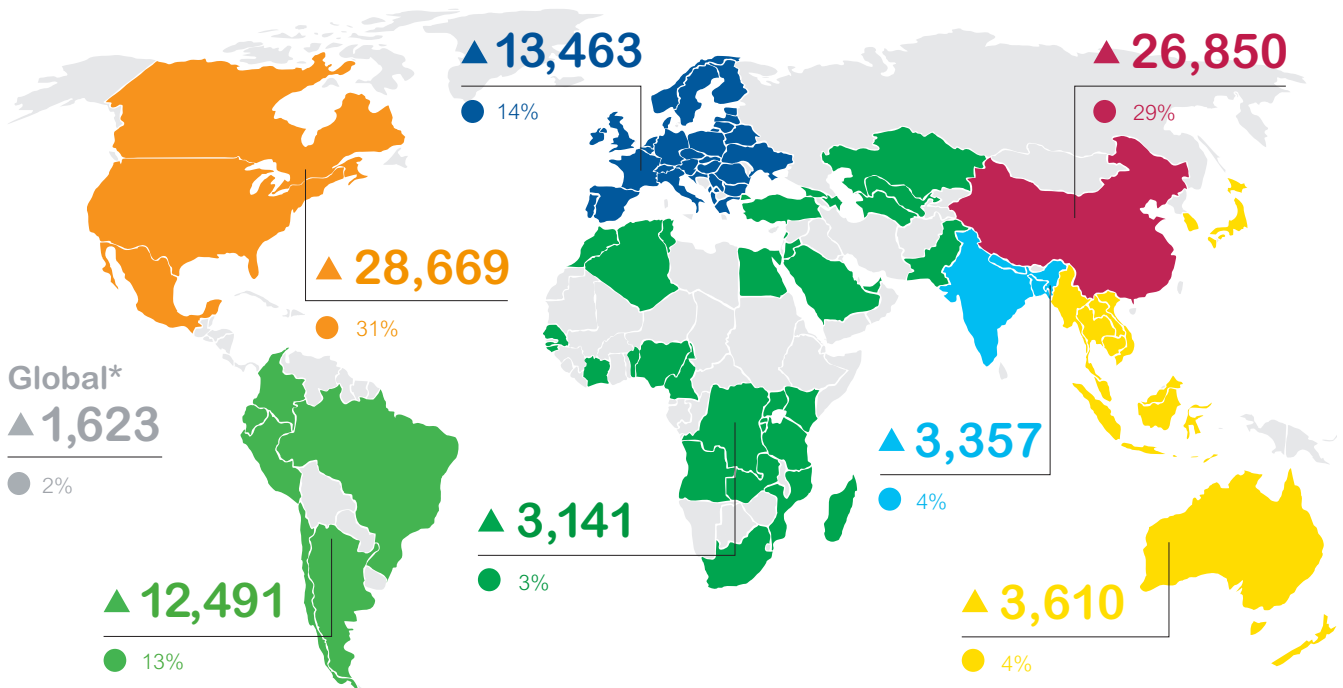
Employee engagement, cumulated per region since 2018

▲ Total 93,204

volunteering days

▲ Volunteering days

● Distribution



* Days in global/multi-country initiatives.

3.2.3.7 Measuring the social impact of the programs

The Schneider Electric Foundation continues to deepen its commitment to sustainable social impact through data-driven transformation.

In 2025, Schneider Electric and its Foundation reached a major milestone: 1 million individuals trained through the Youth Education & Entrepreneurship program. This achievement reflects not only scale but also meaningful change.

Through the global Social Impact assessment framework for the Schneider Electric Foundation, over 150 individuals from the partner organizations were trained to adopt this methodology - illustrating the Foundation's commitment to a global mindset shift and investing in capacity building.

Following this work, 4,900 responses representing 59,577 trainees from 25 NGOs were gathered. Data collected representing the YEE ETT program (with a margin of error < 5%) reveals that 73% of trained mastered technical skills, 85.9% gained soft skills, and six months after training, 73.4% were employed and 90% supported their families financially.

These insights also revealed key learnings: self-confidence is foundational but not linear, shaped by real-life challenges; entrepreneurship is essential, especially in fragile economies where it is often the only viable path; and gender gaps persist, limiting financial autonomy despite equal effort.

In parallel, the Foundation launched the impact measurement of the VolunteerIn program, starting in Q1 with Schneider Electric volunteers and now expanding to partner NGOs. Initial results show strong outcomes: 94% of volunteers developed new skills and 93% applied them at work, while 92% reported improved well-being and 85% adopted more socially responsible behaviors.

The program also strengthened collaboration and team spirit, with 73% of volunteers feeling empowered and useful, and 82% expressing increased appreciation of working at Schneider Electric. These insights reinforce the Foundation's systemic approach to fostering a culture of purpose, inclusion, and impact.

This data is key as it helps enhance the partnerships, adapt support, and ensure that the program continues to drive lasting change in people's lives.

3.2.3.8 Support innovation and social entrepreneurs with emblematic projects

The Schneider Electric Foundation also supports emblematic and international programs by making available its expertise of energy systems management, through donations in resources and/or knowledge, to encourage innovation for the energy transition.

In 2025, Schneider Electric France, coordinated by the Schneider Electric Foundation, signed a sponsorship agreement with the public institution *Rebâtir Notre-Dame de Paris*, contributing to the cathedral's restoration through in-kind donations and technical expertise.

3. Sustainable impact for all

The Group is providing cutting-edge energy management solutions, including a complete electrical distribution system, a Building Management System (BMS), and safety lighting. Schneider Electric is also responsible for engineering, commissioning, and training, ensuring the cathedral benefits from sustainable and secure energy infrastructure.

"It is a matter of course for Schneider Electric to take part in this type of action, as we have done in the past for the Comédie Française and the Antarctic station."

Gilles Vermot Desroches, SVP Corporate Citizenship and Institutional Affairs, Schneider Electric

Since 2016, Schneider Electric and Ashoka have collaborated to bridge the gap between business and social to create more social impact.

What began as a joint initiative, the "Youth Innovation for a Sustainable Future" call for projects, evolved into the creation of a community of social entrepreneurs. Comprising 25 winning projects, this community is supported with tools, knowledge, and opportunities to collaborate with business leaders. The goal is to help these changemakers sustain and scale their organizations, amplifying their impact on society.

This partnership exemplifies Schneider Electric Foundation's belief that innovation must serve both technological progress and human development. By empowering young entrepreneurs and integrating social purpose into business ecosystems, the Schneider Electric Foundation contributes to foster a more inclusive and sustainable future.

3.2.3.9 Acting as a corporate citizen: Tomorrow Rising Fund

Context and goals

Since its creation, the Schneider Electric Foundation has proposed 24 specific emergency and rebuilding campaigns. It acts as a relay and amplifies the mobilizations of local Schneider Electric entities following natural disasters or emergency situations in the concerned countries.

Actions and impacts

Schneider Electric's employees and entities have always demonstrated an incredible spirit of solidarity. In 2025, they contributed to a campaign following the devastating fire in Hong Kong.

3.2.3.10 Greater impact through the Schneider Electric Sister Foundations

The Schneider Electric Foundation operates in 100 countries, with additional impact through the activities of Sister Foundations in North America, India, and Australia.

North America

The Schneider Electric North America Foundation provides financial support, products, expertise, and volunteers to non-profit organizations that align with business priorities, values, and geographies. The goal is to make an impact in communities where Schneider's employees live and work.

They have strategic partnerships that focus on Disaster Relief, Energy Equity, STEM Education, and Inclusion & Care. They offer employee programs to support their commitment and efforts in their communities such as Matching Gift, Dollars for Doers, Corporate Grants, New Hire Gifts, and Volunteer Events.

In 2025, the North America Foundation contributed to over \$7.9M in cash and product donations to roughly 3.5k charitable organizations and participated in 33k+ employee hours.

India

In 2025, Schneider Electric India Foundation has impacted many lives through various programs under youth, children, and community development.

- **Youth:** 56,140 youth (10,245 girls) were trained in electrical, automation, and solar domain. 328 trainers were trained under the "train the trainer" initiative.
- **Community:** 1,510 farmer families benefited from 137 solar irrigation pumps. Six Primary Health Centers, four Anganwadi's and one College in remote villages were provided with solar solutions. Four Climate Smart Villages provided clean energy to 413 tribal families.
- **Children :** 65,125 school children received digital education with 200 solar-powered digital classrooms.
- **Employee volunteering:** 2,000+ employees volunteered in various programs contributing 7,083 volunteering hours.

Pacific

The Schneider Electric Pacific Foundation advances community impact by supporting charity partners in Australia and New Zealand who are supporting underserved youth to find a pathway into employment through education. This includes high school programs, vocational training, and financial support, and is strengthened through employee programs such as matched giving, corporate grants, and volunteer initiatives.

In 2025, the Pacific Foundation contributed over AUD 279,000 in grants to key Australian charitable partners, including Raise Foundation, Beacon Foundation, and the Australian Torres Strait Islander Mathematics Alliance (ATSIMA). In New Zealand, the Foundation provided NZD 40,000 to Indigenous Education partners. Through the matched program, the Foundation generated additional donations to not-for-profit organizations across the region.



3.2.4 Youth Impact Through Learning: the workforce of tomorrow

3.2.4.1 Overview

In a world shaped by climate disruption, digital transformation, and shifting labor markets, the need for future-ready skills is rapidly increasing. Schneider Electric's "Youth Impact Through Learning" (YITL) initiative responds to this challenge by equipping youth and communities with the technical, digital, and entrepreneurial capabilities needed to participate in the energy transition.

Aligned with Schneider Electric's ambition to be an Impact Company, YITL contributes to global efforts to close the green skills gap, modernize vocational education, and promote lifelong learning.

The YITL initiative operates through six core programs:

1. Youth Education & Entrepreneurship: Supporting access to competencies and support for the youth to lead the energy transition.
2. Digital Learning: Online and extended reality (XR)-based platforms to expand access.
3. Educational Solutions: Industry relevant didactic training systems for hands-on technical training.
4. Equipment Donations: Providing Schneider Electric technologies for practical training.
5. Schneider Electric School (École Schneider Electric).
6. Engineers for School (IPE): Faculty development and institutional partnerships.

Together, these programs form a comprehensive strategy to enable lifelong learning, modernize vocational training, and build inclusive pathways to energy employment opportunities, through collaboration and strategic partnerships in the education segment.

Schneider's YITL programs are designed to equip learners with both technical skill and knowledge, as well as soft skills to enable their participation in careers for electrification and the energy transition.

3.2.4.2 Youth Education & Entrepreneurship program

1. Support access to qualitative jobs through technical and vocational education training in the energy sector

For over a decade, Schneider Electric has collaborated with more than 850 local and global partners across 60 countries. Through the Youth Education & Entrepreneurship program, supported by the Schneider Electric Foundation, more than 1 million young people have been trained through education tailored to local job markets and aligned with emerging technologies.

Schneider Electric and its Foundation are addressing the energy sector's skills gap through specialized partnerships and scalable learning models that generate systemic impact. The program advances inclusive participation by aligning education with climate action, supporting underserved youth and forcibly displaced

communities, and creating pathways toward meaningful employment and resilient livelihoods in the green economy.

Schneider Electric and its Foundation implement innovative, transportable, and context-adapted solutions that extend access to technical and vocational training in regions with limited infrastructure. These flexible models integrate renewable energy, automation, digitalization, and entrepreneurship skills, ensuring that learning remains relevant to evolving local needs.

In Brazil, the Samaúma Boat, developed in partnership with SENAI (*Serviço Nacional de Aprendizagem Industrial* or National Industrial Training Service), provides renewable energy and basic electricity training to remote communities in the Legal Amazon region. Equipped as a floating classroom, it delivers 120 hours of hands-on training over four months, adapted to local realities and certified by national education authorities.

In Argentina, a mobile classroom is deployed in collaboration with Educando, equipped with renewable energy, automation, and robotics kits, enhancing teacher capacity and supporting the modernization of technical education in the Salta region.

Similarly, in Peru and Colombia, portable training benches and IoT laboratories enable access to technical education, enabling young people and adults to gain practical skills directly relevant to local employment opportunities.

These innovative models illustrate Schneider Electric's commitment to bridging educational gaps, and empowering youth to take part in the energy transition.



2. New Skills for the Future and Innovation for the energy transition

Beyond simply addressing climate change and advancing the energy transition, the New Skills for the Future and Innovation initiatives fundamentally empower future generations to become Impact Makers and invest in resilience. By equipping them with 21st century skills and knowledge on the energy transition, the projects enable them to not only contribute to building a sustainable future but also to create lasting change within their communities and to enhance their overall quality of life.

3. Sustainable impact for all

Schneider Electric and its Foundation have significantly supported innovation for an inclusive energy transition by advancing innovative education models and youth-driven climate action through two flagship initiatives Conserve My Planet and Go Green, illustrating this commitment to equipping the next generation with the knowledge, confidence, and creativity to lead the energy transition.

Conserve My Planet, developed with NGO SHARP, is an interactive, activity-based program that fosters environmental awareness and practical energy-efficiency skills among school students. Originally launched in India, the program has now expanded to Kenya, Thailand, and Vietnam, demonstrating its scalability and contribution to a more inclusive energy transition.

It combines technical learning, inclusive participation, and community engagement with balanced representation where girls make up half of all participants. Its dual pillars, energy conservation and environmental responsibility, encourage learners to translate knowledge into real-world impact through local projects and national competitions. By linking education to climate action, the program helps young people design tangible solutions such as solar-powered waste systems and aquaponic water models.

Through VolunteerIn initiatives, dedicated Schneider Electric employees volunteered to mentor young people, empowering them to pursue meaningful and sustainable career paths.

The Go Green Competition engages students and young entrepreneurs worldwide to reimagine renewable energy for life and livelihoods. In 2025, more than 11,000 applications from over 80 countries explored innovations such as solar-powered agriculture and microbusiness solutions. The competition provides mentorship from Schneider's experts, global exposure, and access to sustainability training, empowering youth to transform ideas into viable enterprises.



3. Spread entrepreneurial spirit and encourage innovation for the energy transition

Bridging the gap between theory and practice, Schneider Electric and its Foundation have significantly advanced their support for youth entrepreneurship, achieving remarkable success beyond their initial goals. The Youth Education & Entrepreneurship program, which originally aimed to support 10,000 entrepreneurs by 2025, has already surpassed this milestone by supporting 11,555 entrepreneurs. This accomplishment highlights Schneider Electric's dedication to promoting economic growth and enhancing skill development among young people.

Schneider Electric champions equality by supporting specialized organizations that create inclusive ecosystems offering training, mentorship, and funding. These efforts aim to integrate underrepresented groups throughout the energy value chain and strengthen diverse leadership to drive the energy transition and promote climate justice.

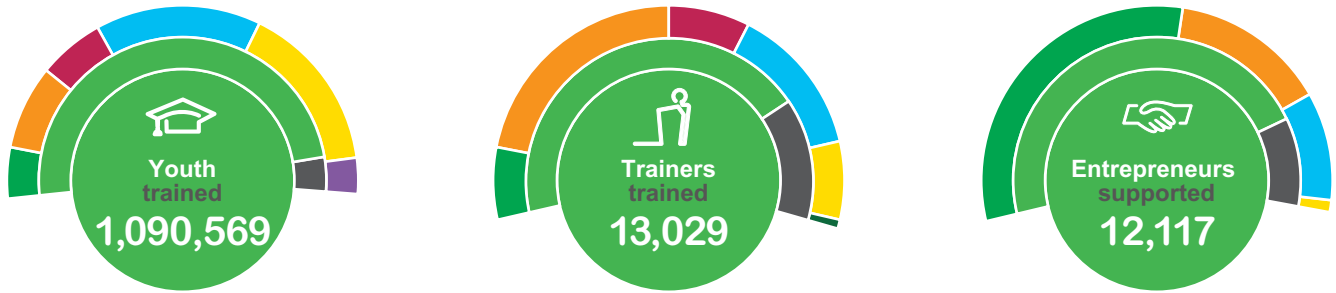
A prime example of these efforts is a series of Entrepreneurial Contests that were launched in Pakistan to empower youth to transform their technical skills into sustainable business ventures. The initiative builds on Schneider Electric's and its Foundation's long-standing collaboration with Muslim Hands Pakistan, an NGO partner that has established more than 90 electrical training laboratories across the country, providing hands-on technical education and career opportunities.

The contest encouraged participants from rural and remote regions to design entrepreneurial solutions in renewable energy and electrical services that address community needs, reflecting the creativity and determination of Pakistan's youth to contribute to sustainable local development. Their projects range from solar-powered community services to small-scale green enterprises that create employment while promoting energy efficiency and climate resilience.

This initiative goes beyond providing financial support. Each selected entrepreneur receives mentorship, business development coaching, and access to Schneider Electric's network of experts to ensure the sustainability and scalability of their ventures.

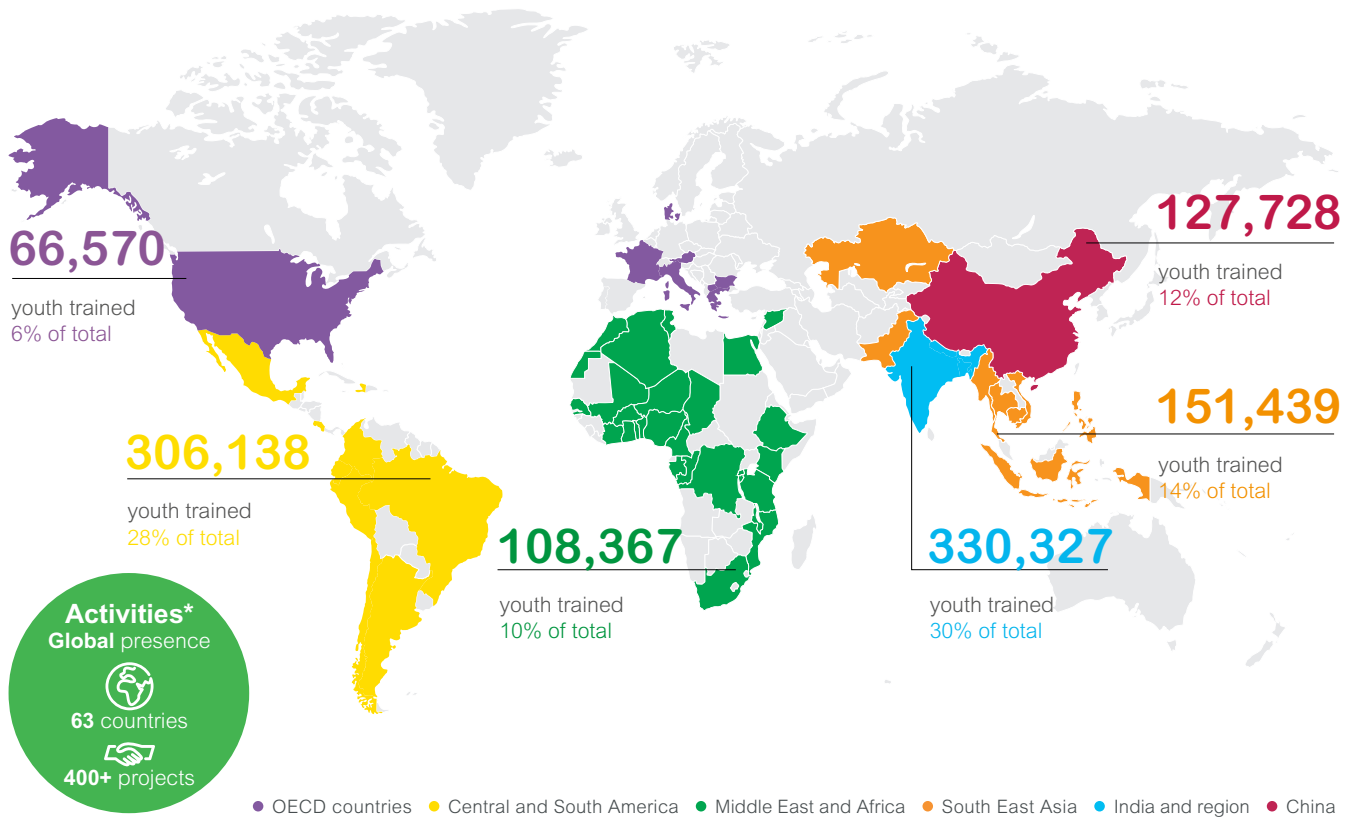
By combining technical skills with entrepreneurial empowerment, the program enables young people to transition from jobseekers to job creators, contributing to resilient local economies.

2025 Performance | Youth Education & Entrepreneurship Program (SSI #11)



3 – SUSTAINABLE IMPACT
FOR ALL

More than 1 million young people trained and empowered in the Energy Field since **2009**



*ETT: Energy Technical Training; NSI: New Skills and Innovation programs; ED: Equipment Donation program.

3. Sustainable impact for all

3.2.4.3 Digital learning

The Digital Learning program is focused on providing accessible learning through targeted digital education initiatives, bringing the latest technologies to advance technical training in the energy field and disseminate competencies around the energy transition.

Schneider Electric has committed to creating a digital learning path, with the fundamentals of the electrician profession with materials such as procedure blocks, flashcards, podcasts, interactive images, and professional case studies. All the modules are hosted on the Schneider University platform and deliver certificates upon completion.

The reach of digital learning has been amplified through strategic partnerships and replicable models across regions:

1. In India, the GreenSkills+ project, a strategic collaboration between Schneider Electric, GIZ (*Deutsche Gesellschaft für Internationale Zusammenarbeit*), and the German Federal Ministry for Economic Cooperation and Development (BMZ), is addressing the urgent need for green skills development through innovative, simulation-based vocational training. With a goal to train 10,000 youth by 2027, the initiative is equipping learners with the competencies required to thrive in the evolving green energy sector. At the heart of the program is a blended learning model that combines e-learning, virtual reality, expert-led sessions, and interactive challenges. With support from state governments, the initiative is strengthening India's Industrial Training Institute (ITI) network by integrating digital training tools that complement physical courses and simulators. To strengthen the delivery of vocational education, the program launched a Training of Trainers initiative. This component is designed to build the capacity of educators by equipping them with digital tools, XR-based simulations, and hands-on expertise.

2. A virtual tour of the Wuxi Smart Factory in China offered young professionals and learners a firsthand look at the future of sustainable manufacturing. Recognized by the World Economic Forum (WEF) as a Sustainability Lighthouse, the Wuxi site exemplifies Schneider Electric's smart and green factory model integrating advanced automation, digital twin technologies, and circular economy principles to reduce Scope 1, 2, and 3 emissions. The tour guided viewers through five core areas of the facility, featuring interviews with young operators, technicians, and junior and senior engineers who shared how their roles contribute to digital transformation and climate resilience. This adds onto Schneider's existing offer of virtual tours to promote industry- and energy-related jobs, with three virtual tours of Schneider Electric's factories in France launched, focused on: circular economy, women in industry, and industry 4.0.

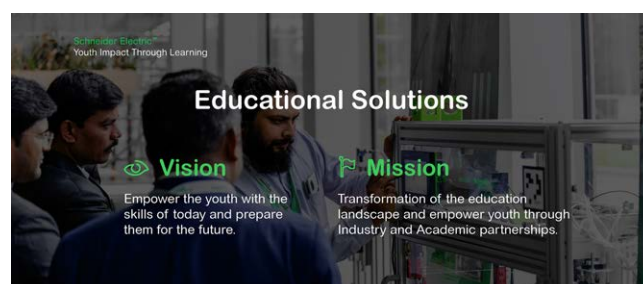
The future-oriented training program includes simulation-based practical training sessions which complement the current courses offered at the Institutional Training Institutes (ITI).

3. Schneider Electric and its Foundation, in partnership with INCO, launched the Get Into Energy Transition digital learning program on Schneider Electric University, a free, multi-lingual, and globally accessible platform offering 120 hours of certified, self-paced courses in carbon accounting, energy efficiency, solar design, and sustainability. By prioritizing learners in remote and underserved communities, the initiative empowers a new generation to lead the inclusive energy transition.

4. The PEPs for Positive Energy Hub project exemplifies the power of collaboration in shaping the future of digital learning and energy transition. Selected as a winner of the "*Compétences et Métiers d'Avenir*" (Skills and Professions of the Future) call for interest under the France 2030 initiative, this ambitious partnership led by Schneider Electric and supported by a consortium of leading academic, industrial, and public institutions, will co-develop modular, simulation-based digital learning resources aligned with national curricula. Over the next four years, the initiative aims to equip 50,000 young people and professionals across France with future-ready skills in digitalization, smart grids, and industrial decarbonization. By bridging industry and education, the project not only strengthens workforce readiness but also contributes meaningfully to France's energy transition, paving the way for a more sustainable, digital, and inclusive future.

3.2.4.4 Schneider Electric educational solutions for industry-academia partnerships enabling lifelong learning

The Educational Equipment Services program is designed to advance technical education and vocational training through the integration of industry relevant didactic training equipment and modular learning systems.



The program integrates Schneider Electric's technologies into learning environments, enabling students with the skills to engage with real-world systems.

Modular training systems cover: Smart Energy; Smart Buildings; Smart Factories; Digital Blocks; and Fundamentals.

A defining feature of the program is its emphasis on industry-academia collaboration, working closely with customers and partners across the education segment, including Ministries of Education, Universities, and TVET institutions.

These partnerships ensure that the equipment and content provided are contextually relevant and industry aligned, helping institutions modernize their labs, update their teaching methods, and integrate real-world challenges into the classroom.

Recently, Schneider Electric collaborated with NAMTECH to co-design the curriculum for its flagship International Professional Master's Program in Smart Manufacturing, alongside TUM Asia (Technical University of Munich) in Singapore. This ensured that the curriculum was aligned with the needs of Industry 4.0 and modern manufacturing environments.



3.2.4.5 Equipment donations: Schneider Electric technologies for practical training

The Equipment Donations program provides Schneider Electric equipment and solutions to education partners to enhance practical learning programs, giving students hand-on experience with industry-relevant technologies and helping develop the future professionals needed for electrification and the energy transition.

The program is coordinated globally, with regional teams across more than 20 countries, identifying opportunities for lab modernization innovation programs as well as student projects. Donations include Schneider Electric product components as well as software.

In France, the program has become a benchmark for sustainable donation practices, firmly rooted in circular-economy principles. By supporting more than 70 institutions, including the Schneider Electric Apprenticeship Training Center (CFA SE), public vocational high schools, and NGOs, the program helps young people in technical and vocational pathways gain access to modern equipment for hands-on learning.

3.2.4.6 The Schneider Electric School

In 1929, Schneider Electric founded its own school, Paul-Louis Merlin in Grenoble, to address the difficulty of recruiting skilled labor in the energy industry and help young people. Today, it continues to focus on vocational training in Schneider Electric's areas of expertise, with innovative training approaches and close alignment with actual industry practices.

Students obtain qualifications enabling them to continue in higher education or access employment in innovation-rich energy-sector fields such as renewable energies, smart homes, smart buildings, energy management, as well as Industry 4.0.

In 2019, to reinforce the link with the Group, the school changed its name to École Schneider Electric and a new vocational training for apprentices was added to support the creation of its CFA (*Centre de Formation d'Apprentis* or Apprentices Training Center). The Schneider Electric School now includes a high school and a CFA.

Focus on the CFA

The training offer of the CFA is focused on technical training of excellence; it covers training on Schneider domains of expertise. It combines academic education and practical experience gained through professional activity within a company, resulting in a professional certification, diploma, or title.

Throughout their training, the CFA provides support to apprentices for various administrative tasks (registration, apprenticeship contract, assistance with obtaining a driving license or housing, etc.), ensuring a smooth journey towards professional integration.

2025 was a successful year for the Schneider Electric School with:

- 100% success in the baccalaureate diploma; and
- 206 apprentices with 85% graduating, 47% continuing studies, and 53% gaining employment.

3.2.4.7 IPE Engineers for School

The Engineers for Schools (*Ingénieurs pour l'École* or IPE) program exemplifies Schneider Electric's commitment to education and social impact. This skills-based sponsorship initiative places experienced employees at the heart of the French Ministry of Education, building a vital bridge between schools and industry.

Its mission is to strengthen technical and vocational education, support students' professional integration, and bring energy and digital transitions to life through innovative educational projects across vocational and qualification campuses.

In 2024–2025, 18 Schneider Electric IPEs made a remarkable impact, reaching 21,000 students, 1,100 teachers, and 930 schools across France. The flagship program, Energy Transition in Practice, enabled 255 teachers to gain cutting-edge knowledge in energy efficiency and decarbonization technologies.

This initiative reflects Schneider Electric's strong social and environmental commitment, showcasing its technological expertise and employer brand.

3. Sustainable impact for all

3.2.5 Future Ready program

The Future Ready program is dedicated to empowering all, regardless of their generation, to build their desirable future based on their individual aspirations by providing opportunities for everyone, everywhere.

3.2.5.1 Risks, impacts, and opportunities

There is an increasing risk of a worker shortage that must be addressed. Globally, the gap between the skills and competencies needed to drive the just energy transition and the existing ones is growing due to two main reasons: technological advancements and demographic shifts of an aging population. Investments are required to close this skills gap during a worker shortage and give everyone the opportunity to take control of their professional future. The Group's workforce, as well as its external communities, must be supported and trained to accomplish their common goal.

3.2.5.2 Empowering all generations to learn and design their professional journey

Schneider Electric believes all employees are talented and deserve equitable career development opportunities to reach their fullest potential and create their desirable professional future, at all stages of their career. The Group leverages actions led by the Future Ready program to enable employees, and even youth outside of the Company, primarily from disadvantaged backgrounds, to design and build their career path.

⊕ To learn more about Schneider Electric's actions for harnessing the power of all generations, see **section 1.1.2 Long-term commitments and tools to measure progress on page 7.**

3.2.5.3 Actions for multi-generational empowerment

To accompany employees in creating a future based on their individual aspirations, Schneider Electric Initiatives (which groups Creation Pass, Solidarity Pass, Competencies Pass, Education Pass, and Reconversion Pass) offers five innovative pathways to support employees in designing their professional future while having a positive impact on the local community. Three out of these five Passes are highlighted below:

1. The Creation Pass: An internal support system to help employees start their own business. In 2025, 55 employees were supported and 17 companies were created, resulting in 33 jobs created.
2. The Solidarity Pass: A skill sponsorship which allows employees to offer their skills, energy, and dedication to an NGO. In 2025, 37 employees benefited from a Solidarity Pass.
3. Skills Pass: a skills-sponsorship initiative through which employees provide start-ups and SMEs with their knowledge and expertise in order to support local economic development. Over the past 11 years, 12 employees have benefited from the Skills Pass.
4. The Education Pass: a skill sponsorship where employees can offer their knowledge and skills to an educational body (e.g., partner universities and educational ministries), IPE (*Ingénieurs pour l'École*, or Engineers for School). In 2025, 22 employees benefitted from an Education Pass.
5. Career Transition Pass: this new format, created in 2024, enables employees to be trained for a new profession and to retrain in order to move into a new role externally.

Employees also benefit from increased flexibility to define their own career paths through DuoPro offerings, which allow them to continue working for Schneider Electric on a part-time basis while using the additional time to: 1) work for another, non-competing company, 2) work as a freelancer, or 3) create their own business.

In France, these initiatives are connected to, and supported by, networks of local companies, local public stakeholders, and local NGOs, in which they are represented.



Actions for youth empowerment

To support the Group's conviction of empowering young adults, especially those from disadvantaged backgrounds, Schneider Electric is involved in three major national French programs dedicated to young people facing concerns related to education, apprenticeship, network, or unemployment. Co-led by Schneider Electric, *Le Collectif d'Entreprises pour une Économie plus Inclusive*, gathers 36 major French companies deploying collective actions concerning youth employment (particularly in 15 French cities), inclusive offers, and procurement.

The Group still strongly supports the NGO *100 Chances 100 Emplois* (100 Opportunities 100 Jobs) to help young people find their own path and develop their talents. This initiative (focused on coaching, mentoring, and networking) has already helped more than 13,000 young people make progress towards employment.

Actions for senior empowerment

Within this journey to further develop talent and enable all to take control of their career path, the Senior Talent program was launched in 2021 connecting Schneider's people and sustainability strategies with a strong focus on meaningful career conversations, career development opportunities, recognition, and knowledge transfer.

In 2025, the Group completed the global deployment of the program SSE #23. Continuous best practices sharing allowed around 80 countries across geographies to develop a portfolio of offers supporting each senior talent's aspirations. The program has been recognized globally by Brandon Hall Group and locally (including France which received recognition from SeniorForce+). Spain has created a dictionary of inclusive language, United Arab Emirates strengthened its freelancing offer to retain critical knowledge, and Malaysia created a one-stop-shop handbook to ensure all could access the information.

The Group was also highlighted by the Organisation for Economic Co-operation and Development (OECD) as a best practice example of career opportunities and development for experienced employees.



For more information on the program, read the Senior Talent White Paper, launched this year on www.se.com, or see **"Enabling sustainable careers"** in section 2.3.1.5 on page 147.



To see the results of SSE #23, refer to **section 1.1.2.1 Schneider Electric's tools to measure progress** on page 7.

The Senior Talent program



"My path reflects passion, impact and growth. Starting with community-focused volunteer work, I advanced to lead sustainability initiatives. I value sharing knowledge to inspire others, creating platforms for collaboration and learning."

Asmaa El Shiemy

Sustainability Senior Manager – Egypt

3.3 Advocating responsibly and ensuring compliance

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Introduction

This chapter presents Schneider Electric's strengthened approach to responsible advocacy and its continued commitment to strict compliance with competition law, tax regulations, and export control requirements. Schneider Electric grounds its actions in the Trust Charter, its Code of Conduct, which sets the ethical foundations for all stakeholder interactions. This framework reinforces the Company's ambition to uphold the highest standards of integrity, transparency, and accountability. For Schneider Electric, compliance goes far beyond legal obligations; it is a strategic pillar of resilience. By embedding rigorous ethical expectations across its organization, the Company safeguards the trust that keeps customers, employees, suppliers, partners, and communities engaged over the long term.

As a global actor in the energy transition, Schneider Electric recognizes its responsibility to contribute constructively to public policy debates on issues where its expertise can meaningfully advance progress – such as climate action, digitalization, and the evolution of the energy landscape. Its approach to responsible advocacy ensures that its positions are transparent, evidence-based, and grounded in fair representation of interests.

Schneider Electric's Competition Law Program continues to evolve to reflect regulatory expectations and global enforcement trends. The program aims to raise awareness, identify and mitigate risks, and prevent anti-competitive practices through robust training, clear operational guidelines, and systematic internal controls.

In the domain of tax compliance, the Company's global Tax Policy emphasizes strong governance, full alignment with national and international tax rules, and a commitment to transparency. This disciplined approach ensures Schneider Electric operates responsibly, anticipates regulatory developments, and manages operational, transactional, and reputational risks in an increasingly complex fiscal environment.

Similarly, Schneider Electric's Export Control Program reaffirms its dedication to ethical business standards and international security requirements. Through rigorous policies, continuous employee training, and embedded compliance processes, the Company works to prevent improper transfers of technology, products, or services, ensuring full compliance with global regulations while maintaining competitive agility.

In an external environment marked by geopolitical shifts, new regulatory frameworks, and rising expectations around corporate responsibility, Schneider Electric remains firm and determined in its commitment to responsible advocacy and strong compliance across all dimensions of its operations. Preserving the trust placed in the Company by its stakeholders is not only a duty – it is the foundation of its long-term resilience and its continued capacity to deliver positive impact.

2025 highlights

300+

local and international organizations with which Schneider Electric collaborated in 2025

16,000+

downloads of the Trust Charter were noted on Schneider Electric website

98%

of the concerned employees received training on anti-corruption practices

30+

languages in which the Group's Competition Law Policy and Guidelines are available

3.3.1 Moving forward collectively with global and local external partnerships

Schneider Electric collaborates with over 300 local and international organizations and associations on economic, social, and environmental issues to foster sustainability in cooperation with various players. The Group confirms its commitment to and participation in discussions on challenges related to climate change, social equity, and ethics. The main memberships are presented in the following table.

Organization	Description	Key actions with Schneider
Access to energy		
Alliance for Rural Electrification (ARE)	The Alliance for Rural Electrification advocates for a decentralized, sustainable and inexpensive renewable energy sector that generates local employment and inclusive economic growth.	Schneider Electric participated in several events, including the Energy Access Investment Forum 2025 in Kampala, Uganda. The Group also contributed to the Alliance members' exclusive exchanges as Co-chair of the ARE Technology & Manufacturer Circle in the Decentralized Renewable Energy (DRE) sector, strengthening industry dialogue and access to market intelligence across the ecosystem.
Sustainable Energy for All (SEforALL)	The foundation relies on innovation to propose solutions helping decision makers harness the economic opportunities of the ecological transition whilst reducing their environmental footprint.	Schneider Electric remained engaged as a private sector partner of SEforALL and continued its involvement in global discussions on energy efficiency and electrification. The Group contributed to exchanges linked to Mission Efficiency, a collective initiative bringing together governments, organizations and other stakeholders to accelerate the transition towards energy-efficient economies. Schneider Electric also participated in panels and discussions, including at COP30 and on the Mission 300 initiative, supporting dialogue with key partners and decision-makers.
All digital topics		
DIGITALEUROPE	DIGITALEUROPE is a trade association representing digital transforming industries in Europe, advocating for regulatory environment that enables businesses and citizens to prosper from digital technologies.	Schneider Electric holds leadership positions at DIGITALEUROPE, including Chairman of the Board. The Group supported flagship events like the Masters of Digital conference and has been helping shape the association's positions on the twin transition, sustainability, energy, and cybersecurity.
Impact AI	Impact AI is an initiative focused on exploring the role of artificial intelligence in addressing societal and economic challenges, and a collective dedicated to ethical and responsible artificial intelligence, fostering dialogue among stakeholders from the public, private and academic sectors.	In 2025, Schneider Electric engaged with Impact AI to exchange insights on the societal and ethical dimensions of AI deployment. Through participation in Impact AI discussions and forums, the Group contributed to shared reflections on AI trustworthiness and its implications for industry and society.
Biodiversity		
Act4Nature	Act4nature is a collective initiative bringing together companies and stakeholders committed to integrating biodiversity protection and nature-positive practices into their strategies and operations.	Schneider Electric leveraged this initiative to update its Biodiversity Pledge. On this occasion, the Group reaffirmed its commitments under Act4nature international, including regularly assessing and publishing its biodiversity impacts, committing to reduce these impacts and align biodiversity objectives with science-based data, developing solutions and technologies that contribute to biodiversity preservation, engaging and transforming its value chain, and acting locally by involving employees and partners.

3. Sustainable impact for all

Organization	Description	Key actions with Schneider
Circular economy and product environmental performance		
Product Environmental Profile (PEP) ecopassport®	PEP ecopassport® is a program operator enabling ISO 14025 compliant environmental product declaration (type III declaration). The program employs the Life-Cycle Assessment (LCA) approach to define products' specific rules and verification processes for the electric and electronic equipment. It also develops its influence to feed the standardization work (IEC, CEN/CENELEC level) and eventually be recognized as a framework and method compatible with the upcoming EU regulations (e.g. ESPR).	The Group chairs the Steering Committee and the PEP ecopassport® Technical Committee to ensure that the rules governing PEP assessments remain compliant with international standards and are applied consistently. In 2025, Schneider Electric supported the automation and digitization of the PEP methodology and led Mutual Recognition Agreements (MRAs) with other program operators, such as the International EPD System, to ensure consistent application of PEP methods across regions and markets. Schneider Electric also participated in the Life Cycle Management International Conference and co-authored publications on Life Cycle Assessment (LCA), contributing to strengthening the global recognition of the PEP ecopassport® program. The Group continues to digitalize its PEPs to make Product Carbon Footprint data available through the Schneider Electric Environmental Data Program.
ResponsibleSteel	ResponsibleSteel is a multi-stakeholder initiative that brings together steel producers, industry actors and civil society organizations to promote responsible steel production through standards, certification and continuous improvement across environmental, social and governance dimensions.	As an affiliated member of ResponsibleSteel, Schneider Electric is actively participating in the standards' definition and validation. In 2025, Schneider Electric has been able to provide feedback to validate the Chain of Custody standard for ResponsibleSteel products' certification. Additionally, Schneider Electric has been strongly advocating for standards' harmonization across the steel industry, which lead to an industry partnership announcement at COP30 in Belém, Brazil, between ResponsibleSteel and two standards – Europe's Low Emission Steel Standard (LESS) and China's Low-carbon Emission Steel Standard (C2F Steel) – to advance global comparability and trade in low-emission and near-zero emissions steel, covering some 60% of the world's steel production. This partnership has been endorsed by Schneider Electric's Chief Sustainability Officer. Schneider Electric is committed to building industry coalitions through ResponsibleSteel, fostering long-term partnerships, and driving the standardization needed to accelerate sustainable innovation.
Climate		
The Climate Group and We mean Business Coalition	The Climate Group and We Mean Business Coalition are global coalitions that bring together businesses and stakeholders to accelerate climate action, promote corporate leadership and support the transition to a low-carbon economy through collective initiatives and advocacy.	Through the Climate Group's EP100 (Energy Productivity 100), EV100 (Electric Vehicles 100) and RE100 (100% Renewable Electricity) initiatives, Schneider Electric promotes three complementary levers of decarbonization: using energy more efficiently, electrifying transport, and switching to renewable electricity. The Company also participates annually in Climate Week NYC.
Entreprises pour l'Environnement (EpE)	EpE is a French association that brings together some sixty major French and international companies committed to lead their own and society's ecological transition.	In 2025, Schneider Electric actively engaged in EpE's activities through participation in key events, including Paris Climate and Nature Week and EpE-organized sessions at COP30 on the French pavilion. The Group contributed to EpE's climate workstream, took part in Sherpas meetings to advance sustainability discussions, and remained involved in EpE publications on digital topics. Schneider Electric also engaged in collective biodiversity commitments under Act4nature, and participated in joint advocacy initiatives, including a CEOs' tribune.
Cybersecurity and data		
Cybersecurity Coalition	The Cybersecurity Coalition is the only trade association that focuses on global cybersecurity policy issues. Through its members' inputs, the coalition provides feedback on a variety of cybersecurity policy matters, and enables companies to connect with several global cybersecurity officials.	Schneider Electric collaborates through the Center for Cybersecurity Policy and Law, encompassing the Cybersecurity Coalition and the DigiAmericas Alliance, to engage on cybersecurity and digital policy. Through the Cybersecurity Coalition, the Group contributed to the integration of Operational Technology (OT) and supply chain security best practices into the U.S. and European cybersecurity policy discussions. Via the DigiAmericas Alliance, Schneider Electric strengthened its engagement with Latin American policymakers, notably in Brazil, and positioned itself as a trusted thought leader on OT security policy.

Organization	Description	Key actions with Schneider
International Association of Privacy Professionals (IAPP)	The IAPP is a nonprofit, policy neutral professional association that provides education, certifications, research, and a global community for privacy professionals.	The Schneider Electric's Gold membership includes up to 50 privacy experts from global Schneider teams, representing the Data Protection Office, Digital Certification, and various Data Offices. The platform offers articles, webinars, certification resources, training programs, and updates on emerging data protection regulations – equipping the community with the knowledge and confidence to strengthen compliance, minimize risk, and build trust with customers, partners, and regulators. Many members hold active certifications and serve as Privacy Professionals, supporting their respective teams across the organization.
Inclusion and care		
Generation Equality Forum	The UN Women Generation Equality Forum is a global multi-stakeholder initiative convened by UN Women that mobilizes governments, civil society and the private sector around concrete commitments to advance gender equality. It is structured around Action Coalitions, including the Economic Justice & Rights Action Coalition, which aims to accelerate progress on women's economic empowerment and rights.	Schneider Electric is a Commitment Maker under the UN Women Generation Equality Forum within the Economic Justice & Rights Action Coalition. Through its Youth Education and Entrepreneurship program, supported by the Schneider Electric Foundation, the Group committed to advancing women's economic empowerment in the energy sector. This included training 5,000 women in energy-related trades, supporting women's self-employment and job placement through dedicated partnerships, and launching two international initiatives aimed at strengthening women's skills and opportunities in the energy field. These commitments were aligned with Schneider Electric's broader ambition for gender equality, inclusion and the empowerment of future generations.
Business Disability Forum (BDF)	BDF is the leading business membership organization in disability inclusion. It helps organizations to become "Disability Smart", that is, adapted to people with disabilities.	As a member of the BDF working group, Schneider Electric participated in the development of a new online assessment tool, now used across the organization's network. The Group also continued to engage with BDF through regular exchanges of best practices via its forum and ongoing collaboration channels, supporting the assessment and improvement of disability inclusion across global operations.
Education		
Boston University	Schneider Electric collaborates with Boston University's Institute for Global Sustainability (IGS), a research institute pioneering interdisciplinary sustainability research focused on planetary and environmental health, climate governance, and energy systems grounded in equity and justice, to advance critical research on building and industrial decarbonization through the integration of academic rigor and industry expertise.	In 2025, the partnership with Boston University's IGS resulted in the publication of two peer-reviewed studies in the journals <i>Nature Communications</i> and <i>Energy and Buildings</i> , identifying sociotechnical barriers and risks affecting building sector decarbonization. The collaboration has also led to a postdoctoral fellowship to investigate electrification challenges across the economy, bringing together IGS's academic research team and Schneider Electric's Sustainability Research Institute to address key questions related to the 2050 net-zero transition.
Mines & Ponts and AgroParisTech	<i>Mines & Ponts</i> and <i>AgroParisTech</i> are leading French higher education institutions, recognized for their excellence in engineering, science and applied research. They are reference institutions in their respective fields, contributing to the development of expertise in technology, infrastructure, sustainability and life sciences.	Schneider Electric continued to support the "Prospective Modeling for Sustainable Development" academic Chair, led by <i>Mines Paris – PSL</i> , <i>École Nationale des Ponts et Chaussées</i> and <i>AgroParisTech</i> . This partnership contributed to some research work on the economic and environmental impacts of energy and digital technologies, as well as to advanced course content and to the participation in related events. In 2025, the Group hosted a full-day Chair event focused on discussions around energy and digital transitions.

3. Sustainable impact for all

Organization	Description	Key actions with Schneider
Energy efficiency / Electric mobility / Digital renewables		
Energy Transition Commission (ETC)	The ETC is a global coalition of leaders from across the energy landscape who are committed to a net-zero world by 2050 and focused on advancing the debate and proposing solutions to climate change.	Schneider Electric mostly contributed to activities such as reports' creation, social media amplification, shaping the agenda through its participation in the organization's various bodies on electrification, energy productivity and resilient supply chains topics.
International Energy Agency (IEA)	The IEA is an autonomous intergovernmental organization providing analysis, data and policy recommendations to support the global transition to clean energy, with a focus on energy security, economic development and environmental sustainability.	Schneider Electric contributed to providing content and expert views on various topics including electrification, digitalization, decentralized systems for industry, buildings and future power systems. In 2025, Schneider provided specific support to the Energy & AI initiative from the IEA, supplying data and analysis, and supporting in mixed industry-policy related events.
Human rights		
WageIndicator Foundation	The WageIndicator Foundation is a global, independent, non-profit organization that collects, analyses and shares information on living wage worldwide.	In 2025, Schneider Electric advanced its living wage approach by entering a three-year partnership with the WageIndicator Foundation. The objective of this new partnership is to provide insights into wage practices globally and enable Schneider Electric and its ecosystem to make informed decisions towards the application of living wages.
Entreprises pour les droits de l'Homme (EDH, Business for Human Rights)	Entreprises pour les Droits de l'Homme is a business association that works closely with its members to support the implementation of the United Nations Guiding Principles on Business and Human Rights.	Through joint initiatives with EDH, Schneider benefits from practical tools, experts' guidance, exchanges with peers from other large organizations, and thematic workshops focused on specific human rights issues.
Industry 4.0 and smart manufacturing		
OPC Foundation	The OPC Foundation is an industry consortium that establishes and maintains standards for automation, open systems, and equipment connectivity.	Schneider Electric is highly active in defining the OPC UA FX (Unified Architecture for Field eXchange) communication protocol, which aims to unify existing solutions by providing real-time fieldbus architecture. Schneider's goal is to deliver an interoperable protocol, based on OPC UA, enabling seamless data exchange both between controllers and with field-level devices.
FieldComm GROUP (FCG)	FieldComm Group develops, manages, and promotes global communication and interoperability standards for the integration of digital devices into industrial automation systems (HART, FieldBus, FDI).	Schneider has been very active within FCG, working to unify device-integration technologies and merge to the Field Device Integration (FDI) single standard, capable of meeting the needs of both discrete and continuous manufacturers. Schneider is strongly involved in the definition of this new standard, and is also actively contributing to the harmonization of devices' descriptions through the Process Automation Device Information Model (PA-DIM) standard.

Organization	Description	Key actions with Schneider
Philanthropy		
International Association for Volunteer Effort (IAVE)	International Association for Volunteer Effort is a global association dedicated to promoting volunteering by supporting collaboration, knowledge-sharing and capacity-building among organizations and stakeholders engaged in volunteering efforts worldwide.	The Schneider Electric Foundation supports the International Association for Volunteer Effort. In 2025, the Foundation organized a workshop bringing together more than 20 corporate representatives to exchange on volunteering practices and corporate engagement across Europe.
Impact Europe – Youth Alliance	Impact Europe is a network of impact capital providers aiming to foster prosperity through social progress, address inequalities and injustices, and contribute to the preservation of the planet.	In 2025, Schneider Electric, together with the Schneider Electric Foundation as a main partner, participated in the Impact Week in Malmö (Sweden), bringing together a wide range of actors from the impact ecosystem. The Group contributed to several panel discussions, addressing topics such as corporate impact, innovation and youth employment, engaging with funders, foundations, public institutions and corporates.
Smart grids and sustainable cities		
T&D Europe	T&D Europe is an association gathering grid technology providers (industry, data centers, etc.). It represents the providers of electricity and distribution solutions and services in Europe.	Alongside ten national associations in the electricity sector, Schneider Electric is providing technical inputs to projects related to the EU Action Plan for Grids, the Green Taxonomy, the Net Zero Industry Act (NZIA), and the High-Level Forum on European Standardization, to ensure that Europe moves at an appropriate pace towards a complete energy transition.
IGNES	IGNES is a professional association representing manufacturers involved in electrical, digital and energy-related solutions for buildings. The organization promotes energy efficiency, electrification and digitization to support the transformation of residential and tertiary buildings toward more efficient and sustainable models.	In 2025, Schneider Electric engaged with IGNES on topics related to efficiency and electrification supported by digital solutions, with a focus on residential and small offices applications. The Group also contributed to discussions on the standardization of the NF C15-100 norm.
Sustainable governance and crossfunctional topics		
World Economic Forum (WEF)	The WEF is a nonprofit organization that works to improve the state of the world by bringing together influential leaders from business, politics, academia, and other parts of society to collaboratively shape global, regional, and industry agendas.	Since 2017, Schneider Electric has been a strategic partner of the World Economic Forum. Schneider engages with a wide range of partners to progress on common world challenges, by joining public-private dialogues and peer-to-peer working groups, sharing insights and use-cases, leading to new frameworks and toolboxes.
GIMELEC	GIMELEC is a trade association grouping digital electronics companies in France that promotes efficiency and electrification, supported by digitization. It has 4 Market's Committees: Smart Building, Industry 4.0, Smart Grid & Infrastructures, Datacenters.	In 2025, GIMELEC actively contributed to the French government's actions in the field of climate change: national low-carbon strategy, multi-annual energy planning, decarbonization of industry, development of datacenters, promotion of circular economy, creation of a flexibility market for buildings, and most important for and with Schneider Electric: electrification.
National Electrical Manufacturers Association (NEMA)	NEMA is a North American trade association that enables electrical equipment manufacturers to provide feedback to relevant governments on a range of construction policies and standards.	In 2025, Schneider Electric remained an active member of National Electrical Manufacturers Association, contributing to advocacy priorities related to digitalization, grid flexibility, power system resilience and supply chain security. The Group participated in NEMA's Grid Sector Leadership Committee, supporting discussions on grid modernization, policy engagement and the evolution of technical standards enabling safe and innovative technologies, including energy storage and data center applications.

3. Sustainable impact for all

3.3.2 Schneider Electric's contribution to Standardization

Schneider Electric actively contributes to international and national standards that ensure the safety and reliability of electrical systems. These standards address lifecycle environmental impacts to advance circularity, enable greener energy integration, improve energy delivery and prosumer participation, support industry's digital transformation, and drive end-to-end energy efficiency.

3.3.2.1 At national level

Schneider's experts participate in most national committees, including those in the US, China, India, Japan, and European countries. The French Electrotechnical Institute, a founding member of CENELEC (European standardization body) and the IEC (international standardization body), plays a key role.

Schneider Electric chairs many French standardization committees hosted by AFNOR (French standards organization) and sits on other national committees, such as the chair of the French and Swedish committees for environmental standardization. Notably, it is a member of the IEC Council Board and of the IEC Conformity Assessment Board.

3.3.2.2 At European level

CENELEC (European Committee for Electrotechnical Standardization), CEN (European Committee for Standardization), and ETSI (European Telecommunications Standards Institute) are the three official European standardization bodies. They have been officially recognized by the European Union, and by the European Free Trade Association (EFTA) as being responsible for developing and defining voluntary standards.

European Commission DG GROW (Directorate General for Internal Market, Industry, Entrepreneurship, and SMEs) decided to create a High-Level Forum for Standardisation, launched in 2023. Schneider Electric, through T&D Europe (European Association of Transmission & Distribution manufacturers), represents the European power system stakeholders, together with grid operators, manufacturers, and national electricity associations. The workstream is dedicated to proposing strategic topics and standardization moves, to better activate energy transition across Europe through digitalization, green, and resilience.

CENELEC

CENELEC is an association that brings together the National Committees of 34 European countries. It prepares voluntary standards in the electrotechnical field, which help facilitate trade between countries, create new markets, cut compliance costs and support the development of a Single European Market. CENELEC supports standardization activities in relation to a wide range of fields and sectors including: electromagnetic compatibility, accumulators, primary cells and primary batteries, insulated wire and cable, electrical equipment and apparatus, electronic,

electromechanical and electrotechnical supplies, electric motors and transformers, lighting equipment and electric lamps, low voltage electrical installations material, electric vehicles railways, smart grid, smart metering, and solar (photovoltaic or PV) electricity systems.

Most Schneider Electric activities and offers are covered by CENELEC, although CEN and ETSI also benefit. In addition, Schneider Electric's experts are participating in the development of common works and standards through specific joint technical committees and joint working groups.

3.3.2.3 At international level

IEC – International Electrotechnical Commission

The IEC is a global, not-for-profit membership organization that brings together close to 170 countries and coordinates the work of 20,000 experts globally. The IEC publishes around 10,000 IEC International Standards which together with conformity assessments provide the technical framework that allows governments to build national quality infrastructure and companies of all sizes to buy and sell consistently safe and reliable products in most countries of the world. IEC International Standards serve as the basis for risk and quality management and are used in testing and certification to verify that manufacturer promises are kept.

Schneider's experts contribute through joint technical committees and joint working groups to ISO (International Organization for Standardization) and ITU (International Telecommunication Union).

3.3.2.4 Smart grids and sustainable cities

Schneider Electric participates actively in the standardization of smart grids, which are becoming more "active", leveraging more bidirectional energy flow and real time timeline. The Company leads the definition of standards and the data interoperability standardization roadmap within the European smart grids coordination group and energy system committees, as well as being the group in charge of standardizing the interfaces between smart buildings and smart grids.

- Schneider co-chairs the Smart Energy Grid coordination group of the CEN-CENELEC-ETSI, responsible for ensuring availability of an appropriate set of standards for the rollout of smart grids in Europe, as well as supporting the coming new legislative "Clean Energy Package".
- It chairs the group at the IEC level in charge of defining the roadmap of International Standards to support the rollout of the smart energy sector (smart grids, in addition to interfaces with other energies). This roadmap also includes cybersecurity and resilience, as well as the impact of the Internet of Things (IoT).
- It chairs and actively contributes to the definition of prosumer's electrical installations, installations integrating local production such as PV, wind, and storage, to ensure they are designed and erected with a high level of safety and efficiency.
- It chairs the IEC's Advisory Committee for Energy Efficiency (ACEE) and chairs the Advisory Committee on Safety (ACOS).

3.3.2.5 Circular economy and product environmental performance

To support high standards of health and safety, Schneider's experts continuously contribute to standards around materials and substances. They provide standards on methodology and test methods, raising the bar on safety and protection against toxicity.

Regarding environmental footprint, Schneider's experts ensure fair comparison, relevance of assumptions, consistency of approach, interoperability, and meaningful content for customers.

They are developing standards around:

- Terminology and catalogue data;
- Product Category Rules for Life Cycle Assessment (LCA) dedicated to electrotechnical products;
- Product Specific Rules for high and low voltage equipment;
- Low voltage switchgear and controlgear, and power electronics;
- Extension of Product Specific Rules and environmentally conscious design to cover material efficiency or digital format; and
- Quantification of GHG emissions reduction and avoidance.

Relating to circular economy and eco-design, Schneider chairs the Ecodesign Coordination Group (CEN-CLC/Eco-CG) and has contributed to the European Commission's Circular Economy package, and with CEN-CENELEC-ETSI has developed a set of published standards assessing factors such as durability, reparability, reusability, recyclability, and ability to be remanufactured, which fall within the scope of the Ecodesign Directive and the new Ecodesign for Sustainable Products Regulation. Schneider continues to contribute to the evolution of those standards and their extended scope and has appointed active experts in each of the existing and new working groups. For example, Schneider's experts are highly involved in the development of the future standard on circular design: material efficiency within environmentally conscious design.

As digitalization is a lever for circular economy and environmental performance, Schneider's experts are contributing to standards on terminology and digital formats.

3.3.2.6 Standardization to accelerate environmental transformation

Since February 2007, Schneider has represented France on the IEC's Advisory Committee for Environmental Aspects (ACEA). ACEA works to advise and coordinate the IEC's efforts to tackle environmental issues. At the same time, Schneider Electric is actively present in ACTAD (Advisory Committee for Transmission and Distribution) to ensure electricity and environment are closely considered.

- Schneider is particularly heavily involved in the working groups on sustainability (chairs environment and circular economy groups, and participating in working groups in product technical committees (TC) dealing with environmental aspects (IEC TC 121, IEC TC 17, CLC TC 22X) and in the work on the rational use of energy.
- The Group chairs the IEC TC 111 Committee on Environmental standardization of electric and electronic equipment and IEC TC 23 Electrical accessories (protection devices, wiring devices, home and building control systems).
- The Group is the secretary of IEC SC 23K on Electrical Energy Efficiency products.
- In 2018, Schneider led the UPS manufacturers' group in the EU Commission's Product Environmental Footprint (PEF) pilots for defining rules to assess the PEF of products put on the EU market, prior to its implementation of the European policy.
- The Group chairs ISO/TC 184 Automation systems and integration.

3.3.2.7 Digital transformation and cybersecurity

Digitalization is the key driver for advanced manufacturing, optimizing production with more flexibility, more interoperability, more predictability, and continuity to provide a new level of system efficiency and sustainability. Further data, software, and tools enabling virtual descriptions – known as digital twins – and creating new capabilities and services are combined with machine learning and AI, while taking account of safety and cybersecurity.

The global electricity system is going digital as well, focusing on grids, buildings, industry, and households.

The European Data Space for Energy, reinforced per AI technology and related services, will enhance Europe's consistency in the electricity sector, through appropriate regulation and standards currently under development.

- Cybersecurity: Schneider is secretary of the Joint Advisory Group between IEC TC 65 and ISO/IEC JTC 1/SC 27 from enterprise level to field devices and participates in several working groups bridging regulation to standardization (EU, US).
- Smart Manufacturing: the Group is particularly heavily involved in the working groups on smart manufacturing in ISO and IEC technical committees (Chair of ISO/TC 184, Secretary of IEC TC 65, Chair of IEC SC 65E).
- Digital Twin: Schneider chairs the Industrial Digital Twin Association to deep dive and deploy the Asset Administration Shell as standardized digital twin.
- Automation: the Group also chairs the UniversalAutomation.org association to address a more functional and distributed approach for the orchestration of industrial systems.

3. Sustainable impact for all

3.3.3 Responsible lobbying, political activity, and donations

Through its Trust Charter, Schneider Electric has taken a clear stance with regards to responsible lobbying, political influence activity, and donations. As a global company, Schneider has a role to play in the public debate addressing leading issues with the global community. It is necessary that the Group states its positions clearly, participates in technical discussions, and supports responsible public policy development. In this spirit, in 2022 the Group signed Corporate Knights' Action Declaration on Climate Policy Engagement together with more than 50 other companies to support climate action aligned with the Paris Agreement when engaging with policymakers, working with trade associations, and monitoring and disclosing climate policy alignment.

Public policy engagement is managed at the local level, with oversight and accountability extending up to the regional executive level. Each year, a comprehensive review of trade associations and lobbying activities is conducted at the global level to evaluate their alignment with the goals of the Paris Agreement. In cases where misalignment is identified, the relevant teams are provided with detailed feedback, and a structured action plan is suggested and discussed to address the discrepancies and ensure future alignment with climate objectives.

Schneider believes that this representation of interests should be conducted in a transparent and fair manner, allowing third parties and stakeholders to understand its activities, positions, and statements. Donations and lobbying activities are risks specifically addressed in the Anti-Corruption Policy, in particular, Schneider Electric does not make corporate contributions (either monetary or in-kind) to political candidates, parties, or similar bodies and does not get involved in unauthorized political activity or representation. In 2025, Schneider Electric was not involved in sponsoring local, regional, or national political campaigning.

In the US, a Political Action Committee (PAC) was established in 2025. The Schneider Electric USA PAC is comprised of a voluntary group of eligible Schneider Electric employees. The PAC, which is registered with the Federal Election Commission, establishes a long-term opportunity for eligible employees to join together voluntarily, to support federal congressional candidates. In the United States, this is a common practice for companies, within and outside of our industry, to participate effectively and transparently in the democratic process. The PAC will be bipartisan in making contributions equally to both Democratic and Republican-aligned candidates who demonstrate a commitment to our corporate purpose and represent our company footprint and key markets.

Schneider Electric presents information about its lobbying activities in the French High Authority for Transparency in Public Life, in the EU transparency register, and in the US Lobbying Disclosure Act Registration.

Since 2019, the Group has been disclosing membership fees expenses towards trade associations, business coalitions, and think-tanks that are dedicated by those organizations to lobbying or advocacy.

Generally, the budget allocated to lobbying in these organizations is small as these associations mostly organize business workshops, peer-learning groups, or work on standardization. Schneider Electric updated its reporting methodology compared to previous years and since 2022 discloses the budget allocated to lobbying or representation rather than total membership fees. The data collected covers the main Group geographies, in particular Europe, and also including North America, China, India, Indonesia, and the Philippines.

Total contributions globally amounted to about EUR 0.5 million in 2019, EUR 0.6 in 2020, EUR 1.2 million in 2021, EUR 1.1 million in 2022, EUR 1.4 million in 2023, EUR 1.6 million in 2024, and EUR 1.7 million in 2025.

The main contributions concern two main engagement topics:

- The first is "Sustainable energy for all": Schneider Electric believes that energy management and energy efficiency are critical to move towards a new energy landscape and therefore supports a policy framework that unleashes business and climate opportunities related to the new energy landscape. Contributions and expenditures on this topic amounted to around EUR 0.9 million in 2025 (similar to 2024) globally.
- The second is "Powering the digital economy": the Group supports the emergence of the digital economy to bring new opportunities for businesses and people and therefore supports a policy framework that facilitates the digital transformation globally. Contributions and expenditures on this topic amounted to around EUR 0.4 million in 2025 (similar to 2024) globally.

3.3.4 Compliance with competition law

3.3.4.1 Context

As outlined in Schneider Electric's Trust Charter, upholding fair competition and complying with applicable antitrust and competition laws is a core business principle for Schneider Electric and governs its activities across the world.

Competition law sets out the legal framework to ensure that markets remain open and competitive and to protect customers from market arrangements where competitors agree not to compete with each other, or companies in other ways restrict, prevent or distort competition. Although the scope and content of competition law may vary from jurisdiction to jurisdiction, it is generally prohibited for companies to (i) enter into agreements with its competitors or customers which, for example, seek to fix prices or otherwise limit competition, and (ii) abuse a dominant position on a given market.

Schneider Electric has a strong brand and operates in many markets and at several levels of the supply chain. The activities of Schneider Electric are subject to a variety of competition laws and regulations on both national and supranational levels, affecting all aspects of Schneider Electric's business strategies and day-to-day operations. Any violation can cause severe consequences for Schneider Electric, and the individuals involved in such activities, including substantial fines and a serious loss of reputation.

3.3.4.2 Risks, impacts, and opportunities

Schneider Electric's Competition Law Program is an integrated and essential part of Schneider Electric's commitment to trust and serves to:

- Raise awareness about applicable competition laws and the importance of compliant behavior;
- Identify and assess risk areas where the Group may be exposed to anti-competitive behavior;
- Manage potential risks through internal procedures, escalation routes, and controls;
- Prevent potential anti-competitive behavior through training and communication;
- Detect early potential violations of competition law through a strong risk awareness throughout the business and accessible reporting mechanisms; and
- Manage any exposure to violation of competition law.

To raise awareness about applicable competition laws and identify and manage areas of risk, Schneider Electric's Competition Law Program is based on:

- Policies, guidelines, and procedures.
- E-learning and in-person trainings.
- Internal controls and audits.
- Internal reporting mechanisms including local management, Human Resources, Regional Compliance Officers, Legal, and Schneider Electric's whistleblowing tool, Trust Line.

The whistleblowing system of Trust Line for employees and external stakeholders such as suppliers and customers is managed to identify any inappropriate practice or behavior with competitors or business partners that may be reported.

On October 29, 2024, Schneider Electric was fined EUR 207 million by the French Competition Authority concerning electrical distribution activities in France. This decision relates to the previously disclosed investigation initiated by the French Competition Authority in September 2018 against several companies for anti-competitive practices in the electrical distribution sector in France. Schneider appealed the decision of the French Competition Authority on December 19, 2024. The Group remains committed to compliance and has fully cooperated with authorities.



For more details, see Chapter 3, **section 3.2.4 Key risks and opportunities on page 371** of the 2025 Universal Registration Document.

3.3.4.3 Governance

Schneider Electric's Competition Law Program is endorsed by the Board of Directors and has backing from Executives and Senior Managers.

The Competition Law Program is managed by a Global Competition Law team with full support from the Global Legal team. It is continuously assessed and adapted to developments in applicable antitrust and competition laws and the interpretation of such laws as well as the development of Schneider Electric's activities and market presence.

3.3.4.4 Group policy

Schneider Electric published and deployed an updated and enhanced Group Competition Law Policy in 2022. In addition, nine topic-specific Competition Law Guidelines were also launched in 2022 including topics related to information exchange, procurement, distribution, e-commerce, and mergers and acquisitions.

Both the Group Competition Law Policy and the Competition Law Guidelines have been translated into over 30 languages and are accessible to all employees via Schneider Electric's internal policy platform.

3.3.4.5 Actions and resources

During 2025, Schneider Electric continued to strengthen the Competition Law Program and to reinforce processes and tools. One of the key cornerstones to a successful Competition Law Program is continuous efforts to train employees and communicate the Group Competition Law Policy, the accompanying Guidelines, and other internal rules and recommendations. Providing targeted in-person Competition Law trainings to employees in identified risk teams and roles continues to be a priority worldwide and an essential part of Schneider Electric's program in the years to come.

Considering the size and scope of Schneider Electric as a global Company, another cornerstone to a successful Competition Law Program is to reinforce the program across the Group, including:

- Adapting to market conditions and the expansion and development of Schneider's offers in new markets;
- Supporting digital transformations;
- Strengthening connections with other internal functions, including marketing, purchasing, data, and HR;
- Adapting to developments in competition law rules and regulation;
- Determine and coordinate existing compliance efforts in other areas, including commercial compliance, and ethics and compliance; and
- Reinforcing the compliance network across the entire geographic scope of the Group, including local legal teams and regional channels.

3. Sustainable impact for all

3.3.5 Compliance with tax regulations

3.3.5.1 Context

The current international tax system in which the Group operates is made of multiple complex international and local tax regulations since all the countries in the world have their own set of tax rules.

To operate responsibly, ethically, and efficiently in this complex and uncertain environment the Group believes that a fair and sustainable Group tax policy is a fundamental requirement. It aims at preventing operational, transactional, and reputational risks.

3.3.5.2 Group policy

The Group's global Tax Policy focuses on four key principles:

Governance and control

The Tax Policy is endorsed by the Tax department and the Group CFO and validated by the Audit & Risks Committee.

The Tax department reports to the Group CFO and is a global function which allows consistency and standardization wherever possible. In addition, dedicated tools and processes, as well as a strong presence of tax experts in the most significant countries, ensure a strong and consistent decision-making process.

Regular reports are done on noteworthy new tax regulations and risks, and presented to the Audit & Risks Committee.

Compliance with national and international tax regulations

The Group and the Tax department are committed to:

- Complying with the national and international tax laws, rules, and regulations such as the ones set out by the Organisation for Economic Co-operation and Development (OECD) regarding, notably, the minimum 15% taxation implemented under the Pillar 2 set of rules;
- Respecting in good faith both the letter and the spirit of the law; and
- Aligning the tax strategy with the Group's commercial strategy and operational activity, and to challenge the in-house reading and interpretation of the law, with external tax advisors as required to ensure correct analysis and treatment are conducted.

Transparency and trust

All employees with tax responsibilities or activities are committed to:

- Cooperating openly and transparently with the tax authorities on the Group's tax affairs and to disclose relevant information in a timely, positive, and professional manner for them to carry out their audits;
- In the event a tax discussion arises, working proactively to seek a consensual agreement, where possible, and reach solutions; and
- Whenever necessary, discussing issues and raising questions to the tax authorities to obtain clarifications in a preventive manner. As an example, the Group joined the "Trust relationship" ("*Relation de confiance*") regime in France.

Preserve value and competitiveness

The Group strives to preserve the value created by its operations. The Tax department assists operational business by providing tax advice and determining the tax positions best suited to operational reality.

The Tax department thus contributes to creating value and protecting shareholders' assets by limiting tax risks while remaining compliant with national and international tax regulations.



The Group's detailed Tax Policy can be consulted on the Group's website at www.se.com

3.3.6 Export control and sanctions

3.3.6.1 Context

As a multinational Company operating across more than 100 different countries worldwide, Schneider Electric is subject to international, foreign, and national export control laws and regulations which govern the transfer of goods, services, and technologies within a country or between countries and/or their nationals. The Group must constantly ensure full compliance to such laws and regulations by implementing a robust corporate export control compliance program, as any implications may result in a significant impact on the Group's businesses, results, reputation, and financial position.

Although Schneider Electric's portfolio has a limited range of products that may be used in sensitive applications, restriction or licensing requirements may apply to those products, especially if associated with politically sensitive countries and destinations.

3.3.6.2 Risks, impacts, and opportunities

The key risks for export controls and sanctions are related to conducting business with restricted parties, sharing restricted software, technology, products, or services without a license, and ensuring those the Group does business with abide by applicable export control and sanctions regulations. These risks create opportunities for Schneider Electric: to develop and automate processes related to third-party screening and export control classification for products, software, and technology; to review transactions for licensing considerations; and to ensure Schneider obligates its third parties through contractual commitments to comply with applicable export control regulations and sanctions.

Schneider Electric's robust Export Control Program increases the Group's competitive advantage by demonstrating its commitment to ethical business practices and compliance with international regulations and sanctions.

3.3.6.3 Governance

Schneider Electric has comprehensive policies and processes to ensure compliance with applicable export control laws and sanctions (Schneider Electric Export Control Program) and to mitigate the above-described risks. The Group has also established mechanisms for reporting any suspicious or non-compliant activities and takes appropriate corrective actions via the Trust Line and Trust Center.

The Global Export Control Center of Excellence team conducts regular training programs to educate all Schneider Electric permanent and temporary employees about export control regulations, their responsibilities, and the potential risks and consequences of non-compliance. The goal is to foster a culture of compliance by raising awareness and providing resources for employees to seek guidance.

3.3.6.4 Group policy

Schneider Electric's export control approach is articulated around its mission to provide education, advisory, business operations support, and enforcement of the Export Control Policy and strategy. The policy outlines Schneider's commitment to prevent the unauthorized export of goods, services, technologies, and information that could pose risks to national security, international trade, or other regulatory concerns. The roles and responsibilities of businesses, functions, and employees to ensure export control compliance are clearly defined. The responsibilities include designating individuals or teams responsible for overseeing export control activities and implementing necessary controls. The policy, signed by the Group Chief Executive Officer, sets the tone from the top, and is applicable to all Schneider Electric employees.

3.3.6.5 Actions and resources

The Schneider Electric Global Export Control Center of Excellence has streamlined and standardized export control and sanctions processes globally. A change management process with a supporting communications and training plan has been developed and executed transversally across Schneider Electric. This includes but is not limited to a change review board to review regulations, impact, and give guidance to ensure compliance.

A key initiative has been the automation of third-party screening. Schneider Electric developed a new capability to automatically screen all legacy and newly created/modified third-parties for risks of anti-corruption and export control. The Group integrated authoritative data sources of third parties with a best-in-class external screening engine which is updated with the latest regulatory and sanction lists in real-time. A dedicated screening team was formed to independently review potential matches arising and flag entities by risk level with a new screening flag attribute.

Third-party master data systems synchronize the screening flag values with major business systems in real time to ensure consistency. Screening flags are used to develop upstream and downstream processes needed to mitigate risk as explained in the relevant sections of the 2025 Universal Registration Document.

Additionally, the Global Export Control Center of Excellence is subject to periodic internal compliance reviews and audits to assess the effectiveness of export control measures, identify any areas of non-compliance, and implement corrective and preventive actions. In parallel, the topic of export control is also part of Schneider Electric's Key Internal Controls program, applicable to all Schneider Electric entities and their subsidiaries. This helps ensure ongoing compliance to current export control regulations and continuous improvement.



For more details, see Chapter 3, **section 3.2.4 Key risks and opportunities on page 371** of the 2025 Universal Registration Document.

4. Methodology, external assurance and indicators

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4.1 Methodology elements on the published indicators

In conformity with regulations in place and in the spirit of transparency with its stakeholders, Schneider Electric regularly publishes corporate social responsibility (CSR) data, which notably includes:

- Indicators of the Schneider Sustainability Impact (SSI), published quarterly and externally assured annually;
- Indicators of the Schneider Sustainability Essentials (SSE), published and externally assured annually;
- Other standard human resources (HR), safety, and environmental indicators published and externally assured annually for the most material ones.
- The information presented in this CSR report does not constitute sustainability information prepared in accordance with Article L. 233-28-4 of the French Commercial Code.

Methodology of the above indicators is described in the following section. Any target or methodological change occurred during the year is explicitly mentioned.

Reporting year

Annual CSR data is reported for the calendar year preceding the publication year, i.e. 2025 in this report, in line with the financial reporting calendar.

Reporting perimeter

- As a general rule and subject to any particular exception described below:
- (i) Schneider Electric reports CSR data at Group level for all financially consolidated entities over which it has operational control.
 - (ii) New acquisitions are included in the reporting scope within 2 years, meaning that data is consolidated into Group reporting at the latest from the third year post acquisition.

- (iii) Companies accounted for by the equity method are not included in the reporting.
- (iv) Within the above scope, small entities may exceptionally be excluded if their collective exclusion does not exceed 5% of consolidated revenues or total number of employees. Reporting coverage is provided together with indicators' tables.

Timing for inclusion may differ between indicators. Typically financial or HR data are deployed more rapidly as acquired companies usually have existing systems and teams in place, which is not necessarily the case for environmental systems.

Progressive consolidation of new acquisitions into the Group CSR reporting

All majority-owned, financially consolidated entities shall participate in all relevant Schneider Electric's SSI, SSE, and other environmental, social and ethical programs and adopt the required policies and reporting practices as per each respective Trust Standard. Unless otherwise agreed with Schneider Electric's Sustainability team for practical or cost-effectiveness reasons, the following calendar shall be respected:

- Year +1: strategic alignment and material KPIs selection;
- Year +2: data cleaning and baseline and target setting;
- Year +3: start of consolidated reporting into Group public reporting.

When an entity is not fully integrated into Schneider's IT systems, the consolidation of CSR data is done manually and may take longer than the standard calendar above.

For those entities, if the cost of reporting is deemed unreasonable compared to the size of the company, the entity may ask to opt-out from CSR reporting. This may be granted on a case-by-case basis. However these entities still need to follow applicable Trust Standards.

The scope of environmental reporting is that of ISO 14001-certified sites, and certain non-certified sites on a voluntary basis and without interruption in time. All production and logistics sites with 50 or more full-time equivalent (FTE) employees must obtain ISO 14001 certification before the end of the third full calendar year of operation or membership of the Group. Administrative, R&D and sales sites with 500 FTE employees or more also have to obtain ISO 14001 certification. Other sites may seek certification and/or

report on a voluntary basis. A difference can thus be recorded with respect to the scope of financial consolidation.

Notable exclusions in 2025 (apart from SSI #1 Schneider Impact revenues, which is calculated on the same scope as the financial perimeter due to data availability) are presented in the table below. Details for data coverage are specified in tables starting **page 271** for each topic and are generally well above 85%.

The Group has set a plan to increase its reporting coverage progressively to at least 95%, as described above.

The main non-IT integrated entities have been included in the sustainability statements as of 2024, and will be included in the reporting perimeter of Schneider Sustainability Impact 2030.

Company	Acquisition year	% Group employees	% Turnover	Comments
AVEVA (including OSIsoft)	2018 (2021)	3.5%	3.7%	AVEVA is excluded from all KPI calculations except SSI #1 and SSI #2.
Lauritz Knudsen Electrical and Automation	2020	2.0%	2.7%	HR statistics are included in the Group results, which include SSE #13, SSE #16, SSE #18, SSE #20, SSE #23 and SSE #24 in 2023. An exception is made for SSI #8, which is calculated on a constant scope.
RIB Software	2020	1.6%	0.6%	RIB Software is excluded from all KPI calculations except SSI #1.
Other exclusions	–	4.4%	3.5%	Other exclusions concern either non-integrated entities or recently acquired entities grouped here for readability.
	–	11.4%	10.5%	Total exclusion figures presented in this table represent the maximum exclusions for given KPIs. More precise reporting perimeter estimates are provided in each data table.
Total maximum exclusions				Note that exclusions of software companies have limited impact on environmental KPIs, and no impact on product-related KPIs at Group level given the nature of their activities.

Internal control

Schneider Electric has drawn up a frame of reference with dedicated reporting protocols for SSI and SSE indicators, and for other HR, safety and environmental data. This frame of reference includes the scope, collection and consolidation procedures and definitions for these indicators.



The current version of each reporting protocol is available upon request via the Schneider Electric Help Center, accessible at www.se.com.

The HR, safety and environmental data comes from our HR Analytics for HR data, EcoStruxure™ Resource Advisor for environmental data and GlobES (Global Environment and Safety) for safety data. Its consolidation is placed respectively under the Global Human Resources, Global Environment, and Global Supply Chain functions. Data reliability checks are conducted at the time of consolidation (review of variations, inter-site comparison, etc.).

External assurance

Schneider Electric SE appointed PricewaterhouseCoopers Audit ("PwC") and Forvis Mazars as statutory auditors for the certification of sustainability information (Sustainability statements – CSRD). Once a year, they issue a limited assurance report certifying the sustainability information and verification of the information disclosure requirements set out in Article 8 of Regulation (EU) 2020/852. In addition, with its commitment to continuous improvement, Schneider Electric asked one of its statutory auditors to perform two additional assurance engagements, in accordance with the international assurance standard ISAE 3000 (revised), in order to obtain:

- a limited assurance engagement on all SSI (except SSI #+1) and SSE indicators. See independent verifier's report on **page 266**.
- a "reasonable" level of assurance for strategic indicators (Zero-CO₂ sites, Energy consumption, Scopes 1 and 2 CO₂ emissions). See assurance report on **page 269**.

This external assurance practice has been in place at Schneider Electric since 2006.

4.1.1 Indicators from the Schneider Sustainability Impact

SSI #1: Grow Schneider Impact revenues to 80%

Schneider Impact revenues are defined as offers that bring energy, climate, or resource efficiency to the Group's customers.

Schneider Impact revenues are split into four categories described thereafter. Activities included are:

- 1. Energy efficiency architectures bringing energy and/or resource efficiency to customers.** Offers include building management systems, power management systems, lighting and room control, thermal control, variable speed drives, Sustainability Business (SB), and industry automation. Neutral technologies such as signaling, racks and enclosures, access control, or emergency lighting are excluded.

4. Methodology, external assurance and indicators

- 2. Grid reinforcement and smart grid architectures contributing to electrification and decarbonization.** This includes all technologies and architectures contributing to a “New Electric World”, helping grid and electrification come to life: smart grid and microgrid technologies, electric vehicles charging infrastructure, medium voltage systems to upgrade electricity distribution networks, low voltage connectable offers enabling smart grid management and energy efficiency, secure power and switches that enable security, and security of supply.
- 3. Products with differentiating green performance, flagged thanks to Schneider Electric's Green Premium™ program.** Green Premium™ products offer environmental transparency (with digital lifecycle analysis and circular end-of-life instructions), superior compliance to stringent environmental regulations, and differentiating environmental performance through specific environmental attributes (note: double-accounting with categories 1 or 2 is removed).
- 4. Services that bring benefits for circularity** (prolonged asset lifetime and uptime, optimized maintenance operations, repair, and refurbish) **and energy efficiency** (maintenance to maintain the operational performance of equipment and avoid a decrease of energy efficiency over time).

Additionally, revenues derived from activities with fossil sectors and others are systematically excluded, including Oil & Gas, coal mining, and fossil-power generation, in line with prevailing corporate responsibility reporting and sustainable finance practices, even though Schneider Electric's technologies deliver resource and carbon efficiency in such sectors as well. In line with Schneider Electric's strategy to phase down SF₆ from offers by 2025, SF₆-containing switchgear for medium voltage applications are also excluded. In addition, neutral technologies such as signaling, racks and enclosures, access control, or emergency lighting are excluded.

All revenues consolidated in financial accounts are taken into account. Calculation is based on revenues per line of business. Exclusion of fossil revenues is based on orders per customers' end-segment, with extrapolation to estimate destination of transactional sales.

PwC provided limited assurance on this indicator.

SSI #2: Deliver 800 million tonnes of saved and avoided CO₂ emissions to Schneider's customers

This indicator measures CO₂ savings and avoidances delivered by Schneider Electric's offers to its customers.

CO₂ savings and avoidances are calculated for global sales of the reporting year and cumulated over the offers' lifetime. Net emissions are calculated as the difference between emissions with Schneider Electric's offer and emissions in the reference situation. The ambition for this indicator has been increased in 2021 with the definition of the new sustainability strategy: Schneider is committed to save and avoid 800 million metric tonnes of CO₂ thanks to EcoStruxure™ for its customers.

The difference between “saved” and “avoided” emissions is key: saved CO₂ emissions correspond to brownfield sales that enable reduction of global CO₂ emissions compared to previous years, and avoided CO₂ emissions correspond to greenfield sales that enable a limitation of the increase of global emissions.

- **Brownfield sales** correspond to the situation where the offer sold replaces or upgrades an existing system, leading to a change of GHG emissions of installed infrastructure vs. the previous year. For “saved” emissions, the “brownfield reference situation” is defined as the situation before the new solution is sold and installed at the customer's site.
- **Greenfield sales** correspond to the situation where the solution is installed into a new system, allowing a better performance with respect to the market alternative.

The calculation of CO₂ impact of offers over their lifetime is based on sales data per product range. The electricity emission factors are forward looking, integrating the decarbonization of the global energy mix as per scenario of the International Energy Agency (IEA). Market data and expert assumptions are used to determine the use-case scenario of offers and the associated CO₂ impact. This methodology is associated to typical uncertainties of CO₂ corporate accounting methodologies, and conservative assumptions are preferred. Since some offers are related to software and services, the avoided emissions do not follow the WBCSD guidance on avoided emissions, strictly speaking.

Since the launch of the program, the scope of the indicator has been widened to include sales data for certain manufacturing sites not initially consolidated and new sub-offers or offers. However, the baseline was not modified. As of 2025, these added offers or sites have contributed to approximately 10% of the indicator's performance.



More methodological details can be found on www.se.com

PwC provided limited assurance on this indicator.

SSI #3: Reduce CO₂ emissions from top 1,000 suppliers' operations by 50%

Under this program, also called The Zero Carbon Project, the Group partners with 1,000 of its suppliers, who commit to reduce their company's CO₂ emissions (mandatory Scope 1 and 2; Scope 3 is optional) at enterprise level and not just on the proportion of sales to Schneider Electric. The active participation of upstream supply chain is critical because it represents multiple times GHG emission compared to Schneider Electric's own operations. The top 1,000 suppliers come from 65 categories across direct material, indirect material, and project procurement, and have been nominated by the respective procurement teams.

To ensure suppliers get adequate handholding during the implementation, several capacity building and engagement modules have been deployed. These initiatives sensitize the suppliers on various approaches and technical levers for decarbonization, including training, technical requirements, calculations and on-site implementation support by Sustainable Procurement Experts. Moreover, Schneider attempts to support and drive collaborations with suppliers through various digital decarbonization solutions.

As a first step in the long-term journey to decarbonize, the top 1,000 suppliers are required to quantify their carbon emissions and take ambitious reduction targets and deploy roadmap to achieve them. Suppliers are required to share the carbon emission performance via the dedicated Schneider Supplier Portal – Supplier Relationship Management (SSPSRM). To measure the carbon emission reduction achieved, Schneider calculates the average carbon intensity reduction achieved by responding suppliers, multiplied by the percentage of suppliers reporting carbon emission data. Carbon intensity is calculated by dividing Scopes 1 and 2 CO₂ emissions with financial turnover.

PwC provided limited assurance on this indicator.

SSI #4: Increase green material content in Schneider's products to 50%

A green material is defined as either of the following:

- a material with a lower environment footprint; or
- a material that is the output of an industrial technology which is a key enabler for a 1.5°C climate scenario and/or a more circular economy.

For 2021, the scope of this KPI covers commodities identified as relevant in terms of volume (circa 29% of total products volume in 2019), environmental impact (carbon footprint and biodiversity assessment), and industry readiness, meaning:

- steel and aluminum direct purchases;
- thermoplastic direct and indirect purchases.

Overall, the materials in scope represent approximately 400,000 metric tonnes.

Cross-functional experts at Schneider Electric (Procurement, R&D, Environment) have worked in close relationship with suppliers to define the Green attributes for each commodity in scope, based on existing international schemes and standards.

Thermoplastics are qualified as “green” when the supplier is bringing evidence of a minimum recycled content, bio-based content (minimum threshold depends on whether the compound is halogenated or not), or is using a green flame retardant.

Steel is qualified as “green” when the supplier is bringing evidence that the mill of origin from an technology with a low carbon emissions potential today (an electric arc furnace (EAF) or a blast furnace using direct reduced iron steel (DRI-BOF) or Hot Bricket Iron (HBI-BOF)), or has a green certificate such as the ones delivered by Responsible Steel.

Aluminum is qualified as “green” when the supplier is bringing evidence that the product carbon footprint is below 8 tonnes of CO₂ per ton of aluminum, is using a minimum of 90% of recycled content in its product, or that the mill of origin has a green certificate such as the ones delivered by the Aluminium Stewardship Initiative.

The scope was reassessed annually as the program was maturing, and the transparency of supply chains was improving.

To consolidate the KPI, several sources of data are used. The volumes of green materials are identified using Prism extract for metals and Puma extract for thermoplastic, with both tools providing budgeted volumes. The total volume in scope (the denominator of the KPI) is determined using Raw Material Inventory (RMI) extracts for thermoplastic, steel and aluminum providing purchased volumes in metric tons. For silicon steel there is no consolidation in RMI since silicon steel is not a market index, thus the volume is estimated based on a negotiation file of the Regional Category Manager from procurement team. Schneider Electric decided to identify reported and tracked green materials using “budgeted” volume since the precision of the reporting tool is better compared to RMI extract. Prism and Puma enable the two levers mentioned above by allowing Schneider Electric to track suppliers and material grade.

PwC provided limited assurance on this indicator.

SSI #5: 100% of Schneider's primary and secondary packaging is free from single-use plastic and uses recycled cardboard

This program has been designed to:

- Ensure legal compliance through the selection of Schneider's packaging materials and the availability of adequate take-back, collection, and sustainable options for its customers.
- Support the achievement of Schneider's 2025 green packaging commitment:
 - 100% of its primary and secondary packaging uses recycled cardboard.
 - 100% of its primary and secondary packaging is free from single-use plastic.
 - Define the best practices to offer differentiating green packaging solutions to its customers.

The scope includes tier-one strategic suppliers with a direct purchase of cardboard and plastics in the Schneider Electric procurement system. Geographically, all regions under the global supply chain will be covered, as well as Equipment & Transformers.

Cardboard is considered as recycled when it includes at least 70% of recycled fiber by weight. Temporary exemption is made for North America, where an average of 50% of recycled fiber by weight is required to be considered recycled.

Every reporting period, the spend on cardboard and plastics is extracted from the system and each element is classified as sustainable or not based on criteria mentioned above. Verification is done for sustainable declarations on the definitions already provided as well as certificates and other documentary evidence from suppliers. The list of eligible certificates/documents is continually updated to make it exhaustive and to cover countries' specificities.

A global campaign is being run in all global supply chain regions to progressively move the spend to sustainable sources and remove single-use plastic usage with sponsorship from top management.

PwC provided limited assurance on this indicator.

4. Methodology, external assurance and indicators

SSI #6: 100% of Schneider's strategic suppliers provide decent work to their employees

Schneider Electric has deployed a series of engagements on the topic of working conditions to correct malpractices, however the Company proactively works to introduce measures which will prevent the likelihood of occurrence of such violations in the future. This philosophy is the foundation of Schneider Electric's Decent Work program (DWP).

Taking inspiration from the pioneering work of the International Labour Organization (ILO), Schneider has defined **10 pillars of Decent Work**:

1. Employment opportunities;
2. Adequate earnings and productive work;
3. Decent working hours;
4. Stability and security of work;
5. Social dialogue and workplace relations;
6. Fair treatment in employment;
7. Safe work;
8. Social protection;
9. Purchasing practices; and
10. Balancing work and family life.

The program requires strategic suppliers to develop a proactive policy as a means to extend safe, attractive and inclusive workplace to their employees. Criteria defined for each Decent Work pillar may also overlap with ISO 26000 standard and are validated by the Global Procurement, Human Resources, Supply Chain, and Sustainability teams.

The suppliers will be assessed through remote questionnaires supported by relevant documentation, as well as on-site visits and spot audits, and their performance will be monitored by experts. All questions have a minimum acceptable answer defined. Suppliers responses will be evaluated against the minimum acceptable criteria to qualify as Decent Work compliant. Program deployment is ensured by specialists of Sustainable Procurement from Global Procurement function, who are responsible to onboard, train, and assess suppliers. The program implementation is supported by the Global Procurement Services.

Through DWP, Schneider aims to enhance social integration, equity, security, dignity, satisfaction, and overall improvement in the quality of life for the workers, and their family. For a supplier to fully adhere to the DWP, the Global Procurement team will look at inclusion of the requirements in the supplier's organizational framework by means of policies, processes etc. In case of missing or non-alignment, the suppliers need to initiate corrective measures which aim to institutionalize the requirements within the Company. The evaluation of this is undertaken and supported by review of relevant documentations. If the requirements are effectively incorporated in the policies and processes, the supplier can be counted as conforming to DWP in the KPI calculation. Otherwise, it is still counted as non-compliant regarding the requirements of the program.

A pilot for this indicator was launched in 2022, and it was integrated to the SSI score computation in the same year.

PwC provided limited assurance on this indicator

SSI #7: Measure the level of confidence of Schneider's employees to report behaviors against our principles of Trust

Our "Speak Up" mindset helps to maintain high standards, a strong reputation, and a healthy and productive working environment, and protects Schneider Electric and its employees from multiple risks. Misconduct situations will be less likely to occur if people, employees, and stakeholders feel safe to speak up about concerns, dilemmas, or issues in good faith, respectfully, and without fear of retaliation.

Schneider Electric's Trust Charter and Ethics & Compliance program participate to transform this belief into practical actions, notably offering multiple fair, neutral, and confidential reporting channels to its employees to make them feel confident to report unethical conduct.

In order to assess this KPI, the question "I can report an instance of unethical conduct without fear" is annually asked to all Schneider Electric employees in the OneVoice survey. The percentage of "Agree" and "Strongly Agree" amongst the answers determines the level of confidence of Schneider Employees to report unethical conduct. Responses are anonymized and aggregated for compliance purposes.

This indicator was calculated for the first time in 2021 and reached an 81/100 performance. This KPI is integrated to the SSI score computation since 2022.

PwC provided limited assurance on this indicator.

SSI #8: Increase gender diversity, from hiring (50%) to front-line managers (40%) and leadership teams (30%)

Schneider Electric is strongly committed to building a diverse organization at every level, with a workforce that reflects the diverse markets in which Schneider operates. This indicator measures female representation within Schneider, at the hiring, front-line manager, and leadership levels.

It covers all new hires within the Company, including both non-direct variable costs (NDVC, i.e., white-collar) and direct variable costs (DVC, i.e., blue-collar) positions; managers who are in NDVC positions, at the junior and mid-management level and whose direct reports are individual contributors only; and all leaders in Senior Vice-President and Vice-President positions.

This is a composite indicator: the progress of each metric (new hires, front-line managers, leaders) is being evenly weighted (1/3) to calculate the achievement of this commitment.

At the end of each quarter:

- **Percentage of female new hires:** count of new hires that are women divided by total new hires in the current year x 100%.
- **Percentage of female frontline managers:** count of front-line managers that are women divided by total front-line manager population x 100%.
- **Percentage of female leaders:** count of women leaders divided by count total leaders x 100%.
- **Blended achievement percentage:** weighted 1/3, based on annual percent progression from base year to total five-year achievement.

- 50% new hires progression: subtract current period percent of women who are new hires from 2020 baseline and divide by targeted 5-year progression ambition (9%).
- 40% front-line managers progression: subtract current period percent of women who are front-line managers from 2020 baseline and divide by targeted five-year progression ambition (15%).
- 30% leaders' progression: subtract current period percent of women who are leaders from 2020 baseline and divide by targeted five-year progression ambition (6%).
- Calculating blended progression achievement percentage: 1/3 of each KPI current period progression.

From 2025 onwards, diversity targets shall not impact local incentives in countries or entities prohibiting the establishment of such targets.

PwC provided limited assurance on this indicator.

SSI #9: Provide access to green electricity to 50 million people

Schneider aims to provide access to electricity from renewable sources to 50 million people, thanks to the products and solutions that are developed and/or commercialized under the Access to Energy (A2E) program, from 2009 to end-2025.

Geographical scope are countries where the A2E program is operating, in Asia-Pacific, Africa, Middle East, South America, and Central America. Within these A2E countries, the impact is calculated based on:

- **Individual and domestic electrification:** the number of units sold is counted out of the defined list of references providing access to green electricity, and a coefficient is applied to translate into an estimated number of people impacted.
- **Collective electrification** for residential areas and productive uses: the total power sold is counted out of the defined list of references giving access to green electricity; it is translated into a number of people impacted from an average energy consumption of a household in the targeted areas, estimated from external databases and studies.
- **Electrification projects for community centers and services or specific A2E projects:** as an alternative to the above method, actual or statistical number of people connected can be taken into account.
- **Impact funds** (SEEA, SEEA Asia, EAV and GEIF II): 100% of the impact of companies that contribute directly to the Schneider A2E mission of providing green and reliable electricity in Africa and in Asia are taken into account, as well as 50% of the impact of companies that contribute indirectly. To this result, Schneider applies the percentage of its participation in the fund.

An exhaustive list of products and solutions considered with reference codes is available and maintained. Considered products and solutions are those already available at the end of 2020, and the forthcoming products and solutions providing access to electricity. Products and solutions that are out of scope: A2E products and solutions that are sold out of A2E countries, except in cases of A2E products and solutions provided for relief work in any country struck by a disaster or a catastrophic event; other A2E products and solutions, not directly providing access to electricity (such as MPPT, batteries, etc.).

The impact calculation methodology described in this document is that applied as of full year 2021. This methodology is a model using the best available data to estimate the impact of the Access to Energy business in terms of number of people. It is subject to potential revisions, in order to adapt to changes in the external sources that are used as parameters. The unit of the indicator "people impacted" should be interpreted with caution, as this is a qualitative approach with uncertainty on the actual impact in terms of people.

PwC provided limited assurance on this indicator. The methodology and 2021 onwards performance was audited, not values cumulated before 2021.

SSI #10: Double hiring opportunities for the next generation

The purpose of this initiative is to ensure Schneider Electric has a sustainable talent strategy to develop a Next Generation (Next Gen) pipeline of talent through full-time and temporary opportunities. Its goal is to provide access to professional opportunities for young adults, educating them about sustainability and how Schneider Electric plays a part in this endeavor.

To achieve this ambition to double opportunities, the Group accounts for the various ways it interacts with talent considered to be part of the next generation pipeline, including student opportunities and recent graduate hires:

- **Student opportunities** are defined as the workforce about to enter the job market, engaged in a temporary relationship with Schneider Electric with a defined start and end date at the onset (i.e., interns, apprentices, co-ops).
- **Recent graduate hires** are recent graduates or early career professional hires from a formal education program whose relationship with Schneider has a defined start date but open-ended end date (i.e., open ended contract, fixed term contract).

Calculations are based on actual external requisition positions filled in the Global Applicant Tracking.

PwC provided limited assurance on this indicator.

SSI #11: Train 1 million people in energy management

Today's young people are forward-thinking, creative and one of the largest demographics. We need to empower them with the necessary skills and support to create a life align with their dreams and aspirations.

Schneider Electric is committed to upskilling and empowering young people:

- By supporting the development of Technical and Vocational Education and Training (TVET). The key challenge of training in the energy sector is to provide the knowledge and skills to carry out a trade in a safe and responsible way, allowing to acquire long-term competencies and securing access to employment. The courses counted by the indicator lead to a certificate or a diploma. The minimum duration of these courses is 3 months (or totaling 100 hours). For online programs, students will only be counted if they receive a certificate after online evaluation.

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- By providing access to technical and soft skills, supporting their project and mentoring them. Youths reported benefit from at least 3 months programs delivered by Schneider's partners.
- By empowering them to innovate and become entrepreneurs and contribute to the social and energy transition. Youths who have declared benefitting from at least 3 month-programs delivered by Schneider's partners are included in the indicator.

In partnership with local and international NGOs and local authorities, the Schneider Electric Foundation and the Company's local entities provide direct and indirect contributions to training partners.

Schneider's contributions may include (cumulative possible):

- funding of electrical and didactic equipment, donation of requested first generation equipment for practical work;
- funding of activities to deploy energy transition program to students;
- knowledge transfer through trainer training, and support for future entrepreneur training.

The KPI score is calculated with the number of students enrolled in training courses, supported by Schneider Electric through partnership agreement (supporting documents required, such as list of young people trained).

PwC provided limited assurance on this indicator.

SSI #+1: 100% of Country and Zone Presidents define 3 local commitments that impact their communities in line with our sustainability transformation

Since its creation in 2005, the former Planet & Society barometer (now the SSI), has focused on measuring progress against key sustainability performance indicators at worldwide level.

In SSI 2021–2025 Schneider Electric introduces a new component to measure local impact because:

- There is a high internal demand for local communication on progress, as well as to locally empower collaborators to contribute to Schneider's meaningful purpose.
- Sustainability priorities are highly dependent on local context therefore it makes sense to not only deploy worldwide programs, but also local actions close to local context and needs.

In order to boost local impact towards communities close to Schneider Electric, countries with at least 100 employees have set three commitments aligned with the Group's sustainability strategy, on different pillars: Climate, Resources, Trust, Equal, Generations, and Local.

Progress against these commitments is measured by precise KPIs. The assessment of this objective goes as follows: KPIs are validated by Zone/Country Presidents, and a local SSI lead is designated and communicated to the Sustainability team. This local SSI lead is in charge of consolidating KPI performance on an annual basis.

This indicator was not audited by PricewaterhouseCoopers and is not included in the SSI score.

4.1.2 Indicators from the Schneider Sustainability Essentials

SSE #1: 150 Zero-CO₂ sites

A site achieves Zero-CO₂ site status if it emits zero GHG emissions related to energy consumption and has in place Digital Energy Monitoring. Additionally, the site must have no SF₆ leaks.

Exclusions for energy-related GHG emissions are considered for small sources (<3%) of a site's total energy where no feasible fossil-free solution exists today. Digital Energy Monitoring is defined as having energy data connected to a Schneider Electric solution (such as Power Monitoring Expert, EcoStruxure™ Building Operation, EcoStruxure™ Resource Advisor, etc.). For larger sites, this requires a significant proportion of the site's energy to be measured and monitored through real-time connected meters. For smaller sites, this requires energy invoices to be available in Schneider Electric's EcoStruxure™ Resource Advisor solution. This indicator relates to all sites within the Group's full real estate footprint.

PwC provided reasonable assurance on this indicator.

SSE #2: 100% substitution with SF₆-Free medium voltage technologies

This indicator measures the ability of Schneider Electric to offer to the market (i.e. SELL gate of Schneider's Offer Creation Process) industrialized SF₆-free solutions for all geographies.

The range considered for the calculation of this KPI are primary and secondary switchgears up to 40.5 kV, indoor only:

- A** ASF₆-free ranges ready in 2020: Vacuum components, Premset, primary AIS with vacuum CB, HVL, Masterclad...
- B** BSF₆ ranges in 2020: RM6, FBX, Ringmaster, DVCAS, Flusarc, SM6, RN2C, GMA, GMAe GHA, WS, WSG, CGBS-0, CGBS-1, HVL-CC, Mcset, F400
- C** CSF₆ free offers to be launched from 2021–2025: SM AirSeT, Air PacT, RM AirSeT, RingmasterX, GM AirSeT, HVLCCX, etc.

Products above 40.5 kV (WI, CBGS-2, Kite), outdoor equipment such as pole mounted, reclosers, sectionalizers, and instrument transformers, as well as ranges manufactured by joint ventures and local offers adaptation are excluded.

The performance is measured as the percentage of the quantity of SF₆-free offer ranges available for order (A+C above) compared to the total quantity of the current ranges sold in the 2019 reference base (for both medium voltage switchgears and components). The current range for 2019 reference base is defined as the sum of the current SF₆ and non-SF₆ (Air, Vacuum) ranges sold in quantities (A+B above).

For the calculation, as an example, 1 RM AirSet = 1 RM6.

Calculation: KPI % = (A + C) / (A + B). Reference base: total quantities by range sold in 2019.

PwC provided limited assurance on this indicator.

SSE #3: 90% of electricity sourced from renewables

This program measures the share of renewable electricity in Schneider Electric's electricity supply, on the scope of environmental reporting (industrial sites >50 employees and tertiary sites >500 employees certified ISO 14001).

Four different types of renewable sourcing are taken into account:

- Renewable electricity produced on-site and consumed on-site;
- Renewable power purchase agreements (PPAs);
- Green tariffs; and
- Renewable certificates (depending on the country: REC, iREC, GO, EAC, etc.).

Electricity purchased with no specific renewable electricity claim is not taken into account, even if the electricity mix of the supplier includes a share of renewable power.

PwC provided reasonable assurance on this indicator.

SSE #4: 15% CO₂ efficiency in transportation

Transport within Schneider Electric is a significant generator of CO₂ due to dependence on fossil fuels. To achieve its Net-Zero target, the Group must engage with its transport providers on both efficiency opportunities as well as technical advancements in transport assets.

This KPI measures the Group progress against an annual 3% reduction of CO₂ emissions for its transportation footprint for each of the next 5 years, or 15% total reduction from 2020 to 2025. The scope of the program covers all shipments globally with all transportation providers and modes where the freight is paid by the Group. This equates to approximately two-thirds of the total freight CO₂ impact to the Group. The base calculation for CO₂ efficiency uses an activity-based method of weight multiplied by distance and by mode/equipment CO₂ factors. Data collection covers 75% of transport expenditure and emissions linked to uncollected data are estimated. Progress is measured using CO₂ emissions per tonne shipped as unit.

PwC provided limited assurance on this indicator.

SSE #5: 15% energy efficiency in Schneider Electric's sites

This program measures the normalized energy reduction of the Group's largest energy-consuming sites against a baseline. The objective is to reduce energy consumption by ~3% each year, for a total reduction of 15% over the whole duration of the program (2021–2025) using Schneider Electric solutions and services. The program focuses on Schneider sites within the scope of environmental reporting that consume >3 GWh of total energy, along with other sites the Group considers strategic (213 sites in 2021).

Energy savings are calculated vs. a baseline year (2019) for the whole duration of the program. In order to ensure a fair calculation of the savings, the actual consumption of a site is normalized vs. the baseline year.

This normalization is based upon a site-specific linear regression model enabling climate and changes in production levels to be taken into account. All energy consumption that can be modeled is taken into account and converted into MWh.

PwC provided limited assurance on this indicator.

SSE #6: 80% of product revenues covered by Green Premium™

Schneider Electric provides environmentally conscious products to customers that support their sustainability goals and ambitions. The 2025 target is a transformation of the existing program, for products focused on green materials, low CO₂, circularity, and digitization of data.

Green Premium™ products provide detailed information on their regulatory compliance, material content, environmental impact, and circularity attributes. They deliver market-driven value propositions through third-party labels, such as Green Building and product certifications, that support our customers' sustainability ambitions. All globally sold products are within the scope of Green Premium™.

The product must be identifiable by an individual commercial reference number sold under a recognized brand of Schneider Electric. The Group provides resource-efficient products (energy at usage, low CO₂, material efficiency) whose footprints are fully available through the "Product Environmental Profile" relying on lifecycle assessment; Green Premium™ offers also come with "circularity profiles", providing information on a product's circularity through product end-of-life instructions and take-back services. Green Premium™ offers are regulatory compliant.

Schneider Electric is going beyond regulatory compliance with step-by-step substitution of certain materials and substances from our products. All this information is provided digitally to Schneider's customers.

PwC provided limited assurance on this indicator.

SSE #7: One-third of corporate vehicle fleet comprised of electric vehicles

Schneider Electric has joined the EV100 initiative of the Climate Group to reduce its carbon emissions by committing to electrify 100% of its fleet by 2030. The fleet reporting structures the fleet carbon emissions calculations, the calculation of EVs share in the fleet, and allows support of countries in the transition. As a mid-term objective, by 2025, Schneider commits to switch a third (1/3) of its fleet to EVs.

Schneider Electric uses the definition by the Climate Group for EVs, including:

- Battery Electric Vehicle (BEV);
- Plug-in hybrids (PHEV): Extended Range Vehicle (EREV) and Fuel Cell Electric Vehicle (FCEV) – with at least 50 km of electrical autonomy.

Vehicles' spot count is taken on 31st December. The share of EVs in fleet is calculated by dividing EV count by total vehicle count.

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Fleet leasers are the source of information; global leasers operate the largest share of Schneider Electric's fleet and provide data on multiple countries by region. Detailed reporting is asked of all countries to eventually correct, complete, or complement the information (considering for instance vehicles under local leasers).

PwC provided limited assurance on this indicator.

SSE #8: 100% of sites with local biodiversity conservation and restoration programs

This program measures, for each site in scope, the percentage completion of a set of biodiversity-related actions. The scope covers Schneider Electric's sites within its full real estate footprint that have >50 people.

Initiatives are defined as "eliminate single-use plastic", and "local biodiversity action" (two required for large ISO 14001 sites, one for small sites).

Each site reports initiatives at completion. At Group level, performance is calculated by dividing completed initiatives by total required initiatives.

This indicator is audited annually by PricewaterhouseCoopers.

SSE #9: 200 "Waste-to-Resource" sites

A site achieves "Waste-to-Resource" status if it recovers more than 99% (by weight) of its non-hazardous waste while leveraging waste-to-energy solutions for less than 10% of its non-hazardous waste. Additionally, if a site generates hazardous waste, it must ensure 100% proper handling and treatment of that waste. Proper handling and treatment of hazardous waste means that hazardous waste shall be handled as per Schneider Electric's requirements and local regulations, whichever is the most restrictive. Waste is considered as recovered if it is reduced, reused, or sent to a waste provider for recycling or disposal in any manner except landfill and incineration without energy recovery. Waste composting and energy recovery systems qualify as recovered. This indicator relates to all sites within the Group's full real estate footprint.

PwC provided limited assurance on this indicator.

SSE #10: 420,000 metric tonnes of avoided primary resource consumption through 'take-back at end-of-use' since 2017

The aim of this KPI is to measure Schneider Electric's Circular Economy efforts, meaning all the industrial activities that contribute to the Circular Economy model, such as repair, reuse, refurbish, and recycling, thus avoiding waste, material and energy consumption, CO₂ emissions, and/or water depletion.

Activities in this KPI will enrich on the basis of Schneider Electric's increasing focus on circularity business models, and are currently constituted of:

- Batteries take back and recycling;
- Volume of devices refurbished and repaired in Schneider's repair centers (e.g., UPS, drives);
- Volume of MV, LV, and Transformers refurbished or recycled in Schneider's ECOFIT Centers.

PwC provided limited assurance on this indicator.

SSE #11: 100% of sites in water-stressed areas have a water conservation strategy and related action plan

This program measures the percentage completion of a set of water conservation actions that sites in water-stressed areas must complete. The scope covers Schneider Electric's sites within the scope of environmental reporting that are classified as "high" or "extremely high" baseline water stress, as defined by the World Resources Institute (WRI) Aqueduct Water Risk Atlas. Actions are defined based on the amount of water that a site consumes along with the application(s) that the site uses water for. At the Group level, performance is calculated by totaling all completed site actions and dividing by the total required actions.

PwC provided limited assurance on this indicator.

SSE #12: Deploy a "Social Excellence" program through multiple tiers of suppliers

The Social Excellence Program measures Schneider Electric's progress in identifying and reducing Human Rights risks deep in a selected product's supply chain. The KPI is built on three pillars: suppliers' traceability, risks linked to critical raw materials, and workers' feedback in sensitive countries. Each pillar follows the same four-step approach : creating a methodology, selecting tools, testing them, and deploying them. Tools such as Resilinc, Ulula, and the Extended Minerals Reporting Template help gather structured data across suppliers and materials. The final KPI is the average score of the three pillars, reflecting both the maturity of the approach and its practical deployment.

PwC provided limited assurance on this indicator

SSE #13: 100% of employees trained every year on Cybersecurity and Ethics

As per Schneider's Ethics & Compliance and Cybersecurity programs, training of employees on ethics, corruption risks (for eligible employees), and cybersecurity is mandatory. To ensure this, Schneider Electric launched 3 new trainings as part of the Global Schneider Essentials training campaign, reconducted every year with new content:

- Since 2018: Training on the Principles of Responsibility (replaced in September 2021 by the Trust Charter, Schneider's Electric Code of Conduct) and Anti-corruption.
- Since 2020: Training on Cybersecurity.

The scope of this KPI is all employees registered in TalentLink (legal entities integrated in Talent Link, core HR data system) as of November 15:

- **Principle of Responsibility and Cybersecurity e-learning:** all active employees with open ended contracts (OEC) (exception: Chinese and Bulgarian fixed-term contracts (FTC) are included), present in the Group on December 31st and hired before December 1st.

- **Anti-corruption e-learning:** exposed employees identified based on the job description (Schneider Electric System of Reference – description of functions), active, with connectivity type online-corporate credentials, with OEC (exception: Chinese and Bulgarian FTC) present in the Group on December 31st and hired before December 1st.

PwC provided limited assurance on this indicator.

SSE #14: 0.38 or below Medical Incident Rate

Safety is one of the five pillars of Schneider Electric's Trust Charter, which emphasizes the importance Schneider Electric is placing on its employees, customers, and contractors. Schneider works with many VIP global customers, and they demand the highest standards of Health and Safety management and performance before they engage and continue to do business with Schneider Electric.

Moreover, at Schneider Electric our mission is to ensure the occupational health and safety of employees, customers, contractors, and visitors to our locations. The Group also strives to provide employees with safe, pleasant, and efficient workplaces for enhanced well-being and effectiveness. As such, we aim to reduce the Medical Incident Rate (MIR) to 0.38 by 2025.

The MIR is the number of work incidents requiring medical treatment per million hours worked (i.e., average hours of 500 employees working for one calendar year). Work-related injuries and occupational illnesses requiring medical treatment are included. Work incidents may or may not have resulted in time off work.

All work-related incidents reported on Schneider Electric sites are counted (including therefore incidents affecting Schneider employees and other employees working under the supervision of Schneider, i.e., temporary workers). All Schneider sites within scope are considered. Medical incidents do not include: visits to a physician or other licensed healthcare professional solely for observation or counseling; the conduct of diagnostic procedures, such as x-rays and blood tests, including the administration of prescription medications used solely for diagnostic purposes (e.g., eye drops to dilate pupils); or first aid.

PwC provided reasonable assurance on this indicator.

SSE #15: Reduce total number of safety recalls issued to 0

When sustainability supports customer satisfaction, it translates into new processes and policies to allow returns of adapted products for reuse, remanufacture, and refurbishment. The benefits can be seen at a customer satisfaction level: by producing and delivering back orders impacted by component shortages, by serving new customer orders, and on Sustainability level by anticipating upcoming regulation compliance (anti-waste laws), reducing carbon footprint of Schneider's supply chain, and reducing the cost of poor quality due to product recalls.

Schneider Electric has implemented an Offer Safety Alert (OSA) process to alert the relevant line of business and other interested parties as soon as it is suspected that customers' health or property safety may be put at risk by Schneider products, solutions, or projects.

The Offer Safety Alert Committee (OSAC) is a permanent corporate committee that oversees and regulates the management of OSA. Its mission is to ensure all OSA are managed with due diligence and urgency to minimize safety risks to customers.

Its independent and multidisciplinary nature allows the OSAC to make decisions in Schneider's customers' best interest. As part of the Trust pillar of SSE 2021–2025, Schneider is committed to reducing the total number of safety recalls issued to 0.

This KPI covers customer notification and remediation actions from any suspected condition in Schneider Electric's offer that may cause customer bodily injury or property damage with OSAC "Go" decision.

PwC provided limited assurance on this indicator.

SSE #16: In the Top 25% in external ratings for Cybersecurity performance

Schneider Electric is continuously and consistently monitoring the security of its digital footprint with the support of cyber scoring agencies, and this discipline is applied across the extended ecosystem⁽¹⁾ (e.g., integrated and non-integrated entities).

Schneider Electric's primary scoring agency is BitSight which rates company security maturity between 300 and 820. This rating is calculated in real time with a proprietary algorithm that examines two classes of externally observable data:

- configuration information, which represents how diligent a company is in implementing best practices to mitigate risk.
- observed security events, which are evidences of cyber events like system compromises or data breaches, etc.

Security incidents or identified vulnerabilities can negatively impact the Company's rating. They are addressed in a timely manner, and the Group strives to maintain the score above 800.

PwC provided limited assurance on this indicator.

SSE #17: 4,000 suppliers assessed under Schneider Electric's "Vigilance Program"

Schneider Electric seeks to be a role model in its interactions with customers, partners, suppliers, and communities, when it comes to ethics and the respect and promotion of human rights. The Group's Vigilance Plan reflects this ambition. It also complies with the provisions of 2017 French law on Corporate Duty of Vigilance: the Duty of Vigilance introduced a new legal framework by which French authorities could hold corporations accountable.

Risks within Schneider's supply chain are multiple: potential violations of human rights and fundamental freedoms, serious bodily injury, environmental damage, health and safety risks, etc. Impacts are therefore quite varied: reputational impacts, legal impacts, people's health and safety, environmental pollution, etc.

To mitigate these risks with suppliers, the 2021–2025 plan is to deploy on site and remote audits for 4,000 suppliers:

- 1,000 identified in "high risk" level (by a third-party methodology, RBA, or other) with on-site audits; and
- 3,000 others through remote self-declarative assessment. Suppliers answering are counted, removing, if any, suppliers that have been audited in the current or past years.

(1) Bitsight scores for non-integrated entities (e.g. AVEVA) are not included and are monitored separately.

4. Methodology, external assurance and indicators

The KPI adds the total number of audits performed. The baseline takes into account on-site audits performed between 2018 and 2020 (i.e., 374 audits); this value has been audited and validated by PricewaterhouseCoopers in the previous years.

PwC provided limited assurance on this indicator.

SSE #18: <1% pay gap for both females and males

Prior to 2021, Schneider Electric has proactively worked to identify and address female pay gaps with appropriate corrective actions through a country-driven approach. Given the progress made on pay equity and to support its inclusion philosophy, starting in 2021, Schneider Electric has made a commitment to attain and maintain a pay gap below 1% by 2025 for both females and males, as per the internal methodology.

Measurement of the individual pay gap is achieved by comparing each employee to a peer group median total target salary "TTC" (base salary + target short-term incentive + fixed allowances if applicable for a country) for all genders. In other words, an individual's TTC is assessed against the median TTC of their comparator group (individual TTC / median of comparator group TTC – 1). The comparator group is defined by the drivers of job level (grade) and salary structure within a country.

PwC provided limited assurance on this indicator.

SSE #19: 60% subscription in Schneider Electric's yearly Worldwide Employee Share Ownership Plan (WESOP)

The World Employee Share Ownership Plan (WESOP) is one of the Group's recurring key annual reward programs, offering employees across the world an opportunity to become owners of the Company, at preferred conditions. Schneider Electric commits to achieve a 60% subscription rate among eligible employees in the yearly WESOP by 2025.

The scope concerns 28 recurring participating countries, representing 91% of the eligible headcount, which are all long-term employees of countries participating in WESOP with seniority of 3 months in the Company. The KPI is calculated by collecting the number of subscribers from the subscription tool, divided by the number of eligible employees in the 28 countries as per data from Schneider's global HRIS system.

PwC provided limited assurance on this indicator.

SSE #20: 100% of employees paid at least a living wage

In line with its Human Rights Policy and Trust Charter, Schneider Electric believes earning a living wage is a basic human right. Schneider Electric is committed to paying 100% of employees at or above the living wage to meet their families' basic needs. By basic needs, the Group considers basic household expenditures (food, housing, clothing, sanitation, education, healthcare, transport), plus discretionary income for a given local standard of living.

There is no universal benchmark or methodology on how to calculate a living wage, which is why Schneider Electric has been working with an external consultant since 2018 to calculate living wages for all its locations worldwide. To calculate a living wage, the external consultant estimates the basic household expenditures of employees, as well as the number of persons earning a wage in a "typical" household based on various sources of cost of living and macroeconomic data (national statistics, Organisation for Economic Co-operation and Development (OECD), United Nations agencies, etc.).

To measure compliance with the living wage, a gap analysis is conducted every year post salary review for all our Schneider Electric employees treated as permanent workforce. All employees employed by fully integrated entities, with open-ended or fixed-term contracts, whether full-time or part-time, are considered part of the permanent workforce. The Reward team centrally compiles and analyses total employees' remuneration data (base salary and allowances, excluding the variable elements) to compare it with the living wage benchmark provided by consultants. Employees are benchmarked against their work location living wage. To calculate employees' remuneration, the Reward team uses data available in its global HRIS system, as well as local payroll.

For final reporting of the year-end results, Schneider Electric can disclose a final score that considers living wage gaps closed by countries until the end of the year after they have been identified.

PwC provided limited assurance on this indicator.

SSE #21: 4x the number of employee-driven development interactions on the Open Talent Market

The purpose of this initiative is to create an integrated and digital Open Talent Market (OTM) that enables employees to drive their own career development. The platform is borderless, neutral, and uses AI to help achieve best matches. Schneider's ambition is to multiply the number of employee-driven interactions within OTM by four in the next five years.

Interactions are tracked in the tool for each feature of OTM. At the start of 2021, current features available to employees are positions; projects; mentorships; and career mapping.

These three features work best when employee profiles are robust and rate a 3/4 for completeness. The scope of this initiative extends to the connected population of Schneider Electric as defined in January 2021, thus excluding non-connected workers (i.e., plant workers), contractors, and interns/apprentices.

PwC provided limited assurance on this indicator.

SSE #22: >90% of employees undergo digital upskilling

The Group is committed to growing employee digital citizenship and aims to achieve digital upskilling for >90% of employees by 2025. The progress combines white collar and worker populations' KPIs.

- **For white collars**, the Group aims to achieve >90% eligible employees reaching Intermediate, Advanced, or Expert Digital Citizenship level by 2025. The Digital Citizenship level of all employees will be assessed by their managers each year.

Eligible employees in 2025 are active employees hired before January 31st 2025, open-ended and fixed-term contracts, and excludes employees in non-integrated entities and further exclusions defined by country.

- **For workers**, the Group aims to achieve >90% of workers complete 2 hours of training per year offered by the GSC Academy on digital transformation, such as the Smart Factory program, Cybersecurity, and Digital knowledge. The scope covers active workers populations and plant team leaders defined by specific job codes and hired before January 31st 2025, open-ended and fixed-term contracts (China only) in relevant operating units, and excludes workers on extended leave of more than six months during the year, and factories which planned to be closed before Q2 of the following year.

The scope and exclusions of this indicator will be reviewed at the beginning of each year.

The KPI is an aggregated percentage based on the percent of employees meeting the target defined for white collars and for workers, relative to the total employee population in scope (white collars and workers).

PwC provided limited assurance on this indicator.

SSE #23: >90% of employees have access to a program that supports meaningful development in the later stages of their professional career

The Group is committed to support talent near or at the later stages of their career to have meaningful development, and to recognize their unique contribution. The Senior Talent Program is anchored in career conversations resulting in a robust development plan linked to their unique career aspirations and supported by different offers.

The ambition is to provide access to meaningful career development programs for at least 90% of employees during the later stages of their career. The KPI is calculated as an aggregated % of the following dimensions:

- **Part A (80%):** >90% of employees working in countries offering career development programs that support later career stages. A program is in place when it meets 2 criteria:
 1. A specific locally deployed training, coaching or 1:1 support for targeted employees and their managers, enabling them to have a career conversation;
 2. Minimum 3 new or enhanced offers since the launch in January 2021 such as new contractual schemes, upskilling, knowledge transfer, pivoting, recognition, care, and personal planning among others. Calculation: % total headcount in the countries where a program is in place versus overall Schneider headcount.
- **Part B (20%):** >90% of targeted employees having the career conversation. Calculation: % of employees in the later stages of their career replying affirmatively to the question "In the last 12 months, I had a career discussion with my manager" from the career development survey launched every year to all employees.

Pilot programs were launched fully in 2022. As such, the baseline year for this indicator is 2022.

PwC provided limited assurance on this indicator.

SSE #24: 75% employee engagement score

A high Employee Engagement Index is linked to higher sales growth, higher operating income, and ultimately higher customer satisfaction and loyalty toward the Company. This index is calculated once a year through a survey called OneVoice, sent to 100% of the Group employees, and serves a starting point to adapt its people strategy and action plans.

The computation of this KPI includes all Schneider employees treated as permanent workforce (i.e., open-ended and fixed-term contracts over 3 months), thus excluding interns or third-party contractors.

An external Kincentric employee engagement model is used, composed of 6 questions, 2 per item (SAY, STAY, STRIVE), scored on a 6-point scale by employees:

- Employee Engagement Index: percentage of people for which the average of the six questions is equal or higher than 4.5;
- Employee Disengagement: percentage of people for which the average of the six questions is equal or lower than 3.5;
- Neutral: percentage of people for which the average of the six questions is scored between 3.5 and 4.5.

PwC provided limited assurance on this indicator.

SSE #25: 50,000 volunteering days since 2017

Schneider Electric employees' volunteering activities mainly take place in vocational or educational NGOs (vocational and technical training, schools, universities, etc.), and companies supported by the Schneider Electric Access to Energy Fund, and more globally in all organizations referenced by the Schneider Electric Foundation delegates' in their countries. They principally fall into actions benefiting young people, underprivileged families, and the environment, and are organized depending on the personal or professional skills of the volunteers as well as the needs identified by the supported organizations (specialized or non-specialized needs). Missions are posted on a dedicated digital and multilingual platform called VolunteerIn enabling the Group's employees to apply for volunteer missions among the Foundation's partners. Local and spontaneous initiatives organized by the Schneider Electric Foundation's delegates and their partners which employees are engaged in are also taken into account.

In 2021, the Schneider Electric Foundation and partner NGOs have increased the number of digital missions offered to employees, enabling them to continue in social mentoring, share skills, and participate in one-time volunteering. One day of volunteering is counted when a collaborator dedicates 5 hours of their time to one of these partner organizations. Only missions lasting a minimum of 0.5 days are considered. The indicator also includes the training missions organized abroad that last at least 5 days.

PwC provided limited assurance on this indicator.

4.2 TCFD and SASB correspondence tables

4.2.1 Sustainability Accounting Standard (SASB) Correspondence table

Topic	Accounting metric	Category	Unit of measure	Code
Energy Management	(1) Total energy consumed	Quantitative	Gigajoules (GJ)	RT-EE-130a.1
	(2) Percentage grid electricity		Percentage (%)	
	(3) Percentage renewable			
Hazardous Waste Management	Amount of hazardous waste generated, percentage recycled	Quantitative	Tonnes (t), Percentage (%)	RT-EE-150a.1
	Number and aggregate quantity of reportable spills, quantity recovered		Number, Kilograms (kg)	RT-EE-150a.2
	Number of recalls issued, total units recalled		Number	RT-EE-250a.1
Product Safety		Quantitative		
	Total amount of monetary losses as a result of legal proceedings associated with product safety		Reporting currency	RT-EE-250a.2
	Percentage of products by revenue that contain IEC 62474 declarable substances		Percentage (%) by revenue	RT-EE-410a.1
Product Life cycle Management	Percentage of eligible products, by revenue, certified to an energy efficiency certification	Quantitative		RT-EE-410a.2
	Revenue from renewable energy-related and energy efficiency-related products		Reporting currency	RT-EE-410a.3
	Description of the management of risks associated with the use of critical materials	Discussion and Analysis	n/a	RT-EE-440a.1
Materials Sourcing				
	Description of policies and practices for prevention of: (1) corruption and bribery and (2) anti-competitive behavior	Discussion and Analysis	n/a	RT-EE-510a.1
Business Ethics	Total amount of monetary losses as a result of legal proceedings associated with bribery or corruption	Quantitative		RT-EE-510a.2
	Total amount of monetary losses as a result of legal proceedings associated with anti-competitive behavior regulations	Quantitative		RT-EE-510a.3
			Reporting currency	
Activity metrics	Number of units produced by product category	Quantitative	Number	RT-EE-000.A
	Number of employees			RT-EE-000.B

Response/ Data/ Reference	Topic
The following KPIs cover the measured energy consumption (about 80% of Group energy consumption): (1) 3,414,416 GJ (948,449 MWh) (2) 74.8% (709,571 MWh) (3) 77.6% (735,837 MWh)	Energy Management
Hazardous waste generated: 7,200 tonnes. Hazardous waste channeled according to legal requirements and Schneider Electric expectations: 7,200 tonnes.	Hazardous Waste Management
Zero reportable spills in 2025, therefore no recovered quantity to report.	
3 product recalls have been issued in 2025, amounting to approximately 1,300 units recalled or reworked. Schneider Electric has an Offer Safety Alert (OSA) process to alert the relevant Line of Business and other interested parties as soon as it is suspected that customers' health or property safety may be put at risk by Schneider products, solutions, or projects. A dedicated permanent committee ensures that all OSA are managed with the due diligence and urgency to minimize safety risks to customers. Its independent, multi-discipline nature allows the committee to make decisions in customers' best interest.	Product Safety
No material loss at the Group level.	
More than 80% of Schneider Electric's products are assessed on the presence or absence of regulations impacting our portfolio and present in the IEC 62474 DSL (Declarable Substance List) such as REACH, RoHS, POP, ODS, FGas, TSCA or CA Prop65. With the current information collected from its supply chain, the Group manages to cover the huge majority of substances and regulations covered by IEC 62474 DSL, considering their scope of application. More details can be found in section 2.2.2.1 Eliminating hazardous substances on page 86 .	Product Life cycle Management
Revenues derived from products certified to energy efficiency certifications, such as ENERGY STAR, are included in Schneider Electric's Impact revenues measure (see below).	
Schneider Electric measures "Impact revenues", i.e., revenues coming from offers that bring energy, climate, or resource efficiency to customers. In 2025, 75% of Group revenues qualify as Impact revenues. The Group aims to grow its Impact revenues to 80% by 2030.	
Details regarding sustainable procurement practices are provided in section 2.3.2 Sustainable relations in the value chain ESRS S2 on page 153 , in particular Conflict Minerals program.	
Critical materials supply risks related to potential scarcity in the market has been fully assessed and is acknowledged in the Group's design roadmap. Top strategic partnerships with key suppliers have been reinforced through long-term agreements and C-Level connections, with a particular focus on electronic semiconductor players. A procurement and planning hub in Singapore has been established to manage the direct supply of critical materials and strategic stocks, with a focus on active electronics and copper cathodes.	Materials Sourcing
As stated in its Trust Charter, Anti-Corruption Policy, Competition Law Policy, and various other policies, Schneider Electric is committed to complying with all applicable laws and regulations, such as the OECD's Convention on Combating Bribery of Foreign Public Officials in International Business Transactions, the US Foreign Corrupt Practices Act (FCPA), the UK Bribery Act, the French Sapin II law, and the various antitrust laws and competition rules globally.	
Schneider Electric has a zero tolerance policy with regard to corruption and breaches of competition laws and considers that "doing the right thing" is a key value-creation driver for all its stakeholders. This commitment materialized through strong and continuously developing programs such as its Anti-Corruption Compliance program (part of its Trust program, see section 2.4.1 Zero tolerance for corruption on page 177), and its Competition Law program (see section 3.3.4 Compliance with competition law on page 240).	Business Ethics
No material losses.	
The French Competition Authority issued on October 29, 2024 a decision to sanction several companies concerning the electrical distribution activities in France, including Schneider Electric for a EUR 207 million penalty considering that the pricing autonomy of some distributors in the French market had been limited by Schneider Electric, in breach of competition rules.	
Schneider Electric strongly disagrees with the conclusion of the French Competition and has appealed the decision in front of the Paris Appeal Court. For more information, please see Note 22.2 "Contingent liabilities" page 531 of the 2025 Universal Registration Document.	
A breakdown of revenues by activity is provided on page 551 "Consolidated financial statements" of the 2025 Universal Registration Document.	
147,420 (spot 2025 year-end headcount, excluding supplementary workforce). More workforce statistics in section 4.4.2 Social indicators on page 277 .	Activity metrics

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4.2.2 Task Force on Climate-related Financial Disclosures (TCFD) correspondence table

Climate change has been clearly identified as crucial to both Schneider Electric's internal and external stakeholders during the various materiality assessments that took place in 2014, 2017, 2020 and 2024. Overall, transformations linked to climate change are a source of opportunities for Schneider Electric, the main risk being to fail leading by example and thereby lose traction with customers, investors, new talents, and collaborators in the Company. Concrete climate-related programs to either grab opportunities or mitigate risks are deployed every 3 to 5 years with the Schneider Sustainability Impact (SSI) programs and complement the Group's Net-Zero Commitment. Schneider Electric presents below its main climate-related disclosures in line with TCFD recommendations.

Recommended Disclosure	CDP Corporate and URD 2025 references	Brief description (please refer to CDP Corporate response and other sections of the 2025 Universal Registration Document for further details)
1. Governance: Disclose the organization's governance around climate-related risks and opportunities.		
1. a) Describe the board's oversight of climate-related risks and opportunities.	CDP – 4.1.2 URD – Chapter 2 (2.2.1.1.2, 2.2.1.2) Chapter 3 (3.2.2)	Several governance bodies are involved in the process of designing and continuously monitoring the SSI program, which includes a sustainability risks and opportunities assessment (including climate) and leads to the design of concrete transformation initiatives to align the Company on the challenges identified:
1. b) Describe management's role in assessing and managing climate-related risks and opportunities.	CDP – 4.3, 4.3.1 URD – Chapter 2 (2.2.1.1.2, 2.2.2.1.2)	- The Board of Directors establishes the multi-annual strategic approach on ESG responsibility and reviews the results reached on a yearly basis, notably through the Audit and Risk Committee, and the Governance, Nominations and Sustainability Committee. - The Executive Committee defines and deploys sustainability operational plans, monitors the performance of sustainability programs. - The Sustainability, Finance, Governance & Human Resources functions oversee strategy, as well as programs definition and execution. - The business, operations and corporate functions implement sustainability strategy, policies and programs, and support employee engagement. - Dedicated steering committees track progress on sustainability material topics. Additionally, environmental transformations are driven by a network of leading experts in various environmental fields such as ecodesign, energy efficiency, circular economy, or CO₂. Environment leaders coordinate a network of more than 600 managers responsible for the environmental management of sites, countries, product design, and marketing. More details can be found in section 2.1.1.2 Integrated and transverse governance of sustainable development on page 33.

Recommended Disclosure	CDP Corporate and URD 2025 references	Brief description (please refer to CDP Corporate response and other sections of the 2025 Universal Registration Document for further details)
2. Strategy: Disclose the actual and potential impacts of climate-related risks and opportunities in the organization's businesses, strategy and financial planning where such information is material.		
2. a) Describe the climate-related risks and opportunities the organization has identified over the short, medium, and long term.	CDP – 2.1, 2.2.2, 2.4, 3.1, 3.1.1, 3.6, 3.6.1 URD – Chapter 2 (2.2.1.2.5, 2.2.2.1.2)	Schneider Electric has integrated climate related scenario analysis, based on five scenarios, into its risk management framework. The analysis identifies physical and transition risks and opportunities over the short, medium, and long term, assesses existing and potential impacts to its business, operations, and value chain. The risks and opportunities assessment covers:
2. b) Describe the impact of climate-related risks and opportunities on the organization's business, strategy, and financial planning.	CDP – 3.1.1, 3.6.1, 5.1, 5.1.1, 5.2, 5.3.1, 5.3.2 URD – Chapter 2 (2.2.2.1), Chapter 3 (3.2.4)	- Acute and chronic climate physical risks; - Climate transition risks and opportunities including legal and regulatory, market, technology, liability, and reputational. Policy: Schneider Electric anticipates possible financial impacts of future carbon emission costs by addressing both its operational and value chain footprints. Given the relatively low share of the Group's Scope 1 and 2 emissions in its carbon footprint, carbon pricing mechanisms primarily present the potential for impact on the Group's value chain. Among others, it could result in higher raw materials and manufactured components costs, and increasing costs incurred by consumers during the use of sold products. Schneider Electric could benefit from these regulations compared to slower-moving competitors. In 2025, 75% of the Group revenues qualify as Schneider Impact revenues, defined as revenues from offers that bring energy, climate, or resource efficiency to customers, while not generating any significant harmful impacts to the environment. Over 2026–2030, the Group targets 80% Schneider Impact Revenues, 1.5 billion MWh saved or electrified with its solutions, and 100% of applicable software delivering advanced energy and carbon insights for customers.

Recommended Disclosure	CDP Corporate and URD 2025 references	Brief description (please refer to CDP Corporate response and other sections of the 2025 Universal Registration Document for further details)
		Market: The growing demand for electrification and efficiency solutions and services generally presents a significant business opportunity for Schneider Electric. In addition, the Group explores ways to improve the end-to-end environment footprint of its products with innovations, such as SF₆-free medium voltage switchgear. Markets can evolve towards more environmentally sustainable alternatives, supported by regulation change or customer preference. This is a critical element of the Group's sustainability impact goals and ecodesign strategy. In the short term, the Group anticipates that its markets will experience accelerating growth between 2025 and 2030 with an increase in addressable market compound annual growth rate (CAGR) to between +6% and +7%.
Recommended Disclosure	CDP Corporate and URD 2025 references	Brief description (please refer to CDP Corporate response and other sections of the 2025 Universal Registration Document for further details)
2. a) and 2. b) (continued)		Reputation: Customer trust can be influenced by companies' actions or inaction to mitigate and adapt to climate change. Schneider has been working to reduce its own GHG emissions for 20 years setting ambitious targets for both its operations and its value chain. The Group actively manages this risk by building and executing detailed roadmaps for its targets and collaborating with its stakeholders. The Group remains diligent in protecting brand reputation through accurate and transparent communication and marketing. In the medium and long terms, the Group expects that world economies will continue to encourage decarbonization, requiring greater investment and readiness to meet the demand for electrification and efficiency solutions. Acute Physical Risk: Schneider Electric has over 300 industrial and logistics sites globally and is exposed to both acute and chronic effects of climate change. These impacts could result in damage to assets, disruption to business operations, as well as human and environmental consequence. Chronic Physical Risk: In the long term, the severity of physical impacts will vary based on society's ability to reduce human-induced climate change. However, even with mitigation efforts, the IPCC is highly confident that climate change will lead to numerous risks for natural and human systems beyond 2040. These include rising temperatures, reducing worker productivity and increasing cooling costs, as well as water scarcity, increasing the costs to procure or treat water in water-stressed locations for both workers and production processes. Physical risks to Schneider Electric's value chain are assessed through climate risk modelling, using a suite of global maps to assess the likelihood of occurrence of extreme climate related events, including heatwaves, freeze events, droughts, coastal/flash/riverine floods, temperate and tropical windstorms, and wildfire. Potential financial impacts could be driven by: • Losses and damages to Schneider Electric operations and enabling infrastructures • Business disruption due to logistics bottlenecks • Cost increase, risks of scarcity, and insecurity of raw materials supply Read more on the methodology and results of scenario analysis in section 2.2.1.2 on page 61, and in Chapter 3 section 3.2.4 Key risks and opportunities on page 371 of the 2025 Universal Registration Document.

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Recommended Disclosure	CDP Corporate and URD 2025 references	Brief description (please refer to CDP Corporate response and other sections of the 2025 Universal Registration Document for further details)
2. c) Describe the resilience of the organization's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.	CDP – 5.1, 5.1.1 URD – Chapter 2 (2.2.2.1)	Five scenarios, based on different emission pathways, are evaluated over 5-, 10-, and 30-year horizons. This analysis allows the Group to identify climate risks and build resilient strategies that navigate economic transitions while capitalizing on low-carbon opportunities. Although climate risks are evaluated under each of the five emission pathways, climate physical risk quantification retained to support resilience strategic decisions is based on the current policy scenario, a high-emissions scenario, corresponding to a 3°C rise in global temperatures by 2100. The scenario analysis quantifying the influence of climate change on the exposure of Schneider Electric's sites towards extreme weather events and natural hazards is combined with on-site audits conducted by external consultants who develop site vulnerability profiles at least every 2 years for the critical sites and every 3 to 7 years for the other industrial sites. Governance is well in place, under the leadership of the Chief Sustainability Officer, and both short- and long-term analyses are shared internally and used to inform strategic priorities across business and operations. Read more in section 2.2.1.2 Climate-related impacts, risks, and opportunities on page 61.

3. Risk Management: Disclose how the organization identifies, assesses, and manages climate-related risks.

3. a) Describe the organization's processes for identifying and assessing climate-related risks.	CDP – 2.1, 2.2.1, 2.2.2, 2.4 URD – Chapter 2 (2.1, 2.2.2.1)	Risks are mainly identified and assessed at Group level through interviews with subject matter experts and leaders, run by the Internal Audit Department and the Group Risk Management Department each year. The response to these interviews are regularly also informed by additional topical assessments, such as for specific environmental and climate-related risks. In addition, a first double materiality analysis was conducted in 2024 and is updated yearly by the Sustainability Department by leveraging existing internal risk and impact assessments to identify and prioritize material environmental, social, and governance (ESG) from a financial perspective (outside-in) and an impact perspective (inside-out). The output of this assessment is reviewed and adjusted by subject matter experts and team leaders; while the results are validated by executives in the organization and external stakeholder representatives.
3. b) Describe the organization's processes for managing climate-related risks.	CDP – 2.2, 2.2.1, 2.2.2 URD – Chapter 2 (2.1, 2.2.2.1), Chapter 3 (3.2.4, 3.3)	
3. c) Describe how processes for identifying, assessing, and managing climate-related risks are integrated into the organization's overall risk management.	CDP – 2.1, 2.2, 2.2.2 URD – Chapter 2 (2.1, 2.2.2.1)	

Recommended Disclosure	CDP Corporate and URD 2025 references	Brief description (please refer to CDP Corporate response and other sections of the 2025 Universal Registration Document for further details)
3. a) 3. b) and 3. c) (continued)		Furthermore, for the past 3 years, the Group has engaged with a specialist in climate scenario analysis and portfolio risk assessments to conduct its climate risk analysis annually. Models were built using company data on financial projections, geographical and sectorial market, GHG emissions, as well as facilities worldwide. The models take into account the market expected evolution, depending on five emission pathways. Schneider Electric employs a comprehensive process to assess physical risk financial effects, integrating scenario analysis (across five pathways) with the Group's broader risk management strategy. This includes an ISO 22301-aligned program that maps substantive financial risks (asset destruction, profit loss) and ensures continuity from incident to recovery. The scenario analysis quantifying the influence of climate change on the exposure of Schneider Electric's sites towards extreme weather events and natural hazards is combined with on-site audits conducted by external consultants who develop site vulnerability profiles at least every 2 years for the critical sites and every 3 to 7 years for the other industrial sites. In addition, an Integrated Management System (IMS) standardizes and streamlines the deployment of various management systems across the Group's plants, distribution centers, and large offices. The IMS includes compliance with ISO 14001, ISO 50001, ISO 9001, and ISO 45001 standards. Each site undergoes periodic audits, either externally by Bureau Veritas every three years or internally by expert teams.

Recommended Disclosure	CDP Corporate and URD 2025 references	Brief description (please refer to CDP Corporate response and other sections of the 2025 Universal Registration Document for further details)
		With suppliers, climate physical risks, are embedded into the Supplier Risk Assessment. This deep risk assessment combined with business impact enables the Group to design a sourcing strategy avoiding risk geography, building strategic stocks and developing double sourcing strategy. Leveraging external data providers, the Group monitors events across 10,000 logistics nodes (such as ports and critical supplier locations) on both upstream and downstream networks, to shorten reaction time when events occur and thereby minimize business impact. Read more on Schneider Electric's climate-related risk management in section 2.2.1.2 Climate-related impacts, risks, and opportunities on page 61.

Recommended Disclosure	CDP Corporate and URD 2025 references	Brief description (please refer to CDP Corporate response and other sections of the 2025 Universal Registration Document for further details)
4. Metrics and Targets: Disclose the metrics and targets used to assess and manage relevant climate-related risks and opportunities where such information is material.		
4. a) Disclose the metrics used by the organization to assess climate-related risks and opportunities in line with its strategy and risk management process.	CDP – 7.52, 7.54, 7.54.1, 7.54.2 URD – Chapter 2 (2.1, 2.2.2.1, 2.4)	Each year, Schneider Electric measures and transparently discloses its end-to-end carbon footprint (Scope 1, 2, and 3). The Group obtained in 2025 a “reasonable” assurance from an independent third-party verifier on Scope 1 and 2 emissions, and a “limited” assurance on Scope 3. The carbon footprint of the Group helps to pinpoint and understand the magnitude of climate-related risks and opportunities, and is also used to monitor progress. Scope 3 emissions represent more than 99% of the Group's carbon footprint, of which 79% are due to the use phase and the products' end of life, and around 10% comes from the purchase of raw materials, equipment, and services. While the carbon footprint of the Group is made only from induced emissions, the saved and avoided emissions due to its products and services are shown separately, as part of the SSI #2 reporting. Key metrics over the last four years on GHG emissions are published in section 4.4.1.3 Group site consumption, emissions and waste on page 272.
4. b) Disclose Scope 1, Scope 2, and if appropriate, Scope 3 greenhouse gas (GHG) emissions, and the related risks.	CDP – 7.3, 7.6, 7.7, 7.8 URD – Chapter 2 (2.2.2.1, 2.4)	
4. c) Describe the targets used by the organization to manage climate-related risks and opportunities and performance against targets.	CDP – 7.53, 7.53.1, 7.53.2, 7.54, 7.54.1, 7.54.2 URD – Chapter 2 (2.1, 2.2.2.1, 2.3.2, 2.4)	Emissions calculations are done using the Greenhouse Gas Protocol methodology. The carbon footprint methodology is compliant with ISO 14069 principles. The results are calculated in tonnes of CO₂ equivalent, taking into account all GHGs included in the Kyoto Protocol. The Group has launched several concrete programs aiming at either directly or indirectly reducing GHG emissions, under the Climate and Resources pillars of its 2025 strategy. These programs are presented under the SSI and SSE 2021 – 2025 programs on pages 7 to 17. These programs cover the performance of the Group's operations (such as energy efficiency, renewable electricity procurement, fleet electrification), suppliers (such as The Zero Carbon Project, green materials or sustainable packaging) and customers (SF₆-free alternative offers, CO₂ savings and avoidance quantification on customers' end thanks to EcoStruxure™). As the 2021-2025 sustainability chapter is coming to an end, the Group is setting out to announce the new set of 2030 sustainability targets. More details can be found in section 1.3 Introducing Schneider Electric's 2030 sustainability ambition on page 22. The overall performance of the SSI represents 20% of the short-term incentives for more than 80,000 employees worldwide (collective share). The Carbon Emission Reduction Targets, impact 25% of the long-term incentives (LTI) for 4,500+ grantees, including 3,000+ top leaders. The Group is incorporating internal pricing systems, with purposes to inform the Group's climate strategy and incentivize low-carbon decisions. Carbon prices are used in climate risk assessments to test how resilient the Group's activities are under different carbon pricing and climate scenarios. Under certain scenarios, there is no value attached to carbon, while in aggressive Net-Zero scenarios, the price could be up to several hundreds of euros. More details can be found in the table “Internal carbon pricing” of section 2.2.1.5 Investment and resources on page 71. Schneider Electric is a signatory of the Business Ambition for 1.5°C initiative aimed at setting GHG emissions reduction targets in line with the global effort to limit warming to 1.5°C.

4. Methodology, external assurance and indicators

Recommended Disclosure	CDP Corporate and URD 2025 references	Brief description (please refer to CDP Corporate response and other sections of the 2025 Universal Registration Document for further details)
		In August 2022, Schneider Electric was one of the first companies to see its GHG reduction targets validated by the SBTi, in alignment with its “Corporate Net-Zero Standard” published in October 2021. As part of its Net-Zero commitment, the Group has defined mid and long-term targets. As part of its 2050 SBTi targets, the Group is committed to be Net-Zero across its entire value chain by 2050, which means that the Group aims to reduce its 2021 footprint by an absolute 90% by 2050 and neutralize residual emissions with high-quality carbon removal credits. The group aims to : • By 2030, reduce value chain emissions by 25% and be “Net-Zero ready” in operations by neutralizing all residual operational emissions with removals. • By 2050, reduce value chain emissions by 90% and reach Net-Zero CO₂ emissions by neutralizing all residual emissions with removals.

4.3 Reports of assurance

4.3.1 Report on the certification of sustainability information and verification of the disclosure requirements under Article 8 of Regulation (EU) 2020/852

(Year ended December 31, 2025)

To the Shareholders
SCHNEIDER ELECTRIC SE
 35, rue Joseph Monier
 Rueil-Malmaison

This report is issued in our capacity as statutory auditor of SCHNEIDER ELECTRIC SE. It covers the sustainability information and the information required by Article 8 of Regulation (EU) 2020/852, relating to the year ended December 31, 2025 and included in section 2.2. "Sustainability statements | CSRD" of the group management report (hereinafter the "Sustainability statements | CSRD").

Our procedures, which relate to this information, have been performed in an evolving context characterized by uncertainties regarding the interpretation of the laws and regulations, and the development of established practices.

Pursuant to Article L. 233-28-4 of the French Commercial Code, SCHNEIDER ELECTRIC SE is required to include the above-mentioned information in a separate section of the group management report.

This information enables an understanding of the impact of the activity of the group on sustainability matters, as well as the way in which these matters influence the development of the business of the group, its performance and position. Sustainability matters include environmental, social and corporate governance matters.

Pursuant to Article L.821-54 paragraph II of the aforementioned Code our responsibility is to carry out the procedures necessary to issue a conclusion, expressing limited assurance, on:

- compliance with the requirements set out in the sustainability reporting standards adopted by the European Commission pursuant to Article 29 b of Directive (EU) 2013/34 of the European Parliament and of the Council of 26 June 2013, as amended by Directive (EU) 2022/2464 of the European Parliament and of the Council of 14 December 2022 (hereinafter *ESRS for European Sustainability Reporting Standards*) of the process implemented by SCHNEIDER ELECTRIC SE to determine the information reported, including, where applicable, the obligation to consult the social and economic committee provided for in the sixth paragraph of Article L. 2312-17 of the French Labour Code;
- compliance of the sustainability information included in the Sustainability statements | CSRD with the provisions of Article L. 233-28-4 of the French Commercial Code, including ESRS; and
- compliance with the reporting requirements set out in Article 8 of Regulation (EU) 2020/852.

This engagement is carried out in compliance with the ethical rules, including independence, and quality control rules prescribed by the French Commercial Code.

It is also governed by the H2A guidelines on "*Limited assurance engagement - Certification of sustainability reporting and verification of disclosure requirements set out in Article 8 of Regulation (EU) 2020/852*".

In the three separate sections of the report that follow, we present, for each of the sections of our engagement, the nature of the procedures that we carried out, the conclusions that we drew from these procedures and, in support of these conclusions, the elements to which we paid particular attention and the procedures that we carried out with regard to these elements. We draw your attention to the fact that we do not express a conclusion on any of these elements taken individually and that the procedures described should be considered in the overall context of the formation of the conclusions issued in respect of each of the three sections of our engagement.

Finally, where deemed necessary to draw your attention to one or more disclosures of sustainability information provided by SCHNEIDER ELECTRIC SE in the group management report, we have included an emphasis of matter paragraph hereafter.

Limits of our engagement

As the purpose of our engagement is to express limited assurance, the nature (choice of techniques), extent (scope) and timing of the procedures are less than those required to obtain reasonable assurance.

This engagement does not provide guarantee regarding the viability or the quality of the management of SCHNEIDER ELECTRIC SE, in particular it does not provide an assessment, of the relevance of the choices made by SCHNEIDER ELECTRIC SE in terms of action plans, targets, policies, scenario analyses and transition plans, which would go beyond compliance with the ESRS reporting requirements.

Furthermore, as forward-looking information is inherently uncertain, actual future outcomes may differ, sometimes significantly, from the forward-looking information presented in the group management report.

Our engagement does, however, allow us to express conclusions regarding the entity's process for determining the sustainability information to be reported, the sustainability information itself, and the information reported pursuant to Article 8 of Regulation (EU) 2020/852, as to the absence of identification or, on the contrary, the identification of errors, omissions or inconsistencies of such importance that they would be likely to influence the decisions that readers of the information subject to this engagement might make.

Sustainability information and the information required under Article 8 of Regulation (EU) No 2020/852 may be subject to inherent uncertainty arising from the state of scientific knowledge and from the quality of the external data used. Certain information is sensitive to the methodological choices, assumptions and/or estimates applied in preparing it and presented in the group management report.

4. Methodology, external assurance and indicators

Compliance with the requirements set out in the ESRS of the process implemented by SCHNEIDER ELECTRIC SE to determine the information reported, including the obligation to consult the social and economic committee provided for in the sixth paragraph of Article L. 2312-17 of the French Labour Code

Nature of procedures carried out

Our procedures consisted in verifying that:

- the process defined and implemented by SCHNEIDER ELECTRIC SE including the obligation to consult the social and economic committee provided for in the sixth paragraph of Article L.2312-17 of the French Labour Code, has enabled it, in accordance with the ESRS, to identify and assess its impacts, risks and opportunities related to sustainability matters, and to identify the material impacts, risks and opportunities, that lead to the publication of information disclosed in the Sustainability statements | CSRD, and
- the information provided on this process also complies with the ESRS.

Conclusion of the procedures carried out

On the basis of the procedures we have carried out, we have not identified any material errors, omissions or inconsistencies regarding the compliance of the process implemented by SCHNEIDER ELECTRIC SE with the ESRS.

Elements that received particular attention

We set out below the elements that have been the subject of particular attention in relation to our assessment of compliance with the ESRS of the process implemented by Schneider Electric SE to determine the information reported.

Information relating to how the entity has updated its double materiality assessment is set out in section 2.2.1.2 "Double materiality assessment: main sustainability risks, impacts and opportunities" of the Sustainability statements | CSRD.

We have, through inquiries with management and/or the individuals we deemed appropriate, and through inspection of the available documentation, obtained an understanding of the analyses carried out by the entity, in particular the assessment of the internal and external factors considered to substantiate the absence of changes made to the double materiality assessment and/or to the actual and potential impacts, risks and opportunities identified by the entity. These include, in particular, changes in the reporting scope.

Based on our professional judgment, we carried out the following procedures:

- exercising professional scepticism with respect to the documentation of the analyses carried out by the entity, as well as the approach taken by the entity to identify the internal and external factors to be considered;
- assessing the appropriateness of the internal and external factors considered by the entity in light of our knowledge of the entity and its specific facts and circumstances;
- assessing whether the sector analyses and competitive benchmarks available and deemed relevant by us contradict the actual and potential impacts, risks and opportunities identified by the entity;
- assessing the appropriateness of the entity's process for evaluating impact and financial materiality used to determine the material information disclosed (including the setting of thresholds) in light of our knowledge of the entity and its specific facts and circumstances;
- assessing the appropriateness of the related description disclosed in section 2.2.1.2, "Double materiality assessment: main sustainability risks, impacts and opportunities" of the Sustainability statements | CSRD.

Compliance of the sustainability information included in the Sustainability statements | CSRD of the group management report with the provisions of Article L.233-28-4 of the French Commercial Code, including the ESRS

Nature of procedures carried out

Our procedures consisted in verifying that, in accordance with legal and regulatory requirements, including the ESRS:

- the disclosures provided enable an understanding of the general basis for the preparation and governance of the sustainability information included in the Sustainability statements | CSRD, including the basis for determining the information relating to the value chain and the exemptions from disclosures used ;
- the presentation of this information ensures its readability and understandability;
- the scope chosen by SCHNEIDER ELECTRIC SE for providing this information is appropriate; and
- on the basis of a selection, based on our analysis of the risks of non-compliance of the information provided and the expectations of users, that this information does not contain any material errors, omissions or inconsistencies, i.e. that are likely to influence the judgement or decisions of users of this information.

Conclusion of the procedures carried out

Based on the procedures we have carried out, we have not identified material errors, omissions or inconsistencies regarding the compliance of the sustainability information included in the Sustainability statements | CSRD, with the provisions of Article L.233-28-4 of the French Commercial Code, including the ESRS.

Elements that received particular attention

We set out below the elements that have been the subject of particular attention in relation to our assessment of compliance of the sustainability information included in Sustainability statements | CSRD of the Sustainability statements | CSRD with the requirements of Article L.233-28-4 of the French Commercial Code, including the ESRS.

Information provided in application of environmental standards (ESRS E1)

The information disclosed under Climate Change (ESRS E1) is presented in Section 2.2.2.1. "Leading on Decarbonization (ESRS E1)" of the Sustainability statements | CSRD.

We present below the matters which received particular attention regarding the ESRS compliance of this information.

Our work consisted primarily in:

- based on the interviews conducted with management, assessing whether the description of the policies, actions and targets implemented by the entity address the following areas: climate change mitigation, climate change adaptation, energy efficiency and renewable energy;
- assessing the appropriateness of the disclosures provided in the notes to the environmental section of the sustainability information included in the Sustainability statements | CSRD and its overall consistency with our knowledge of the entity.

With regard to the information published on the greenhouse gas emissions assessment:

- we familiarised ourselves with the greenhouse gas emissions inventory protocol used by the entity to draw up its greenhouse gas emissions assessment, and checked its application, for a selection of emissions categories and sites, for Scope 1 and Scope 2;
- with regard to Scope 3 emissions, we assessed the justification for the inclusion and exclusion of the various categories and the transparency of the disclosures provided in this respect;
- we assessed the appropriateness of the emission factors used and the calculation of the related conversions, as well as the calculation and extrapolation assumptions.

- for physical data (such as energy consumption), we reconciled, using sampling techniques, the underlying data used to draw up the greenhouse gas emissions assessment with supporting documents;
- with regard to the estimates that we considered to be material, used by the entity to prepare its greenhouse gas emissions assessment, we obtained, through interviews with management, an understanding of the method used to calculate the estimated data and the information sources on which the estimates were based.
- With regard to our procedures regarding the transition plan for climate change mitigation, our work mainly consisted of assessing whether the information published in the transition plan meets ESRS E1 requirements with an appropriate description of the plan's underlying key assumptions, it being understood that we are not required to express a conclusion on the appropriateness or the level of ambition of the transition plan's objectives.

Compliance with the reporting requirements set out in Article 8 of Regulation (EU) 2020/852

Nature of procedures carried out

Our procedures consisted in verifying the process implemented by SCHNEIDER ELECTRIC SE to determine the eligible and aligned nature of the activities of the entities included in the consolidation.

They also involved verifying the information reported pursuant to Article 8 of Regulation (EU) 2020/852, which involves checking:

- the compliance with the rules applicable to the presentation of this information to ensure that it is readable and understandable;
- on the basis of a selection, the absence of material errors, omissions or inconsistencies in the information provided, i.e. information likely to influence the judgement or decisions of users of this information.

Conclusion of the procedures carried out

Based on the procedures we have carried out, we have not identified any material errors, omissions or inconsistencies relating to compliance with the requirements of Article 8 of Regulation (EU) 2020/852.

Elements that received particular attention

We set out below the elements that have been the subject of particular attention on our part as regards the compliance of this information with the requirements of Article 8 of Regulation (EU) 2020/852.

Concerning the alignment of eligible activities

Information on the alignment of activities is set out in section 2.2.2.4 Methodology elements on EU Taxonomy of the Sustainability statements | CSRD.

Our work consisted primarily in:

- based on the interviews conducted with management, understanding the process deployed by the Group in order to answer the eligibility and alignment identification and the compliance with the EU Taxonomy Regulation;
- assessing, on a sample basis, the elements on which management based its judgement when assessing whether eligible economic activities met the cumulative conditions, derived from the Taxonomy Regulation, needed to qualify as aligned and particularly that they "do not significant harm" to any of the other environmental objectives;
- assessing the analysis conducted regarding compliance with the minimum safeguards, primarily in light of the information gathered when obtaining an understanding of the entity and its environment;
- assessing the consistency of the information disclosed in the Sustainability statements | CSRD by reperforming calculation.

The statutory auditors

PricewaterhouseCoopers Audit

Jean-Christophe Georgiou

Séverine Scheer

Forvis Mazars SA

Juliette Decoux-Guillemot

Charles Desvernois

4. Methodology, external assurance and indicators

4.3.2 Limited assurance report from one of the Statutory auditors on selected ESG information

This is a free translation into English of one of the Statutory auditors' report on the ESG information of the Entity issued in French and it is provided solely for the convenience of English-speaking users.

This report should be read in conjunction with, and construed in accordance with, French law and professional guidance applicable in France.

Financial year ended December 31, 2025

To the directors of SCHNEIDER ELECTRIC SE,

In our capacity as statutory auditors of your company, we have undertaken a limited assurance engagement on a selection of ESG information (listed in the appendix to this report) prepared on a voluntary basis by Schneider Electric SE (hereinafter "the Entity"), with regard to the dedicated reporting protocols for the SSI and SSE indicators and for other data relating to Human Resources, Health & Safety, and the Environment (version dated March 24, 2026) (hereinafter the "Reporting Framework"), for the financial year ended December 31, 2025 (hereinafter the "Information"), presented in sections '2.1.1.2 Long-term commitments and tools to measure progress' and "2.4.4 Indicators" of the Universal Registration Document (hereinafter the "2025 URD"), and prepared in the context of the Group's 2021–2025 sustainability strategy (notably the Schneider Sustainability Impact (SSI) and Schneider Sustainability Essentials (SSE) programs).

Our assurance does not extend to information in respect of earlier periods or to any other information set out in the 2025 URD not included in the Information.

Limited assurance conclusion

Based on the procedures we have performed, as described under the section "Nature and scope of procedures", and the evidence we have obtained, nothing has come to our attention that causes us to believe that the Information is not prepared, in all material respects, in accordance with the Reporting Framework.

We do not express a conclusion on information in respect with earlier periods or on other information set out in the 2025 URD not included in the Information.

Emphasis of matter

Without modifying our conclusion, we draw your attention to the note "Internal control" of section "2.4.1 Methodology elements on the published indicators" of the 2025 URD, which specifies that the Information has been prepared in the context of the Group's 2021–2025 sustainability strategy (notably the Schneider Sustainability Impact (SSI) and Schneider Sustainability Essentials (SSE) programs) and in accordance with the Reporting Framework. Therefore, it does not constitute information prepared in accordance with the provisions of Article L.233-28-4 of the French Commercial Code, including the ESRs.

Preparation of the Information

The absence of a commonly-used generally accepted reporting framework or established practice on which to draw to evaluate and measure the Information allows for different, but acceptable, measurement techniques that can affect comparability between entities and over time.

Consequently, the Information needs to be read and understood together with the Reporting Framework, available upon request via the Schneider Electric SE Help Center accessible from www.se.com. The significant elements of the Reporting Framework are set out in the 2025 URD.

Inherent Limitations in preparing the Information

The Information may be subject to inherent uncertainty arising from the state of scientific knowledge and from the quality of the external data used. Certain information is sensitive to the methodological choices, assumptions and/or estimates applied in preparing it.

In particular, the quantification of greenhouse gases is subject to inherent uncertainty due to incomplete scientific knowledge used to determine emission factors and the values required to aggregate emissions from different gases.

Responsibility of the Entity

The Information has been prepared under the responsibility of Management.

Management of Schneider Electric SE is responsible for:

- selecting or establishing suitable criteria for preparing the Information;
- preparing the Information in accordance with the Reporting Framework; and
- designing, implementing and maintaining internal control relevant to the preparation of the Information that is free from material misstatement, whether due to fraud or error.

Responsibility of the Statutory Auditors

We are responsible for:

- planning and performing the engagement to obtain limited assurance about whether the Information is prepared, in all material respects, in accordance with the Reporting Framework and is free from material misstatement, whether due to fraud or error;
- forming an independent conclusion, based on the procedures we have performed and the evidence we have obtained; and
- reporting our conclusion to the Entity's Management.

As we are engaged to form an independent conclusion on the Information as prepared by Management, we are not permitted to be involved in the preparation of the Information as doing so may compromise our independence.

Professional guidance and Standard applied

We performed the work described below in accordance with the professional guidance issued by the French Institute of Statutory Auditors (CNCC) applicable to such engagement, and with international standard ISAE 3000 (revised) *Assurance Engagements other than Audits or Reviews of Historical Financial Information* issued by the IAASB (*International Auditing and Assurance Standards Board*).

They do not constitute an audit or a review within the meaning of the professional standards applicable in France. Nor do they constitute a "certification" in accordance with the guidelines of the *Haute Autorité de l'Audit* (H2A).

Independence and quality control

Our independence is defined by the provisions of the French Commercial Code (*Code de commerce*), French Code of Ethics for Statutory Auditors (*Code de déontologie*), as well as *International Code of Ethics for Professional Accountants (including Independence Standards)* issued by the International Ethics Standards Board for Accountants (IESBA). This Code is based on the compliance with the fundamental principles of integrity, objectivity, professional competence and diligence, confidentiality, and professional behaviour.

In addition, we apply International Standard on Quality Management 1 and accordingly we have implemented a system of quality control including documented policies and procedures regarding compliance with applicable legal and regulatory requirements, ethical requirements and French professional guidance.

Nature and scope of the procedures

We planned and performed our work, described below, to address the areas where we have identified that a material misstatement of the Information is likely to arise. As part of our limited assurance engagement and based on our professional judgment, we:

- updated our understanding of the Entity and its environment, including the internal control components relevant to the preparation of the Information ;
- assessed the suitability of the Reporting Framework's criteria with regard to their relevance, completeness, reliability, neutrality and understandability, taking into account, where appropriate, best industry practices;
- obtained an understanding of internal control procedures implemented by the Entity aimed at ensuring the compliance of the Information with the Reporting Framework;
- assessed whether the methods used by the Entity to prepare the Information are appropriate in regard of the Reporting Framework and, where applicable, assessed the relevance of changes in methods and assumptions;
- verified that the Information has been prepared within the scope indicated in the Reporting Framework;
- selected, based on our professional judgment, the information we considered most important, for which we:
 - performed analytical procedures to verify the consistency of any changes in those data and, where necessary, requested explanations from Management regarding any unusual identified items;
 - performed test of details, using sampling techniques (or other selection methods), in order to verify the correct application of the calculation methods and assumptions described in the Reporting Framework and reconcile the underlying data with the supporting documentation.
 - for estimates, through interviews with Management, we obtained an understanding of the method used to calculate the estimated data. We assessed the appropriateness and correct application of this method, as well as the appropriateness of the sources of information used.
- assessed the overall consistency of the information in relation to our knowledge of the Entity.

We consider that the evidence we have obtained is sufficient and appropriate to support our conclusion.

The procedures performed in a limited assurance engagement are less in extent than for a reasonable assurance opinion in accordance with the French professional guidelines, as well as in accordance with international standard ISAE 3000 (revised). A higher level of assurance would have required us to carry out more extensive procedures.

Neuilly-sur-Seine, March 24, 2026

One of the Statutory auditors

PricewaterhouseCoopers Audit

Jean-Christophe Georgiou
Partner

Séverine Scheer
Partner

Appendix: Key Performance Indicators (KPIs)

- KPI n°1: SSI #1 – Grow Schneider Impact revenues for a value of 75%;
- KPI n°2: SSI #2 – Help our customers save and avoid millions of tons of CO₂ emissions for a value of 862 million TCO₂e;
- KPI n°3: SSI #3 – Reduce CO₂ emissions from top 1,000 suppliers' operations for a value of 56%;
- KPI n°4: SSI #4 – Increase green material content in our products for a value of 48%;
- KPI n°5: SSI #5 – Primary and secondary packaging free from single-use plastic, using recycled cardboard for a value of 85%;
- KPI n°6: SSI #6 – Strategic suppliers who provide decent work to their employees for a value of 98%;
- KPI n°7: SSI #7 – Level of confidence of our employees to report unethical conduct for a value of 85%;
- KPI n°8: SSI #8 – Increase gender diversity in hiring (50%), front-line management (40%) and leadership teams (30%) or a respective value of 37%, 32% et 32%;
- KPI n°9: SSI #9 – Provide access to green electricity to 50M people for a value of 61,7 million people (31,9 million since 2021, including 8,3 million in 2025);
- KPI n°10: SSI #10 – Double hiring opportunities for interns, apprentices and fresh graduates for a value of x1,75;
- KPI n°11: SSI #11 – Train people in energy management for a value of 1,090,569 people;
- KPI n°12: SSE #1 – Decarbonize our operations with Zero-CO₂ sites for a value of 195 sites;
- KPI n°13: SSE #2 – Substitute relevant offers with SF6-Free medium voltage technologies for a value of 80%;
- KPI n°14: SSE #3 – Source electricity from renewables for a value of 99%;
- KPI n°15: SSE #4 – Improve CO₂ efficiency in transportation for a value of 14%;
- KPI n°16: SSE #5 – Improve energy efficiency in our sites for a value of 17%;
- KPI n°17: SSE #6 – Grow our product revenues covered with Green Premium™ for a value of 83%;
- KPI n°18: SSE #7 – Switch our corporate vehicle fleet to electric vehicles for a value of 43%;
- KPI n°19: SSE #8 – Deploy local biodiversity conservation and restoration programs in our sites for a value of 100%;
- KPI n°20: SSE #9 – Give a second life to waste in 'Waste-to-Resource' sites for a value of 176 sites;
- KPI n°21: SSE #10 – Avoid primary resource consumption through 'take-back at end-of-use' since 2017 for a value of 428,450 tons;
- KPI n°22: SSE #11 – Deploy a water conservation strategy and action plan for sites in water-stressed areas for a value of 100%;
- KPI n°23: SSE #12 – Deploy a "Social Excellence" program through multiple tiers of suppliers for a value of 77%;
- KPI n°24: SSE #13 – Train our employees on Cybersecurity and Ethics every year for a value of 98%;
- KPI n°25: SSE #14 – Decrease the Medical Incident rate to 0.38 or below for a value of 0,46;
- KPI n°26: SSE #15 – Reduce total number of safety recalls issued to 0 for a value of 3 recalls;
- KPI n°27: SSE #16 – Be in the top 25% in external ratings for Cybersecurity performance for a value Top 25%;
- KPI n°28: SSE #17 – Assess our suppliers under our 'Vigilance Program' for a value of 4,348 suppliers;

4. Methodology, external assurance and indicators

- KPI n°29: SSE #18 – Reduce pay gap for both females and males for a respective value of -0,84 % et 0,58%;
- KPI n°30: SSE #19 – Increase subscription in our yearly Worldwide Employee Share Ownership Plan (WESOP) for a value of 63%;
- KPI n°31: SSE #20 – Pay our employees at least a living wage for a value of 100%;
- KPI n°32: SSE #21 – Multiply the number of employee-driven development interactions on the Open Talent Market for a value of x2,7;
- KPI n°33: SSE #22 – Support the digital upskilling of our employees for a value of 81%;
- KPI n°34: SSE #23 – Provide access to meaningful career development programs for employees during later stage of their career for a value of 93%;
- KPI n°35: SSE #24 – Increase our employee engagement level (*Employee Engagement Index*) for a value of 75%;
- KPI n°36: SSE #25 – Increase the number of volunteering days since 2017 for a value of 93,204 days;
- KPI n°37: Total number of hires and percentage by gender (linked to SSI #8), for a respective value of 20,403 people, 37% of women and 63% of men;
- KPI n°38: Percentage of female employees by grade (Board of Directors, Executive Committee, Total Management, Leadership Teams, Junior and Intermediate Management) (linked to SSI #8), for a respective value of 50%, 33%, 31%, 32% and 31%;
- KPI n°39: Total number of employee departures and calculation of turnover, with a respective value of 20,813 people and 14%;
- KPI n°40: Number of hours worked (linked to SSE #14) by employee category (Schneider Electric employees and temporary workers), for a respective value of 295 665 967 hours and 59 563 832 hours;
- KPI n°41: Number of medical incidents by employee category (Schneider Electric employees and temporary workers), for a respective value of 137 and 28;
- KPI n°42: Lost-Time Injury Rate (LTIR) by employee category (Schneider Electric employees and temporary workers), for a respective value of 0,27 and 0,22;
- KPI n°43: Number of fatalities accidents by employee category (Schneider Electric employees and temporary workers), for a respective value of 0 and 0;
- KPI n°44: Total water withdrawal (including surface water, groundwater, municipal water and other sources), with a value of 1,944,796 m3;
- KPI n°45: Total waste generated, for a value of 138,322 tons, including:
 - Non-hazardous waste generated by category, of which:
 - Non-hazardous waste reused or recycled for a value of 119,430 tons;
 - Non-hazardous waste incinerated with energy recovery for a value of 6,695 tons;
 - Non-hazardous waste landfilled or incinerated without energy recovery for a value of 4,997 tons;
 - hazardous waste channeled according to Schneider Electric expectations for a value of 7,200 tons;
- KPI n°46: Greenhouse gas emissions according to GHG Protocol for scope 1 and scope 2 (market-based and location-based) for a respective value of 100,309 tCO₂e et 23,849 tCO₂e and 409,343 tCO₂e per emission category (linked with SSE #1), of which:
 - For scope 1 :
 - Petroleum products for a value of 2,995 tCO₂e;
 - Natural gas for a value of 35,542 tCO₂e;
 - Coal for a value of 0 tCO₂e;
 - Fleet vehicles for a value of 52,721 tCO₂e;
 - SF6 emissions and leakage for a value of 3,539 tCO₂e;
 - Estimated Scope 1 GHG emissions for sites outside the energy reporting perimeter, with a value of 5,512 tCO₂e;
 - For scope 2 :
 - Grid electricity (market based) for a value of 2,681 tCO₂e;
 - Renewable electricity (market-based) for a value of 0 tCO₂e;
 - District heating for a value of 2,405 tCO₂e;
 - Estimated Scope 2 GHG emissions (market based) for sites outside the energy reporting perimeter, with a value of 18,761 tCO₂e;
- KPI n°47: Greenhouse gas emissions according to GHG Protocol for scope 3 for a for the following categories:
 - Other relevant indirect GHG emissions (Scope 3 upstream), of which:
 - 1. Purchased goods and services for a value of 6,358,668 tCO₂e;
 - 2. Capital goods for a value of 191,616 tCO₂e;
 - 3. Fuel- and energy-related activities (not included in Scope 1 or Scope 2) for a value of 93,228 tCO₂e;
 - 4. Transportation of goods paid by the group for a value of 729,064 tCO₂e;
 - Other relevant indirect GHG emissions (Scope 3 downstream), of which:
 - 11. Use of sold products for a value of 47,854,575 tCO₂e;
 - 12. End-of-life treatment of sold products for a value of 4,389,329 tCO₂e;
- KPI n°48: VOC emissions for a value of 248,092 kg.

4.3.3 Reasonable assurance report from one of the Statutory auditors on selected ESG information

This is a translation into English of one of the Statutory auditors' report on the ESG information of the Entity issued in French and it is provided solely for the convenience of English-speaking users.

This report should be read in conjunction with, and construed in accordance with, French law and professional guidance applicable in France.

Financial year ended December 31, 2025

To the directors of SCHNEIDER ELECTRIC SE,

In our capacity as statutory auditors of your company, we have undertaken a reasonable assurance engagement on a selection of ESG information prepared on a voluntary basis by Schneider Electric SE (hereinafter "the Entity"), with regard to the dedicated reporting protocols for the SSE indicators and for other environmental data (version dated March 24, 2026) (hereinafter the "Reporting Framework"), for the financial year ended December 31, 2025 (hereinafter the "Information"), presented in sections '2.1.1.2 Long-term commitments and tools to measure progress' and "2.4.4 Indicators" of the Universal Registration Document (hereinafter the "2025 URD"), and prepared in the context of the Group's 2021–2025 sustainability strategy (notably the Schneider Sustainability Impact (SSI) and Schneider Sustainability Essentials (SSE) programs).

- KPI n°1: SSE #1 - Decarbonize our operations with Zero-CO₂ sites for a value of 195 sites;
- KPI n°2: SSE #3 – 90 % of electricity sourced from renewables for a value of 99 %;
- KPI n°3: Measured energy consumption for total a value of 948 449 MWh, by source of energy, of which:
 - grid electricity for a value of 6 769 MWh;
 - purchased renewable electricity for a value of 702 802 MWh;
 - self-generated renewable electricity for a value of 33 013 MWh;
 - district heating for a value of 16 392 MWh;
 - petroleum products for a value of 13 502 MWh;
 - natural gas for a value of 175 949 MWh;
 - coal for a value of 0 MWh;
 - renewable fuel and heat for a value of 21 MWh;
- KPI n°4: Greenhouse gas emissions according to GHG Protocol for scope 1 for a value of 100 309 tCO₂e;
- KPI n°5 : Greenhouse gas emissions according to GHG Protocol for scope 2 (market-based) for a value of 23 849 tCO₂e.

Our assurance does not extend to information in respect of earlier periods or to any other information set out in the 2025 URD not included in the Information.

Reasonable assurance opinion

Based on the procedures we have performed, as described under the section "Nature and scope of procedures" and the evidence we have obtained, in our opinion, the Information is prepared, in all material respects, in accordance with the Reporting Framework.

We do not express an opinion on information in respect with earlier periods or on other information set out in the 2025 URD not included in the Information.

Emphasis of matter

Without modifying our opinion, we draw your attention to note "Internal control" of section "2.4.1 Methodology elements on the published indicators" of the 2025 URD, which specifies that the Information has been prepared in the context of the Group's 2021–2025 sustainability strategy (notably the Schneider Sustainability Impact (SSI) and Schneider Sustainability Essentials (SSE) programs) and in accordance with the Reporting Framework. Therefore, it does not constitute information prepared in accordance with the provisions of Article L.233-28-4 of the French Commercial Code, including the ESRS.

Preparation of the Information

The absence of a commonly-used generally-accepted reporting framework or established practice on which to draw to evaluate and measure the Information allows for different, but acceptable, measurement techniques that can affect comparability between entities and over time.

Consequently, the Information needs to be read and understood together with the Reporting Framework, available upon request via the Schneider Electric SE Help Center accessible from www.se.com. The significant elements of the Reporting Framework are set out in the 2025 URD.

Inherent Limitations in preparing the Information

The Information may be subject to inherent uncertainty arising from the state of scientific knowledge and from the quality of the external data used. Certain information is sensitive to the methodological choices, assumptions and/or estimates applied in preparing it.

In particular, the quantification of greenhouse gases is subject to inherent uncertainty due to incomplete scientific knowledge used to determine emission factors and the values required to aggregate emissions from different gases.

Responsibility of the Entity

The Information has been prepared under the responsibility of Management.

Management of Schneider Electric SE is responsible for:

- selecting or establishing suitable criteria for preparing the Information;
- preparing the Information in accordance with the Reporting Framework; and
- designing, implementing and maintaining internal control relevant to the preparation of the Information that is free from material misstatement, whether due to fraud or error.

Responsibility of the Statutory Auditors

We are responsible for:

- planning and performing the engagement to obtain reasonable assurance about whether the Information is prepared, in all material respects, in accordance with the Reporting Framework and is free from material misstatement, whether due to fraud or error;
- forming an independent opinion based on the procedures we have performed and the evidence we have obtained; and
- reporting our opinion to the Entity's Management.

4. Methodology, external assurance and indicators

As we are engaged to form an independent opinion on the Information as prepared by Management, we are not permitted to be involved in the preparation of the Information as doing so may compromise our independence.

Professional guidance and Standard applied

We performed the work described below in accordance with the professional guidance issued by the French Institute of Statutory Auditors (CNCC) applicable to such engagement, and with international standard ISAE 3000 (revised) *Assurance Engagements other than Audits or Reviews of Historical Financial Information* issued by the IAASB (*International Auditing and Assurance Standards Board*).

They do not constitute an audit or a review within the meaning of the professional standards applicable in France. Nor do they constitute a "certification" in accordance with the guidelines of the *Haute Autorité de l'Audit* (H2A).

Independence and quality control

Our independence is defined by the provisions of the French Commercial Code (*Code de commerce*), French Code of Ethics for Statutory Auditors (*Code de déontologie*), as well as the *International Code of Ethics for Professional Accountants (including Independence Standards)* issued by the International Ethics Standards Board for Accountants (IESBA). This Code is based on the compliance with the fundamental principles of integrity, objectivity, professional competence and diligence, confidentiality, and professional behavior.

In addition, we apply International Standard on Quality Management 1 and accordingly we have implemented a system of quality control including documented policies and procedures regarding compliance with applicable legal and regulatory requirements, ethical requirements and French professional guidance.

Nature and scope of the procedures

We planned and performed our work, described below, to address the areas where we have identified that a material misstatement of the Information is likely to arise. As part of our reasonable assurance engagement and based on our professional judgment, we:

- updated our understanding of the Entity and its environment, including the internal control components relevant to the preparation of the Information ;
- assessed the suitability of the Reporting Framework's criteria with regard to their relevance, completeness, reliability, neutrality and understandability, taking into account, where appropriate, best industry practices;
- obtained an understanding of internal control procedures implemented by the Entity aimed at ensuring the compliance of the Information with the Reporting Framework;

- assessed whether the methods used by the Entity to prepare the Information are appropriate in regard of the Reporting Framework and, where applicable, assessed the relevance of changes in methods and assumptions;
- verified that the Information has been prepared within the scope indicated in the Reporting Framework;
- evaluated the process for collecting and compiling the Information in order to assess the completeness and accuracy of the data collected, and performed procedures to verify the correct consolidation of these data.
- selected, based on our professional judgment, the information we considered most important, for which we:
 - performed analytical procedures to verify the consistency of any changes in those data and, where necessary, requested explanations from Management regarding any unusual identified items;
 - performed test of details, using sampling techniques (or other selection methods), in order to verify the correct application of the calculation methods and assumptions described in the Reporting Framework and reconcile the underlying data with the supporting documentation.
 - for estimates, through interviews with Management, we obtained an understanding of the assumptions, the calculation methods and the sources of information used. We assessed the appropriateness and correct application of this method, as well as the appropriateness of the assumptions and the sources of information used.
- assessed the overall consistency of the information in relation to our knowledge of the Entity.

We consider that the evidence we have obtained is sufficient and appropriate to support our opinion.

Neuilly-sur-Seine, March 24, 2026

One of the Statutory auditors

PricewaterhouseCoopers Audit

Jean-Christophe Georgiou
Partner

Séverine Scheer
Partner

4.4 ESG Indicators

4.4.1 Environmental and climate indicators

4.4.1.1 Key performance indicators from the Schneider Sustainability Impact and Schneider Sustainability Essentials

Schneider Sustainability	#	Programs for 2021-2025	Baseline ⁽¹⁾		2025 progress ⁽²⁾		2025 Ambition
Impact (SSI)	1.	Grow Schneider Impact revenues ⁽³⁾	2019: 70%	0%	75%	80%	
	2.	Help our customers save and avoid millions of tonnes of CO ₂ emissions	2020: 263M	0	862M	800M	
	3.	Reduce CO ₂ emissions from top 1,000 suppliers' operations	2020: 0%	0%	56%	50%	
	4.	Increase green material content in our products	2020: 7%	0%	48%	50%	
	5.	Primary and secondary packaging free from single-use plastic, using recycled cardboard	2020: 13%	0%	85%	100%	
Essentials (SSE)	1.	Decarbonize our operations with Zero-CO ₂ sites	2020: 30	0	195	150	
	2.	Substitute relevant offers with SF6-Free medium voltage technologies	2020: 26%	0%	80%	100%	
	3.	Source electricity from renewables	2020: 80%	0%	99%	90%	
	4.	Improve CO ₂ efficiency in transportation	2020: 0%	0%	14%	15%	
	5.	Improve energy efficiency in our sites	2019: 0%	0%	17%	15%	
	6.	Grow our product revenues covered with Green Premium™	2020: 77%	0%	83%	80%	
	7.	Switch our corporate vehicle fleet to electric vehicles	2020: 1%	0%	43%	33%	
	8.	Deploy local biodiversity conservation and restoration programs in our sites	2020: 0%	0%	100%	100%	
	9.	Give a second life to waste in 'Waste-to-Resource' sites	2020: 120	0	176	200	
	10.	Avoid primary resource consumption through 'take-back at end-of-use' since 2017 (metric tons)	2020: 157,588	0	428,450	420,000	
	11.	Deploy a water conservation strategy and action plan for sites in water-stressed areas	2020: 0%	0%	100%	100%	

These programs contribute to UN SDGs



(1) The baseline year for each indicator is provided together with its baseline performance.

(2) Each year, one of Schneider Electric's statutory auditors performs a "limited" assurance engagement on all SSI and SSE indicators (except SSI #+1 in 2025), in accordance with (revised) ISAE 3000 assurance standard (see assurance report on [page 266](#)). In addition, SSE #1 and SSE #3 were subject to a "reasonable" assurance engagement in 2025 (see assurance report on [page 269](#)). Please refer to [page 245](#) for the methodological presentation of each indicator.

(3) Per Schneider Electric definition and methodology.

4. Methodology, external assurance and indicators

The indicators below concern all entities where Schneider Electric has operational control, and integrated in the Group for more than two years. This scope differs from the CSRD scope presented in the section **2.1.3 Basis for preparation on page 54**.

Within the Group perimeter, given the complexity to obtain robust and meaningful data, in particular for small leased offices, estimated coverage indicators are provided for each reporting table. All Group industrial and logistics sites, in addition to certain major tertiary sites are covered. As per the Group's Environmental Policy, all industrial and logistics sites with more than 50 people and tertiary sites with more than 500 people must be ISO 14001 certified within 2 years after their acquisition or creation. A difference can, therefore, be noted with respect to the scope of financial consolidation.

4.4.1.2 Perimeter and Environmental Management Systems (ISO 14001)

Indicators	Units	2025	2024	2023	2022
ISO 14001 certified sites ⁽¹⁾	#	262	263	234	243
Industrial and logistics sites	#	192	193	196	204
Tertiary sites	#	70	70	38	39
% of sites certified ISO 14001 ⁽²⁾	%	88%	88%	87%	86%

(1) ISO 14001 certification is systematic for all large industrial, logistics and tertiary sites within two years of acquisition. A reduction in the number of ISO 14001 certified sites usually results from sites closing during the year.

(2) The percentage of sites certified ISO 14001 is calculated based on waste generation from certified sites vs total sites, as the majority of sites – in number – are small leased offices where certification is not relevant.

4.4.1.3 Group site consumption, emissions and waste

Materials

GRI	Indicators	Units	2025	2024	2023	2022
301-2	SSI #4 – Green material content in our products ⁽¹⁾	%	48% ●	38%	29%	18%
301-2	SSI #5 – Primary and secondary packaging free from single-use plastic using recycled cardboard ⁽²⁾	%	85% ●	78%	63%	45%
	SSE #6 – Product revenues covered by Green Premium™	%	83% ●	82%	81%	80%
301-3, 306-4	SSE #10 – Metric tons of avoided primary resource consumption through 'take-back at end-of-use' ⁽³⁾	metric tons	69,370 ●	47,851	50,101	57,052
	SSE #15 – Reduce total number of safety recalls issued to 0 ⁽⁴⁾	# recalls	3 ●	5	23	24

● Indicator covered by an assurance report in 2025.

(1) SSI #4 coverage is about 25% of purchased materials volume for our products.

(2) SSI #5 coverage is about 80% of total packaging purchases (wood excluded).

(3) SSE #10 figures provided in the table are annual results. Cumulative performance since the start of the program in 2017 is 428,450 avoided metric tons.

(4) SSE #15, originally "Reduce scrap from safety units recalled", has been upgraded in 2022 in line with the Quality ambition of the Group.

Waste

GRI	Indicators	Units	2025	2024	2023	2022
	Estimated coverage (% waste generation)	%	88%	88%	87%	86%
306-3	Total waste generated	metric tons	138,322 ●	135,510	124,139	131,402
	Total waste generated/Turnover	metric tons/ million €	3.44	3.57	3.46	3.84
306-3, 306-4, 306-5	Non-hazardous waste generated	metric tons	131,122 ●	126,266	116,566	123,311
	of which reused or recycled	metric tons	119,430 ●	115,541	105,593	111,567
	of which incinerated with energy recovery	metric tons	6,695 ●	7,060	6,871	6,719
306-5	of which landfilled or incinerated without energy recovery	metric tons	4,997 ●	3,665	4,102	5,025
	Non-hazardous waste reduction ⁽¹⁾	metric tons	20,722 ●	27,561	21,098	11,941
306-2	Share of non-hazardous waste recovered or reduced ⁽²⁾	%	96.7% ●	97.6%	97.0%	96.3%
306-3	Hazardous waste generated	metric tons	7,200 ●	9,244	7,573	8,091
306-5	Hazardous waste channeled according to Schneider Electric expectations ⁽³⁾	metric tons	7,200 ●	9,244	7,573	8,091
	Hazardous waste generated/Turnover	metric tons/ million €	0.18	0.24	0.21	0.24
	Hazardous waste intensity reduction against 2017 ⁽⁴⁾	%	-57%	-42%	-50%	-44%
	SSE #9 – Number of 'Waste-to-Resource' sites	#	176 ●	135	137	127
2-27, 306-3	# and aggregate quantity of reportable spills	kg	0	0	0	0
306-3	Quantity of spills recovered	kg	NA	NA	NA	NA
2-27, 306-3	Number of significant fines (> EUR 10,000) related to environmental or ecological issues	#	0	0	0	0

● Indicator covered by an assurance report in 2025. NA = Not applicable

- (1) Waste reduction measures specific, targeted projects which reduce/avoid waste. Examples of waste reduction projects include creating a closed-loop system for pallets between the site and the supplier, or reducing packaging waste from incoming shipments. Normal operational decreases of waste due to reduced activity do not count as waste reduction.
- (2) Non-hazardous waste recovered or reduced is calculated as the ratio between waste reused/recycled, incinerated with energy recovery and reduced, divided by the total non-hazardous waste generated and waste reduced. The Group's waste recovery percentage without waste reduction is: 96.2%, 97.1%, 96.5%, 95.9% for 2025, 2024, 2023, 2022 respectively.
- (3) 'Schneider Electric expectations' for hazardous waste means: 1) Waste meets/exceeds all local legal requirements for handling/treatment, and either 2a) waste is neutralized of its hazardous nature, or b) waste is handled/treated using the feasibly best available technique which provides the most environmentally beneficial impact.
- (4) 2017 hazardous waste intensity was 0.42 metric tons per million euros of revenues.

Biodiversity

GRI	Indicators	Units	2025 ⁽¹⁾	2024	2023	2022
304-1	Number of sites owned, leased or managed in or adjacent to protected areas and/or key biodiversity areas (KBA) ⁽²⁾	#	243	260	260	260
	of which industrial sites or distribution centers	#	192	107	107	107
	of which office buildings	#	51	153	153	153

- (1) Differences between years are a result of a tool changes from iBAT to WWF, improvements in data collection and changes to real estate portfolio
- (2) 243 Schneider Electric sites (with overlap between 1% to 100%) were located in close proximity to Protected Areas and KBA, including 34 sites located in areas with high biodiversity pressure – primarily in the US, France, Australia and China.

Atmospheric pollutions

GRI	Indicators	Units	2025	2024	2023	2022
	Estimated coverage (% VOC emissions)	%	91%	90%	90%	90%
305-7	VOC emissions (estimates)	kg	248,092 ●	294,801	304,975	308,520
305-7	VOC/Turnover (estimates)	kg/million €	6.2	7.7	8.5	9.0

● Indicator covered by an assurance report in 2025.

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Water

GRI	Indicators	Units	2025	2024	2023	2022
	Estimated coverage (% water withdrawal)	%	85%	85%	84%	83%
303-3	Total water withdrawals (other than for cooling)	m ³	1,944,796 ●	1,843,662	1,899,190	1,921,569
	of which surface water	m ³	15,785 ●	18,797	17,699	14,514
	of which groundwater	m ³	453,393 ●	452,489	472,199	492,308
	of which third party sources	m ³	1,440,240 ●	1,342,149	1,377,377	1,388,474
	of which other sources ⁽¹⁾	m ³	35,378 ●	30,227	31,916	26,273
303-3	Water withdrawn for cooling and restituted w/o impact ⁽²⁾	m ³	890,844 ●	880,927	813,411	622,951
303-3	Water withdrawal/Turnover ⁽³⁾	m ³ /million €	48.4	48.3	52.9	56.2
	Water withdrawal intensity reduction vs 2017 ⁽³⁾	%	-55.2%	-55.3%	-51.0%	-48.0%
303-3	Total water withdrawals from areas with water stress ⁽⁴⁾	m ³	874,433	862,855	874,114	842,216
303-1	SSE #11 – Sites in water-stressed areas with a water conservation strategy and related action plan ⁽⁴⁾	%	99.8% ●	90.0%	73.0%	48.0%

● Indicator covered by an assurance report in 2025.

Due to the impact of rounding on individual elements within this disclosure table, numbers may not exactly sum to the Group total.

(1) Other water sources include sources such as grey water and rainwater

(2) Water withdrawn for cooling and restituted without impact (i.e. returned back to the source with only a very small temperature change) are measured separate from total water withdrawals and excluded from performance calculations

(3) Excluding water withdrawn for cooling restituted without impact. The 2017 baseline value is 108.0 m³/million €

(4) Schneider Electric's ISO 14001 sites are designated as water stress sites based on the World Resources Institute's Aqueduct Water Risk Atlas. Using Baseline Water Stress criteria, a site is designated as water stressed if it is located in an area classified as 'high' or 'extremely high' stress.

Energy

GRI	Indicators	Units	2025	2024	2023	2022
	Estimated coverage (% energy consumption) ⁽¹⁾	%	100%	100%	95%	95%
	ISO 50001 certified sites	#	125	126	128	132
302-1, 302-4	Estimated total energy consumption	MWh	1,187,120	1,216,956	1,124,327	1,201,276
	of which measured energy consumption	MWh	948,449 ●	883,140	934,805	979,497
	of which estimated energy consumption for sites out of reporting perimeter ⁽²⁾	MWh	238,670	333,817	189,522	221,779
302-1, 302-4	Estimated total energy consumption/turnover	MWh/million €	29.6	31.9	31.3	35.1
	Estimated total energy productivity	€/MWh	33,823	31,351	31,932	28,450
	Estimated total improvement in energy productivity vs 2005 ⁽³⁾	%	172.6%	152.7%	157.3%	129.3%
	Estimated total energy consumption from renewable sources	MWh	911,935	903,166	707,033	688,474
	Estimated total percentage of renewable energy	%	76.8%	74.2%	62.9%	57.3%
	Estimated total energy consumption from non-renewable sources	MWh	275,185	313,790	417,294	512,802
	Estimated total percentage of non renewable energy	%	23.2%	25.8%	37.1%	42.7%
	Measured energy consumption by source					
	grid electricity	MWh	6,769 ●	27,058	82,590	108,263
	purchased renewable electricity ⁽⁴⁾	MWh	702,802 ●	625,289	610,614	588,851
	self generated renewable electricity	MWh	33,013 ●	24,907	23,194	20,719
	district heating	MWh	16,392 ●	14,615	14,736	24,519
	petroleum products	MWh	13,502 ●	10,490	12,991	6,520
	natural gas	MWh	175,949 ●	180,235	190,088	229,552
	coal	MWh	0 ●	0	0	0
	renewable fuel and heat	MWh	21 ●	547	593	1,073

Energy

GRI	Indicators	Units	2025	2024	2023	2022
	Measured renewable electricity generated on site and sold back to the grid	MWh	3,807 ●	2,216	2,960	2,263
	SSE #3 – Measured electricity sourced from renewables	%	99% ●	96%	88%	85%
	Estimated energy consumption by source ⁽²⁾					
	grid electricity	MWh	35,386	46,635	92,379	107,019
	purchased renewable electricity ⁽⁴⁾	MWh	169,147	243,883	72,632	77,831
	self generated renewable electricity	MWh	6,951	6,344	0	0
	district heating	MWh	2,142	1,537	2,490	2,829
	petroleum products	MWh	9,010	17,856	1,013	855
	natural gas	MWh	16,035	17,562	21,008	33,245
	coal	MWh	0	0	0	0
	renewable fuel and heat	MWh	0	0	0	0

● Indicator covered by an assurance report in 2025.

Due to the impact of rounding on individual elements within this disclosure table, numbers may not exactly sum to the Group total.

- (1) All Schneider Electric sites and all major non-integrated entities are included in this table starting in 2024, resulting in 100% site coverage. In prior years, major non-integrated entities were excluded from Group results in this table. Fleet energy data is not included in this table.
- (2) Sites considered as estimated data in this table include smaller Schneider Electric sites (e.g. commercial offices), all non-integrated entities such as the sites from Luminous (outside of the measured ones), AVEVA, RIB Software, ETAP, ProLeit, EcoAct, and Lauritz Knudsen and to a limited extent other small non-integrated entities. For the smaller sites, energy consumption by source is estimated by multiplying site surface (m2) with energy intensity ratios (kWh/m2) measured in larger sites. For sites located in countries with country-level renewable electricity contracts, 100% of the estimated electricity consumption of the site is counted as renewable, as such supply contracts cover all sites within a country. 2025 includes 160,951 MWh of Energy Attribute Certificates (EACs).
- (3) 2005 estimated energy productivity is 12,408 € per MWh.
- (4) Renewable electricity reported here includes renewable electricity purchased through Power Purchasing Agreements (PPA) or green tariffs, and electricity covered by Energy Attributes Certificates (EAC). The 2025 EAC account for 52% of total measured purchased renewable electricity reported.

Greenhouse gas (GHG)

GRI	Indicators	Units	2025 ⁽¹⁾	2024	2023	2022
	Estimated coverage (% total GHG emissions) ⁽²⁾	%	100%	100%	99%	99%
305-1, 305-2	Total Scopes 1 and 2 GHG emissions (market-based) ⁽³⁾	tCO ₂ e	124,157 ●	143,708	202,232	229,177
305-5	Absolute reduction vs base year (2021)	%	-57.5%	-50.8%	-30.8%	-21.5%
305-4	Total Scopes 1 and 2 per euro turnover	tCO ₂ e/ million €	3.1	3.8	5.6	6.7
305-1	Direct (Scope 1) GHG emissions	tCO ₂ e	100,309 ●	106,360	112,792	119,447
	of which petroleum products	tCO ₂ e	2,995 ●	2,412	3,116	4,414
	of which natural gas	tCO ₂ e	35,542 ●	37,060	38,968	47,271
	of which coal	tCO ₂ e	0 ●	0	0	0
	of which vehicle fleet	tCO ₂ e	52,721 ●	54,398	61,492	55,598
	of which SF ₆ emissions	tCO ₂ e	3,539 ●	4,951	4,054	4,606
	SF ₆ leakage rate	%	0.08%	0.08%	0.08%	0.08%
	Target SF ₆ leakage rate	%	0.11%	0.11%	0.11%	0.11%
	of which estimated Scope 1 GHG emissions of sites out of energy reporting perimeter ⁽⁴⁾	tCO ₂ e	5,512 ●	7,539	5,162	7,557
305-2	Energy indirect (Scope 2) GHG emissions (market-based) ⁽³⁾	tCO ₂ e	23,849 ●	37,348	89,440	109,730
	of which grid electricity (market-based) ⁽³⁾	tCO ₂ e	2,681 ●	13,892	39,476	49,674
	of which renewable electricity (market-based)	tCO ₂ e	0 ●	0	0	703
	of which district heating	tCO ₂ e	2,405 ●	2,040	4,853	8,358
	of which estimated Scope 2 GHG emissions of sites out of energy reporting perimeter (market-based) ⁽³⁾⁽⁴⁾	tCO ₂ e	18,761 ●	21,423	42,961	50,995

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Greenhouse gas (GHG) (continued)

GRI	Indicators	Units	2025 ⁽¹⁾	2024	2023	2022
305-3	Other relevant indirect (Scope 3) GHG emissions	tCO ₂ e	60,581,278 ●	61,044,106	63,007,120	65,982,342
305-5	Absolute variation vs base year (2021)	%	-11.6%	-10.9%	-8.0%	-3.7%
305-4	Total Scope 3 per euro turnover	tCO ₂ e/ million €	1,509	1,600	1,755	1,931
305-3	Other relevant indirect (Scope 3 upstream) GHG emissions ⁽⁵⁾	tCO ₂ e	7,755,860 ●	8,017,665	7,766,994	8,613,192
	1. Purchased goods and services	tCO ₂ e	6,358,668 ●	6,562,746	6,829,733	7,572,974
	2. Capital goods ⁽⁶⁾	tCO ₂ e	191,616 ●	161,033	55,361	57,986
	3. Fuel- and energy-related activities (not included in Scope 1 or Scope 2) ⁽⁶⁾	tCO ₂ e	93,228 ●	100,126	40,652	43,544
	4. Transportation of goods paid by the Group ⁽⁷⁾	tCO ₂ e	729,064 ●	816,302	563,643	670,840
	5. Waste generated in operations	tCO ₂ e	43,367 ●	38,747	34,927	37,415
	6. Business travel ⁽⁷⁾	tCO ₂ e	162,227 ●	161,046	60,702	56,501
	7. Employee commuting	tCO ₂ e	177,689 ●	177,665	181,977	173,932
305-3	Other relevant indirect (Scope 3 downstream) GHG emissions	tCO ₂ e	52,825,419 ●	53,026,442	55,240,126	57,369,150
	9. Transportation of goods not paid by the Group ⁽⁷⁾	tCO ₂ e	581,515 ●	570,959	481,039	427,872
	11. Use of sold products ⁽⁸⁾	tCO ₂ e	47,854,575 ●	48,274,430	50,452,906	52,475,682
	12. End-of-life treatment of sold products	tCO ₂ e	4,389,329 ●	4,181,052	4,306,182	4,465,596
	SSE #1 – Number of Zero-CO ₂ sites	#	195 ●	154	101	77
	Saved GHG emissions thanks to sold products and services ⁽⁹⁾	tCO ₂ e	89,016,838 ●	67,376,192	52,434,385	51,325,544
	Avoided GHG emissions thanks to sold products and services ⁽⁹⁾	tCO ₂ e	94,321,566 ●	58,743,750	60,163,742	41,674,416
	SSI #2 – Cumulative CO ₂ saved and avoided thanks to sold products and services since 2018 ⁽⁹⁾	tCO ₂ e	862,338,743 ●	679,000,339	552,559,056	439,960,929

● Indicator covered by an assurance report in 2025.

Due to the impact of rounding on individual elements within this disclosure table, numbers may not exactly sum to the Group total.

- (1) In 2025, Schneider Electric recalculated its 2021 base-year GHG inventory (Scopes 1, 2 and 3) to reflect material methodological updates, primarily in Scope 3 Category 11 (use of sold products), improved alignment with industry standards and practice, and harmonization of organizational scope and other methodological elements. Targets remain unchanged, with only the absolute baseline and corresponding 2030 target levels recalculated.
- (2) All Schneider Electric sites and all major non-integrated entities are included in this table starting in 2024, resulting in 100% site coverage. In prior years, major non-integrated entities were excluded from Group results in this table.
- (3) Scope 2 emissions are quantified with the market-based methodology and the location-based methodology, following GHG Protocol Scope 2 guidance, and the results from both approaches are disclosed. Values calculated with market-based and location-based methodologies should not be added. Market-based electricity emissions are calculated using subnational factors for the US and Canada, residual electricity emissions factors for European countries, and average country emission factors for other countries. Location-based Scope 2 electricity emissions on energy reporting perimeter are equal to 291,877 tCO₂e (audited value), and 405,793 tCO₂e on total Group perimeter (audited value). Total Scope 2 (location-based) emissions is 409,343 tCO₂e (audited value). Total Scope 1 and 2 (location-based) CO₂ emissions (energy, vehicles, and SF6 emissions in tCO₂e) on full perimeter are equal to 509,651 tCO₂e (audited value).
- (4) The CO₂ emissions linked to energy consumption for sites outside the energy reporting perimeter are considered estimates for two reasons: on the one hand, energy consumption and corresponding CO₂ emissions of these sites are estimated (instead of being collected from meters and invoices, energy consumption are based on site surface and average energy intensity of sites per region from the energy reporting perimeter); on the other hand, the indirect emissions are calculated on the conversion factors per country and not with supplier-specific data.
- (5) Scope 3 upstream emissions can be quantified with the market-based methodology and the Group has completed a dual reporting in 2025 to represent this impact. The market based impacts were driven by a purchase of sustainable aviation fuel, the incorporation of reduction due to suppliers having zero Scope 2 emissions and the impact of Scope 2 market-based reductions on upstream Scope 3 electricity-related emissions. More details can be found in "Inclusion of market-based accounting approach" p.81, section **2.2.1.7**.
- (6) In 2024 the methodology has changed, leading to significant changes as compared to previous year.
- (7) Prior to 2023, this category was meant to capture greenhouse gas emissions (CH4 and N2O emissions) generated from renewable electricity produced with biomass.
- (8) These emissions correspond to products sold by Schneider Electric during the year of reporting and cumulated over their lifetime. These emissions are attributable to electricity consumption of products, either due to internal consumption or due to heat dissipation (Joule effect). The GHG emissions from electricity considered are forward-looking during the lifetime of products, based on a scenario from the International Energy Agency (IEA) that factors in the future decarbonization of the grids.
- (9) Avoided CO₂ emissions are calculated for sales of the reporting year and cumulated over the offers' lifetime. Emissions are calculated as the difference between emissions with Schneider Electric's offer and emissions in the reference situation. The methodology distinguishes "saved" and "avoided" emissions: saved CO₂ emissions correspond to brownfield sales that enable reduction of global CO₂ emissions compared to previous years, while avoided CO₂ emissions correspond to greenfield sales that enable a limitation of the increase of global emission. When new methodologies are developed during the reporting year, CO₂ saved and avoided from those offers is quantified for sales that occurred since 2018 and counted fully in the performance of the reporting year. In addition, methodologies are continuously improved, leading potentially to some adjustments with retroactive impact. In 2025, there has been no update to methodology. However, out of the 183.3 MTCO₂e saved and avoided in 2025, 90.1 MT (49.1%) came from new offers, which includes their 2021-2024 backdated performance.

4.4.2 Social indicators

4.4.2.1 Key performance indicators from the Schneider Sustainability Impact and Schneider Sustainability Essentials

Schneider Sustainability	#	Programs for 2021-2025	Baseline ⁽¹⁾		2025 progress ⁽²⁾	2025 Ambition
Impact (SSI)	6.	Strategic suppliers who provide decent work to their employees	2022: 1%	0%	98%	100%
	7.	Level of confidence of our employees to report unethical conduct	2021: 81%	0%	85%	91%
	8.	Increase gender diversity ⁽³⁾ in: hiring (50%), front-line management (40%), and leadership teams (30%)	2020 : 41%	0%	37%	50%
			2020 : 23%	0%	32%	40%
			2020 : 24%	0%	32%	30%
10.	Double hiring opportunities for interns, apprentices and fresh graduates	2019: 4,939	X1	X1.75	x2	
Essentials (SSE)	12.	Deploy a 'Social Excellence' program through multiple tiers of suppliers	2021: 0%	0%	77%	80%
	13.	Train our employees on Cybersecurity and Ethics every year	2020: 90%	0%	98%	100%
	14.	Decrease the Medical Incident rate to 0.38 or below	2019: 0.79	0.79	0.46	0.38
	15.	Reduce total number of safety recalls issued to 0	2020: 25	25	3	0
	16.	Be in the top 25% in external ratings for Cybersecurity performance	2020: Top 25%	0%	Top 25%	Top 25%
	17.	Assess our suppliers under our 'Vigilance Program'	2020: 374	0	4,348	4,000
	18.	Reduce pay gap for both females and males	2020: F: -1.73%	0%	-0.84% F	<1%
			2020: M: 1.00%		0.58% M	<1%
	19.	Increase subscription in our yearly Worldwide Employee Share Ownership Plan (WESOP)	2019: 53%	0%	63%	60%
	20.	Pay our employees at least a living wage	2019: 99%	0%	100%	100%
	21.	Multiply the number of employee-driven development interactions on the Open Talent Market	2020: 5,019	1	x2.7	x4
	22.	Support the digital upskilling of our employees	2020: 41%	0%	81%	90%
	23.	Provide access to meaningful career development programs for employees during later stages of their career	2022: 43%	0%	93%	90%
	24.	Increase our employee engagement level	2020: 69%	0%	75%	75%

These programs contribute to UN SDGs



(1) The baseline year for each indicator is provided together with its baseline performance.

(2) Each year, one of Schneider Electric's statutory auditors performs a "limited" assurance engagement on all SSI and SSE indicators (except SSI #1 in 2025), in accordance with (revised) ISAE 3000 assurance standard (see assurance report on [page 266](#)). In addition, SSE #1 and SSE #3 were subject to a "reasonable" assurance engagement in 2025 (see assurance report on [page 269](#)). Please refer to [page 245](#) for the methodological presentation of each indicator.

(3) From 2025 onwards, diversity targets shall not impact local incentives in countries or entities prohibiting the establishment of such targets. The global SSI target has been restated accordingly. The gender balance metric is a global strategic ambition. It does not apply to territories that prohibit such ambition. The Schneider Electric policy is to always select the best candidate for any position based on skills, experience and potential (irrespective of their gender, age, origin, disability, appearance, etc...).

4. Methodology, external assurance and indicators

Indicators below have a Group scope as described in **section 4.1 Methodology elements on the published indicators, page 244**.

HR statistics presented below cover about 85% of the 173,626 employees from consolidated companies where HR IT systems have been deployed. About 14,107 employees from non-integrated entities are excluded. SSI #8 is calculated on constant scope and also excludes employees from L&T and Proleit, as they were acquired during 2020, which is the baseline year for this program. SSI #8 coverage is about 85% of Group employees in 2025.

Total Group workforce, i.e. overall employees and non-employee interim workers, is 173,626 people as of end of the year 2025.

The calculation methodology of the absenteeism rate varies from one country to another, in this domain Schneider Electric communicates at Group level the number of lost days and the number of hours worked (Safety data). The precisions on the variations of scope are contributed at the end of the tables below and indicated by footnotes.

4.4.2.2 General disclosure

Spot workforce at year-end

GRI	Indicators	Units	2025	2024	2023	2022
	Spot workforce at year-end including supplementary employees*	year-end HC	173,626	167,495	153,121	149,812
	Spot workforce at year-end excluding supplementary employees ⁽¹⁾	year-end HC	147,420 ●	147,127	137,855	134,931
	Open-ended contract	%	92% ●	90.9%	89.8%	88.8%
	Fixed-term contract	%	8% ●	9.1%	10.2%	11.2%
	Spot supplementary employees* at year-end	year-end HC	27,913	20,368	15,266	14,881
2-7	Share of temporary personnel (fixed-term contracts and supplementary personnel*)	%	23%	20.1%	19.2%	22.3%

● Indicator covered by an assurance report in 2025.

* Supplementary employees are employees under short-term contracts to supplement short-term activities and work peaks.

(1) Based on data tracked in our global TalentLink tool, excluding supplementary employees, recent acquisitions, entities not integrated to the Group's information system tools and interns (147,420 employees, i.e. around 85% of employees excluding supplementary employees).

Workforce composition⁽¹⁾

GRI	Indicators	Units	2025	2024	2023	2022
	Coverage (of total employees)		85%	88%	90%	90%
2-7	Organization of working time					
	Full-time	%	98% ●	98%	98%	98%
	Part-time	%	2% ●	2%	2%	2%
401-1	Hires ⁽²⁾	HC	20,403 ●	27,250	24,608	28,214
401-1	Departures ⁽²⁾	HC	20,813 ●	18,341	19,738	22,005
	Layoffs	HC	8,408	5,473	5,246	5,970
	Resignations	HC	9,234	9,796	10,878	12,757
	Other (retirement, end of contract, etc.)	HC	3,171	3,072	3,614	3,278
401-1	Total employee turnover	%	14.0% ●	12.8%	14.6%	16.6%
	Turnover by gender					
	Men	%	13%	12%	14%	15%
	Women	%	16%	14%	16%	19%
	Turnover by generation ⁽³⁾					
	Gen Z	%	29%	28%	36%	47%
	Millennials	%	12%	12%	14%	17%
	Gen X	%	8%	7%	8%	8%
	Boomer	%	27%	21%	18%	18%
	Silent	%	100%	0%	18%	0%
401-1	Voluntary turnover	%	6.2%	6.9%	8.0%	9.6%
2-7	Breakdown of workforce by region					
	Asia-Pacific	%	33% ●	33%	33%	34%
	Western Europe	%	27% ●	26%	27%	27%
	North America	%	28% ●	29%	27%	26%
	Rest of the world	%	12% ●	12%	13%	13%

Workforce composition (continued)

GRI	Indicators	Units	2025	2024	2023	2022
2-7	Breakdown of workforce by top 10 countries					
	United States	%	16% ●	15%	14%	14%
	India	%	13% ●	13%	11%	11%
	China	%	11% ●	11%	11%	11%
	Mexico	%	11% ●	11%	12%	12%
	France	%	10% ●	10%	11%	11%
	Germany	%	4% ●	3%	4%	4%
	Spain	%	3% ●	3%	3%	3%
	United Kingdom	%	2% ●	3%	3%	2%
	Italy	%	2% ●	2%	2%	2%
	Philippines	%	2% ●	2%	2%	2%
2-7	Annual change in workforce in top 10 countries					
	United States	%	5% ●	12%	6%	5%
	India	%	10% ●	23%	8%	7%
	China	%	3% ●	10%	5%	46%
	Mexico	%	-17% ●	1%	3%	6%
	France	%	1% ●	2%	-1%	2%
	Germany	%	3% ●	2%	6%	2%
	Spain	%	3% ●	2%	12%	8%
	United Kingdom	%	-2% ●	4%	7%	-1%
	Italy	%	4% ●	4%	7%	0%
	Philippines	%	-2% ●	5%	3%	10%
2-7	Women in our workforce					
	Overall workforce	%	35% ●	35%	34%	33%
	Board of Directors	%	50% ●	43%	46%	42%
	Executive Committee	%	33% ●	40%	41%	41%
	All management (junior, middle, leadership)	%	31%	28%	34%	33%
	Leadership teams	%	32% ●	31%	29%	28%
	Front-line management	%	31% ●	30%	27%	27%
	Middle management	%	29%	26%	25%	24%
	Junior management	%	37%	39%	40%	37%
	Management positions in revenue-generating functions	%	29%	20%	19%	21%
	Sales	%	12%	24%	23%	22%
	STEM	%	34%	24%	22%	21%
2-7	White collar	%	53%	52%	53%	52%
	of which men	%	63%	64%	65%	66%
	of which women	%	37%	36%	35%	34%
	Blue collar	%	47%	48%	47%	48%
	of which men	%	67%	66%	67%	67%
	of which women	%	33%	34%	33%	33%

4. Methodology, external assurance and indicators

Workforce composition (continued)

GRI	Indicators	Units	2025	2024	2023	2022
2-7	Breakdown of workforce by age ⁽³⁾					
	< 30 years	%	20% ●	25%	24%	24%
	30-50 years	%	61% ●	58%	59%	59%
	> 50 years	%	19% ●	17%	17%	17%
2-7	Breakdown of workforce by seniority					
	< 5 years	%	47%	46%	42%	43%
	5/14 years	%	29%	30%	31%	31%
	15/24 years	%	15%	15%	18%	17%
	25/34 years	%	6%	6%	7%	7%
	> 34 years	%	3%	3%	2%	2%
2-7	Breakdown of workforce by function					
	Marketing	%	4%	4%	4%	4%
	Sales	%	12%	12%	13%	13%
	Services and projects	%	20%	19%	20%	19%
	Support	%	30%	29%	27%	24%
	Technical	%	8%	8%	8%	11%
	Industrial	%	26%	28%	28%	29%

● Indicator covered by an assurance report in 2025.

* Supplementary employees are employees under short term contracts to supplement short term activities and work peak.

(1) Based on data tracked in our global TalentLink tool, excluding supplementary employees, recent acquisitions, entities not integrated to the Group's information system tools and interns (147,420 employees, i.e. around 85% of employees excluding supplementary employees).

(2) Acquisitions/disposals and supplementary employees not taken into account in the calculation.

(3) The breakdown by age or generation excludes the data for US and Canada due to privacy restrictions.

Hires⁽¹⁾⁽²⁾

GRI	Indicators	Units	2025	2024	2023	2022
401-1	Breakdown by type of contract					
	Permanent contract	%	80%	85%	77%	69%
	Fixed-term contract	%	20%	15%	23%	31%
401-1	Breakdown by category					
	White collar	%	39%	33%	38%	39%
	Blue collar	%	61%	67%	62%	61%
401-1	Breakdown by gender					
	Men	%	63% ●	58%	59%	59%
	Women	%	37% ●	42%	41%	41%
401-1	Breakdown by age ⁽³⁾					
	< 30 years	%	53%	60%	58%	61%
	30-50 years	%	43%	37%	40%	37%
	> 50 years	%	4%	3%	2%	2%
401-1	Breakdown by region					
	Asia-Pacific	%	32%	25%	31%	36%
	Western Europe	%	12%	12%	17%	16%
	North America	%	40%	53%	42%	37%
	Rest of the world	%	16%	10%	10%	11%

● Indicator covered by an assurance report in 2025.

(1) Based on data tracked in our global TalentLink tool, excluding supplementary employees, recent acquisitions, entities not integrated to the Group's information system tools and interns (147,420 employees, i.e. around 85% of employees excluding supplementary employees).

(2) Acquisitions/disposals and supplementary employees not taken into account in the calculation.

(3) The breakdown by age or generation excludes the data for US and Canada due to privacy restrictions.

Layoffs ⁽¹⁾⁽²⁾

GRI	Indicators	Units	2025	2024	2023	2022
401-1	Breakdown by type of contract					
	Open-ended contract	%	95%	90%	81%	69%
	Fixed-term contract	%	5%	10%	19%	31%
401-1	Breakdown by category					
	White collar	%	24%	31%	26%	21%
	Blue collar	%	76%	69%	74%	79%
401-1	Breakdown by region					
	Asia-Pacific	%	11%	18%	22%	35%
	Western Europe	%	8%	10%	8%	10%
	North America	%	74%	61%	61%	48%
	Rest of the world	%	7%	11%	9%	7%
	Breakdown by gender					
	Men	%	59%	64%	61%	60%
	Women	%	41%	36%	39%	40%
	Breakdown by generation ⁽³⁾					
	Gen Z	%	36%	28%	27%	34%
	Millennials	%	44%	47%	47%	44%
	Gen X	%	18%	22%	21%	16%
	Boomer	%	2%	3%	5%	6%
	Silent	%	0%	0%	0%	0%

(1) (Based on data tracked in our global TalentLink tool, excluding supplementary employees, recent acquisitions, entities not integrated to the Group's information system tools and interns (147,420 employees, i.e. around 85% of employees excluding supplementary employees).

(2) Acquisitions/disposals and supplementary employees not taken into account in the calculation.

(3) The breakdown by age or generation excludes the data for US and Canada due to privacy restrictions.

Resignations ⁽¹⁾⁽²⁾

GRI	Indicators	Units	2025	2024	2023	2022
401-1	Breakdown by seniority					
	< 1 year	%	32%	38%	35%	36%
	1/4 years	%	45%	40%	42%	40%
	5/14 years	%	17%	17%	18%	19%
	15/24 years	%	4%	4%	4%	4%
	25/34 years	%	1%	1%	1%	1%
	> 34 years	%	1%	0%	0%	0%

(1) Based on data tracked in our global TalentLink tool, excluding supplementary employees, recent acquisitions, entities not integrated to the Group's information system tools and interns (147,420 employees, i.e. around 85% of employees excluding supplementary employees).

(2) Acquisitions/disposals and supplementary employees not taken into account in the calculation.

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4. Methodology, external assurance and indicators

Departures⁽¹⁾⁽²⁾

GRI	Indicators	Units	2025	2024	2023	2022
401-1	Breakdown by gender					
	Men	%	61%	62%	62%	62%
	Women	%	39%	38%	38%	38%
401-1	Breakdown by age ⁽³⁾					
	< 30 years	%	40%	44%	46%	50%
	30-50 years	%	46%	43%	41%	39%
	> 50 years	%	14%	13%	13%	11%
401-1	Breakdown by region					
	Asia-Pacific	%	24%	28%	31%	33%
	Western Europe	%	15%	16%	16%	15%
	North America	%	52%	45%	42%	42%
	Rest of the world	%	9%	11%	11%	10%

(1) (Based on data tracked in our global TalentLink tool, excluding supplementary employees, recent acquisitions, entities not integrated to the Group's information system tools and interns (147,420 employees, i.e. around 85% of employees excluding supplementary employees).

(2) Acquisitions/disposals and supplementary employees not taken into account in the calculation.

(3) The breakdown by age or generation excludes the data for US and Canada due to privacy restrictions.

Average supplementary employees*

GRI	Indicators	Units	2025	2024	2023	2022
2-7	Breakdown by category					
	White collar	%	7%	8%	11%	10%
	Blue collar	%	93%	92%	89%	90%
2-7	Breakdown by region					
	Asia-Pacific	%	71%	62%	62%	54%
	Western Europe	%	15%	17%	19%	24%
	North America	%	4%	9%	12%	10%
	Rest of the world	%	10%	12%	7%	12%

* Supplementary employees are employees under short-term contracts to supplement short-term activities and work peaks.

4.4.2.3 Dialog and social relations⁽¹⁾

GRI	Indicators	Units	2025	2024	2023	2022
	Coverage	%	99%	UP	UP	UP
2-30	Employees represented by workers' representatives ⁽²⁾		84% ●	UP	UP	UP
2-30	Employees covered by collective bargaining agreements	%	52% ●	UP	UP	UP

● Indicator covered by an assurance report in 2025; UP = Unpublished.

(1) As of 2025, Schneider Electric harmonized methodology for the data collection on social dialogue and labor relations to comply with CSRD expectations.

(2) Includes both trade union representatives and duly elected worker representatives.

4.4.2.4 Health and safety of employees and subcontractors

GRI	Indicator	Units	2025	2024	2023	2022
403-8	Number of ISO 45001 sites	#	197	193	172	211
	Percentage of operational facilities that are ISO 45001 certified	%	87%	85%	83%	87%
403-9	Number of medical incidents ⁽¹⁾	#	165 ●	197	154	171
	of which Schneider Electric employees	#	137 ●	163	119	143
	of which temporary workers	#	28 ●	34	35	28
403-9	Number of lost-time accidents ⁽¹⁾	#	92	91	83	95
	of which Schneider Electric employees	#	79	77	63	80
	of which temporary workers	#	13	14	20	15
403-9	Number of fatal accidents	#	0 ●	0	0	0
	of which Schneider Electric employees	#	0 ●	0	0	0
	of which temporary workers	#	0 ●	0	0	0
403-9	SSE #14 Medical Incident Rate ⁽²⁾	per million hours worked	0.46 ●	0.60	0.51	0.58
	of which Schneider Electric employees	per million hours worked	0.46 ●	0.58	0.46	0.57
	of which temporary workers	per million hours worked	0.47 ●	0.68	0.78	0.64
403-9	Lost-Time Injury Rate (LTIR) ⁽²⁾	per million hours worked	0.26 ●	0.28	0.28	0.32
	of which Schneider Electric employees	per million hours worked	0.27 ●	0.28	0.25	0.32
	of which temporary workers	per million hours worked	0.22 ●	0.29	0.44	0.34
403-9	Lost-Time Day Rate (LTDR) ⁽²⁾	per million hours worked	11.14	9.13	7.78	14.23
	of which Schneider Electric employees	per million hours worked	12.47	9.56	7.80	15.22
	of which temporary workers	per million hours worked	4.49	6.66	7.66	8.54
403-9	Number of lost days	#	3,956	2,999	2,345	4,195
	of which Schneider Electric employees	#	3,688	2,677	2,001	3,822
	of which temporary workers	#	268	322	344	373
403-9	Number of hours worked	#	355,229,799 ●	328,372,715	301,436,421	294,742,174
	of which Schneider Electric employees	#	295,665,967 ●	279,996,409	256,505,806	251,075,834
	of which temporary workers	#	59,563,832 ●	48,376,306	44,930,615	43,666,340
403-10	Occupational Illness Frequency Rate (OIFR) ⁽²⁾	per million hours worked	0.003	0.009	0.010	0.003
	of which Schneider Electric employees	per million hours worked	0.003	0.007	0.012	0.004
	of which temporary workers	per million hours worked	0.000	0.021	0.000	0.000

● Indicator covered by an assurance report in 2025.

(1) Includes business travel, excludes home/workplace travel.

(2) LTIR = Number of incidents with lost days x 1,000,000/number of hours worked. International standard indicator comparable to the accident frequency rate.

LTDR = Number of lost days x 1,000,000/number of hours worked. International standard indicator comparable to the accident severity rate (the latter, however, is calculated per thousand hours worked).

MIR = Number of accidents requiring medical treatment x 1,000,000/number of hours worked.

Occupational Illness Frequency Rate (OIFR) is based on 1 million hours worked (the number of Occupational Illnesses X 1,000,000 Hours/Total Hours Worked).

Note that the Medical Incident Rate (MIR) consists of both medical incidents + Occupational Illnesses and is based on 1 million hours worked.

4. Methodology, external assurance and indicators

4.4.2.5 Talent development and training

GRI	Indicator	Units	2025	2024	2023	2022
	Coverage	%	98%	98%	95%	92%
404-1	Number of training hours	#	3,371,767	3,246,478	3,126,358	2,988,795
404-1	Average hours of training per person	#	23.3	22.5	24.1	24.1
	of which white collar	#	24.5	23.8	25.4	25.3
	of which blue collar	#	22.0	21.1	22.5	22.4
	of which men	#	23.9	23.0	24.5	24.7
	of which women	#	22.3	21.6	23.2	22.9
404-1	Breakdown of hours by category					
	White collar	%	56%	55%	57%	57%
	Blue collar	%	44%	45%	43%	43%
404-2	Employees taking one day training (7 hours or more)	%	76%	78%	81%	81%
2-24	Percentage of employees trained on the Trust Charter, Schneider's Code of Conduct		99%	99%	99%	98%
2-24	Percentage of the eligible workforce who received training on anti-corruption practices	%	99%	99%	98%	97%
2-24	SSE #13 – Employees trained every year on Cybersecurity and Ethics	%	98% ●	99%	97%	95%
2-24, 404-2	Breakdown of hours by training type					
	Data & AI / Analytics	%	7%	3%	0%	UP
	Digital / IT	%	10%	8%	9%	6%
	Functional	%	19%	21%	23%	22%
	Sustainability ⁽¹⁾	%	16%	18%	18%	17%
	Management and Leadership	%	7%	6%	7%	8%
	Mandatory / Compliance	%	7%	5%	5%	8%
	Offer Excellence	%	7%	6%	6%	7%
	Human Skills	%	5%	6%	6%	7%
	Products, Solutions and Services	%	14%	13%	13%	14%
	Supply Chain	%	6%	7%	9%	9%
	Well-being	%	<1%	2%	1%	2%
	Other	%	2%	5%	4%	–
	Total Learning & Development spend ⁽²⁾	million €	106.1	105.7	91.1	75.6
	Learning & Development cost per employee	€/employee	719.7	718.2	660.8	560.8
404-3	Employees having had a performance review ⁽³⁾	%	99%	99%	97%	98%
	Breakdown by category					
	White collar	%	74%	75%	75%	76%
	Blue collar	%	26%	25%	25%	24%
	Breakdown by gender					
	Men	%	68%	68%	69%	70%
	Women	%	32%	32%	31%	30%

GRI	Indicator	Units	2025	2024	2023	2022
	Breakdown of promotions by gender ⁽⁴⁾					
	Men	%	67%	65%	67%	67%
	Women	%	33%	35%	33%	33%
	Breakdown of promotions by generation ⁽⁵⁾	%				
	Gen Z	%	19%	12%	11%	17%
	Millennials	%	60%	63%	62%	61%
	Gen X	%	19%	23%	24%	20%
	Boomer	%	2%	2%	3%	2%

● Indicator covered by an assurance report in 2025. UP = Unpublished.

Due to the impact of rounding on individual elements within this disclosure table, numbers may not exactly sum to the Group total.

(1) Includes Sustainability, Environment and Health and Safety trainings.

(2) Includes Sustainability, Environment and Health and Safety trainings.

(3) The data relates to the eligible workforce for Performance interview on 12/31/2025 (TalentLink).

(4) Based on a change in grade level.

(5) The breakdown by age or generation excludes the data for US and Canada due to privacy restrictions.

4.4.3 Societal indicators

Indicators are published on the basis of declarative information submitted by Foundation delegates. It covers about 95% of Schneider Electric Group employees and highlights the importance of company and employee participation in the Foundation's approach to involvement towards local communities. With EUR 34 million in 2025, the amount of budget for the Foundation's actions includes the Foundation's intervention budget, the amount of the donations from entities, employees and partners, and the amount of donations in kind.

4.4.3.1 Key performance indicators from the Schneider Sustainability Impact and Schneider Sustainability Essentials

Schneider Sustainability	#	Programs for 2021-2025	Baseline ⁽¹⁾	2025 progress ⁽²⁾	2025 Ambition	
Impact (SSI)	9.	Provide access to green electricity to 50M people	2020: 30M	0	61.7M	50M
	11.	Train people in energy management	2020: 281,737	0	1,090,569	1M
Essentials (SSE)	25.	Increase the number of volunteering days since 2017	2020: 18,469	0	93,204	50,000

These programs contribute to UN SDGs



(1) The baseline year for each indicator is provided together with its baseline performance.

(2) Each year, one of Schneider Electric's statutory auditors performs a "limited" assurance engagement on all SSI and SSE indicators (except SSI #+1 in 2025), in accordance with (revised) ISAE 3000 assurance standard (see assurance report on [page 266](#)). In addition, SSE #1 and SSE #3 were subject to a "reasonable" assurance engagement in 2025 (see assurance report on [page 269](#)). Please refer to [page 245](#) for the methodological presentation of each indicator.

4. Methodology, external assurance and indicators

4.4.3.2 Breakdown of the Foundation's financial commitments

Indicator	Units	2025	2024	2023	2022
Foundation's intervention budget	€	4,000,000	4,000,000	4,000,000	4,000,000
Breakdown by program					
Training and entrepreneurship	%	75%	84%	83%	81%
Raising awareness about sustainable development	%	16%	10%	5%	12%
Employees' volunteering/skills-based sponsorship	%	2%	1%	1%	2%
Emergency	%	3%	2%	7%	3%
Other	%	4%	3%	4%	2%
Breakdown by region					
Africa & Middle East	%	6%	28%	16%	15%
America	%	7%	10%	38%	6%
Asia & Pacific	%	11%	13%	19%	31%
Europe	%	59%	39%	22%	35%
Cross countries	%	17%	10%	5%	13%

4.4.3.3 Breakdown of contributions from employees and Schneider Electric entities to the Foundation's actions

Indicator	Units	2025	2024	2023	2022
Total financial contribution	€	14,104,530	13,646,039	10,490,937	12,461,007
From employees	€	1,273,932	1,298,374	1,227,005	1,520,324
From the Schneider Electric entities and partners	€	12,830,598	12,347,665	9,263,932	10,940,683
Total in-kind contribution (products or services)	€	16,000,793	19,380,796	10,800,121	7,267,507

4.4.3.4 Breakdown of total contributions (Employees, Schneider Electric entities and Schneider Electric Foundation) to the Foundation's actions

Indicator	Units	2025	2024	2023	2022
Breakdown by region					
Africa & Middle East	%	3%	8%	10%	5%
America	%	29%	30%	39%	35%
Asia & Pacific	%	20%	16%	17%	25%
Europe	%	46%	45%	33%	31%
Cross countries	%	2%	1%	1%	4%

4.4.3.5 Total budget for the Foundation's actions

Indicator	Units	2025	2024	2023	2022
Foundation budget, financial contributions and donations in kind	€	34,105,323	37,026,835	25,291,058	23,728,514



To access all Schneider Electric ESG data, please download the disclosure dashboard Schneider Electric Sustainability Disclosure Dashboard from the Sustainability Reports page on www.se.com

Financial Calendar

Investor Relations

May 7, 2026 Annual Shareholders' Meeting

Financial Releases

February 26, 2026 2025 Annual Results

April 30, 2026 Q1 2026 Revenues

July 30, 2026 2026 Half Year Results

October 29, 2026 Q3 2026 Revenues



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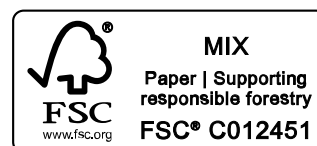
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governed by a Board of directors with a
share capital of EUR 2,308,490,048
Registered in Nanterre, R.C.S. 542 048 574
Siret no.; 542 048 574 01791

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